

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[912 NE2d 553, 884 NYS2d 337]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v INGVUE
E. BUCHANAN, Appellant.

Argued May 7, 2009; decided June 30, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 6, 2008. The Appellate Division affirmed a judgment of the Chautauqua County Court (John T. Ward, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Buchanan, 53 AD3d 46, reversed.

HEADNOTE

**Crimes — Fair Trial — Use of Stun Belt as Physical Restraint
Impermissible Absent Justification**

A stun belt may not be used to restrain a criminal defendant during trial absent a finding of specific facts justifying the use of such a restraint. There are cases in which a court may properly find, considering the nature of the charged offense, the defendant's history and other relevant factors, that a stun belt is necessary, but those factors must be considered before that finding is made. A formal hearing may not be necessary, but the trial court must conduct a sufficient inquiry to satisfy itself of the facts that warrant the restraint. Where it does so, a trial court has broad discretion in deciding whether a restraint is necessary for courtroom security.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 942, 944; AM JUR 2d, Trial
§§ 130–132.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:149, 190:150.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 23.3.

NY JUR 2d, Criminal Law: Procedure § 2461.

ANNOTATION REFERENCE

Propriety and prejudicial effect of gagging, shackling, or otherwise physically restraining accused during course of state criminal trial. 90 ALR3d 17.

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Database: NY-ORCS

Query: stun /2 belt /s necess! & finding

POINTS OF COUNSEL

Thomas Theophilos, Buffalo, for appellant. The use of an electric stun belt to physically and psychologically restrain appellant during his jury trial deprived him of a fair trial and due process of law. (*Deck v Missouri*, 544 US 622; *United States v Durham*, 287 F3d 1297; *Gonzalez v Pliler*, 341 F3d 897; *United States v McKissick*, 204 F3d 1282; *United States v Edelin*, 175 F Supp 2d 1; *Zygadlo v Wainwright*, 720 F2d 1221; *People v Thomas*, 125 AD2d 873.)

David W. Foley, District Attorney, Mayville (*Lynn S. Hodgens* of counsel), for respondent. I. Stun belts are not visible restraints and should be subject to a distinct analysis. (*Holbrook v Flynn*, 475 US 560; *Illinois v Allen*, 397 US 337; *People v Mendola*, 2 NY2d 270; *Deck v Missouri*, 544 US 622; *People v Rouse*, 79 NY2d 934; *United States v Miller*, 531 F3d 340; *Kennedy v Cardwell*, 487 F2d 101; *United States v Edelin*, 175 F Supp 2d 1; *People v Harper*, 47 NY2d 857; *People v Dugan*, 238 AD2d 922.) II. The trial court articulated a reasonable basis for the stun belt on the record. (*United States v Gray*, 292 F Supp 2d 71; *United States v Durham*, 287 F3d 1297; *Deck v Missouri*, 544 US 622; *United States v Edelin*, 175 F Supp 2d 1; *People v Stokes*, 290 AD2d 71.) III. Defendant was not prejudiced by wearing the belt. (*United States v Miller*, 531 F3d 340; *People v Paul*, 229 AD2d 932; *People v Gilmore*, 12 AD3d 1155; *People v Burton*, 278 AD2d 910; *People v Allaway*, 13 AD3d 715; *People v Benito*, 256 AD2d 221; *People v Abrams*, 203 AD2d 723; *United States v McKissick*, 204 F3d 1282.)

OPINION OF THE COURT

Per Curiam.

We hold that a stun belt may not be used to restrain a defendant in a criminal case without a finding of specific facts justifying the use of such a restraint.

I

Defendant was charged with the murder, by strangulation, of a 14-year-old girl. After jury selection and before opening statements, the trial judge said “it is my policy in cases of this nature, this degree of seriousness, to have the defendant either in leg shackles, which I don’t like to do, or the belt that can deliver a shock should there be a problem.” Addressing defendant directly, the court added: “I do believe it is necessary not just for you . . . This is something I would do for anybody charged with murder.” Defendant’s counsel and defendant himself objected strenuously. When defendant said, “I have done nothing to warrant this,” the court replied: “I can’t disagree with you. You have not done anything to warrant that.” But the court decided to require a stun belt “in the interest of being overly cautious for security.” The court also asked an officer who was present: “The Sheriff’s Department’s position is you would like that to remain on?”, to which the officer answered, “Yes.”

At the end of the first day of trial, defendant complained that the belt was uncomfortable, and the court ordered that he be examined. At the beginning of the next trial day, the court said it had received a report to the effect that the defendant “has no medical reason not to use the shock belt” and ordered the belt kept on. To defendant’s continued protests, the court replied that it had to rely on “the security experts,” and again assured defendant that the court’s ruling was nothing personal; the court said that even “an innocent man on trial for murder” could be dangerous. Defendant thus wore a stun belt under his clothing for the duration of his trial.

Defendant was convicted of second degree murder, and the Appellate Division affirmed, with two Justices dissenting (53 AD3d 46 [2008]). An Appellate Division Justice granted leave to appeal, and we now reverse.

II

Defendant argues that the use of the stun belt deprived him of due process of law, relying on *Deck v Missouri* (544 US 622,

626 [2005]), in which the United States Supreme Court held that the Due Process Clause prohibits a state from confining a defendant in “visible shackles” during a criminal trial, unless a “special need,” based on facts specific to the case, is shown. The People argue that *Deck* is distinguishable because the stun belt here was not visible to the jury. We need not reach the constitutional issue, however, for we conclude as a matter of New York law that it is unacceptable to make a stun belt a routine adjunct of every murder trial, without a specifically identified security reason.

We have no doubt that there are cases in which a court may properly find, considering the nature of the charged offense, the defendant’s history and other relevant factors, that a stun belt is necessary, but those factors must be considered before that finding is made. Thus, we adopt the rule that a stun belt may not be required unless the trial court makes findings on the record showing that the particular defendant before him needs such a restraint. A formal hearing may not be necessary, but the trial court must conduct a sufficient inquiry to satisfy itself of the facts that warrant the restraint. Where it does so, a trial court has broad discretion in deciding whether a restraint is necessary for courtroom security.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

READ, J. (dissenting). I agree with the majority that the trial judge in this case should have explained on the record why, to safeguard courtroom security, he ordered defendant to wear a stun belt during trial. In this case, however, the presumption of innocence was not implicated by the judge’s failure to inquire about the particular need for use of a stun belt and to make factual findings on the record. Defendant—a man in his thirties who apparently stands more than six feet tall and weighs over 300 pounds—repeatedly protested that the stun belt was uncomfortable (a complaint that the judge ordered a physician to evaluate), and that he should not have to wear this restraint because he was presumed to be innocent. But defendant failed to show that the stun belt was visible to the jury or otherwise compromised the fundamental fairness of the trial; he never objected that the stun belt impaired his ability to communicate with his attorney or meaningfully participate in his defense. Since I therefore do not believe that defendant has shown any actual prejudice, I would affirm his conviction (*see e.g. State v Bowen*, 340 Or

487, 496, 135 P3d 272, 279 [2006], *cert denied* 549 US 1214 [2007]).

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur in per curiam opinion; Judge READ dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[912 NE2d 555, 884 NYS2d 339]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v VICTOR
GOMEZ, Respondent.

Argued June 4, 2009; decided June 30, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 10, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Gregory Carro, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the third degree; (2) granted defendant's suppression motion; (3) vacated the plea; and (4) dismissed the indictment.

People v Gomez, 50 AD3d 407, affirmed.

HEADNOTES**Crimes — Unlawful Search and Seizure — Inventory Search**

1. An inventory search should be conducted pursuant to an established procedure clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably, and the procedure must be standardized so as to limit the discretion of the officer in the field. When determining the validity of an inventory search, the relationship between the search procedure adopted and the governmental objectives that justify the intrusion, as well as the adequacy of the controls on the police officer's discretion, must be examined. As relevant to the particular case, courts may take judicial notice of the standardized search procedure. While this procedure need not be offered into evidence, a description of what the procedure requires must be proffered.

**Crimes — Unlawful Search and Seizure — Inventory Search —
Conduct of Search in Accordance with Protocol**

2. The People did not sustain their initial burden of establishing a valid inventory search of defendant's vehicle following his arrest for driving with a suspended license. Notwithstanding the existence of a standardized, written protocol governing inventory searches with which the arresting officer was familiar, there was no evidence that police officers conducted the search in accordance with the protocol. Even assuming it was reasonable for the officers to search the immediate area of the passenger compartment of defendant's car for contraband to ensure the safety of the officer driving the car back to the police precinct, the People did not establish the circumstances under which opening and searching a closed trunk or a door panel would be justified under the protocol.

**Crimes — Unlawful Search and Seizure — Inventory Search —
Failure to Use Inventory Search Form**

3. The People did not sustain their burden of establishing a valid inventory search of defendant's vehicle following his arrest for driving with a suspended

license. A police officer is required to prepare a meaningful inventory of an accused's car. Although the arresting officer filled out a voucher—a form police officers use to list items held as evidence—and forfeiture paperwork, the People failed to establish that no other items aside from the contraband were found in defendant's vehicle. The failure to use an inventory search form, while a technical defect, is not fatal to the establishment of a valid inventory search as long as the search, in accordance with the “standardized procedure,” is designed to produce an inventory, and the search results are fully recorded in a usable format. Here, however, the search was not designed to produce an inventory.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 162, 163, 281–283.
CARMODY-WAIT 2d, Search and Seizure §§ 172:352, 173:356.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.7.
NY JUR 2d, Criminal Law: Procedure §§ 483, 503.

ANNOTATION REFERENCE

Lawfulness of “inventory search” of motor vehicle impounded by police. 48 ALR3d 537.

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Database: NY-ORCS

Query: inventory /2 search /p standardized /4 procedure & judicial /2 notice

POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (Jung Park and Mark Dwyer of counsel), for appellant. Officer Vettell properly conducted an inventory search of Victor Gomez's car, which began at the scene and continued at the precinct. (People v Johnson, 1 NY3d 252; People v Jackson, 279 AD2d 357; People v Figueroa, 6 AD3d 720; Illinois v Lafayette, 462 US 640; People v Galak, 80 NY2d 715; Colorado v Bertine, 479 US 367; Florida v Wells, 495 US 1; People v Dickens, 218 AD2d 584, 88 NY2d 1031; United States v Thompson, 29 F3d 62; United States v Skillern, 947 F2d 1268, 503 US 949.)

DLA Piper LLP (US), New York City (Christopher C. Land of counsel), and Legal Aid Society (Steven Banks, David Crow and Andrew Fine of counsel) for respondent. I. The People of the State of New York's appeal should be dismissed because the Appellate Division's determination to reverse based on the failure to demonstrate that a valid inventory search was conducted was

grounded on a mixed question of law and fact. (*People v McCready*, 68 NY2d 981; *People v Harrison*, 57 NY2d 470; *People v Hallman*, 92 NY2d 840; *People v Esquilin*, 91 NY2d 902; *People v Galak*, 80 NY2d 715; *People v Johnson*, 1 NY3d 252; *People v Hartman*, 294 AD2d 446, 100 NY2d 568; *People v Montilla*, 268 AD2d 270, 95 NY2d 830; *People v Reddick*, 265 AD2d 855, 95 NY2d 822; *People v Powell*, 92 NY2d 886.) II. The Appellate Division properly determined that a warrantless search of a vehicle is not sustainable as an inventory search if the procedures of an inventory search are not described, there is no testimony that an inventory of all items was taken, and if the only “inventory” taken is incriminating evidence. (*People v Galak*, 80 NY2d 715; *Colorado v Bertine*, 479 US 367; *Florida v Wells*, 495 US 1; *South Dakota v Opperman*, 428 US 364; *People v Johnson*, 1 NY3d 252; *People v Gonzalez*, 62 NY2d 386; *Illinois v Lafayette*, 462 US 640; *People v Robinson*, 97 NY2d 341; *People v Minto*, 272 AD2d 558; *People v Colon*, 202 AD2d 708.)

OPINION OF THE COURT

JONES, J.

The issue before us is whether the People met their initial burden of establishing a valid inventory search. We hold that they have not.

On June 23, 2005, at approximately 12:45 A.M., two New York City Police Department (NYPD) officers were on patrol in a marked police car in Manhattan (area of 107th Street and Amsterdam Avenue) when one officer noticed a 1999 Dodge Stratus driving erratically. This officer conducted a computer search of the vehicle’s license plate and found that defendant Victor Gomez owned the vehicle, but that his driver’s license (and driving privileges) had been suspended. The officers stopped the vehicle, confirmed that defendant, the sole occupant of the vehicle, was driving with a suspended license, arrested defendant for same and impounded the vehicle. Defendant was cuffed and placed in the patrol car.

One of the arresting officers, who recognized defendant from a prior incident in which defendant had threatened to shoot the officer and himself,¹ and other officers began searching the car. Because the door on the driver’s side was blocked due to the

1. On or about June 22, 2005, when one of the arresting officers responded to a domestic dispute at the home of defendant’s mother, defendant made these threats. Although this officer neither searched for nor recovered a gun, he took defendant to Bellevue Hospital for treatment.

way it was parked, an officer accessed the car through the passenger side and conducted a cursory search of the car's interior, recovering nothing. The police also searched the trunk of defendant's car and found a paper bag containing a powdered substance that appeared to be cocaine, a plastic bag with white residue, an electric scale and a small manilla envelope containing red pills. Because a crowd was gathering at the scene, it was decided that the search would be continued at the precinct. While driving defendant's car to the station, an officer discovered 45 empty plastic "baggies" in the driver's side door panel.

Defendant, who was charged with criminal possession of a controlled substance in the third degree and criminally using drug paraphernalia in the second degree, moved to suppress the items recovered during the search of his vehicle. After a combined *Mapp*, *Huntley*, *Dunaway* hearing in which the arresting officer who searched defendant's car testified, Supreme Court denied defendant's motion, finding that it was reasonable, under the circumstances, for the police to conduct an inventory search of defendant's vehicle. Subsequently, defendant, in satisfaction of the indictment, pleaded guilty to criminal possession of a controlled substance in the third degree and was sentenced, as a second felony offender, to a determinate prison term of 3½ years.²

In a 4-1 decision, the Appellate Division reversed the conviction, granted defendant's motion to suppress the evidence and dismissed the indictment (50 AD3d 407 [2008]). According to the majority, the People failed to (1) "establish the content of any standardized procedure for inventory searches promulgated by the [NYPD]" (*id.* at 409), (2) come forward with evidence that the search of defendant's car was conducted in accordance with any such standardized procedure and (3) establish that the police created any meaningful inventory list—"the hallmark of an inventory search" (*id.*, quoting *People v Johnson*, 1 NY3d 252, 256 [2003])—of the items found in defendant's car. The dissenting Justice argued that defendant's claims were not preserved for appellate review and that even if they were, the People met their initial burden of establishing a valid inventory search. A Justice of the Appellate Division granted the People leave to appeal, and we now affirm.

2. According to the People, defendant has completed his sentence and is at liberty.

[1] In *People v Galak* (80 NY2d 715 [1993]), this Court noted:

“The analysis of what constitutes a reasonable inventory search begins with the language of the Fourth Amendment, which protects citizens not from all searches by governmental actors but only from those that are ‘unreasonable’. In its modern Fourth Amendment jurisprudence, the Supreme Court has held that the reasonableness of a search is calculated by weighing the governmental and societal interests advanced by the search against the individual’s right to be free from arbitrary interference by law enforcement officers (*United States v Brignoni-Ponce*, 422 US 873, 878 [remaining citations omitted])” (80 NY2d at 718).

Further,

“[a]n inventory search is . . . designed to properly catalogue the contents of the item searched. The specific objectives of an inventory search, particularly in the context of a vehicle, are to protect the property of the defendant, to protect the police against any claim of lost property, and to protect police personnel and others from any dangerous instruments (*Florida v Wells*, 495 US 1, 4 [1990]). . . . ‘[A]n inventory search must not be a ruse for a general rummaging in order to discover incriminating evidence’ (*id.*). To guard against this danger, an inventory search should be conducted pursuant to ‘an established procedure clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably’ (*People v Galak*, 80 NY2d 715, 719 [1993]). The procedure must be standardized so as to ‘limit the discretion of the officer in the field’ (*id.*). While incriminating evidence may be a consequence of an inventory search, it should not be its purpose” (*Johnson*, 1 NY3d at 256).

In short, when determining the validity of an inventory search, “two elements must be examined: first, the relationship between the search procedure adopted and the governmental objectives that justify the intrusion and, second, the adequacy of the controls on the officer’s discretion” (*Galak*, 80 NY2d at 719).

As relevant to the particular case, courts may take judicial notice of the standardized search procedure. While this procedure need not be offered into evidence, a description of what the procedure requires must be proffered.

[2] Here, the People did not sustain their initial burden of establishing a valid inventory search. Although the NYPD has a standardized, written protocol governing inventory searches in its Patrol Guide and the arresting officer testified that he was familiar with it, the People offered no evidence that the police officers conducted this search in accordance with the protocol. Even assuming it was reasonable for the officers to search the immediate area of the passenger compartment of defendant's car for contraband to ensure the safety of the officer driving the car back to the police precinct, the People did not establish the circumstances under which opening and searching a closed trunk or a door panel would be justified under the protocol.

[3] Moreover, our jurisprudence requires that a police officer prepare a meaningful inventory of the contents of an accused's car (*see Johnson*, 1 NY3d at 256; *Galak*, 80 NY2d at 720). Here, although the arresting officer filled out a voucher—a form police officers use to list items held as evidence—and forfeiture paperwork, the People failed to establish that no other items aside from the contraband were found in defendant's vehicle. Our determination is not based on the officer's failure to prepare the inventory search form prescribed under the Patrol Guide protocol. Such an inflexible rule could unnecessarily hamstring police officers in the exercise of their duties. Thus, the failure to use an inventory search form, while a technical defect, is not fatal to the establishment of a valid inventory search as long as (1) the search, in accordance with the “standardized procedure,” is designed to produce an inventory and (2) the search results are fully recorded in a usable format. Simply put, the search at bar was not designed to produce an inventory.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[912 NE2d 1041, 884 NYS2d 662]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WAYNE
DECKER, Appellant.

Argued May 7, 2009; decided June 9, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 6, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Richmond County (Stephen J. Rooney, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Decker, 51 AD3d 686, affirmed.

HEADNOTE**Crimes — Timeliness of Prosecution**

Although the 15-year preindictment delay in defendant's prosecution for murder may have caused some degree of prejudice to defendant, there was no indication that the defense was significantly impaired by the delay and defendant was not deprived of his due process right to prompt prosecution. Notwithstanding that defendant was prosecuted using the same evidence that was available at the time of the murder, the People satisfied their burden of demonstrating that they made a good faith determination not to proceed with the prosecution at that time due to, what was at the time, insufficient evidence. Prosecution was deferred because of the witnesses' fear of testifying against defendant, and the prosecution also wanted to conduct further investigation, given the lack of physical evidence and the fact that the witnesses were drug addicts and many of them had their own convictions or pending criminal cases. By the time of trial, witnesses had overcome their drug addictions and were willing to testify. Defendant remained at liberty on the murder charge until after his indictment and, since he was not arrested during the initial investigation, was not subject to the anguish or public opprobrium often surrounding pending charges. Further, there was no indication that the decision to bring charges was made in anything other than good faith.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 908, 948.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1086,
172:2110, 172:2503.LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 13.2,
18.5.NY JUR 2d, Criminal Law: Procedure §§ 1250, 1298, 1838,
1859.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Due Process; Speedy Trial.

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Query: pre-indictment /2 delay /s due /2 process & good /2 faith /s prosecution

POINTS OF COUNSEL

Law Office of Ronald L. Kuby, New York City (*Ronald L. Kuby* of counsel), for appellant. Wayne Decker's due process rights were violated by the People of the State of New York's decision to wait 15 years to indict. (*United States v Marion*, 404 US 307; *United States v Mejias*, 417 F Supp 585, 552 F2d 435, *cert denied sub nom. Padilla-Martinez v United States*, 434 US 847; *United States v Dukow*, 453 F2d 1328; *People v McCrorey*, 180 Misc 2d 75; *Barker v Wingo*, 407 US 514; *People v Taranovich*, 37 NY2d 442; *People v Blakley*, 34 NY2d 311; *People v LaRocca*, 172 AD2d 628; *People v Vernace*, 96 NY2d 886; *People v Harrison*, 23 AD3d 689.)

Daniel M. Donovan, Jr., District Attorney, Staten Island (*Anne Grady* and *Morrie I. Kleinbart* of counsel), for respondent. The People of the State of New York acted in good faith in instituting the prosecution despite the passage of time; hence, defendant was not denied due process. (*Barker v Wingo*, 407 US 514; *People v Romeo*, 12 NY3d 51; *People v Singer*, 44 NY2d 241; *United States v Gouveia*, 467 US 180; *United States v Marion*, 404 US 307; *People v Taranovich*, 37 NY2d 442; *People v Bryant*, 65 AD2d 333; *United States v Lovasco*, 431 US 783; *People v Lesiuk*, 81 NY2d 485; *Rochin v California*, 342 US 165.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

On December 3, 1987, the body of Victoria Mason was found in her apartment. She had been beaten to death with a baseball bat. Defendant Wayne Decker was the only suspect. Although he was questioned by police at the time, the police found the evidence against him to be of doubtful quality and decided not to prosecute.

The case was reopened 15 years later, in 2002, when the police attempted to get physical evidence through modern scientific techniques. Several items were tested for fingerprints and

the presence of DNA, but did not ultimately yield any further evidence. In the course of the investigation, however, the police reinterviewed the original witnesses and decided to prosecute defendant, using the same evidence that was available in 1987.

Defendant moved to dismiss the indictment based on the lengthy preindictment delay. In response, the Assistant District Attorney (ADA) provided an affirmation stating that the District Attorney's office had decided not to prosecute the case in 1987 because it was based largely upon circumstantial evidence and they wanted to conduct further investigation. The ADA maintained that there were two problems: (1) witnesses were afraid to assist in the investigation or to testify because of defendant's reputation for intimidating and threatening witnesses and (2) the witnesses were drug addicts and many of them had their own convictions or pending criminal cases. Given these factors, the prosecutors determined that they would need additional independent evidence in order to prosecute defendant. By 2002, however, witnesses had overcome their drug addictions and were willing to testify.

Supreme Court denied defendant's motion to dismiss the indictment without a hearing, finding that the 15-year preindictment delay did not deprive defendant of due process of law. Defendant was then convicted of second-degree murder after a jury trial. The Appellate Division affirmed (51 AD3d 686 [2d Dept 2008]). A Judge of this Court granted defendant leave to appeal (11 NY3d 831 [2008]) and we now affirm.

An unjustified delay in prosecution will deny a defendant due process of law (*see People v Staley*, 41 NY2d 789, 791-792 [1977]; *People v Winfrey*, 20 NY2d 138, 143 [1967]). However, "a determination made in good faith to delay prosecution for sufficient reasons will not deprive defendant of due process even though there may be some prejudice to defendant" (*People v Vernace*, 96 NY2d 886, 888 [2001]).* Where there has been extended delay, it is the People's burden to establish good cause (*see People v Singer*, 44 NY2d 241, 254 [1978]).

We have previously identified several factors to be analyzed when determining whether there has been undue delay:

* Notably, this right is somewhat more expansive than the corresponding right under the Federal Constitution. In order to have an indictment dismissed for preindictment delay based on a violation of Fifth Amendment due process, a defendant must show both that the government caused the delay in order to obtain a tactical advantage and that actual prejudice resulted (*see United States v Gouveia*, 467 US 180, 192 [1984]).

“(1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether or not there has been an extended period of pretrial incarceration; and (5) whether or not there is any indication that the defense has been impaired by reason of the delay” (*People v Taranovich*, 37 NY2d 442, 445 [1975]).

Although the *Taranovich* factors specifically applied to a defendant’s right to a speedy trial, they have likewise been employed to determine whether there has been a violation of the due process right to prompt prosecution (*see Vernace*, 96 NY2d at 887; *Staley*, 41 NY2d at 792).

Although not determinative,

“the extent of the delay[] is of critical importance because ‘all other factors being equal, the greater the delay the more probable it is that the accused will be harmed thereby.’ [However, there] is no specific temporal period by which a delay may be evaluated or considered ‘presumptively prejudicial’ ” (*People v Romeo*, 12 NY3d 51, 56 [2009] [citations omitted]).

It is undisputed that the 15-year delay in this case was indeed substantial, a fact that weighs in favor of defendant. On the other hand, a long delay may also work against the prosecution as the passage of time can make it more difficult for the People to meet their burden of proof (*see Vernace*, 96 NY2d at 888).

The People decided to defer prosecution for several reasons, including the witnesses’ fear of testifying against defendant. The prosecution also wanted to conduct further investigation, given the condition of the witnesses and the lack of physical evidence against defendant. The subsequent decision to bring charges, albeit many years later, was not an abuse of the significant amount of discretion that the People must of necessity have, and there is no indication that the decision was made in anything other than good faith.

The underlying charge here is murder, inarguably a very serious offense. In addition, defendant remained at liberty on the murder charge until after his indictment and, since he was not arrested during the initial investigation, was not subject to the anguish (*see Singer*, 44 NY2d at 253 n 2) or public opprobrium often surrounding pending charges (*see Vernace*, 96 NY2d at 888).

Finally, there is no indication that the defense was significantly impaired by the delay. With a 15-year delay, it is likely

that some degree of prejudice will result—given that memories fade, potentially making it more difficult for a defendant to establish an alibi or other defenses. The rehabilitated witnesses definitely made a better appearance at trial than they would have in 1987, but the jury was aware of their past conduct and the witnesses were subject to cross-examination.

Balancing all of these factors, we conclude that defendant was not deprived of his due process right to prompt prosecution. Although the delay may have caused some degree of prejudice to defendant, the People satisfied their burden of demonstrating that they made a good faith determination not to proceed with the prosecution in 1987 due to, what was at the time, insufficient evidence.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[912 NE2d 1044, 884 NYS2d 665]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WAYNE
DAVIS, Appellant.

Argued April 29, 2009; decided June 11, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered May 29, 2008. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (Cesar Quinones, J.H.O.), which had convicted defendant, after a nonjury trial, of violating New York City Parks and Recreation Department Rules (56 RCNY) § 1-03 (c) (2).

People v Davis, 19 Misc 3d 145(A), 2008 NY Slip Op 51127(U), affirmed.

HEADNOTES

Crimes — Trial — Assignment to Judicial Hearing Officer — State Constitution

1. CPL 350.20, which permits class B misdemeanors to be tried and determined by judicial hearing officers (JHOs) “upon agreement of the parties,” does not violate the provision of the New York Constitution establishing the New York City Criminal Court and setting certain qualifications for that court’s judges (NY Const, art VI, § 15 [a]). Consensual JHO adjudication was intended to contribute to the goal of reducing pernicious calendar congestion, thereby fostering the more efficient administration of criminal justice. The jury trial rights of the defendant here, who was charged with a class B misdemeanor, were not threatened, as he would have had a bench trial had the parties not consented to have the matter adjudicated by a JHO. As the Legislature envisioned when enacting CPL 350.20, the trial of defendant’s case represented the sort of referral upon the consent of the parties that has long been permitted in this state. Nothing in article VI, § 15 (a) prohibited the Legislature from enacting CPL 350.20.

Crimes — Trial — Assignment to Judicial Hearing Officer — Due Process

2. CPL 350.20, which permits class B misdemeanors to be tried and determined by judicial hearing officers (JHOs) “upon agreement of the parties,” does not violate the Due Process Clauses of the State or Federal Constitutions. Defendant’s due process interest in his class B misdemeanor prosecution was not that of having his case determined by a “judge,” but rather that of having a fair trial in a fair tribunal. There is nothing in the nature of a consensual JHO adjudication that gives rise to any substantial concern that the presiding JHO would lack the neutrality that is a fundamental command of due process. Prospective JHOs are carefully evaluated prior to appointment for potentially renewable one-year terms and are subject to performance evaluations and removal for unsatisfactory performance. Those and

other safeguards, when combined with the consensual nature of JHO adjudication under CPL 350.20 and the availability of appellate review, adequately protected defendant's due process right to a fair tribunal. Moreover, the governmental interest in ensuring the maintenance of a carefully-vetted, highly-qualified staff of JHOs standing ready to fairly and efficiently adjudicate petty criminal cases is substantial.

Crimes — Trial — Assignment to Judicial Hearing Officer — Validity of Consent

3. The consent to adjudication of defendant's class B misdemeanor trial by a judicial hearing officer (JHO) pursuant to CPL 350.20 was valid, as defense counsel participated fully in the trial held before a JHO without objection and the court file contained a JHO consent form signed by defendant. Unlike other statutes governing waivers of rights in criminal proceedings, CPL 350.20 (1) requires the "parties[]" agreement," not defendant's personal consent. Moreover, the decision whether to agree to JHO adjudication of a petty criminal case represents the sort of tactical decision best left to the determination of counsel. It was not necessary for the trial court to have engaged defendant in an oral colloquy regarding whether he understood the effect of the signed JHO consent form.

Crimes — Information — Sufficiency of Allegations of Violation of New York City Parks and Recreation Department Rules

4. The information charging defendant with being in a New York City park after the park's posted closing time in violation of New York City Parks and Recreation Department Rules (56 RCNY) § 1-03 (c) (2), prepared by the police officer who had observed defendant in the park after hours, was facially sufficient. Although the rule contains qualifying language stating that a person may disregard a park sign "upon order by a Police Officer or designated Department employee," it was not necessary that the information state whether that portion of the rule applied to defendant. The qualifying language was not a true "exception" that must be pleaded by the People, but rather a "proviso" that defendant was required to raise as a bar to prosecution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Constitutional Law §§ 905, 909; AM JUR 2d, Criminal Law §§ 927, 975-978; AM JUR 2d, Indictments and Informations § 109; AM JUR 2d, Judges § 1.
- CARMODY-WAIT 2d, Officers of Court § 3:161; CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:7, 178:18; CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:1, 190:4.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 22.1, 22.4.
- McKINNEY'S, CPL 350.20 (1).
- NY JUR 2d, Constitutional Law §§ 397, 399; NY JUR 2d, Courts and Judges § 469; NY JUR 2d, Criminal Law: Procedure §§ 947, 956, 1543, 2517; NY JUR 2d, References § 23.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Indictments and Informations; Judicial Officers; Jury Trials.

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Amy Donner and Steven Banks of counsel), for appellant. I. Criminal Procedure Law § 350.20 violates New York State Constitution, article VI, § 15 (a)'s requirement that the judges of the citywide court of criminal jurisdiction preside over criminal trials, by delegating judges' exclusive jurisdiction over criminal matters to officers who are not judges, and violates the Due Process Clauses of the Federal and State Constitutions because the final decision on the defendant's guilt or innocence is made by a judicial hearing officer rather than a judge. (*People v Scalza*, 76 NY2d 604; *United States v Raddatz*, 447 US 667; *LaRossa, Axenfeld & Mitchell v Abrams*, 62 NY2d 583; *Mathews v Eldridge*, 424 US 319; *People v Flynn*, 79 NY2d 879; *People v Burwell*, 53 NY2d 849; *People v Holt*, 182 Misc 2d 919.) II. Appellant did not validly waive his right to adjudication before a Criminal Court judge, where the court—a judicial hearing officer—never ascertained whether appellant understood he was consenting to adjudication before a judicial hearing officer by allegedly signing a written waiver form. (*People v Scalza*, 76 NY2d 604; *Taylor v Illinois*, 484 US 400; *People v Ahmed*, 66 NY2d 307; *People v Parisi*, 276 NY 97; *Johnson v Zerbst*, 304 US 458; *People v De Jesus*, 42 NY2d 519; *People v Moreno*, 70 NY2d 403; *People v Brown*, 24 NY2d 168; *People v Ahmed*, 66 NY2d 307; *People v Patterson*, 39 NY2d 288.) III. An accusatory instrument alleging a violation of a Parks and Recreation Department Rules provision containing exclusionary language was jurisdictionally defective where it failed to allege any factual allegations to establish that the exclusion did not apply to appellant. (*People v Case*, 42 NY2d 98; *People v Santana*, 7 NY3d 234; *People v Dumas*, 68 NY2d 729; *People v Kohut*, 30 NY2d 183; *People v Alejandro*, 70 NY2d 133; *People v Hall*, 48 NY2d 927; *People v Casey*, 95 NY2d 354; *People v Zambounis*, 251 NY 94; *People v Rodriguez*, 113 AD2d 337, 68 NY2d 674; *People v Devinny*, 227 NY 397.)

Charles J. Hynes, District Attorney, Brooklyn (Lori Glachman and Leonard Joblove of counsel), for respondent. I. Defendant's claim that CPL 350.20 is unconstitutional is without merit. (*Weems v United States*, 217 US 349; *People v Tichenor*, 89 NY2d 769; *Glass v Thompson*, 51 AD2d 69; *Matter of Met Council v Crosson*, 84 NY2d 328; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *People v Scalza*, 76 NY2d 604; *Carson v Thompson*, 77 Misc 2d 872, 51 AD2d 692; *Matter of Rosenthal v Hartnett*, 36 NY2d 269; *Matter of Dolce v Nassau County Traffic & Parking Violations Agency*, 7 NY3d 492; *Commodity Futures Trading Comm'n v Schor*, 478 US 833.) II. Defendant failed to preserve for appellate review his claim that the procedure employed in obtaining his agreement to be tried by a judicial hearing officer was invalid. In any event, the claim is meritless. (*People v Magnano*, 77 NY2d 941; *People v Lumpkins*, 11 AD3d 563; *People v Holt*, 182 Misc 2d 919; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Jackson*, 87 NY2d 782; *People v Scalza*, 76 NY2d 604; *New York v Hill*, 528 US 110; *United States v Olano*, 507 US 725; *People v Colon*, 90 NY2d 824; *People v Ferguson*, 67 NY2d 383.) III. The information was facially sufficient. (*People v Konieczny*, 2 NY3d 569; *People v Alejandro*, 70 NY2d 133; *People v Dumas*, 68 NY2d 729; *People v Devinny*, 227 NY 397; *Harris v White*, 81 NY 532; *Fleming v People*, 27 NY 329; *People v Santana*, 7 NY3d 234; *People v Sylla*, 7 Misc 3d 8; *People v Campbell*, 6 Misc 3d 130[A], 2005 NY Slip Op 50064[U]; *People v Bradford*, 227 NY 45.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal arising out of defendant's conviction for failure to comply with a posted sign indicating a New York City park's closing time, we conclude that Criminal Procedure Law § 350.20, which permits class B misdemeanors to be tried and determined by judicial hearing officers (JHOs) "upon agreement of the parties," is constitutional and that the parties' agreement to engage in JHO adjudication here—as evidenced by a signed consent form and defense counsel's participation in the JHO proceeding—was valid. In addition, we apply the standard of common sense and reasonable pleading and hold that the People's information was sufficient.

I.

An information charged defendant with violating New York City Parks and Recreation Department Rules (56 RCNY) § 1-03

(c) (2), which prohibits persons from being in city parks after their posted closing times (*see* 56 RCNY 1-03 [c] [2]). Although the rule contains qualifying language stating that a person may disregard a park sign “upon order by a Police Officer or designated Department employee” (*id.*), the information—which was prepared by a police officer—did not state whether that portion of the rule applied to defendant. Rather, it indicated that the officer had observed defendant in Brooklyn’s Betsy Head Park at 2:06 A.M., on December 15, 2005, despite the fact that a park sign stated a closing time of 9:00 P.M. Violation of rule 1-03 (c) (2) is punishable as a class B misdemeanor (*see* 56 RCNY 1-07 [a]; Penal Law § 70.15 [2]), the maximum penalty for which is 90 days’ imprisonment and a \$1,000 fine (*see* 56 RCNY 1-07 [a]).

On February 16, 2006, defendant—represented by counsel—was arraigned and pleaded not guilty. The court informed defendant that he would need to return for trial and that he would receive certain “paper work.” Contained in defendant’s Criminal Court file is a form entitled “CONSENT TO ADJUDICATION BEFORE A JUDICIAL HEARING OFFICER (JHO).” Although the form explained that defendant’s case was being referred to a JHO for “trial and/or final disposition and sentence,” it explicitly stated that defendant had “the right to adjudicate this case before a Criminal Court judge.” Further, the form listed the scope of the JHO’s authority as derived from CPL 350.20. Thus, it stated that

“[t]he Judicial Hearing Officer who adjudicates this case will:

“a) determine all questions of law; and

“b) act as the exclusive trier of all issues of fact;
and

“c) render a verdict; and

“d) impose a sentence if required.”

Accordingly, the form indicated that the JHO presiding over defendant’s class B misdemeanor trial “shall have the same powers as a Criminal Court judge and any action taken by the Judicial Hearing Officer shall be deemed the action of the Criminal Court.” The form also stated that defendant would have the right to seek an appeal from the JHO’s decision in his case in the same manner as he would had it been tried by a Criminal

Court judge. Finally, immediately above its signature line, the form clarified that “[b]y signing this form[,] you hereby consent to having your case adjudicated before a Judicial Hearing Officer.”

Defendant apparently signed the JHO consent form.¹ With the assistance of counsel, he proceeded to trial before a JHO and was convicted of violating the relevant Parks Department rule based on the testimony of the observing officer. During trial, defendant did not attempt to prove that he had been granted permission by a police officer or Parks Department employee to remain in Betsy Head Park past its posted closing time. On April 17, 2006, he was sentenced to a \$75 fine or 10 days in jail. Approximately nine months later, he was resentenced to time served.

The Appellate Term affirmed (19 Misc 3d 145[A], 2008 NY Slip Op 51127[U]). The court held that the People were not required to plead that the qualifying language in 56 RCNY 1-03 (c) did not apply to defendant. Further, the court concluded that defendant had given a valid consent to JHO adjudication that was supported by his counsel’s participation—without objection—in defendant’s trial before a JHO. A Judge of this Court granted defendant leave to appeal (11 NY3d 787 [2008]) and we now affirm.

II.

We have previously examined the legislative history of the 1983 enactment (*see* L 1983, ch 840, § 11) codifying CPL 350.20 (*see People v Scalza*, 76 NY2d 604, 608 [1990]). The goal of this legislation was to utilize the services of highly-qualified retired judges, or JHOs, to alleviate the backlog and delay that had begun to “seriously cripple[]” our State’s court system and had “undermine[d] public confidence in the fairness of justice in our

1. Before the Appellate Term, defendant seemed to acknowledge in his brief that the signature on the form was his own by arguing that “although appellant signed a form purporting to consent to adjudication by a Judicial Hearing Officer” the trial court erred in failing to elicit his consent on the record. In the same brief, though, defendant complained that the trial court had not inquired whether the “signature was his signature” or whether he understood the meaning or significance of his consent to adjudication before a JHO. In his present appeal, defendant refers to the signature on the consent form as a “purported” one. Putting aside defendant’s ostensibly shifting positions on the authenticity of the signature on the JHO consent form, there is nothing in the record to indicate that the signature is not defendant’s and, as such, we will presume that it was.

state” (see Report of Committee to Utilize the Services of Retired Judges, Bill Jacket, L 1983, ch 840, at 60 [hereinafter Retired Judges Report]). One of the ways in which the Legislature sought to alleviate these problems was by granting judges the discretionary authority to assign class B and unclassified misdemeanors to JHOs for adjudication “upon agreement of the parties” (see CPL 350.20 [1]). In such capacity, JHOs would act as a court (see CPL 350.20 [1]-[3]). Thus, with consent of the litigants, JHOs would be empowered to “(a) determine all questions of law; (b) act as the exclusive trier of all issues of fact; and (c) render a verdict” (see CPL 350.20 [1] [a]-[c]). Consensual JHO adjudication was intended to contribute to the goal of reducing pernicious calendar congestion, thereby fostering the more efficient administration of criminal justice (see Retired Judges Report, Bill Jacket, L 1983, ch 840, at 74). The question we must now decide is whether CPL 350.20’s pursuit of this worthy goal comports with the State and Federal Constitutions. For the reasons set forth below, we hold that it does.

III.

Defendant mounts two facial attacks against the constitutionality of CPL 350.20. He contends that it violates New York Constitution, article VI, § 15 (a) which provides for the establishment of the New York City Criminal Court and sets certain qualifications for that court’s judges.² Defendant also argues that he has both a federal and state due process right to adjudicate his class B misdemeanor case before a Criminal Court judge and that CPL 350.20 improperly abridges that right.

To succeed in these arguments, defendant must shoulder a “substantial burden” (see *People v Scalza*, 76 NY2d 604, 607 [1990]). Duly enacted statutes enjoy a “presumption of constitutionality” (see *id.*; *Dalton v Pataki*, 5 NY3d 243, 255 [2005]). Thus, a party who asserts that a statute is facially unconstitutional must demonstrate “beyond a reasonable doubt” that the statute suffers from “wholesale constitutional impairment” (see *Matter of E.S. v P.D.*, 8 NY3d 150, 158 [2007], quoting *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003] [internal quotation marks omitted]; accord *Scalza*, 76 NY2d at 607 [“The substantial burden of proving unconstitutionality beyond a reasonable doubt rests with a statute’s

2. Article VI, § 15 (c) specifies the range of the Criminal Court’s jurisdiction.

antagonist’’)). Each prong of defendant’s dual facial challenge fails to meet this exacting standard.

Defendant’s article VI, § 15 (a) argument is premised almost entirely on our decision in *Scalza*. In that case, we dealt with CPL 255.20 (4), which permits a court to refer any pretrial motion in a criminal case to a JHO for the preparation of a report setting forth the JHO’s proposed findings of fact and conclusions of law (*see Scalza*, 76 NY2d at 606). Such referral may be made without consent of the parties and the court retains power to accept, reject, or modify the JHO’s findings or even to review the motion de novo (*see id.* at 609). The defendant in *Scalza* argued that the nonbinding referrals authorized by CPL 255.20 (4) were unconstitutional under article VI, §§ 10 and 11 of the New York Constitution (*see id.*). We rejected that argument based on the lack of any “express or implied prohibitory language” in those constitutional provisions that would prevent the Legislature from authorizing nonconsensual JHO referrals to report (*see id.*). As we explained, sections 10 and 11 “provide essentially for the organization and jurisdiction of County Courts” (*id.*).

The same is true of article VI, § 15 (a). It requires the Legislature to establish “a single court of city-wide criminal jurisdiction in and for the city of New York” and mandates that the judges comprising that court be New York City residents, who are appointed by the City’s mayor to serve 10-year terms (NY Const, art VI, § 15 [a]).³ It does not speak to whether the Legislature may establish different tribunals with concurrent jurisdiction or whether it may authorize litigants to resort to those tribunals upon their agreement. Nonetheless, defendant maintains that article VI, § 15 (a) somehow precludes the Legislature from authorizing a JHO to determine a class B misdemeanor case when all parties consent to such adjudication. Defendant points to nothing in the express text of section 15 (a) to support this argument. Nor have we been able to locate any additional interpretative support for it (*see* 4th Ann Rep of NY Jud Conf, Comment, at 92-93 [1959] [indicating that main purpose of section 15 (a) was to achieve administrative efficiency]; *see also* Carter, New York State Constitution: Sources of Legislative Intent, at 64-65 & n 1 [2d ed]; NY CLS, Book 42A, NY Const art VI, Note [“The purpose of new Art(icle) 6 was to establish a unified court system’’]).

3. Additional criteria for service on the City’s Criminal Court are set forth in subsequent sections of article VI (*see* NY Const, art VI, §§ 20, 25).

Defendant is, therefore, forced to rely on certain statements drawn from *Scalza*. Thus, he points to our recognition of the trial court’s “nondelegable and exclusive authority to decide” a suppression motion referred to a JHO (see *Scalza*, 76 NY2d at 608), our acknowledgment that during the referral period that court “holds the tether on the case” (*id.* at 609), and our statement that “CPL 255.20 (4) . . . does not undermine or diminish the court’s exclusive power to decide” (*id.*). But as the People correctly assert, defendant’s constitutional argument divorces these statements from the context in which they were rendered.

At its outset, *Scalza* held that because the trial court retained the ultimate authority to determine a suppression motion after referral to a JHO “no unauthorized or unconstitutional diversion of the trial court’s exclusive jurisdiction and responsibility to decide is threatened” (76 NY2d at 607). Thus, the *Scalza* Court was not confronted, as we are here, with a situation in which the Legislature acted expressly to permit JHOs to exercise jurisdiction concurrent with that of a Criminal Court judge in cases where the litigants expressly agree to JHO adjudication of a class B misdemeanor.

As noted earlier, a key piece of section 350.20’s legislative history is the Retired Judges Report. In that report, the Committee, under the direction of then-Chief Judge Lawrence Cooke, recognized that “the hearing of minor matters in their entirety by retired judges would free lower-court judges to try more significant matters” (Bill Jacket, L 1983, ch 840, at 74). It thus recommended that JHOs “be authorized to hear and determine, with the consent of the parties, minor criminal matters not requiring a jury” (*id.*). When JHOs were utilized in “this restricted fashion,” the Committee did “not foresee any constitutional problems” (*id.*).

To support its constitutional analysis, the Committee cited the Appellate Division’s decision in *Glass v Thompson* (see Bill Jacket, L 1983, ch 840, at 87 n 31, citing 51 AD2d 69 [2d Dept 1976]). In *Glass*, the court considered an article VI, § 15 challenge to the legislation granting hearing officers—subsequently renamed Housing Court Judges—authority to hear and determine summary proceedings in the Housing Part of the New York City Civil Court (see 51 AD2d at 70). The court had “no problem[]” concluding that the legislation was constitutional (*id.* at 72). Analogizing hearing officers to “referees” who had been traditionally empowered to hear and determine certain classes of disputes, the court held that section 15 “creates the

Civil Court and specifies the method by which its Judges are to be selected; it does not prohibit references” (*see id.* at 72-73). *Glass* further recognized that the Legislature had authority to provide that certain matters be referred to expert nonjudicial officers even without the litigants’ consent so long as the parties’ guaranteed constitutional rights, such as the right to trial by jury, were not violated (*see id.* at 76).

We, too, have cited *Glass* with approval (*see Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175, 185 [1990]; *Matter of Met Council v Crosson*, 84 NY2d 328, 333 [1994]). Indeed, we did so in upholding the New Car Lemon Law, which gave consumers the option of bypassing a Supreme Court civil action by compelling manufacturers to arbitrate claims arising out of alleged car defects (*Motor Veh.*, 75 NY2d at 185). Here, we do not deal with such a “compulsory reference[]” to a JHO (*see Motor Veh.*, 75 NY2d at 185), but with one that is consented to by defendant and the People. Moreover, as in *Glass* and *Motor Vehicle*, defendant’s jury trial rights are not threatened since—absent consent to JHO referral—this class B misdemeanor proceeding would have been adjudicated in a bench trial (*see* CPL 340.40 [2]; Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 340.40, at 195 [“(T)here is no constitutional requirement—federal or state—of a jury trial for offenses punishable by 6 months or less’’]). Thus, as the Legislature envisioned, the trial of defendant’s case represented the sort of referral upon the consent of the parties that has long been permitted in this state (*see Glass*, 51 AD2d at 75; *see also Motor Veh.*, 75 NY2d at 185; CPLR 4317 [a] [“The parties may stipulate that any issue shall be determined by a referee’’]).

[1] It is clear that “[l]egislation which affects the jurisdiction” of a trial court is “not necessarily void” (*Motor Veh.*, 75 NY2d at 184). Indeed, in *Matter of Dolce v Nassau County Traffic & Parking Violations Agency* (7 NY3d 492 [2006]), we held that the Legislature had authority to confer jurisdiction over certain traffic and parking prosecutions to an administrative arm of the Nassau County District Court staffed by JHOs (*see id.* at 495-496 & n 2). Such jurisdiction was proper even though JHO adjudication was permitted “without consent of the parties” (*see id.* at 495, citing CPL 350.20 [5]). Thus, here, where consent is a prerequisite to JHO adjudication, we have little difficulty concluding that nothing in article VI, § 15 (a) prohibited the Legislature from enacting CPL 350.20.

[2] Defendant also asserts a violation of the Federal and State Due Process Clauses. To evaluate these claims, we must balance “the interests of the parties to the dispute, the adequacy of the contested procedures to protect those interests, and the government’s stake in the outcome” (see *Scalza*, 76 NY2d at 610 [internal quotation marks omitted]; *People v Thompson*, 90 NY2d 615, 621 [1997]; see also *United States v Raddatz*, 447 US 667, 677 [1980], citing *Mathews v Eldridge*, 424 US 319, 335 [1976]). We agree with the People that an application of these factors demonstrates that CPL 350.20 easily passes constitutional muster.

Initially, defendant incorrectly asserts that his due process interest is that of having his class B misdemeanor case determined by a “judge.” But what defendant is actually entitled to is a “fair trial in a fair tribunal” (see *Friedman v State of New York*, 24 NY2d 528, 542 [1969], quoting *In re Murchison*, 349 US 133, 136 [1955]; *People v Moore*, 42 NY2d 421, 431 [1977]). Defendant was charged with a “petty offense” or one which authorizes a period of incarceration of six months or less (see *Duncan v Louisiana*, 391 US 145, 160 [1968]; *Baldwin v New York*, 399 US 66, 73 [1970]; *Blanton v North Las Vegas*, 489 US 538, 543 [1989]). Indeed, in the absence of CPL 350.20 his case would have proceeded to a bench trial before a Criminal Court judge (see CPL 340.40 [2]; *People v Urbaez*, 10 NY3d 773, 775 [2008]). Defendant points to nothing in the nature of a consensual JHO adjudication that gives rise to any substantial concern that the presiding JHO would lack the neutrality that is a fundamental command of due process (see *Marshall v Jerrico, Inc.*, 446 US 238, 242 [1980]).

The breadth of defendant’s interest here is further circumscribed by the critical fact that the Legislature has carefully provided that JHOs may only be assigned to adjudicate class B misdemeanors “upon agreement of the parties” (CPL 350.20 [1]).⁴ But defendant says that consensual JHO references in class B misdemeanor cases violate due process unless a Crimi-

4. In this respect, our Legislature has accorded defendants in petty criminal cases more statutory protection than that offered under federal law, which permits federal magistrates to try all petty criminal cases without the defendant’s consent (see 18 USC § 3401 [b] [“Any person charged with a misdemeanor, *other than a petty offense* may elect . . . to be tried before a district judge for the district in which the offense was committed” (emphasis added)]; 18 USC §§ 19, 3559 [a] [7]; see also *United States v Rivera-Negron*, 201 FRD 285, 288-289 [D PR 2001], citing *United States v McCrickard*, 957 F Supp 1149 [ED Cal 1996] [rejecting constitutional challenge to section 3401 (b)]).

nal Court judge is required to pass upon the result reached by a JHO before rendering a final determination. Although this Court and the U.S. Supreme Court have concluded that the nonconsensual referral of a pretrial suppression motion comports with due process because a judge retains ultimate authority to decide the motion after the referral is completed (*see Scalza*, 76 NY2d at 609-610; *Raddatz*, 447 US at 680), these holdings do not control where, as here, a referral to a JHO to decide a petty criminal case is made upon consent of the parties.⁵

In this regard, the U.S. Supreme Court's holdings in *Gomez v United States* (490 US 858 [1989]) and *Peretz v United States* (501 US 923 [1991]) are instructive. Both cases concerned the question whether the "additional duties" clause of the Federal Magistrates Act (18 USC § 636 [b] [3]) permitted a district judge to assign a federal magistrate to preside over jury selection in a felony trial. In *Gomez*, the court answered that question in the negative (*see* 490 US at 875-876). But in *Peretz*, it reached the opposite conclusion because, unlike in *Gomez*, defense counsel had consented to the magistrate's participation in voir dire (*see* 501 US at 933). As the Court explained, "the defendant's consent significantly changes the constitutional analysis" (*see id.* at 932). We agree and perceive no due process problem with CPL 350.20 since it only allows for the adjudication of class B misdemeanors—a type of petty crime—upon the express consent of the parties (*cf. Peretz*, 501 US at 936 ["There is no constitutional infirmity in the delegation of felony trial jury selection to a magistrate when the litigants consent"]; *see also id.* at 933 [noting that "with the parties' consent, a district judge may delegate to a magistrate supervision of entire civil and misdemeanor trials"]).

We likewise conclude that CPL 350.20's consensual JHO adjudication procedure adequately protects defendant's interest in a fair trial. Before their appointment, prospective JHOs are carefully evaluated by the Chief Administrator of the Courts to ensure that they possess the "physical and mental capacity, competence, work ethic, experience and judicial temperament necessary to perform the duties of a judicial hearing officer, and [are] well qualified to serve on the panels in the courts to which [they] will be designated" (*see* 22 NYCRR 122.2 [a]; *see also Ju-*

5. *Scalza*, of course, dealt with a statutory provision potentially applicable in felony prosecutions (*see* CPL 255.20 [4]).

diciary Law § 850). If deemed fit for service, JHOs are: appointed for potentially renewable one-year terms (*see* 22 NYCRR 122.3, 122.3-b), subject to performance evaluations (*see* 22 NYCRR 122.3-a), assigned as necessary to “panels” of particular courts based upon the determination of the Chief Administrator (*see* 22 NYCRR 122.5), assigned to preside over particular matters or court parts based upon a variety of factors including their “previous experience and expertise” (*see* 22 NYCRR 122.6 [a]-[b]), and subject to removal “for unsatisfactory performance or for any conduct incompatible with service as a judicial hearing officer” (*see* 22 NYCRR 122.5 [e]). These and other safeguards (*see generally* 22 NYCRR part 122), when combined with the consensual nature of JHO adjudication under CPL 350.20 and the availability of appellate review (*see* CPL 350.20 [3]), persuade us that the statute under review adequately protects defendant’s due process right to a fair tribunal in which to adjudicate this petty criminal case.

As to the relevant governmental interest, CPL 350.20’s legislative history makes plain the detrimental effects that congestion and backlog in our State’s courts can have upon the administration of justice (*see* Retired Judges Report, Bill Jacket, L 1983, ch 840, at 60, 74-75). Indeed, such delay represents a “recognized evil to the fair administration of the criminal justice system” (*see Scalza*, 76 NY2d at 604; *cf. Urbaez*, 10 NY3d at 775 [“Especially in New York City, with its high volume of misdemeanor cases, (CPL 340.40 [2]) furthers the important public interest of effective judicial administration”]). Thus, the governmental interest in ensuring the maintenance of a carefully-vetted, highly-qualified staff of JHOs standing ready to fairly and efficiently adjudicate petty criminal cases is substantial and further supports our conclusion that defendant’s facial due process challenge to CPL 350.20 cannot succeed.

It is important to emphasize that the nature of this case requires us to leave certain questions for another day. Among the issues not now before us is whether the Legislature could empower a non-judge, without a defendant’s consent, to adjudicate even a petty criminal case in which—as in this one—imprisonment is a possible outcome (*cf. Matter of Rosenthal v Hartnett*, 36 NY2d 269, 271 [1975] [approving administrative adjudication of traffic infractions “where such determination may result in the imposition of a fine but not imprisonment”]). Nor do we decide whether trials of felony or class A misdemeanors may be assigned to a non-judge even though a defendant

has consented to such adjudication and waived the right to a jury trial. Although we hold that CPL 350.20 is constitutionally valid, our holding is necessarily limited by the particular statutory and factual context that we consider here. There are unquestionably constitutional limits on the extent to which the Legislature can assign the task of adjudicating criminal cases to individuals who are not judges or justices. We have never decided, and do not now decide, exactly what those limits are; we only hold that they have not been exceeded here.

IV.

Next, defendant contends that the consent to JHO adjudication was ineffective because the trial court did not engage him in an oral colloquy regarding whether he understood the effect of the signed JHO consent form. As an initial matter, unlike other statutes governing waivers of rights in criminal proceedings, CPL 350.20 requires the “parties[’] agreement,” not defendant’s personal consent (*compare e.g.* CPL 270.35 [1] [“defendant” must consent in writing and in open court to replacement of juror by alternate juror during deliberations]; CPL 320.10 [1]-[2] [specifying procedure by which “defendant” may waive right to jury trial]). More significantly, though, defendant was represented by counsel. And “[i]t is well established that a defendant, ‘having accepted the assistance of counsel, retains authority only over certain fundamental decisions regarding the case’ such as ‘whether to plead guilty, waive a jury trial, testify in his or her own behalf or take an appeal’ ” (*see People v Colon*, 90 NY2d 824, 825-826 [1997]).

[3] We hold that the decision whether to agree to JHO adjudication of a petty criminal case represents the sort of “tactical decision” best left to the determination of counsel (*cf. Gonzalez v United States*, 553 US 242, —, 128 S Ct 1765, 1770 [2008]). Such decision turns upon a myriad of case-specific factors that a lawyer is well-suited to assess, including the practices of members of the JHO panel in the relevant jurisdiction, the likelihood that JHO adjudication will be more expeditious and therefore beneficial to the defendant, and the potential for having assigned to the defendant’s trial a JHO before whom counsel has previously had a favorable experience (*cf. People v Ferguson*, 67 NY2d 383, 390 [1986]; *Gonzalez*, 553 US at —, 128 S Ct at 1770). Here, defense counsel participated fully in a trial held before a JHO without objection and the Criminal Court file contains a JHO consent form signed by defendant. We think

that the consent to JHO adjudication was sufficient for present purposes.

V.

Lastly, defendant argues that the accusatory instrument was jurisdictionally defective. The facial sufficiency of the People's information (*see* CPL 100.40 [1]; 100.15 [3]) turns upon whether the statement "except such sign may be disregarded upon order by a Police Officer or designated Department employee" as found in the Parks Department rule that defendant was convicted of violating is, as defendant argues, a true "exception" that must be pleaded by the People or whether it operates as a "proviso" that defendant was required to raise as a bar to prosecution (*see* 56 RCNY 1-03 [c] [2]; *People v Santana*, 7 NY3d 234, 236 [2006]). Although the murky contours of "exceptions" and "provisos" have long been the subject of debate (*see People v Bradford*, 227 NY 45, 48 [1919]; *People v Devinny*, 227 NY 397, 401 [1919]; *Santana*, 7 NY3d at 236-237), we continue to utilize those ancient labels.

The main goal of the interpretative rules governing exceptions and provisos is to discover the intention of the enacting body (*see Santana*, 7 NY3d at 237; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 211, Comment, at 369 ["(T)he distinction between a proviso and an exception will be wholly disregarded, if necessary to give effect to the manifest intention of the Legislature"]). Thus, the fact that rule 1-03's qualifying language is introduced by "except" is not determinative (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 211, Comment, at 370). In *Santana*, we applied the general rule that qualifying language found outside the text of a relevant Penal Law provision is in the nature of a "proviso" (*see* 7 NY3d at 237), but our ultimate conclusion was premised on the belief that the Legislature could not reasonably have intended the People to negate the existence of each of the myriad labor disputes delineated in Judiciary Law § 753-a in a prosecution for criminal contempt based on the defendant's violation of an order of protection prohibiting him from residing in an apartment (*see id.*).

[4] Here, we conclude that, as a matter of common sense and reasonable pleading (*see Devinny*, 227 NY at 401; *accord Santana*, 7 NY3d at 237), the City's Parks Department did not intend that the People plead and prove that no police officer or Parks Department employee had authorized defendant to ignore

a posted closing time. Such information is uniquely within a defendant's knowledge, and to require the People to plead and negate the existence of the relevant permission would require them to go to "intolerable lengths," including innumerable interviews of officers and employees in the area during the date in question (*see id.*). These efforts would serve "[n]o useful purpose of narrowing issues or giving notice," but would merely give rise to "technicalitie[s] that] could be used belatedly to stifle an otherwise viable prosecution" (*cf. People v Kohut*, 30 NY2d 183, 191 [1972]). As such, we hold that the Parks Department intended the police officer/department employee qualifying language to operate as a "proviso" that must be pleaded and proved by the defendant.

We conclude that defendant's constitutional arguments must fail, the consent to JHO adjudication was valid, and that defendant's claim as to the jurisdictional deficiency of the accusatory instrument is meritless, as are his remaining contentions. Accordingly, the order of the Appellate Term should be affirmed.

JONES, J. (dissenting). I join in Judge Ciparick's opinion except as to section IV, from which I dissent.

Criminal Procedure Law § 350.20 permits the trial of an information by a judicial hearing officer. This statute provides that "the court may, upon agreement of the parties, assign a judicial hearing officer to conduct the trial" (*id.*). Inasmuch as there is no basis for a finding of a knowing waiver by defendant of the right to a trial by a judge, I would reverse this conviction.

The Legislature enacted this provision to ameliorate the pernicious effects that the congestion and backlog of cases in our state's courts can have on the administration of justice. The majority tells us that under this statute a defendant's interest in a fair trial is protected because the defendant consents to trial by a judicial hearing officer. Where that consent is given, I agree. However, the short shrift given to the procedural safeguards in this case precludes a finding of consent.

To show that the defendant waived his right to be tried by a judge of the Criminal Court, the People and the majority rely on a form found in the court file which purports to be signed by the defendant. This form is neither dated, nor witnessed by the court, a court clerk or counsel. In addition, and more importantly, it is not mentioned on the record by the defendant, the attorney, the court clerk or the court. Even assuming defendant

signed the form there is nothing in the record to show that he knew what he was signing.

The majority says there was no need here for any colloquy between the court and the defendant because the statute merely requires “agreement of the parties” for a waiver, not a personal waiver by defendant. However, we must ask who is the “party” in this case, if it is not the defendant. There is no written waiver purported to be signed by any of the three different lawyers who appeared on behalf of defendant prior to his trial and conviction. Neither is there any record of an oral waiver of defendant’s right to be tried by a judge by any of the lawyers who represented defendant. I agree that defendant could waive his right *through* counsel, and I would not require elaborate formalities to accomplish that. But the waiver must at least be mentioned on the record in defendant’s presence, to provide some assurance that defendant knew he was giving up the right to be tried by a judge.

The majority points out the various waivers and rights encountered in criminal proceedings from replacing a juror with an alternate juror (CPL 270.35 [1]) to waiver of a right to a jury trial (CPL 320.10). Some waivers must be done by defendant, in writing and in open court, and others may be done by counsel, on behalf of the defendant. However, the one common element is that they are memorialized on the record in open court. This is the way lawyers communicate when representing a client in the exercise of a fundamental right.

The majority asserts that the decision to waive a trial by a judge and proceed before a judicial hearing officer is a decision to be made by counsel. There is no authority to support that position; indeed, the Criminal Court form used to communicate the waiver is to be signed by a defendant alone. Further, the majority surmises that an experienced defense counsel makes a “tactical decision” to try a case before a judicial hearing officer. This reasoning overlooks the fact that in New York City Criminal Courts, attorneys from the 18-B Panel may be assigned on a per diem basis to a particular court part to handle all of the cases that are on the court calendar for the day. In fact, defendant was represented by no less than five different attorneys during the pendency of this matter.

As in all other waivers that occur in criminal proceedings, there is no need for a particular catechism. Nevertheless, there must be record evidence of a knowing, voluntary and intelligent

waiver of the right to a trial by a judge. Here, the complete absence of such record evidence requires reversal.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur with Judge CIPARICK; Judge JONES dissents and votes to reverse in a separate opinion in which Judge SMITH concurs.

Order affirmed.

[915 NE2d 593, 886 NYS2d 648]

JIOVON ANONYMOUS, an Infant, by His Father and Legal Guardian, THOMAS ANONYMOUS, et al., Respondents, v CITY OF ROCHESTER et al., Appellants.

Argued April 28, 2009; decided June 9, 2009

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 10, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Monroe County (Thomas M. Van Strydonck, J.), which had denied plaintiffs' motion for judgment declaring that Code of the City of Rochester chapter 45, §§ 45-3, 45-5 and 45-6 were unconstitutional and for an injunction enjoining defendants from enforcing that chapter, and granted defendants' motion to dismiss the complaint; (2) denied defendants' motion; (3) reinstated the complaint; (4) granted plaintiffs' motion; (5) granted judgment in favor of plaintiffs declaring that chapter 45 of the Code of the City of Rochester was unconstitutional under the United States and New York Constitutions; and (6) enjoined defendants from enforcing chapter 45 of the Code of the City of Rochester.

Anonymous v City of Rochester, 56 AD3d 139, affirmed.

HEADNOTES

Appeal — Academic and Moot Questions

1. An action challenging the validity of a city ordinance which established a nighttime curfew for minors under the age of 17 was not rendered moot when plaintiff turned 17, because he could still be detained under the curfew if, to a police officer, he appeared to be under 17 and failed to offer proof of his age.

Constitutional Law — Validity of Ordinance — Juvenile Curfew

2. A city ordinance establishing a juvenile nighttime curfew violated plaintiff minor's federal and state constitutional due process rights to freedom of movement, and plaintiff parent's federal and state constitutional due process rights to control the upbringing of his children. Notwithstanding that the City, pursuant to its broad police powers, had the authority to enact a curfew ordinance, the ordinance was constitutionally infirm under the applicable intermediate scrutiny analysis, pursuant to which defendants were required to show that the ordinance was substantially related to the achievement of important government interests. While defendants' governmental interest was to prevent minors from perpetrating and becoming victims of crime during nighttime hours, the proof offered by the City failed to support the aims of the curfew. The incidents that led to the enactment of the ordinance, the deaths of three minors, would not have been prevented by the curfew and thus did not

provide the necessary nexus between the curfew and the ordinance's stated purpose. Further, the crime statistics produced by defendants did not support the objectives of the curfew. Moreover, the curfew imposed an unconstitutional burden on a parent's substantive due process rights because it failed to offer parents enough flexibility or autonomy in supervising their children. An exception allowing for parental consent to the activities of minors during curfew hours is of paramount importance to the due process rights of parents. Absent such exception, the challenged curfew was not substantially related to the stated goals of promoting parental supervision.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 146, 147, 329, 333-335, 614, 617, 852; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 315, 319, 320, 331-333, 433, 434.

NY JUR 2d, Constitutional Law §§ 51-53, 212, 217-219, 228, 367; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 236, 243, 291, 296, 303-308.

ANNOTATION REFERENCE

Validity, construction, and effect of juvenile curfew regulations. 83 ALR4th 1056.

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POINTS OF COUNSEL

Thomas S. Richards, Corporation Counsel, Rochester (Jeffrey Eichner and Michele Romance Crain of counsel), for appellants. I. The City of Rochester has authority to adopt a curfew ordinance. II. The curfew ordinance is consistent with the Family Court Act and Penal Law. (*Matter of Shannon B.*, 70 NY2d 458; *Matter of Bernard G.*, 247 AD2d 91; *Santosky v Kramer*, 455 US 745; *Matter of Terrence G.*, 109 AD2d 440; *Matter of D'Angelo H.*, 184 AD2d 1039; *Matter of Marrhonda G.*, 81 NY2d 942; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500.) III. The curfew meets equal protection requirements. (*Ramos v Town of Vernon*, 353 F3d 171; *Buzzetti v City of New York*, 140 F3d 134; *People ex rel. Wayburn v Schupf*, 39 NY2d 682; *Adarand Constructors, Inc. v Pena*, 515 US 200;

Plyler v Doe, 457 US 202; *Gregory v Ashcroft*, 501 US 452; *Wengler v Druggists Mut. Ins. Co.*, 446 US 142; *United States v Coleman*, 166 F3d 428; *Bellotti v Baird*, 443 US 622; *Hutchins v District of Columbia*, 188 F3d 531.) IV. Other curfew decisions support the City of Rochester curfew. (*Ramos v Town of Vernon*, 353 F3d 171; *Qutb v Strauss*, 11 F3d 488, *cert denied sub nom. Qutb v Bartlett*, 511 US 1127; *Schleifer by Schleifer v City of Charlottesville*, 159 F3d 843, 526 US 1018; *Ginsberg v New York*, 390 US 629; *Craig v Boren*, 429 US 190; *Hutchins v District of Columbia*, 188 F3d 531; *Nunez by Nunez v City of San Diego*, 114 F3d 935; *Hodgkins v Peterson*, 355 F3d 1048.) V. Facial challenges are disfavored. VI. The curfew ordinance does not violate the due process rights of the parent. (*Qutb v Strauss*, 11 F3d 488; *Ramos v Town of Vernon*, 353 F3d 171.) VII. The curfew does not violate the First Amendment of the Federal Constitution. (*Nunez by Nunez v City of San Diego*, 114 F3d 935; *Hodgkins v Peterson*, 355 F3d 1048; *Dallas v Stanglin*, 490 US 19; *Board of Directors of Rotary Int'l v Rotary Club of Duarte*, 481 US 537; *Griswold v Connecticut*, 381 US 479; *People v Barton*, 8 NY3d 70; *Cornelius v NAACP Legal Defense & Ed. Fund, Inc.*, 473 US 788; *Qutb v Strauss*, 11 F3d 488; *Hodgkins v Peterson*, 355 F3d 1048; *Hutchins v District of Columbia*, 188 F3d 531.)

Davidson Fink LLP, Rochester (Michael Adam Burger of counsel), for respondents. I. This appeal is not moot. (*Matter of Michael W.*, 295 AD2d 134; *Matter of Carlton F.*, 25 AD3d 610; *Matter of Charles M.*, 143 AD2d 96; *People v Salaam*, 83 NY2d 51; *Roe v Wade*, 410 US 113; *East Meadow Community Concerts Assn. v Board of Educ. of Union Free School Dist No. 3*, 18 NY2d 129; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *People ex rel. Maxian v Brown*, 77 NY2d 422; *People ex rel. Guggenheim v Mucci*, 32 NY2d 307; *Ramos v Town of Vernon*, 331 F3d 315.) II. The City of Rochester lacks the statutory authority to enact a curfew. (*Bellanca v New York State Liq. Auth.*, 54 NY2d 228; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Matter of Ames v Smoot*, 98 AD2d 216; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Fenster v Leary*, 20 NY2d 309.) III. The curfew unlawfully supersedes sections 305.2 and 724 of the Family Court Act. (*Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395; *Matter of Randy K.*, 77 NY2d 398; *Matter of Detrece H.*, 78 NY2d 107; *Matter of Victor M.*, 9 NY3d 84; *Matter of Michael G.*, 99 Misc 2d 699; *Matter of David W.*, 28 NY2d 589; *Matter of James T.*, 189 AD2d 580; *Matter of Joel I.*, 165 Misc 2d 160; *Matter of Charles M.*, 135

Misc 2d 450, 143 AD2d 96; *Matter of Carlton F.*, 25 AD3d 610.) IV. Children are arrested under the curfew. (*Matter of Victor M.*, 9 NY3d 84; *People v Ryan*, 12 NY3d 28; *Jacques v Sears, Roebuck & Co.*, 30 NY2d 466; *Matter of Doris A.*, 145 Misc 2d 222; *Matter of D'Angelo H.*, 184 AD2d 1039; *Matter of Marrhonda G.*, 81 NY2d 942; *Matter of Marangeli M.*, 199 AD2d 189; *United States v Smith*, 549 F3d 355; *People v Marsh*, 20 NY2d 98; *Matter of Terrence G.*, 109 AD2d 440.) V. The curfew illegally supersedes section 30.00 of the Penal Law. (*Matter of Joe A.*, 171 Misc 2d 241; *People v O'Neill*, 79 AD2d 429; *Martinetti v Town of New Hartford Police Dept.*, 307 AD2d 735; *Matter of Musso*, 102 Misc 2d 934; *Lee v Sandberg*, 136 F3d 94; *People v Scott*, 79 NY2d 474; *People v Lee*, 58 NY2d 491; *Craig v Boren*, 429 US 190.) VI. The curfew unlawfully supersedes section 718 of the Family Court Act. (*Rivers v Katz*, 67 NY2d 485; *Parham v J.R.*, 442 US 584; *Matter of Sanjivini K.*, 47 NY2d 374; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Leon RR*, 48 NY2d 117; *Finlay v Finlay*, 240 NY 429; *Santosky v Kramer*, 455 US 745; *Stanley v Illinois*, 405 US 645; *Schall v Martin*, 467 US 253; *Matter of Michael B.*, 80 NY2d 299.) VII. The application of the curfew to 16 year olds is not severable. (*CWM Chem. Servs., L.L.C. v Roth*, 6 NY3d 410; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *People v Taylor*, 9 NY3d 129.) VIII. The curfew exceeds the City of Rochester's authority under General City Law § 20 (37). (*People v Bright*, 71 NY2d 376; *People v Diaz*, 4 NY2d 469; *Chicago v Morales*, 527 US 41; *People v Boulware*, 130 AD2d 370; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v Johnson*, 6 NY2d 549; *People v Merolla*, 9 NY2d 62; *People v Pagnotta*, 25 NY2d 333; *People v Smith*, 44 NY2d 613; *People v Uplinger*, 58 NY2d 936.) IX. The curfew fails to comply with the requirements of Executive Law § 24. (*Hirabayashi v United States*, 320 US 81; *Lambert v California*, 355 US 225.) X. The curfew fails to comply with section 22 of the Municipal Home Rule Law. (*Bareham v City of Rochester*, 246 NY 140; *Turnpike Woods v Town of Stony Point*, 70 NY2d 735; *Kamhi v Town of Yorktown*, 74 NY2d 423.) XI. The curfew ordinance violates Jiovon's right to freedom of movement. (*Aptheker v Secretary of State*, 378 US 500; *Ramos v Town of Vernon*, 353 F3d 171; *Johnson v Cincinnati*, 310 F3d 484; *Waters v Barry*, 711 F Supp 1125; *King v New Rochelle Mun. Hous. Auth.*, 442 F2d 646; *Chicago v Morales*, 527 US 41; *Williams v Town of Greenburgh*, 535 F3d 71; *People v Leonard*, 62 NY2d 404; *City of New York v Andrews*, 186 Misc 2d 533; *Town of*

Pompey v Parker, 53 AD2d 125.) XII. The curfew ordinance violates minors' rights to freedom of speech and freedom of assembly. (*People v Kearse*, 58 Misc 2d 277; *De Jonge v Oregon*, 299 US 353; *Hodgkins v Peterson*, 355 F3d 1048; *Nunez by Nunez v City of San Diego*, 114 F3d 935; *Johnson v Cincinnati*, 310 F3d 484; *Coates v Cincinnati*, 402 US 611; *Wright v Georgia*, 373 US 284; *Johnson v City of Opelousas*, 658 F2d 1065; *People v Ryan*, 12 NY3d 28; *Saia v New York*, 334 US 558.) XIII. The curfew ordinance is unconstitutionally vague. (*People v Bright*, 71 NY2d 376; *People v Diaz*, 4 NY2d 469; *Trio Distrib. Corp. v City of Albany*, 2 NY2d 690; *Chicago v Morales*, 527 US 41; *Kolender v Lawson*, 461 US 352; *Hodgkins v Peterson*, 355 F3d 1048; *Papachristou v Jacksonville*, 405 US 156; *People v Kearse*, 56 Misc 2d 586, 58 Misc 2d 277; *People v Dietze*, 75 NY2d 47; *Erznoznik v Jacksonville*, 422 US 205.) XIV. The curfew is unconstitutionally overbroad. (*People v Bright*, 71 NY2d 376; *Shuttlesworth v Birmingham*, 382 US 87; *Chicago v Morales*, 527 US 41; *Johnson v City of Opelousas*, 658 F2d 1065; *Qutb v Strauss*, 11 F3d 488; *Speiser v Randall*, 357 US 513; *Hodgkins v Peterson*, 355 F3d 1048; *Cox v Louisiana*, 379 US 536; *Ramos v Town of Vernon*, 353 F3d 171; *People v Bunis*, 9 NY2d 1). XV. The curfew ordinance permits seizures of minors and suspected minors without probable cause in violation of the Fourth and Fourteenth Amendments of the US Constitution and article I, § 12 of the New York Constitution. (*Matter of Doris A.*, 145 Misc 2d 222, 163 AD2d 63; *Matter of Victor M.*, 9 NY3d 84; *People v Adams*, 32 NY2d 451; *Matter of Robert M.*, 99 Misc 2d 462; *People v Robinson*, 97 NY2d 341; *People v Scott D.*, 34 NY2d 483; *People v De Bour*, 40 NY2d 210; *People v Boulware*, 130 AD2d 370; *People v Howard*, 50 NY2d 583; *People v Beltrand*, 63 Misc 2d 1041.) XVI. The curfew violates the rights of parents to raise their children without undue government interference. (*Troxel v Granville*, 530 US 57; *Santosky v Kramer*, 455 US 745; *Rivers v Katz*, 67 NY2d 485; *Waters v Barry*, 711 F Supp 1125; *People v Hitchcock*, 98 NY2d 586; *Stanley v Illinois*, 405 US 645; *Nunez by Nunez v City of San Diego*, 114 F3d 935; *Bellotti v Baird*, 443 US 622; *Johnson v City of Opelousas*, 658 F2d 1065; *Ramos v Town of Vernon*, 353 F3d 171.) XVII. The curfew violates Jiovon's right to due process. (*Bellotti v Baird*, 443 US 622; *Matter of Robert J.*, 2 NY3d 339; *People ex rel. Shaw v Lombard*, 95 Misc 2d 664; *Williamson v United States*, 184 F2d 280; *People v Catu*, 4 NY3d 242; *People v Santana*, 7 NY3d 234; *Freedman v Maryland*, 380 US 51; *People ex rel. Wayburn v Schupf*, 39 NY2d 682; *Schall v Martin*, 467 US 253.)

XVIII. The ordinance violates Jiovon's right to the equal protection of the law. (*Matter of Abrams v Bronstein*, 33 NY2d 488; *Wilson v Crosson*, 222 AD2d 1085; *Attorney General of N. Y. v Soto-Lopez*, 476 US 898; *Nunez by Nunez v City of San Diego*, 114 F3d 935; *Qutb v Strauss*, 11 F3d 488; *Hodgkins v Peterson*, 355 F3d 1048; *People ex rel. Wayburn v Schupf*, 39 NY2d 682; *Ramos v Town of Vernon*, 353 F3d 171; *Kramer v Union Free School Dist. No. 15*, 395 US 621.) XIX. The City of Rochester's "facts" and figures fail to justify the curfew. (*People v Molnar*, 98 NY2d 328; *Matter of E.S. v P.D.*, 8 NY3d 150; *People v Silvestry*, 11 NY3d 902; *Waters v Barry*, 711 F Supp 1125; *Papachristou v Jacksonville*, 405 US 156; *Craig v Boren*, 429 US 190; *People v Boulware*, 130 AD2d 370; *Ramos v Town of Vernon*, 353 F3d 171; *Hutchins v District of Columbia*, 942 F Supp 665, 188 F3d 531.) XX. Appellants' cited cases do not support the City of Rochester's curfew. (*Hutchins v District of Columbia*, 188 F3d 531; *Qutb v Strauss*, 11 F3d 488; *Ramos v Town of Vernon*, 353 F3d 171; *City of New York v Andrews*, 186 Misc 2d 533; *Schleifer by Schleifer v City of Charlottesville*, 159 F3d 843; *Bray v City of New York*, 346 F Supp 2d 480; *People v Bezjak*, 11 Misc 3d 424; *Coates v Cincinnati*, 402 US 611; *Lewis v New Orleans*, 415 US 130; *Hodgkins v Peterson*, 355 F3d 1048.)

Adriana Piñón, New York City, and *Arthur Eisenberg* for New York Civil Liberties Union, amicus curiae. I. The City of Rochester curfew violates parents' fundamental right to direct the upbringing of their children. (*Wisconsin v Yoder*, 406 US 205; *Meyer v Nebraska*, 262 US 390; *Troxel v Granville*, 530 US 57; *Prince v Massachusetts*, 321 US 158; *Pierce v Society of Sisters*, 268 US 510; *Ginsberg v New York*, 390 US 629; *Hutchins v District of Columbia*, 188 F3d 531; *Parham v J.R.*, 442 US 584; *Action for Children's Tel. v Federal Communications Commn.*, 58 F3d 654; *Matter of E.S. v P.D.*, 8 NY3d 150.) II. The City of Rochester ordinance also violates article I, § 6 of the New York State Constitution. (*People v P.J. Video*, 68 NY2d 296; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *Matter of Alfonso v Fernandez*, 195 AD2d 46; *Price v New York City Bd. of Educ.*, 16 Misc 3d 543; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Matter of E.S. v P.D.*, 8 NY3d 150; *Matter of Roe v Doe*, 29 NY2d 188; *Michigan v Long*, 463 US 1032; *People v Alvarez*, 70 NY2d 375; *People v Scott*, 79 NY2d 474.)

John A. Mancini, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The New York

State Constitution and Municipal Home Rule Law permit municipalities to enact youth curfew laws. (*New York State Club Assn. v City of New York*, 69 NY2d 211; *Matter of Michael G.*, 99 Misc 2d 699.) II. Public policy mandates that municipalities be afforded flexibility in protecting the community's youth.

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether the juvenile nighttime curfew adopted by the Rochester City Council violates the Federal and New York State Constitutions. We hold that it does.

I

In 2006, the Rochester City Council (City Council) adopted chapter 45 of the Code of the City of Rochester (City Code) which established a nighttime curfew for juveniles. Under the curfew:

“It is unlawful for minors to be in or upon any public place within the City at any time between 11:00 P.M. of one day and 5:00 A.M. of the immediately following day, except that on Friday and Saturday the hours shall be between 12:00 midnight and 5:00 A.M. of the immediately following day” (Rochester City Code § 45-3).

A minor is defined as “[a] person under the age of 17 [but] [t]he term does not include persons under 17 who are married or have been legally emancipated” (Rochester City Code § 45-2). The curfew provides for certain exceptions which make the prohibition under the curfew inapplicable

“if the minor can prove that:

“A. The minor was accompanied by his or her parent, guardian, or other responsible adult;

“B. The minor was engaged in a lawful employment activity or was going to or returning home from his or her place of employment;

“C. The minor was involved in an emergency situation;

“D. The minor was going to, attending, or returning home from an official school, religious, or other

recreational activity sponsored and/or supervised by a public entity or a civic organization;

“E. The minor was in the public place for the specific purpose of exercising fundamental rights such as freedom of speech or religion or the right of assembly protected by the First Amendment of the United States Constitution or Article I of the Constitution of the State of New York, as opposed to generalized social association with others; or

“F. The minor was engaged in interstate travel” (Rochester City Code § 45-4).¹

Under section 45-6 of the City Code, “[a] police officer may approach a person who appears to be a minor in a public place during prohibited hours to request information, including the person’s name and age and reason for being in the public place” and “may detain a minor or take a minor into custody based on a violation of [the curfew] if the police officer . . . [r]easonably believes that the [curfew has been violated] and . . . that none of the exceptions . . . apply” (Rochester City Code § 45-6 [A], [B] [1], [2]). “A police officer who takes a minor into custody based on a violation of [the curfew] [must] take the minor to a location designated by the Chief of Police” (Rochester City Code § 45-6 [C]).² Additionally, the ordinance states that “a violation of [the curfew] shall constitute a ‘violation’ as . . . defined in the . . . Penal Law” (Rochester City Code § 45-5).

The “Findings and purpose” with respect to the curfew were set forth by the City Council in section 45-1. They state that

“A. A significant number of minors are victims of crime and are suspects in crimes committed during the nighttime hours, hours during which minors should generally be off the streets and getting the sleep necessary for their overall health and quality of life. Many of these victimizations and criminal

1. A responsible adult is defined as “[a] person 18 years of age or older specifically authorized by law or by a parent or guardian to have custody and control of a minor” (Rochester City Code § 45-2).

2. Rochester Police Department General Order 425, titled “Curfew Ordinance Enforcement,” provides for actions a police officer can take in his or her discretion (such as directing the minor to proceed home with a warning, take the minor into protective custody, or transport the minor to a parent, guardian, or responsible adult or to a curfew facility) and procedures for searching, transporting, and handcuffing minors taken into custody for a violation of the curfew (56 AD3d 139, 143 [2008]).

acts have occurred on the streets at night and have involved violent crimes, including the murders of teens and preteens.

“B. While parents have the primary responsibility to provide for the safety and welfare of minors, the City also has a substantial interest in the safety and welfare of minors. Moreover, the City has an interest in preventing crime by minors, promoting parental supervision through the establishment of reasonable standards, and in providing for the well-being of the general public.

“C. A curfew will help reduce youth victimization and crime and will advance the public safety, health and general welfare of the citizens of the City” (Rochester City Code § 45-1).

Plaintiffs, father and son, commenced the instant action challenging the validity of the curfew. They seek a declaration that the ordinance is unconstitutional and to enjoin defendants, the City of Rochester (City) and other city officials, from enforcing the ordinance on the grounds that the curfew violated Jiovon’s federal and state constitutional rights to freedom of movement, freedom of expression and association, and equal protection under the law, and Thomas’ due process rights under the Federal and State Constitutions to raise his children without undue interference from the government. In addition, plaintiffs assert that the ordinance conflicts with, among other statutes, section 305.2 of the Family Court Act and section 30.00 of the Penal Law. Supreme Court granted the City’s motion to dismiss finding that the curfew (1) was not inconsistent with New York statutes, (2) did not violate the constitutional rights of the minor, (3) did not unreasonably interfere with the rights of the parent, and (4) was not facially defective.

Declaring the ordinance unconstitutional, the Appellate Division, with two Justices dissenting, reversed and enjoined its enforcement. The court determined that the curfew was inconsistent with Family Court Act § 305.2 and Penal Law § 30.00 because it authorized what was indistinguishable from a warrantless arrest of a minor under the age of 16 upon an alleged violation of the curfew and created criminal responsibility for a “violation” as defined in the Penal Law (56 AD3d at 144-145). The court further determined that, as to minors between the ages of 16 and 17, the curfew violated the constitutional rights

of both the parent and child. The court held that neither the crime statistics for the City³ nor the statements and opinions from political officials and the Chief of Police provided the requisite nexus to withstand even intermediate scrutiny; in other words, there was no demonstrated substantial relationship between the ordinance and its stated goals (*id.* at 147-149). The court also determined that the curfew impermissibly interfered with parents' fundamental substantive due process right to direct and control the upbringing of their children (*id.* at 150).

In arguing that the curfew should be upheld, the dissenting Justices concluded that intermediate scrutiny was the proper standard of review and that crime statistics from Dallas, Texas, a city with a similar curfew, provided the necessary substantial relationship because defendants "need not produce evidence to a scientific certainty" (*id.* at 153 [Lunn, J., dissenting]). The dissent argued that the ordinance imposed no unconstitutional burden on a minor's First Amendment rights and that its interference with a parent's due process rights was minimal. Additionally, the dissent found no inconsistency between the ordinance and Family Court Act § 305.2 because the ordinance only authorized a "temporary detention" and not an arrest (*id.* at 156-157 [Lunn, J., dissenting]). Defendants appealed to this Court as of right, and we now affirm on different grounds.

II

[1] Plaintiffs challenge the curfew on multiple constitutional and nonconstitutional grounds. Because plaintiffs' nonconstitutional arguments do not wholly dispose of this appeal, we address only their constitutional arguments here (*see generally Matter of Clara C. v William L.*, 96 NY2d 244, 250 [2001]; *id.* at 251 [Levine, J., concurring]). Specifically, we focus primarily on the substantive due process rights of minors to enjoy freedom of movement and of parents to control the upbringing of their children.⁴

3. The City's crime statistics showed that "minors [were] substantially more likely to be involved in crime or to be victims of crime during hours outside the curfew" and "the vast majority of violent crime during curfew hours is committed by persons over 18, and that adults are far more likely to be victims of such crime during those hours" (56 AD3d at 148).

4. [1] We note that this case was not rendered moot when plaintiff Jiovon turned 17 because he may still be detained under the curfew if, to an officer, he appears to be under 17 and fails to offer proof of his age.

Curfew ordinances have long been enacted in cities around the country and numerous cases, both state and federal, have addressed similar constitutional issues implicated by these curfews (see e.g. *State v J.P.*, 907 So 2d 1101 [Fla 2005]; *Treacy v Municipality of Anchorage*, 91 P3d 252 [Alaska 2004]; *Ramos v Town of Vernon*, 353 F3d 171 [2d Cir 2003]; *City of Sumner v Walsh*, 148 Wash 2d 490, 61 P3d 1111 [2003]; *Hutchins v District of Columbia*, 188 F3d 531 [DC Cir 1999]; *Schleifer by Schleifer v City of Charlottesville*, 159 F3d 843 [4th Cir 1998]; *Nunez by Nunez v City of San Diego*, 114 F3d 935 [9th Cir 1997]; *Qutb v Strauss*, 11 F3d 488 [5th Cir 1993]; *Johnson v City of Opelousas*, 658 F2d 1065 [5th Cir 1981]). Recent decisions analyzing the constitutionality of curfews have differed as to the appropriate level of scrutiny to apply: some courts have favored intermediate scrutiny (see e.g. *Hodgkins*, 355 F3d at 1057; *Ramos*, 353 F3d at 181; *Hutchins*, 188 F3d at 541; *Schleifer*, 159 F3d at 847), while others have adopted strict scrutiny (see e.g. *J.P.*, 907 So 2d at 1116; *Treacy*, 91 P3d at 265-266; *Nunez*, 114 F3d at 946; *Qutb*, 11 F3d at 492). Regardless of the level of scrutiny ultimately applied, these cases highlight a number of important factors relevant to constitutional review of a curfew ordinance.

Initially, we note that a municipality has general police powers and, under the traditional powers of *parens patriae*, a strong interest in preserving and promoting the welfare of children (see *Hutchins*, 188 F3d at 539). Plaintiffs do not dispute that the City Council, pursuant to its broad police powers, has the authority to enact a curfew ordinance. The issue, however, is whether that power was exercised in a manner consistent with the Federal and State Constitutions (see *Ramos*, 353 F3d at 172). We first turn to how the curfew may interfere with a minor's constitutional right to freely move about in public.

“[F]reedom of movement is the very essence of our free society, setting us apart. Like the right of assembly and the right of association, it often makes all other rights meaningful—knowing, studying, arguing, exploring, conversing, observing and even thinking” (*Aptheker v Secretary of State*, 378 US 500, 520 [1964, Douglas, J., concurring]). For an adult, there is no doubt that this right is fundamental and an ordinance interfering with the exercise of such a right would be subject to strict scrutiny (see *Chicago v Morales*, 527 US 41, 54 [1999]). The critical question, however, is whether a minor has a corresponding right that is equally fundamental, and therefore warrants the same restrictive level of scrutiny.

In many situations, children do not possess the same constitutional rights possessed by their adult counterparts; for example, children are afforded lesser freedom of choice than adults with respect to marriage, voting, alcohol consumption, and labor. On the other hand, a child's otherwise-criminal actions do not carry the same consequences as those of adults (*see e.g.* Penal Law § 30.00). The inherent differences between children and adults—specifically their immaturity, vulnerability, and need for parental guidance—have been recognized by the Supreme Court as the basis to justify treating children differently than adults under the Federal Constitution (*see Bellotti v Baird*, 443 US 622, 634-635 [1979]). “So ‘although children generally are protected by the same constitutional guarantees . . . as are adults, the State is entitled to adjust its legal system to account for children’s vulnerability’ by exercising broader authority over their activities” (*Hutchins*, 188 F3d at 541, quoting *Bellotti*, 443 US at 635).

We find the rationale in *Bellotti* persuasive in the context of a curfew because it is hard to imagine that, even absent a curfew, the police may not take a vulnerable five-year-old child found alone at night on a city street into custody for the child's own safety and well-being. Even if we assume that the police may not do the same to a 17 year old under the *parens patriae* function, an unemancipated minor still does not have the right to freely “come and go at will” (*Vernonia School Dist. 47J v Acton*, 515 US 646, 654 [1995]). Moreover, “juveniles, unlike adults, are always in some form of custody” (*Schall v Martin*, 467 US 253, 265 [1984]) and their right to free movement is limited by their parents’ authority to consent or prohibit such movement (*see Ramos*, 353 F3d at 182-183). As one court observed, “it would be inconsistent to find a fundamental right here, when the [Supreme] Court has concluded that the state may intrude upon the ‘freedom’ of juveniles in a variety of similar circumstances without implicating fundamental rights” (*Hutchins*, 188 F3d at 539, citing *Prince v Massachusetts*, 321 US 158, 166-167 [1944] [prohibiting children from selling magazines on the street]; *Flores*, 507 US 292, 301-303 [1993] [detention of deportable juveniles]; *Schall*, 467 US at 263-264 [pretrial detention of juvenile delinquents]; *Ginsberg v New York*, 390 US 629, 637-643 [1968] [prohibiting sale of non-obscene material to minors]).

Rather than categorically applying strict scrutiny to a curfew which implicates a minor's right to free movement simply because the same right, if possessed by an adult, would be

fundamental, courts have found that intermediate scrutiny is better suited to address the complexities of curfew ordinances—it is sufficiently skeptical and probing to provide rigorous protection of constitutional rights yet flexible enough to accommodate legislation that is carefully drafted to address the vulnerabilities particular to minors (see *Ramos*, 353 F3d 171 [2003]; see also *Schleifer*, 159 F3d at 847; *Hutchins*, 188 F3d at 541). In the context of juvenile curfews, we find persuasive the reasoning which recognizes that although children have rights protected by the Constitution, they can be subject to greater regulation and control by the state than can adults (see *Ramos*, 353 F3d at 180-181).

Next, we turn to the constitutional right asserted by the father. Our precedent has repeatedly emphasized the “primacy of parental rights” to the care and custody of the child absent abandonment, surrender, or unfitness (*Matter of Bennett v Jeffreys*, 40 NY2d 543, 547 [1976]). Although it is settled that parents have a fundamental due process right, in certain situations, to raise their children in a manner as they see fit (see *Wisconsin v Yoder*, 406 US 205, 213-214 [1972]; see also *Ginsberg*, 390 US at 639), this is not the end of the analysis. Were the ordinance directly aimed at curbing parental control over their children, it might be that strict scrutiny would apply. However, that is not the case here.

Parental rights are not absolute and are subject to reasonable regulation (see *Runyon v McCrary*, 427 US 160, 178 [1976]; *Prince*, 321 US at 166 [(“a)cting to guard the general interest in youth’s well being, the state as *parens patriae* may restrict the parent’s control by requiring school attendance, regulating or prohibiting the child’s labor, and in many other ways”]). The Supreme Court has stated that “the state has a wide range of power for limiting parental freedom and authority in things affecting the child’s welfare” (*Prince*, 321 US at 167) specifically when it concerns the government’s interest in the “moral, emotional, mental, and physical welfare of the minor” (*Stanley*, 405 US at 652 [internal quotation marks omitted]). Because the purpose of the juvenile curfew is, in part, to prevent victimization of minors during nighttime hours, it easily falls within the realm of the government’s legitimate concern under *Stanley*.

[2] Moreover, “to the extent that the curfew is enforced against minors moving about in public with no purpose or with an improper purpose” (*Treacy*, 91 P3d at 269), how it impinges on a parent’s rights is surely less clear and more indirect.

Because the curfew is aimed primarily at minors, only peripherally burdening parents' rights, the reflexive labeling of a fundamental right, and accompanying analysis under strict scrutiny, is inadequate for taking into account the complexities and governmental concerns of this kind of regulation. As with the minor's due process rights, we agree that a searching review of the curfew is required but that a strict scrutiny analysis is not. We conclude that intermediate scrutiny, and the rationale of *Ramos*, are persuasive and we agree with the Appellate Division that the curfew is constitutionally infirm.

III

Under intermediate scrutiny, defendants must show that the ordinance is "substantially related" to the achievement of "important" government interests (*see Craig v Boren*, 429 US 190, 197 [1976]). Here, defendants assert that their governmental interest is to prevent minors from perpetrating and becoming victims of crime during nighttime hours. While this is clearly an important governmental interest, its expression does not end the intermediate scrutiny analysis. In addition to identifying an important governmental interest, defendants must show a substantial nexus between the burdens imposed by this curfew and the goals of protecting minors and preventing juvenile crime. The Supreme Court has explained that although the government need not produce evidence of this relationship to a scientific certainty (*see Ginsberg*, 390 US at 642-643), the "purpose of requiring [proof of] that close relationship is to assure that the validity of a classification is determined through reasoned analysis rather than through the mechanical application of traditional, often inaccurate, assumptions" (*Mississippi Univ. for Women v Hogan*, 458 US 718, 725-726 [1982]).

Quite simply, the proof offered by the City fails to support the aims of the curfew in this case. As the Appellate Division observed, "a common theme of the [affidavits of political officials and affidavits and reports of police officials] is that city officials perceived a pressing need to respond to the problem of juvenile victimization and crime as a result of the . . . tragic deaths of three minors" (56 AD3d at 148). These incidents would not have been prevented by the curfew because two of the victims were killed during hours outside the curfew and the third, as a result of being adjudicated a person in need of supervision, was already subject to an individualized curfew. Thus, these incidents do not provide the necessary nexus between the curfew and the ordinance's stated purpose.

Further, we conclude that the crime statistics produced by defendants do not support the objectives of Rochester's nocturnal curfew. Although the statistics show that minors are suspects and victims in roughly 10% of violent crimes committed between curfew hours (11:00 P.M. to 5:00 A.M.), what they really highlight is that minors are far more likely to commit or be victims of crime outside curfew hours⁵ and that it is the adults, rather than the minors, who commit and are victims of the vast majority of violent crime (83.6% and 87.8% respectively) during curfew hours. The crime statistics are also organized by days of the week and despite that minors are 64% to 160% more likely to be a victim and up to 375% more likely to be a suspect of violent crimes on Saturdays and Sundays as compared to a given weekday, surprisingly, the curfew is less prohibitive on weekends. We also note that the methodology and scope of the statistics are plainly over-inclusive for purposes of studying the effectiveness of the curfew.⁶

To be sure, minors are affected by crime during curfew hours but from the obvious disconnect between the crime statistics and the *nighttime* curfew, it seems that "no effort [was] made by the [City] to ensure that the population targeted by the ordinance represented that part of the population causing trouble or that was being victimized" (*Ramos*, 353 F3d at 186). If, as the dissent argues, it is enough that from 2000 to 2005 a number of juveniles were victimized at night, then the same statistics would justify, perhaps even more strongly, imposing a juvenile curfew during all hours outside of school since far more victimization occur during those hours.

Nor can defendants simply rely on the studies and statistics of other municipalities with juvenile curfews without showing how the decrease in juvenile crime in those other cities is pertinent to Rochester. Without support from the City's own empirical data, we conclude that the justifications made by the Mayor and the Chief of Police for the nighttime curfew, based primarily on opinions, are insufficient since they do not show a

5. Looking at the hourly breakdown of minors as crime suspects and victims, more than three quarters (75% to 86%) of all crimes that minors commit and are victims of take place during non-curfew hours.

6. For tallying the number of crimes committed by minors, the statistics include minors from ages "0-17" notwithstanding that the curfew does not apply to 17 year olds. Although the curfew only applies to minors in public areas, the statistics provide no indication of where the crimes counted took place (i.e., whether on private or public property).

substantial relationship between the curfew and goals of reducing juvenile crime and victimization during nighttime hours.

We also conclude that the curfew imposes an unconstitutional burden on a parent's substantive due process rights. The City asserts that the ordinance promotes "parental supervision" of minors (Rochester City Code § 45-1 [B]). But the curfew fails to offer parents enough flexibility or autonomy in supervising their children (*cf. Qutb*, 11 F3d 495-496 [exception for minor being on errand for parent]). Indeed, an exception allowing for parental consent to the activities of minors during curfew hours is of paramount importance to the due process rights of parents. "The . . . notion that governmental power should supersede parental authority in *all* cases because *some* parents abuse and neglect children is repugnant to American tradition" (*Hodgson v Minnesota*, 497 US 417, 446-447 [1990]). If a parental consent exception were included in this curfew, it would be a closer case—courts have upheld curfews having, among other things, such an exception as only minimally intrusive upon the parent's due process rights (*see e.g. Treacy*, 91 P3d at 258; *Hutchins*, 188 F3d at 535; *Schleifer*, 159 F3d at 851-852; *Qutb*, 11 F3d at 490).

It is puzzling that the City purported to rely on curfews from other municipalities in the adoption of what was claimed to be a "similar" curfew ordinance yet failed to include the critical exceptions which supported the constitutionality of those other curfews.⁷ For example, in *Hutchins*, the court reasoned that the District of Columbia curfew, with exceptions for parental consent, actually enhanced parental authority rather than challenged it (*see Hutchins*, 188 F3d at 545) and in *Qutb*, the court found that the broad exceptions in a Dallas, Texas curfew only minimally intruded into the parents' rights (*see Qutb*, 11 F3d at 495-496). But the Rochester curfew "does not allow an adult to pre-approve even a specific activity after curfew hours unless a custodial adult actually accompanies the minor. Thus, parents cannot allow their children to function independently at night, which some parents may believe is part of the process of growing up" (*Nunez*, 114 F3d at 952). Consequently, we conclude

7. Many of the cases cited by defendants which upheld the constitutionality of a curfew have three exceptions: (1) where the minor is on an errand at the direction of the parent, (2) where the minor is on the sidewalk that abuts the minor's or the next-door-neighbor's residence, and (3) where the minor is generally exercising First Amendment rights (as opposed to being in public specifically for the exercise of such rights) (*see Treacy*, 91 P3d at 258; *Hutchins*, 188 F3d at 535; *Schleifer*, 159 F3d at 851-852; *Qutb*, 11 F3d at 490).

that the challenged curfew is not substantially related to the stated goals of promoting parental supervision.

Accordingly, the order of the Appellate Division should be affirmed without costs.

GRAFFEO, J. (concurring). I vote to affirm because I conclude that the City of Rochester's juvenile curfew ordinance must be invalidated since the law conflicts, in part, with the Family Court Act. I further believe that the objectionable portion of the curfew law cannot be severed from the remainder of the ordinance and, consequently, the ordinance is invalid in its entirety.

Rochester's juvenile curfew ordinance specifies that children under the age of 17 cannot be in a public place between 11:00 P.M. and 5:00 A.M. Sunday through Thursday and from 12:00 A.M. to 5:00 A.M. on Friday and Saturday. There are delineated exceptions to the curfew, as set forth by the majority, where the minor can demonstrate that his or her conduct was covered by an exception. In drafting the curfew statute, the City Council decided that a minor who breaks curfew commits a violation as defined in the Penal Law. Under section 10.00 (3) of the Penal Law, a violation is an offense punishable by up to 15 days in jail. The curfew ordinance authorizes a police officer to "detain" or "take a minor into custody" if the officer reasonably believes that the minor has violated curfew and that none of the enumerated exceptions to the curfew restrictions apply (Rochester City Code § 45-6 [B]).

The State Constitution's "home rule" provision (art IX, § 2) "confers broad police power upon local government relating to the welfare of its citizens" (*New York State Club Assn. v City of New York*, 69 NY2d 211, 217 [1987], *affd* 487 US 1 [1988]). This grant of authority includes the ability of a municipality to enact local laws regarding the "protection, order, conduct, safety, health and well-being of persons or property" within its borders (NY Const, art IX, § 2 [c] [ii] [10]; *see* Municipal Home Rule Law § 10 [1] [ii] [a] [12]). There are, however, important limitations on municipal police powers (*see New York State Club Assn. v City of New York*, 69 NY2d at 217). First, under the doctrine of conflict preemption, a "local government . . . may not exercise its police power by adopting a local law inconsistent with constitutional or general law" (*id.*). Second, under the doctrine of field preemption, a municipality "may not exercise its police power when the Legislature has restricted such an exercise by preempting the area of regulation" (*id.*; *see e.g.*

Albany Area Bldrs. Assn. v Town of Guilderland, 74 NY2d 372, 377 [1989]). Field preemption may occur by express legislative direction or may be “implied from a declaration of State policy by the Legislature . . . or from the fact that the Legislature has enacted a comprehensive and detailed regulatory scheme in a particular area” (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99, 105 [1983]).

Nothing in the laws of this State indicates that the Legislature intended to prohibit municipalities from enacting juvenile curfews. Through the exercise of its police powers, a municipality may be able to justify the need for a juvenile curfew as a matter of permissible local concern. A curfew that is designed to reduce juvenile crime and victimization has “some fair, just and reasonable connection” to the promotion of the safety and welfare of vulnerable minors (*People v Bunis*, 9 NY2d 1, 4 [1961] [internal quotation marks omitted]). Clearly, the City of Rochester was motivated by laudable public safety concerns in attempting to get children off the streets late at night and into the safety of their homes.

But the curfew ordinance in this case raises a conflict preemption concern because the Family Court Act limits the instances when police can take children into custody. Section 305.2 (2) of the Family Court Act specifies that a police officer “may take a child under the age of sixteen into custody without a warrant in cases in which he may arrest a person for a *crime* under article one hundred forty of the criminal procedure law” (emphasis added). The term “crime” includes only misdemeanors and felonies, not violations (*see* Penal Law § 10.00 [6]). An infraction of the Rochester ordinance results in a “violation,” punishable by up to 15 days in jail. Because a violation is not a “crime” for the purposes of section 305.2 (2), it necessarily follows that the constraints of Family Court Act § 305.2 prohibit the City of Rochester from authorizing the custodial detention of children aged 15 and under (*see Matter of Victor M.*, 9 NY3d 84, 87 [2007]; *Matter of Michael G.*, 99 Misc 2d 699, 701 [Family Ct, Rockland County 1979]). Based on conflict preemption principles, this provision of Rochester’s curfew ordinance contradicts the Family Court Act and is therefore invalid.*

* The dissent concludes that there is no preemption problem. But this ignores the fact that a curfew infraction is a “violation” as that term is defined in the Penal Law, thereby authorizing the possible imposition of a sentence of up to 15 days in jail for a minor who breaks curfew.

The City of Rochester responds that its ordinance does not violate state law because it merely authorizes the police to engage in the “temporary detention” of a child, not to make an arrest. Semantics aside, the reality is that the ordinance permits a police officer to take custody of a minor, perhaps handcuff the offender, conduct a pat-down search (which could lead to the discovery of illegal contraband or a weapon), place the child in the back of a police car and transport the child to a detention facility. This, in my view, bears all of the hallmarks of a traditional arrest, not some short-term custodial intervention conducted solely for the safety and welfare of the child detained. And the punishment that can be inflicted for a violation of Rochester’s curfew ordinance makes it easily distinguishable from *Matter of Shannon B.* (70 NY2d 458 [1987]), which upheld the authority of a police officer to detain a truant student, because truancy, unlike a violation of Rochester’s curfew law, is not punishable by incarceration.

Nor is it possible to sever the offending provision of the ordinance from the remainder of the law. Under our traditional severability analysis, the

“ ‘question is in every case whether the legislature, if partial invalidity had been foreseen, would have wished the statute to be enforced with the invalid part excinded, or rejected altogether. The answer must be reached pragmatically, by the exercise of good sense and sound judgment, by considering how the statutory rule will function if the knife is laid to the branch instead of at the roots’ ” (*CWM Chem. Servs., L.L.C. v Roth*, 6 NY3d 410, 423 [2006], quoting *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48, 60 [1920], *cert denied* 256 US 702 [1921]).

In conducting this review, we first examine

“the statute and its legislative history to determine the legislative intent and what the purposes of the new law were, and second, an evaluation of the courses of action available to the court in light of that history to decide which measure would have been enacted if partial invalidity of the statute had been foreseen” (*CWM Chem. Servs.*, 6 NY3d at 423, quoting *Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191, 196 [1984]).

Rochester's curfew ordinance does not contain a severability provision and nothing in the record before us indicates that the City Council considered this issue. From a practical perspective, severing the provision of the law that conflicts with the Family Court Act would make the curfew apply only to persons who are 16 years old. It is unlikely that the City of Rochester was interested in such a limited curfew, especially since the enactment of the ordinance was motivated in significant part by the murders of three local children, all of whom were under the age of 16. And restricting the curfew only to 16 year olds would result in a law that covers a much smaller percentage of the minors that the City Council was seeking to protect. I therefore conclude that the objectionable portion of the ordinance cannot be severed and Rochester's curfew law is void in its entirety.

PIGOTT, J. (dissenting). At community meetings addressing violent crime in the City of Rochester in the mid-2000s, the Chairman of the City Council's Public Safety Committee was frequently asked by members of the public about the feasibility of a curfew in that city. The discussions occurred in the wake of three killings of children in Rochester, all of which occurred late at night. The councilman traveled to Minneapolis, accompanied by two Rochester police commanders, to investigate the curfew in place there. The Rochester Chief of Police concluded, after meetings with the police commanders and other staff, that a curfew ordinance such as the one successful in Minneapolis would be an effective tool for preventing juveniles from committing, or becoming the victims of, nighttime crime. Public hearings were held, and the City Council received a large quantity of information concerning curfews implemented in other U.S. cities. The Mayor of Rochester, a former Rochester police chief, strongly advocated passage of a curfew ordinance.

In 2006, the Rochester City Council adopted a curfew ordinance, codified as chapter 45 of the Municipal Code of the City of Rochester, which took effect on September 5 of that year. The curfew is applicable—in "any public place" in the City of Rochester—to persons under the age of 17. It applies between the hours of 11:00 P.M. and 5:00 A.M., except that it does not apply until midnight on Friday and Saturday nights. First introduced as a three-month pilot program, the Rochester curfew has been extended several times, most recently to December 31, 2009.

The many exceptions built into the curfew ordinance and the methods of its application are described in the opinion above

(see majority op at 41-42). It is worth adding that a Rochester Police Department General Order provides that the “location designated by the Chief of Police” referred to in the ordinance (see Rochester City Code § 45-6 [C]) is “a curfew facility designated by the Chief of Police,” where police will assist staff to notify the minor’s parent or guardian of the minor’s location, with a view to reuniting the two (see Rochester Police Department General Order 425). The designated curfew center is at Hillside Children’s Center, in Rochester.*

With this background in mind, I turn to the constitutional due process challenges that are the basis for the majority opinion. The majority begins by discussing the “substantive due process rights of minors to enjoy freedom of movement” (majority op at 44). Initially, it is not clear whether the majority is invoking the constitutional right to travel (see *e.g.* *Saenz v Roe*, 526 US 489 [1999]; *Shapiro v Thompson*, 394 US 618 [1969]) or “the freedom to loiter for innocent purposes . . . protected by the Due Process Clause” (*Chicago v Morales*, 527 US 41, 53 [1999]; see *Memorial Hospital v Maricopa County*, 415 US 250, 255-256 [1974] [observing that the right to travel cannot simply mean the right to movement and declining to decide whether the right to interstate travel recognized in *Shapiro* has an analogue in intrastate travel]). But this distinction is of no consequence here because, as the majority notes, the critical question is whether the fundamental right of adults to free movement extends to unsupervised minors.

The majority appears to accept the arguments that recently led the United States Court of Appeals for the District of Columbia Circuit to conclude that children have no fundamental right to free movement. “[I]t would be inconsistent to find a fundamental right here, when the [Supreme] Court has concluded that the state may intrude upon the ‘freedom’ of

* I cannot accept the concurring view that taking a minor to the curfew center “bears all of the hallmarks of a traditional arrest” (concurring op at 53) and that the ordinance therefore violates Family Court Act § 305.2 (providing that warrantless arrest of a juvenile is authorized only in cases where an adult could be arrested for a crime). The temporary detention of a juvenile until a responsible adult takes charge of him—authorized by an ordinance enacted for the minor’s protection, rather than prosecution—is within the scope of a municipality’s police power (see generally *Matter of Shannon B.*, 70 NY2d 458, 462-463 [1987]) and not prohibited by Family Court Act § 305.2. Moreover, I reject the idea that the City of Rochester could make an invalid curfew valid simply by repealing the language stating that breaking curfew is a “violation.”

juveniles in a variety of similar circumstances without implicating fundamental rights” (majority op at 46, quoting *Hutchins v District of Columbia*, 188 F3d 531, 539 [DC Cir 1999]). But instead of following this principle to its logical conclusion and applying a rational basis standard of review in assessing plaintiffs’ free movement challenge, the majority selects the intermediate scrutiny standard for the question-begging reason that “courts have found that intermediate scrutiny is better suited to address the complexities of curfew ordinances” (majority op at 47).

The Supreme Court has observed that “unemancipated minors lack some of the most fundamental rights of self-determination—including even the right of liberty in its narrow sense, *i.e.*, the right to come and go at will” (*Vernonia School Dist. 47J v Acton*, 515 US 646, 654 [1995]). Here the law mirrors common sense. “Our society recognizes that juveniles in general are in the earlier stages of their emotional growth, that their intellectual development is incomplete, that they have had only limited practical experience, and that their value systems have not yet been clearly identified or firmly adopted” (*Schall v Martin*, 467 US 253, 265-266 n 15 [1984], quoting *People ex rel. Wayburn v Schupf*, 39 NY2d 682, 687 [1976]). Because of the immaturity and consequent vulnerability of children, “the power of the state to control the conduct of children reaches beyond the scope of its authority over adults,” even where the freedom that is curtailed is one that would be constitutionally protected were the child an adult (*Prince v Massachusetts*, 321 US 158, 170 [1944]).

Even where constitutionally protected freedoms of choice are implicated,

“[s]tates validly may limit the freedom of children to choose for themselves in the making of important, affirmative choices with potentially serious consequences . . . [because] during the formative years of childhood and adolescence, minors often lack the experience, perspective, and judgment to recognize and avoid choices that could be detrimental to them” (*Bellotti v Baird*, 443 US 622, 635 [1979]).

In other words, because children often lack the capacity to make important decisions for themselves, “[t]hey are assumed to be subject to the control of their parents, and if parental control falters, the State must play its part as *parens patriae*. In this

respect, the juvenile's liberty interest may, in appropriate circumstances, be subordinated to the State's *parens patriae* interest in preserving and promoting the welfare of the child." (*Schall*, 467 US at 265 [internal quotation marks and citations omitted].) All states limit children's freedom of movement by requiring them to attend school for much of every weekday—a requirement never thought to call for either strict or intermediate scrutiny. As the Supreme Court has succinctly expressed it, "juveniles, unlike adults, are always in some form of custody" (*Reno v Flores*, 507 US 292, 302 [1993], quoting *Schall*, 467 US at 265).

These well-established premises of constitutional jurisprudence lead to the conclusion that the fundamental right to travel or movement does not extend to unsupervised minors. Because parents have the right to control or forbid children's travel, there can be no such thing as a child's fundamental right to free movement. Quite simply, children do not have the right to wander the streets freely at night. Because the curfew ordinance does not impinge on any cognizable constitutional right of minors, its restriction of minors' movements should therefore be subject to rational basis review (*see Ramos v Town of Vernon*, 353 F3d 171, 190-191 [2d Cir 2003, Winter, J., dissenting]).

On the other hand, the majority's choice of intermediate scrutiny to evaluate plaintiffs' assertion that the curfew ordinance violates the substantive due process rights of *parents* to make decisions concerning the care, custody and control of their children makes sense (*see* majority op at 47-48). The majority apparently does not dispute that preventing minors from committing or becoming the victims of nighttime crime is an important government interest (*see* majority op at 48). The only remaining question then is whether the curfew ordinance is substantially related to this important objective. I believe it is.

The record contains extensive affidavits of public officials who were involved in the adoption of the curfew ordinance, and the affidavits and reports of experienced police officials responsible for its enforcement, which describe the considerable amount of investigation and research that was carried out before the City Council adopted the ordinance. The record also contains crime statistics for the City, and information concerning the implementation of similar curfews in other municipalities. The decision to enact the curfew, while based in part on objective data, was also based in substantial part on the subjective judgment of experienced civic leaders, who believed the ordinance to be the

best way of dealing with a very troubling problem. Their judgment is, in my opinion, entitled to considerable deference. The majority gives it none.

Instead, the majority focuses on the statistics, but does so in a selective manner. It does not mention the statistics which demonstrate that between 2000 and 2005 most of the 13 juvenile murder victims in Rochester would have been in violation of the ordinance at the time of the murders. Nor does it mention that 45% of homicides in Rochester occurred during the curfew hours, a surprisingly high percentage given that the curfew hours make up less than 25% of the hours in a week.

The majority casts a skeptical eye on the statistics, writing that they show “that minors are far more likely to commit or be victims of crime outside curfew hours and that it is the adults, rather than the minors, who commit and are victims of the vast majority of violent crime . . . during curfew hours” (majority op at 49). Here, I respectfully suggest, the majority jumbles together two platitudes. Of course minors are more likely to commit or be victims of crime outside curfew hours. For one thing, the curfew hours comprise only 40 out of the 168 hours in a week. As to the likelihood of becoming crime victims, most children are at home during the curfew hours, as the defendant Mayor noted. But it certainly does not follow that a child who goes out at night is less likely to become the victim of a crime than one who goes out during the day. Again, it is completely unsurprising that adults commit and are victims of most crimes during curfew hours. Adults commit more crimes than children at all hours. Indeed, this may simply be an instance of the general truth that adults, who make up some three quarters of the population, are more likely to do anything.

From these platitudes, the majority infers a “disconnect between the crime statistics and the *nighttime* curfew . . . [N]o effort [was] made by the [City] to ensure that the population targeted by the ordinance represented that part of the population causing trouble or that was being victimized” (majority op at 49, quoting *Ramos v Town of Vernon*, 353 F3d 171, 186 [2d Cir 2003] [internal quotation marks omitted]). But here, under the guise of assessing whether the curfew ordinance is substantially related to a government objective, the majority essentially withdraws its earlier concession that protecting minors from becoming the victims or perpetrators of crimes is an important government interest. In essence, the majority is asserting that if adults commit and become victims of more crimes than

children, then protecting children from crime cannot be an important city objective, and that if more crimes are committed during the day than at night, then preventing nighttime crime cannot be an important city objective. The problem with that reasoning is obvious.

Putting aside the Rochester crime statistics, which suggest that a significant proportion of violent crime victims in that city are children, I do not believe that it is the judiciary's place to decide that protecting even a small number of minors from crime is an unimportant objective. I would have thought that protecting children from becoming the victims or perpetrators of violent crime is one of the most important goals a municipality could try to achieve, especially in the wake of a series of nighttime murders of minors.

Turning to plaintiffs' challenge based on parental authority, the majority observes that this would be a closer case if the curfew had included an exception for parental consent (majority op at 50), a critical "errand" exception present in curfew ordinances upheld in Anchorage, Alaska (*Treacy v Municipality of Anchorage*, 91 P3d 252 [Alaska 2004]), the District of Columbia (*Hutchins*), Charlottesville, Virginia (*Schleifer by Schleifer v City of Charlottesville*, 159 F3d 843 [4th Cir 1998]), and Dallas, Texas (*Qutb v Strauss*, 11 F3d 488, 490 [5th Cir 1993]). However, even without that exception, I believe that the curfew ordinance in Rochester is merely a minimal intrusion on parents' rights. If the standard of review in this regard were strict scrutiny, I might conclude that the ordinance is not the least restrictive alternative means of achieving the City's purpose. But, applying intermediate scrutiny as the majority professes to, I believe that the curfew—which contains exceptions for minors who are accompanied by a parent, guardian or other responsible adult, those engaged in lawful employment or en route to or from such employment, those facing emergency circumstances, those who are "going to, attending, or returning home from an official school, religious, or other recreational activity sponsored and/or supervised by a public entity or a civic organization," those who are in a public place "for the specific purpose of exercising fundamental rights such as freedom of speech or religion or the right of assembly protected by the First Amendment of the United States Constitution or Article I of the Constitution of the State of New York," and those engaged in interstate travel—is narrowly tailored to serve its important government purpose of preventing juvenile crime (Rochester City Code § 45-4).

I do not believe that the Rochester city ordinance—replete as it is with exceptions guiding the conduct of police officers taking minors into what the majority concedes is protective custody (majority op at 42 n 2)—violates minors' rights under the Federal or State Constitution. Equipped with a parental consent exception, I think it might have been a model city curfew. It is regrettable that a curfew was determined to be necessary in Rochester; but it is equally regrettable if this Court prevents Rochester from implementing a reasonable plan to protect its youth.

For these reasons, I respectfully dissent.

Chief Judge LIPPMAN and Judges CIPARICK and READ concur with Judge JONES; Judge GRAFFEO concurs in result in a separate opinion; Judge PIGOTT dissents in another opinion in which Judge SMITH concurs.

Order affirmed, without costs.

[915 NE2d 608, 886 NYS2d 663]

BLOOMINGDALES, INC., Respondent, v NEW YORK CITY TRANSIT AUTHORITY, Appellant. NEW YORK CITY TRANSIT AUTHORITY, Third-Party Plaintiff-Appellant, v M-TRACK ENTERPRISES, INC., Third-Party Defendant-Appellant. M-TRACK ENTERPRISES, INC., Second Third-Party Plaintiff-Appellant, v JUDLAU CONTRACTING, INC., Second Third-Party Defendant-Appellant, et al., Second Third-Party Defendant. JUDLAU CONTRACTING, INC., Third Third-Party Plaintiff-Appellant, v JANUS INDUSTRIES, INC., Third Third-Party Defendant-Appellant.

Argued May 6, 2009; decided June 11, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 15, 2008. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, New York County (Robert D. Lippmann, J.; op 13 Misc 3d 1202[A], 2006 NY Slip Op 51642[U]), as had granted motions by defendant and third-party defendants M-Track Enterprises, Inc. and Judlau Contracting, Inc. for an order dismissing, as time-barred, plaintiff's causes of action for trespass and nuisance; (2) denied the motions; and (3) reinstated the causes of action. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Bloomingtondales, Inc. v New York City Tr. Auth., 52 AD3d 120, affirmed.

HEADNOTE

Limitation of Actions — When Cause of Action Accrues — Continuing Trespass — Private Nuisance

In an action for damages resulting from the severing of a drainpipe servicing plaintiff's premises and installation of conduit in its place during excavation work performed as part of a project undertaken by defendant New York City Transit Authority, trespass and private nuisance causes of action were viable, notwithstanding that the action was commenced more than one year and 90 days after the complained-of negligent act, the severing of the drainpipe (see General Municipal Law § 50-i; Public Authorities Law § 1212 [2]). Although plaintiff did not have exclusive possession of the area of the drainpipe, it had legal rights against trespass for an unlawful encroachment to its right-of-way. The trespass constituted an unlawful encroachment on plaintiff's property and was considered a continuous trespass giving rise to successive

causes of action. For the same reasons, plaintiff had a viable claim for private nuisance, because there was a continuous interference with plaintiff's right to use and enjoy its property right.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 643; AM JUR 2d, Nuisances §§ 24, 26, 42–46, 64–67, 96, 130, 295; AM JUR 2d, Trespass §§ 43, 54, 66, 174, 175.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:69, 144:71, 144:212, 144:213.

McKINNEY'S, General Municipal Law § 50-i; Public Authorities Law § 1212 (2).

NY JUR 2d, Government Tort Liability § 395; NY JUR 2d, Nuisances §§ 6, 37, 48; NY JUR 2d, Trespass §§ 10–12, 16, 49.

SIEGEL, NY PRAC §§ 32, 35.

ANNOTATION REFERENCE

See ALR Index under Drains and Drainage; Limitation of Actions; Notice of Claim; Nuisances; Trespass.

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Database: NY-ORCS

Query: trespass /p nuisance & continuing /3 tort & limitation

POINTS OF COUNSEL

Fabiani Cohen & Hall, LLP, New York City (*Lisa A. Sokoloff* of counsel), for appellant. I. New York City Transit Authority's conduit did not constitute a continuing trespass because it did not obstruct plaintiff's use of its easement. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *Kaplan v Incorporated Vil. of Lynbrook*, 12 AD3d 410; *Zimmerman v Carmack*, 292 AD2d 601; *Bogan v Town of Mt. Pleasant*, 278 AD2d 264; *Cranesville Block Co. v Niagara Mohawk Power Corp.*, 175 AD2d 444; *Oliphant v McCarthy*, 208 AD2d 1079; *Wilson v Palmer*, 229 AD2d 647; *Utrecht v 142 E. 49th St. Owners Corp.*, 29 AD3d 363; *Curwin v Verizon Communications [LEC]*, 35 AD3d 645; *Mangusi v Town of Mount Pleasant*, 19 AD3d 656.) II. Plaintiff's claims for the costs of repair of its drainpipe are time-barred. (*Klein v City of Yonkers*, 53 NY2d 1011; *Nebbia v County of Monroe*, 92 AD2d 724, 59 NY2d 603; *Matter of Witt v*

Town of Amherst, 17 AD3d 1030; *Porcaro v Town of Beekman*, 15 AD3d 377; *Scarfava v City of Newburgh*, 255 AD2d 436; *Stefanis v Town of Middletown*, 56 AD3d 980; *Stanton v Town of Southold*, 266 AD2d 277.)

Cerussi & Spring, P.C., White Plains (Kevin P. Westerman and Deborah R. Brancato of counsel), for third-party defendant-appellant. I. The New York City Transit Authority's conduit in the area of Bloomingdales, Inc.'s apparent easement is not a continuous trespass. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *Kaplan v Incorporated Vil. of Lynbrook*, 12 AD3d 410; *Krosky v Hatgipetros*, 150 AD2d 344; *509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *Cranesville Block Co. v Niagara Mohawk Power Corp.*, 175 AD2d 444; *Bogan v Town of Mt. Pleasant*, 278 AD2d 264, 97 NY2d 638; *Oliphant v McCarthy*, 208 AD2d 1079; *Covington v Walker*, 3 NY3d 287; *Sears, Roebuck & Co. v Enco Assoc.*, 43 NY2d 389; *Stanton v Town of Southold*, 266 AD2d 277.) II. The New York City Transit Authority's conduit in the area of Bloomingdales, Inc.'s easement did not create a substantial interference in the use and enjoyment of plaintiff's land and does not qualify as a private nuisance. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564.)

Biedermann, Reif, Hoenig & Ruff, P.C., New York City (Peter H. Cooper and Peter Hoenig of counsel), for second third-party defendant-appellant and third third-party plaintiff-appellant. The majority of the Appellate Division erred in reinstating the trespass and nuisance claims. (*Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564; *Congregation B'nai Jehuda v Hiye Realty Corp.*, 35 AD3d 311; *Ward v City of New York*, 15 AD3d 392; *509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48.)

Ahmuty, Demers & McManus, Albertson (Brendan T. Fitzpatrick of counsel), for third third-party defendant-appellant. Bloomingdales, Inc.'s trespass and nuisance claims were barred by the applicable statute of limitations, and Janus Industries, Inc. asks this Court to reverse and dismiss the complaint. (*Suffolk County Water Auth. v J.D. Posillico, Inc.*, 267 AD2d 301; *Cranesville Block Co. v Niagara Mohawk Power Corp.*, 175 AD2d 444; *Nebbia v County of Monroe*, 92 AD2d 724; *Rochester Gas & Elec. Corp. v City of Rochester*, 258 AD2d 945; *509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *Klein v City of Yonkers*, 53 NY2d 1011; *Covington v Walker*, 3 NY3d 287;

Copart Indus. v Consolidated Edison Co. of N.Y., 41 NY2d 564; *Domen Holding Co. v Aranovich*, 1 NY3d 117; *Nussbaum v Lacopo*, 27 NY2d 311.)

Lester Schwab Katz & Dwyer, LLP, New York City (*Harry Steinberg* and *Steven B. Prystowsky* of counsel), for respondent. I. The Appellate Division correctly found that defendants' placing of a conduit across Bloomingdales, Inc.'s easement was both a trespass and a nuisance and was, therefore, not time-barred. (*509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *State of New York v CSRI Ltd. Partnership*, 289 AD2d 394; *Sutton Investing Corp. v City of Syracuse*, 48 AD3d 1141; *Beneke v Town of Santa Clara*, 45 AD3d 1164; *Town of Saranac v Town of Plattsburgh*, 218 AD2d 866; *Sova v Glasier*, 192 AD2d 1069; *Matter of Wehlau v Town of Cortlandt*, 48 AD2d 901; *Nebbia v County of Monroe*, 92 AD2d 724; *Klein v City of Yonkers*, 53 NY2d 1011; *Bogan v Town of Mt. Pleasant*, 278 AD2d 264.) II. Appellants' arguments lack merit because they ignore that the conduit was a permanent trespass upon Bloomingdales, Inc.'s easement. (*509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48; *Bogan v Town of Mt. Pleasant*, 278 AD2d 264; *Cranesville Block Co. v Niagara Mohawk Power Corp.*, 175 AD2d 444; *Spier v Horowitz*, 16 AD3d 400; *Gerbis v Zumpano*, 7 NY2d 327; *Bertone Commissioning v City of New York*, 27 AD3d 222; *Matter of Ansong v City of New York*, 308 AD2d 333; *Miranda v New York City Tr. Auth.*, 262 AD2d 199; *Oliphant v McCarthy*, 208 AD2d 1079; *Stefanis v Town of Middletown*, 56 AD3d 980.)

OPINION OF THE COURT

PIGOTT, J.

In September 1999, third-party defendant Janus Industries, Inc., as part of a project undertaken by defendant New York City Transit Authority, began excavation work between 59th Street and 60th Street on the west side of Third Avenue in Manhattan. In the course of the work, Janus cut a working drainpipe that ran down from plaintiff Bloomingdales, Inc.'s roof, believing it to be a "dead" water main. It then installed a conduit encased in concrete in its place. Sometime thereafter, Bloomingdales experienced flooding on the lower level of its store when it rained. In February 2002, Bloomingdales hired a contractor, who excavated the area of the drainpipe, determined that it had been cut and discovered the conduit. Bloomingdales alleges it was required to install a new drainpipe above the conduit costing in excess of \$165,000.

After filing a notice of claim, Bloomingdales then commenced an action against the New York City Transit Authority, in January 2003, alleging causes of action for negligence, trespass and nuisance. Third- and fourth-party actions ensued involving various contractors and subcontractors on the project.

The Transit Authority and third-party defendants moved for summary judgment dismissing the complaint, invoking Public Authorities Law § 1212, General Municipal Law §§ 50-e and 50-i and CPLR 214, arguing that Bloomingdales' claim was barred by the statute of limitations because the action was commenced more than one year and 90 days after the complained-of negligent act—the severing of the drainpipe.

Supreme Court concluded that the moving parties established their entitlement to summary judgment, finding that, pursuant to the controlling statutes, the statute of limitations was triggered when the drainage pipe was severed in September 1999 (13 Misc 3d 1202[A], 2006 NY Slip Op 51642[U]). Bloomingdales appealed.

The Appellate Division reversed and reinstated the trespass and nuisance causes of action (52 AD3d 120 [2008]). The majority held that the concrete conduit “physically interrupted [Bloomingdales'] storm drainpipe and interfered with [Bloomingdales'] easement and right of access to the sewer” (*id.* at 123-124). Thus, it held that this was a “continuing” tort resulting in successive causes of action and because the claims were not tied to the single negligent act of severing the drainpipe, the actions were timely commenced (*id.* at 124).

The Appellate Division certified the following question to this Court: “Was the order of this Court, which reversed the order of Supreme Court, properly made?” We now answer the question in the affirmative.

Public Authorities Law § 1212 (2) and General Municipal Law § 50-i both require that an action for damage to real property be commenced within one year and 90 days after the occurrence of the event upon which the claim is based, irrespective of when the action accrued (*see Klein v City of Yonkers*, 53 NY2d 1011, 1013 [1981]). The Transit Authority and third-party defendants argue that this is the correct time period upon which to measure all of Bloomingdales' claims.

There is no dispute that if the happening of the event complained of by Bloomingdales was solely the severing of the drainpipe, all of the causes of action would be time-barred.

However, another act occurred here—the placement of the conduit.

The essence of trespass to real property is injury to the right of possession, and such trespass may occur under the surface of the ground. A person need not have title to the property, but must simply have sufficient property rights to maintain an action for trespass (*see* 87 CJS, Trespass § 30). Although Bloomingdales did not have exclusive possession of the area of the drainpipe, it still had legal rights against trespass for an unlawful encroachment to its right-of-way. We have held that a trespass that constitutes an unlawful encroachment on a plaintiff's property will be considered a continuous trespass giving rise to successive causes of action (*509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48 [1964]). Thus, for purposes of the statute of limitations, suits will only be time-barred by the expiration of such time as would create an easement by prescription or change of title by operation of law (*id.*).

Here, the presence of the concrete conduit interfered with Bloomingdales' access to its drainpipe and ultimately the city sewer, and as a result, Bloomingdales was required to install a new pipe following a new path over the conduit. Notably, the actual damages sought by Bloomingdales did not arise from the mere severance of its drainpipe, but from the need to install the new drainpipe in a different location. Thus, because the conduit encroached on Bloomingdales' right-of-way, we find that the Appellate Division correctly concluded that Bloomingdales has a viable cause of action sounding in trespass, for which the statute of limitations has not yet run.

For the same reasons, we find that there is a viable claim for private nuisance, which is, in this case, simply another way of characterizing the trespass claim. There was a continuous interference with Bloomingdales' right to use and enjoy its property right, and as such the same statute of limitations as the trespass applies.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question should be answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[915 NE2d 611, 886 NYS2d 666]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ERIC
BAILEY, Appellant.

Argued May 6, 2009; decided June 11, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 8, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Richard D. Carruthers, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the first degree and two counts of attempted grand larceny in the fourth degree.

People v Bailey, 50 AD3d 343, modified.

HEADNOTE

Crimes — Possession of Forged Instrument — Sufficiency of Evidence

Defendant's knowing possession of counterfeit bills in a shopping district was insufficient to support his conviction of criminal possession of a forged instrument in the first degree (Penal Law § 170.30). Knowledge that the instrument was forged and "intent to defraud, deceive or injure another" are two separate elements of the crime that must each be proven beyond a reasonable doubt by the People. Drawing the inference of defendant's intent to defraud, deceive or injure another from his knowledge that the bills were counterfeit improperly shifted the burden of proof with respect to intent from the People to the defendant. The only reasonable inference to be drawn by the jury was that defendant's conduct was common to larceny, a crime completely unrelated to possession of a forged instrument. When the Legislature intends for there to be a presumption or inference of intent by mere possession, it so specifies in the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Forgery §§ 4, 5, 30, 53.

McKINNEY's, Penal Law § 170.30.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1145, 1150, 1154.

ANNOTATION REFERENCE

See ALR Index under Counterfeits and Counterfeiting; Forgery.

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Query: possession /4 forged /2 instrument /4 first & counterfeit & infer! /5 intent

POINTS OF COUNSEL

Bryan Cave LLP, New York City (*John D. Kircher* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Eunice C. Lee* of counsel), for appellant. I. Mr. Bailey's conviction for criminal possession of a forged instrument in the first degree should be reversed because the evidence, which established only possession, was legally insufficient to prove that he intended to defraud, deceive or injure another person through the use of a forged instrument. (*People v Danielson*, 9 NY3d 342; *People v Washington*, 8 NY3d 565; *People v Conway*, 6 NY3d 869; *People v Castillo*, 47 NY2d 270; *People v Pena*, 50 NY2d 400; *People v Lewis*, 275 NY 33; *People v Vesprey*, 183 AD2d 212; *People v Stevens*, 109 NY 159; *People v Atkinson*, 21 AD3d 145, 7 NY3d 765; *People v Briggins*, 50 NY2d 302.) II. Mr. Bailey's pre-*Miranda* statement, made while he was in custody and in response to police comments, should have been suppressed as the result of an unlawful interrogation. (*Brown v Illinois*, 422 US 590; *Berkemer v McCarty*, 468 US 420; *People v Anderson*, 69 NY2d 651; *Rhode Island v Innis*, 446 US 291; *People v Velasquez*, 68 NY2d 533; *People v Maerling*, 46 NY2d 289, 64 NY2d 134; *People v Ferro*, 63 NY2d 316; *People v Stoesser*, 53 NY2d 648; *People v Douglas*, 124 AD2d 815, 133 AD2d 167.)

Robert M. Morgenthau, District Attorney, New York City (*Olivia Sohmer* and *Alan Gadlin* of counsel), for respondent. I. Defendant's statement was properly admitted, as it was not the product of interrogation or its functional equivalent. (*Miranda v Arizona*, 384 US 436; *People v Ferro*, 63 NY2d 316; *Rhode Island v Innis*, 446 US 291; *People v Rivers*, 56 NY2d 476; *People v Davis*, 32 AD3d 445; *People v Lawrence*, 25 AD3d 498; *People v Atkins*, 273 AD2d 12; *People v McMickel*, 251 AD2d 155; *People v McConnell*, 233 AD2d 867; *People v Wilson*, 210 AD2d 520.) II. The totality of the circumstances proved at trial provided legally sufficient evidence that defendant possessed the counterfeit bills with intent to defraud, deceive or injure another. (*People v Santi*, 3 NY3d 234; *People v Cintron*, 95 NY2d 329; *People v Acosta*, 80 NY2d 665; *People v Tejeda*, 73 NY2d 958; *People v Kennedy*, 47 NY2d 196; *People v Montanez*, 41 NY2d 53; *People v Steinberg*, 79 NY2d 673; *People v Barnes*, 50 NY2d 375; *People v Castillo*, 47 NY2d 270; *People v Norman*, 85 NY2d 609.)

OPINION OF THE COURT

JONES, J.

The question before the Court is whether the evidence was legally sufficient to convict defendant of criminal possession of a forged instrument in the first degree. We hold that it was not.

Due to reports of increased thefts in Midtown Manhattan, a plainclothes team of officers, including Police Officer Murphy and Sergeant Fressle, was on the lookout for pickpockets. Defendant Eric Bailey caught their attention. The team observed him enter and leave eight fast food restaurants in the 34th Street area. In the various restaurants he entered, defendant walked around the dining area, looked around, but never looked at the menu or made a purchase. In one restaurant, he was observed attempting to take the purse of a female customer by sticking his hand through a partition which separated his seat from this customer. Apparently sensing his hand near her purse, the woman moved the purse and put it on her lap. Defendant was later observed in another restaurant where he sat, back-to-back, with another woman customer. In this encounter, the team observed him extend his arms around his chair in an attempt to reach her handbag. Later, they noticed that her coat pocket had been turned inside out. Following these observations, defendant was placed under arrest. At the precinct, defendant was searched by Sergeant Fressle and three counterfeit \$10 bills were recovered from his pocket. When Sergeant Fressle recovered the bills he handed them to Officer Murphy who remarked that the bills were counterfeit. Defendant overheard the remark and reportedly said, “[y]ou got me for the counterfeit money, but I didn’t have my hand near the purse.” Defendant moved prior to trial to suppress the statement. Although defendant had not received *Miranda* warnings, the trial court denied the motion to suppress his statement on the ground that it was voluntary and not the result of interrogation or police conduct reasonably likely to elicit an incriminating response. The court found that the police officer’s remark to his fellow officer was “merely a interjection of the briefest sort occurring during arrest processing after Fressle found the ten-dollar bills during the search.”

After a jury trial, defendant was convicted of two counts of attempted grand larceny in the fourth degree and possession of a forged instrument in the first degree. Defendant moved to set aside the verdict on the forgery count, arguing that the

evidence was insufficient to prove that he had the culpable mental state necessary to commit the crime. Under Penal Law § 170.30, “[a] person is guilty of criminal possession of a forged instrument in the first degree when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument of a kind specified in section 170.15.”¹ In support of the motion, defendant argues that the evidence was insufficient to prove his “intent to defraud, deceive or injure another.”

In opposition, the People argue that defendant’s statement was proof of his knowledge that the bills were counterfeit and consequently evidence of his criminal intent. In finding the evidence legally sufficient, the trial court dismissed the motion and concluded, “[w]hy would Bailey, already embarked upon a brazen effort to commit theft, carry currency in his pocket that he knew to be bogus unless his plan was to pass it off to an unsuspecting storekeeper, newsvendor, or fast food worker?”

The Appellate Division affirmed defendant’s conviction on all three counts (50 AD3d 343 [2008]). Relying on *People v Danielson* (9 NY3d 342 [2007]), the court rejected defendant’s challenges to the sufficiency and weight of the evidence supporting the “intent” element of Penal Law § 170.30 of his forged instrument conviction. The court reasoned that the totality of the evidence, including defendant’s statement to the police evincing a consciousness of guilt, and the lack of any reason for the defendant to be carrying counterfeit bills in a shopping district other than to pass them, supported the inference that he possessed the bills with the requisite intent. A Judge of this Court granted defendant leave to appeal (11 NY3d 785 [2008]) and we now modify by dismissing the possession of a forged instrument count.

“A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*Danielson*, 9 NY3d at 349 [citations and internal quotation marks omitted]). A sufficiency inquiry

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1. Penal Law § 170.15 provides in relevant part that
“A person is guilty of forgery in the first degree when, with intent to defraud, deceive or injure another, he falsely makes, completes or alters a written instrument which is or purports to be, or which is calculated to become or to represent if completed:
“1. Part of an issue of money”

requires a court “to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained [their] burden of proof” (*id.* at 349). In viewing the facts in this case we hold that the proof was legally insufficient as to intent.

The People argue that it was reasonable for the jury to infer defendant’s intent to defraud, deceive or injure another with counterfeit bills because of his knowledge that he possessed counterfeit bills and his attempt to steal property in a commercial district. The People rely on *People v Bracey* (41 NY2d 296 [1977]) and *People v Dallas* (46 AD3d 489 [1st Dept 2007]) for support. However, the People’s reliance on these cases is misplaced.

In *Bracey*, two defendants, after exiting a car which had its license plate removed, entered a store armed with a gun concealed in a bag. They made a token purchase in the store and looked around. Once they left the store, they split up and exchanged the bag with the gun. One defendant drove the car around the block and parked it down the street from the store. The second defendant entered the store with the gun drawn. In determining that defendants were properly convicted at their jury trial, this Court noted: “Under all the circumstances the jury could well find that the defendants, who acted together throughout, had reconnoitered the store and returned to rob it. In fact the only thing that could have made this intention plainer was an actual demand for money” (*Bracey*, 41 NY2d at 302). In *Dallas*, the defendant possessed 12 forged documents including multiple documents in the name of one individual which he admitted that he intended to sell to other persons.

Clearly, *Bracey* and *Dallas* are distinguishable from the case at bar. In those cases, the criminal intent is specific to the very crime they committed. Here, the only reasonable inference to be drawn by the jury is that defendant’s conduct was common to larceny, a crime completely unrelated to possession of a forged instrument.

There is no dispute that defendant’s inculpatory statement proved that he knew the bills were counterfeit. However, knowledge alone is not sufficient to hold defendant criminally liable for possessing a forged instrument. Knowledge and intent are two separate elements that must each be proven beyond a reasonable doubt by the People. Simply put, drawing the inference of defendant’s intent from his knowledge that the bills were counterfeit improperly shifts the burden of proof with respect to

intent from the People to the defendant. Stated another way, by ruling that the evidence was sufficient to sustain defendant's conviction of possession of a forged instrument, the lower courts have effectively stripped the element of intent from the statute and criminalized knowing possession.

In addition, we reject the People's argument that the requisite intent for possessing a forged instrument can be drawn from defendant's presence in a shopping district, his possession of counterfeit bills, and his larcenous intent. Both the trial court and the Appellate Division questioned why the defendant was in a shopping area with the bills. They concluded defendant lacked a reason, other than to pass them. However, the intent to commit a crime must be specific to the crime charged (*see e.g. People v Morales*, 130 AD2d 366 [1st Dept 1987] [where proof of the intent to injure a victim, which is sufficient to establish assault, may not be relied upon to establish the culpability requirements of robbery]).

Furthermore, when the Legislature intends for there to be a presumption or inference of intent by mere possession, it so specifies in the statute. In Penal Law § 170.27, which relates to forged credit and debit cards, the statute provides that a person who possesses two or more such cards is "presumed to possess the same with knowledge that they are forged and with the intent to defraud, deceive or injure another." Similar statutory presumptions of intent are found in other Penal Law statutes (*see e.g.* Penal Law § 158.00 [2] [a] [relates to welfare fraud—"A person who possesses five or more public benefit cards in a name or names other than his or her own is presumed to possess the same with intent to defraud, deceive or injure another"]; Penal Law § 235.10 [2] [relates to promotion of obscene articles—"A person who possesses six or more identical or similar obscene articles is presumed to possess them with intent to promote the same"]]). Unlike these statutes, there is no statutory presumption regarding counterfeit bills. The Legislature could have easily created such a presumption. Instead, it required the People to prove not only that defendant knew the bills were counterfeit but that he intended to use them to defraud, deceive or injure another.²

Defendant's remaining argument regarding the admission of the statement lacks merit.

2. In fact, it can be argued that the evidence proves the lack of intent to pass counterfeit bills. The police observed defendant for at least 1½ hours, in

(n. cont'd)

Accordingly, the order of the Appellate Division should be modified by dismissing the count of the indictment charging criminal possession of a forged instrument in the first degree and remitting to Supreme Court for resentencing and, as so modified, affirmed.

PIGOTT, J. (dissenting in part). Although the majority has set forth the proper standard of review to be applied in this case, I nevertheless respectfully dissent because I believe both the trial court and the Appellate Division correctly applied that standard and reached the correct decision.

In my view, the majority's analysis is clouded by the fact that defendant was charged with the two purse-snatching misdemeanors in addition to felony possession of a forged instrument. The majority seems to conclude that because defendant was up to a different larcenous escapade at the time of his arrest, the sufficiency of the evidence with respect to the forgery is weakened or lacking. I disagree. Indeed, had the People elected not to pursue the two attempted purse-snatching charges, the intent element of the possession of a forged instrument charge becomes clear.

The People were required to prove that defendant knowingly possessed the counterfeit bills with the "intent to defraud, deceive or injure another" (Penal Law § 170.30). As the majority notes, the defendant's intent must be specific to the crime (*see* majority op at 72), but the specific intent required for possession of a forged instrument is a state of mind that may be inferred from defendant's actions and the surrounding circumstances (*see e.g. People v Barnes*, 50 NY2d 375, 381 [1980]). The intent to defraud or deceive need not be targeted to any specific person; a general intent to defraud suffices (*see People v Dallas*, 46 AD3d 489, 491 [1st Dept 2007]). Nor does the statute require the People to prove that defendant attempted to use the counterfeit bills. They need only show that defendant possessed the counterfeit bills with the requisite mental state.

Here, the relevant evidence shows that defendant was going from one fast food restaurant to another in a busy shopping district. He was carrying the counterfeit bills in his pants pocket—where one would ordinarily carry spending money. All

which he never made a purchase, looked at a menu, stood in line nor did he approach a counter. If anything, we can infer that his sole intent was to steal real currency from unsuspecting customers. The evidence provided by the People only gives rise to suspicion and conjecture that defendant intended to pass or utter the counterfeit bills (*see People v Lewis*, 275 NY 33 [1937]).

the while, he was engaging in larcenous behavior. Upon his arrest, he admitted “[y]ou got me for the counterfeit money,” and then stated “but I didn’t have my hand near the purse.” The majority, as well as the defendant, concede that this statement proves that defendant knew the bills were counterfeit. But it does more—it shows that defendant had a guilty mind with respect to his possession of the bills. Under these circumstances, it was reasonable for the jury to conclude that there was no other logical explanation for defendant’s possession of the bills, except to pass them when the opportunity arose.

Accordingly, viewing the evidence in the light most favorable to the People, I believe the evidence was legally sufficient to permit the charge to be submitted to the jury and I would therefore affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and READ concur with Judge JONES; Judge PIGOTT dissents in part and votes to affirm in a separate opinion in which Judge SMITH concurs.

Order modified, etc.

[913 NE2d 387, 885 NYS2d 1]

In the Matter of FAITH ANN PEASLEE and Others.

GEORGE M. REIBER, Appellant, v GMAC, LLC, et al., Respondents.

Argued June 2, 2009; decided June 24, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Is the portion of an automobile retail installment sale attributable to a trade-in vehicle’s ‘negative equity’ a part of the ‘purchase-money obligation’ arising from the purchase of a new car, as defined under New York’s U.C.C.?”

HEADNOTE

Sales — Retail Installment Sales — Purchase-Money Security Interest

The portion of an automobile retail installment sale attributable to a trade-in vehicle’s negative equity is a part of the purchase-money obligation arising from the purchase of a new car, as defined under New York’s UCC. Pursuant to UCC 9-103, a purchase-money obligation may arise where the obligor—the debtor—incurs an obligation as all or part of the “price” of the collateral, or where “value” is given to enable the debtor to acquire the collateral. Negative equity fits within either definition. The term “price” under New York’s UCC is broad enough to encompass negative equity financing. Negative equity is part of the overall price of a new vehicle because the negative equity from the trade-in is often “rolled in” as part of the overall price of the newer vehicle to facilitate the transaction. It follows, then, that under New York’s UCC negative equity constitutes “an obligation . . . incurred as all or part of the price of the collateral.” With respect to “value given,” when a lender finances the purchase of a new vehicle and a portion of that financing pays off the negative equity owed on the trade-in, that loan constitutes a purchase-money obligation of the buyer; the purchased vehicle constitutes purchase-money collateral and the security interest obtained by the lender is a purchase-money security interest (PMSI). Because the financing of the negative equity is inextricably linked to the financing of the new car, there is a close nexus between the acquisition of collateral and the secured obligation, as required for the existence of a PMSI.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Secured Transactions §§ 69–71.

McKINNEY's, UCC 9-103.

NY JUR 2d, Automobiles and Other Vehicles § 356; NY JUR 2d, Secured Transactions §§ 72, 174.

WHITE AND SUMMERS, UNIFORM COMMERCIAL CODE § 31-6.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Secured Transactions; Trade-ins.

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POINTS OF COUNSEL

Law Office of George M. Reiber, Rochester (George M. Reiber of counsel), for appellant, and George M. Reiber, appellant pro se. I. Negative equity is not part of the obligation incurred to acquire collateral under UCC 9-103 (a) (2). II. Negative equity represents an obligation which existed before the collateral was obtained. It is a separate debt which, whether secured or unsecured under the prior transaction, is certainly an unsecured debt from the prior transaction which is being included in the current transaction. It is not a similar obligation that a seller would incur. (*In re Graupner*, 537 F3d 1295.) III. If the District Court's decision is allowed to stand, then there is no limit to what antecedent debt may be included for payment under its expanded definition of purchase-money security interest. IV. Value must be used to acquire the collateral which is the subject of the new lien. The check that is written to the lienholder on the trade-in vehicle is not value in fact so used to purchase the subject collateral. V. The Motor Vehicle Retail Instalment Sales Act cannot be used to interpret the Uniform Commercial Code. (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Becker v Huss Co.*, 43 NY2d 527; *H. Kauffman & Sons Saddlery Co. v Miller*, 298 NY 38; *Bluebird Partners v First Fid. Bank*, 97 NY2d 456; *Matter of Plato's Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Meegan v Progressive Ins. Co.*, 43 AD3d 182.)

Stinson Morrison Hecker LLP (Barkley Clark and Katherine M. Sutcliffe Becker, of the District of Columbia bar, admitted pro hac vice of counsel), and Peter N. Cubita, New York City, for

GMAC LLC and another, respondents. I. The Uniform Commercial Code definition of a “purchase-money obligation” includes the net negative equity obligation financed under a motor vehicle retail instalment sale contract. (*Fidelity & Deposit Co. of Md. v Chemical Bank N.Y. Trust Co.*, 62 Misc 2d 509, 65 Misc 2d 619; *In re Yale Express Sys., Inc.*, 370 F2d 433; *United States v Ron Pair Enterprises, Inc.*, 489 US 235; *In re Graupner*, 537 F3d 1295; *C. Bean Lbr. Transp., Inc. v United States of Am.*, 68 F Supp 2d 1055; *In re Freeman*, 956 F2d 252; *General Elec. Capital Commercial Auto. Fin. v Spartan Motors*, 246 AD2d 41; *National Cash Register Co. v Mishkin’s 125th St.*, 65 Misc 2d 386; *General Motors Acceptance Corp. v Stotsky*, 60 Misc 2d 451.) II. The Motor Vehicle Retail Instalment Sales Act is not principally a financial disclosure statute. (*In re Graupner*, 537 F3d 1295; *Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791.) III. Pandora’s box is firmly locked by the Uniform Commercial Code “close nexus” test and the Motor Vehicle Retail Instalment Sales Act restriction on amounts that may be financed in connection with motor vehicle retail instalment sales. IV. The Federal Truth in Lending Act precludes “manipulation” by regulating the disclosure of negative equity financed under a retail instalment sale contract. V. If the Court concludes that the net negative equity obligation is not a “purchase-money obligation,” the dual status rule should be applied to the purchase-money portion of the obligation. (*Pristas v Landaus of Plymouth, Inc.*, 742 F2d 797; *National Cash Register Co. v Mishkin’s 125th St.*, 65 Misc 2d 386; *In re Freeman*, 956 F2d 252.) VI. The trustee’s remaining arguments, which are unsupportable and/or fanciful, cannot withstand minimal scrutiny. (*Bucyrus-Erie Co. v Casey*, 61 F2d 473.)

Law Offices of David B. Shaev, New York City (*David B. Shaev* of counsel), for Ingrid M. Hillinger and others, amici curiae. I. The price of collateral is relevant only when determining a debtor’s purchase-money obligation to a seller: value given to enable the acquisition of rights in collateral applies when determining a debtor’s purchase-money obligation to a lender. II. Negative equity is antecedent debt. III. UCC 9-103’s “purchase-money obligation” does not include antecedent debt and, therefore, does not include negative equity. IV. According to the case law, “purchase-money obligation” does not include antecedent debt. (*In re Harper*, 516 F3d 1180.) V. UCC 9-103, Comment 3’s reference to obligations for expenses incurred in acquiring rights in the collateral including sales taxes, duties, finance charges “and other similar obligations” does not include

obligations incurred to satisfy antecedent debt. (*Bucyrus-Erie Co. v Casey*, 61 F2d 473; *In re Halferty*, 136 F2d 640.) VI. The pre-Uniform Commercial Code purchase-money concept did not include antecedent debt. (*United States v New Orleans R. Co.*, 12 Wall [79 US] 362; *Venner v Farmers' Loan & Trust Co. of N.Y.*, 90 F 348; *Westinghouse Elec. & Mfg. Co. v Brooklyn R.T. Co.*, 276 F 152; *Harris v Youngstown Bridge Co.*, 90 F 322.) VII. The doctrine of *in pari materia* does not require reading the New York Motor Vehicle Retail Instalment Sales Act and the Uniform Commercial Code together. (*Brooks v Avery*, 4 NY 225; *Morris Plan Indus. Bank of Schenectady v Faulds*, 269 App Div 238; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *81 Franklin Co. v Ginaccini*, 149 Misc 2d 124.) VIII. Interpreting “purchase-money obligation” to include antecedent debt would alter its well-established meaning and upset carefully calibrated federal and state loss allocation principles based on that well-established meaning.

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit, by certified question, asks us to decide whether “the portion of an automobile retail instalment sale attributable to a trade-in vehicle’s ‘negative equity’ [is] a part of the ‘purchase-money obligation’ arising from the purchase of a new car, as defined under New York’s U.C.C.?” (547 F3d 177, 186 [2d Cir 2008].) We find that it is.

I.

On August 28, 2004, Faith Ann Peaslee entered into a retail instalment contract for the purchase of a 2004 Pontiac Grand Am.¹ As part of the transaction, Peaslee traded in her vehicle, which had a negative trade-in value, or negative equity, of \$5,980.² That amount was rolled into the financing of her new car along with other charges, resulting in financing totaling \$23,180. The lien against the trade-in was paid off by the dealer, and the dealer’s security interest in the new vehicle was assigned to GMAC, LLC.

Nearly two years after purchasing her new vehicle, Peaslee filed for chapter 13 bankruptcy and a trustee was appointed to

1. Although this lawsuit involves five different debtors, the Second Circuit chose to relate the facts pertaining to only one debtor—Peaslee—as representative of each of the cases. We do the same.

2. In automobile industry parlance, “negative equity” occurs when the trade-in vehicle is subject to a lien that exceeds the vehicle’s value.

handle the estate. As part of her bankruptcy plan, Peaslee proposed that she retain possession of the vehicle and that, pursuant to United States Bankruptcy Code (11 USC) § 506 (a) (1),³ GMAC's secured claim would be reduced to \$10,950, representing the alleged retail value of the vehicle. Under Peaslee's proposal, the remaining amount owed to GMAC, \$6,954.95, would be treated as an unsecured claim.

GMAC objected to this characterization of its claim and argued that, pursuant to the "hanging paragraph" set forth in Bankruptcy Code § 1325 (a), it was entitled to have the entire \$17,904.95 treated as a secured claim. The "hanging paragraph," which was enacted as part of the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005, states, in pertinent part, that

"[f]or purposes of paragraph (5), [Bankruptcy Code] section 506 shall not apply to a claim described in that paragraph *if the creditor has a purchase money security interest securing the debt that is the subject of the claim*, the debt was incurred within the 910-day [*sic*] preceding the date of the filing of the petition, and the collateral for that debt consists of a motor vehicle (as defined in section 30102 of title 49) acquired for the personal use of the debtor" (emphasis supplied).

The trustee moved to have the Bankruptcy Court determine that GMAC had a secured claim of \$10,950 and only an unsecured claim for the balance. The Bankruptcy Court did just that, and held that the term "purchase money security interest" (PMSI), as set forth in New York's Uniform Commercial Code, did not include negative equity (358 BR 545, 558 [WD NY 2006]). The United States District Court for the Western District of New York reached the opposite conclusion (373 BR 252, 258-261 [WD NY 2007]). The Second Circuit, noting that Congress failed to provide a definition of purchase-money security interest either in the hanging paragraph or elsewhere, concluded "that state law governs the definition of PMSI in the hanging

3. This provision states, in pertinent part, that

"[a]n allowed claim of a creditor secured by a lien on property in which the estate has an interest . . . is a secured claim to the extent of the value of such creditor's interest in the estate's interest in such property . . . and is an unsecured claim to the extent that the value of such creditor's interest . . . is less than the amount of such allowed claim."

paragraph” and certified to us the question of whether the New York Uniform Commercial Code considers that portion of a retail instalment sale attributable to the negative equity of a trade-in vehicle to be part of the purchase-money obligation arising from the sale of a new car (547 F3d 177, 184, 186 [2008]).

For the reasons that follow, we answer the question in the affirmative.

II.

“A security interest in goods is a purchase-money security interest . . . to the extent that the goods are purchase-money collateral with respect to that security interest” (UCC 9-103 [b] [1]). Purchase-money collateral is defined as “goods or software that secures a purchase-money obligation incurred with respect to that collateral” (UCC 9-103 [a] [1]). A purchase-money obligation is “an obligation of an obligor incurred as all or part of the *price* of the collateral or for *value given* to enable the debtor to acquire rights in or the use of the collateral if the value is in fact so used” (UCC 9-103 [a] [2] [emphasis supplied]). The UCC therefore establishes two ways that a purchase-money obligation may arise: (1) where the obligor—the debtor—incurs an obligation as all or part of the “price” of the collateral, or (2) where “value” is given to enable the debtor to acquire the collateral. We conclude that the “negative equity” here fits within either definition.

III.

Addressing “price” first, although that term is not defined by New York’s UCC, the expansive examples given in an official comment concerning what items constitute the “price of the collateral” indicate that the term “price” should be afforded a broad interpretation. Specifically, with respect to a purchase-money obligation,

“ ‘*price*’ of collateral or the ‘value given to enable’ includes obligations for expenses incurred in connection with acquiring rights in the collateral, sales taxes, duties, finance charges, interest, freight charges, costs of storage in transit, demurrage, administrative charges, expenses of collection and enforcement, attorney’s fees, and *other similar obligations*” (UCC 9-103, Comment 3 [emphasis supplied]).

The list of examples in Comment 3 that clarify “price” is representative, not exhaustive, and cannot be read to limit those “other similar obligations” to the 10 items preceding that term, all of which are clearly either transaction costs and/or components of price. Indeed, the phrase “and other similar obligations” intimates that “price” under New York’s UCC is broad enough to encompass negative equity financing. For instance, just as “finance charges” and “interest” constitute obligations that are paid over and above the vehicle’s actual cost (such charges being incurred as part of the overall financing of the vehicle), negative equity is likewise part of the overall price of a new vehicle. Moreover, negative equity constitutes an obligation that fits comfortably within the “other similar obligations” language in Comment 3, particularly in regard to automobile sales because the negative equity from the trade-in is often “rolled in” as part of the overall price of the newer vehicle to facilitate the transaction. It follows, then, that under New York’s UCC negative equity constitutes “an obligation . . . incurred as all or part of the price of the collateral.”

This broad interpretation of the term “price” to include negative equity furthers New York’s policy that the UCC “be liberally construed and applied to promote its underlying purposes and policies,” including “the continued expansion of commercial practices through custom, usage and agreement of the parties” (UCC 1-102 [1], [2] [b]). After all, the parties to the instant transaction agreed that the negative equity from the older vehicle would be “rolled-in” as part of the purchase price of the newer vehicle, not an uncommon practice in the realm of automobile sales (*see In re Graupner*, 537 F3d 1295, 1303 [11th Cir 2008]), thereby furthering the policy of facilitating commercial transactions. Indeed, to exclude negative equity as part of the “price” would serve to hinder commercial practices rather than facilitate them.

Additionally, and not inconsequentially, New York has defined “price” in its Motor Vehicle Retail Instalment Sales Act (MVRISA) to include negative equity (*see* Personal Property Law § 301 [6]). Under the MVRISA, “cash sale price” can “include the unpaid balance of any amount financed under an outstanding motor vehicle loan agreement or motor vehicle retail instalment contract or the unpaid portion of the early termination obligation under an outstanding motor vehicle retail lease agreement” (*id.*).

IV.

Turning to “value given,” we likewise disagree with the trustee’s contention that negative equity is not related to the acquisition of collateral because it is merely a payoff of an antecedent debt such that it cannot be deemed “value given to enable the debtor to acquire rights in or the use of the collateral if the value is in fact so used” (UCC 9-103 [a] [2]).

By paying off the outstanding debt on the trade-in, a lender is giving “value” to the debtor in order to allow, or “enable,” the debtor to purchase, or “acquire rights in,” the vehicle (*see In re Price*, 562 F3d 618, 625 [4th Cir 2009]). When a lender finances the purchase of a new vehicle and a portion of that financing pays off the negative equity owed on the trade-in (i.e., “the value is in fact so used” [UCC 9-103 (a) (2)]), that loan constitutes a purchase-money obligation of the buyer, the purchased vehicle constitutes purchase-money collateral, and the security interest obtained by the lender is a PMSI.

V.

Finally, Comment 3 instructs that the existence of a PMSI also “requires a close nexus between the acquisition of collateral and the secured obligation” (UCC 9-103, Comment 3); and that requirement has plainly been met here. Without a payoff of the trade-in debt, the buyer will generally not be able to consummate the purchase of the newer car, and the financing of the negative equity is thus integral to the completion of the sale (*see generally Graupner*, 537 F3d at 1302).

Here, Peaslee’s debt to GMAC was incurred at the time of the trade-in, under the same retail instalment contract and for the same purpose of purchasing the Grand Am. Simply put, the financing of the negative equity was “inextricably linked to the financing of the new car” (*In re Petrocci*, 370 BR 489, 499 [ND NY 2007]), thereby satisfying the “close nexus” requirement under the New York UCC.

Accordingly, the certified question should be answered in the affirmative.

SMITH, J. (dissenting). The majority interprets the term “purchase-money security interest” (PMSI) in the Uniform Commercial Code (UCC) without considering what a PMSI is or why it exists. When the nature and purpose of a PMSI are understood, I think it becomes apparent that the majority’s interpretation is wrong.

I

Before turning to the nature and function of a PMSI, I will discuss the language of UCC 9-103 and of Comment 3 accompanying it—considering this language, as the majority does, essentially in a vacuum. Even from that viewpoint, I do not find the majority’s interpretation convincing.

As the majority explains, the UCC definitions of a PMSI, “purchase-money collateral” and “purchase-money obligation” interlock (*see* majority op at 80). The critical definition is of “purchase-money obligation”: “an obligation of an obligor incurred as all or part of the price of the collateral or for value given to enable the debtor to acquire rights in or the use of the collateral if the value is in fact so used” (UCC 9-103 [a] [2]). The question the Second Circuit has asked us is, in substance, whether “price” or the more cumbersome term “value given to enable the debtor to acquire” includes the obligation of an automobile purchaser to a seller, or money borrowed by such a purchaser from a lender, when that seller or lender, in connection with the purchase of a new car, refinances the purchaser’s “negative equity”—i.e., the amount the purchaser owes on her old car in excess of the old car’s value. “Price” and “value given to enable” are not defined in the statute but are explained in Comment 3 to UCC 9-103:

“As used in subsection (a) (2), the definition of ‘purchase-money obligation,’ the ‘price’ of collateral or the ‘value given to enable’ includes obligations for expenses incurred in connection with acquiring rights in the collateral, sales taxes, duties, finance charges, interest, freight charges, costs of storage in transit, demurrage, administrative charges, expenses of collection and enforcement, attorney’s fees, and other similar obligations.”

Simply from reading this language, I find it a stretch to say that an obligation for refinanced negative equity is among the “expenses incurred in connection with acquiring” a new car. A refinanced loan is not, in accounting terms, properly speaking, an “expense” at all; it is the substitution of a new liability for an old one. The majority finds that negative refinancing is included in the catchall phrase “other similar obligations.” But the items listed in the comment are essentially transaction costs (*see In re Mitchell*, 379 BR 131, 137 n 8 [Bankr, MD Tenn 2007]), and refinanced negative equity is not “similar” to them; it will

typically be larger, and more readily separable from the purchase transaction itself, than such things as sales taxes, duties and finance charges.

Still, I am willing to concede that the terms “price” and “value given” in UCC 9-103 (a) (2), as explained by Comment 3, are ambiguous if read without reference to the purpose for which that statute was enacted. When that purpose is considered, however, the ambiguity disappears.

II

The reason why a PMSI is defined in article 9 of the UCC is that certain sections of that article “provide special priority rules for purchase-money security interests” (UCC 9-103, Comment 2). Most important, under UCC 9-324 (a), a PMSI has, with certain exceptions, “priority over a conflicting security interest in the same goods.” This means that someone who sells goods on credit, or lends money to finance their purchase, can get a lien on the goods that is superior to the lien of a previous lender, even if that lender has a perfected security interest in all of the buyer’s property, whenever acquired. The general idea is that someone who provides the credit that makes possible the purchase of goods should have the first claim to them. As the Bankruptcy Appellate Panel of the Ninth Circuit has explained:

“Holders of PMSIs in goods or software can obtain priority over a prior-filed lien; this is an exception to the general ‘first in time is first in priority’ structure used by the UCC. UCC § 9-324. This exception has generally been justified on equitable notions: it protects vendors of goods from after-acquired property clauses generally used by banks and financiers. See [2 GRANT] GILMORE [Security Interests in Personal Property § 28.1], at 779 (‘What might be called the “Don’t be a Pig” school of advice to Article 9 lenders has a fashionable currency and may be expected to have some influence on lending patterns.’); James J. White, *Reforming Article 9 in Light of Old Ignorance and the New Filing Rules*, 79 MINN. L.REV. 529, 562 (1995) (‘[T]he most persuasive claim for purchase money priority is the fairness argument—that reasonable businesspeople expect to have priority when they sell goods from their own stock.’)” (*In re Penrod*, 392 BR 835,

845-846 [BAP 9th Cir 2008]; *see also* Gilmore, *The Purchase Money Priority*, 76 Harv L Rev 1333 [1963].)

Thus, the Second Circuit's question—whether a “purchase-money obligation” (i.e., an obligation secured by a PMSI) includes “the portion of an automobile retail instalment sale attributable to a trade-in vehicle's ‘negative equity’ ”—may be rephrased in this way: “Is a lien resulting from the refinancing of a trade-in vehicle's ‘negative equity’ entitled to the special priority given PMSIs over other liens by UCC article 9?” When the question is asked that way, I do not see how the answer can be yes. The whole idea of a PMSI is that a seller or lender who finances the purchase of goods has a unique interest, superior to the interest of other lenders, in the goods thus purchased. I can imagine no reason to enlarge the priority lien of that seller or lender because, as part of the same transaction, it refinances the debt remaining from another purchase that took place years ago. As an Appellate Division case interpreting UCC article 9 recognizes, “a loan procured to satisfy a pre-existing debt” is inconsistent with the basic idea of a PMSI, which secures “an advance ‘enabl[ing] the debtor to acquire rights in . . . the . . . collateral’ (UCC 9-107 [b])” (*General Elec. Capital Commercial Automotive Fin. v Spartan Motors*, 246 AD2d 41, 50 [2d Dept 1998] [brackets and ellipses in original]).

Seen in this light, the question the Second Circuit has asked us must be answered no.

III

It may well be that the answer the majority gives to the Second Circuit's question, though wrong as a matter of state law, will produce a just result in this case—or, at least, a result more consistent with Congress's purpose in enacting the “hanging paragraph” as part of the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005 (BAPCPA). The purpose of the hanging paragraph, as I understand it, is to protect sellers and other financiers of automobile purchases against buyers who go bankrupt shortly after buying cars, and then use the “cram down” provision of the Bankruptcy Code to keep the cars without paying all of the debt they incurred to purchase them. This abuse may well extend to transactions that include “negative equity,” and I can understand the rationale for adopting an interpretation of the hanging paragraph that reaches such transactions.

But we have not been asked to interpret, and in this federal case have no power to interpret, the hanging paragraph or any other provision of federal law. The Second Circuit has already decided, as have many other federal courts, that the words “purchase money security interest” in the hanging paragraph must be interpreted according to state law—in other words, according to article 9 of the UCC, which was written long before BAPCPA or the hanging paragraph existed. I believe the majority may have overlooked this point, and adopted an interpretation better suited to the purposes of BAPCPA than to the purposes of the UCC.

If my surmise is correct, we are not the first court to suffer this confusion. In *In re Graupner* (537 F3d 1295, 1302 [11th Cir 2008]), a Federal Court of Appeals, interpreting the UCC as the majority here has, defended its interpretation as comporting “with what Congress intended in enacting BAPCPA.” Even more recently, in *In re Price* (562 F3d 618, 628 [4th Cir 2009]), another Federal Court of Appeals defended the same result as coinciding “with Congress’s intent in enacting the hanging paragraph.” Neither court explained how Congress’s intent in enacting BAPCPA could be relevant to the correct interpretation of the UCC.

But the apparent confusion of the *Graupner* and *Price* courts in interpreting the UCC is of less consequence than the majority’s error today. Our interpretations of state law are binding precedents. If the scope given to a PMSI by the UCC becomes important in some future case involving the sort of issue the UCC was written to resolve—a priority dispute between creditors under state law—today’s decision may present a significant problem. Perhaps a future court will solve the problem by limiting the majority’s holding to the peculiar context that produced it. Until and unless that happens, today’s decision will becloud the clarity and predictability that the authors of article 9 were seeking in enacting the statutes governing PMSIs.

Judges GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents and votes to answer the certified question in the negative in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules

of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[913 NE2d 394, 885 NYS2d 8]

BUFFALO CRUSHED STONE, INC., Appellant, v TOWN OF CHEEKTOWAGA, Respondent.

Argued June 4, 2009; decided June 30, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 3, 2008. The Appellate Division, with two Justices dissenting, (1) modified, on the law, a judgment (denominated order) of the Supreme Court, Erie County (Joseph R. Glowonia, J.), which had declared the rights of the parties as follows: “1. As reflected on the attached map (Exhibit B), Parcels 1A, 2, 3A, 4A, 6A, 7, 11A, 12A, 15, 16, 17A/25A, 17B/25B, 18, 19 and 21 are included in the Town’s AG-Aggregate District and are entitled to non-conforming use status respecting quarrying, subject to, where applicable, the 200-foot setbacks established by Zoning District Regulations; 2. Quarrying on Parcels 17C, 25C and 25I is a lawful non-conforming use; and 3. Parcels 1B, 3B, 4B, 4C, 5, 6B, 8, 9, 10, 11B, 13, 14, 17H, 20, 22, 23, 24, 25D, 25E, 25F, 25G, 25H, 26, 27, 28A, 28B, 29A, 29B, 30A, 30B, 31, 32 and 33 are not entitled to non-conforming use rights, as more fully set forth in the attached Transcript of the Judge’s Decision and Order dated October 27, 2006, attached hereto as Exhibit A.” The modification consisted of vacating the declaration in the last decretal paragraph with respect to the northern portion of parcel 31 and granting judgment in favor of plaintiff as follows: “It is ADJUDGED AND DECLARED that quarrying or mining is a permitted use on the northern portion of parcel 31,” and by vacating the second decretal paragraph and granting judgment in favor of defendant as follows: “It is ADJUDGED AND DECLARED that quarrying or mining is not a lawful nonconforming use on subparcels 17C/25C and 12B/25I.” The Appellate Division affirmed the judgment as modified.

Buffalo Crushed Stone, Inc. v Town of Cheektowaga, 55 AD3d 1228, modified.

HEADNOTES

Municipal Corporations — Zoning — Nonconforming Use — Sufficiency of Evidence of Intent to Use Property for Quarrying

1. In an action brought by plaintiff quarry operator seeking a judgment declaring that zoning restrictions applicable to certain unexcavated areas of its property were void, plaintiff was entitled to prior nonconforming use

status for the subparcel of its property appropriated as a reserve for quarrying but separated from defendant municipality's "AG—Special Aggregates District" by a road, as plaintiff and its predecessors manifested an intent to quarry that subparcel. A landowner who engages in substantial quarrying activities within its property and demonstrates an intention to do so in other portions of the land may sufficiently establish a prior nonconforming use extending to the boundaries of that property, notwithstanding the fact that quarrying may not have actually begun in that specific area. Here plaintiff and its predecessors prepared maps of the area to survey potential materials that could be extracted from the land; put in place 6,000 feet of 16-inch piping from the property to the pumping station; negotiated with defendant before the zoning restrictions went into effect to relocate the road for unfettered use of its entire parcel for mining, thereby providing defendant with notice of its intent to use the area accordingly; sent letters to defendant six years before the zoning restrictions went into effect expressing an intent to mine the area; made preparations to have a company remove dirt from the region to allow for excavation; and drilled "auger holes," which are used to identify areas for quarrying. The fact that a road separated the subparcel from the aggregate zone was not a per se barrier to the recognition of prior nonconforming use rights to that area. The road was not a physical impasse that cut off the subparcel from the contiguous parcels, and it did not substantially alter the nature and character of the property as a whole such that it would render a quarrying operation as foreign, unexpected, or adverse to that area. Moreover, there were no fairness concerns for people moving into neighboring properties, as most of the subparcel bordered a landfill.

**Municipal Corporations — Zoning — Nonconforming Use —
Establishment of Prior Nonconforming Use of Property for Quarrying**

2. In an action brought by plaintiff quarry operator seeking a judgment declaring that zoning restrictions applicable to certain unexcavated areas of its property were void, plaintiff was not entitled to a judgment declaring that it was entitled to prior nonconforming use status for the subparcel of its property that was leased by one of plaintiff's predecessors for the sole purpose of mining and was contiguous with areas that had been extensively quarried, as an issue of fact remained as to when plaintiff received legal title to that subparcel. Plaintiff's predecessors neither quarried nor acquired a permit to quarry that subparcel before the zoning ordinance was enacted. Although mining permits are strong evidence of a manifestation of intent to mine a given area, they are not a prerequisite to establishing prior nonconforming use rights. Here the permits obtained by plaintiff's predecessor to quarry its then-existing mining operations did not specifically cover that subparcel, but an area contiguous to that subparcel was extensively mined before the zoning ordinance was enacted. An issue of fact remained regarding whether the parcel was part of a subparcel actively quarried by plaintiff's predecessors, thereby entitling it to prior nonconforming use status.

**Municipal Corporations — Zoning — Nonconforming Use —
Establishment of Prior Nonconforming Use of Property for Quarrying**

3. In an action brought by plaintiff quarry operator seeking a judgment declaring that zoning restrictions applicable to certain unexcavated areas of its property were void, plaintiff was not entitled to a judgment declaring that it was entitled to prior nonconforming use status for the subparcels that were small dead end streets abutting property controlled by plaintiff's predecessors

since at least two years prior to the enactment of the zoning ordinance, as an issue of fact remained as to whether the thoroughfares were left abandoned at least six years prior to the enactment of the zoning ordinance. A highway that has not “been traveled or used as a highway for six years . . . shall cease to be a highway” (Highway Law § 205 [1]). If defendant abandoned those thoroughfares for six years preceding the enactment of the zoning ordinance, then plaintiff would be entitled to prior nonconforming use of those areas, as deeming them abandoned would not curtail any long-standing right of enjoyment that the public might have to these areas, but rather create a property right for plaintiff in the form of an easement of access to the abutting streets.

Municipal Corporations — Zoning — Nonconforming Use — Sufficiency of Evidence of Intent to Use Property for Quarrying

4. In an action brought by plaintiff quarry operator seeking a judgment declaring that zoning restrictions applicable to certain unexcavated areas of its property were void, plaintiff was entitled to prior nonconforming use status for the two subparcels of its property that, prior to enactment of the zoning ordinance, had been leased by one of plaintiff’s predecessors, were the subject of quarrying permits, and were stripped of topsoil, as plaintiff and its predecessors manifested an intent to quarry those subparcels. A landowner who engages in substantial quarrying activities within its property and demonstrates an intention to do so in other portions of the land may sufficiently establish a prior nonconforming use extending to the boundaries of that property, notwithstanding the fact that quarrying may not have actually begun in that specific area. Here plaintiff and its predecessors made clear their intent to quarry those areas at a future time, as preparations to undertake quarrying activity were already being made by the time the zoning ordinance was enacted.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Zoning and Planning §§ 282, 285, 287, 555–558, 565, 566, 568, 571, 572, 576, 585–587, 590, 600, 602.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:1434.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 309, 317, 319–322, 325–333, 337–339, 344.

NEW YORK REAL PROPERTY SERVICE §§ 48:76, 48:83.

ANNOTATION REFERENCE

Change in area or location of nonconforming use as violation of zoning ordinance. 56 ALR4th 769.

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POINTS OF COUNSEL

Harter Secrest & Emery LLP, Buffalo (*John G. Horn* of counsel), for appellant. I. Seen in the unique context of quarrying

activities, the conduct of Buffalo Crushed Stone, Inc. and its predecessors unquestionably constitutes a manifest intent to quarry the entirety of their land. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Matter of Fairmeadows Mobile Vil. v Shaw*, 16 AD2d 137; *Matter of Rudolf Steiner Fellowship Found. v De Luccia*, 90 NY2d 453; *United Citizens of Mount Vernon v Zoning Bd. of Appeals of City of Mount Vernon*, 109 Misc 2d 1080; *Village of Sands Point v Sands Point Country Day School*, 2 Misc 2d 885, 2 AD2d 769.) II. Indian Road does not render the portion of Buffalo Crushed Stone, Inc.'s property east of Indian Road "physically separate" for purposes of a nonconforming use analysis. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Town of Somers v Camarco*, 308 NY 537; *Matter of Dolomite Prods. Co. v Kipers*, 23 AD2d 339; *New York Trap Rock Corp. v Town of Clarkstown*, 1 AD2d 890.)

David J. Seeger, Buffalo, and *Alison L. Odojewski* for respondent. I. The written agreement between Buffalo Crushed Stone, Inc. (BCS) and the Town of Cheektowaga bars all of BCS's claims. (*Guishard v General Sec. Ins. Co.*, 9 NY3d 900; *Harris v Niagara Falls Bd. of Educ.*, 6 NY3d 155; *Frehe v Schildwachter*, 289 NY 250; *Putnam v Otsego Mut. Fire Ins. Co.*, 45 AD2d 556; *Post v Thomas*, 212 NY 264; *Sundstrom v State of New York*, 213 NY 68; *Dimmers v Armitage*, 33 App Div 626; *Mencher v Weiss*, 306 NY 1; *Brunner-Booth Fotochrome Corp. v Kaufman*, 18 AD2d 160; *Turkish Socy. of Rochester v Cimino*, 192 AD2d 1121.) II. Buffalo Crushed Stone, Inc. may not advance a new theory and argument for the first time on appeal that could have been obviated or cured through factual showing or legal argument in the courts below. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Post v 120 E. End Ave. Corp.*, 62 NY2d 19; *Matter of Richardson v Fiedler Roofing*, 67 NY2d 246; *Cibro Petroleum Prods. v Chu*, 67 NY2d 806; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Matter of Harbison v City of Buffalo*, 4 NY2d 553; *Matter of Crossroads Recreation v Broz*, 4 NY2d 39; *People v Miller*, 304 NY 105; *Matter of Pisicchio v Board of Appeals of Vil. of Freeport*, 165 Misc 156; *Matter of Rudolf Steiner Fellowship Found. v De Luccia*, 90 NY2d 453.) III. Parcel 5, east of Indian Road, is not entitled to lawful nonconforming use status. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *People v Miller*, 304 NY 105; *Matter of Harbison v City of Buffalo*, 4 NY2d 553; *Matter of Dolomite Prods. Co. v Kipers*, 23 AD2d 339, 19 NY2d 739; *New York Trap Rock Corp. v Town of Clarkstown*, 1 AD2d 890, 3 NY2d 844; *Matter of McQuade v Zoning Bd. of Appeals of Town of Huntington*, 248

AD2d 386; *Speonk Sand & Gravel Co. v Town of Southampton*, 127 AD2d 828; *Matter of Keller v Haller*, 226 AD2d 639; *Martino v Town of Bergen*, 98 AD2d 968; *Marra v State of New York*, 61 AD2d 38.) IV. Mining on any of the remaining disputed parcels would unlawfully extend Buffalo Crushed Stone, Inc.'s former nonconforming use rights. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Goulding v Town of Tonawanda*, 282 App Div 321; *Smith v Town of Sandy Creek*, 12 Misc 2d 916; *City of Buffalo v Delaware, Lackawanna & W. R.R. Co.*, 190 NY 84; *Kayner v Brown*, 167 App Div 958; *Dotsko v Littlejohn*, 31 AD2d 245; *Suffolk County Natl. Bank of Riverhead v State of New York*, 60 AD2d 679; *De Cuyper v Gonzales*, 214 AD2d 764; *Daetsch v Taber*, 149 AD2d 864; *Pless v Town of Royalton*, 185 AD2d 659, 81 NY2d 1047.)

Gilberti Stinziano Heintz & Smith, P.C., Syracuse (Adam J. Schultz, Kevin G. Roe and Patricia S. Naughton of counsel), for New York State Construction Materials Association, Inc., amicus curiae. I. *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]) does not support the fragmentation approach to nonconforming use analysis adopted by the majority opinion below. (*People v Miller*, 304 NY 105; *Ilasi v City of Long Beach*, 38 NY2d 383; *Glacial Aggregates LLC v Town of Yorkshire*, 57 AD3d 1362.) II. The lower court's exclusion of the eastern reserves (parcel 5) on the theory that it was physically separate from the remainder of the quarry not only threatens to create a per se rule not intended by *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]) but is clearly contrary to both facts and law. (*New York Trap Rock Corp. v Town of Clarkstown*, 1 AD2d 890; *Matter of Dolomite Prods. Co. v Kipers*, 23 AD2d 339, 19 NY2d 739.)

OPINION OF THE COURT

CIPARICK, J.

In this zoning case, the issue is whether Buffalo Crushed Stone, Inc. (BCS) established a prior nonconforming use to quarry certain subparcels of its 280-acre property, thereby relieving it from the Town of Cheektowaga's zoning ordinances. Applying the analysis set forth in *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278, 284-287 [1980]), we hold that the long and exclusive quarrying operation of BCS and its predecessors and their preparations to use areas left as aggregate mineral reserves—consistent with the nature of quarrying—established a right of prior nonconforming usage on the disputed

subparcels. We conclude, however, that this right does not extend to subparcel 25D and to the thoroughfares, or roadway subparcels (28A/28B, 29A/29B, 30A/30B and 31-33), because there are factual issues remaining as to whether BCS's predecessors acquired these areas prior to the 1969 zoning ordinance.

I

BCS owns approximately 280 acres of property in the Town of Cheektowaga, where it operates a hard-rock quarry. For the past 80 years, BCS and its predecessors, including Federal Crushed Stone Corporation (Federal),¹ have devoted the land exclusively to quarrying. The quarry consists of mineral extraction sites located primarily in the center of the property, along with processing areas, buffer zones and roads. BCS and its predecessors acquired the land in a number of transactions, either by purchase or lease, between 1929 and 1992. Only some of these subparcels—comprising four geographic regions located in the east, south and west—are relevant in this case. The disputed subparcels are mainly areas that BCS maintained as mineral reserves, which have not been quarried.

Before 1942, there were no zoning ordinances or other limitations on the property's usage. The Town then enacted ordinances, demarcating the property into certain zones or districts, and denominating such zones as residential, industrial and an airport. Federal's land was classified within the Second Industrial District. The ordinance allowed gravel pits and stone quarries to be constructed in this zone, provided that the quarry company procure a permit. The ordinance explicitly permitted nonconforming uses to continue unabated upon the condition that no buildings in the Second Industrial District be enlarged or destroyed.

In 1969, the Town repealed the 1942 ordinance, enacting the 1969 zoning ordinance that divided Federal's lands into four zoning districts: a residential district, a business district, a manufacturing district and a "special" district. Article VII of the ordinance, entitled "NON-CONFORMING USE REGULATIONS," permitted the continuation of nonconforming activities on the property, but prohibited their extension or enlargement. Thus, this ordinance permitted Federal to continue its mining operation within the "AG—Special Aggregates District"

1. Federal was previously known as Cheektowaga Crushed Stone Corporation. It later merged with Bituminous Products Corporation to form Buffalo Slag Company. In 1983, BCS purchased Buffalo Slag and acquired its land.

(AG district) in what is now the center of BCS's operation. In 1992, the Town repealed its 1969 zoning ordinance, adopting new zoning laws that were amended in 1996 and 1997; none of these ordinances altered the boundaries and relevant regulations of the AG district.

In 1998, BCS commenced this action, seeking a declaratory judgment that zoning restrictions applicable to the unexcavated areas of its property were void, and a judgment to enjoin the Town from enforcing its zoning regulations as to those areas. The Town moved for summary judgment and for a declaration that its zoning ordinances were enforceable. BCS then cross-moved for summary judgment on its claims.

Supreme Court, declaring the rights of the parties, held that subparcels within the Town's AG district are entitled to nonconforming use status, and thus quarrying in those subparcels was permissible. The court further held that subparcels 17C/25C and 25I/12B, south of the AG district—in a residential zone—were entitled to prior nonconforming usage because they were subject to quarrying permits issued by the Town before the 1969 ordinance. However, the court did not grant such status to parcels located to the east (subparcel 5), to the west (subparcel 25D) and to certain remaining parcels.² Both parties appealed.

The Appellate Division considered whether BCS had established a nonconforming use for four geographic subparcels: (1) the large eastern area (subparcel 5); (2) the western area (subparcel 25D); (3) the southern and eastern thoroughfares or roadways (subparcels 28A/28B, 29A/29B, 30A/30B and 31-33); and (4) the southern parcels adjacent to the AG area (subparcels 17C/25C, 12B/25I).

Subparcel 5 is a relatively large area, located in the northeastern portion of the property, immediately adjacent to the AG district. Most of this area is divided from the AG district by Indian Road, a relatively narrow roadway of approximately 49.5 feet in width, extending south to north. Indian Road then turns eastward, dividing this subparcel into a northern portion and a southern portion. BCS's predecessors in interest acquired this area in 1931, but did not quarry it.

2. BCS does not challenge Supreme Court's order with respect to certain subparcels that it deemed not integral to its mining operation. Also, the Town has conceded that BCS enjoys lawful nonconforming use of certain other subparcels.

Indian Road once extended further north, separating all of subparcel 5 from the AG district. Prior to 1951, the northernmost portion of the road was rerouted over Federal's property, rendering it inaccessible to the public. BCS claims that five million tons of aggregate material suitable for excavation is available for appropriation in subparcel 5.

Subparcel 25D is situated in the westernmost region of BCS's property. BCS contends that, in 1959, Federal leased the area from a Dr. Reinstein for the explicit purpose of quarrying and mining limestone. The Town asserts, however, that BCS did not acquire a possessory interest or legal title to the area until 1991—long after the enactment of its zoning ordinances. It is undisputed that neither BCS nor its predecessors obtained a permit to quarry the area before 1969.

Subparcels 28A/28B, 29A/29B, 30A/30B and 31-33 are thoroughfares or roadways located in the southern and eastern portions of the AG district. BCS avers that these roads are long abandoned. They are part of the property leased and conveyed to Federal, contiguous to the AG district, and have been actively mined by BCS and its predecessors for several decades. BCS's predecessors received quarrying permits for portions of these areas in 1955 and 1960.

Subparcels 17C/25C and 12B/25I were leased in approximately 1952, and the Town issued Federal a permit to quarry parts of these subparcels at that time. They are also contiguous to the AG district. Although Federal cleared this area by stripping it of topsoil before 1969, it has not been actively quarried.

The Appellate Division modified Supreme Court's decision by additionally granting the Town summary judgment as to subparcels 17C/25C and 12B/25I. The court held that these subparcels were not entitled to prior nonconforming usage because BCS's predecessors had not mined them prior to 1969 (55 AD3d 1228, 1231-1232 [4th Dept 2008]). Two Justices dissented as to these subparcels, stating that BCS should not be required to demonstrate actual quarrying activities on each contested subparcel, because such a predicate is not required under controlling prior nonconforming use precedent on quarrying enterprises, and these subparcels should generally be viewed in the context of the entire property as a whole (*see id.* at 1232-1234). The dissent further stated that BCS and its predecessors had engaged in substantial quarrying activities on the entire 280-acre property for many years; had never utilized the land for

any other purpose; and these subparcels were contiguous to BCS's excavation sites. Thus, the dissenters concluded that BCS satisfied the prior nonconforming use standard (*see id.* at 1232-1234).

Addressing subparcel 5, the Appellate Division stated that this subparcel's physical separation by Indian Road from other parts of the property prevents prior nonconforming use status for that area (*see id.* at 1230-1231). The entire panel was unpersuaded by BCS's evidence that it manifested an intent to use this area for quarrying.

Regarding subparcel 25D, the Appellate Division held that BCS did not demonstrate its right to quarry that subparcel before 1969 because Federal's lease of the property contained a description of the land that could be quarried that did not expressly include this area (*see id.* at 1231). Further, the court noted that BCS's predecessors had not conducted substantial quarrying activities on subparcel 25D before 1969 (*see id.*). In response, the dissenters stated that summary judgment was inappropriate because an issue of fact remained as to whether BCS's predecessors acquired rights to quarry this subparcel in 1969 (*see id.* at 1232). They cited an affirmation from a title examiner and attorney concluding that subparcel 25D was acquired in fee or by lease prior to 1969, as well as an affidavit submitted by a BCS executive vice-president, stating that this subparcel was leased in 1959 by plaintiff's predecessor in interest (*see id.*).

Finally, as for the thoroughfares, subparcels 28A/28B, 29A/29B, 30A/30B and parcels 31-33, the Appellate Division held that although they are contiguous to the AG district and they had been abandoned as roadways—having not been traveled or used as a highway for six years (*see* Highway Law § 205 [1])—BCS is not entitled to quarry those areas because it did not conduct mining operations on them before the adoption of the zoning ordinances (*see id.* at 1231). However, the court found that the northern part of parcel 31 is located within the AG district, rendering quarrying a permitted use there (*see id.*). The dissenters agreed that the streets were abandoned as a matter of law, but disagreed with the majority on the ground that *Syracuse Aggregate* (51 NY2d at 285-287) does not require every inch of the property be mined to trigger prior nonconforming use (*see* 55 AD3d at 1232-1233). BCS appeals as of right, pursuant to CPLR 5601 (a), and we now modify.

II

As a preliminary matter, the Town contends that BCS is barred from bringing this action by a 1997 settlement agreement. But the dispute ending in that settlement arose from an action brought by BCS seeking a tree removal permit—it did not encompass the more extensive claims brought in this action. Additionally, the settlement reveals that BCS stipulated to narrow terms as to its quarrying operation—“(c) BCS will adhere to the mining restrictions contained in Section 82-28 of the Town Zoning Law (i.e., setbacks).” The only mining restriction contained in Town of Cheektowaga Code (Zoning Law) § 260-38 is subdivision B, which provides for excavation setbacks from areas used by the public. More specifically, it provides that no structure, use or excavation “shall be closer than 200 feet from a public right-of-way or adjacent property line” (*see id.*). Hence, the 1997 agreement does not prevent BCS’s action from going forward, as it does not affect any quarrying rights disputed in this case.

III

Turning to the merits, prior nonconforming uses in existence when a zoning ordinance is adopted are, generally, constitutionally protected even though an ordinance may explicitly prohibit such activity (*see People v Miller*, 304 NY 105, 107 [1952]). Courts and municipal legislators have shown a “grudging tolerance” towards this doctrine, disfavoring its broad application, as “[t]he law . . . generally views nonconforming uses as detrimental to a zoning scheme, and the overriding public policy of zoning in New York State and elsewhere is aimed at their reasonable restriction and eventual elimination” (*Matter of Toys “R” Us v Silva*, 89 NY2d 411, 417 [1996] [internal quotation marks omitted]). Although nonconforming uses are “generally permitted to continue, they may not be enlarged as a matter of right” (*Matter of Rudolf Steiner Fellowship Found. v De Luccia*, 90 NY2d 453, 458 [1997]). However, property owners engaging in a particular activity may have secured a “vested right” to use their land accordingly (*Miller*, 304 NY at 107-108). Courts strive to see that “the public interest in eliminating nonconforming uses at a legally opportunistic time is placed in reasonable balance with the owner’s interest in not having a property investment abruptly altered or terminated” (*Matter of Pelham Esplanade v Board of Trustees of Vil. of Pelham Manor*, 77 NY2d 66, 72 [1990]).

A party advancing a prior nonconforming use exception to a zoning ordinance must establish specific actions constituting an overt manifestation of its intent to utilize the property for the ascribed purpose at the time the zoning ordinance became effective; a mere contemplation of purpose, lacking supportive evidence of undertakings to effectuate such intentions, will not suffice (see *Syracuse Aggregate*, 51 NY2d at 284-285, citing *Matter of Harbison v City of Buffalo*, 4 NY2d 553, 559-560 [1958]). Every inch of the land need not have been employed for the asserted purpose, but utilizing just a portion of the property will not necessarily trigger the protections of this doctrine (see *id.* at 285). Central to this standard is “an examination of the nature of the particular nonconforming use in issue as well as the activities engaged in by the landowner in effectuating that use prior to the adoption of the restrictive ordinance” (*id.*).

In *Syracuse Aggregate*, we held that a quarrying company was entitled to prior nonconforming use status because its activities sufficiently demonstrated an intent to appropriate an entire parcel of land for excavation and quarrying prior to the passage of a restrictive zoning law (see 51 NY2d at 286). There, the landowner purchased a 25-acre parcel of land in 1978 that had been used as a quarry for more than 50 years (see *id.* at 282). The land was zoned as a residential district in 1961 (see *id.*). In discussing the nature and character of quarrying, we stated:

“By its very nature, quarrying involves a unique use of land. As opposed to other nonconforming uses in which the land is merely incidental to the activities conducted upon it, quarrying contemplates the excavation and sale of the corpus of the land itself as a resource. Depending on customer needs, the land will be gradually excavated in order to supply the various grades of sand and gravel demanded. Thus, as a matter of practicality as well as economic necessity, a quarry operator will not excavate his entire parcel of land at once, but will leave areas in reserve, virtually untouched until they are actually needed” (*id.* at 285 [citations omitted]).

Consequently, a prior nonconforming use for quarrying cannot be limited solely to the land that was actually excavated before the zoning law, because—in this unique type of industry—landowners commonly leave portions of their land as mineral reserves to be excavated at a future time (see *id.*). A landowner

who engages in substantial quarrying activities within its property and demonstrates an intention to do so in other portions of the land may sufficiently establish a prior nonconforming use extending to the boundaries of that property, notwithstanding the fact that quarrying may not have actually begun in that specific area.

Conversely, merely preparing to engage in a quarrying enterprise or “undertaking a few self-serving acts of a very limited nature” will not satisfy the requisite standard (*see id.* at 286). Nor does prior nonconforming use status extend to adjoining parcels separated by physical boundaries (*see id.*). In this regard, *Syracuse Aggregate* does not afford quarrying companies “carte blanche” to engage in future excavation of their lands contrary to zoning regulations (*see id.* at 286-287).

As in *Syracuse Aggregate*, BCS and its predecessors acquired the property exclusively for mining and quarrying operations—“no part of the land was ever dedicated to a use other than . . . quarrying” (*id.* at 286). Similar to *Syracuse Aggregate*, BCS constructed a processing structure in the center of the 280-acre property, where bulk materials were removed for decades, and service roads constructed to move the materials after they are processed (*see id.*). Further, the processing plant contains a building for packaging materials, a repair shop and offices. In *Syracuse Aggregate*, we determined that “[g]iven such outward manifestations of intent and in light of the unique character of the business engaged in, it can only be concluded that the nonconforming use extends throughout the property even though the principal excavation was limited to a five-acre portion of the parcel” (*id.* at 286). The same pertinent factors are present here.

IV

We now analyze the four specific geographic areas in dispute, applying the rationale of *Syracuse Aggregate*.

Subparcel 5:

[1] As noted, because of the nature and character of the quarrying industry, landowners commonly quarry one portion of their land at a time and leave other areas as reserves (*see id.* at 285-286). Reviewing BCS’s quarrying activity both in the center of its property and in the respective subparcels, it is clear that it manifested an intent to quarry subparcel 5. BCS and its predecessors have (1) prepared maps of the area to survey

potential materials that could be extracted from the land; (2) put in place 6,000 feet of 16-inch piping from the property to the pumping station; (3) negotiated, from 1963 to 1969, with the Town to relocate Indian Road for unfettered use of its entire parcel for mining, thereby providing the Town with notice of its intent to use the area accordingly; (4) sent letters to the Town expressing an intent to mine the area in 1963; (5) made preparations to have a company remove dirt from the region to allow for excavation; and (6) drilled “auger holes,” which are used to identify areas for quarrying.

Although Indian Road separates subparcel 5 from the aggregate zone, this relatively narrow roadway (49.5 feet) is not a physical impasse that cuts off subparcel 5 from the contiguous parcels. Nor does it substantially alter the nature and character of the property as a whole, as BCS and its predecessor companies have long manifested their intent to mine both sides of the road, and jointly with the Town have maintained the road, using the same for trucks and pipelines incident to their quarrying operation.

In this regard, the dissent’s reliance on *Matter of Dolomite Prods. Co. v Kipers* (23 AD2d 339, 343-345 [4th Dept 1965])—a pre-*Syracuse Aggregate* case—is misplaced (see dissenting op at 104, 106). In *Dolomite*, the Appellate Division considered whether a quarrying company could extend its enterprise from one parcel of land to two southern parcels physically separated from the quarrying area by railroad tracks (see *id.*). Although the northern portion of the land had been used for quarrying, the two areas below the railroad tracks had been used, for 40 years, as a farm and a nursery (see 23 AD2d at 341). During that time, thousands of homeowners purchased homes in the area encircling the two parcels (see *id.*). The Appellate Division held that the quarrying company could not extend its nonconforming use to the two separate regions that had been used for entirely different purposes, especially given the patent unfairness to the multitude of residents now living in those areas who would be deleteriously affected by the quarrying operations so close to their homes (see *id.* at 342-343).

Here, in contrast, BCS has appropriated subparcel 5 as a reserve for quarrying and no other purpose—it is not extending its nonconforming use, but seeking to realize its vested right to use the land in accord with a long-standing manifested intent to quarry this area. Significantly, because most of subparcel 5 borders a landfill, fairness concerns, arising in *Dolomite*, for

people moving into properties constructed adjacent to the quarry, are not raised here. Further, BCS does not dispute that there are 200-foot setbacks in place, pursuant to its 1997 settlement agreement with the Town, prohibiting it from excavating within 200 feet from a public right-of-way or adjacent property lines. Finally, there is no evidence that Indian Road is a physical separation that alters the nature and character of the property, such that it would render a quarrying operation as foreign, unexpected or adverse to that area.

Contrary to the dissent, the mere fact that a roadway runs through a portion of a property, later classified as a subparcel by a town attempting to impose zoning restrictions on its usage, is not a per se barrier to the recognition of prior nonconforming use rights to that area. An easement, a roadway or any other narrow area does not necessarily create a physical separation of the land, divesting it of its character so as to prevent a vested right to use that land for its intended purpose. This was also true in *Dolomite*, where the court based its holding—not on the per se basis of the railroad tracks traversing the land—but on the patent unfairness to property owners who had come to live in the area abutting the lands and on the fact that the land south of the railroad tracks had been used for entirely different purposes for many years. Similarly, in this quarrying case, our analysis must take into account the nature of the easement and the character of the land in relation to the areas already quarried.

Subparcel 25D:

Federal leased this subparcel from a Dr. Reinstein for the sole purpose of mining. It is undisputed that this region is contiguous with areas that have been extensively quarried. BCS has not quarried nor acquired a permit to quarry this subparcel before the 1969 ordinance.

The dissent's claim that permits are a prerequisite to establishing prior nonconforming use rights is without authority (*see* dissenting op at 105-106). As we held in *Syracuse Aggregate*, a quarrying company may hold lands in reserve, instead of mining them immediately. Such a company would not necessarily seek a permit for lands that it did not intend to excavate immediately, or at least not until sometime in the future. Imposing this requirement in a quarrying case is a very narrow reading of *Syracuse Aggregate*, and fails to consider the realities of the industry. Nevertheless, mining

permits are strong evidence of a manifestation of intent to mine a given area. They are an important piece of evidence in analyzing the standard set forth in *Syracuse Aggregate*, though not necessary in determining the manifested intent of the quarrying company.

[2] Given all of these factors, we hold that an issue of fact remains as to when BCS received legal title to this land. BCS asserts that it acquired a possessory interest in this parcel before the 1969 zoning ordinance. At that time, Federal received a permit to quarry its then-existing mining operations on the Reinstein estates. Although the permits do not specifically cover this subparcel, Federal extensively mined an area contiguous to that section before 1969.

The issue of fact relates to whether subparcel 25D was acquired by BCS's predecessors. If the parcel was part of a subparcel actively quarried, then it would be entitled to prior nonconforming use. On the other hand, if it was not, and BCS acquired it in 1991, as the Town contends, then it would not be so entitled.

Subparcels 28A/28B, 29A/29B, 30A/30B and 31-33 (the roadway parcels):

[3] Highway Law § 205 (1), in pertinent part, states that if a highway has not "been traveled or used as a highway for six years [it] shall cease to be a highway." These subparcels are small dead end streets that abut property controlled by BCS's predecessors since at least 1967. The Appellate Division found no evidence that these thoroughfares have been used for a period of six years. However, the issue is whether they were left abandoned at least six years prior to the 1969 zoning ordinance so that BCS may demonstrate that it controlled these areas and had an ability to quarry there before the adoption of the ordinance. It is unclear from the record whether these areas were either abandoned or in use prior to 1969. If the Town abandoned these thoroughfares for six years preceding the zoning ordinance, then BCS would be entitled to prior nonconforming use of these areas, since deeming them abandoned does not curtail any long-standing right of enjoyment that the public may have to these areas, but rather creates a property right for the abutting owners, here BCS, in the form of an easement of access to the abutting streets. In addition, we note that for at least 40 years quarrying has occurred on the property abutting the roadways.

Subparcels 17C/25C and 12B/25I:

[4] These areas were leasehold interests before the 1969 ordinance, and are located directly contiguous to the immediate south of the AG district. Aerial maps demonstrate that these areas were cleared, grubbed and stripped of topsoil before 1969. Further, they were the subject of quarrying permits before 1969. Applying the principles announced in *Syracuse Aggregate*, we hold that BCS made clear its intent to quarry these areas at a future time, as it was already making preparations to undertake quarrying activity by 1969. Thus, we would confer prior nonconforming use rights to these subparcels, as well.

V

In conclusion, under our holding in *Syracuse Aggregate*, and given the peculiar nature of quarrying, it is unrealistic and unreasonable to require BCS to have actively mined all areas within its 280-acre property prior to the passage of the 1969 zoning ordinance to establish prior nonconforming use protection for its mining operation. Quarrying contemplates a gradual unearthing of the minerals in the land, and so excavation of portions of the land may be sufficient to manifest an intention to conduct quarrying on the property as a whole. Of crucial importance is the fact that BCS and its predecessors, quarrying companies, have exclusively, and for decades, utilized the land for quarrying. Additionally, they have exhibited the usual indicia of a quarrying enterprise, showing preparations to quarry the subparcels in dispute. Therefore, we hold that BCS is entitled to a declaration that the subparcels at issue are subject to prior nonconforming usage, except for subparcel 25D and the thoroughfare properties, where issues of fact remain unresolved.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with the opinion herein and, as so modified, affirmed.

Chief Judge LIPPMAN (dissenting in part). While we agree with the majority that parcels 17C/25C and 12B/25I are entitled to nonconforming use status under our decision in *Matter of Syracuse Aggregate Corp. v Weise* (51 NY2d 278 [1980]), and while we further agree that remittal for a determination of when the roadway parcels were abandoned is appropriate, we conclude that the nonconforming use principles outlined in *Syracuse Aggregate* and *Matter of Dolomite Prods. Co. v Kipers* (23 AD2d 339 [4th Dept 1965], *affd* 19 NY2d 739 [1967]) mandate a

different result for parcels 5 and 25D. Therefore we respectfully dissent.

Prior to today's decision, our nonconforming use analysis was straightforward and well settled. The "overriding policy of zoning is aimed at the ultimate elimination of nonconforming uses," but "a zoning ordinance cannot prohibit an existing use to which the property has been devoted at the time of the enactment of the ordinance" (*Syracuse Aggregate*, 51 NY2d at 284). Necessarily, the owner seeking to use property in a manner that is inconsistent with a zoning ordinance must not only have been able to *legally use* the property in that manner prior to the passage of the zoning ordinance, but the owner must also have actually used the property in that manner or manifested an intent to so use the property prior to the zoning ordinance becoming effective (*id.* at 284-286). The inquiry may be succinctly stated as a two-step process: (1) could the property lawfully be used in the manner desired at the time the restrictive zoning ordinance became effective, and (2) did the property owner either actually use the property in that manner or manifest an intention to so use the property. If the answer to both questions is yes, then the owner is entitled to nonconforming use status; if the answer to either is no, then the owner is not entitled to nonconforming use status. We have further explained that it is not "possible to extend the protection of a permitted nonconforming use established on one parcel of land to physically separate though adjoining parcels" (*id.* at 286, citing, inter alia, *Matter of Dolomite Prods. Co. v Kipers*, 23 AD2d 339 [1965]).

The majority, without saying so, casts aside our prior straightforward analytical framework for nonconforming uses but fails to replace it with any coherent new framework. With respect to parcel 5, on this record (which includes detailed maps as well as aerial photographs of the land), it is plain that Indian Road separates parcel 5 from the land that has been actively quarried. Parcel 5 is, very simply, a "physically separate though adjoining" parcel that under a straightforward application of well settled law should be subject to the zoning ordinance (*id.*). Instead, the majority creates an entirely new test and tells us that, despite the fact that parcel 5 "is divided from the AG District by Indian Road" (majority op at 94), the road should not be understood to separate parcel 5 from the rest of BCS's property because the road "is not a physical impasse" and it "does [not] substantially alter the nature and character of the

property as a whole” (majority op at 100). It seems fairly clear, however, that BCS itself did not see the road as insubstantial; as the majority notes, BCS’s predecessor “negotiated, from 1963 to 1969, with the Town to relocate Indian Road for unfettered use of its entire parcel for mining” (majority op at 100). Rather than just demonstrating BCS’s intent to mine parcel 5, as the majority concludes, these negotiations demonstrate that BCS itself recognized the reality that Indian Road separated parcel 5 from the remainder of its land such that it did not have “unfettered use” of parcel 5.¹

The majority has concluded that a factual question exists as to when BCS acquired parcel 25D and therefore does not decide today whether parcel 25D is entitled to nonconforming use status. It is certainly true, as the majority explains, that if BCS did not acquire parcel 25D until 1991 BCS would not be entitled to mine parcel 25D. There is, however, no need to determine whether parcel 25D was in fact acquired as part of the 1959 Reinstein lease because, even if it was acquired then, it still could not have been lawfully mined at the time the zoning ordinance went into effect in 1969. After the 1942 zoning ordinance, there is no dispute that the owner or lessee of parcel 25D would have been required to obtain a permit to use parcel 25D as a quarry. It is further undisputed that parcel 25D was not covered by the permits BCS and/or its predecessors obtained from the Town. Thus, again applying our previously straightforward framework for nonconforming uses, because parcel 25D could not be lawfully mined at the time the 1969 zoning ordinance became effective, it cannot now be entitled to nonconforming use status.

The majority conflates the manifestation of intent to mine with the lawful ability to mine. The majority explains that “mining permits are strong evidence of a manifestation of intent to mine a given area” and that permits “are an important piece of evidence in analyzing the standard set forth in *Syracuse Aggregate*” (majority op at 101-102). There is no question here that BCS and its corporate predecessors intended to mine parcel 25D; the question is whether or not they could have lawfully done so at the time the 1969 zoning ordinance became effective, a question the majority never squarely addresses. Intent to mine and

1. Moreover, it is entirely unclear how Indian Road may be characterized as a “relatively narrow roadway (49.5 feet)” (majority op at 100). The maps and photographs in the record make clear that Indian Road is just that—a road—and at a width of 49.5 feet, it is a roadway wide enough to accommodate several lanes of traffic.

lawful ability to mine are two separate issues. Although BCS's predecessor manifested an intention to mine parcel 25D, until today that alone was not enough: it also must have been lawful to mine parcel 25D at the time the ordinance went into effect. As BCS concedes, no mining permit was issued for parcel 25D as of 1969, therefore it was not lawful to mine parcel 25D at that time.

It is not, as the majority states, that we conclude that "permits are a prerequisite to establishing prior nonconforming use rights" (majority op at 101) in all nonconforming use cases or even in all nonconforming use cases involving quarrying. Rather, the touchstone in our case law has been *lawful use*, and, in the Town of Cheektowaga, the lawful way to mine at the time the ordinance went into effect (outside of certain districts delineated for mining) was to first obtain a permit to mine from the Town. Because a mining permit was not issued for parcel 25D it could not have been lawfully mined. In remitting as to parcel 25D, the majority opens up the possibility that BCS will be able to mine parcel 25D now, some 40 years after the passage of the 1969 zoning ordinance restricting such usage, despite the fact that BCS's predecessor could not have lawfully mined the property.

By failing to adhere to our prior analytical framework in this context, the majority today muddies an area of law that ought to be predictable for a host of practical purposes. For instance, residents of the Town purchased homes near land that, until today, BCS had no right to mine and this development undoubtedly affects those properties in a variety of ways (*see Matter of Dolomite*, 23 AD2d at 342-343 ["Such a philosophy of planning could stunt or kill the growth of substantial areas of property surrounding the parcels in question, for abutting owners would be required to wait, as in the instant case, for decades to determine the use which could be made of the property"]).

Moreover, local governments are particularly well-positioned to plan for the physical and economic development of the communities and constituencies that they serve. Here, since 1942 when the Town first enacted a zoning ordinance, the Town has sought to control the development of town land used for quarrying purposes. The very fact that, outside certain districts, a permit was required in order to mine land in the Town means that the Town might disallow that use in certain instances. When and in what manner the Town can do so should be predictable and subject to clear rules. Before today, these rules were simple: if a landowner could lawfully use property in a

manner restricted by a new zoning ordinance and either actually used the property in that manner or manifested an intent to do so at the time the new zoning ordinance became effective, that landowner could still use the land in that manner after the passage of the ordinance. This, apparently, is no longer the framework we will apply in nonconforming use cases.

Finally, we agree with the majority that it is unclear on this record when the roadway parcels ceased to be used as roadways by the public. BCS suggests that by at least 1967 they were not used as roadways. If the roadway parcels were used as roadways as late as 1967, then they could not have been abandoned under section 205 of the Highway Law by 1969, and if they were not abandoned, then they could not have been mined lawfully.² On the other hand, if the roadway parcels were not traveled upon for the six years prior to the effective date of the zoning ordinance in 1969, then they would have been abandoned pursuant to the Highway Law at the time the 1969 ordinance became effective. If the roadways within the special quarrying district created by the Town were abandoned as of 1969, it appears BCS could have lawfully mined them at the time the 1969 zoning ordinance became effective and the roadway parcels would be eligible for nonconforming use status. When the roadway parcels were abandoned is an open question. Therefore, we agree with the majority's remittal for a determination as to when the roadway parcels ceased to be used by the public as roadways.

In sum, we agree with the majority as to parcels 17C/25C and 12B/25I and would reverse the Appellate Division as to those parcels. We further agree that we should remit for a determination as to when the roadway parcels were abandoned. However, we disagree with the majority as to parcels 5 and 25D and would affirm the Appellate Division as to those parcels for the reasons we have stated.

Judges READ, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Chief Judge LIPPMAN dissents in part in a separate opinion in which Judge GRAFFEO concurs.

Order modified, etc.

2. It appears, at least with respect to the roadway parcels, that the majority agrees that both lawful use and a manifestation of intent at the time the restrictive ordinance became effective are required and that a manifestation of intent alone will not suffice.

[915 NE2d 616, 886 NYS2d 671]

THE PEOPLE OF THE STATE OF NEW YORK, by ANDREW M. CUOMO,
Attorney General of the State of New York, Respondent, v
COVENTRY FIRST LLC et al., Appellants.

Argued June 3, 2009; decided June 30, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 17, 2008. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Helen E. Freedman, J.), which had (1) granted defendants' motion to dismiss the causes of action in the complaint to the extent that they pertained to life settlement transactions that did not involve New York life settlement brokers, New York policy sellers, or alleged misconduct in New York; (2) denied the motion to dismiss the first, second, and sixth causes of action except to the extent stated above; (3) granted the motion to dismiss the third, fourth, and fifth causes of action; (4) severed and dismissed the third, fourth, and fifth causes of action; (5) denied defendants' motion to compel plaintiff to arbitrate and stay the proceeding pending arbitration; and (6) granted the cross motion for an order substituting Andrew M. Cuomo, the Attorney General of the State of New York, as plaintiff in the place of Eliot Spitzer, the former Attorney General. The modification consisted of reinstating the common-law fraud cause of action. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by the order of this Court, properly made?"

People v Coventry First LLC, 52 AD3d 345, affirmed.

HEADNOTES

Arbitration — Matters Arbitrable — Attorney General Pursuing Victim-Specific Judicial Relief in Enforcement Action Not Bound by Arbitration Agreement between Private Parties

1. In an enforcement action brought by the Attorney General against defendants, life settlement providers, alleging fraudulent and anticompetitive conduct and seeking damages on behalf of the sellers of life insurance policies who had been damaged by defendants' schemes as well as injunctive relief preventing further misconduct, the arbitration agreement between defendants and their alleged victims did not bar the Attorney General from pursuing victim-specific judicial relief in his enforcement action. The obligation to arbitrate depends on an agreement to arbitrate, as arbitration is a matter of

consent, not coercion. Although the contracts entered into by defendants and individual policy sellers contained paragraphs providing that contractual disputes and controversies between the parties would be settled by arbitration, the Attorney General did not enter into any contract with defendants agreeing to arbitration, and should not have been limited, in his duty to protect the public interest, by an arbitration agreement he did not join. Such an arrangement between private parties could not alter the Attorney General's statutory role or the remedies that he was empowered to seek.

Torts — Breach of Fiduciary Duty — Sufficiency of Cause of Action for Inducement of Breach of Fiduciary Duty — Duty Owed by Life Settlement Brokers

2. In an enforcement action brought by the Attorney General against defendants, life settlement providers, alleging that defendants engaged in bid-rigging by paying substantial, concealed commissions to life settlement brokers and concealed a scheme of “gross offers” whereby brokers were allowed to determine how much of a purchase price paid by defendants they would keep and how much they would pass on to the policy seller, the complaint pleaded a viable cause of action for inducement of breach of fiduciary duty. The Attorney General claimed that defendants “aided and abetted, participated in, and benefitted from” the life settlement brokers’ breach of fiduciary duties to their clients. The facts alleged in the complaint concerning life settlement brokers fit within the legal theory of fiduciary duty. The allegations described a set of circumstances in which the brokers, by claiming relationships with large numbers of other financial institutions and professionals, and by persistently representing that they sought the highest possible offer for their clients’ life insurance policies, held themselves out to be highly-skilled experts and were on notice that their advice was specially relied on by their clients. The allegations in the complaint also sufficiently stated a claim that defendants knew that the life settlement brokers’ conduct constituted a breach of fiduciary duty.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 85, 86, 88;
AM JUR 2d, Consumer and Borrower Protection § 277;
AM JUR 2d, Insurance § 789.
CARMODY-WAIT 2d, Arbitration § 141:100.
COUCH ON INSURANCE (3d ed) § 2:7.
NY JUR 2d, Arbitration and Award § 73; NY JUR 2d,
Consumer and Borrower Protection § 18; NY JUR 2d, In-
surance § 253.
SIEGEL, NY PRAC § 588.

ANNOTATION REFERENCE

State regulation of viatical life insurance programs, viatical settlements, and viatical investments. 28 ALR6th 281.

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general & cause /3 action

POINTS OF COUNSEL

Williams & Connolly LLP (John G. Kester and Dane H. Butswinkas, of the District of Columbia bar, admitted pro hac vice, of counsel), *Pillsbury Winthrop Shaw Pittman, LLP*, New York City (E. Leo Milonas and Mark R. Hellerer of counsel), and *Patterson Belknap Webb & Tyler LLP* (Stephen P. Younger and Peter C. Harvey of counsel), for appellants. I. The decision is contrary to the Federal Arbitration Act. (*Southland Corp. v Keating*, 465 US 1; *Moses H. Cone Memorial Hospital v Mercury Constr. Corp.*, 460 US 1; *Allied-Bruce Terminix Cos. v Dobson*, 513 US 265; *Matter of Americorp Sec. v Sager*, 239 AD2d 115; *Denney v BDO Seidman, L.L.P.*, 412 F3d 58; *Gilmer v Interstate/Johnson Lane Corp.*, 500 US 20; *Shearson/American Express Inc. v McMahon*, 482 US 220; *Rodriguez de Quijas v Shearson/American Express, Inc.*, 490 US 477; *Thomson-CSF, S.A. v American Arbitration Assn.*, 64 F3d 773; *Deloitte Noraudit A/S v Deloitte Haskins & Sells, U.S.*, 9 F3d 1060.) II. The complaint did not state a claim for aiding and abetting a breach of fiduciary duty. (*AHA Sales, Inc. v Creative Bath Prods., Inc.*, 58 AD3d 6; *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue*, 11 NY3d 15; *Murphy v Kuhn*, 90 NY2d 266; *Hersch v DeWitt Stern Group, Inc.*, 43 AD3d 644; *Paull v First UNUM Life Ins. Co.*, 295 AD2d 982; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152; *GlobalNet Financial.Com, Inc. v Frank Crystal & Co., Inc.*, 449 F3d 377; *People v Liberty Mut. Ins. Co.*, 52 AD3d 378; *Wender v Gilberg Agency*, 304 AD2d 311.)

Andrew M. Cuomo, Attorney General, New York City (Benjamin N. Gutman, Barbara D. Underwood and Cecelia C. Chang of counsel), for respondent. I. The State of New York is not required to arbitrate its claims for victim-specific relief. (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Fabiano v Philip Morris Inc.*, 54 AD3d 146; *Garrity v Lyle Stuart, Inc.*, 40 NY2d 354; *Sperry v Crompton Corp.*, 8 NY3d 204; *AT&T Technologies, Inc. v Communications Workers*, 475 US 643; *Matter of Fiveco, Inc. v Haber*, 11 NY3d 140, 801; *EEOC v Waffle House, Inc.*, 534 US 279; *Cap Gemini Ernst & Young, U.S., L.L.C. v Nackel*, 346 F3d 360; *Prima Paint Corp. v Flood & Conklin Mfg. Co.*, 388 US 395; *Volt Information Sciences, Inc. v*

Board of Trustees of Leland Stanford Junior Univ., 489 US 468.) II. The complaint states a cause of action for knowingly inducing brokers to breach their fiduciary duty of loyalty. (*Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Truong v Schwab & Co.*, 289 AD2d 98; *Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409; *Birnbaum v Birnbaum*, 73 NY2d 461; *Dubbs v Stribling & Assoc.*, 96 NY2d 337; *Baseball Off. of Commr. v Marsh & McLennan*, 295 AD2d 73; *Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue*, 11 NY3d 15; *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *Murphy v Kuhn*, 90 NY2d 266.)

OPINION OF THE COURT

PIGOTT, J.

In recent years, an industry has developed in the United States in which investors, known as life settlement providers, buy life insurance policies from policy owners for cash, ultimately receiving the benefits of the policies when the insureds die. An example will illustrate the type of transaction involved. A company that holds a policy insuring the life of an executive who has retired wishes to sell the policy, to avoid paying premiums. A life settlement provider buys the life insurance policy from the company, for an amount exceeding the surrender value offered by the insurer, calculating that the value of the death benefits exceeds the purchase price, transaction costs, and continued premiums.*

Importantly, the life settlement industry purports to employ a competitive auction model. The policy owner—or the owner’s financial advisor or agent—will often hire a broker to solicit competing bids for the policy from life settlement providers.

I.

In October 2006, the Attorney General of New York State commenced this enforcement action against Coventry First LLC; its parent corporation, Montgomery Capital, Inc.; its executive vice-president, Reid S. Buerger; and an affiliate, The Coventry Group Inc. (collectively Coventry First), alleging fraudulent and

* Life settlement providers distinguish life settlements from viatical settlements, in which the policy seller suffers from a “catastrophic or life threatening illness or condition” (Insurance Law § 7801 [b]). The latter, but not the former, are regulated by Insurance Law article 78.

anticompetitive conduct. The Attorney General alleges that defendants, life settlement providers, engaged in bid-rigging by paying substantial, concealed commissions to life settlement brokers, who in return persuaded their clients to accept defendants' offers, rather than higher bids from rival life settlement providers. The Attorney General also claims that defendants concealed a scheme of "gross offers" whereby brokers were allowed to determine how much of a purchase price paid by defendants they would keep and how much they would pass on to the policy seller. Additionally, falsification of documents is alleged.

The Attorney General seeks damages "on behalf of the owners of life insurance policies who have been damaged by the schemes" and injunctive relief preventing further misconduct. The State's six causes of action are based on (1) Executive Law § 63 (12), (2) General Business Law § 340 *et seq.* (the Donnelly Act), (3) General Business Law § 352 *et seq.* (the Martin Act), (4) common-law fraud, (5) unjust enrichment, and (6) inducement of breach of fiduciary duty.

Defendants moved to dismiss plaintiff's complaint pursuant to CPLR 3211 (a) (7). In addition, because the contracts entered into by Coventry First and individual policy sellers contained paragraphs providing that contractual disputes and controversies between the parties would be settled by arbitration, defendants filed a motion pursuant to CPLR 7503 (a), seeking to "[c]ompel arbitration of all claims for victim-specific relief."

As relevant to this appeal, Supreme Court denied defendants' motion to compel arbitration and allowed the Attorney General's breach of fiduciary duty cause of action to proceed, along with two others (2007 NY Slip Op 33089[U]). The court also dismissed the Attorney General's claims to the extent that "they pertain to life settlement transactions that do not involve New York life settlement brokers, New York policy sellers, or alleged misconduct in New York" (*id.* at *12).

The Appellate Division reinstated the common-law fraud cause of action, dismissed by Supreme Court, and otherwise affirmed (52 AD3d 345 [2008]). The same court then granted leave to appeal to this Court, certifying the question whether Supreme Court's order, as modified by the Appellate Division, was properly made. We conclude that it was.

On appeal, defendants challenge the Appellate Division's decision in only two respects: insofar as it affirmed the denial of

their motion to compel arbitration and insofar as it allowed the Attorney General's sixth cause of action, alleging inducement of breach of fiduciary duty, to proceed. We address the arbitration question first.

II.

While defendants concede that the State's injunctive claims are not susceptible to arbitration, they insist that the claims for relief specific to particular policy sellers—claims for rescission of purchase agreements and for restitution—are subject to arbitration under the sellers' contracts with Coventry First. We have “repeatedly recognized New York's ‘long and strong public policy favoring arbitration’ ” (*Stark v Molod Spitz DeSantis & Stark, P.C.*, 9 NY3d 59, 66 [2007], quoting *Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39, 49 [1997]). However, the obligation to arbitrate depends on an *agreement* to arbitrate; arbitration “is a matter of consent, not coercion” (*Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173, 182 [1995], quoting *Volt Information Sciences, Inc. v Board of Trustees of Leland Stanford Junior Univ.*, 489 US 468, 479 [1989]).

Consent to arbitrate occurs in the most straightforward manner when a party signs a formal agreement to arbitrate. The Attorney General, of course, did not enter into any contract with defendants, agreeing to arbitration. Instead, defendants argue that the Attorney General, by suing on behalf of policy sellers who contracted with Coventry First, has become the “agent or alter ego of the contracting sellers” and is bound by their obligation to arbitrate. They also argue that that obligation is enforceable against the Attorney General pursuant to the Federal Arbitration Act. It is true that courts apply common-law principles of contract and agency to determine whether a non-signatory is bound by an arbitration agreement. However, defendants' arguments fail in light of United States Supreme Court precedent.

In *EEOC v Waffle House, Inc.* (534 US 279 [2002]), the Supreme Court held that an agreement between an employer and an employee to arbitrate employment-related disputes does not bar the Equal Employment Opportunity Commission from seeking victim-specific relief, such as back pay, reinstatement, and damages, in an enforcement action alleging that the employer had violated the Americans with Disabilities Act. *Waffle House* stands for two broad propositions, applicable to

the present case. The first is that pro-arbitration policy goals do not require a government agency to give up its statutory enforcement authority in favor of arbitration if it has not consented to do so, because those goals do not “require parties to arbitrate when they have not agreed to do so” (534 US at 293, quoting *Volt*, 489 US at 478; see 534 US at 288-289, 293-294). The second is that the government agency may seek relief specific to a victim who agreed to arbitrate claims, because, as here, that relief is best understood as part of the vindication of a public interest (see 534 US at 294-296).

[1] The Attorney General of New York State has statutory authority to serve the public interest by seeking both injunctive and victim-specific relief, comparable to that of the EEOC in the federal arena. The EEOC is authorized by statute to bring an enforcement action, seeking to enjoin an employer from engaging in unlawful employment practices and seeking appropriate affirmative action, such as reinstatement and/or back pay (42 USC § 2000e-5 [f] [1]; [g] [1]), as well as compensatory and punitive damages (42 USC § 1981a [a] [1], [2]; [d] [1] [A], [B]). Similarly, the Attorney General of New York State, when apprised of the persistent fraud or illegality of a business, is authorized by statute to bring an enforcement action seeking “an order enjoining the continuance of such business activity or of any fraudulent or illegal acts, [and] directing restitution and damages” (Executive Law § 63 [12]). He is also authorized, when informed of deceptive acts or practices affecting consumers in New York, to “bring an action in the name and on behalf of the people of the state of New York to enjoin such unlawful acts or practices and to obtain restitution of any moneys or property obtained” thereby (General Business Law § 349 [b]). Like the EEOC, the Attorney General should not be limited, in his duty to protect the public interest, by an arbitration agreement he did not join. Such an arrangement between private parties cannot alter the Attorney General’s statutory role or the remedies that he is empowered to seek. We therefore hold that the arbitration agreement between defendants and their alleged victims does not bar the Attorney General from pursuing victim-specific judicial relief in his enforcement action.

III.

We now turn to the issue of whether the Attorney General has pleaded a viable cause of action for inducement of breach of

fiduciary duty. The Attorney General claims that defendants “aided and abetted, participated in, and benefitted from” the life settlement brokers’ breach of fiduciary duties to their clients.

“When assessing the adequacy of a complaint in light of a CPLR 3211 (a) (7) motion to dismiss, the court must afford the pleadings a liberal construction, accept the allegations of the complaint as true and provide plaintiff . . . the benefit of every possible favorable inference” (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582, 591 [2005] [internal quotation marks omitted]). “[O]ur sole criterion is whether the pleading states a cause of action, and if from its four corners factual allegations are discerned which taken together manifest any cause of action cognizable at law a motion for dismissal will fail” (*Polonetsky v Better Homes Depot*, 97 NY2d 46, 54 [2001] [internal quotation marks omitted]). In determining whether the Attorney General’s allegations are sufficient to state the necessary elements of a cognizable cause of action, we begin by noting that the claim that defendants knowingly induced or participated in a fiduciary’s breach of obligations to another necessarily fails if no fiduciary duty exists or if defendants did not know of the duty.

Our first question therefore is whether the facts concerning life settlement brokers, as alleged by the Attorney General, fit within the legal theory of fiduciary duty. “A fiduciary relationship ‘exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation’ ” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005], quoting Restatement [Second] of Torts § 874, Comment *a*). It exists only when a person reposes a high level of confidence and reliance in another, who thereby exercises control and dominance over him (see *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 172-173 [1993]).

According to the Attorney General, life settlement brokers hold themselves out as working to obtain the highest purchase price for their clients’ policies. A promise to obtain for a client the “highest possible” offer—in contrast to, for example, simply “obtain[ing] requested coverage for [a client] within a reasonable time or inform[ing] the client of the inability to do so . . . [with] no continuing duty to advise, guide or direct a client to obtain additional coverage” (*Murphy v Kuhn*, 90 NY2d 266, 270 [1997] [citations

omitted])—would, if made in a manner that could be reasonably relied upon by the client, suggest a fiduciary duty. Here, the Attorney General’s allegations describe a set of circumstances in which life settlement brokers, by claiming relationships with large numbers of other financial institutions and professionals, and by persistently representing that they seek the highest possible offer for their clients’ life insurance policies, hold themselves out to be highly-skilled experts and are on notice that their advice is specially relied on by their clients. The sale of life insurance policies is alleged to be a relatively new and largely unregulated industry—one in which even sophisticated clients rely on what they take to be expert advice when seeking offers on policies they wish to sell. These allegations comport with the legal theory of fiduciary duty.

[2] The Attorney General’s allegations also sufficiently state a claim that defendants knew that the life settlement brokers’ conduct constituted a breach of fiduciary duty. Defendants’ only argument in this regard is that they could not have had the requisite knowledge because the present case was the first time that a fiduciary duty on the part of life settlement brokers had been announced in this jurisdiction. However, the Attorney General’s complaint cited a Life Insurance Settlement Association White Paper, published in 2006, which states that the life settlement broker “has a fiduciary role to represent the seller by law . . . the bottom line is that the broker’s job is to fully represent the interests of the policy seller.” The complaint was also accompanied by an exhibit of e-mails between Coventry First executives who refer to the fiduciary duties of life settlement brokers. According the Attorney General the benefit of every possible favorable inference, as we must on a CPLR 3211 (a) (7) motion to dismiss, we conclude that he sufficiently alleged defendants’ knowledge of the life insurance brokers’ fiduciary duties.

IV.

Finally, defendants’ argument that the State does not have standing to bring a claim seeking damages on behalf of life insurance policy sellers was not preserved below and is waived under CPLR 3211 (e).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

PEOPLE v COVENTRY FIRST LLC [13 NY3d 108] 117

Opinion by PIGOTT, J.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur;
Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[914 NE2d 140, 885 NYS2d 448]

In the Matter of A. WILLIAM CASS, Appellant, v STEPHAN L. KRAKOWER, Respondent, et al., Respondents.

Argued August 25, 2009; decided August 26, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 20, 2009. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Dutchess County (Christine A. Sproat, J.), as had denied respondent Stephan L. Krakower's motion to dismiss the petition for failure to join a necessary party and granted the petition to the extent of invalidating the petition for an opportunity to ballot; (2) granted respondent's motion to dismiss the petition for failure to join a necessary party; (3) dismissed the proceeding; and (4) directed the Dutchess County Board of Elections to conduct a primary election on September 15, 2009 giving members of the Conservative Party an opportunity to write in the name of a person for nomination as the candidate of the Conservative Party for the public office of Member of the Town Board of the Town of Poughkeepsie for Ward 5.

Matter of Cass v Krakower, 65 AD3d 637, affirmed.

HEADNOTE

Elections — Petition for Opportunity to Ballot — Notice of Proceeding

The petition in a proceeding to invalidate a petition for an opportunity to ballot should have been dismissed due to petitioner's failure to serve or provide any notice of the proceeding to the Committee to Receive Notices, as required by Election Law §§ 6-164 and 6-166.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections § 206.

McKINNEY's, Election Law §§ 6-164, 6-166.

NY JUR 2d, Elections §§ 376-380.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

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Database: NY-ORCS

Query: petition /s opportunity /3 ballot & notice /s committee

APPEARANCES OF COUNSEL

John Ciampoli, Albany, for appellant.

David A. Sears, Poughkeepsie, for respondent.

OPINION OF THE COURT

Per Curiam.

Election Law §§ 6-164 and 6-166 collectively require that an opportunity to ballot petition shall set forth the names of persons constituting a “committee to receive notices” and that “[a]ll required notices shall be served on the members of the committee named in the petition.” Here, petitioner, the aggrieved candidate, failed to serve or provide any notice of the present proceeding to the Committee to Receive Notices. Thus, the Appellate Division properly reversed Supreme Court’s denial of respondent’s motion to dismiss (65 AD3d 637 [2009]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order affirmed.

[914 NE2d 991, 886 NYS2d 74]

In the Matter of NEW YORK CHARTER SCHOOLS ASSOCIATION, INC., et al., Appellants, v THOMAS P. DiNAPOLI, as Comptroller of the State of New York, et al., Respondents.

Argued June 2, 2009; decided June 25, 2009

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 15, 2009. The Appellate Division (1) reversed, on the law, an order and judgment of the Supreme Court, Albany County (Richard M. Platkin, J.; op 20 Misc 3d 235), which had denied respondents' motion for summary judgment in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, declared that General Municipal Law § 33 (2) and Education Law § 2854 (1) (c) violated article V, § 1 of the New York Constitution to the extent that they authorized or directed respondent State Comptroller to audit charter schools, and permanently enjoined respondents from conducting or attempting to conduct audits of charter schools pursuant to those statutes; (2) dismissed the petition/complaint; and (3) declared that the challenged statutes had not been shown to be unconstitutional.

Matter of New York Charter Schools Assn., Inc. v DiNapoli, 60 AD3d 119, reversed.

HEADNOTE

State — Comptroller — Assignment to Comptroller of Authority to Audit Charter Schools Unconstitutional

Assignment to the State Comptroller of the power and duty to audit charter schools violated article V, § 1 of the New York State Constitution. Article V, § 1 gives the Legislature the authority to delegate to the Comptroller the power and duty to supervise the accounts of any political subdivision of the State, and provides that the Comptroller shall not be assigned administrative duties, except those incidental to the performance of his or her functions. Charter schools are not political subdivisions of the State, nor is the task of auditing charter schools an administrative duty incidental to the Comptroller's constitutionally prescribed functions. Accordingly, the provisions of General Municipal Law § 33 (2) and Education Law § 2854 (1) (c), to the extent that they direct the Comptroller to conduct audits of charter schools, are unconstitutional. The Legislature has designated the Board of Regents and the charter entities as the public agents authorized to supervise and oversee charter schools. Audits of charter schools—not political subdivisions—cannot be construed as incidental to the audits of school districts authorized by the Legislature (L 2005, ch 267; General Municipal Law § 33 [2]). The plainly

expressed constitutional prohibition of article V, § 1 does not support such an expansive reading of the term “incidental.” The Comptroller, as the State’s chief fiscal officer, has not been authorized to audit the management and operations of an entity—not a political subdivision—solely on the basis that it receives State funds and performs a governmental function. An audit of the performance of charter schools could not be considered to be within an audit of the monies paid by a school district acting as a mere conduit by forwarding the funds necessary to pay a student’s tuition.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Schools §§ 3, 129; AM JUR 2d, States, Territories, and Dependencies §§ 63, 77.
McKINNEY’s, Education Law § 2854 (1); General Municipal Law § 33 (2); NY Const, art V, § 1.
NY JUR 2d, Constitutional Law § 170; NY JUR 2d, Schools, Universities, and Colleges §§ 7, 244, 629; NY JUR 2d, State of New York § 23.

ANNOTATION REFERENCE

See ALR Index under Audits and Auditors; Charter Schools; Constitutional Law.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Joseph F. Wayland* of counsel), and *Whiteman Osterman & Hanna LLP*, Albany (*John Henry* of counsel), for appellants. I. The Comptroller of the State of New York’s powers are limited by article V, § 1 of the New York State Constitution. (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *County of Rensselaer v Regan*, 151 Misc 2d 552; *Patterson v Carey*, 41 NY2d 714; *Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86.) II. Charter schools are not political subdivisions. (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *Markey v County of Queens*, 154 NY 675; *People ex rel. Williams Eng’g & Contr. Co. v Metz*, 193 NY 148; *Gaynor v Marohn*, 268 NY 417; *People ex rel. Bolton v Albertson*, 55 NY 50; *Village of Kenmore v County of Erie*, 252 NY 437; *Matter of Worth Constr. Co., Inc. v Hevesi*, 8 NY3d 548; *John Grace & Co. v State Univ Constr. Fund*, 44 NY2d 84; *Matter of Mena v D’Ambrose*, 44 NY2d 428;

Matter of Corwin v Farrell, 303 NY 61.) III. Audits of charter schools are not “incidental to” the Comptroller of the State of New York’s supervision of the accounts of public school districts. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *Patterson v Carey*, 41 NY2d 714.)

Andrew M. Cuomo, Attorney General, Albany (Andrew D. Bing, Barbara D. Underwood and Zainab A. Chaudhry of counsel), for respondents. The Legislature’s assignment to the Comptroller of the State of New York of charter school audits is permitted by the broad authority delegated to the Legislature in article V, § 1 of the State Constitution to shape the Comptroller’s powers and duties regarding the State of New York and its political subdivisions. (*Matter of Worth Constr. Co., Inc. v Hevesi*, 8 NY3d 548; *Matter of McCall v Barrios-Paoli*, 93 NY2d 99; *LaValle v Hayden*, 98 NY2d 155; *Schulz v State of New York*, 84 NY2d 231; *Matter of Dinallo v DiNapoli*, 9 NY3d 94; *Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *Levitt v Wanamaker*, 12 AD2d 149; *Matter of ASA Inst. of Bus. & Computer Tech. v McCall*, 281 AD2d 849; *Matter of Elmira Bus. Inst. v New York State Dept. of Educ.*, 116 AD2d 133, 70 NY2d 758; *Palmer v Board of Educ.*, 276 NY 222.)

James R. Sandner, Latham, Marilyn Raskin-Ortiz, Frederick K. Reich and Richard E. Casagrande of counsel for New York State United Teachers, amicus curiae. I. The New York State Constitution authorizes the Legislature to broadly and comprehensively audit charter schools. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Reform Educ. Fin. Inequities Today [R.E.F.I.T.] v Cuomo*, 86 NY2d 279; *Matter of International High School: Charter School at LaGuardia Community Coll. v Mills*, 276 AD2d 165; *Gardner v Ginther*, 232 App Div 296, 257 NY2d 578; *Matter of Board of Educ. of Union Free School Dist. No. 1 of Towns of Bethlehem, Coeymans & New Scotland v Wilson*, 303 NY 107; *LaValle v Hayden*, 98 NY2d 155; *Matter of Dinallo v DiNapoli*, 9 NY3d 94.) II. The justification for upholding the New York State Comptroller’s authority to audit charter schools is underscored by the experiences of states other than New York. (*United States v Pierce*, 479 F3d 546.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are called upon to determine whether the

Legislature violated article V, § 1 of the New York State Constitution when it assigned and directed the State Comptroller to audit charter schools. We hold that the Legislature exceeded its constitutional authority by delegating and directing the Comptroller to conduct audits of charter schools. Therefore, the order of the Appellate Division should be reversed.

Background

In 1998, the Legislature enacted the New York Charter Schools Act (Act) thereby authorizing a system of charter schools to be created in New York State to provide “opportunities for teachers, parents, and community members to establish and maintain schools that operate independently of existing schools and school districts” (Mem in Support of 1998 NY Senate-Assembly Bill S7881, A11466, Bill Jacket, L 1998, ch 4). The Legislature found that creating a charter schools system would have no fiscal impact on the State because the “[f]unds are provided for within [the] annual appropriation for school aid” (*id.*).

Charter schools are “within the public school system” (Education Law § 2850 [2] [e]). Any child who is eligible for admission to a public school is qualified for admission to a charter school, and the charter school “shall enroll each eligible student who submits a timely application . . . unless the number of applications exceeds the capacity of the grade level or building” (Education Law § 2854 [2] [b]). A charter school cannot charge tuition or fees, except to the extent that fees are charged by other public schools, and shall be nonsectarian in its programs, admission policies and employment practices and is forbidden from engaging in any form of discrimination (*see* Education Law § 2854 [2] [a]).¹ Further, the Legislature has stated that “[t]he powers granted to a charter school under [the Act] constitute the performance of essential public purposes and governmental purposes of this state” (Education Law § 2853 [1] [d]).

Under this Act, teachers, parents, school administrators, community residents or any combination thereof may submit an application to establish a charter school (*see* Education Law § 2851

1. However, this section does allow for a “single-sex charter school or a charter school designed to provide expanded learning opportunities for students at-risk of academic failure” (*id.*).

[1]).² A charter school application may be filed in conjunction with a college, university, museum, educational institution, or a not-for-profit corporation exempt from taxation under paragraph (3) of subsection (c) of section 501 of the Internal Revenue Code or for-profit business or corporate entity authorized to do business in New York (*id.*). A charter school application must be submitted to, and receive approval from, a “charter entity” (*see* Education Law § 2851 [3]). The Act defines a “charter entity” as (1) the State Board of Regents; (2) the Board of Trustees of the State University of New York; (3) the board of education of a school district that encompasses the geographical boundary in which the charter school will operate; or (4) if the charter school is to be located within the City of New York, the Chancellor of the City School District (*id.*).

Education Law § 2851 (2) states that the application must specify information, such as its mission statement, a description of an educational program and a description of student achievement goals that meet or exceed the student performance standards adopted by the Board of Regents for other public schools. Further, the application must provide a proposed budget and fiscal plan for the school, including supporting evidence that the fiscal plan is sound and that sufficient start-up funds will be available to the charter school (*id.*). Education Law § 2851 (2) also provides that the charter school application disclose its requirements and procedures for conducting at a minimum annual programmatic and independent fiscal audits, that are comparable in scope to audits of other public schools.

Once the application of the proposed charter school has been approved by the charter entity, the Act requires that the organizers of the proposed charter school and the charter entity enter into a proposed written agreement—the “charter.” The charter allows an applicant to organize and operate a charter school (*see* Education Law § 2852 [5]). Further, the charter must “include the specific commitments of the charter entity relating to its obligations to oversee and supervise the charter school” (*id.*). The Board of Regents, if not the charter entity, is required to give its final approval to all proposed charters before issuance (*see* Education Law § 2851 [3]; § 2852 [5], [5-a], [5-b]).

Once approved, the Board of Regents incorporates the charter school as an “education corporation” (*see* Education Law

2. An existing private school is not eligible to convert to a charter school (*see* Education Law § 2852 [3]).

§ 216-a [1] [a];³ § 2853 [1]) governed by the Not-For-Profit Corporation Law (*see* Education Law § 216-a [4]) and its incorporation as an education corporation is “for a term not to exceed five years” (Education Law § 2853 [1] [a]). After the five-year term has expired, a charter school must apply for renewal of its charter by submitting a report detailing the progress of the charter school in achieving the educational objectives as set forth in its charter (Education Law § 2851 [4]). A charter school must provide a “detailed financial statement that discloses the cost of administration, instruction and other spending categories for the charter school that will allow a comparison of such costs to other schools, both public and private” (Education Law § 2851 [4] [b]), as well as copies of each of the annual reports of the charter school which include charter school report cards and certified financial statements (*see* Education Law § 2851 [4] [c]).

Indeed, a charter school has been deemed by the Legislature to be “an independent and autonomous public school” (Education Law § 2853 [1] [c])⁴ and that the charter entity and the Board of Regents are “the public agents authorized to supervise and oversee the charter school” (*id.*). Further, a charter school is governed by a self-selecting board of trustees that has “final authority for policy and operational decisions of the school” (Education Law § 2853 [1] [f]). However, it falls both to the Board of Regents and charter entity to oversee each school approved pursuant to the Act “and both may visit, examine into and inspect any charter school, including the records of such school, under its oversight” (Education Law § 2853 [2]).

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3. Education Law § 216-a (1) (a) states the term “‘education corporation’ . . . means a corporation (a) chartered or incorporated by the regents or otherwise formed under this chapter, or (b) formed by a special act of this state with its principal purpose an education purpose and which is a member of the university of the state of New York, or (c) formed under laws other than the statutes of this state which, if it were to be formed currently under the laws of this state, might be chartered by the regents, and which has been authorized to conduct its activities in this state by the regents or as an authorized foreign education corporation with the consent of the commissioner.”

4. There are certain instances in Education Law § 2853 in which the Legislature has determined a charter school should be considered a private school such as: (1) the power to designate textbooks, to purchase textbooks, to loan textbooks and to purchase supplies; (2) the designation of school library materials; (3) the designation of software programs to be used in conjunction with its computers; (4) local zoning, land use regulation, and building code compliance; and (5) student transportation.

Further, “[o]versight by a charter entity and the board of regents shall be sufficient to ensure that the charter school is in compliance with all applicable laws, regulations and charter provisions” (*id.*).

The Act imposes additional layers of oversight designed to ensure the charter school meets its educational responsibilities by giving the school district in which the charter school is located the right to visit, examine and inspect the charter school for the purpose of ensuring that the school is in compliance with all applicable laws, regulations and charter provisions (*see* Education Law § 2853 [2-a]). Any evidence of noncompliance uncovered by the school district during its inspection of the charter school may be forwarded to the Board of Regents and the charter entity for action, which can include revocation of the school’s charter (*see id.*; *see also* Education Law § 2855).

In addition to being subject to inspection by the Board of Regents, the charter entity and the local school district, a charter school must submit an annual report to both the Board of Regents and to its charter entity. These reports include a charter school report card that outlines the measures of the comparative academic and fiscal performance of the school (*see* Education Law § 2857 [2] [a]). These

“measures shall include, but not be limited to, graduation rates, dropout rates, performance of students on standardized tests, college entry rates, total spending per pupil and administrative spending per pupil. Such measures shall be presented in a format that is easily comparable to similar public schools” (Education Law § 2857 [2] [a]).

A charter school’s annual report also must include “a certified financial statement setting forth . . . the revenues and expenditures for the preceding school year, including a copy of the most recent independent fiscal audit of the school” (Education Law § 2857 [2] [c]).

Charter schools are funded primarily with public monies.⁵ The Act requires that the “school district of residence shall pay directly to the charter school for each student enrolled in the charter school who resides in the school district the charter school basic tuition” (Education Law § 2856 [1] [a]). Further, a

5. Respondents assert that petitioners received the majority of their revenue, between 63% and 96%, from the New York City School District, with the average being approximately 82%.

school district that has a charter school operating within its geographical area must “pay directly to the charter school any federal or state aid attributable to a student with a disability attending charter school in proportion to the level of services for such student with a disability that the charter school provides directly or indirectly” (Education Law § 2856 [1] [b]).

Should a school district fail to make the mandatory payments outlined in Education Law § 2856, the Comptroller must deduct from any state funds that become due to such school district an amount equal to the unpaid obligation to the charter school (*see* Education Law § 2856 [2]).⁶ Upon closure or dissolution of a charter school, its students and student records must be transferred to the school district wherein the charter school is located (*see* Education Law § 2851 [2] [t]), while its assets must be remitted back to the school district or to another charter school operating within the same school district (*id.*).

The Act, however, makes clear that a charter school does “not have the power to levy taxes or to acquire property by eminent domain” (Education Law § 2853 [1] [e]). The Act also makes it clear that no civil liability may attach to a charter entity, the Board of Regents, or to any of their members or employees, individually or collectively, for any acts or omissions of the charter school (*see* Education Law § 2853 [1] [g]). Also, it exempts the local school district, the charter entity and the State from liability for any debts or financial obligations of a charter school or any person and/or corporate entity that operates a charter school (*id.*).

The 2005 Legislation and This Lawsuit

In 2005, the Legislature adopted the school audit bill which directs the State Comptroller to audit all school districts, boards of cooperative educational services (BOCES) and charter schools operating within this state by March 31, 2010 (*see* L 2005, ch 267; *see also* Education Law § 2854 [1] [c]; General Municipal Law § 33 [2]). The Legislature determined that additional audits should be conducted by the State Comptroller because

“[s]chool districts, BOCES and charter schools are all public entities that use taxpayer funds. As such, the taxpayers who support these enterprises have a

6. The Act also encourages “[p]rivate persons and organizations . . . to provide funding and other assistance to the establishment or operation of charter schools” (Education Law § 2853 [4] [d]).

right to know that they are managed effectively and that proper measures are in place to protect against fraud and waste. The recent school district financial scandals and the failure of the independent auditor in those districts have made it clear that these additional safeguards are not merely appropriate; they are a good investment that will protect State and local taxpayers from financial practices that do not meet State standards” (Budget Report on Bills, Bill Jacket, L 2005, ch 267, at 5).

As amended, Education Law § 2854 (1) (c) requires that charter schools be subject to the State Comptroller’s audit just like other public schools. The Legislature also amended General Municipal Law § 33 to require that the Comptroller “cause the accounts of every school district, BOCES and charter school in the state to be examined” no later than March 31, 2010 (General Municipal Law § 33 [2]).

As a result of the 2005 amendments, respondents, by letter dated July 1, 2007, notified 31 charter schools located in New York City that the Office of the State Comptroller had scheduled a performance audit of charter schools authorized by the New York City Department of Education. The State Comptroller cited General Municipal Law § 33 as his authority to conduct the performance audits of the charter schools pursuant to article V, § 1 of the New York State Constitution. The audits were to include an assessment as to the extent that New York City charter schools met quantitative academic achievement goals and complied with student selection procedures and criteria, as set forth in their charters.

Upon receiving notice of the State Comptroller’s intent to audit them, several charter schools, by letter dated August 3, 2007, questioned whether the Comptroller had the authority to conduct academic performance audits. The Comptroller responded by letter dated September 27, 2007, reiterating that his authority derived from the 2005 amendments to General Municipal Law § 33, and that this Court’s decision in *Matter of McCall v Barrios-Paoli* (93 NY2d 99 [1999]) had clarified that the State Comptroller’s audit authority includes the power to conduct both financial and performance audits. The Comptroller concluded that the audits were proper because the matters to be examined “have clear fiscal implications for the public as well as the governmental entities that

fund the charter schools and have programmatic and oversight responsibilities with respect to them” (Letter from Office of State Comptroller, Sept. 27, 2007, record at 254).

In December 2007, petitioners⁷ commenced this combined CPLR article 78 proceeding and an action for declaratory and injunctive relief against respondents Thomas P. DiNapoli, as Comptroller of the State of New York, the Office of the State Comptroller and the State of New York. In particular, petitioners seek a declaratory judgment that the Comptroller lacks the authority to conduct audits of charter schools because article V, § 1 of the New York State Constitution prohibits the Legislature from assigning to the Comptroller the power or duty of auditing charter schools since they are not political subdivisions of the State, nor is the task of auditing charter schools an administrative duty incidental to the Comptroller’s constitutionally prescribed functions. Further, petitioners seek a judgment declaring that the grant of the Comptroller’s audit authority over charter schools contained in General Municipal Law § 33 (2) and Education Law § 2854 (1) (c) is unconstitutional and seek a permanent injunction prohibiting the Comptroller from conducting audits of charter schools. Respondents answered and moved for summary judgment.

Supreme Court denied respondents’ motion for summary judgment, holding that insofar as General Municipal Law § 33 (2) and Education Law § 2854 (1) (c) authorize or direct the Comptroller to audit charter schools, they violate article V, § 1 of the New York State Constitution (20 Misc 3d 235 [2008]).

7. The caption indicates that there are 15 charter school petitioners: The Opportunity Charter School, New Heights Academy Charter School, The Renaissance Charter School, International Leadership Charter School, Hellenic Classical Charter School, Harlem Children’s Zone Promise Academy Charter School, Harlem Children’s Zone Promise Academy II Charter School, John V. Lindsay Wildcat Academy Charter School, Hyde Leadership Academy Charter School, New York Center for Autism Charter School, Brooklyn Charter School, Manhattan Charter School, South Bronx Charter School for International Cultures and the Arts, Community Roots Charter School and Ross Global Academy Charter School. However, respondents assert that there are 16 charter school petitioners because the list did not include the Future Leaders Institute Charter School. Petitioners also include two not-for-profit organizations, The New York Charter Schools Association, Inc., and The New York City Center for Charter School Excellence, Inc. The charter school petitioners are members of The Charter Schools Association, Inc.

The court permanently enjoined the Comptroller from conducting any further charter audits.⁸

A divided Appellate Division reversed, holding that the Legislature did not violate NY Constitution, article V, § 1 when it directed audits of charter schools by the Comptroller (60 AD3d 119 [2009]). The majority found that given the Legislature's broad delegatory authority regarding the Comptroller's authority and the significant public funding involved, the Comptroller's fundamental duty to supervise state fiscal matters was implicated. Therefore, the task of auditing charter schools was an administrative duty incidental to the Comptroller's constitutionally prescribed functions. Petitioners appeal as of right, pursuant to CPLR 5601 (b) (1), and we now reverse.

Analysis

It is well settled that "[l]egislative enactments enjoy a strong presumption of constitutionality" (*LaValle v Hayden*, 98 NY2d 155, 161 [2002]). A party contesting the constitutionality of a statute must overcome a very heavy initial burden by proving that the invalidity of the law is beyond a reasonable doubt (*see People v Tichenor*, 89 NY2d 769, 773 [1997], citing *People v Pagnotta*, 25 NY2d 333, 337 [1969]). Here, petitioners assert that the Legislature violated article V, § 1 of the New York State Constitution which provides in pertinent part that

"[t]he comptroller shall be required: (1) to audit all vouchers before payment and all official accounts; (2) to audit the accrual and collection of all revenues and receipts; and (3) to prescribe such methods of accounting as are necessary for the performance of the foregoing duties. The payment of any money of the state, or of any money under its control, or the refund of any money paid to the state, except upon audit by the comptroller, shall be void . . . In such respect the legislature shall define the powers and duties and may also assign to him or her: . . . supervision of the accounts of any political subdivision of the state . . . The legislature shall assign to him or her no administrative duties, excepting such as may be incidental to the performance of these

8. As an initial matter, Supreme Court also rejected respondents' argument that charter schools lack the legal capacity to assert a constitutional challenge against the State, finding that petitioners have standing.

functions, any other provision of this constitution to the contrary notwithstanding.”

Petitioners contend that assignment to the Comptroller of the power and duty to audit charter schools violates the constitutional provision because charter schools are not political subdivisions of the State, nor is the task of auditing charter schools an administrative duty that is incidental to the Comptroller’s constitutionally prescribed functions. We agree.

Although vigorously contested below, respondents do not now press the argument that a charter school is a “political subdivision” of the State. They maintain, however, that the Legislature’s assignment to the Comptroller of the duty to audit charter schools is permitted by the broad authority conferred by article V, § 1. They further contend that the Legislature’s assignment of auditing duties to the Comptroller is constitutional because charter schools have a significant fiscal impact on both the State and school districts and should fall under the Comptroller’s incidental power to audit school districts.

In 1925, the Legislature determined that a major restructuring of government departments and their responsibilities was necessary. Article V, § 1 was adopted in order to establish parameters of the Comptroller’s duties. We noted this legislative history in *Blue Cross & Blue Shield of Cent. N.Y. v McCall* (89 NY2d 160 [1996]) as support for our determination that the Legislature did not have the constitutional authority to assign to the Comptroller the power to conduct audits of private health insurance companies.

There, we rejected the State Comptroller’s arguments, which had been based upon practical concerns and public policy. Here, as in *Blue Cross*, the policy concerns appear to be substantial. However, the legislative enactments of General Municipal Law § 33 (2) and Education Law § 2854 (1) (c), to the extent they grant the Comptroller the power to audit charter schools, violate article V, § 1. Indeed, in *Blue Cross*, we observed that it was important that the Insurance Department had long since been established and empowered to conduct audits and examinations of the insurance business (*see* 89 NY2d at 168-169).

Here, the Legislature has designated the Board of Regents and the charter entities as the public agents authorized to supervise and oversee charter schools. Respondents’ proposed audits include an assessment as to the extent to which New York City charter schools meet quantitative academic

achievement goals and comply with student selection procedures and criteria, as set forth in their charters. Audits of charter schools—not political subdivisions—cannot be construed as incidental to the audits of school districts. The “plainly expressed constitutional prohibition” of article V, § 1 simply does not support respondents’ expansive reading of the term “incidental” (*Blue Cross*, 89 NY2d at 170).

Indeed, “[a]rticle V, § 1 of the State Constitution is a wellspring of the Comptroller’s authority . . . [which] broadly empowers the Legislature to delegate to the Comptroller both supervision of the accounts of any political subdivision of the State and administrative duties incidental thereto” (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99, 105 [1999]). However, we have noted that “the objective behind article V, § 1 was to protect the ‘independent character of the Comptroller’s audit function,’ a goal that was accomplished by prohibiting the Legislature from assigning to the Comptroller unrelated duties” (*Matter of Worth Constr. Co., Inc. v Hevesi*, 8 NY3d 548, 552 [2007], quoting *Matter of McCall v Barrios-Paoli*, 93 NY2d at 107) and is fulfilled by our holding today.

Respondents maintain that our decision in *Barrios-Paoli* supports their contention that school districts, as recipients of billions of dollars in annual state aid, some passed along to support charter schools, are subject to the Comptroller’s audit because the State’s interest in monies appropriated to these school districts does not cease upon the districts’ receipt of the funds. Respondents further contend that the authority to supervise the accounts of the State’s political subdivision—the school district—leaves ample room for a wider inquiry into the efficiency and effectiveness of the district’s expenditures of state funds for charter schools. In other words, respondents believe that the Comptroller has the authority to “follow the money.”

Respondents’ reliance on *Barrios-Paoli*, however, is misplaced. The question presented in *Barrios-Paoli* was whether the Comptroller had the authority to inquire into the management and operations of city agencies that are political subdivisions. In answering that question in the affirmative, we did not indicate that the State Comptroller, as the State’s chief fiscal officer, could therefore audit the management and operations of an entity—not a political subdivision—solely on the basis that it receives state funds and performs a governmental function.

Neither does the language of article V, § 1—“[t]he payment of any money of the state, or of any money under its control, or the refund of any money paid to the state, except upon audit by the comptroller, shall be void”—support the constitutionality of the Legislature’s delegation to the Comptroller of the duty to audit charter schools. Respondents argue that the Comptroller’s authority to audit all vouchers before payment and all accounts (“pre-audit”) includes, by implication, “post-audit” authority to confirm that funds have been correctly disbursed and have been used in conformity with the particular purpose or program. However, respondents’ argument that the Comptroller is constitutionally entitled to audit the performance of charter schools, and perhaps question the wisdom of how charter schools provide instruction, cannot be considered to be within an audit of the monies paid by a school district acting as a mere conduit by forwarding the funds necessary to pay a student’s tuition. The money paid by a school district to a charter school is no longer under the State’s control once the funds have been transferred.

This does not leave charter schools without fiscal oversight as the fiscal affairs of each charter school are indeed subject to oversight by the Board of Regents, its charter entity, the school’s board of trustees and the mandatory independent annual audit. Accountability to the public is thus secured. The ultimate check, of course, is that a school may lose its charter if it is not meeting educational standards, as charters are renewed every five years.

Conclusion

Petitioners have shown, beyond a reasonable doubt, that the Legislature’s delegation of auditing authority over charter schools to the Comptroller violates article V, § 1 of the New York State Constitution. The provisions of General Municipal Law § 33 (2) and Education Law § 2854 (1) (c), to the extent that these provisions direct the Comptroller to conduct audits of charter schools, are thus declared unconstitutional and the declaratory and injunctive relief, as granted by Supreme Court, is proper.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order and judgment of Supreme Court should be reinstated.

Chief Judge LIPPMAN (concurring). While I agree with the

majority that the challenged legislation directing fiscal and programmatic audits of all of the State's charter schools by the end of March 2010 exceeds the authority conferred upon the Legislature to shape the mission of the State Comptroller pursuant to article V, § 1 of New York's Constitution, I write separately to underscore that the issue before us has less to do with the power of the Comptroller than it does with the power of the Legislature. All we hold is that the Legislature could not, consistent with the express limitation upon its authority to define the Comptroller's agenda contained in article V, § 1, direct the Comptroller to perform both fiscal and programmatic audits of entities that are neither political subdivisions of the State nor so intertwined with political subdivisions that their audit would be reasonably incidental to a political subdivision audit. We do not hold that charter schools may never be audited by the State Comptroller. Judge Graffeo has raised the possibility that a less plenary audit confined to economic matters might be permissibly directed under article V, § 1. It might also be borne in mind that while article V, § 1 is an important wellspring of the Comptroller's power, it is not its only source. Under article X, § 5 of the Constitution, the Comptroller is expressly permitted to supervise the accounts of a public corporation and it appears that charter schools, which are indisputably corporate constituents of the public education system and share many of the salient characteristics of the public benefit corporations traditionally audited by the Comptroller under the authority of article X, § 5 (*see* 20 Misc 3d 235, 259-266 [2008] [same case]), may well be deemed public corporations within the meaning of that provision. If so, they would clearly be auditable by the Comptroller—but at his or her discretion, not the direction of the Legislature (*see Patterson v Carey*, 41 NY2d 714, 723-724 [1977]). These alternative theories pursuant to which the accounts of charter schools might be brought under the Comptroller's supervision are not now before us. They are properly raised only to show that we have not, by enforcing the constitutional limitation upon the Legislature's prerogative to make use of the Comptroller's office, thereby placed charter schools beyond the Comptroller's power.

GRAFFEO, J. (concurring). I agree with the majority that the 2005 legislation directing the Comptroller to audit charter schools to the same extent as public school districts violates article V, § 1 of the New York Constitution. I do not believe academic performance audits fall within the administrative duties that are incidental to the Comptroller's supervision of political

subdivisions, which include school districts. But I do not subscribe to the majority opinion to the extent it suggests that article V, § 1 prohibits the Legislature from assigning any audit function to the Comptroller. I write separately to express my belief that article V, § 1 grants the Legislature some flexibility in authorizing the Comptroller to conduct more limited, purely financial audits of the public funding provided to charter schools.

Under article V, § 1 of the New York Constitution, the Legislature may assign to the Comptroller the “supervision of the accounts of any political subdivision of the state” as well as “administrative duties” that are “incidental to the performance” of the Comptroller’s functions. This constitutional provision “designates the Comptroller as the independent auditing official for the affairs of the State” (*Matter of Dinallo v DiNapoli*, 9 NY3d 94, 101 [2007] [internal quotation marks and citation omitted]), whose fundamental duty is “to [s]uperintend the fiscal concerns of the state” (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160, 166 [1996] [internal quotation marks and citation omitted]). We have described article V, § 1 as the “wellspring of the Comptroller’s authority” and recognized the authority of “the Legislature to delegate to the Comptroller both supervision of the accounts of any political subdivision of the State and administrative duties incidental thereto” (*Matter of McCall v Barrios-Paoli*, 93 NY2d 99, 105 [1999]).

Although the Legislature has broad power to assign tasks to the Comptroller, this authority is not without limitation inasmuch as article V, § 1 prohibits the Legislature from “assigning to the Comptroller administrative tasks that are not incidental to his duty to superintend the fiscal concerns of the State” (*Dinallo*, 9 NY3d at 103). In *Dinallo*, for example, we held that the Legislature could not direct the Comptroller to audit the New York State Insurance Department Liquidation Bureau because the rehabilitation or liquidation of distressed insurers—the sole purpose of the Liquidation Bureau, an arm of the Superintendent of Insurance in his separate capacity as court-appointed receiver on behalf of private businesses—“has no impact on the state fisc” (*id.* at 102). Similarly, in *Blue Cross*, we concluded that the Legislature could not require the Comptroller to audit private not-for-profit health insurance companies that were subject to state regulation.

The controversy before us focuses on legislative action in 2005, when the Legislature directed the Comptroller to audit

each school district, board of cooperative educational services (BOCES) and charter school at least once by 2010 (L 2005, ch 267; *see also* General Municipal Law § 33 [2]; Education Law § 2854 [1] [c]).¹ The legislation was prompted by the misappropriation of millions of dollars in several school districts in which the independent auditor—described as the “linchpin of the existing system”—failed to disclose “blatant and ongoing fraud” (*see* Budget Rep on Bills, Bill Jacket, L 2005, ch 267).² The legislation granted the Comptroller the authority to audit charter schools in the same manner as school districts (*see* General Municipal Law § 33 [2] [b]).

There is no doubt that the Legislature’s delegation of comprehensive auditing functions to the Comptroller regarding school districts was constitutional. The Comptroller is empowered to conduct both fiscal and performance audits of “political subdivisions” of the State under article V, § 1 (*see Barrios-Paoli*, 93 NY2d at 108), which include school districts.

The question here is whether the Legislature could require that the Comptroller undertake the very same uncircumscribed audits of charter schools—which the Comptroller does not assert to be political subdivisions in their own right—as “incidental” to the audits of school districts. The majority opinion, correctly in my view, finds that it could not. As the trial court below observed, characterizing “the Legislature’s grant of full fiscal and programmatic audit authority over the 200 charter schools authorized by the [Charter Schools Act]—including evaluation of student educational performance—as ‘incidental’ puts far more weight on the term than it reasonably can bear” (20 Misc 3d 235, 268 [Sup Ct, Albany County 2008]). Clearly, one of the purposes in creating charter schools was to foster more innovative and experimental education environments. It is therefore a statutory responsibility of the Board of Regents and charter entities to evaluate the instructional objectives and academic achievements of charter schools (*see* Education Law

1. The legislation also permits the Comptroller to conduct further audits of these entities “based upon a risk assessment process conducted by the comptroller which may include investigations of alleged improprieties, previous audit findings and recommendations, or other financial performance indicators” (General Municipal Law § 33 [2] [a]).

2. According to respondents, although the Comptroller previously possessed the authority to audit school districts and BOCES (*see* General Municipal Law § 33 [1]), he discontinued the practice of regularly auditing them in the 1970s due to budget cutbacks and in reliance on the annual independent audits—which are now still required in addition to the Comptroller’s audits.

§ 2853 [2]; § 2857 [2]). Nevertheless, based on the unique status of charter schools and the manner in which they receive substantial public financing, I believe that the Legislature could, within the parameters of the Constitution, direct the Comptroller to conduct limited fiscal audits if it chose to do so.

As recognized by the Appellate Division majority, the operation of charter schools implicates both the significant governmental function of providing a public education and large amounts of taxpayer funds. First, by constitutional mandate, the Legislature is required to provide children with a free education (*see* NY Const, art XI, § 1). Although the Legislature historically discharged this responsibility through the creation and maintenance of public schools, it now fulfills this duty in part through the funding of charter schools. Indeed, “[t]he powers granted to a charter school . . . constitute the performance of essential public purposes and governmental purposes of this state” (Education Law § 2853 [1] [d]). And while charter schools operate apart from school districts, the Charter Schools Act does not create a purely private status for charter schools; rather, the Act makes clear that they are part of the “public school system” (Education Law § 2850 [2] [e]). This distinguishes their status from private entities, as we addressed in *Blue Cross*.

Second, charter schools are financially linked to school districts in that public funds flow to charter schools through school districts. Specifically, the school district of residence for each charter school student must pay that student’s “basic tuition” amount directly to the charter school (*see* Education Law § 2856 [1] [a]).³ Because payments to charter schools are based on enrollment figures, any improper documentation of such figures would negatively affect school districts by reducing available revenues. In more general terms, any money a school district pays over to a charter school diminishes the revenue available to the school district to fund its own operations. A vital financial nexus therefore exists between charter schools and school districts.

Given the special character of charter schools and their relationship to the public school system, in conjunction with the

3. The school district is further obliged to “pay directly to the charter school any federal or state aid attributable to a student with a disability attending charter school in proportion to the level of services for such student with a disability that the charter school provides directly or indirectly” (Education Law § 2856 [1] [b]).

broad authority envisioned by article V, § 1, I conclude that the Legislature could constitutionally direct the Comptroller to perform fiscal audits of the public funding that charter schools receive as “incidental” to his comprehensive oversight of school districts themselves. Although financial controls are already in place for both school districts and charter schools, the legislative history underlying the 2005 amendments indicates that preexisting independent audits of school districts were problematic, necessitating additional oversight by the Comptroller. Charter schools cannot be considered immune from financial mismanagement problems nor are they unable to benefit from fiscal audit recommendations.⁴ I therefore would not foreclose the Legislature from granting the Comptroller appropriately limited auditing authority with respect to charter schools.

Judges READ, SMITH and JONES concur with Judge CIPARICK; Chief Judge LIPPMAN concurs in result in a separate opinion; Judge GRAFFEO concurs in result in another opinion in which Judge PIGOTT concurs.

Order reversed, etc.

4. In their brief, respondents state that charter school audits (of non-petitioner schools) conducted before the commencement of this litigation revealed fiscal problems “that had not been previously discovered or disclosed by the independent audits, including spending for a lavish retreat and substantial unauthorized payments to staff and others.” They further assert that “in an audit of the New York City Department of Education that preceded the audits involved here, the Comptroller found that the Department was not fully monitoring the 23 charter schools that it oversees.”

[914 NE2d 1003, 886 NYS2d 86]

In the Matter of ANTHONY PELUSO et al., Appellants, v ERIE COUNTY INDEPENDENCE PARTY et al., Respondents, and NEW YORK STATE COMMITTEE OF THE INDEPENDENCE PARTY et al., Appellants, et al., Respondents.

Argued August 25, 2009; decided August 26, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered August 19, 2009. The Appellate Division (1) reversed, on the law, a judgment (denominated order and judgment) of the Supreme Court, Erie County (Paula L. Feroleto, J.), entered in a proceeding pursuant to, among other things, CPLR article 78, which had granted the petitions in part and issued an injunction; (2) dismissed the petitions in their entirety; and (3) vacated the injunction.

Matter of Peluso v Erie County Independence Party, 65 AD3d 820, reversed.

HEADNOTE

Elections — Political Parties — Declaratory Judgment Action Appropriate to Determine Validity of Party Rules

In a proceeding seeking a declaration that the rules of respondent County Committee of the Independence Party were invalid and contrary to the rules of the State Committee of the Independence Party, as well as an injunction, the Appellate Division erred in granting summary judgment on the ground that the declaration sought was an advisory opinion. A declaratory judgment action is an appropriate vehicle to establish and promulgate the rights of parties on a particular subject matter, including determining the parties' rights under state and local party rules.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 4–7, 14–16, 34; AM JUR 2d, Elections § 201.

CARMODY-WAIT 2d, Declaratory Judgments §§ 147:23, 147:178.

NY JUR 2d, Declaratory Judgments and Agreed Case §§ 21, 23, 24, 215; NY JUR 2d, Elections § 863.

SIEGEL, NY PRAC §§ 436, 437.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Elections and Voting.

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APPEARANCES OF COUNSEL

John Ciampoli, Albany, for appellants.

Jerome D. Schad, Williamsville, *Cantor*, *Lukasik*, *Dolce*, *Panepinto*, Buffalo (*Sean Cooney* of counsel), and *Cheryl A. Green*, County Attorney (*Kristin Klein Wheaton* of counsel), for respondents.

OPINION OF THE COURT

Per Curiam.

Petitioners brought this proceeding pursuant to the Election Law, the General Associations Law and CPLR article 78, seeking, among other things, a declaration that respondent Erie County Committee of the Independence Party's rules are invalid and contrary to the rules of the State Committee of the Independence Party, as well as an injunction. The State Committee cross-petitioned, joining in petitioners' request for declaratory relief.

The Appellate Division erred in granting summary judgment on the ground that the declaration sought is an advisory opinion (65 AD3d 820 [2009]). A declaratory judgment action is an appropriate vehicle to establish and promulgate the rights of parties on a particular subject matter, including determining the parties' rights under state and local party rules (*see e.g. Matter of Conroy v State Comm. of Independence Party of N.Y.*, 10 NY3d 896 [2008]).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that court for consideration of issues raised but not determined on the appeal.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order reversed, etc.

[915 NE2d 1141, 886 NYS2d 846]

DEAN G. SKELOS et al., as Duly Elected Members of the New York State Senate, Respondents, v DAVID PATERSON, as Governor of the State of New York, et al., Appellants.

Argued September 11, 2009; decided September 22, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 20, 2009. The Appellate Division affirmed so much of an order of the Supreme Court, Nassau County (William R. LaMarca, J.; op 25 Misc 3d 347), as had granted plaintiffs' motion for a preliminary injunction enjoining defendant Richard Ravitch from exercising any of the powers of the office of Lieutenant Governor and denied defendants' cross motion to dismiss the complaint. The following question was certified by the Appellate Division: "Was the opinion and order of this Court properly made?"

Skelos v Paterson, 65 AD3d 339, reversed.

HEADNOTE

Governor — Powers of Governor — Authority to Appoint Lieutenant Governor to Fill Vacancy

The Governor had the authority, pursuant to Public Officers Law § 43, to fill a vacancy in the office of Lieutenant Governor by appointment. The State Constitution specifies that "[t]he legislature shall provide for filling vacancies in office" (NY Const, art XIII, § 3), and expressly contemplates that vacancies in elective office may be filled by appointment. In pursuance of the constitutional mandate imposed by article XIII, § 3, the Legislature enacted Public Officers Law §§ 41, 42 and 43, three comprehensive and complementary provisions. Public Officers Law § 43, the catchall provision for vacancies not otherwise covered by sections 41 and 42, was applicable here and states that if a vacancy in an elective office occurs "otherwise than by expiration of term, with no provision of law for filling the same," the Governor "shall appoint a person to execute the duties thereof until the vacancy shall be filled by an election." Here, the position of Lieutenant Governor became vacant when the previous Governor resigned and the current Governor, who was the Lieutenant Governor at that time, became Governor for the remainder of his predecessor's term. There was no provision of law, apart from Public Officers Law § 43, for filling the vacancy. Although article IV, § 6 of the State Constitution authorizes the temporary president of the Senate to perform all the Lieutenant Governor's duties if the Lieutenant Governor is not able to do so or the office is vacant, that direction applies only "during [the] vacancy or inability." It cannot fill or end the vacancy, and is not a limitation upon gubernatorial appointment pursuant to Public Officers Law § 43. Nor does article XIII, § 3's

proviso that “no person appointed to fill a vacancy [in elective office] shall hold his or her office by virtue of such appointment longer than the commencement of the political year next succeeding the first annual election after the happening of the vacancy” prevent the Governor from appointing a Lieutenant Governor, as that provision demands only that a vacancy in an elective office be filled by election in the shortest space of time reasonably possible. Moreover, although election is generally the preferred means of filling vacancies in elective office, the elective principle is not preeminent when it comes to filling a vacancy in the office of Lieutenant Governor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Governor §§ 4–6.

McKINNEY's, Public Officers Law §§ 41–43; NY Const, art IV, § 6; art XIII, § 3.

NY JUR 2d, Civil Servants and Other Public Officers and Employees § 139; NY JUR 2d, State of New York §§ 11, 12, 18, 19.

ANNOTATION REFERENCE

See ALR Index under Governors; Vacancies in Office.

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POINTS OF COUNSEL

Quinn Emanuel Urquhart Oliver & Hedges, LLP, New York City (*Kathleen M. Sullivan, Faith E. Gay* and *Robert C. Juman* of counsel), and *Gleason, Dunn, Walsh & O'Shea*, Albany (*Thomas F. Gleason* and *Michael P. Ravalli* of counsel), for appellants. I. The Governor has clear statutory authority to fill a vacancy in the office of Lieutenant Governor by appointment, and exercise of that authority is entirely consistent with the New York Constitution. (*People ex rel. Henderson v Snedeker*, 14 NY 52; *Matter of Social Investigator Eligibles Assn. v Taylor*, 268 NY 233; *Matter of M.B.*, 6 NY3d 437; *People v Ercole*, 308 NY 425; *Yearke v Zarcone*, 57 AD2d 457; *Matter of Suffolk Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd.*, 47 AD3d 133; *Matter of Davies*, 168 NY 89; *Mercado v Scribner*, 38 AD2d 444; *Matter of Hamlin*, 196 App Div 714; *Newman v Beckwith*, 61 NY 205.) II. The complaint should be dismissed as nonjusticiable for lack of standing or ripeness. (*Silver v Pataki*, 96 NY2d 532; *Matter of Posner v Rockefeller*, 26 NY2d 970; *Urban Justice Ctr. v Pataki*, 38 AD3d 20, 8 NY3d

958; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Coleman v Miller*, 307 US 433; *Raines v Byrd*, 521 US 811; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *Matter of Prospect v Cohalan*, 65 NY2d 867; *Matter of Delgado v Sunderland*, 97 NY2d 420.)

Lewis & Fiore, New York City (David L. Lewis, John Ciampoli and Elizabeth Colombo of counsel), for respondent. I. Senator Skelos has standing to bring the action. (*Silver v Pataki*, 96 NY2d 532; *Matter of Graziano v County of Albany*, 3 NY3d 475; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Dennis v Luis*, 741 F2d 628; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Posner v Rockefeller*, 26 NY2d 970; *Raines v Byrd*, 521 US 811; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Boryszewski v Brydges*, 37 NY2d 361; *Russell v DeJongh*, 491 F3d 130.) II. The Governor has acted contrary to the State Constitution and violated the elective principle by “appointing” a Lieutenant Governor, which is not justified by a catchall section of the Public Officers Law. (*Matter of Suffolk Regional Off-Track Betting Corp. v New York State Racing & Wagering Bd.*, 11 NY3d 559; *Matter of Roher v Dinkins*, 32 NY2d 180; *Matter of Ward v Curran*, 266 App Div 524, 291 NY 642; *Matter of Mitchell v Prendergast*, 178 App Div 690, 222 NY 543; *Matter of O’Connell v Corscadden*, 243 NY 86; *People ex rel. Weller v Townsend*, 102 NY 430; *Matter of MacAdams v Cohen*, 236 App Div 361, 260 NY 559; *Matter of Wing v Ryan*, 255 App Div 163, 278 NY 710; *Matter of Trounstone v Britt*, 163 App Div 166; *Matter of Mitchell v Boyle*, 219 NY 242.) III. CPLR 6311 (1) is inapplicable to the case at bar. (*Matter of People ex rel. Derby v Rice*, 129 NY 461; *New York Cent. R.R. Co. v Lefkowitz*, 12 NY2d 305.) IV. Quo warranto is not the exclusive remedy when the matter is solely one of law. (*Matter of Delgado v Sunderland*, 97 NY2d 420; *People ex rel. McLaughlin v Board of Police Commrs. of City of Yonkers*, 174 NY 450; *Greene v Knox*, 175 NY 432; *Morris v Cahill*, 96 AD2d 88; *Matter of Gardner*, 68 NY 467; *Matter of Smith v Wenzel*, 171 App Div 123; *Matter of Ginsberg v Heffernan*, 186 Misc 1029; *Matter of Jones v Town Bd. of Town of Petersburg*, 35 Misc 2d 688; *Sellers v LaPietra*, 23 Misc 3d 368; *Matter of Brescia v Mugridge*, 52 Misc 2d 859.) V. The preliminary injunction was properly issued. (*Aetna Ins. Co. v Capasso*, 75 NY2d 860; *Doe v Axelrod*, 73 NY2d 748; *Montauk-Star Is. Realty Group v Deep Sea Yacht & Racquet Club*, 111 AD2d 909; *Automated Waste*

Disposal, Inc. v Mid-Hudson Waste, Inc., 50 AD3d 1072; *Ying Fung Moy v Hohi Umeki*, 10 AD3d 604; *Nobu Next Door, LLC v Fine Arts Hous., Inc.*, 4 NY3d 839; *Golden v Steam Heat*, 216 AD2d 440; *The Employers' Liability Cases*, 207 US 463; *Youngstown Sheet & Tube Co. v Sawyer*, 343 US 579.)

Michael J. Hutter, Albany, for Gerald Benjamin and others, amici curiae. I. The absence of a constitutional or statutory basis allowing a Governor to appoint a person of his or her choosing to fill a vacancy in the office of Lieutenant Governor has been noted and justified by legal and academic scrutiny of the New York State Constitution's provisions governing that office over the past several decades and has never been questioned until now. (*Matter of Ward v Curran*, 266 App Div 524, 291 NY 642.) II. Article IV of the New York State Constitution precludes a Governor from filling a vacancy in the office of Lieutenant Governor by appointment of a person to that office. (*Matter of Ward v Curran*, 291 NY 642.) III. Public Officers Law § 43 cannot be used as the basis to recognize a power on the part of the Governor to appoint a Lieutenant Governor. IV. A purported political or financial crisis does not create a power on the part of the Governor to fill a vacancy in the office of Lieutenant Governor.

Mauro Goldberg & Lilling LLP, Great Neck (*Richard J. Montes* and *Matthew W. Naparty* of counsel), for Ricardo Montano and others, amici curiae. The Appellate Division's decision should be reversed as it: (1) creates a conflict with the fundamental purpose of NY Constitution, article IV, § 1; (2) strains the plain language of NY Constitution article IV, § 6 and is inconsistent with the rest of the text of article IV, § 6; (3) conflicts with this Court's prior decision in *Matter of Ward v Curran* (291 NY 642 [1943]); (4) does not adequately take into consideration prior attempts to amend the Constitution as it relates to filling a vacancy in the office of Lieutenant Governor; and (5) does not advance and protect the public's best interests. (*Matter of Foley v Bratton*, 92 NY2d 781; *Matter of Fay*, 291 NY 198; *Matter of Social Investigator Eligibles Assn. v Taylor*, 268 NY 233; *People ex rel. Henderson v Board of Supervisors of County of Westchester*, 147 NY 1.)

Arthur N. Eisenberg, New York City, and *Adriana C. Pinon* for New York Civil Liberties Union, amicus curiae. The promotion of a functioning legislative body and the restoration of the constitutional promise of republican form of government weigh

heavily in favor of the Governor's position in this case. (*In re Duncan*, 139 US 449; *Luther v Borden*, 7 How [48 US] 1; *Minor v Happersett*, 21 Wall [88 US] 162; *Attorney General of Mich. ex rel. Kies v Lowrey*, 199 US 233; *Gregory v Ashcroft*, 501 US 452; *Baker v Carr*, 369 US 186; *Nobu Next Door, LLC v Fine Arts Hous., Inc.*, 4 NY3d 839; *Doe v Axelrod*, 73 NY2d 748; *Klein, Wagner & Morris v Lawrence A. Klein, P.C.*, 186 AD2d 631.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Daniel J. Kramer, Jacqueline P. Rubin, Kevin R. Reich and Brendan F. Quigley* of counsel), for Partnership for New York City, Inc., amicus curiae. I. The public interest is well served by vacating the preliminary injunction. (*Aetna Ins. Co. v Capasso*, 75 NY2d 860; *Doe v Axelrod*, 73 NY2d 748; *Matter of Chatham Towers Inc. v Bloomberg*, 6 Misc 3d 814, 18 AD3d 395; *Interborough R. T. Co. v Lavin*, 247 NY 65; *De Pina v Educational Testing Serv.*, 31 AD2d 744; *Standard & Poor's Corp., Inc. v Commodity Exch., Inc.*, 683 F2d 704; *OraSure Tech., Inc. v Prestige Brands Holdings, Inc.*, 42 AD3d 348; *McDermott v City of Albany*, 309 AD2d 1004.) II. The appointment of a Lieutenant Governor provides certainty and stability to the business community. III. The appointment of a Lieutenant Governor provides the Governor a second-in-command to spearhead the State of New York's response to the current economic crisis.

Weil, Gotshal & Manges LLP, New York City (*Caitlin J. Halligan, Gregory Silbert and Dotan Weinman* of counsel), and *Richard Briffault* for Citizens Union of the City of New York and another, amici curiae. I. The Governor is authorized to fill a vacancy in the office of the Lieutenant Governor by appointment. (*People v Ercole*, 308 NY 425; *Mercado v Scribner*, 38 AD2d 444; *Matter of Hamlin*, 196 App Div 714; *Matter of Ward v Curran*, 266 App Div 524, 291 NY 642; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559, 61 NY2d 652.) II. Because the administration of state government would be compromised if a vacancy in the office of Lieutenant Governor could not be filled, the balance of equities weighs against injunctive relief. (*Matter of Ward v Curran*, 266 App Div 524.)

Stroock & Stroock & Lavan LLP, New York City (*Charles G. Moerdler, Alan M. Klinger, Jeremy S. Rosof and Benjamin I. Rubinstein* of counsel), for United Federation of Teachers and others, amici curiae. I. The Governor's appointment of a Lieutenant Governor was a valid exercise of his power to act in the public interest in times of emergency. (*Home Building &*

Loan Assn. v Blaisdell, 290 US 398; *DeLury v City of New York*, 51 AD2d 288; *Matter of Cheesebrough*, 78 NY 232; *Matter of Schwab v Bowen*, 51 AD2d 574; *Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers*, 51 AD2d 594; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 59 Misc 2d 556; *Matter of Subway-Surface Supervisors Assn. v New York City Tr. Auth.*, 44 NY2d 101; *Twentieth Century Assoc. v Waldman*, 294 NY 571; *Matter of Freeport Randall Co. v Herman*, 83 AD2d 812; *Matter of Johnson v Pataki*, 91 NY2d 214.) II. Article XIII, § 3 of the New York Constitution and Public Officers Law § 43 authorized the Governor's action, especially under the circumstances existing on July 8, 2009. III. The Appellate Division's contrary conclusions that Public Officers Law § 43 was unconstitutional as applied contravenes fundamental canons of statutory construction expounded by this Court and codified by the Legislature. (*Matter of Ward v Curran*, 266 App Div 524, 291 NY 642; *Rangolan v County of Nassau*, 96 NY2d 42; *People v Kleber*, 168 Misc 2d 824; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *People v Pagnotta*, 25 NY2d 333; *LaValle v Hayden*, 98 NY2d 155; *National Assn. of Ind. Insurers v State of New York*, 89 NY2d 950; *People v Finkelstein*, 9 NY2d 342, 908; *People v Couser*, 258 AD2d 74; *Matter of Smith*, 118 Misc 2d 165; *Matter of Beach v Shanley*, 62 NY2d 241.) IV. Reality and common sense echo the cited constitutional and statutory strictures that validate the Governor's sound exercise of his powers at a time of extraordinary turmoil in the affairs of the State of New York. (*DeLury v City of New York*, 51 AD2d 288.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue on this appeal is whether the Governor of the State of New York has the authority to fill a vacancy in the office of Lieutenant Governor by appointment. We now hold that he does.

I.

In November 2006, Eliot Spitzer and David Paterson were elected respectively to the offices of Governor and Lieutenant Governor. On March 17, 2008, Governor Spitzer resigned and, pursuant to article IV, § 5 of the New York Constitution, Lieutenant Governor Paterson became Governor. Fifteen months later, Republicans and Democrats split 31-31 in the Senate. Because each party recognized a different temporary

president of the Senate, this political deadlock complicated the conduct of day-to-day business in the Senate chamber. Moreover, it was not clear which one of the rival temporary presidents stood next in the line of gubernatorial succession.

On July 8, 2009, Governor Paterson responded to this situation by appointing Richard Ravitch to the office of Lieutenant Governor. Pursuant to article IV, § 6 of the Constitution, the Lieutenant Governor presides over the Senate and casts a tie-breaking vote on certain procedural matters. Governor Paterson relied on section 43 of the Public Officers Law in making this appointment.

The following day, plaintiff Dean G. Skelos, a State Senator elected from the 9th Senatorial District, commenced this action for a declaratory judgment that the Governor's appointment of Mr. Ravitch was unconstitutional.¹ He also sought to permanently enjoin the Governor from appointing any individual to the office of Lieutenant Governor. Plaintiff then moved to preliminarily enjoin Mr. Ravitch from acting in the capacity of Lieutenant Governor. Supreme Court, Nassau County, granted the preliminary injunction (25 Misc 3d 347 [2009]), and the Appellate Division, Second Department, affirmed (65 AD3d 339 [2009]). Thus, Mr. Ravitch has, to date, not presided over the Senate.

In assessing the likelihood of plaintiff's success upon the merits (*see Doe v Axelrod*, 73 NY2d 748, 750 [1988]), the Appellate Division held that

“the Governor's purported appointment of Mr. Ravitch was unlawful because no provision of the Constitution or of any statute provides for the filling of a vacancy in the office of lieutenant governor other than by election, and only the temporary president of the Senate is authorized to perform the duties of that office during the period of the vacancy” (65 AD3d at 348).

The Appellate Division sua sponte granted the Governor leave to appeal from its order, and certified a question to this Court. We now reverse.

1. Senator Pedro Espada, Jr. initially joined Senator Skelos as a plaintiff in this action; however, Senator Espada did not file a brief on this appeal. We therefore refer to only one plaintiff for purposes of this opinion.

II.

The Governor has raised a threshold question as to Senator Skelos's standing to sue in light of the stringent criteria for legislator standing that we adopted in *Silver v Pataki* (96 NY2d 532, 539-540 [2001]). The parties do not dispute, however, that the public's interest is best served by resolving the constitutional issue presented by the Governor's action as expeditiously as possible. Accordingly, assuming, without deciding, that Senator Skelos presently has standing to sue the Governor, we now proceed to the merits (see *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512, 516 [2001]; *Babigian v Wachtler*, 69 NY2d 1012, 1013 [1987]; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 951 [1985]).

III.

Our State Constitution specifies that "[t]he legislature shall provide for *filling* vacancies in office" (NY Const, art XIII, § 3 [emphasis supplied]), and expressly contemplates that vacancies in elective office may be filled by appointment (see *id.*). In pursuance of the constitutional mandate imposed by article XIII, § 3, the Legislature has enacted three comprehensive and complementary provisions, i.e., Public Officers Law §§ 41, 42 and 43. The first of these, titled "Vacancies *filled* by legislature" (emphasis supplied), prescribes the means by which vacancies in the offices of State Attorney General and Comptroller are to be filled. The second, titled "*Filling* vacancies in elective offices" (emphasis supplied), generally requires that such vacancies occurring before September 20th of any year in office be filled by means of election at the next general election, but, in the case of a vacancy in the office of United States Senator, requires, in certain circumstances, a temporary appointment by the Governor "to fill such vacancy" (see Public Officers Law § 42 [4-a]). Notably, this section specifically excepts from its scope the elective offices of Governor and Lieutenant Governor. The last of these vacancy-filling provisions, section 43, the one upon which the Governor relied in his appointment of Mr. Ravitch, titled "*Filling* other vacancies" (emphasis supplied), is plainly intended as a catchall to complete the Legislature's satisfaction of the mandate of article XIII, § 3. Unlike its neighboring provision, section 42, section 43 does not specifically exclude any office from its application, but rather provides:

“If a vacancy shall occur, otherwise than by expiration of term, with no provision of law for filling the same, if the office be elective, the governor *shall* appoint a person to execute the duties thereof until the vacancy shall be filled by an election” (emphasis supplied).

It is not disputed that when Governor Spitzer resigned in March 2008, then-Lieutenant Governor Paterson became Governor for the remainder of Governor Spitzer’s term (see NY Const, art IV, § 5). Nor can it be reasonably disputed that when Lieutenant Governor Paterson became Governor, he ceased being Lieutenant Governor, leaving a vacancy in that office. The first condition of the statute’s applicability was thus met.

The second condition of section 43—that there be no provision of law (apart from section 43) for filling the vacancy—was also satisfied. The only other provision of law bearing upon how a vacancy in the office of Lieutenant Governor alone is to be dealt with is article IV, § 6 of the State Constitution, but its direction that “the temporary president of the senate shall perform all the duties of lieutenant-governor” applies only “during [the] vacancy or inability” and thus cannot fill or end the vacancy. Plaintiff does not appear to contend otherwise; indeed, the central contention of plaintiff’s argument is that the Constitution requires that a vacancy in the office of Lieutenant Governor be preserved until the next quadrennial election.

An appointment under Public Officers Law § 43, in contrast to the devolution mandated by article IV, § 6, effectively fills the office in accordance with the command of article XIII, § 3; the article IV, § 6 devolution, although plainly necessary and useful to assure continuity of service in the short term, can at best provide only stopgap coverage of the function of the Lieutenant Governor. Properly understood, then, the two provisions—article IV, § 6 and Public Officers Law § 43—are complementary rather than duplicative and, accordingly, article IV, § 6 should not be construed, as it was by the Appellate Division, as a limitation upon gubernatorial appointment pursuant to Public Officers Law § 43. Article IV, § 6 merely states what is to occur while there is a vacancy; it does not, and cannot, consistent with the command of article XIII, § 3, be understood to state that the vacancy may not be filled.

The dissent places singular importance upon the apparent equivalence of the operative verbs in each of the provisions at issue—“execute” in Public Officers Law § 43 and “perform” in

article IV, § 6—arguing that the provisions must be understood as duplicative, and, accordingly, that neither provision may be applied to fill the office of Lieutenant Governor. But, a correct understanding of what the provisions at issue are intended to accomplish does not turn on whether or not these expressions are themselves semantically equivalent. When understood in context, each expression refers to a materially different assumption of authority: the assumption under section 43 is plenary, in accordance with the mandate of article XIII, § 3 that vacancies be filled, but that occurring pursuant to article IV, § 6, concededly, is not.

Nor does article XIII, § 3's proviso that "no person appointed to fill a vacancy [in elective office] shall hold his or her office by virtue of such appointment longer than the commencement of the political year next succeeding the first annual election after the happening of the vacancy" prevent the Governor from appointing a Lieutenant Governor. The intent of the constitutional limitation is clear; namely, to assure that appointments to elective offices extend no longer than is reasonably necessary to fill such offices by election. Where, as here, an office may not legally appear on the ballot except quadrennially (*see* NY Const, art IV, §§ 1, 6), and there will be a lengthy period before the next election for the office may be held, plaintiff's reading of the durational limitation at issue would result in an extended vacancy running the balance of an elective term. This appears to be fundamentally incompatible with the main object of article XIII, § 3, expressed unequivocally in its first clause, which, of course, is to assure that vacancies are filled.

We have never interpreted article XIII, § 3 to impose the requirement that plaintiff finds in it. Rather, we have held that the provision demands only that "when a vacancy in elective office occurs, the vacancy must be filled by election in the shortest space of time *reasonably possible*" (*Matter of Roher v Dinkins*, 32 NY2d 180, 188 [1973] [emphasis supplied]; *see also Matter of Mitchell v Boyle*, 219 NY 242, 248 [1916]). Other states have dealt with the issue of measuring the permissible length of an appointment to an elective office similarly, holding that when the length of the appointive term is tied to the "next election" or the "first proper election" subsequent to the vacancy, what is meant is the next election at which the office may be legally filled (*see People ex rel. Lynch v Budd*, 114 Cal 168, 171, 45 P 1060, 1061 [1896]; *State ex rel. Trauger v Nash*, 66 Ohio St 612, 620-621, 64 NE 558, 560 [1902]).

We also reject plaintiff's contention that article XIII must be read to forbid the appointment of a Lieutenant Governor so as to vindicate the elective principle. While there can be no quarrel with the proposition that, generally, election must be the preferred means of filling vacancies in elective office, it does not follow that the elective principle is preeminent when it comes to filling a vacancy in the office of Lieutenant Governor.

We, of course, were completely in agreement with this contention when, in *Matter of Ward v Curran* (291 NY 642 [1943], *affg* 266 App Div 524 [3d Dept 1943]), we unanimously affirmed a decision of the Appellate Division holding that, pursuant to article XIII of the Constitution and the then-current version of Public Officers Law § 42, a vacancy in the office of Lieutenant Governor was to be filled at the next annual election subsequent to the vacancy. Our determination, however, engendered dismay in the executive branch because it raised a real possibility that the offices of Governor and Lieutenant Governor would be filled by individuals from opposing parties with incompatible political and policy agendas. As a consequence of our decision in *Ward*, Governor Dewey entreated the Legislature to amend the law, and the Legislature responded, specifically excepting the offices of Governor and Lieutenant Governor from the reach of Public Officers Law § 42 and its mandate that vacancies in elective office be filled by election. Subsequent constitutional amendments, requiring that the Governor and Lieutenant Governor be elected together quadrennially and by a single ballot (*see* NY Const, art IV, §§ 1, 6), definitively eliminated any residual possibility that the executive branch would be split between members of opposing parties and, equally definitively, eliminated any possibility that a vacancy in the office of Lieutenant Governor might be separately filled by election in a nonquadrennial year.

The elective principle, upheld by the judiciary in *Ward*, was thus legislatively subordinated to assure the structural integrity and efficacy of the executive branch and has remained so ever since. If it is to be restored to primacy in filling a nonquadrennial vacancy in the office of Lieutenant Governor, that is a matter for constitutional amendment.

That election has been deemed impermissible as a means of filling a midterm vacancy in the Lieutenant Governorship does not, however, mean that the vacancy may not be filled. Indeed, in amending the Public Officers Law to remove the office of Lieutenant Governor from the election mandate of Public

Officers Law § 42, the Legislature did not alter section 43, which, in the aftermath of *Ward* is logically understood as applying to a vacancy in the Lieutenant Governorship.² A conclusion that naturally follows this pairing of action and inaction is that the Legislature, while desirous of eliminating the problematic prospect of a divided executive, fully intended that a vacancy in the office would be filled in accordance with the mandate of article XIII, § 3, and that it would be filled by appointment pursuant to section 43. Filling the office by gubernatorial appointment is entirely consonant with the purpose of the post-*Ward* legislative and constitutional amendments, whereas requiring that the office be left vacant risked a scenario of the sort that the Legislature at Governor Dewey's behest sought to avoid—one in which a president pro tem of the Senate, quite possibly of a party other than the Governor, would, while performing the duties of the Lieutenant Governor during a vacancy in the office, actively oppose the Governor's agenda and frustrate the work of the executive branch.³

To be sure, the subordination of the elective principle in this context is not entirely unproblematic. It does create the pos-

2. As the Attorney General pointed out in his 1943 pre-*Ward* opinion, "there [was] no distinction in language between [section 43] and section 42 of the Public Officers Law" (1943 Ops Atty Gen 378, 382). And at the time of the post-*Ward* amendment to the Public Officers Law, the Legislature was well aware that section 42 had been held to apply to the office of Lieutenant Governor, even though the office was not specifically mentioned. The same language, appearing in section 43, could not in this *Ward*-defined context have been understood to exclude the office of Lieutenant Governor.

3. The rationale for the post-*Ward* amendments was well summarized by Governor Dewey in his February 1953 address to the Assembly:

"Executive responsibilities in our government are so interwoven that the election of a Governor and Lieutenant Governor politically opposed to each other involves serious problems. As a practical matter the Governor must encounter difficulty in leaving the State even for a short period and on pressing public business. This has created the greatest embarrassment in other states, to the damage of public confidence in government and the injury of the public interest.

"Even more important, there is a great advantage in being able to entrust many of the complex administrative tasks of the Governor to an able Lieutenant Governor. I have done this repeatedly and with notable benefit to the people of the State. This would not have been possible if the Lieutenant Governor was required, as a matter of party loyalty, to lead the minority party." (Message of the Governor In Relation to Proposed Constitutional Amendment For Joint Election of Governor and Lieutenant Governor, Feb. 9, 1953 [1953 NY Legis Doc No. 36, at 3].)

sibility that an unelected individual will, for a time, occupy the State's highest office. Rules of succession are, however, inevitably imperfect and, at some stage of the devolution they direct, invariably compromise elective principles. Before us, however, is not the abstract question of whether it would be better in the case of a vacancy in the office of the Lieutenant Governor to fill the vacancy by election or by gubernatorial appointment subject to legislative confirmation or by gubernatorial appointment alone. For now, the Legislature, pursuant to an express grant of constitutional authority, has specified that the vacancy is to be filled not by election but by gubernatorial appointment alone—a determination that the Legislature is always free to revisit.

IV.

Until today, the interplay between Public Officers Law § 43 and article IV, § 6 of the Constitution presented an open legal question. Indeed, as our dissenting colleagues detail at some length, the particular legal configuration governing the outcome of the present dispute did not even come into existence until after *Ward*, and there have been, prior to the vacancy at issue, only two post-*Ward* vacancies in the office of the Lieutenant Governor. While it has been suggested that these vacancies were left unfilled because of some consensus as to the unavailability of the power of gubernatorial appointment, it is at least equally likely that they remained vacant for purely political reasons. Given these circumstances, it is entirely understandable that plaintiff has acted vigorously to defend his interpretation of the relevant constitutional and statutory provisions. Having given due consideration to plaintiff's argument, however, we conclude that Public Officers Law § 43 affords the Governor the authority to fill a vacancy in the office of Lieutenant Governor by appointment.

Accordingly, the order of the Appellate Division should be reversed, without costs, the motion for an injunction denied and the certified question answered in the negative.

PIGOTT, J. (dissenting). Under the majority's rationale, the possibility exists that the citizens of this state will one day find themselves governed by a person who has never been subjected to scrutiny by the electorate, and who could in turn appoint his or her own unelected Lieutenant Governor. Because this is contrary to the text of the New York Constitution and affords Governors unprecedented power to appoint a successor, we respectfully dissent.

I.

When then-Governor Eliot Spitzer resigned and Lieutenant Governor David Paterson became our 55th Governor no one gave a thought or harbored a suggestion that he had the ability to appoint a Lieutenant Governor. This is not surprising since no Governor in the history of the State had done so. But after 15 months marked by a deeply troubled economy and a deadlock that paralyzed the State Senate, the Governor, prompted perhaps by understandable frustration, attempted on July 8, 2009 to unilaterally fill the post.

Shortly after the appointment, plaintiffs brought this action seeking judgment declaring that the Governor's action in appointing a Lieutenant Governor was unconstitutional. The Governor, as the majority notes, asserted authority to do so pursuant to section 43 of the Public Officers Law, a section referred to by all parties as a "catch-all provision." Until now, that provision had been used to fill vacancies in local offices but, in no instance, the second most important executive office in the state.

Supreme Court granted a preliminary injunction concluding, as relevant to this appeal, that the Senators "have alleged a usurpation of Senate power that gives rise to sufficient injury-in-fact falling within their zone of interest" and as such, they had standing to commence this action (25 Misc 3d 347, 359 [2009]). Addressing the likelihood of success on the merits, the court concluded that article IV, § 6 of the Constitution "strongly suggests that the office is to remain vacant until such time as a Governor is elected" and "[s]ince a Lieutenant Governor has never been appointed, this interpretation is consistent with historical practice." (*Id.*)

The court also reasoned that article XIII, § 3, which mandates the Legislature to fill "vacancies in office," did not apply to a vacancy in the office of Lieutenant Governor, because that constitutional provision permitted the appointee to serve only until the next election, while article IV, § 6 makes clear there can be no separate election for Lieutenant Governor. Therefore, since the Legislature is not empowered to fill the office of Lieutenant Governor under the Constitution, contrary to defendants' urging, section 43 of the Public Officers Law is not available for that purpose. As a result, the court concluded the Senators had established a likelihood of success on the merits and granted an injunction.

The Appellate Division affirmed, rejecting defendants' claim that Senator Skelos was without standing to bring the action,

noting that the Lieutenant Governor has the ability to control debate in the Senate chamber and to cast a vote to break a tie on certain procedural matters (65 AD3d 339 [2009]). It concluded that the Governor simply did not have authority to appoint a Lieutenant Governor. That court too rejected the Governor's reliance on Public Officers Law § 43 and determined that no provision of the Constitution nor any statute provides for the filling of the office of Lieutenant Governor other than by election.

II.

Unlike the majority, we view standing as a threshold issue that must be resolved and we determine that Senator Skelos established that he is a proper party to pursue this claim. The test for determining a litigant's standing is twofold. "First, a plaintiff must show 'injury in fact,' meaning that plaintiff will actually be harmed by the challenged . . . action. As the term itself implies, the injury must be more than conjectural" (*New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207, 211 [2004], citing *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 772-773 [1991]). Second, the injury plaintiff asserts must fall within his or her zone of interest (*Society of Plastics*, 77 NY2d at 773).

Our standing analysis begins—but does not end—with *Silver v Pataki* (96 NY2d 532 [2001]). In *Silver*, the Court held that Assembly Speaker Sheldon Silver—acting in his capacity as an individual legislator, and not as a legislative leader—had standing to pursue his claim that the Governor's exercise of line-item veto power exceeded the powers granted the executive in the State Constitution. The general rule is that an individual legislator can sue—on a vote nullification or usurpation of power theory—to vindicate a personal injury, although "lost political battle" claims are not cognizable. Speaker Silver was deemed to have standing even though there were many other identifiable persons and organizations directly harmed by the exercise of the vetoes—such as any party who would have benefitted from the vetoed legislation (see *Clinton v City of New York*, 524 US 417 [1998] [New York City, health care providers and others who would have benefitted from vetoed legislation successfully challenged constitutional validity of President Clinton's exercise of the line-item veto]). Thus, the Court found standing in *Silver* even though a dismissal of Speaker Silver's complaint would not have erected an impenetrable barrier to judicial consideration of that controversy.

Although Senator Skelos' contention that the Governor has exceeded his constitutional authority is different from the constitutional argument presented in *Silver*, his assertion of standing in this case is similarly legitimate. The *Silver* Court recognized that an individual legislator could initiate a lawsuit challenging vote nullification or usurpation of power by the Governor in the budget process, expressly rejecting the notion that only a majority of the legislative house could do so. This case does not involve the budget process but it does involve alleged overreaching by the Governor in a manner that directly affects each sitting Senator. Here it is claimed that the Governor has without constitutional authority installed an unelected person to serve as president of the Senate and, by that appointment, this private citizen has gained the authority to restrict the speech of elected Senators. This allegation of harm is not institutional in nature but is personal to each Senator.

The Lieutenant Governor's only constitutional duties are to preside over the Senate and, on occasion, issue a casting vote. If elected Senators cannot bring suit to challenge the alleged placement of a so-called "interloper" as the presiding officer of the body in which they serve, we are hard-pressed to identify who would have standing to object to this appointment. Granted, although he has expressed no inclination to do so, the Attorney General could initiate a quo warranto proceeding—but this is because a statute specifically grants him that right, not because he has standing under our common-law jurisprudence. Where a claim is justiciable—and here no one asserts that the controversy involves a political question rendering it inappropriate for judicial review—we have not interpreted our standing rules so strictly that they erect an impenetrable barrier to suit (*see Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327 [2005]; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 814 [2003]; *Boryszewski v Brydges*, 37 NY2d 361, 364 [1975]). But if we adopt the Governor's position, that is precisely what we would be doing—raising the specter that this very significant issue concerning the constitutional validity of the Governor's appointment would be unreviewable by the judicial branch. Although the majority has chosen not to decide the issue of standing, we think it important to articulate a resolution of the standing issue given the magnitude of this case.

We further reject defendants' contention that the controversy is not ripe for review because Ravitch has not yet presided over the Senate, restricted any Senator's speech, or issued a casting

vote. This argument ignores the fact that Ravitch has been precluded from doing so, first by a temporary restraining order and, later, by the preliminary injunction issued by Supreme Court and affirmed by the Appellate Division. It would be ironic for this Court to dismiss a litigant's claim because, in initiating the lawsuit and obtaining preliminary relief, he was successful at postponing the imminent harm he is suing to prevent. In addition, it is alleged that the Governor's motivation in making the appointment was, in large part, to put Ravitch in a position to issue the tie-breaking vote to resolve the Senate leadership impasse—an allegation that is eminently plausible given the circumstances surrounding the appointment. This litigation—commenced soon after the appointment was made—was therefore not precipitous.

Moreover, since there appears to be no dispute that any ripeness problem would disappear the moment Ravitch presided over the Senate and ruled on any point of order, dismissing this action would only postpone a ruling on the merits in a situation where the public is manifestly best served by prompt resolution of an important constitutional issue. Nothing would be accomplished by burdening the public or the parties with further delay just to allow this inevitable scenario to play out. Nor do the parties urge us to do so.

III.

Arriving at the merits, we note that both sides concede that the Constitution does not expressly accord the Governor the power to appoint a Lieutenant Governor. Nor can the Constitution itself be read in such a way as to permit the Governor to make an appointment to that office. The Constitution does, however, provide a clear line of succession to the office of Governor, the very purpose of article IV.

Article IV, § 6 provides that in the event of a vacancy in the offices of *both* Governor and Lieutenant Governor (a simultaneous vacancy): “the temporary president of the senate shall act as governor until the inability shall cease or until a governor shall be elected.” If this situation arises, article IV, § 6 mandates that a prompt election be held by requiring that “a governor and lieutenant-governor shall be elected for the remainder of the term at the next general election happening not less than three months after both offices shall have become vacant.” Most definitely, the framers of the Constitution were intent on having the electorate promptly fill both vacancies.

Next, that section addresses a vacancy in the office of Lieutenant Governor only, while there is a sitting Governor:

“In case of vacancy in the office of lieutenant-governor alone, or if the lieutenant-governor shall be impeached, absent from the state or otherwise unable to discharge the duties of office, the temporary president of the senate shall perform all the duties of lieutenant-governor during such vacancy or inability.”

Thus, the drafters of the Constitution logically placed the duties of Lieutenant Governor in the hands of a duly elected state Senator—one who is elected president of that body by the entire Senate, representing all citizens of this state.

The majority errs in deciding that this constitutional mandate merely provides for a “caretaker” role by the temporary president for a limited interim period until the Lieutenant Governor’s office is filled by the Governor under the Public Officers Law. The majority also errs in reading the Public Officers Law, which contains specific provisions for filling vacancies in the offices of Comptroller, Attorney General, and United States Senator, to let the Lieutenant Governor’s office fall into a “catch-all” with all other elected officials in the state no matter how minor. A review of Public Officers Law §§ 41-43 makes the majority’s misreading of them clear. Together, they provide a comprehensive mechanism for dealing with vacancies in nearly every office in the state—but *not* that of Governor or Lieutenant Governor, who are separately treated in article IV, § 6.

Public Officers Law § 41, enacted pursuant to an express grant of authority in article V, § 1 of the Constitution, provides for the filling of vacancies in the offices of Comptroller and Attorney General. Section 42 provides for the filling of vacancies in other elective offices, but expressly excludes the offices of Governor or Lieutenant Governor. Finally, section 43 addresses the filling of all “other vacancies” and provides: “If a vacancy shall occur, otherwise than by expiration of term, *with no provision of law for filling the same*, if the office be elective, the governor shall appoint a person to execute the duties thereof until the vacancy *shall be filled by an election*” (emphasis added).

When viewed in light of the constitutional construct of the executive office, its powers and duties, Public Officers Law § 43 cannot be construed to confer the right to fill a vacancy in the

Lieutenant Governor's office. First, contrary to the majority's view, section 43 by its terms only permits the Governor to appoint someone to an office to "execute the duties" of that office until the office can be filled by an election for the remainder of the term. Yet article IV of the Constitution clearly provides that when there is a vacancy in the office of Lieutenant Governor, the duties of that office are assumed by the temporary president of the Senate—there is no language restricting the duration that the temporary president of the Senate fulfills those duties. This situation differs from the scenarios presented in cases like *People ex rel. Smith v Fisher* (24 Wend 215 [1840]) and *People ex rel. Henderson v Snedeker* (14 NY 52 [1856]), in which a deputy took over when an elected official such as a county clerk was unable to complete a term of office and the deputy was then properly replaced by a gubernatorial appointee. The statutes at issue in those cases made clear that the deputy was to perform the duties of the elected office only until someone else could be "elected or appointed" and therefore clearly indicated that the deputy's authority was intended to cease when the Governor appointed a replacement for the elected official. As such, the Court held that the deputy performed the duties of office only until the Governor appointed a replacement who, in turn, fulfilled the duties only until an election could be held.

In contrast, article IV, § 6 does not state that the temporary president of the Senate will fulfill the duties of the office of Lieutenant Governor only until someone else is appointed nor, unlike article V, § 1 (addressing the offices of Comptroller and Attorney General), does it specifically direct the Legislature to craft a procedure for filling a midterm vacancy in that office. Rather, the clause unqualifiedly states that the temporary president of the Senate is to perform the duties of the Lieutenant Governor "during such vacancy." Furthermore, article IV precludes a midterm election for the office of Lieutenant Governor because it requires the Governor and Lieutenant Governor to be jointly elected in quadrennial elections (unless there is a simultaneous vacancy in both offices [*see* art IV, §§ 1, 6]).

Because the Constitution, particularly article IV, § 6, instructs that the temporary president of the Senate, an elected official, is to "perform" the duties of Lieutenant Governor during a vacancy, it leaves no room for anyone else to "execute" the duties of that office under Public Officers Law § 43. In this regard, we note that neither this Court nor the Legislature has

ever drawn a distinction between “executing” the duties of an office and “performing” those duties. The cases the defendants cite for this questionable distinction do not support it. Furthermore, there are numerous statutes that use words like “execute,” “fulfill,” “perform,” “discharge,” “act as” and the like to confer precisely the same authority.¹ Article IV, § 6 of the Constitution similarly contains synonyms that describe the inability of officers to act and the obligations that devolve on their successors, indicating that these officials “discharge” duties, “perform” duties or “act as” their predecessors—and it is evident that all of these mean the same thing. There is simply no evidence that the Legislature intended that Public Officers Law § 43 apply to the office of Lieutenant Governor when it adopted that provision. And if it did, the result would be a conflict. Contrary to the majority’s view that constitutional provisions are to be “harmonized” with statutes, it is axiomatic that where there is an incompatibility between the Constitution and a statute, the Constitution governs and the statute bows.

Of equal importance, article XIII, § 3 limits the duration of any appointment under section 43 by directing that “no person appointed to fill a vacancy shall hold his or her office by virtue of such appointment longer than the commencement of the political year next succeeding the first *annual* election after the happening of the vacancy” (emphasis added).² Yet, article IV, § 1

1. See e.g. County Law § 652 (1) (undersheriff shall “execute the duties of the office of sheriff” until a new sheriff is elected or appointed); County Law § 914 (deputy shall, “subject to the provisions of the public officers law, have all the powers and fulfill all the duties of the county clerk”); Town Law § 42 (until a successor is appointed, the deputy town supervisor shall “perform all of the duties of the supervisor”); Second Class Cities Law § 62 (deputy city comptroller “shall discharge the duties of the office” in the event of a vacancy).

2. If article XIII, § 3 is applied to a vacancy in the office of Lieutenant Governor under the facts presented here, since the vacancy occurred on March 17, 2008, this would mean that a midterm election would have had to be held in November 2008 (the first “annual election after the happening of the vacancy”) and any appointee—who would have had to be chosen by the Governor before that time—could serve only until the winner of that midterm election took office at “the commencement of the [next] political year,” which would have been January 1, 2009 (see art XIII, § 4). Such a midterm election is expressly precluded under several provisions of the Constitution (see art IV, §§ 1, 6) and, in any event, there was no appointment in 2008. Defendants argue that the time frames in article XIII, § 3 have not been strictly applied but, even reading some flexibility into the provision (and our precedent has not clearly done so), the fact remains that the clause requires a prompt election to replace an appointee and this must occur as soon as possible after the

(n. cont’d)

mandates that the Governor and Lieutenant Governor run together and only on the quadrennial, thus barring the Lieutenant Governor from running for office separate from the Governor in a nonquadrennial year. These provisions, read together, can only be reasonably interpreted to mean that the drafters of the Constitution intended that a vacancy in the office of Lieutenant Governor remain unfilled until the next gubernatorial election, with the temporary president of the Senate performing the duties of Lieutenant Governor in the interim.

IV.

The construction of our Constitution over two centuries refutes the majority's reading of it. This is not the first time that a vacancy in the office of Lieutenant Governor has arisen. There have been at least 10 occasions since the first New York Constitution was adopted in 1777 when the position of Lieutenant Governor has become vacant,³ but no Governor has ever seen fit to assert that he had the power to appoint a Lieutenant Governor to fill the vacancy. On two of those occasions, there were midterm elections to fill the vacancies. But that cannot occur under our current Constitution, because both the Constitution and the Public Officers Law have since been amended in significant respects.⁴

The position of Lieutenant Governor was created in New York's first Constitution of 1777 (adopted before the United States Constitution), which provided for an election to fill a vacancy in that office in the event the Lieutenant Governor

vacancy arises. Certainly, it does not authorize a long-term appointment to fulfill a complete unexpired term.

3. The vacancies occurred in 1811, 1828, 1829, 1847, 1885, 1910, 1913, 1943, 1973 and 1985. Six occurred as a result of the succession of the Lieutenant Governor to the office of Governor. The remaining four stemmed from either the death or resignation of the Lieutenant Governor. The most recent vacancies occurred in December 1973 when Lieutenant Governor Malcolm Wilson succeeded to the Governorship upon the resignation of Nelson Rockefeller (Senator Anderson, temporary president of the Senate at the time, fulfilled the duties until the end of the term) and in February 1985 when Lieutenant Governor Alfred DelBello resigned (again, Senator Anderson fulfilled the duties until the end of the term).

4. The first of the two elections to fill Lieutenant Governor vacancies occurred in 1847 as a result of a special statute passed by the Legislature (*see* L 1847, ch 303). The constitutional validity of that statute was never challenged. The second such election resulted from *Matter of Ward v Curran* (266 App Div 524 [3d Dept 1943], *aff'd without op* 291 NY 642 [1943]).

died, resigned or was removed from office (*see* Constitution of 1777 art XX). But that clause was removed in the 1821 Constitution and no Constitution since that time has specified any procedure for filling a Lieutenant Governor vacancy. In this respect, our State Constitution was similar to the Federal Constitution, which did not contain a procedure for filling a vacancy in the office of Vice President until the adoption of the 25th Amendment in 1967. Instead, the New York Constitution has spelled out a chain of succession in the event of the death or other inability of the Governor or Lieutenant Governor, currently codified in article IV, § 6. The Constitution and the statutes upon which the defendants rely have never been read to permit appointment of a Lieutenant Governor, even though there have been many opportunities for prior Governors to advance such a reading.

The decision in *Matter of Ward v Curran* (266 App Div 524 [3d Dept 1943], *affd without op* 291 NY 642 [1943])—which involved the eighth Lieutenant Governor vacancy in New York’s history—held that the Constitution, as it was then worded, permitted an election to fill the vacancy, but it does not support the majority’s view that such a vacancy can be filled by appointment. The controversy underlying *Ward* arose in July 1943 when Lieutenant Governor Thomas Wallace died, creating a vacancy in the office of Lieutenant Governor. Governor Thomas Dewey and Wallace had been elected the previous November on the Republican ticket. Albert Ward, the State Chair of the Democratic Party, brought a mandamus proceeding against the Secretary of State to compel an election to fill the office of Lieutenant Governor in the upcoming November 1943 election. Both Governor Dewey and Attorney General Nathaniel Goldstein took the position that such an election would be illegal as the Constitution required that the Governor and Lieutenant Governor be chosen at the same time and for the same term (the Constitution did not yet require that these offices be elected jointly by single vote). They further asserted that article III, § 9 of the Constitution—a provision addressing the powers of the Legislature—directed the Senate to “choose a temporary president to preside in case of the absence or impeachment of the lieutenant-governor.” (266 App Div at 526.) They did not, however, rest their analysis on the predecessor to article IV, § 6 because, at that time, it did not contain any language indicating

that the temporary president of the Senate assumed the powers of the Lieutenant Governor.⁵

In a divided decision, the Appellate Division directed the Secretary of State to conduct the election pursuant to the predecessor of Public Officers Law § 42. The majority reasoned that it was inappropriate for the person who fulfills the duties of Lieutenant Governor to be someone who was elected only by the voters of a single senatorial district. They emphasized: “It is a fundamental principle of our form of government that a vacancy in an elective office should be filled *by election* as soon as practicable after the vacancy occurs” (266 App Div at 526 [emphasis added]). The dissenter believed that such an election would be unconstitutional because article IV, § 1 contains the only provision authorizing an election for Governor or Lieutenant Governor and requires that such office be filled in quadrennial elections. Thus, he concluded that the office of Lieutenant Governor could not be filled at a general election that was not a quadrennial election. This Court affirmed without opinion (291 NY 642 [1943]).

Upset with this turn of events, Governor Dewey urged the Legislature to begin the process of amending the Constitution and to change Public Officers Law § 42 to preclude an election for the office of Lieutenant Governor (Message of Governor Thomas E. Dewey to the Legislature, Jan. 5, 1944, 1944 NY Legis Doc No. 1, at 17-18). The Legislature heeded the Governor’s call on both counts. It immediately amended Public Officers Law § 42—the statute on which Ward had relied—so that it

5. The 1938 version of article IV, § 6 that was in effect when *Ward* was decided read as follows:

“The lieutenant-governor shall possess the same qualifications of eligibility for office as the governor. He shall be president of the senate, but shall have only a casting vote therein. If the office of governor become vacant and there be no lieutenant-governor, such vacancy shall be filled for the remainder of the term at the next general election happening not less than three months after such vacancy occurs; and in such case, until the vacancy be filled by election, or in case the lieutenant-governor be under impeachment or unable to discharge the powers and duties of the office of governor or shall be absent from the state, the temporary president of the senate shall act as governor during such inability, absence or the pendency of such impeachment. If the temporary president of the senate shall be unable to discharge the powers and duties of the office of governor or be absent from the state, the speaker of the assembly shall act as governor during such inability or absence. The lieutenant-governor shall receive for his services an annual salary of ten thousand dollars.”

expressly excluded the Governor and Lieutenant Governor from its ambit (as it continues to do today) (*see* L 1944, ch 3). The Legislature also passed amendments to the New York Constitution that were ultimately adopted by vote of the People.

More specifically, article IV, § 6 was amended in 1945 to add a provision directly addressing what is to occur when there is a vacancy in the office of Lieutenant Governor alone.⁶ This amendment was significant for several reasons. Whereas the 1938 version of this clause did not indicate that the temporary president of the Senate fulfills the duties of Lieutenant Governor during a vacancy in that office, the 1945 version expressly so provided. Furthermore, the 1945 version indicated precisely what was to occur when there was a vacancy in the office of Lieutenant Governor alone—"the temporary president . . . shall perform all the duties of lieutenant-governor . . . during such vacancy." The 1945 amendments also stated that the Lieutenant Governor can never be separately elected from the Governor. These constitutional amendments, combined with the

6. The 1945 version of article IV, § 6 provided:

"The lieutenant-governor shall possess the same qualifications of eligibility for office as the governor. He shall be president of the senate, but shall have only a casting vote therein. The lieutenant-governor shall receive for his services an annual salary of ten thousand dollars.

"If the office of governor become vacant and there be no lieutenant-governor, *the offices of governor and lieutenant-governor shall be filled for the remainder of the terms at the next general election happening not less than three months after the vacancy in the office of governor occurs. No election of a lieutenant-governor shall be had in any event except at the time of electing a governor.* Until the vacancies in the offices of the governor and lieutenant-governor be filled by election, the temporary president of the senate then in office or his successor as such temporary president shall *perform all the duties of lieutenant-governor* and shall act as governor.

"*If the office of lieutenant-governor alone be vacant, or in case the lieutenant-governor be under impeachment, unable to discharge the powers and duties of the office of governor or shall be absent from the state, the temporary president of the senate then in office or his successor as such temporary president shall perform all the duties of lieutenant-governor, including the duty of acting as governor when necessary, during such vacancy, inability, absence or the pendency of such impeachment.*

"If . . . the temporary president of the senate . . . be unable to discharge the powers and duties of such office or be absent from the state, the speaker of the assembly shall act as governor during such inability or absence" (emphasis added to identify new language).

legislative amendment to Public Officers Law § 42, overruled *Ward*.

In the years since 1945, other constitutional amendments have moved still further away from *Ward*'s holding. In 1953, the Constitution was amended to require that the Governor and Lieutenant Governor be "chosen jointly, by the casting by each voter of a single vote applicable to both offices" (art IV, § 1), echoing another of Governor Dewey's recommendations. Additional clarification of the chain of succession occurred in 1949 and 1963 amendments.

Defendants and the majority use *Ward* as support for the conclusion that a vacancy in the office of Lieutenant Governor can be filled through gubernatorial appointment under Public Officers Law § 43. They contend that, unlike Public Officers Law § 42, section 43 was not amended in the wake of *Ward* to expressly exclude the office of Lieutenant Governor. But nothing in *Ward* suggests that section 43 ever applied to that office. *Ward* held that the Lieutenant Governor vacancy could be filled by election—not by gubernatorial appointment. In *Ward*, the Appellate Division majority determined that it would be inappropriate to allow the office of Lieutenant Governor to be filled by the temporary president of the Senate for the entire unexpired term because that legislative leader had been elected only by the voters of one district of the state. It seems highly unlikely that the *Ward* court would have endorsed the notion that a Lieutenant Governor could be appointed by a Governor with no input from the electorate and no vetting by the legislative branch of government.

In fact, shortly before the litigation, Attorney General Goldstein issued an opinion clarifying that such an appointment would be inconsistent with the constitutional and statutory scheme. Citing Public Officers Law § 43, the Attorney General observed:

"No one has ever claimed that this section conferred upon the Governor the power to appoint his own successor. Such a contention would lead to the anomalous result that a Governor by appointing a Lieutenant-Governor and then resigning could impose upon the people his own choice as their Governor" (1943 Ops Atty Gen 378, 382, available at 1943 WL 54210, *4).

This point, which was repeated in the Attorney General's brief

in *Ward*, was not disputed by the parties or the Appellate Division.

As we noted, the fact that no Governor has previously attempted to appoint a Lieutenant Governor, while significant, does not resolve the legal issue before us. But it does show a remarkable consensus that such an appointment was impermissible. This consensus may result in part from a similarity between our Constitution and the Federal Constitution, which lacked a procedure for filling a vacancy in the office of Vice President until a constitutional amendment was adopted in 1967. The 25th Amendment (§ 2) now provides: “Whenever there is a vacancy in the Office of the Vice President, the President shall nominate a Vice President who shall take office upon confirmation by a majority vote of both Houses of Congress.” New York constitutional commentators and participants at constitutional conventions have examined whether it would be advisable to adopt a similar mechanism by which the Governor could fill a vacancy in the office of Lieutenant Governor by appointment. Proposals for constitutional amendments have been submitted over the years that would have authorized gubernatorial appointment with the advice and consent of the Senate (*see* Proposition No. 923, 8 Proceedings of the Constitutional Convention of the State of New York, June 12, 1967, at 606-608) or, comparable to the 25th Amendment, with confirmation by a majority vote of both houses of the Legislature (*see* 1985 Rep of NY Law Rev Commn, reprinted in 1985 McKinney’s Session Laws of NY, at 2483, 2575). To date, none of these proposals has been acted upon.

Supporters of the proposed amendments, like the Governor and some of the amici curiae, make strong policy arguments in support of allowing the Governor to make an appointment to fill a vacancy in the office of Lieutenant Governor. But since our Constitution does not currently permit such a procedure, the constitutional amendment process is the only appropriate vehicle for such a change.

V.

The majority and defendants rely on decisions from other states to support their arguments but the cases cited are not persuasive. The constitutional provisions at issue in those cases were different from New York clauses that guide our analysis, either because there was no temporal provision that limited the duration that an appointee could hold an office to a specific and

ascertainable date (as there is in article XIII, § 3 of the New York Constitution) (see *People ex rel. Lynch v Budd*, 114 Cal 168, 45 P 1060 [1896]; *State ex rel. Trauger v Nash*, 66 Ohio St 612, 64 NE 558 [1902]; *State ex rel. Weeks v Day*, 14 Fla 9 [1871]; *In re Advisory Opinion to the Governor*, 688 A2d 288 [RI 1997]), or there was no clause directing that a particular official was to fulfil the duties of Lieutenant Governor in the event of a vacancy in that office alone (as there is in article IV, § 6 of the New York Constitution) (see *Advisory Opinion to Governor*, 217 So 2d 289 [Fla 1968]), or both provisions were absent (see *State ex rel. Martin v Ekern*, 228 Wis 645, 280 NW 393 [1938]). In any event, most of these cases were subsequently overruled by constitutional amendment or legislative enactment.

VI.

Despite our disagreement, we join the majority in acknowledging the good faith and good intentions of all parties in this difficult and important case. At the time the Governor named a Lieutenant Governor, two Senators credibly claimed the position of temporary president of the Senate. The resulting uncertainty over the temporary president's identity created two practical problems. First, it clouded the line of gubernatorial succession; and second, the absence of an acknowledged presiding officer thwarted day-to-day business in the Senate. While the amici's dire characterizations of this political deadlock may be overstated, it is easy to understand why the Governor felt impelled to act and has vigorously defended his position. But neither the Governor nor this Court can amend the Constitution. Our Constitution's provisions governing gubernatorial succession have been scrutinized repeatedly over the past few decades, and have consistently been adjudged adequate. We should adhere to the Constitution we have, which simply does not authorize what the majority now sanctions.

Judges CIPARICK, READ and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in a separate opinion in which Judges GRAFFEO and SMITH concur.

Order reversed, etc.

[918 NE2d 482, 889 NYS2d 886]

In the Matter of JOAN HANSEN & COMPANY, INC., Respondent, v
EVERLAST WORLD'S BOXING HEADQUARTERS CORP., Appel-
lant.

Argued September 16, 2009; decided October 15, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 2, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Joan A. Madden, J.), which had denied respondent's motion for an order permanently staying all further arbitration proceedings between it and petitioner.

Matter of Joan Hansen & Co., Inc. v Everlast World's Boxing Headquarters Corp., 55 AD3d 317, reversed.

HEADNOTE

Arbitration — Powers of Arbitrator — Reconsideration Precluded Where Matter Not Previously Raised

An arbitrator may not reconsider an award—regardless of whether the request is couched as a clarification or modification—if the matter was not previously raised in arbitration, since an arbitrator's authority extends to only those issues that are actually presented by the parties. During arbitration, respondent claimed that petitioner had breached the parties' licensing agreement and a panel of arbitrators determined that the termination notice issued to petitioner by respondent was invalid. Petitioner could not thereafter request that the arbitrators "clarify" that the original award required respondent to continue paying petitioner its fees "for so long as licensees remain licensees" of respondent, when respondent stopped paying consultation fees to petitioner two years after the agreement's expiration date pursuant to a provision in the agreement that was triggered if the agreement was "terminated." The issues presented in the original arbitration proceeding and petitioner's request to "clarify" the award involved distinct disputes despite the fact that the same contractual provision applied to both. In addition, the controversy over petitioner's right to further payments had not arisen at the time the arbitration decision was issued—approximately 1½ years before respondent stopped paying petitioner.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution § 187.
CARMODY-WAIT 2d, Arbitration §§ 141:222, 141:223.
NY JUR 2d, Arbitration and Award §§ 201–203.
SIEGEL, NY PRAC § 604.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award.

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POINTS OF COUNSEL

Schlacter & Associates, New York City (*Jed R. Schlacter* of counsel), and *Edward R. Epstein*, Fort Lauderdale, Florida, for appellant. I. An application to clarify an arbitration award must be made within the time limits set forth in CPLR 7509 and 7511. (*Matter of Hanover Ins. Co. v American Intl. Underwriters Ins. Co.*, 266 AD2d 545; *Matter of Aetna Cas. & Sur. Co. v Vigilant Ins. Co.*, 241 AD2d 451; *Silber v Silber*, 204 AD2d 527; *Ratner v Davison*, 12 Misc 3d 1192[A], 2006 NY Slip Op 51543[U]; *Matter of Mole [Queen Ins. Co. of Am.]*, 14 AD2d 1.) II. Once an arbitration award has been confirmed, with judgment entered thereon, and the time to appeal has expired, the arbitrators have no further power to issue any subsequent rulings. (*Matter of Beleggingsmaatschappij Wolfje, B.V. v AES Ecotek Europe Holdings, B.V.*, 21 AD3d 858.) III. The issue now raised by Joan Hansen & Company, Inc. was not the subject of the arbitration proceedings. (*Matter of Denihan*, 97 AD2d 69.) IV. Everlast World's Boxing Headquarters Corp. is entitled to full due process—including presentation of evidence and witnesses—regarding Joan Hansen & Company, Inc.'s new claim. (*Carvel Corp. v Rait*, 117 AD2d 485; *Carvel Corp. v Eisenberg*, 692 F Supp 182.)

Phillips Nizer LLP, New York City (*George Berger* and *Bruce J. Turkle* of counsel), for respondent. I. The Appellate Division correctly affirmed the IAS court's holding that Joan Hansen & Company, Inc. was not time-barred from seeking clarification of a latent ambiguity in the award from the arbitrators. (*Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39; *Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91; *Matter of Weinrott [Carp]*, 32 NY2d 190; *Green v Ameritech Corp.*, 200 F3d 967; *La Vale Plaza, Inc. v R.S. Noonan, Inc.*, 378 F2d 569; *Matter of Wannalancit Textile Co. [Prestex, Inc.]*, 81 AD2d 774; *Americas Ins. Co. v Seagull Cia. Naviera, S.A.*, 774 F2d 64; *Glass, Molders, Pottery, Plastics & Allied Workers Intl. Union, AFL-CIO, CLC, Local 182B v Excelsior Foundry Co.*, 56 F3d 844; *Kennecott Utah Copper Corp. v Becker*, 186 F3d 1261;

United Steelworkers of Am., AFL-CIO-CLC v Ideal Cement Co., Div. of Ideal Basic Indus., Inc., 762 F2d 837.) II. The Appellate Division's affirmation of the IAS court's factual finding that Joan Hansen & Company, Inc.'s request for clarification does not raise a new issue cannot be challenged here. (*Bates Adv. USA, Inc. v 498 Seventh, LLC*, 7 NY3d 115; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *L. Smirlock Realty Corp. v Title Guar. Co.*, 63 NY2d 955; *Friedman v State of New York*, 67 NY2d 271; *Huntley v State of New York*, 62 NY2d 134; *Laufer v Ostrow*, 55 NY2d 305; *Matter of Ranni [Ross]*, 58 NY2d 715; *Waverly Mews Corp. v Waverly Stores Assoc.*, 294 AD2d 130; *Morgan Guar. Trust Co. of N.Y. v Solow*, 114 AD2d 818, 68 NY2d 779; *Fabiano v Philip Morris Inc.*, 54 AD3d 146.) III. Everlast World's Boxing Headquarters Corp.'s suggested remedy is wasteful, impractical and contrary to authority. (*Brotherhood of Locomotive Engrs. & Trainmen v Union Pac. R.R. Co.*, 500 F3d 591; *Coca-Cola Bottling Co., Consol., Inc. v International Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers, Local Union No. 991*, 506 F Supp 2d 1052; *M & C Corp. v Erwin Behr GmbH & Co., KG*, 326 F3d 772; *Locals 2222, 2320-2327, Intl. Bhd. of Elec. Workers, AFL-CIO v New England Tel. & Tel. Co.*, 628 F2d 644; *Weinberg v Silber*, 140 F Supp 2d 712; *Colonial Penn Ins. Co. v Omaha Indem. Co.*, 943 F2d 327; *LLT Intl., Inc. v MCI Telecom. Corp.*, 69 F Supp 2d 510; *Green v Ameritech*, 200 F3d 967; *Office & Professional Empls. Intl. Union, Local No. 471 v Brownsville Gen. Hosp.*, 186 F3d 326; *New York Bus Tours, Inc. v Kheel*, 864 F2d 9, 993 F2d 1533.) IV. Everlast World's Boxing Headquarters Corp.'s remaining arguments have no merit. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355, 8 NY3d 176.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we hold that after issuance of an arbitration award, a party may not seek to reopen the arbitration proceeding to request that the arbitrators consider an issue that was not previously presented to the panel.

Everlast World's Boxing Headquarters Corp. is a major seller of boxing-related merchandise and athletic apparel. In 1983, Everlast hired Joan Hansen & Co., Inc. as its independent licensing agent for the purpose of finding companies that would be interested in marketing goods bearing the Everlast name. This arrangement continued until the beginning of 1994 when the parties entered into a new licensing contract. Under the terms of this agreement, Hansen would

remain Everlast's nonexclusive licensing consultant and, in return, Hansen was to be paid fees based on a schedule of the revenues generated from the clients that it secured for Everlast.

The contract was for a five-year term, with an automatic five-year renewal, resulting in a completion date of December 31, 2004, unless terminated sooner. The termination provisions in the agreement specified that either party could sever the relationship, but only on certain grounds, such as insolvency, the failure to fulfill a contractual obligation or engaging in a material misrepresentation. The agreement also contained a clause that addressed Hansen's right to receive royalties after the contract ended:

“the participation by HANSEN in royalty payments shall continue for so long as licensees remain licensees of EVERLAST, except that: . . .

“In the event of a termination of this Agreement, HANSEN shall continue to receive consultation fees on existing agreements for the earlier of two (2) years after termination or the end of the license agreements then in affect [*sic*].”

In the event of termination, Hansen was entitled to receive 100% of its fees in the first year following termination and 50% in the second year.

In 2000, Everlast's parent company decided to merge with the Active Apparel Group. At some point, Hansen was informed that the newly-created entity intended to develop an in-house licensing department and, therefore, Hansen's services might not be needed. Hansen responded with a lawsuit against Everlast challenging the legality of the proposed merger, but its claims were eventually dismissed and the merger was completed.

Approximately three years later, Everlast claimed that Hansen had breached its licensing agreement by failing to obtain new licensees. After Everlast discontinued the arrangement, Hansen demanded arbitration. The dispute was presented to three arbitrators and, in April 2005, the panel determined that Everlast's conduct toward Hansen precluded it from invoking any of the termination grounds set forth in the parties' contract. The arbitrators declared that the termination notice issued to Hansen by Everlast was invalid and Everlast was required to pay Hansen “both now and in the future on the basis of the Agreement being in full force and effect up to its stated

December 31, 2004 term expiration date, pursuant to the Agreement, as though no termination notice had been given.” Everlast was also “directed to account for, and pay to [Hansen], all unpaid moneys payable under the Agreement” and future fees “promptly after they are payable.” On Hansen’s motion, Supreme Court confirmed the arbitration award.

Everlast thereafter paid Hansen 100% of the fees due in 2005 and 2006, but did not make any further payments for revenues realized in 2007. In Everlast’s view, the contract automatically terminated on December 31, 2004, triggering the two-year, post-termination compensation provision that relieved it of any further obligation to compensate Hansen after December 31, 2006.

Once the payments from Everlast ceased, Hansen asked Supreme Court to hold Everlast in contempt of the confirmation ruling, contending that it was owed royalty payments beyond 2006 because the contract had “expired”—as opposed to being “terminated”—on December 31, 2004. In light of its interpretation, Hansen asserted that it was entitled to additional payments for as long as the clients it secured remained licensees of Everlast.

Supreme Court denied Hansen’s contempt motion, concluding that “the primary issue before the arbitrators in this matter was whether the Termination Notice was valid” and that “the arbitrators did not rule on the meaning of ‘termination’ ” in the continuing compensation clause or determine “what monies would be payable to Hansen once the Representation Agreement ended on December 31, 2004” (2007 NY Slip Op 33471[U], *8). The court therefore declined to interpret the arbitration award as directing payments to Hansen after December 31, 2006.

Hansen then sought relief from the former arbitration panel, seeking to reopen its proceedings to “clarify” that the original award required Everlast to continue paying Hansen its fees “for so long as the licensees remain licensees” of Everlast. Reflecting its argument before Supreme Court, Hansen claimed that the two-year, post-termination compensation provision was inapplicable because there had been an expiration of the contractual relationship rather than a termination. In response, Everlast filed a motion in Supreme Court to stay Hansen’s request for clarification. Everlast maintained that Hansen was actually seeking a “modification” of the original arbitration decision that was untimely pursuant to the 20-day time limitation in

CPLR 7509 since Hansen's request was made about 2^{1/2} years after the issuance of the arbitration decision.¹ In the alternative, Everlast contended that the arbitrators did not have the authority to consider the continuing compensation issue because it had not been raised in the original arbitration proceeding.

Supreme Court denied Everlast's motion (2008 NY Slip Op 30569[U]). Although the court acknowledged that it had previously held that the continuing compensation claim was not a subject of the arbitration award, the court concluded that clarification was appropriate because the controversy regarding the length of payments involved the same contractual provision that had been addressed in arbitration. As such, the court determined that Hansen's request was not barred by CPLR 7509. The Appellate Division affirmed for substantially the same reasons (55 AD3d 317 [1st Dept 2008]) and we granted leave to appeal (11 NY3d 713 [2008]). We now reverse.

Everlast advances several arguments in support of its position. It maintains that a request for clarification is no different than an application for modification and is therefore subject to the CPLR 7509 time restriction. Everlast also asserts that, even if there is a distinction between "clarification" and "modification," the arbitrators lacked the power to reconsider their award once Supreme Court confirmed it. Finally, Everlast claims that an arbitrator has no power to reconsider an award based on an issue that was not raised in the arbitration proceeding. We agree with Everlast's third argument: the dispositive factor in this appeal is the limited scope of the dispute that was originally before the arbitration panel. Consequently, it is unnecessary for us to address Everlast's other two contentions.

It has long been established that an arbitrator's authority extends to only those issues that are actually presented by the parties (see e.g. *Hiscock v Harris*, 74 NY 108, 113 [1878]; see also *Ottley v Schwartzberg*, 819 F2d 373, 376 [2d Cir 1987]). Thus, an arbitrator may not reconsider an award—regardless of whether the request is couched as a clarification or modification—if the matter was not previously raised in arbitration (see generally *Matter of Denihan*, 97 AD2d 69, 73 [1st Dept 1983, Alexander, J.]). Here, the primary issue pursued by Hansen during arbitration involved the validity of the termination notice.

1. CPLR 7509 allows a party to an arbitration decision to request modification if a written application is made to the arbitrator "within twenty days after delivery of the award to the applicant."

The arbitrators necessarily had to decide whether the contract encompassed the grounds that Everlast cited as a basis for termination and, if so, whether the facts supported Everlast's assertions. But the panel was not asked to consider the extent of Everlast's alleged duty to pay Hansen royalties after December 31, 2004. Indeed, when Supreme Court denied the motion to hold Everlast in contempt of the confirmation ruling, it correctly recognized that "the issue of the interpretation of" the continuing compensation provisions "was not a subject of the arbitration" and "the arbitrators did not rule on the meaning of 'termination' in those provisions, or what monies would be payable to Hansen once the [contract] ended on December 31, 2004" (2007 NY Slip Op 33471[U], *8).

The fact that a particular contractual provision may apply to more than one arbitrable claim does not expand the scope of the arbitration if the issues presented were materially different or legally distinct. In this case, the termination dispute focused on whether Hansen's conduct (actions such as initiating the 2000 litigation) was prohibited by the contract or if Hansen had failed to perform its obligation to secure licensees. But the continuing compensation claim that arose at the end of 2006 was a separate question—whether a "termination" of the contract was the same as an "expiration" for purposes of computing the length of time that Hansen was entitled to receive royalties. Simply put, the issues presented in the original arbitration proceeding and Hansen's request to "clarify" the award involved distinct disputes despite the fact that the same contractual provision applied to both.

In addition, the controversy over Hansen's right to further payments had not arisen at the time the arbitration decision was issued—approximately 1½ years before Everlast stopped paying Hansen at the end of December 2006. Nothing in the panel's written decision suggests that the arbitrators considered, let alone decided, whether Hansen was owed continuing compensation "for so long as [the] licensees" kept doing business with Everlast.² We conclude that Everlast's motion to stay further arbitration should have been granted because Hansen could not use the compensation issue as a basis for reconsideration of the arbitration decision, regardless

2. Although Hansen relies on the recollection of its attorney that an arbitrator asked whether Hansen would be entitled to receive commissions in perpetuity, in its briefs to this Court Hansen does not allege that it specifically raised that issue in the original arbitration proceeding.

of whether Hansen denominated its request as one for clarification or modification.³

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion by Everlast World's Boxing Headquarters Corp. to stay all further arbitration proceedings between it and petitioner Joan Hansen & Company, Inc. regarding case No. 13 133 00438 03 of the American Arbitration Association granted.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

3. Everlast concedes that nothing prevents Hansen from initiating a new arbitration proceeding to have the merits of the continuing compensation matter decided.

[918 NE2d 103, 889 NYS2d 513]

**In the Matter of LEONID G. GARTH, Appellant, v BOARD OF AS-
SESSMENT REVIEW FOR TOWN OF RICHMOND, Respondent.**

Argued September 10, 2009; decided October 15, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 6, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Ontario County (John J. Ark, J.), entered in a proceeding pursuant to RPTL article 7, which had, insofar as appealed from, denied respondent's motion to dismiss the petition; (2) granted the motion; and (3) dismissed the petition.

Matter of Garth v Board of Assessment Review for Town of Richmond, 52 AD3d 1261, reversed.

HEADNOTE**Taxation — Assessment — Judicial Review — Failure to Designate
Return Date in Notice of Petition Not Jurisdictional Defect**

Personal jurisdiction was not lacking in an RPTL article 7 proceeding although the petitioner was unable to designate a return date and omitted such date from the notice of petition. CPLR 403 (a) provides that a "notice of petition shall specify the time and place of the hearing on the petition." However, a petitioner attempting to commence a tax certiorari proceeding may face a procedural dilemma—timely file the petition and notice of petition without knowledge of an actual return date, or wait until the assignment of a judge and return date and risk the expiration of the 30-day limitations period (RPTL 702 [2]). Mere technical irregularities in the commencement process should be disregarded if a substantial right of a party is not prejudiced. In a tax certiorari proceeding, the assessing authority would not suffer any prejudice as a result of the failure to include a return date because the allegations contained in the petition are deemed denied if the respondent fails to timely serve an answer (*see* RPTL 712 [1]), thereby precluding entry of a judgment against the respondent in the case of a default.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 706, 707, 712, 721.
CARMODY-WAIT 2d, Commencement of Action; Summons
and Service of Process §§ 24:19, 24:46; CARMODY-WAIT
2d, Judicial Review of Assessments and Taxes §§ 146:46,
146:47, 146:49, 146:72, 146:85.
MCKINNEY's, CPLR 403 (a); RPTL 702 (2); 712 (1).

Opinion by Chief Judge LIPPMAN

NY JUR 2d, Taxation and Assessment §§ 427, 429, 430, 437, 438.

NEW YORK REAL PROPERTY SERVICE §§ 62:13, 62:18, 62:26, 62:27.

ANNOTATION REFERENCE

See ALR Index under Process and Service of Process; Taxes.

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Database: NY-ORCS

Query: tax /3 challenge /p return /2 date & personal /2 jurisdiction

POINTS OF COUNSEL

Woods Oviatt Gilman LLP, Rochester (Sean T. Hanna of counsel), for appellant. A blank return date on an RPTL notice of petition is curable. (*W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Batavia Enters. v Assessor of Town of Batavia*, 72 AD2d 912; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Caldor, Inc. v Board of Assessors of Town of Colonie*, 142 AD2d 57; *Matter of Sears, Roebuck & Co. v Board of Assessors of Town of Union*, 182 AD2d 970; *Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251; *Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 4 NY3d 680; *Matter of Ballard v HSBC Bank USA*, 6 NY3d 658; *Matter of Allstate Equities, LLC v Town of Newburgh*, 43 AD3d 1044; *Matter of Common Council of City of Gloversville v Town Bd. of Town of Johnstown*, 144 AD2d 90.)

Jones & Morris, Victor (Michael A. Jones, Jr., of counsel), for respondent. Failure to specify the time of the hearing on a notice of petition for a special proceeding is a jurisdictional defect requiring dismissal. (*Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 8 AD3d 953, 4 NY3d 680; *Matter of Mendon Ponds Neighborhood Assn. v Dehm*, 98 NY2d 745; *Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251, 1 NY3d 507, 3 NY3d 635; *Pennoyer v Neff*, 95 US 714; *Ponsrok v City of Yonkers*, 254 NY 91; *Thomann v City of Rochester*, 256 NY 165; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Petitioner pro se commenced this RPTL article 7 tax proceeding to challenge the 2006 assessment of his real property lo-

cated in the Town of Richmond by filing and serving on respondent Board of Assessment Review for the Town of Richmond a petition with a notice of petition that contained no return date. The Board promptly moved to dismiss the petition for lack of personal jurisdiction based upon petitioner's failure to include a hearing date and time as required by CPLR 403 (a). In opposition, petitioner submitted a sworn affidavit in which he stated that the Ontario County Clerk instructed him to "leave the date blank" because of a judicial vacancy that prevented the Clerk from scheduling hearings. In addition, the Clerk informed petitioner that once the Supreme Court Justice vacancy was filled, the return date would be set by the court and notices of the return date would be mailed to the parties. The Town acknowledged that the Clerk subsequently informed it of the scheduled return date.

Supreme Court denied the Board's motion to dismiss. A unanimous panel of the Appellate Division reversed, granted the Board's motion, and dismissed the petition, concluding that "the filing and service of a notice of petition in a tax certiorari proceeding lacking a return date is jurisdictionally defective" (52 AD3d 1261 [2008] [internal quotation marks, citation and brackets omitted]). We granted petitioner's motion for leave to appeal (11 NY3d 712 [2008]) and now reverse.

Pursuant to RPTL 704 (1), a real property owner may commence a special proceeding to challenge a tax assessment by filing a petition along with a notice of petition returnable not less than 20 nor more than 90 days after the service of the petition and notice of petition. CPLR 403 (a) provides that a "notice of petition shall specify the time and place of the hearing on the petition." In practice, it is sometimes difficult for a litigant to set a proper return date prior to service of the petition and notice of petition because the judge—whose calendar preferences normally dictate the choice of the return date—may not yet have been assigned to the case (*see* Siegel, NY Prac § 553, at 952 [4th ed]). Adding to this practical difficulty is the short, 30-day statute of limitations in RPTL article 7 proceedings (*see* RPTL 702 [2]). Thus, a petitioner attempting to commence a tax certiorari proceeding may face a procedural dilemma—timely file the petition and notice of petition without knowledge of an actual return date, or wait until the assignment of a judge and return date and risk the expiration of the limitations period.

The existence of these procedural obstacles in tax certiorari proceedings has resulted in a number of cases in which the respondent taxing authority has challenged the notice of petition as jurisdictionally defective for the failure to include an accurate return date (*Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251 [2003], *lv granted* 1 NY3d 507 [2004], *appeal withdrawn* 3 NY3d 635 [2004]; *Matter of Sears, Roebuck & Co. v Board of Assessors of Town of Union*, 182 AD2d 970 [3d Dept 1992]; *Matter of Batavia Enters. v Assessor of Town of Batavia*, 72 AD2d 912 [4th Dept 1979]). We faced the issue in *Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda* (4 NY3d 680 [2005]), an RPTL article 7 proceeding where the petitioner's counsel included a return date in compliance with CPLR 403 (a), but court personnel later changed the date. We rejected the respondent's argument that the notice of petition containing this "fictitious hearing date" (4 NY3d at 683 [internal quotation marks omitted]) was jurisdictionally defective, recognizing that an accurate return date could not be chosen before a judge had been assigned to the action. "Any other interpretation of the statute," we concluded, "would be patently unfair to a party attempting to commence such a proceeding" (*id.* at 684 [internal quotation marks and citations omitted]).

We faced a slightly different question in *Matter of Ballard v HSBC Bank USA* (6 NY3d 658 [2006]), a proceeding pursuant to Executive Law § 298¹ where the petitioner left the return date on the notice of petition blank because a Supreme Court Justice had not yet been assigned to the case. We held that the failure to include a return date did not implicate the court's subject matter jurisdiction, but did not expressly pass on whether personal jurisdiction was absent, as the respondent had failed to raise the issue at the first available opportunity, thereby waiving that defense (6 NY3d at 664). Here, however, where the Board did timely interpose this defense, the issue is squarely presented for our review.

It is settled that personal jurisdiction may be absent where a party improperly commences a proceeding or action (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714 [1997]; *see Ballard*, 6 NY3d at 664). Not all defects in the commencement process,

1. Although *Ballard* did not involve a tax certiorari proceeding, its analysis is relevant inasmuch as an Executive Law § 298 proceeding is commenced, in the same manner as an RPTL article 7 proceeding, by "the filing of a notice of petition and petition" in Supreme Court.

however, result in a loss of personal jurisdiction. Our decision in *Matter of Great E. Mall v Condon* (36 NY2d 544 [1975]) is instructive. There, the petitioners in the RPTL article 7 proceedings named only one of the Town's three assessors, thereby failing to comply with RPTL 704 (2), which requires the proceeding to be commenced against "the assessors either by naming them individually or by using the official name of the assessing unit." Taking into account the "dual legal concepts that mere technical defects in pleadings should not defeat otherwise meritorious claims, and that substance should be preferred over form" (36 NY2d at 548), this Court held that the petitioners' failure to comply with the technical pleading requirement of RPTL 704 (2) did not render the petitions jurisdictionally defective. Notably, the technical defect in *Great E. Mall* was the absence of statutorily mandated information from the petition, a document that must be filed to commence the proceeding. Likewise, the defect here was the omission of information required in the notice of petition, a document essential to the commencement of a tax certiorari proceeding.

Critical to the analysis in *Great E. Mall* was our long-standing view that the law regarding real property assessment proceedings is "remedial in character and should be liberally construed to the end that the taxpayer's right to have his assessment reviewed should not be defeated by a technicality" (36 NY2d at 548 [internal quotation marks omitted], quoting *People ex rel. New York City Omnibus Corp. v Miller*, 282 NY 5, 9 [1939]). Our consideration was also informed by the circumstance that the respondent had failed to demonstrate any prejudice resulting from the pleading infirmity (*see id.* at 549). Specifically, we noted that the purpose of the petition in a special proceeding—to advise the respondent of the commencement of the action—had been met by service of the petition on one, but not all, of the assessors. Accordingly, we disregarded the technical defect and denied the respondents' motion to dismiss the petition.

Similar to the respondents in *Great E. Mall*, the Board here has failed to allege any prejudice that resulted from the failure to include a return date in the notice of petition. The return date undoubtedly serves a necessary purpose in special proceedings—to put the respondent on notice as to the date before which the responsive papers should be served. This concern, however, is not so compelling in RPTL article 7 proceedings where the allegations contained in the petition are deemed denied if the respondent fails to timely serve an answer (*see*

RPTL 712 [1]), thereby precluding entry of a judgment against the respondent in the case of a default. Thus, in the context of a tax certiorari proceeding, we are hard-pressed to see how the assessing authority will suffer any prejudice as a result of the failure to include a return date. Indeed, the notice of petition in *National Gypsum*, which contained an admittedly fabricated but plausible return date, failed to advise the respondent of the time and place of the hearing. In that regard, it was no more useful or informative than the notice of petition here, which omitted a return date. It would be incongruous for us to approve of a fictitious return date yet condemn an absent one.

We therefore conclude that personal jurisdiction is not lacking in an RPTL article 7 proceeding where the petitioner omits the return date from the notice of petition. This conclusion is entirely consistent with the view in *Great E. Mall* that mere technical irregularities in the commencement process should be disregarded if a substantial right of a party is not prejudiced. Further, it is a natural extension of *National Gypsum*, which, in recognition of the practical difficulties that arise when commencing these types of proceedings, forgave the pleading infirmity. To require strict compliance with CPLR 403 (a) in this context would mean that, under certain circumstances, petitioners would be foreclosed from judicial review of their tax assessments through no fault of their own. We find that approach unduly harsh and contrary to our historically liberal construction of pleading and procedure in tax certiorari proceedings.² While our conclusion applies in RPTL article 7 proceedings where petitioner is unable to designate a return date, we have no occasion to address the rules applicable to other types of special proceedings.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion to dismiss denied.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

2. In the future, it would be advisable for petitioners to serve an amended notice of petition once the court sets the return date.

[918 NE2d 99, 889 NYS2d 509]

In the Matter of VALERIE GOMEZ, Respondent-Appellant, v JOSEPH A. STOUT, as Commissioner of the Westchester County Department of Parks, Recreation and Conservation, et al., Appellants-Respondents.

Argued September 16, 2009; decided October 15, 2009

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order (denominated decision and judgment) of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 27, 2008, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Westchester County). The Appellate Division (1) granted the petition to review a determination of Joseph A. Stout, the Commissioner of the Westchester County Department of Parks, Recreation and Conservation, which, upon a decision of Ralph Butler, the Commissioner of the Westchester County Department of Public Works, as designated agent, that adopted the recommendation of a hearing officer finding petitioner guilty of misconduct and incompetence, had terminated petitioner's employment; (2) annulled the determination; and (3) remitted the matter to Joseph A. Stout, the Commissioner of the Westchester County Department of Parks, Recreation and Conservation, for the appointment of a duly-qualified individual authorized to review the recommendation of the hearing officer.

Matter of Gomez v Stout, 51 AD3d 1021, modified.

HEADNOTES

Civil Service — Disciplinary Proceedings — Delegation of Power to Discipline

1. Respondent county department commissioner, who was petitioner's employer and had recused himself from petitioner's disciplinary proceeding due to a conflict of interest, should not have designated the commissioner of another county department to act as his agent for the purpose of reviewing the report and recommendation of the hearing officer and issuing the final disciplinary determination. Civil Service Law § 75 (2) provides that, where the officer or body having power to remove an employee designates someone else to conduct a hearing, the record shall "be referred to such officer or body for review and decision." Although the statute does not explicitly state what the officer or body should do where a disqualifying conflict exists, it requires that the power to discipline be delegated, if necessary, within the governmental department's chain of command. Any determination as to whether misconduct

occurred and the appropriate penalty to be imposed should be made by the official who has the power to remove or mete out the discipline, but courts have crafted an exception requiring a conflicted officer or body to designate an impartial agent authorized to act in his or her stead. That delegation can only be made to a qualified individual, and here that individual, pursuant to the applicable county charter provision, would have been a deputy commissioner within respondent's own department. The judicially created exception should not be expanded so as to allow a personally involved officer or body unfettered discretion to designate a municipal department head with no supervisory authority over the affected employee.

Civil Service — Reinstatement — Right to Reinstatement and Back Pay after Determination Terminating Employment Annulled on Jurisdictional Grounds

2. Petitioner was entitled to be reinstated with back pay and benefits after the determination terminating her employment was annulled on jurisdictional grounds, even if the proceedings against her were to eventually lead to termination of her employment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 63, 64, 73, 88, 89, 99, 101.

McKINNEY's, Civil Service Law § 75 (2).

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 505, 518, 522.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Discipline and Disciplinary Actions.

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Query: civil /2 service & disciplin! & conflict! /p designat! delegat! /p officer agent

POINTS OF COUNSEL

Charlene M. Indelicato, County Attorney, White Plains (Thomas G. Gardiner and Stacey Dolgin-Kmetz of counsel), for appellants-respondents. I. Due to his personal involvement, respondent, Joseph A. Stout, the Commissioner of the Westchester County Department of Parks, Recreation and Conservation, acted properly in disqualifying himself from reviewing the recommendation of the Hearing Officer and acting on any of the charges in this employee disciplinary matter and appropriately designated respondent Ralph Butler, the commissioner of another county department, to act in his place. (Matter of McComb v Reasoner, 29 AD3d 795; Brothers v Florence, 95 NY2d 290;

Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead, 77 NY2d 114; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Matter of John P. v Whalen*, 54 NY2d 89; *Matter of Trahan v Jefferson County Dept. of Social Servs.*, 281 AD2d 984; *Matter of Norton v Village of Phoenix Bd. of Trustees*, 245 AD2d 1143; *Matter of Sander v Owens*, 82 AD2d 968; *Matter of Reed v Town of Huntington*, 186 AD2d 745; *Matter of Chisolm v Copeland*, 29 AD3d 575.)

Lovett & Gould, LLP, White Plains (Jonathan Lovett and Kim Berg of counsel), for respondent-appellant. I. The Second Department correctly granted the petition and annulled respondents' determination but erred in not restoring petitioner to the status quo ante by directing her reinstatement with back pay and benefits. (*Matter of Wiggins v Board of Educ. of City of N.Y.*, 60 NY2d 385; *Sinicropi v Milone*, 80 AD2d 609; *Matter of Klein v Department of Mental Hygiene of State of N.Y.*, 15 AD2d 562; *Matter of Blount v Forbes*, 250 App Div 15; *Locust Club of Rochester v City of Rochester*, 48 Misc 2d 763; *People ex rel. Hayes v Waldo*, 212 NY 156; *Matter of Perez v New York State Dept. of Labor*, 244 AD2d 844; *Matter of Tanner v County of Nassau*, 88 AD2d 661; *Wind v Green*, 78 AD2d 695; *Matter of Farrell v Dowling*, 90 AD2d 849.) II. The Second Department correctly concluded that respondent Joseph A. Stout was required to delegate his decision-making authority to a deputy and that Stout's delegation of authority to Commissioner Ralph Butler was unlawful. (*Matter of McComb v Reasoner*, 29 AD3d 795; *Matter of Martin v Platt*, 191 AD2d 758; *Matter of Sassone v New York State Thruway Auth.*, 171 AD2d 308; *Matter of Simpson v Wolansky*, 38 NY2d 391; *Matter of Correia v Incorporated Vil. of Northport*, 12 AD3d 599; *Matter of Pryor v O'Donnell*, 262 AD2d 648; *Matter of DiMattina v LaBua*, 262 AD2d 409; *Matter of Brundage v Yonkers Parking Auth.*, 220 AD2d 411; *Matter of Lowy v Carter*, 210 AD2d 408; *Matter of Wayering v County of St. Lawrence*, 140 AD2d 838.)

OPINION OF THE COURT

CIPARICK, J.

Petitioner Valerie Gomez has worked for Westchester County since 1979. On January 17, 2001, she began working as an assistant games manager at Rye Playland—an amusement park owned by the County of Westchester and operated by its Department of Parks, Recreation and Conservation. However, on or about May 2, 2002, petitioner was served with disciplinary

charges pursuant to Civil Service Law § 75 alleging she had committed 43 specifications of misconduct and/or incompetence.

At petitioner's disciplinary proceeding,¹ her employer, respondent Joseph A. Stout, Commissioner of the Westchester County Department of Parks, Recreation and Conservation, and members of his family testified about an alleged incident that occurred at Rye Playland's skating rink in April 2002.² The Hearing Officer sustained all 43 charges against petitioner and recommended that petitioner should be terminated from her employment.

Stout, being conflicted as he and family members had testified at the hearing, designated respondent Ralph Butler, the Commissioner of the Westchester County Department of Public Works, to review the hearing record and to render the final determination as to whether petitioner would be disciplined. Butler agreed with the recommendation of the Hearing Officer and determined that petitioner should be terminated from her employment. In a letter dated November 2, 2005, Stout notified petitioner of Butler's determination and informed her that she was terminated.

Petitioner commenced this CPLR article 78 proceeding in Supreme Court challenging the termination of her employment. She sought annulment of the determination and retroactive reinstatement to the county payroll as an assistant games manager, grade VII, effective November 2, 2005, the date of termination. Pursuant to CPLR 7804 (g), Supreme Court transferred the matter to the Appellate Division.

The Appellate Division granted the petition and annulled the determination terminating her employment on jurisdictional grounds. The court concluded that Stout erred, after properly disqualifying himself, when he designated Butler to act as his agent for the purpose of reviewing the report and recommendation of the Hearing Officer and issuing the final determination. The Appellate Division held that, pursuant to Westchester

1. Petitioner's disciplinary hearing began on November 25, 2002 and was completed on April 13, 2005.

2. It was alleged, among other things, that she had been discourteous in dealing with customers, changed her scheduled shifts without authorization, failed to record her breaks, violated the Parks Department attendance policy by signing out before the end of her scheduled shifts, failed to punch her time sheet, failed to register or record items she had sold on behalf of the Parks Department and committed other violations of Parks Department standard operating procedures.

County Charter § 134.41³ and Civil Service Law § 75, the only individual authorized to act in his absence was his Deputy Commissioner.

The court remitted the matter back to Commissioner Stout “for the appointment of a duly-qualified individual authorized to review the recommendation of the hearing officer” (51 AD3d 1021, 1021-1022 [2d Dept 2008]). The court did not address the issues of whether petitioner was entitled to reinstatement or back pay and benefits. Neither did the court conduct a substantial evidence review as it annulled the determination on jurisdictional grounds. We granted both sides leave to appeal and now modify the order of the Appellate Division.

Civil Service Law § 75 (2) states, in pertinent part, that an employee disciplinary proceeding

“shall be held by the officer or body having the power to remove the person against whom such charges are preferred, or by a deputy or other person designated by such officer or body in writing for that purpose. In case a deputy or other person is so designated, he shall, for the purpose of such hearing, be vested with all the powers of such officer or body and shall make a record of such hearing which shall, with his recommendations, be referred to such officer or body for review and decision.”

Relying on the statute, the County asserts that Commissioner Stout’s recusal and the designation of Butler was necessary in order to avoid the appearance of impropriety and that Stout’s designation of Butler was lawful.

[1] The language of Civil Service Law § 75 (2) clearly provides that, where the officer or body having power to remove an employee designates someone else to conduct a hearing, the record shall “be referred to such officer or body for review and decision.” It makes sense that the decision whether sanctions against an employee are warranted should be made by an official that has knowledge of the employee’s duties and responsibilities, as well as an understanding of what disciplinary measures have been previously imposed on other employees for similar types of infractions. Although it is true that Civil Service Law § 75 (2) does not explicitly state what the officer or

3. Westchester County Charter § 134.41 requires that “[t]he commissioner shall appoint a deputy commissioner who shall act for the commissioner in the case of his absence or inability to perform his duties.”

body should do where a disqualifying conflict exists, it clearly requires that the power to discipline be delegated, if necessary, within the governmental department's chain of command.

Indeed, we have held it essential that any determination as to whether misconduct occurred and the appropriate penalty to be imposed be made by "the official upon whom has been imposed the power to remove or mete out the discipline" (*Matter of Simpson v Wolansky*, 38 NY2d 391, 394 [1975]). However, in order to ensure a civil servant a fair hearing, courts have crafted an exception requiring the conflicted officer or body bearing the responsibility of discipline to designate an impartial agent authorized to act in his or her stead (see e.g. *Matter of McComb v Reasoner*, 29 AD3d 795, 799-800 [2d Dept 2006]; *Matter of Martin v Platt*, 191 AD2d 758 [3d Dept 1993], *lv denied* 82 NY2d 652 [1993]). That delegation can only be made to a qualified individual.

The County urges us to hold that the judicially created exception encompasses the ability to appoint an agent with duties comparable to those of the recusing officer even where the designee has no supervisory authority over that particular employee. We reject the County's arguments and decline to expand this judicially created exception to allow a personally involved officer or body unfettered discretion to designate a municipal department head with no supervisory authority over the affected employee. In this case, Westchester County Charter § 134.41 requires Commissioner Stout to designate a Deputy Commissioner within his own department to act for him in situations where he is either absent or unable to perform his duties. Thus, we conclude that the Appellate Division was correct in annulling Commissioner Butler's determination and in remitting the matter to Commissioner Stout to appoint a duly-qualified individual—here the Deputy Commissioner—to render a determination on the same hearing record.

Petitioner also seeks reinstatement with back pay and benefits. The County argues that any award of back pay and benefits should await the determination of Commissioner Stout's new designee, and should not be awarded at all unless the new penalty imposed, if any, is less severe than termination. We disagree and hold that petitioner is entitled to be reinstated with back pay and benefits.

[2] In *Matter of Wiggins v Board of Educ. of City of N.Y.* (60 NY2d 385 [1983]) we stated that

“[a] disciplinary proceeding will be voided and the *status quo ante* restored when there has been some error that taints the entire proceeding. This would not be an isolated mistake, but rather would strike at fundamental concerns such as jurisdiction or bias of the presiding officers” (*id.* at 388-389).

Further, in *Matter of Sinicropi v Bennett* (60 NY2d 918 [1983]), we applied the principle stated in *Wiggins* to a case in which a determination of dismissal had been annulled for procedural error, but a later order of dismissal was upheld. We decided that the employee was entitled to back pay for the period between the earlier and later termination decisions. We conclude that *Wiggins* and *Sinicropi* control this case, and petitioner here is entitled to back pay, even if the proceedings against her eventually lead to termination of her employment.

Hence, we conclude that this matter should be remitted to Supreme Court for an order restoring petitioner’s employment with the Westchester County Parks Department as an assistant games manager, grade VII, and to determine the amount of back pay and benefits owed to her. As the determination here was annulled, we need not consider the merits of the underlying disciplinary proceeding and whether the determination was supported by substantial evidence.

Accordingly, the order of the Appellate Division should be modified, with costs to petitioner, by remitting to Supreme Court for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

SMITH, J. (concurring). I join the Court’s unanimous opinion, but write separately to express my unhappiness with the result we are forced to reach.

Petitioner was dismissed from her position in November 2005. A Hearing Officer has recommended that her dismissal be upheld. For the reasons the Court’s opinion explains, a Deputy Commissioner must now decide whether to follow that recommendation. But even if the recommendation is followed, petitioner will still get back pay for the four years following her dismissal—four years during which she has not done a day’s work for the County. If the dismissal was justified, this is surely an excessive burden to impose on the County for a procedural error.

But the result is compelled by our decision in *Matter of Sinicropi v Bennett* (60 NY2d 918 [1983]). *Sinicropi* seems wrong to

me. It also seemed wrong to Justice O'Connor, who wrote the Appellate Division decision that we affirmed in that case (*Sinicropi v Bennett*, 92 AD2d 309 [2d Dept 1983]). Though believing himself bound by precedent, Justice O'Connor—dissenting persuasively from his own holding—pointed out that the decisions allowing back pay in situations like this unjustifiably expand the relief that would have been available at common law. The remedy for an employee whose dismissal is procedurally flawed should be prompt reinstatement, not pay for no work. Justice O'Connor argued for the principle that, until and unless an employee is reinstated, “no claim for back pay [should] be honored even if the employee’s dismissal [is] declared invalid” (*id.* at 316).

Justice O'Connor invited a “re-examination” of the analysis on which the precedents he thought himself bound to follow were based (*id.* at 310). Unfortunately, our Court did not accept the invitation. We affirmed in a one paragraph memorandum, with the conclusory statement that the discharged employee was entitled to “the salary she would have earned for the period between the original termination decision (which was annulled) and the subsequent termination decision” (60 NY2d at 920). I think this was a mistake, but there is nothing we can do about it now. The problem is one that only the Legislature can fix.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur with Judge CIPARICK; Judge SMITH concurs in a separate opinion.

Order modified, etc.

[918 NE2d 889, 890 NYS2d 377]

TRUST FOR THE CERTIFICATE HOLDERS OF THE MERRILL LYNCH MORTGAGE INVESTORS, INC. MORTGAGE PASS-THROUGH CERTIFICATES, SERIES 1999-C1, by and through ORIX CAPITAL MARKETS, LLC, as Master Servicer and Special Servicer, Appellant, v LOVE FUNDING CORPORATION, Respondent.

Argued September 9, 2009; decided October 15, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Is it sufficient as a matter of law to find that a party accepted a challenged assignment with the ‘primary’ intent proscribed by New York Judiciary Law § 489 (1), or must there be a finding of ‘sole’ intent? 2. As a matter of law, does a party commit champerty when it ‘buys a lawsuit’ that it could not otherwise have pursued if its purpose is thereby to collect damages for losses on a debt instrument in which it holds a pre-existing proprietary interest? 3. (a) As a matter of law, does a party commit champerty when, as the holder of a defaulted debt obligation, it acquires the right to pursue a lawsuit against a third party in order to collect more damages through that litigation than it had demanded in settlement from the assignor? (b) Is the answer to question 3 (a) affected by the fact that the challenged assignment enabled the assignee to exercise the assignor’s indemnification rights for reasonable costs and attorneys’ fees?”

HEADNOTES

Assignments — Purchase of Claims for Purpose of Bringing Action — Champerty — Acquisition of Debt Instrument

1. Plaintiff trust, as the assignee of the rights of the purchaser’s successor under a commercial mortgage loan purchase agreement, did not violate Judiciary Law § 489 (1), the champerty statute, by bringing an action against defendant commercial mortgage-banking corporation for breaching its representations and warranties with respect to a loan in which plaintiff held a preexisting proprietary interest if plaintiff’s purpose in taking assignment of the successor’s rights under the agreement was to enforce its rights. The acquisition of a debt instrument for the purpose of enforcing it is not champerty simply because the acquiring party intends to do so by litigation.

The inquiry into purpose is a factual one. Plaintiff, as the holder of the loan and the party that would directly suffer the damages of any default on that loan, had a preexisting proprietary interest in the loan. If, as a matter of fact, plaintiff's purpose in taking assignment of the successor's rights under the agreement was to enforce its rights, then, as a matter of law, given that plaintiff had a preexisting proprietary interest in the loan, it did not violate Judiciary Law § 489 (1).

Assignments — Purchase of Claims for Purpose of Bringing Action — Champerty — Indemnification Rights to Costs of Past Litigation

2. In an action brought by plaintiff trust, as the assignee of the rights of the purchaser's successor under a commercial mortgage loan purchase agreement, against defendant commercial mortgage-banking corporation for breaching its representations and warranties with respect to a loan in which plaintiff held a preexisting proprietary interest, plaintiff did not violate Judiciary Law § 489 (1), the champerty statute, by seeking to recover legal fees the assignor incurred defending itself against plaintiff prior to the assignment. To acquire indemnification rights to the costs of past litigation is not to acquire a thing in action in order to obtain costs from prosecution thereon. Moreover, it is not champerty to settle a dispute by accepting a transfer of rights that has the potential for a larger recovery than one had demanded as a cash settlement. Nor would it be possible in many cases to assess whether rights are likely to yield a larger recovery than earlier demanded.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Champerty, Maintenance, and Barratry §§ 1–4, 6, 11.

CARMODY-WAIT 2d, Officers of Court § 3:226.

McKINNEY's, Judiciary Law § 489 (1).

NY JUR 2d, Assignments § 37; NY JUR 2d, Attorneys at Law § 227; NY JUR 2d, Champerty and Maintenance §§ 3, 4, 7–11.

ANNOTATION REFERENCE

See ALR Index under Assignments; Attorneys' Fees; Champerty and Maintenance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: champerty /p enforc! /s debt /2 instrument

POINTS OF COUNSEL

Hogan & Hartson LLP, New York City (*Ira M. Feinberg* and *Andowah Newton* of counsel), and *Hogan & Hartson LLP* (*Lorane F. Hebert*, of the District of Columbia bar, admitted pro hac vice, of counsel), for appellant. I. The history of the champerty

statute and relevant precedent demonstrate that the scope of the statute is extremely narrow. (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Coopers & Lybrand v Levitt*, 52 AD2d 493; *Ehrlich v Rebco Ins. Exch.*, 225 AD2d 75; *In re Primus*, 436 US 412; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *Moses v McDivitt*, 88 NY 62; *Zindle, Inc. v Friedman's Express, Inc.*, 258 App Div 636; *Hospital Credit Exch., Inc. v Shapiro*, 186 Misc 658; *Knobel v Estate of Eugene A. Hoffman, Inc.*, 105 Misc 2d 333.) II. To constitute champerty, an assignment of a claim must be taken for the "sole" purpose of enabling the assignee to bring suit. (*Moses v McDivitt*, 88 NY 62; *Sprung v Jaffe*, 3 NY2d 539; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *People v Francis*, 45 AD2d 431, 38 NY2d 150; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Limpar Realty Corp. v Uswiss Realty Holding*, 112 AD2d 834; *Cavendish Traders, Ltd. v Nice Skate Shoes, Ltd.*, 117 F Supp 2d 394.) III. As a matter of law, it is not champertous for an assignee to take an assignment of a claim to protect or vindicate its own legitimate preexisting interests. (*Moses v McDivitt*, 88 NY 62; *Promenade v Schindler El. Corp.*, 39 AD3d 221; *Williams Paving Co. v United States Fid. & Guar. Co.*, 67 AD2d 827; *American Express Co. v Control Data Corp.*, 50 AD2d 749; *American Bag & Metal Co. v Alcan Aluminum Corp.*, 115 AD2d 958; *Coopers & Lybrand v Levitt*, 52 AD2d 493; *Bellarno Intl. v Irving Trust Co.*, 165 AD2d 809; *Limpar Realty Corp. v Uswiss Realty Holding*, 112 AD2d 834; *Red Tulip, LLC v Neiva*, 44 AD3d 204; *Suraleb, Inc. v International Trade Club, Inc.*, 13 AD3d 612.) IV. An assignee who takes an assignment of a claim to seek compensation for an alleged wrong does not commit champerty merely because the assignee potentially stands to recover more than the amount needed to make the assignee "whole." (*Promenade v Schindler El. Corp.*, 39 AD3d 221; *JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Deutsche Bank Trust Co. of Ams. v Tri-Links Inv. Trust*, 43 AD3d 56; *Coopers & Lybrand v Levitt*, 52 AD2d 493; *Moses v McDivitt*, 88 NY 62; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Wightman v Catlin*, 113 App Div 24; *M. W. Zack Metal Co. v International Nav. Corp. of Monrovia*, 112 AD2d 865; *American Bag & Metal Co. v Alcan Aluminum Corp.*, 115 AD2d 958.) V. Important public policy considerations support a narrow construction of the champerty statute. (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Hooper*

Assoc. v AGS Computers, 74 NY2d 487; *Perchinsky v State of New York*, 232 AD2d 34; *DiPerna v American Broadcasting Cos.*, 200 AD2d 267; *Estate of Nasser v Port Auth. of N.Y. & N.J.*, 155 AD2d 250; *M. W. Zack Metal Co. v International Nav. Corp. of Monrovia*, 112 AD2d 865; *Promenade v Schindler El. Corp.*, 39 AD3d 221; *Coopers & Lybrand v Levitt*, 52 AD2d 493.)

Bryan Cave LLP (Alec W. Farr, of the District of Columbia bar, admitted pro hac vice, and Nikki A. Ott of counsel) and *Bryan Cave LLP*, New York City (Michael G. Biggers of counsel), for respondent. I. Judiciary Law § 489 (1), as correctly applied by the trial court, turns on a factual finding that the reason a corporation took an assignment of a claim was to bring a suit. (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781; *People v Tatta*, 196 AD2d 328; *Prego v City of New York*, 147 AD2d 165; *Moses v McDivitt*, 88 NY 62; *Sprung v Jaffe*, 3 NY2d 539; *Bennett v Supreme Enforcement Corp.*, 250 App Div 265, 275 NY 502; *American Rest. China Mfrs. Assn. v Corning Glass Works*, 24 Misc 2d 634.) II. The champerty statute has not been and should not be interpreted to add a requirement that a court must find “sole intent.” (*Country-Wide Ins. Co. v National R.R. Passenger Corp.*, 6 NY3d 172; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *People v Lopez*, 73 NY2d 214; *Foley v State of New York*, 294 NY 275; *Monahan v Weichert*, 82 AD2d 102; *Moses v McDivitt*, 88 NY 62; *Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *Ehrlich v Rebco Ins. Exch.*, 225 AD2d 75; *Sprung v Jaffe*, 3 NY2d 539.) III. The existence of losses on a debt instrument in which a corporate assignee of a claim holds an interest does not preclude a finding of champerty. (*Moses v McDivitt*, 88 NY 62; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *Promenade v Schindler El. Corp.*, 39 AD3d 221; *Limpar Realty Corp. v Uswiss Realty Holding*, 112 AD2d 834; *Red Tulip, LLC v Neiva*, 44 AD3d 204; *American Express Co. v Control Data Corp.*, 50 AD2d 749; *American Bag & Metal Co. v Alcan Aluminum Corp.*, 115 AD2d 958; *Coopers & Lybrand v Levitt*, 52 AD2d 493; *Bellarno Intl. v Irving Trust Co.*, 165 AD2d 809; *Williams Paving Co. v United States Fid. & Guar. Co.*, 67 AD2d 827.) IV. Facts showing that a party has acquired an assignment to collect more damages through a new litigation than it had demanded to settle with the assignor, or that the assignment includes indemnification rights for attorneys’ fees and costs, support a factual finding of champerty, but do not compel such

a finding as a matter of law. V. Applying Judiciary Law § 489 (1) to the narrow set of facts presented here does not contravene New York public policy. (*Matter of Steinberg v Steinberg*, 18 NY2d 492; *People v Gray*, 84 NY2d 709; *Village of Brockport v Calandra*, 191 Misc 2d 718; *Ruxton Towers v Floratos*, 23 Misc 3d 22; *Town of Smithtown v Haynes*, 278 AD2d 312; *Matter of Highland Care Ctr. v DeBuono*, 267 AD2d 668; *Village of Upper Nyack v Christian & Missionary Alliance*, 143 Misc 2d 414; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Elliott Assoc., L.P. v Republic of Peru*, 12 F Supp 2d 328.)

Richards Kibbe & Orbe LLP, Washington, D.C. (*Lucinda O. McConathy* of counsel), and *Richards Kibbe & Orbe LLP*, New York City (*Brian S. Fraser* of counsel), for Loan Syndications & Trading Association, Inc., amicus curiae. I. An assignment of a claim as part of a bundle of rights constituting a loan is not champerty. (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Ehrlich v Rebco Ins. Exch.*, 225 AD2d 75; *In re Primus*, 436 US 412; *Moses v McDivitt*, 88 NY 62; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325; *Red Tulip, LLC v Neiva*, 44 AD3d 204; *Hill Intl. v Town of Orangetown*, 290 AD2d 416; *Richbell Info. Servs. v Jupiter Partners*, 280 AD2d 208; *Limpar Realty Corp. v Uswiss Realty Holding*, 112 AD2d 834.) II. The three certified questions should be answered to permit the assignment of claims. III. Sound policy supports the assignability of claims related to syndicated corporate loans.

Northern Manhattan Improvement Corporation Legal Services, New York City (*Kenneth Rosenfeld*, *James Baker* and *Matthew J. Chachère* of counsel), *Cardozo Bet Tzedek Legal Services* (*Leslie Salzman* of counsel), *CAMBA Legal Services, Inc.*, Brooklyn (*Kathleen A. Masters* and *Matthew Chedler* of counsel), *Empire Justice Center*, Rochester (*Bryan D. Hetherington* of counsel), and *Urban Justice Center*, New York City (*Harvey Epstein* of counsel), for Northern Manhattan Improvement Corporation and others, amici curiae. I. Consumer debt litigation abuses are rampant in New York. (*Securities & Exch. Commn. v Merchant Capital, LLC*, 483 F3d 747; *PRA III, LLC v Gonzalez*, 54 AD3d 917.) III. Judiciary Law § 489 applies—and only applies—to purchases of claims of under \$500,000 by entities with no preexisting interest therein for the primary purpose of collecting through actual or threatened litigation. (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726; *Irwin v Curie*, 171 NY

409; *Sedgwick v Stanton*, 14 NY 289; *Fowler v Callan*, 102 NY 395; *Sprung v Jaffe*, 3 NY2d 539; *Elliott Assoc., L.P. v Banco de la Nacion*, 194 F3d 363; *Bennett v Supreme Enforcement Corp.*, 250 App Div 265, 275 NY 502; *Matter of Clark*, 184 NY 222; *Moses v McDivitt*, 88 NY 62; *Coughlin v New York Cent. & Hudson Riv. R.R. Co.*, 71 NY 443.)

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit has certified to us questions relating to Judiciary Law § 489, New York's champerty statute. We hold that a corporation or association that takes an assignment of a claim does not violate Judiciary Law § 489 (1) if its purpose is to collect damages, by means of a lawsuit, for losses on a debt instrument in which it holds a preexisting proprietary interest.

I.

Love Funding Corporation (Love Funding), a commercial mortgage-banking corporation, entered into a Mortgage Loan Purchase Agreement (the Love MLPA) with Paine Webber Real Estate Securities Inc. (Paine Webber) on April 23, 1999. Under the Love MLPA, Love Funding originated mortgage loans, evaluating the borrowers and performing due diligence, while Paine Webber provided financing and was ultimately assigned the loans for securitization. Love Funding received a fee of 1% of the principal amount of each loan.

In the Love MLPA, Love Funding represented that the loans were not in default. Love Funding further promised that in the event it breached any representation or warranty, and upon prompt written notice, it would cure the breach or, at Paine Webber's option, repurchase the affected mortgage loan. Significantly, in section 9.14 (a) of the Love MLPA, Love Funding agreed to indemnify Paine Webber "from and against all demands, claims or asserted claims, liabilities or asserted liabilities, costs and expenses, including reasonable attorneys' fees, incurred . . . in any way arising from or related to any breach."

In July 1999, Love Funding made a \$6.4 million loan to Cyrus II Partnership, secured by a mortgage on an apartment complex, the Arlington Apartments, in Harvey, Louisiana (Arlington Loan). The loan was assigned to Paine Webber under the Love MLPA. As consideration, Love Funding received its 1% fee.

Paine Webber sold the Arlington Loan to Merrill Lynch Mortgage Investors, Inc. on November 1, 1999, as part of a larger securities transaction involving numerous mortgage loans. Under the governing Mortgage Loan Purchase Agreement (the Merrill Lynch MLPA), Paine Webber made representations and warranties concerning the loans, including ones substantively similar to those made by Love Funding in the Love MLPA.

The loans were then securitized, under a pooling and servicing agreement in which certificates secured by the underlying mortgages were issued, and a trust created for the holders of those certificates, who would receive interest payments generated by the loans. The trust was denominated the Trust for the Certificate Holders of the Merrill Lynch Mortgage Investors, Inc. Mortgage Pass-Through Certificates, Series 1999-C1 (the Trust). ORIX Capital Markets, LLC was named Master Servicer and Special Servicer.

The Trust declared the Arlington Loan to be in default in March 2002, for reasons not directly pertinent to this case, and it commenced a mortgage foreclosure action in Louisiana state court.¹ It was discovered that Cyrus's principals had committed fraud in obtaining the Arlington Loan. The Trust informed Paine Webber's successor in interest, UBS.² In the fall of 2002, the Trust commenced litigation against UBS in federal court and in state courts in Texas and New York, related to over 30 loans that Paine Webber had sold. With respect to the Arlington Loan, the Trust's theory was that Cyrus's fraud had put the loan in default from the outset, so that Paine Webber (and, hence, UBS) had necessarily breached its representation in the Merrill Lynch MLPA. By all accounts, the litigation was intense and expensive, with the Trust and UBS purportedly spending some \$7 million and over \$30 million respectively.

On September 13, 2004, the Trust and UBS settled, with UBS agreeing to pay the Trust \$19.375 million with regard to various loans deposited in the Trust. With respect to the Arlington

1. In October 2004, the Arlington Apartments complex was sold for some \$6.5 million, from which the Trust received about \$5.9 million. That December, the Trust was awarded approximately \$10.9 million in damages against Cyrus and its principals, though it is not clear how much of that amount is collectible.

2. In November 2000, following a merger of their parent companies, UBS succeeded in interest to Paine Webber's rights and obligations under the Love MLPA.

Loan, however, UBS assigned to the Trust, as consideration for its release, all its rights under the Love MLPA: “each and every of the representations and warranties, and related remedies for breach thereof . . . including but not limited to the remedies set out in section 9.14” of the Love MLPA.³

In November 2004, a representative of the Trust approached Love Funding’s principals, by telephone and in writing, demanding that Love Funding either cure its breaches of representations and warranties affecting the Arlington Loan or repurchase the loan. According to Love Funding, the Trust representative demanded \$10 million to settle. At the same time, the Trust commenced an action against Love Funding in Supreme Court, New York County, alleging that it had breached its representations and warranties that the Arlington Loan was not in default at the time of closing.

The Trust’s action was removed to federal court. Both the Trust and Love Funding moved for summary judgment. On October 11, 2005, the United States District Court for the Southern District of New York granted the Trust’s motion for summary judgment to the extent of holding that Love Funding breached the Love MLPA. Although denying Love Funding’s cross motion for summary judgment, the District Court allowed Love Funding to amend its answer to assert a champerty defense.

In a February 27, 2007 decision, the District Court held that the Trust had “accepted the assignment of the Love MLPA with the primary purpose of bringing a lawsuit against Love Funding. Because the assignment is void for champerty, the Trust is not entitled to any award of damages” (499 F Supp 2d 314, 325 [2007]). The District Court noted that the assignment was the only consideration the Trust took in exchange for releasing UBS with respect to the Arlington Loan, and observed that the Trust had urged the court to find that Love Funding must indemnify the Trust for some of the legal fees UBS incurred defending itself against the Trust. Dismissing the Trust’s efforts at settlement as a sham, the District Court concluded that the Trust’s primary purpose was to secure a means of suing Love Funding, and dismissed its action.

On appeal, the Trust argued principally that a finding that it had accepted the assignment with the intention of suing Love

3. The agreement memorializing the “ASSIGNMENT OF CLAIMS AND CAUSES OF ACTION” was signed by the parties on November 18, 2004, but by its terms had become effective on September 13, 2004.

Funding is insufficient as a matter of law for champerty. The United States Court of Appeals for the Second Circuit decided that resolution of the Trust's appeal depended on significant and unsettled questions of New York law. The Second Circuit certified to us, and we accepted, the following questions:

"1. Is it sufficient as a matter of law to find that a party accepted a challenged assignment with the 'primary' intent proscribed by New York Judiciary Law § 489 (1), or must there be a finding of 'sole' intent?

"2. As a matter of law, does a party commit champerty when it 'buys a lawsuit' that it could not otherwise have pursued if its purpose is thereby to collect damages for losses on a debt instrument in which it holds a pre-existing proprietary interest?

"3. (a) As a matter of law, does a party commit champerty when, as the holder of a defaulted debt obligation, it acquires the right to pursue a lawsuit against a third party in order to collect more damages through that litigation than it had demanded in settlement from the assignor?

"(b) Is the answer to question 3 (a) affected by the fact that the challenged assignment enabled the assignee to exercise the assignor's indemnification rights for reasonable costs and attorneys' fees?" (556 F3d 100, 114 [2d Cir 2009].)

We answer the second certified question, and both parts of the third certified question, in the negative. Because—as the Second Circuit itself hinted—"the critical issue to assessing the sufficiency of the champerty finding is not the denomination of the Trust's intent as 'primary' or 'sole,' but the purpose behind its acquisition of rights that allowed it to sue Love Funding" (556 F3d at 111), we find it unnecessary to answer the first certified question.

II.

The doctrine of champerty developed "to prevent or curtail the commercialization of or trading in litigation" (*Bluebird Partners v First Fid. Bank*, 94 NY2d 726, 729 [2000]). The doctrine, which has ancient and medieval roots (see *Bluebird Partners*, 94 NY2d at 733-734; Martin, *Syndicated Lawsuits: Illegal Champerty or New Business Opportunity?*, 30 Am Bus LJ 485

[1992]; Radin, *Maintenance by Champerty*, 24 Cal L Rev 48 [1936]), is currently codified in Judiciary Law §§ 488-489, which derive from sections 274 and 275 of the former Penal Law. The latter section applied to all corporations and associations a proscription that had long governed legal practitioners (*see* Act of June 9, 1939, L 1939, ch 822, § 13, at 2058). Under Judiciary Law § 489 (1), a corporation or association may not “solicit, buy or take an assignment of, or be in any manner interested in buying or taking an assignment of a bond, promissory note, bill of exchange, book debt, or other thing in action, or any claim or demand, with the intent and for the purpose of bringing an action or proceeding thereon.”⁴ The champerty statutes are directed at preventing the “strife, discord and harassment” that would be likely to ensue “from permitting attorneys and corporations to purchase claims for the purpose of bringing actions thereon” (*Fairchild Hiller Corp. v McDonnell Douglas Corp.*, 28 NY2d 325, 329 [1971]).

The term “champerty” referred in the Middle Ages to any “situation where someone bought an interest in a claim under litigation, agreeing to bear the expenses but also to share the benefits if the suit succeeded” (*Bluebird Partners*, 94 NY2d at 734). In New York, however, the prohibition of champerty has always been “limited in scope and largely directed toward preventing attorneys from filing suit merely as a vehicle for obtaining costs” (*id.*).⁵ Our earliest cases and those of the Court of Chancery clearly demonstrate this narrow scope.

In *Baldwin v Latson* (2 Barb Ch 306 [1847]), the Court of Chancery explained that the purpose of New York’s champerty statute “was to prevent attorneys and solicitors from purchasing debts, or other things in action, for the purpose of obtaining costs by a prosecution thereof, and [it] was never intended to prevent the purchase for the honest purpose of protecting some other important right of the assignee” (2 Barb Ch at 308). In *Moses v McDivitt* (88 NY 62 [1882]), we endorsed the Chancery Court’s analysis, repeating its distinction between acquiring a thing in action in order to obtain costs and acquiring it in order to protect an independent right of the assignee (*see* 88 NY at 65). In *Moses*, plaintiff, an attorney, bought a bond and mortgage

4. Judiciary Law § 488 (1) applies a similar proscription to attorneys and counselors.

5. Payment of attorneys by fees that are contingent upon successful litigation and derived from its proceeds is expressly permitted in the champerty statute (Judiciary Law § 488 [2] [d]; *see also* 22 NYCRR 603.7).

from defendant in order to coerce the defendant, as a condition of extending his time of payment, to assign to plaintiff certain stock in a company.

“This purpose, whether honest or reprehensible, was not within the prohibition of the statute. . . . The real question upon which the case turned was, whether the main and primary purpose of the purchase was to bring a suit and make costs, or whether the intention to sue was only secondary and contingent, and the suit was to be resorted to only for the protection of the rights of the plaintiff, in case the primary purpose of the purchase should be frustrated.” (88 NY at 67-68.)

We have also held that the champerty statute is violated by an attorney “only if the primary purpose of the purchase or taking by assignment of the thing in action is to enable the attorney to commence a suit thereon” (*Sprung v Jaffe*, 3 NY2d 539, 544 [1957]). In describing champerty in terms of an acquisition made with the purpose of bringing a lawsuit (*see also Bluebird Partners*, 94 NY2d at 736), we intended to convey the difference between one who acquires a right in order to make money from litigating it and one who acquires a right in order to enforce it.

New York cases agree that if a party acquires a debt instrument for the purpose of enforcing it, that is not champerty simply because the party intends to do so by litigation. The inquiry into purpose is a factual one.⁶ In *Promenade v Schindler El. Corp.* (39 AD3d 221 [1st Dept 2007]), for example, The Glick Organization, a general contractor, sued by The Promenade for reasons not relevant here, commenced a third-party action for contractual indemnification against some of its subcontractors, including De-Con Mechanical Corp. Promenade and Glick settled. The settlement agreement provided not only that Glick pay Promenade \$1.8 million but also that Glick assign Promenade its claim for contractual indemnification against De-Con. The Appellate Division rejected De-Con’s argument that the assignment was void for champerty. De-Con’s contention was belied by the fact that Promenade had accepted the assigned claim for the purpose of pursuing the full value of its settlement of contractual claims, not for the purpose of “bringing a claim

6. That is not to say, however, that the issue may not be amenable to summary judgment in an appropriate case.

against De-Con either as an investment or to harass or injure it” (39 AD3d at 223).

Similarly, in *Williams Paving Co. v United States Fid. & Guar. Co.* (67 AD2d 827 [4th Dept 1979]), plaintiff, a corporation that owned a machine damaged by the Joneses, obtained judgment of \$27,008.50. Defendant insured the Joneses to a maximum of \$5,000. It was alleged that plaintiff had offered to settle the claim within the policy limits and defendant, acting in bad faith, had refused to do so. Plaintiff’s insurer became subrogated to plaintiff’s claim against the Joneses, and plaintiff sued as nominee of its insurer and assignee of the Joneses, asserting defendant’s bad faith. The Appellate Division held that plaintiff’s “primary purpose was to protect its own interest in attempting to collect its judgment against the Joneses” and that, in taking the assignment from the Joneses, plaintiff, rather than acting with litigious purpose, had a relationship with the Joneses that gave it a substantial, legitimate interest in the transactions involved in the suit (67 AD2d at 828).

Many other New York cases can be cited for the same principle (see e.g. *Red Tulip, LLC v Neiva*, 44 AD3d 204, 213-214 [1st Dept 2007]; *Hill Intl. v Town of Orangetown*, 290 AD2d 416, 417 [2d Dept 2002]; *G.G.F. Dev. Corp. v Andreadis*, 251 AD2d 624 [2d Dept 1998]; *Small Bus. Admin. v Mills*, 203 AD2d 654, 655 [3d Dept 1994]; *American Bag & Metal Co. v Alcan Aluminum Corp.*, 115 AD2d 958, 959-960 [4th Dept 1985]; *Limpar Realty Corp. v Uswiss Realty Holding*, 112 AD2d 834, 836-837 [1st Dept 1985]; *1015 Gerard Realty Corp. v A & S Improvements Corp.*, 91 AD2d 927, 928 [1st Dept 1983]; *Prudential Oil Corp. v Phillips Petroleum Co.*, 69 AD2d 763 [1st Dept 1979]; *American Express Co. v Control Data Corp.*, 50 AD2d 749, 750 [1st Dept 1975]; *Concord Landscapers v Pincus*, 41 AD2d 759 [2d Dept 1973]). In short, the champerty statute does not apply when the purpose of an assignment is the collection of a legitimate claim. What the statute prohibits, as the Appellate Division stated over a century ago, “is the purchase of claims with the ‘intent and for the purpose of bringing an action’ that [the purchaser] may involve parties in costs and annoyance, where such claims would not be prosecuted if not stirred up . . . in [an] effort to secure costs” (*Wightman v Catlin*, 113 App Div 24, 28 [2d Dept 1906]).

[1] In the present case, as the Second Circuit explains, the Trust, as the holder of the Arlington Loan and the party that would directly suffer the damages of any default on that loan,

had a preexisting proprietary interest in the loan (556 F3d at 111). If, as a matter of fact, the Trust's purpose in taking assignment of UBS's rights under the Love MLPA was to enforce its rights, then, as a matter of law, given that the Trust had a preexisting proprietary interest in the loan, it did not violate Judiciary Law § 489 (1). Accordingly, we answer the second certified question in the negative.

III.

The Second Circuit also asks us to clarify the application of the champerty doctrine to certain facts of the present case. The District Court found that the Trust's intent in suing Love Funding was to recover more in compensation for its losses on the Arlington Loan than it had demanded in settlement from UBS on the Arlington Loan. Moreover, the District Court noted that, in accepting the assignment, the Trust believed that Love Funding could be made to indemnify the Trust for a portion of the legal fees UBS incurred defending itself against the Trust.⁷ The District Court concluded that the Trust's intent in suing Love Funding was not only to be made whole on losses sustained from the Arlington Loan default, but also to profit from the past litigation, a purpose the District Court found consistent with champerty.

[2] Love Funding does not identify, and we are not aware of, any New York case holding that it is champerty to acquire, as part of a settlement, indemnification rights for reasonable costs and fees that were incurred in past legal actions. To acquire indemnification rights to the costs of past litigation is not to acquire a thing in action in order to obtain costs from prosecution thereon.⁸ Similarly, no New York case has been brought to our attention that stands for the proposition that it is champerty to settle a dispute by accepting a transfer of rights that has the

7. The Trust also seeks the attorneys' fees it paid and costs it expended pursuing Love Funding, as well as its fees and costs related to the Arlington Apartments foreclosure and its lawsuit against Cyrus and its principals.

8. We express no view as to whether the Love MLPA obligates Love Funding to indemnify the Trust for legal fees UBS incurred defending itself against the Trust, prior to the assignment. Although UBS purportedly spent over \$30 million defending itself against the Trust, counsel for the Trust stated at oral argument before this Court that the UBS legal fees sought by the Trust amount to some \$300,000, for representation relating to the Arlington Loan. We have not been asked whether these are "reasonable attorneys' fees" arising from or related to Love Funding's breach, within the meaning of the Love MLPA.

potential for a larger recovery than one had demanded as a cash settlement. Nor would it be possible in many cases to assess whether rights are likely to yield a larger recovery than earlier demanded. Consequently we answer both parts of the third certified question in the negative.

Accordingly, the first certified question should not be answered as unnecessary, the second certified question should be answered in the negative, the first part of the third certified question should be answered in the negative, and the second part of the third certified question should be answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[918 NE2d 124, 889 NYS2d 534]

**ST. LAWRENCE FACTORY STORES, Appellant, v OGDENSBURG
BRIDGE AND PORT AUTHORITY, Respondent.**

Argued September 15, 2009; decided October 20, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 20, 2008. The Appellate Division affirmed a judgment of the Supreme Court, St. Lawrence County (Kathleen M. Rogers, J.), entered after a nonjury trial, which had found that defendant breached the parties' contract in bad faith and awarded plaintiff no damages. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered February 23, 2006 (26 AD3d 700). The Appellate Division had affirmed an order of that Supreme Court which granted defendant's motion for summary judgment as to plaintiff's claim for lost profits and otherwise denied the motion.

St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth., 49 AD3d 1069, modified.

HEADNOTES**Damages — Lost Profits**

1. In an action alleging breach of a contract to purchase land on which plaintiff intended to build a shopping center, plaintiff's claim to recover lost profits (money it claimed it would have made if the shopping center had been built) was properly dismissed as speculative.

Vendor and Purchaser — Contract for Sale of Real Property — Benefit of Bargain Damages

2. In an action alleging breach of a contract to purchase land on which plaintiff intended to build a shopping center, plaintiff was not entitled to recover damages for the "benefit of its bargain" (the alleged difference between the agreed-upon price of the property and its market value). The record supported the findings of the lower courts that the market value of the property at the time of the aborted closing did not exceed the contract price.

Vendor and Purchaser — Contract for Sale of Real Property — Reliance Damages

3. In an action alleging breach of a contract to purchase land on which plaintiff intended to build a shopping center, the dismissal before trial of plaintiff's claim for reliance damages (money allegedly spent in preparing for performance including, among other things, efforts to arrange financing and obtain tenants for the shopping center) was error. As an alternative to expectation-based damages (which would include lost profits and benefit of bargain), a plaintiff may recover damages based on his reliance interest,

including expenditures made in preparation for performance or in performance, less any loss that the party in breach can prove with reasonable certainty the injured party would have suffered had the contract been performed. Accordingly, plaintiff was entitled to recover the expenses, if any, that it reasonably incurred in preparing to perform the contract.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 47, 48, 51, 64, 442–445, 448, 449;
AM JUR 2d, Vendor and Purchaser §§ 553, 561, 564.
CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 14.8–
14.10, 14.20.
NY JUR 2d, Damages §§ 33, 40–42, 108–111; NY JUR 2d,
Real Property Sales and Exchanges §§ 222, 225–227.
WILLISTON ON CONTRACTS (4th ed) §§ 64:2, 64:10, 64:21.

ANNOTATION REFERENCE

Recovery of anticipated lost profits of new business: post–
1965 cases. 55 ALR4th 507.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: breach /3 contract & lost /2 profit /4 speculative

POINTS OF COUNSEL

Anderson & Buran PC, Burlington, Vermont (*David C. Buran* of counsel), for appellant. I. Plaintiff should have been allowed to prove and recover its reliance damages: plaintiff's expenses were incurred in reliance upon the contract, they are ascertainable, and they arose naturally from defendant's breach in the ordinary course of things. (*Friedland v Myers*, 139 NY 432; *Freund v Washington Sq. Press*, 34 NY2d 379; *Kenford Co. v County of Erie*, 73 NY2d 312.) II. The Supreme Court wrongly considered lost profits and reliance damages together, under the same analysis. (*Kenford Co. v County of Erie*, 108 AD2d 132, 67 NY2d 257, 73 NY2d 312; *Bernstein v Meech*, 130 NY 354; *Freund v Washington Sq. Press*, 34 NY2d 379; *American Harley Corp. v Irvin Indus.*, 27 NY2d 168.) III. The Third Department wrongly held that plaintiff could not recover reliance damages because plaintiff had no contractual obligation to commence development of the property or incur the costs prior to the closing. (*Goodstein Constr. Corp. v City of New York*, 67 NY2d 990; *Friedland v Myers*, 139 NY 432; *Kenford Co. v County of Erie*, 108 AD2d 132, 67 NY2d 257, 73 NY2d 312; *Bernstein v Meech*, 130

NY 354; *Freund v Washington Sq. Press*, 34 NY2d 379; *Clifton Country Rd. Assoc. v Vinciguerra*, 252 AD2d 792; *Camperlino & Fatti Bldrs. v Dimovich Constr. Corp.*, 198 AD2d 803, 83 NY2d 906; *Clifford R. Gray, Inc. v LeChase Constr. Servs.*, 51 AD3d 1169; *Farash v Sykes Datatronics*, 59 NY2d 500.) IV. Defendant wrongly argues that reliance damages are never recoverable from a vendor who breaches a contract for the sale of real property, even where vendor's breach is in bad faith. (*Pumpelly v Phelps*, 40 NY 59; *Mokar Props. Corp. v Hall*, 6 AD2d 536; *Kenford Co. v County of Erie*, 67 NY2d 257; *BGW Dev. Corp. v Mount Kisco Lodge No. 1552 of Benevolent & Protective Order of Elks of U.S. of Am.*, 247 AD2d 565; *Camperlino & Fatti Bldrs. v Dimovich Constr. Corp.*, 198 AD2d 803, 83 NY2d 906.) V. The long-settled law of this state is that pre-closing costs incurred improving property are always recoverable if defendant's breach was in bad faith. (*Walton v Meeks*, 120 NY 79; *Lelekakis v Kamamis*, 41 AD3d 662; *Friedland v Myers*, 139 NY 432.) VI. Reversing the decision of the Third Department is of critical importance to every commercial real property developer/builder throughout New York State. (*Goodstein Constr. Corp. v City of New York*, 67 NY2d 990.) VII. Plaintiff should have been allowed to submit proof of its lost profits; a third party's offer to purchase a one-third interest in the project for \$1.5 million would establish a "stable foundation" upon which lost profits could be estimated with reasonable certainty. (*Kenford Co. v County of Erie*, 67 NY2d 257; *Freund v Washington Sq. Press*, 34 NY2d 379; *Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.*, 487 F3d 89.) VIII. Plaintiff should have been awarded its benefit of the bargain damages. (*Story Parchment Co. v Paterson Parchment Paper Co.*, 282 US 555; *Wakeman v Wheeler & Wilson Mfg. Co.*, 101 NY 205; *Kenford Co. v County of Erie*, 108 AD2d 132; *Tractebel Energy Mktg., Inc. v AEP Power Mktg., Inc.*, 487 F3d 89; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333; *Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99.)

Harter Secrest & Emery LLP, Rochester (A. Paul Britton of counsel), for respondent. I. The lower court properly dismissed plaintiff's claim for lost profits. (*Kenford Co. v County of Erie*, 67 NY2d 257, 73 NY2d 312; *Greasy Spoon v Jefferson Towers*, 75 NY2d 792; *Ashland Mgt. v Janien*, 82 NY2d 395; *AMCO Intl. v Long Is. R.R. Co.*, 302 AD2d 338; *Zink v Mark Goodson Prods.*, 261 AD2d 105; *Schonfeld v Hilliard*, 218 F3d 164; *Awards.com v Kinko's, Inc.*, 42 AD3d 178; *Route 7 Mobil v Machnick Bldrs.*, 296 AD2d 809; *Goodstein Constr. Corp. v City of New York*, 80

NY2d 366; *Trademark Research Corp. v Maxwell Online, Inc.*, 995 F2d 326.) II. Plaintiff was properly precluded from seeking to recover “reliance damages.” (*Northridge v Moore*, 118 NY 419; *Mokar Props. Corp. v Hall*, 6 AD2d 536; *Bulkley v Rouken Glen, Inc.*, 222 App Div 570, 248 NY 647; *Camperlino & Fatti Bldrs. v Dimovich Constr. Corp.*, 198 AD2d 803; *BSL Dev. Corp. v Broad Cove*, 178 AD2d 394; *Lotito v Mazzeo*, 132 AD2d 650; *Bernstein v Meech*, 130 NY 354; *Freund v Washington Sq. Press*, 34 NY2d 379; *Goodstein Constr. Corp. v City of New York*, 67 NY2d 990; *American Harley Corp. v Irvin Indus.*, 27 NY2d 168, 401 US 976.) III. The issue of benefit-of-the-bargain damages has conclusively been determined as a factual matter by the trial court. (*Heary Bros. Lightning Protection Co., Inc. v Inter-tek Testing Servs., N.A., Inc.*, 4 NY3d 615; *Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *1014 Fifth Ave. Realty Corp. v Manhattan Realty Co.*, 67 NY2d 718; *Camperlino & Fatti Bldrs. v Dimovich Constr. Corp.*, 198 AD2d 803.)

OPINION OF THE COURT

SMITH, J.

In this breach of contract case, we hold that plaintiff is entitled to recover the expenses, if any, that it reasonably incurred in preparing to perform the contract.

Defendant agreed to sell, and plaintiff to buy, approximately 12 acres of land, on which plaintiff intended to build a shopping center. Supreme Court found that defendant breached the contract by failing to close, and defendant does not now challenge that finding.

Plaintiff sought damages in three categories: lost profits (money it claims it would have made if the shopping center had been built); the “benefit of its bargain” (the alleged difference between the agreed-upon price of the property and its market value); and reliance damages (money allegedly spent in preparing for performance including, among other things, efforts to arrange financing and obtain tenants for the shopping center). Supreme Court dismissed the claims for lost profits and reliance damages before trial, and the Appellate Division affirmed (*St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.*, 26 AD3d 700 [3d Dept 2006]). Plaintiff’s benefit of bargain claim was rejected at trial, and the Appellate Division again affirmed (*St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.*, 49 AD3d 1069 [3d Dept 2008]). We granted leave to appeal from the Appellate Division’s 2008 order, bringing up for review also its 2006 order (11 NY3d 712 [2009]).

[1, 2] As to the lost profits and benefit of bargain claims, we affirm the rulings below. The lost profits claim was speculative, and the record supports the findings of the lower courts that the market value of the property at the time of the aborted closing did not exceed the contract price.

[3] However, the dismissal before trial of plaintiff's claim for reliance damages was error. The Appellate Division held that, under "a contract for the sale of land requiring plaintiff to tender defendant the sale price upon closing," reliance damages are limited to "only those ordinarily incurred regarding such a contract, such as a title search, survey and attorney's closing fees" (*St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.*, 26 AD3d at 702). This is incorrect. In land transactions, as in other contracts, the rule is the one stated in Restatement (Second) of Contracts § 349: as an alternative to expectation-based damages (which would include lost profits and benefit of bargain), a plaintiff may recover "damages based on his reliance interest, including expenditures made in preparation for performance or in performance, less any loss that the party in breach can prove with reasonable certainty the injured party would have suffered had the contract been performed." The principle expressed in the Restatement has long been part of New York law (*Friedland v Myers*, 139 NY 432, 436-437 [1893]; *Bernstein v Meech*, 130 NY 354, 359 [1891]; see also *Freund v Washington Sq. Press*, 34 NY2d 379, 383 [1974] ["reliance losses suffered . . . in making necessary preparations to perform" would be recoverable "if foreseeable and ascertainable"]).

Accordingly, the order of the Appellate Division should be modified to reinstate plaintiff's claim for reliance damages, and as modified affirmed, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order modified, without costs, by remitting to Supreme Court, St. Lawrence County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[918 NE2d 913, 890 NYS2d 401]

IDT CORP. et al., Appellants, v TYCO GROUP, S.A.R.L., et al.,
Respondents.

Argued September 15, 2009; decided October 22, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 19, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles Edward Ramos, J.), insofar as it had granted plaintiffs' motion for partial summary judgment on the issue of liability and denied that portion of defendants' cross motion seeking summary judgment dismissing the complaint; (2) denied plaintiffs' motion for partial summary judgment; (3) granted that portion of defendants' cross motion seeking summary judgment dismissing the complaint; (4) severed defendants' counterclaims; and (5) remanded the matter to Supreme Court for further proceedings. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

IDT Corp. v Tyco Group, S.A.R.L., 54 AD3d 273, affirmed.

HEADNOTE

Compromise and Settlement — Settlement Agreement — Enforceability

Although a settlement agreement requiring defendant to provide plaintiff with an "indefeasible right of use" (IRU) of certain fiber optic capacity on a planned subsea cable system was valid, defendant's obligation to furnish capacity never became enforceable because agreed-upon conditions were not met. The settlement agreement contemplated the occurrence of numerous conditions, i.e., the negotiation and execution of four additional agreements, including the IRU. Inasmuch as the clear intent of the parties was that the IRU had to be executed before any handover of capacity, it could not be said that defendants breached the settlement agreement by merely proposing an IRU which allegedly contained terms inconsistent with the settlement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Compromise and Settlement §§ 9, 37.

NY JUR 2d, Compromise, Accord, and Release §§ 47, 49, 52,
53.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: settlement /2 agreement /s condition /p negotiat!
& breach!

POINTS OF COUNSEL

Patterson Belknap Webb & Tyler LLP, New York City (*Stephen P. Younger*, *Sarah E. Zgliniec* and *Gregory Scopino* of counsel), *Grayson & Kubli, P.C.*, McLean, Virginia, and *Kubli & Associates, P.C.*, Gaithersburg, Maryland, for appellants. I. The Appellate Division erred in holding that this binding settlement agreement was an unenforceable preliminary agreement. (*Brown v Cara*, 420 F3d 148; *Adjustrite Sys., Inc. v GAB Bus. Servs., Inc.*, 145 F3d 543; *Mellencamp v Riva Music, Ltd.*, 698 F Supp 1154; *Hallock v State of New York*, 64 NY2d 224; *Racanelli Constr. Co., Inc. v Tadco Constr. Corp.*, 50 AD3d 875; *Matter of Kanter*, 209 AD2d 365; *Medinol Ltd. v Guidant Corp.*, 500 F Supp 2d 345; *William E. McClain Realty v Rivers*, 144 AD2d 216; *Hotel Cameron, Inc. v Purcell*, 35 AD3d 153; *Elizabeth St. v 217 Elizabeth St. Corp.*, 276 AD2d 295.) II. The Appellate Division erred in failing to hold that Tyco had breached the settlement agreement. (*Matter of Brusco v Braun*, 84 NY2d 674; *State of New York v Gordon*, 102 AD2d 990, 64 NY2d 712; *Tesoro Petroleum Corp. v Holborn Oil Co.*, 108 AD2d 607; *Non-Linear Trading Co. v Braddis Assoc.*, 243 AD2d 107; *SPI Communications v WTZA-TV Assoc. Ltd. Partnership*, 229 AD2d 644; *CanWest Global Communications Corp. v Mirkaei Tikshoret Ltd.*, 9 Misc 3d 845; *Towers Charter & Mar. Corp. v Cadillac Ins. Co.*, 894 F2d 516; *Lusker v Tannen*, 90 AD2d 118; *Witherell v Lasky*, 286 App Div 533; *Computer Possibilities Unlimited v Mobil Oil Corp.*, 301 AD2d 70.) III. The Appellate Division erred in granting summary judgment to Tyco in the face of numerous genuine disputes of material fact.

Dewey Pegno & Kramarsky LLP, New York City (*Thomas E.L. Dewey* of counsel), for respondents. I. The settlement agreement is a Type II binding preliminary agreement. (*Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Goodstein Constr. Corp. v City of New York*, 80 NY2d 366; *180 Water St. Assoc. v Lehman Bros. Holdings*, 7 AD3d 316; *SNC, Ltd. v Kamine Eng'g & Mech. Contr. Co.*, 238 AD2d 146; *Teachers Ins. &*

Annuity Assn. of Am. v Tribune Co., 670 F Supp 491; *Fairbrook Leasing, Inc. v Mesaba Aviation, Inc.*, 519 F3d 421; *Adjustrite Sys., Inc. v GAB Bus. Servs., Inc.*, 145 F3d 543; *Richbell Info. Servs. v Jupiter Partners*, 309 AD2d 288; *River Glen Assoc. v Merrill Lynch Credit Corp.*, 295 AD2d 274; *Arcadian Phosphates, Inc. v Arcadian Corp.*, 884 F2d 69.) II. IDT's two liability theories are baseless. (*Brown v Cara*, 420 F3d 148; *Adjustrite Sys., Inc. v GAB Bus. Servs., Inc.*, 145 F3d 543; *Goodstein Constr. Corp. v City of New York*, 80 NY2d 366; *Tradax Energy, Inc. v Cedar Petrochemicals, Inc.*, 317 F Supp 2d 373; *Broad Props. v Wheels Inc.*, 43 AD2d 276; *Louis Dreyfus Energy Corp. v MG Ref. & Mktg., Inc.*, 2 NY3d 495.) III. IDT did not preserve the argument that the "definitive agreements" were not to be based on Tyco's standard agreements, and in any event that argument is meritless. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *Matter of Salino v Cimino*, 1 NY3d 166; *Parkin v Cornell Univ.*, 78 NY2d 523.) IV. The First Department correctly held that Tyco did not repudiate the settlement agreement. (*O'Connor v Sleasman*, 37 AD3d 954; *Didier v Macfadden Publs.*, 299 NY 49; *Canali U.S.A. v Solow Bldg. Co.*, 292 AD2d 170; *Rachmani Corp. v 9 E. 96th St. Apt. Corp.*, 211 AD2d 262; *Ga Nun v Palmer*, 202 NY 483; *O'Shanter Resources, Inc. v Niagara Mohawk Power Corp.*, 915 F Supp 560; *Created Gemstones v Union Carbide Corp.*, 47 NY2d 250; *American List Corp. v U.S. News & World Report*, 75 NY2d 38; *City of New York v New York Yankees*, 117 Misc 2d 332; *Tradax Energy, Inc. v Cedar Petrochemicals, Inc.*, 317 F Supp 2d 373.) V. The First Department correctly held that Tyco is entitled to summary judgment. (*805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447; *Horphag Research Ltd. v Henkel Corp.*, 115 F Supp 2d 455; *Fairbrook Leasing, Inc. v Mesaba Aviation, Inc.*, 519 F3d 421.)

OPINION OF THE COURT

JONES, J.

At issue in this breach of contract action is whether the settlement agreement made the negotiation and execution of further agreements a precondition to the parties' obligation. We hold that it did and affirm the order of the Appellate Division.

By written settlement agreement entered into October 10, 2000, IDT and Tyco agreed to drop their pending lawsuits. The pending lawsuits arose from a dispute between IDT and Tyco over a memorandum of understanding. IDT claimed that Tyco owed it \$30,000,000 after withdrawing from a joint venture to

construct a fiber optic communications network. Tyco also had a claim against IDT. All pending claims between the parties were discharged pursuant to the settlement agreement. The settlement agreement, among other things, also called for Tyco to provide IDT with an “indefeasible right of use” (IRU)¹ of certain fiber optic capacity free of charge for a 15-year period. The capacity was to be on Tyco’s TyCom Global Network (TGN), a subsea cable system planned to connect North America, Asia and Europe. At the time of the settlement, the TGN was not yet constructed. The agreement states that “[t]he IRU shall be documented pursuant to definitive agreements to be mutually agreed upon and, in any event, containing terms and conditions consistent with those described herein.” These further definitive agreements, and the IRU, were to be in writing and consistent with Tyco’s standard agreements with similarly situated customers. Tyco’s standard agreements were not in existence at the time the settlement was made.

On June 12, 2001, Tyco submitted the proposed IRU document to IDT. The submitted IRU had provisions that IDT claims were inconsistent with the settlement agreement, including one for decommissioning the network after five years, without IDT’s permission. In addition, IDT claimed there were other terms and conditions in the IRU which were inconsistent with the settlement agreement. The parties negotiated over the draft, however, and IDT eventually acquiesced in a decommissioning provision. Negotiations continued to be active, but flagged after a sharp drop in the market greatly reduced the value of the capacity Tyco had agreed to supply. The negotiations finally came to an end in March 2004.

On May 5, 2004 IDT brought suit against Tyco, alleging breach of the settlement agreement. After Tyco filed its answer and counterclaims, IDT moved for summary judgment on the issue of liability and on Tyco’s counterclaims. Tyco cross-moved for summary judgment on IDT’s breach of contract claim. Supreme Court granted IDT’s motion, finding Tyco liable, and dismissed Tyco’s counterclaims and cross motion. The Appellate Division reversed Supreme Court’s order by denying IDT’s summary judgment motion and granting Tyco’s cross motion to dismiss the complaint (54 AD3d 273 [2008]). The Court held that (1) the settlement agreement was not a fully enforceable

1. An IRU is a legal interest that confers a right of access to some or all of the capacity in a telecommunications cable system of another party.

contract when entered into, (2) the agreement was contingent on the negotiation of additional terms and (3) Tyco's proposal of purportedly inconsistent terms did not constitute a breach of contract. The Appellate Division granted IDT leave to appeal and certified the following question to this Court: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?" We now affirm the order of the Appellate Division and answer the certified question in the affirmative.²

IDT asserts that the settlement agreement was a fully enforceable contract which bound the parties. It further claims that the settlement agreement was breached on June 12, 2001 when Tyco submitted the IRU containing terms inconsistent with the terms of the settlement agreement. First, IDT says the IRU had a "decommissioning" provision which provided that Tyco could decommission the network after five years without IDT's permission even though IDT has an indefeasible right to use the network for 15 years free of charge. Second, it required IDT to pay for the premature shutdown of the network despite IDT's entitlement to free access, as well as free operations, administration and maintenance of the network. In addition, IDT argues that the IRU required IDT to waive its damage remedies in the event that Tyco breached the settlement agreement, even though IDT had dismissed its prior claim against Tyco as part of the settlement agreement.

At the outset, we agree with IDT that the parties entered into a valid settlement agreement. "[S]tipulations of settlement are judicially favored and may not be lightly set aside" (*Matter of Kanter*, 209 AD2d 365, 365 [1st Dept 1994] [citation omitted]). As we said in *Hallock v State of New York* (64 NY2d 224, 230 [1984]), "strict enforcement [of settlement agreements] not only serves the interest of efficient dispute resolution but is also essential to the management of court calendars and integrity of

2. The parties debate whether the settlement is a Type I or Type II preliminary agreement as used in federal line of cases, such as *Brown v Cara* (420 F3d 148 [2d Cir 2005]) and *Teachers Ins. & Annuity Assn. of Am. v Tribune Co.* (670 F Supp 491 [SD NY 1987]). While we do not disagree with the reasoning in federal cases, we do not find the rigid classifications into "Types" useful. In reaching its decision the Appellate Division constructed a new category—a "contingent Type I agreement" (54 AD3d at 275). However, we find that it is enough to ask in this case whether the agreement contemplated the negotiation of later agreements and if the consummation of those agreements was a precondition to a party's performance. In the instant matter, it clearly was.

the litigation process.” Although there was a valid settlement agreement in this case, Tyco’s obligation to furnish capacity never became enforceable because agreed-upon conditions were not met.

“[A] contract is to be construed in accordance with the parties’ intent, which is generally discerned from the four corners of the document itself. Consequently, ‘a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms’ ” (*MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640, 645 [2009], quoting *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Further,

“[a] condition precedent is ‘an act or event, other than a lapse of time, which, unless the condition is excused, must occur before a duty to perform a promise in the agreement arises’ (Calamari and Perillo, *Contracts* § 11-2, at 438 [3d ed]; see, *Restatement [Second] of Contracts* § 224; see also, *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 112-113). Most conditions precedent describe acts or events which must occur before a party is obliged to perform a promise made pursuant to an existing contract, a situation to be distinguished conceptually from a condition precedent to the formation or existence of the contract itself (see, *M.K. Metals v Container Recovery Corp.*, 645 F2d 583)” (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 690 [1995]).

Here, the settlement agreement contemplated the occurrence of numerous conditions, i.e., the negotiation and execution of four additional agreements, most importantly, the IRU. Regarding the IRU, the clear intent of the parties was that it had to be executed before any handover of capacity. As such, it cannot be said that defendants breached the settlement agreement by merely proposing an IRU which allegedly contained terms inconsistent with settlement.

Nevertheless, under the settlement agreement, the parties were required to negotiate the terms of the IRU and other agreements in good faith. Despite the fact that (1) the parties negotiated various open terms on and off for almost three years and (2) each side had a right to require conformance with Tyco’s standard agreements, except to the extent that any term conflicted with the settlement agreement—i.e., the parties had

an alternative mechanism for determining those terms if the negotiations were unsuccessful—the IRU was never executed. Finally, the record does not support a finding that Tyco breached any of its obligations.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[918 NE2d 126, 889 NYS2d 536]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
GUISEPPE D'ALESSANDRO, Appellant.

Argued September 17, 2009; decided October 27, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 19, 2008. The Appellate Division denied defendant's motion for reargument of an order of that court which had denied defendant's application for a writ of error coram nobis (272 AD2d 1002).

People v D'Alessandro, 2008 NY Slip Op 80474(U), reversed.

HEADNOTES

Appeal — Court of Appeals — Matters Reviewable

1. Notwithstanding that the Appellate Division deemed defendant's application for a writ of error coram nobis to be a motion to reargue an order of that court denying defendant's previous coram nobis application and denied reargument, defendant could appeal from the Appellate Division's denial of the motion. Although no appeal lies from an Appellate Division order denying reargument, the Court of Appeals was not bound by the Appellate Division's characterization of the order and had inherent authority to determine if defendant's petition in actuality sought coram nobis relief, the denial of which was reviewable by the Court of Appeals (*see* CPL 450.90 [1]). Defendant's application did not seek relief in the form of reargument. Defendant did not identify any points overlooked or misapprehended by the Appellate Division in its previous order denying his first petition for a writ of error coram nobis. Rather, defendant raised the novel argument that appellate counsel had been ineffective for failing to argue that the trial court improperly denied his motion to dismiss the indictment on new speedy trial grounds. Although defendant's first petition for a writ of error coram nobis also argued that appellate counsel was ineffective for failing to raise a speedy trial claim, it was based on an entirely different theory. Even if the Appellate Division had the discretion to decline to review the merits of subsequent coram nobis applications, it would have been an abuse of such discretion to refuse to entertain defendant's second application, which was brought by counsel nine years after the first application and raised different and much more substantial arguments than those previously raised.

Crimes — Vacatur of Judgment of Conviction — Erroneous Characterization of Application for Writ of Error Coram Nobis as Motion to Reargue — Remittal to Appellate Division Required

2. Because defendant's application for a writ of error coram nobis raised new arguments not raised in his previous application, the Appellate Division erred in characterizing the second application as a motion to reargue. Inasmuch as the Appellate Division did not pass on the merits of defendant's application, remittal to that court for a consideration of defendant's claims

was required. Defendant's claim that his appellate counsel had been ineffective for failing to raise a speedy trial argument on the appeal should first be heard and decided in the court where the allegedly deficient representation occurred.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 821; AM JUR 2d, Habeas Corpus and Postconviction Proceedings §§ 217, 218, 220, 228, 236.
 CARMODY-WAIT 2d, Habeas Corpus §§ 139:38, 139:125;
 CARMODY-WAIT 2d, Right to Counsel § 184:287;
 CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:159, 207:169–207:171.
 LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 18.3, 27.4, 27.5.
 MCKINNEY's, CPL 450.90.
 NY JUR 2d, Criminal Law: Procedure §§ 927, 3378, 3508, 3519, 3637, 3656.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding appellate and post-conviction remedies. 15 ALR4th 582.

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POINTS OF COUNSEL

Sullivan Gardner PC, New York City (*Brian Gardner* and *Christopher Tumulty* of counsel), for appellant. I. The Appellate Division, First Department, erred in labeling a successive error coram nobis application as reargument when the application was not brought as a reargument motion and it raised entirely new legal issues that were not addressed in the prior application. (*People v Turner*, 5 NY3d 476; *People v Garcia*, 19 AD3d 17; *People v Bachert*, 69 NY2d 593; *People v Correa*, 77 NY2d 930; *People v McKenna*, 76 NY2d 59; *People v Giles*, 73 NY2d 666; *People v Albrow*, 52 NY2d 619.) II. The Appellate Division, First Department, erred in denying appellant's application for a writ of error coram nobis where prior appellate counsel was ineffective for failing to raise a clear-cut and completely dispositive speedy trial argument. (*People*

v Ramchair, 8 NY3d 313; *People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *People v Caban*, 5 NY3d 143; *People v Stultz*, 2 NY3d 277; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Stirrup*, 91 NY2d 434; *People v Manning*, 52 AD3d 1295; *People v St. Louis*, 41 AD3d 897.)

Robert M. Morgenthau, District Attorney, New York City (*Hilary Hassler* and *Eleanor J. Ostrow* of counsel), for respondent. Defendant's appeal must be dismissed. The Appellate Division properly treated defendant's second coram nobis petition as a motion to reargue, and its order denying such motion is nonappealable. In any event, by any measure, the Appellate Division's ruling was an appropriate exercise of discretion and should be affirmed. (*People v De La Hoz*, 131 AD2d 154; *People v Bautista*, 7 NY3d 838; *People v De Jesus*, 54 NY2d 447; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Henry v Goldberg*, 40 NY2d 895; *Created Gemstones v Union Carbide Corp.*, 45 NY2d 959; *Matter of Williams & Geiger v Edelman, Berger, Peters & Koshel*, 39 NY2d 1034; *Matter of Cunningham v District Attorney, N.Y. County*, 37 NY2d 856; *People v Valinoti*, 26 NY2d 553; *People v Soto*, 80 NY2d 824.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Nearly 12 years after his conviction for kidnapping in the first degree and other related crimes was affirmed on direct appeal (*People v D'Alessandro*, 230 AD2d 656 [1st Dept 1996], *lv denied* 89 NY2d 863 [1996]), defendant, represented by counsel, petitioned the Appellate Division for a writ of error coram nobis on the ground that his appellate counsel had been ineffective for failing to raise a speedy trial argument on the appeal. The Appellate Division deemed the application a motion to reargue an order of that court denying a previous coram nobis application—brought by defendant pro se nine years earlier—and denied reargument.

[1] Initially, the People argue that defendant's appeal to this Court must be dismissed, as no appeal lies from an Appellate Division order denying reargument. While we acknowledge this limitation on our jurisdiction, it is not dispositive in this case, given our inherent authority to look beyond the Appellate Division's recital in the decretal clause of the order to determine if defendant's petition in actuality sought coram nobis relief, the denial of which is reviewable by this Court (*see* CPL 450.90

[1]). We have previously exercised this power—albeit in a different context—in *People v Giles* (73 NY2d 666, 669-670 [1989]), where we held that this Court is not bound by the Appellate Division’s characterization of the order, and must “*determine for itself*” whether a reviewable legal question exists (*id.* at 670 [citation omitted]). Any other interpretation would allow a mislabeled or wrongly denominated order of the Appellate Division to bar appellate review of “real issues of law,” thereby interfering with this Court’s “[unique] authority . . . to determine [its] jurisdictional range” (*id.*).

Exercising that authority here, the essential inquiry on this appeal thus becomes whether the Appellate Division properly characterized defendant’s petition as a motion to reargue. Pursuant to CPLR 2221 (d) (2), a motion to reargue must “be based upon matters of fact or law allegedly overlooked or misapprehended by the court in determining the prior motion.” It is well settled that a motion to reargue “is not an appropriate vehicle for raising new questions . . . which were not previously advanced” (*People v Bachert*, 69 NY2d 593, 597 [1987] [internal quotation marks and citation omitted]). Necessarily, where a new argument is presented on the motion, that argument could not have been “overlooked or misapprehended” by the Appellate Division in the first instance.

No reasonable view of defendant’s application supports the Appellate Division’s conclusion that it sought relief in the form of reargument. Defendant did not identify any points overlooked or misapprehended by the Appellate Division in its previous order denying his first petition for a writ of error coram nobis. Rather, defendant raised the novel argument that appellate counsel had been ineffective for failing to argue that the trial court improperly denied his motion to dismiss the indictment on speedy trial grounds in light of this Court’s decisions in *People v McKenna* (76 NY2d 59 [1990]) and *People v Correa* (77 NY2d 930 [1991]), both of which were decided before defendant’s trial and appeal. Specifically, defendant argued that, under this Court’s decision in *McKenna*, the period of delay during which the People failed to turn over the grand jury minutes in response to defendant’s motion to dismiss the indictment for legal insufficiency—a total of 196 days—should have been charged to the People. Further, in reliance on *Correa*, defendant argued that two specific time periods—11 days between the original indictment and the

arraignment thereon and 21 days between the superceding indictment and the subsequent arraignment—should have been charged to the People. Although defendant’s first petition for a writ of error coram nobis also argued that appellate counsel was ineffective for failing to raise a speedy trial claim, it was based on an entirely different theory, namely, that the time period between the defendant’s arrest and the return of the second indictment—a total of 357 days—should have been charged to the People. Significantly, in opposition to defendant’s second application, the People acknowledged that defendant “never raised the speedy trial claims advanced in his current petition” and that the first application contained “a challenge premised on a different theory than the one defendant advances now.”

Despite this apparent concession below, the People now argue that the Appellate Division properly denominated defendant’s petition as a motion to reargue because it raised the same “type” of claim as the first application. The determinative question here, however, is not whether the argument on the second petition fell within the same broad legal category as the argument in the first petition, but whether the specific argument was the same as that previously raised, but overlooked or misapprehended by the reviewing court—a question that must be answered in the negative here. If we were to accept the Appellate Division’s superficial characterization of defendant’s application here as a motion to reargue, we would implicitly approve of a scenario in which litigants may raise any new issue on reargument. This would result in a proliferation of these types of motions—a consequence we are sure the Appellate Division did not intend—and conflict with straightforward statutory and decisional law that narrowly limits reargument to issues previously raised.

The People suggest that, where the defendant has previously brought a coram nobis application, the Appellate Division possesses the discretion to summarily decline to review the merits of a second application seeking the same relief. Indeed, in *People v Mazzella* (13 NY2d 997, 998 [1963]), we held “[w]hile a denial of *coram nobis* relief is not *res judicata* as to a subsequent petition on the same grounds, the question whether to entertain such an application is ordinarily one of discretion.” *Mazzella*, however, is procedurally distinguishable, because the writ in that case was brought at the

trial court to vacate the judgment of conviction.* Even if the Appellate Division had the discretion to decline to review the merits of subsequent coram nobis applications, it would have been an abuse of such discretion to refuse to entertain the second application in this case, which was brought by counsel nine years after the first application and raised different and much more substantial arguments than those previously raised. Further, although we acknowledge that a significant period of time has passed since defendant's conviction was affirmed on appeal, we should not allow the lengthy passage of time, in itself, to bar review of a defendant's claims.

[2] In sum, because defendant's application for a writ of error coram nobis raised new arguments not raised in his previous application, the Appellate Division erred in characterizing the second application as a motion to reargue. Inasmuch as the Appellate Division did not pass on the merits of defendant's application, we remit the matter to that court for a consideration of defendant's claims. Although defendant urges us to review the merits here rather than remitting to the Appellate Division, we note that a claim of ineffective assistance of counsel should first be heard and decided in the court where the allegedly deficient representation occurred (*see Bachert*, 69 NY2d at 599). Further, the proffered approach would deprive defendants of the potential to have the merits of their claims addressed twice—once by the Appellate Division and, if unsuccessful, once by this Court on a motion for leave to appeal from the order denying the writ (*see CPL 450.90 [1]*). Finally, we are not in the habit of reviewing the merits of an argument in the first instance without the benefit of the lower court's reasoned analysis.

Accordingly, the order of the Appellate Division should be reversed and the matter remitted to that court for further proceedings consistent with this opinion.

* We note that *Mazzella* predated the codification of CPL article 440, which comprehensively addresses the proper procedure and standard of review for motions to vacate judgments of conviction made at the trial court, and thereby obviated the use of the writ in that context. Despite invitation by this Court, the Legislature has not passed a similar statutory mechanism to address claims of ineffective assistance of counsel brought at the Appellate Division (*see Bachert*, 69 NY2d at 595-596), thus requiring litigants to continue to rely on the common-law writ to raise such claims.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES
concur.

Order reversed, etc.

[918 NE2d 107, 889 NYS2d 517]

In the Matter of CRUCIBLE MATERIALS CORPORATION et al.,
Respondents, v NEW YORK POWER AUTHORITY, Appellant.

Argued September 9, 2009; decided October 20, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 17, 2008. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Supreme Court, Albany County (Robert A. Sackett, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition challenging respondent's interpretation of certain 2006 amendments to Economic Development Law § 189 (a) (5). The modification consisted of (1) reversing so much of the judgment as dismissed petitioners' application in its entirety and (2) granting the petition to the extent that respondent was compelled to comply with Economic Development Law § 189 (a) (5) in a manner as interpreted by the Appellate Division's decision.

Matter of Crucible Materials Corp. v New York Power Auth., 50 AD3d 1353, affirmed.

HEADNOTES

**Public Authorities — Power Authority of State of New York —
Power for Jobs Program — Manufacturers Not Required to
Choose between Restitution Benefit and Rebate Program**

1. Respondent New York Power Authority erred in interpreting the 2006 amendments to Economic Development Law § 189 (a) (5) as requiring petitioner manufacturers, participants in the Power for Jobs (PFJ) program, to choose between continuing their PFJ contracts and obtaining the new Restitution Benefit or ending their contracts and joining the Rebate Program. The first sentence in the paragraph added to section 189 (a) (5) by the amendments created the new Restitution Benefit that allowed PFJ contract participants to recoup from respondent overpayments they made under their contracts retroactive to the beginning of January 2006. The second sentence provided a special advantage to PFJ participants engaged in manufacturing, permitting them to withdraw from their contracts and join the Rebate Program during the contract term, meaning they were not locked into contract extensions. The language of the amendment contained no terminology suggesting that an election between the two programs had to be made. The use of the words "[i]n addition" at the beginning of the second sentence, as opposed to words indicating that manufacturers must make a choice between the benefit granted in the first sentence and the benefit defined in the second, did not support respondent's election of benefits determination. Nor was respondent's determination consistent with the legislative history of the 2006 amendments,

as the Bill Jacket indicated that the Legislature intended that benefits to PFJ participants—particularly manufacturers—be extended and expanded, rather than interrupted. Moreover, although the Restitution Benefit applied to manufacturers with contracts and the Rebate Program applied only to those who had opted out or not renewed their contracts, a single manufacturer could qualify for both due to the retroactivity of the restitution benefit.

**Public Authorities — Power Authority of State of New York —
Power for Jobs Program — Calculation of Rebate**

2. Respondent New York Power Authority erred in interpreting the 2006 amendments to Economic Development Law § 189 (a) (5) as establishing that baseline contract costs, for purposes of calculating the rebate owed to participants in the Power for Jobs (PFJ) program, would be the price participants paid respondent in 2006. The Rebate Program, established in 2004 when the first paragraph of Economic Development Law § 189 (a) (5) was enacted, allowed participants to decline to renew their PFJ contracts and instead purchase power directly from local providers. If they paid more for the power purchased from local providers than they would have paid under the contract, respondent was obligated to give them a “power for jobs electricity savings reimbursement” or rebate, measured as the difference between the unit cost of electricity the participant paid the provider (on average, each quarter) and the price the participant paid under the PFJ contract during a particular time frame. The 2006 amendments gave manufacturers that had already extended their contracts the option of withdrawing their renewals and choosing instead to participate in the Rebate Program, but did not change how rebates are calculated, instead referring back to the formula developed in the 2004 legislation. That formula requires the price paid to a local provider be compared against “the average unit cost of electricity such recipient paid during the final year of the contract for power allocated under phase four or five of the power for jobs program” (see Economic Development Law § 189 [a] [5]). The statutory directive that rebates be calculated based on the final year of PFJ phase four or five precluded respondent’s reliance on 2006 contract prices. As phases four and five terminated at the end of 2005, the baseline year for purposes of calculation of the rebate was, at the latest, 2005. Such an interpretation was consistent not only with the plain designation chosen by the Legislature, but also with the history of the 2006 amendments, which were motivated, in part, by a desire to ameliorate the high prices respondent had charged under the contracts in the winter of 2006.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Energy and Power Sources §§ 138, 139.
McKINNEY’s, Economic Development Law § 189 (a) (5).
NY JUR 2d, Administrative Law § 115; NY JUR 2d, Energy
§ 66; NY JUR 2d, State of New York § 68.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Electricity and
Electric Companies.

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Query: power /2 authority /s jobs /4 program & rebate

POINTS OF COUNSEL

Terryl Brown Clemons, General Counsel, New York Power Authority, White Plains (Eileen P. Flynn and Arthur T. Cambouris of counsel), for appellant. I. As the statute plainly requires, the rebate's base year is the final year of the Power for Jobs program customer's power contract. (*Sega v State of New York*, 60 NY2d 183; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matter of Partnership 92 LP & Bldg. Mgt. Co., Inc. v State of N.Y. Div. of Hous. & Community Renewal*, 46 AD3d 425.) II. Economic Development Law § 189 (a) (5) does not provide respondents with both restitution and rebate benefits. (*McKechnie v Ortiz*, 132 AD2d 472; *Woollcott v Shubert*, 217 NY 212; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

Couch White, LLP, Albany (James J. Barriere, Robert M. Loughney, Michael T. Wallender and Nathan R. Sabourin of counsel), for respondents. I. In enacting the 2006 Power for Jobs program amendments, the Legislature provided manufacturing participants with a retroactive "restitution" benefit and a prospective "rebate" benefit. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.*, 14 AD3d 553, 7 NY3d 451; *People v Ryan*, 274 NY 149; *N.Y.A.A.D., Inc. v State of New York*, 1 NY3d 245; *Matter of Greer v Wing*, 95 NY2d 676; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.) II. Rebates for phase 5 Power for Jobs program participants are measured by 2005 electric rates.

OPINION OF THE COURT

GRAFFEO, J.

This case involves a controversy between the New York Power Authority (NYPA) and manufacturers that participate in the Power for Jobs (PFJ) program. At issue is the proper interpretation of certain 2006 amendments to Economic Development Law § 189.

The Power for Jobs program was originally enacted in 1997 to ameliorate the effects of energy deregulation, which had led to increases in energy costs and unpredictable price fluctuations. The initiative authorizes NYPA to procure electricity from power producers and make it available to businesses that elect

to enter into PFJ contracts; the contracts ensure that the businesses will receive a certain quantity of power at a predetermined price during a prescribed time period. In exchange for receiving electricity at guaranteed prices, the businesses agree to remain in New York and, in some cases, commit to the creation of additional jobs. The objective of the program is to assist manufacturers and other commercial enterprises in their efforts to remain competitive despite New York's relatively high-priced energy market. Although the legislative expectation is that NYPA will supply power at below-market rates, the contracts do not guarantee that result.

The program, which is codified at Economic Development Law § 189, was initially scheduled to continue for only three years but has been repeatedly extended and amended by the Legislature. When the program commenced, businesses entered into contracts with NYPA for a three-year term and each of the first three years was referred to as a "phase" with participants deemed phase one, two or three depending on the year of their first contract. In 2000, the program was amended to add a fourth phase that permitted phase one participants—whose three-year contracts were expiring—to extend their contracts. As a result of 2002 legislation, a fifth phase was authorized whereby phase two and three customers were similarly offered contract extensions. Although the PFJ program has been extended since 2002, the Legislature has not characterized these subsequent extensions as new sequential "phases" and, as a result, the last phase was phase five, which ended in December 2005 (*see* Economic Development Law § 189 [e] [3]).

In 2004, the Legislature again continued the program but made significant changes so that participants were given the option of either extending their contracts or letting them expire in order to join an "electricity savings reimbursement" program, referred to as the Rebate Program (*see* Economic Development Law § 189 [a] [5], as added by L 2004, ch 59, part T, § 3). Under this alternative to the PFJ contract, a business would purchase power directly from a local power company and would be reimbursed by NYPA for costs paid to the local provider that exceeded the unit cost of power that the business had paid under phase four or five of the program. In other words, the rates paid under the PFJ contract would become the baseline that prospective power costs would be measured against and NYPA would have to cover—in the form of a rebate—any excess energy costs the businesses incurred when purchasing from local

providers. This Rebate Program ensured that businesses that had previously participated in the PFJ contract program could obtain specified amounts of electricity at prices at least as favorable as those they paid under their expired contracts.

In 2006, due to market fluctuations, some PFJ contract businesses incurred higher costs for energy secured through NYPA than they would have paid if they had purchased power directly from their local providers. To address this situation, in August 2006, Economic Development Law § 189 was amended yet again (*see* L 2006, ch 645, § 3). As had occurred in the past, the amendment continued the PFJ contract program by allowing extensions of contracts for an additional six months (setting a new sunset date of June 30, 2007) and authorized businesses to let their contracts lapse and opt instead to participate in the Rebate Program.

But the 2006 legislation added an additional paragraph to Economic Development Law § 189 (a) (5) that accomplished two things. First, it created a new Restitution Benefit for participants that had paid higher energy costs under their PFJ contracts than they would have paid by purchasing from local providers. The Legislature required NYPA to reimburse such participants for the difference in costs retroactive to January 1, 2006. Second, it provided a specific benefit to a subset of PFJ participants—manufacturers—allowing manufacturers that had renewed their contracts to withdraw their renewals and convert to the Rebate Program without having to wait until their contracts expired. What the 2006 amendment did not do, however, was amend the rebate calculation language from the 2004 legislation, meaning that it continued to use the rates charged in the last year of the phase four and five contracts as the baseline for determining rebates.

After the effective date of the 2006 amendments, NYPA—which had opposed this legislative proposal (*see* NYPA letter in opposition, Bill Jacket, L 2006, ch 645, at 20-24)—advised PFJ participants of the change in the law and gave its interpretation of the statutory amendments. In November 6, 2006 correspondence, NYPA notified manufacturers with PFJ contracts that they had 10 days to make a choice between continuing their contracts and obtaining the Restitution Benefit or ending their contracts and joining the Rebate Program. NYPA further explained how rebates would be calculated, stating that it intended to use the price that participants paid under their contracts during the 12 months preceding conversion to the

Rebate Program—which would be calendar year 2006 for most participants—to determine the baseline against which new energy costs would be compared to determine whether a rebate was warranted. Finally, NYPA informed participants that restitution payments would not be made until the last quarter of 2007.

Petitioners Crucible Materials Corp. and Syracuse Castings Sales Corp., along with other similarly-situated manufacturers, immediately objected to NYPA's interpretation of the 2006 amendments, arguing that NYPA had incorrectly read the legislation to require participants to elect between the Restitution Benefit and the Rebate Program when the Legislature had intended that manufacturers should be able to take advantage of both benefits. They also complained about the use of calendar year 2006 as the baseline for determining whether payments would be forthcoming under the Rebate Program, contending that NYPA's view was inconsistent with the language in the statute and severely undermined the value of the Rebate Program because 2006 was the year contract participants paid above-market prices. And they further disagreed with NYPA's decision to delay restitution payments until late 2007. Given the short deadline provided by NYPA, however, Crucible Materials and Syracuse Castings both chose to continue their contracts and obtain the Restitution Benefit, albeit under protest.

In February 2007, petitioners commenced this timely CPLR article 78 proceeding challenging NYPA's determination under Economic Development Law § 189 (a) (5), repeating the points asserted in the letter of complaint. After NYPA answered, Supreme Court dismissed the petition in its entirety, crediting NYPA's interpretation of the amendments. The Appellate Division modified by granting the petition in part (50 AD3d 1353 [2008]). It agreed with petitioners that the 2006 amendments authorized manufacturers to take advantage of both the Restitution Benefit and the Rebate Program. It further concluded that NYPA erred in selecting 2006 as the baseline for calculating rebates, resting its decision on the language of the rebate calculation provision. However, the Appellate Division upheld as neither arbitrary nor capricious NYPA's decision to defer payment of the Restitution Benefit until the last quarter of 2007, reasoning that the agency had discretion to determine the timing of payments since the legislation did not contain a payment

schedule.¹ This Court granted NYPA leave to appeal (11 NY3d 712 [2008]) and we now affirm.

NYPA's Election of Benefits Determination

Both parties agree that the dispute concerning whether manufacturers could receive both restitution and rebate benefits or had to choose between the two turns on language that was added to Economic Development Law § 189 (a) (5) in 2006. NYPA does not contend that its interpretation of the statute is entitled to deference, nor is this the type of case where deference to an administrative agency would be appropriate as it does not involve “specialized knowledge and understanding of underlying operational practice or entail[] an evaluation of factual data and inferences to be drawn therefrom” (*see Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005] [internal quotation marks and citations omitted]). When interpreting a statute, “[i]t is fundamental that a court . . . should attempt to effectuate the intent of the Legislature. The starting point is always to look to the language itself and where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Pultz v Economakis*, 10 NY3d 542, 547 [2008], quoting *State of New York v Patricia II.*, 6 NY3d 160, 162 [2006]).

Turning to the statutory scheme, since 2004 the Rebate Program has been addressed in the first paragraph of Economic Development Law § 189 (a) (5). The 2006 amendment added the following paragraph to that section:

“Provided further that, notwithstanding any provision of law to the contrary, for the period beginning [January 1, 2006], for recipients who choose to elect a contract extension, and whose unit cost of electricity under such contract extension exceeds the unit cost of electricity of the [local electricity provider], the power authority shall reimburse the recipient for all dollars paid in excess of the unit cost of electricity of the [local electricity provider]. *In addition, a recipient that is a manufacturer that elected a contract extension, may choose to withdraw such election and instead may choose to elect an electricity savings reimbursement upon notice to the power*

1. Petitioners have not cross-appealed and have abandoned any claim relating to the timing of restitution payments.

authority. Such electricity savings reimbursement shall be calculated according to the formula for the basic reimbursement as explained in this paragraph” (L 2006, ch 645, § 3 [emphasis added]).

The first sentence created a new Restitution Benefit that allowed PFJ contract participants to recoup from NYPA overpayments they made under their contracts retroactive to the beginning of January 2006. The second sentence provided a special advantage to PFJ participants engaged in manufacturing, permitting them to withdraw from their contracts and join the Rebate Program during the contract term, meaning they were not locked into contract extensions. And the third sentence clarified that rebates would continue to be calculated under the formula that was added to the statute in 2004 when the Rebate Program was first created.

[1] Based on the language and organization of this provision, we see no evidence that the Legislature contemplated that manufacturers would be required to choose between the two programs—to either select the Restitution Benefit or opt out of their contracts and participate in the Rebate Program. The language of the amendment contains no terminology suggesting that such an election must be made. The second sentence—allowing manufacturers that have extended their contracts to withdraw the extensions and join the Rebate Program—begins with the words “in addition.” This is hardly the language we would expect to see if the Legislature intended that manufacturers must make a choice between the benefit granted in the first sentence and the benefit defined in the second. If such an election of benefits had been the objective, the second sentence would have included a clause conditioning the “opt out” benefit; for example, it might have read “in lieu of being reimbursed for overpayments” manufacturers may join the Rebate Program or “manufacturers may opt instead” to withdraw from their contracts and participate in the Rebate Program. NYPA asserts that the phrase “in addition” is merely a transition and was not meant to have any substantive effect. But even if we credited this argument—and we generally do not presume that words chosen by the Legislature have no meaning—it does not support NYPA’s election of benefits determination because, when the “in addition” clause is omitted, what remains is a paragraph that defines two benefits potentially available to manufacturers without indicating that they are mutually exclusive.

NYPA suggests that a single manufacturer cannot qualify for both benefits because the Restitution Benefit applies to those

with contracts and the Rebate Program applies only to those who have opted out or not renewed their contracts. But when the Legislature adopted the amendments in August 2006, it made the Restitution Benefit retroactive to January 1, 2006. At the time the statute became law, some manufacturers (like petitioners) had been paying higher energy costs under their PFJ contracts than they would have paid had they bought electricity directly from local power companies. Hence, they were already entitled to up to eight months of restitution for overpayments they had made under their contracts (by the time NYPA implemented the statute three months later, the value of the Restitution Benefit was potentially even greater). Manufacturers in this position could conceivably receive a Restitution Benefit and then withdraw their contract extensions (or decline to renew their contracts at the end of December 2006) to join the Rebate Program. Under NYPA's analysis, these manufacturers would have to waive their right to a Restitution Benefit already earned in order to take advantage of the opt out clause in the second sentence. We do not believe this result is required by the language in the statute.

Nor is NYPA's view consistent with the legislative history of the 2006 amendments. Though not conclusive, that history tends to support the petitioners' reading of the statute. The Senate sponsor explained that the legislation would "provide reimbursements for Power for Jobs customers who paid higher than market price rates this last winter" and "would *also* allow manufacturers that are contract customers to switch to the rebate program" (Letter of Senator Wright, Bill Jacket, L 2006, ch 645, at 4 [emphasis added]). Then-Assemblymember Paul Tonko, the Assembly sponsor, noted that the legislation:

"Requires the Power Authority of the State of New York (PASNY) to allow PFJ manufacturers paying higher than market prices under their PFJ contract extensions to switch to a rebate form of the program, which would hold them harmless against rate fluctuations and would provide a discounted rate; *and*,

"Requires PASNY to make up the difference between the rates the businesses would have paid for energy to their local utility as compared to the higher price PASNY charged them under their contract extensions, retroactive to January 1, 2006"

(Assembly Sponsor's Mem in Support, Bill Jacket, L 2006, ch 645, at 5 [emphasis added]).

The phrase “the businesses” in the second sentence refers back to the “PFJ manufacturers” cited in the first sentence—those that had paid higher-than-market energy prices during the winter of 2006 under their PFJ contracts. The Assembly sponsor's observations make no sense if, as NYPA claims, the legislative objective had been to have these manufacturers choose between recouping their overpayments and prospectively joining the Rebate Program. The Division of the Budget similarly concluded that “NYPA must allow customers to maximize benefits by switching from the contract extension to the rebate program *and* retroactively reimburse customers that paid rates above the market price” (Budget Report on Bills, Bill Jacket, L 2006, ch 645, at 10 [emphasis added]). In fact, the increased costs associated with these dual requirements led the Division to recommend that the Governor veto the amendments (*id.* at 10-11).

The Bill Jacket thus indicates that the Legislature intended that benefits to PFJ participants—particularly manufacturers—be extended and expanded, rather than interrupted. Since the Restitution Benefit was created to provide a remedy to businesses that paid higher prices under their PFJ contracts than they would have paid if they purchased power from local providers, there is no reason to impose a strained interpretation of the clause to require that these same participants forgo recoupment of those overpayments in order to receive a future benefit. Nor is it necessary to adopt NYPA's view of the statute in order to avoid “double dipping” by manufacturers since the Rebate Program grants prospective relief while the Restitution Benefit covers overpayments already made. We therefore agree with the Appellate Division that NYPA's determination was erroneous insofar as it required petitioners to choose between the Restitution Benefit and the Rebate Program.

NYPA's Rebate Calculation Determination

The Rebate Program allows participants that had PFJ contracts to decline to renew those contracts and instead purchase power directly from local providers. If participants have to pay more for the power they buy from local providers than they would have paid under the NYPA contract, NYPA is obligated to give the participant a “power for jobs electricity savings reimbursement” or rebate. The rebate is the difference

between the unit cost of electricity the participant paid the provider (on average, each quarter) and the price the participant paid under the PFJ contract during a particular time frame. In this case, the parties disagree on the time frame that NYPA must use as the baseline for comparison when calculating whether a rebate is warranted and, if so, the amount of the rebate.

The Rebate Program was established in 2004 when the first paragraph of Economic Development Law § 189 (a) (5) was enacted (*see* L 2004, ch 59, part T, § 3). The 2006 amendments gave manufacturers that had already extended their contracts the option of withdrawing their renewals and choosing instead to participate in the Rebate Program. But it did not change how rebates are calculated, stating: “Such electricity savings reimbursement shall be calculated according to the formula for the basic reimbursement as explained in this paragraph” (L 2006, ch 645, § 3). Thus, the amendment referred back to the formula developed in the 2004 legislation, which requires that the price the participant paid to a local provider be compared against “the average unit cost of electricity such recipient paid during the final year of the contract for power allocated under phase four or five of the power for jobs program” (*see* Economic Development Law § 189 [a] [5]).

In interpreting this provision as establishing that baseline contract costs would be the price participants paid NYPA in 2006, NYPA focused on the phrase “during the final year of the contract,” noting that those who opted out of their contracts as a result of the 2006 amendments would be doing so at the end of 2006 (meaning the final year of the contract would be 2006). Objecting to this view, petitioners contended that this phrase be read in conjunction with the language that follows it, meaning that the baseline is “the average unit cost of electricity . . . paid during the final year of the contract . . . *under phase four or five of the power for jobs program*” (emphasis added). They emphasized that the Legislature did not refer only to the last year a participant had a contract with NYPA, but instead specifically tied the rebate to prices paid in the last year of phase four or five of the PFJ program.

[2] Although the legislation is certainly not a model of clarity, we agree with the Appellate Division that the statutory directive that rebates be calculated based on the final year of PFJ phase four or five precludes NYPA’s reliance on 2006 contract prices. The initial three years of the PFJ program were referred

to as phases one, two and three (*see* Economic Development Law § 189 [e] [1]). When it continued the PFJ program in 2000 and again in 2002, the Legislature characterized the contract extensions as phases four (*see* Economic Development Law § 189 [e] [2], as added by L 2000, ch 63, part KK, § 4) and five (*see* Economic Development Law § 189 [e] [3], as added by L 2002, ch 226, § 5), respectively. But when the Legislature extended and amended the program after 2002, it did not denominate new “phases.” Thus, the last phases identified in the statutory scheme are phases four and five, which have the same sunset date—December 31, 2005.² Since the rebate calculation provision states that the baseline contract costs will be those “paid during the final year of the contract . . . under phase four or five of the power for jobs program,” and phases four and five terminated at the end of 2005, the baseline year for purposes of calculation of the rebate is, at the latest, 2005. It follows that NYPA was required to compare the costs paid by Rebate Program participants that purchased from local providers against the costs those participants had paid in the last year of their contracts under phases four and five, which for most participants—including petitioners—was 2005.³

Not only is this interpretation consistent with the plain designation chosen by the Legislature but it also comports with the history of the 2006 amendments. Since that legislation was motivated, in part, by a desire to ameliorate the high prices NYPA had charged under the contracts in the winter of 2006, it is no surprise that the Legislature sought to ensure that the more reasonable prices paid the year before would be the

2. The phases are defined in Economic Development Law § 189 (e). Section 189 (e) (2) states: “phase four shall begin no sooner than [January 1, 2001] and shall end on or before [December 31, 2005]” and section 189 (e) (3) directs: “phase five shall begin no sooner than [January 1, 2002] and shall end on or before [December 31, 2005].”

3. NYPA indicates that it has always used the rates paid in the final year of a PFJ contract when calculating rebates. But this practice extends back only to 2004 since that was the year the Rebate Program was created. For participants that joined the program in 2004 and 2005, NYPA’s use of the prices from the last year of the contracts—prices from 2003, 2004 and portions of 2005—was consistent with the phase four and five terminology in the statute since those phases did not terminate until the end of 2005. It was not until it issued its November 2006 determination stating that rebates would be calculated based on 2006 prices that NYPA ran afoul of the statutory directive. Petitioners, along with other similarly-situated PFJ participants, immediately objected to NYPA’s interpretation and this litigation ensued within four months. Hence, this is not a case where an agency’s long-standing and broadly-accepted interpretation of a statute is being disturbed.

baseline for calculating rebates. This was a complement to the flexibility the legislation gave manufacturers in determining whether to continue to purchase power from NYPA under PFJ contracts or to join the Rebate Program.

NYPA contends that this is a “strange reading” of the language and asserts that the statutory reference to phases four and five made sense in 2004 when the Rebate Program was initially introduced because the Legislature believed that the PFJ program would cease at the conclusion of phase five. NYPA therefore believes that the Legislature “overlooked” or forgot to delete the reference to phases four and five in the first paragraph of section 189 (a) (5) when it extended the Rebate Program in 2006. Essentially, NYPA asks us either to ignore the “phase four or five” language or to consider the subsequent contract extensions as the equivalent of phase extensions, even though the Legislature did not characterize them in this fashion (as it had in previous amendments).

We cannot rule out the possibility that the Legislature’s failure to delete the references to phases four and five from the first paragraph of Economic Development Law § 189 (a) (5) was merely an oversight—but there is no indication in the Bill Jacket that the Legislature intended the baseline year for purposes of the rebate calculation to be 2006. Rather, there is a sound basis to draw the contrary conclusion. Whatever the intended purpose, the fact remains that the Legislature did not alter the rebate calculation methodology when it adopted the 2006 amendments—to the contrary, it added language expressly providing that rebates would be calculated pursuant to the preexisting formula. As a result, petitioners were entitled to have rebates calculated based on the rates charged under phases four and five of the program as directed in Economic Development Law § 189 (a) (5).

Because NYPA erred when it required these manufacturers to choose between the Restitution Benefit and the Rebate Program and announced that their rebates would be calculated based on 2006 PFJ contract prices, those aspects of its determination were properly annulled.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

READ, J. (dissenting in part). When the Legislature continued the Power for Jobs (PFJ) program in 2004, it created the new rebate benefit described in the majority opinion. Eligible

participants were given a choice to extend their power contracts with the New York Power Authority (NYPA) or, alternatively, to opt out of the PFJ program and receive the rebate, calculated in accordance with a formula in the statute (*see* Economic Development Law § 189 [a] [5], as added by L 2004, ch 59, part T, § 3). When the Legislature again extended the PFJ program in 2005, eligible participants were afforded the same choice (*see id.*, as amended by L 2005, ch 59, part P, § 2).

In 2006, the Legislature continued the PFJ program for another six months and created one option for all PFJ customers and a second option only available to manufacturers; specifically, (1) customers electing a contract extension became eligible to receive a newly created restitution benefit described in the majority opinion; and (2) manufacturers could cancel their contracts and receive the same type of rebate benefit made available by the 2004 and 2005 amendments (*see id.*, as amended by L 2006, ch 645, § 3 [hereafter 2006 amendments or the statute]). The Legislature did not amend the formula for calculating the rebate.

The majority concludes that PFJ customers that are manufacturers, like petitioners, qualify under the 2006 amendments for both the restitution and the rebate benefits; and that the baseline for calculating rebates is, at the latest, 2005. Although I agree with the majority that petitioners were not required to elect between the restitution and rebate benefits, I conclude that the baseline for calculating the rebate is the year preceding contract cancellation.

The formula for calculating the rebate measures the former PFJ customer's power costs against "the average unit cost of electricity [it] paid during the final year of the contract for power allocated under phase four or five of the power for jobs program" (Economic Development Law § 189 [a] [5]). Economic Development Law § 189 (e) (2) and (3) state—and the majority emphasizes—that delivery of power under phases four and five ends "on or before December thirty-first, two thousand five." Critically, however, other sections of the statute—which the majority does not mention—demonstrate that the Legislature, in fact, extended delivery of "power allocated under phase four or five" beyond that date. For example, the 2006 amendments provided that "the term of contracts for *allocations under the fifth phase* of the program shall in no case extend *beyond June thirtieth, two thousand seven*" (Economic Development Law § 189 [f], as amended by L 2006, ch 645, § 4 [emphasis added]).

Thus, if a manufacturer withdraws its contract extension in order to take advantage of the rebate, “the final year of the contract for power allocated under phase four or five” is the year preceding contract cancellation.

This interpretation is consistent with the purpose of the rebate, and the way in which NYPA has administered it since 2004. The rebate was intended to guarantee that NYPA’s former PFJ customers would not pay more for electricity than they spent in their last year in the program. And, of course, a former customer might pay less if able to secure a better price in the open market from a non-NYPA energy supplier. The rebate option thus afforded former PFJ customers a stable, predictable (maximum) price.

Concluding that “the baseline year for purposes of calculation of the rebate is, at the latest, 2005,” the majority states that this is “no surprise” because the 2006 amendments were “motivated, in part, by a desire to ameliorate the high prices NYPA had charged under the contracts in the winter of 2006” (majority op at 234). This conclusion is contrary to the statutory language, as noted above. Moreover, the record demonstrates only that *some* PFJ participants were paying more than they would have paid their local utilities in the unusually warm winter of 2006 (Letter of Senator Wright, Bill Jacket, L 2006, ch 645, at 4).

Chief Judge LIPPMAN and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge READ dissents in part in a separate opinion in which Judge SMITH concurs.

Order, insofar as appealed from, affirmed, with costs.

[918 NE2d 116, 889 NYS2d 526]

In the Matter of JOSEPH S. ALESSANDRO, a Justice of the Supreme Court, Westchester County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

In the Matter of FRANCIS M. ALESSANDRO, a Judge of the New York City Civil Court, Bronx County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued September 9, 2009; decided October 20, 2009

SUMMARY

PROCEEDING, in the first above-entitled matter, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated February 11, 2009. The Commission determined that petitioner Joseph S. Alessandro should be removed from the office of Justice of the Supreme Court, Westchester County.

PROCEEDING, in the second above-entitled matter, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated February 11, 2009. The Commission determined that petitioner Francis M. Alessandro should be removed from the office of Judge of the New York City Civil Court, Bronx County.

HEADNOTES

Judges — Disciplinary Proceedings

1. A determination of the State Commission on Judicial Conduct that petitioner Supreme Court Justice should be removed from office was accepted. Petitioner was charged with attempting to defraud his campaign manager out of a \$250,000 loan and failing to repay the loan as promised, giving false testimony during the Commission investigation, filing a materially incomplete financial disclosure statement with the Ethics Commission for the Unified Court System and submitting loan applications that omitted various assets and liabilities. Review of the record indicated that petitioner had engaged in misconduct warranting removal from office. Although petitioner's inexperience as a political candidate may have contributed to his decision to accept a problematic loan from his campaign manager, having accepted the loan, he was required to meet this obligation with the highest level of judicial honesty and integrity. This high standard of conduct also required petitioner to provide truthful and complete information in his financial disclosure statements and mortgage applications. His failure to disclose the mortgage he gave to his campaign manager in these documents was consistent with an ongoing pattern of shirking his obligation to repay her. These omissions could not be attributed to mere carelessness. Petitioner's misconduct warranted removal from office.

Judges — Disciplinary Proceedings

2. A determination of the State Commission on Judicial Conduct that petitioner Civil Court Judge should be removed from office was rejected and the sanction of admonition was imposed. Petitioner was charged with filing materially incomplete financial disclosure statements with the Ethics Commission for the Unified Court System and submitting loan applications to mortgage brokers that omitted various assets and liabilities. Petitioner's omissions from his financial disclosure statements and loan applications reflected carelessness rather than deliberate concealment of material information. Careless omissions from financial disclosure statements do not constitute egregious conduct warranting removal from judicial office.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:131, 3:138, 3:139,
3:144, 3:153.

NY JUR 2d, Courts and Judges §§ 435, 440, 443, 445, 448,
453, 455, 457, 460.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions;
Elections and Voting; Judges.

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POINTS OF COUNSEL

DerOhannesian & DerOhannesian, Albany (*Paul DerOhannesian II* and *Jennifer C. Zegarelli* of counsel), for petitioner in the first above-entitled matter. I. Joseph S. Alessandro testified before the Commission to the best of his recollection and based on miscommunications with his brother. (*Matter of Rambarran*, 308 AD2d 53; *Matter of Kiley*, 74 NY2d 364; *Matter of Skinner*, 91 NY2d 142.) II. The complainant Barbara Battista suffered no loss but rather used the legal judicial monitoring system to collect more than she was entitled to. (*Matter of Kelso*, 61 NY2d 82.) III. The context of the charges against Joseph S. Alessandro is not “truly egregious.” (*Matter of Edwards*, 67 NY2d 153; *Matter of Kelso*, 61 NY2d 82; *Matter of Steinberg*, 51 NY2d 74.)

Edward Lindner, New York City, *Robert H. Tembeckjian* and *Melissa DiPalo* for respondent in the first above-entitled

matter. I. Petitioner committed egregious misconduct by failing to repay a loan as promised and contriving to delay repayment by procuring an affidavit under false pretenses and asserting that affidavit as grounds to dismiss Barbara Battista's lawsuit to recover on the loan. (*Matter of Heburn*, 84 NY2d 168; *Matter of Myers*, 67 NY2d 550; *Matter of Mason* [*State Commn. on Jud. Conduct*], 100 NY2d 56; *Matter of Going*, 97 NY2d 121; *Rosasco Creameries, Inc. v Cohen*, 276 NY 274; *Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124.) II. Petitioner's misconduct is aggravated by his misleading and evasive testimony before the Commission on Judicial Conduct. (*Matter of Mason* [*State Commn. on Jud. Conduct*], 100 NY2d 56; *Matter of Mogil*, 88 NY2d 749; *Matter of Kiley*, 74 NY2d 364.) III. Petitioner intentionally failed to disclose the Battista mortgage on his financial disclosure statement. IV. Petitioner submitted multiple loan applications containing false statements and omissions that were, or appeared to be, for improper purposes. (*Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Matter of Heburn*, 84 NY2d 168; *Matter of Bailey*, 67 NY2d 61.) V. The appropriate sanction is removal. (*Matter of Collazo* [*State Commn. on Jud. Conduct*], 91 NY2d 251; *Matter of Myers*, 67 NY2d 550; *Matter of Steinberg*, 51 NY2d 74; *Matter of Heburn*, 84 NY2d 168; *Matter of Mazzei*, 81 NY2d 568; *Matter of Boulanger*, 61 NY2d 89.)

Robert P. Roche, Albany, for petitioner in the second above-entitled matter. I. The Commission on Judicial Conduct determination is based on untruths and distorted misperceptions of what did and should have happened in this case. II. The case against Francis M. Alessandro does not rise to the benchmark for removal, which is an extreme remedy. III. The record before this Court does not support the extreme punitive result of removal from the bench of Francis M. Alessandro. (*People v Ter-motto*, 81 NY2d 1008; *Matter of Edwards*, 67 NY2d 153; *Matter of Reedy*, 64 NY2d 299; *Matter of Cunningham*, 57 NY2d 270; *Matter of Bulger v State Commn. on Jud. Conduct*, 48 NY2d 32; *Matter of Schamel*, 46 AD2d 236; *Matter of Spector v State Commn. on Jud. Conduct*, 47 NY2d 462; *Matter of LaBelle*, 79 NY2d 350; *Matter of Lenney*, 70 NY2d 863.)

Edward Lindner, New York City, *Robert H. Tembeckjian* and *Melissa DiPalo* for respondent in the second above-entitled matter. I. Petitioner filed financial disclosure statements that were incomplete and inaccurate, and intentionally omitted the Battista mortgage. II. Petitioner submitted multiple loan applications containing false statements and omissions that

were, or appeared to be, for improper purposes. (*Gillman v Chase Manhattan Bank*, 73 NY2d 1; *Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300.) III. Petitioner's principal arguments to this Court are unpreserved and entirely contradicted by the hearing record. (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404.) IV. Petitioner has committed egregious misconduct and should be removed from office. (*Matter of Mazzei*, 81 NY2d 568; *Matter of Collazo [State Commn. on Jud. Conduct]*, 91 NY2d 251; *Matter of Myers*, 67 NY2d 550; *Matter of Steinberg*, 51 NY2d 74; *Matter of Heburn*, 84 NY2d 168.)

OPINION OF THE COURT

Per Curiam.

We are called upon to review determinations of the State Commission on Judicial Conduct removing from office Joseph Alessandro, a Justice of the Supreme Court, Westchester County, and his brother Francis Alessandro, a Judge of the New York City Civil Court, Bronx County, for alleged acts of judicial misconduct. Both brothers admit misconduct, but challenge the sanction as too severe. Upon exercise of our de novo review powers, we conclude that removal is the appropriate sanction for Joseph Alessandro, but we reject the sanction of removal imposed for Francis Alessandro and determine that the appropriate sanction is admonition.

I. Joseph Alessandro

In February 2007, the Commission served a complaint upon Joseph Alessandro containing four charges of misconduct. The charges alleged that he attempted to defraud an individual out of a \$250,000 loan and/or failed to repay the loan; gave false testimony during the Commission investigation; filed a materially incomplete financial disclosure statement with the Ethics Commission for the Unified Court System (Ethics Commission); and submitted loan applications that omitted various assets and liabilities.

A referee conducted a joint hearing in the proceedings against Joseph and Francis Alessandro. The referee sustained all four charges against Joseph, and the matter proceeded to oral argument before the Commission. In its February 2009 determination, the Commission concluded that Joseph should be removed from office.

A. Battista Loan

Joseph Alessandro, an attorney with more than 30 years of experience in private practice, entered the race for Westchester County Court Judge in 2003. Salvatore LoBreglio, the director of the Westchester Independence Party, suggested that Barbara Battista serve as Joseph's campaign manager and treasurer. Battista, a retired nurse, had some experience working on election campaigns. Previously, Joseph had paid Battista to prepare his (ultimately unsuccessful) application for an interim appointment to County Court.

In August 2003, Battista proposed that Joseph undertake a massive mailing of campaign literature. Joseph had already contributed more than \$140,000 of his personal funds to the campaign, and told Battista that he was not prepared to spend additional money. Battista then offered to lend Joseph \$250,000. According to Battista, she "made it very clear that there had to be an end date for it to be paid back." Joseph accepted, and the parties orally agreed that Joseph would repay the loan by July 2004. Between late August and mid-September 2003, using money borrowed against her retirement funds in a brokerage account, Battista paid a print company \$185,000 toward the cost of Joseph's campaign literature, and paid an additional \$57,000 into Joseph's campaign account.¹

Joseph and Francis Alessandro co-signed a handwritten note reflecting Joseph's \$250,000 indebtedness to Battista. Dated August 31, 2003, the note provided a fixed annual interest rate of 1.5% and a term of 30 days, with the principal due and payable on September "31," 2003. To secure the note, the brothers co-signed a handwritten mortgage on their jointly-owned property in Valhalla, New York. Battista did not record the handwritten mortgage at that time.

Soon thereafter, campaign attorney John Ciampoli informed Joseph, Battista and LoBreglio that Battista's payments to the print company and the campaign account would violate statutory campaign contribution limits if not repaid by Election Day. Ciampoli therefore advised Joseph to assume the campaign's debt to Battista personally. As a consequence, Joseph and Battista signed a typewritten promissory note, dated November 3, 2003, which acknowledged the \$250,000 indebtedness. The note

1. These payments totaled \$242,000. Battista says she also advanced \$8,000 in cash to pay campaign expenses, but she does not have documents to support this claim.

provided for a 15-year term and a variable interest rate, equal to the interest rate charged by Battista's brokerage account, that was initially set at 2.86%. Joseph also signed a typewritten mortgage, dated October 23, 2003, which secured the loan with the brothers' jointly-owned Valhalla property. Francis did not sign either the typewritten note or the typewritten mortgage. Battista recorded the typewritten mortgage on November 5, 2003.²

Joseph was elected to County Court in November 2003. For the next year, he made interest payments to Battista as required by the typewritten promissory note. In the spring and summer of 2004, Battista inquired about repayment of the loan. Joseph repeatedly assured her that he was attempting to secure financing to repay her. In September 2004, Joseph told Battista that he had a "mortgage guy" working to obtain a loan, and showed her a document that appeared to be an unsigned mortgage application or commitment. Meanwhile, in June 2004, Joseph and Francis had paid more than \$300,000 in cash to purchase property in Seaside Heights, New Jersey. They obtained the money by taking a loan against a joint brokerage account. There is no documentary evidence or testimony of an impartial witness to support Joseph's claim that he was trying to repay the Battista loan.

In October 2004, Battista enlisted attorney Harvey Kaminsky to help her recover the loan. According to Kaminsky, Battista told him that "she felt she was getting the runaround, and . . . she sort of felt intimidated calling the judge because she was calling him in his chambers saying she needed the money." Kaminsky contacted Joseph, who acknowledged the debt, and said that he had applied for a mortgage on a property he owned in New Jersey and expected to have the money within a few weeks. At Kaminsky's request, Joseph sent Kaminsky copies of unsigned mortgage applications he had completed.

Later that month, Joseph told Kaminsky that, in order to obtain financing, he needed a document indicating that he was current on the interest payments due on the mortgage Battista held on the Valhalla property. Although Kaminsky "didn't quite understand why it was important for a New Jersey piece of

2. The typewritten note and mortgage both indicated that Battista had delivered a satisfaction of indebtedness to the Committee to Elect Joseph Alessandro, and that the Committee had delivered an acknowledgment of indebtedness to Joseph Alessandro.

property that was being put up for refinancing,” he promptly obtained the letter from Battista and faxed it to Joseph.

Soon thereafter, Joseph informed Kaminsky that “his title company was troubled by the two mortgages” on the Valhalla property. As a result, Joseph claimed, he needed a document clarifying that the typewritten mortgage was the only mortgage on the Valhalla property and that the handwritten mortgage was “null and void since it was unrecorded.” Kaminsky told Joseph that his request created a difficult situation because he believed that the handwritten mortgage afforded Battista more protection. Joseph replied that “unless we got rid of the first mortgage, he could not get the loan.” Kaminsky subsequently prepared for Battista’s signature an affidavit stating that the typewritten mortgage replaced the handwritten mortgage.

Kaminsky called Joseph after sending him the signed affidavit, at which point Joseph told Kaminsky to speak to his attorney, Edward Koester. Ultimately, Kaminsky referred Battista to another attorney for potential litigation against Joseph.

In January 2005, Battista recorded the handwritten mortgage, thereby creating a \$500,000 lien against the Valhalla property. In February 2005, she commenced an action against Joseph and Francis to foreclose on the handwritten mortgage. Joseph moved to dismiss the complaint, relying on the affidavit in which Battista stated that the 15-year typewritten mortgage (not yet due on its face) “replaced” the handwritten mortgage. When the motion to dismiss was denied, Joseph filed a verified answer denying that he and Francis owed Battista \$250,000 under the handwritten note and mortgage. In February 2006, Joseph, Francis and Battista settled the lawsuit for \$273,000 (\$250,000 plus \$23,000 in attorneys’ fees).

B. Testimony before the Commission

Joseph testified before the Commission on Judicial Conduct during its investigation. In September 2005, Commission counsel asked Joseph to identify the lender that requested information about mortgages on the Valhalla property. He answered, “I don’t recall which bank it was with. I think it was GreenPoint.” When asked the same question during his December 2005 appearance before the Commission, Joseph stated, “I don’t know which one, but I guess it was GreenPoint or whatever.” Commission counsel reminded Joseph of his previous testimony that a GreenPoint underwriter requested this information; he responded, “Okay, then that’s who it was then.”

Later during the December 2005 appearance, Commission counsel told Joseph that the GreenPoint underwriter assigned to his loan application denied speaking to him. Joseph replied, “I guess then the underwriter was Global [Equity] or the broker was Global.” When Commission counsel represented that the Global loan originator also denied speaking to Joseph, he testified: “If he said he had no conversation with me, obviously, I had no conversation with him, but I did have a conversation with somebody pertaining to this information from one of these mortgage companies.” But in June 2007, Joseph testified before the referee that he discussed the mortgage on the Valhalla property not with GreenPoint or Global Equity, but rather with his attorney, Edward Koester, “or one of the banks he was working with.” Koester testified before the referee that he had asked Joseph for a letter from Battista stating the amount of the obligation and “payment history,” but did not say that he had asked for or received the particular documents Battista furnished.

C. Financial Disclosure Statements

On April 14, 2005, Joseph filed a financial disclosure statement for calendar year 2004 with the Ethics Commission. He failed to disclose the following liabilities: (1) the mortgage Battista held against the Valhalla property; (2) a mortgage held by GreenPoint against a Bronx property he jointly owned with Francis; and (3) a mortgage held by Countrywide against another Bronx property he owned individually. In September 2005, after testifying before the Commission, Joseph filed an amended disclosure statement that included these mortgages.

Before the referee, Joseph testified that he failed to disclose the Battista mortgage because he merely “copied” from his brother Francis’ financial disclosure statement, which did not list that mortgage. He further testified that he did not disclose the Battista mortgage because he believed he would obtain a mortgage and repay Battista.

D. Loan Applications

In 2004, Joseph submitted five loan applications to Global Equity Funding, three of which were submitted jointly with Francis. Both Joseph and Francis spoke to the mortgage broker, who returned the applications for signature to Francis. In turn, Francis gave the applications to Joseph to sign. None of the Global Equity applications listed Battista’s mortgage on the

Valhalla property, a mortgage held by Countrywide on Joseph's property in the Bronx, various properties owned individually by Joseph and various properties jointly owned by the brothers. On several applications, Joseph represented that he was not a co-maker or endorser on a note.

In the summer of 2005, Joseph and Francis completed three loan applications with mortgage broker Moses Rambarran. All three loans were approved. Rambarran entered information provided by Joseph into a computer and then printed the applications. Joseph testified that he signed the applications without reading them. The applications did not disclose Joseph's mortgage with Countrywide, various properties he owned individually, and other properties he owned jointly with Francis. Two of the applications omitted Battista's mortgage on the Valhalla property; the third application, which sought refinancing of the Valhalla property, noted the \$250,000 lien but did not name Battista. On all three applications processed by Rambarran, Joseph represented that he was not a co-maker or endorser on a note, although he was. On one application, he represented that he was not a party to a lawsuit, even though Battista had commenced the foreclosure action against him earlier that year.

Before the referee, Joseph testified that he did not list the Battista mortgage on the Global Equity loan applications because he "was under the impression that it would have shown up in [his] credit report." He also indicated that he and Francis informed the mortgage brokers of all their assets and liabilities, but the brokers did not include some of this information in the loan applications.

II. Francis Alessandro

On February 19, 2007, the Commission served a complaint upon Francis Alessandro containing two charges of misconduct. The charges alleged that Francis filed materially incomplete financial disclosure statements with the Ethics Commission, and submitted loan applications to mortgage brokers that omitted various assets and liabilities. Following the joint hearing, the referee issued a report sustaining both charges, and the matter proceeded to oral argument before the Commission. In its determination dated February 11, 2009, the Commission concluded that Francis should be removed from office. One member of the Commission dissented as to the sanction and voted to censure Francis.

Francis has been a Judge of the New York City Civil Court, Bronx County, since 1990. Prior to becoming a judge, he engaged

in the private practice of law with his brother, Joseph. Their practice included real estate law. Francis testified that he co-signed the handwritten note and mortgage in August 2003 “as an accommodation” to his brother. He believed the Battista loan was primarily Joseph’s responsibility, but acknowledged that his signature made him an obligor on the note. Francis testified that he did not learn of the typewritten note and mortgage until early 2005, when Battista named him as a defendant in her foreclosure action.

A. Financial Disclosure Statements

On July 7, 2004, Francis filed a financial disclosure statement for calendar year 2003 with the Ethics Commission. He failed to disclose the following assets and liabilities: (1) the mortgage Battista held on the Valhalla property; (2) a mortgage held by GreenPoint on a Bronx property he jointly owned with Joseph; (3) his one-half interest in the Valhalla property; and (4) his one-half interest in a property in Pelham. Francis failed to disclose the same assets and liabilities on his financial disclosure statement for calendar year 2004. He testified that his failure to disclose the Battista mortgage was “negligent.” He also stated that he omitted the Battista mortgage because it was his “brother’s obligation” and it was an “unrecorded instrument.”

B. Loan Applications

As noted above, Francis and Joseph submitted three joint loan applications to Global Equity Funding in 2004 and, in 2005, they completed three loan applications with Moses Rambarran. The Global Equity applications failed to list the Battista mortgage, one property owned individually by Francis, and various properties he owned jointly with Joseph. Francis testified that he did not disclose the Battista mortgage on the Global Equity loan applications because it was “unrecorded.” Francis also represented in these applications that he was not a co-maker or endorser on a note.

Similarly, the loan applications processed by Moses Rambarran did not list one property owned individually by Francis and several properties owned jointly by the brothers. Two of these applications contained no reference to the Battista mortgage; one application acknowledged the \$250,000 lien on the Valhalla property, but did not identify Battista. On all three applications, Francis represented that he was not a co-maker or endorser on a note and that he was not a party to a lawsuit, even though

Battista had named him as a defendant in her action to foreclose on the handwritten mortgage. Before the referee, Francis testified that he gave the mortgage brokers “all the information on the phone” and “relied on them doing what they had to do.”

III.

[1] Based upon our independent review of the record, we conclude that Joseph Alessandro engaged in misconduct warranting removal from office. We have repeatedly emphasized that “deception is antithetical to the role of a Judge who is sworn to uphold the law and seek the truth” (*Matter of Myers*, 67 NY2d 550, 554 [1986]). Moreover, judges “are held to higher standards of conduct than the public at large” (*Matter of Mazzei*, 81 NY2d 568, 572 [1993]).

Joseph Alessandro accepted a \$250,000 loan from his campaign manager and promised to repay her within a year. He failed to keep that promise and, more importantly, he strung Battista and her attorney along with repeated assurances that he would soon obtain financing to repay the loan. After he took judicial office, Joseph persuaded Kaminsky, Battista’s attorney, to procure an affidavit from her, downplaying the attorney’s misgivings that this might not serve his client’s best interest. And then Joseph later, in fact, used this affidavit against Battista in the foreclosure action she commenced to recover the loan. In this regard, we find it particularly troubling that Joseph gave changeable answers when asked to identify the bank that asked for information regarding Battista’s mortgage. His evasiveness creates a strong inference that he was dishonest in his dealings with Battista and her attorney with respect to the requested affidavit, and in his testimony in these proceedings.

We are mindful that “removal, the ultimate sanction, should not be imposed for misconduct that amounts simply to poor judgment or even extremely poor judgment, but should be reserved for truly egregious circumstances” (*Matter of Mazzei*, 81 NY2d at 572). Further, we recognize that Joseph’s inexperience as a political candidate in 2003 may have contributed to his decision to accept a problematic loan from his campaign manager in the first place. Nevertheless, having accepted the loan, he was required to meet this obligation with “the highest level of judicial honesty and integrity” (*id.*).

This high standard of conduct also required Joseph to provide truthful and complete information in his financial disclosure statement and mortgage applications. His failure to disclose the

Battista mortgage in these documents is consistent with an ongoing pattern of shirking his obligation to repay her. Like the Commission, we therefore reject Joseph's argument that these omissions should be attributed to mere carelessness.

IV.

[2] Upon our independent review of the record as to Francis Alessandro, we reduce his sanction to an admonition. To be sure, Francis' failure to fully disclose his assets and liabilities in his 2003 and 2004 financial disclosure statements, as required by the Rules of the Chief Judge (22 NYCRR part 40), is a serious matter. As the Commission noted, the information provided on these forms is available to the public and, among other things, enables lawyers and litigants to determine whether to request a judge's recusal. Judges must complete their financial disclosure forms with diligence, making every effort to provide complete and accurate information.

We are not convinced, however, that Francis deliberately omitted required information from his financial disclosure statements. There is no evidence in the record that Francis intentionally failed to disclose his one-half interest in two properties and a mortgage on a third property jointly owned with his brother. He had no apparent motive to do so, and even the Commission acknowledged that these omissions constituted "carelessness." Francis' failure to disclose the Battista loan presents a closer question; he attributed this omission to negligence, but also testified that he omitted this mortgage because it was his "brother's obligation" and it was "unrecorded." Nevertheless, we are unable to conclude by a preponderance of the evidence that any of the omissions was intentional. Careless omissions from a financial disclosure statement are not the type of "truly egregious" conduct that warrants removal from judicial office (*Matter of Cunningham*, 57 NY2d 270, 275 [1982]).

Likewise, we find that Francis' omission of various assets and liabilities from loan applications reflects carelessness rather than deliberate concealment of material information. The Commission inferred that Francis misrepresented his financial situation to enhance his chances of qualifying for a loan, but this conclusion is undercut by the fact that he omitted far more in the way of assets than liabilities. We emphasize that judges should adhere to the highest standards of honesty and integrity in all matters; however, we are unwilling to remove a judge from office for completing loan applications in a sloppy fashion where there is no evidence of intent to deceive.

V.

Accordingly, the determined sanction as to Joseph Alessandro should be accepted, without costs, and he should be removed from the office of Justice of the Supreme Court, Westchester County. The determined sanction as to Francis Alessandro should be rejected, without costs, and the sanction of admonition imposed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion; Chief Judge LIPPMAN taking no part.

In *Matter of Alessandro (State Commn. on Jud. Conduct)*: Determined sanction accepted, without costs, and Joseph S. Alessandro removed from the office of Justice of the Supreme Court, Westchester County.

In *Matter of Alessandro (State Commn. on Jud. Conduct)*: Determined sanction rejected, without costs, and the sanction of admonition imposed.

[918 NE2d 486, 889 NYS2d 890]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v QUEN-
TIN ABNEY, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GREG-
ORY ALLEN, Appellant.

Argued September 16, 2009; decided October 27, 2009

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 14, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (William A. Wetzel, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 15, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (two counts), attempted robbery in the first degree (two counts), robbery in the second degree and attempted robbery in the second degree (three counts).

People v Abney, 57 AD3d 35, reversed.

People v Allen, 53 AD3d 582, affirmed.

HEADNOTES

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications

1. In a robbery prosecution in which the only evidence connecting defendant to the crime was the victim's identification of defendant as the robber based on her observations at the time of the crime, the trial court abused its discretion in denying defendant's motion, at the close of the People's direct case, to introduce testimony from a qualified expert on the subject of eyewitness identification research findings. The expert witness should have been allowed to testify on the subject of witness confidence, as the principles relating to witness confidence upon which the expert proposed to testify were generally accepted within the relevant scientific community. Moreover, the principles were counterintuitive, which placed them beyond the ken of the average juror. The trial court should also have conducted a *Frye* hearing before making a decision on admissibility with respect to the proposed expert testimony regarding the

effect of event stress, exposure time, event violence and weapon focus, and cross-racial identification.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications — Harmless Error

2. In a robbery prosecution in which the only evidence connecting defendant to the crime was the victim's identification of defendant as the robber based on her observations at the time of the crime, the trial court's abuse of discretion in denying defendant's motion, at the close of the People's direct case, to introduce testimony from a qualified expert on the subject of eyewitness identification research findings did not constitute harmless error. Although defendant's alibi evidence was muddled and no doubt unhelpful to his cause with the jury, it was not overwhelmingly inculpatory either. Moreover, defendant might not have pursued an alibi defense in the first place if his expert witness had testified.

Crimes — Identification of Defendant — Expert Testimony on Reliability of Eyewitness Identifications

3. In a robbery prosecution in which the evidence connecting defendant to the crime included the identification of defendant by two eyewitnesses who corroborated each other as well as additional corroborative evidence, the trial court did not abuse its discretion in denying defendant's motion to introduce testimony from an expert witness regarding certain psychological factors of memory and perception that might affect the accuracy of eyewitness identifications. One of the eyewitnesses had seen and heard defendant in the neighborhood regularly over a period of six months before the robbery and recognized defendant as the robber by both his body type and his voice. The second eyewitness independently identified defendant as the knife-wielding robber who searched him and stood nearby throughout the course of the robbery. In addition, defendant, who at the time of the lineup would have had no way to know that masks were involved in the robbery unless he was there when it took place, had refused to participate in the lineup unless he and all the fillers wore masks. Accordingly, it was not a case that turned on the accuracy of eyewitness identifications where there was little or no corroborating evidence connecting the defendant to the crime such that it would have been an abuse of discretion to exclude expert testimony on the reliability of eyewitness identifications.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 699–702; AM JUR 2d, Expert and Opinion Evidence §§ 29, 335–337.
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:175, 194:191, 194:209; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:117.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.
NY JUR 2d, Criminal Law: Procedure §§ 2191, 2199, 2200, 2203, 3569, 3570, 3643.

ANNOTATION REFERENCE

Admissibility, at criminal prosecution, of expert testimony on reliability of eyewitness testimony. 46 ALR4th 1047.

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& error /s harmless

POINTS OF COUNSEL

Shearman & Sterling LLP, New York City (*Brian H. Polovoy*, *Karen S. Hart*, *Ashley W. Walker*, of the District of Columbia bar, admitted pro hac vice, and *Alexander J. Marcopoulos* of counsel), and *Legal Aid Society of New York, Criminal Appeals Bureau* (*Steven Banks* and *Richard Joselson* of counsel) for appellant in the first above-entitled action. I. Under *People v Le-Grand* (8 NY3d 449 [2007]), the trial court erred in denying admission of appellant's well-proffered expert testimony on factors influencing the reliability of eyewitness identifications, when the prosecution presented only a single eyewitness identification as evidence against appellant and the proffered testimony was relevant and outside the ken of the average juror. (*People v Lee*, 96 NY2d 157; *People v Young*, 7 NY3d 40; *People v Crimmins*, 36 NY2d 230; *Ronson v Commissioner of Correction of State of N.Y.*, 604 F2d 176; *United States v Kohan*, 806 F2d 18; *People v Cronin*, 60 NY2d 430; *United States v Brownlee*, 454 F3d 131; *People v Brooks*, 128 Misc 2d 608; *Frye v United States*, 293 F 1013; *People v Williams*, 14 Misc 3d 571.) II. The trial court erred in failing to grant a mistrial or set aside the verdict and by improperly instructing the jury after the prosecutor had knowingly submitted to the jury an extrinsic document, not properly admitted into evidence, which confused the jury and unfairly prejudiced appellant, denying him his right to a fair trial. (*Parker v Gladden*, 385 US 363; *Eslaminia v White*, 136 F3d 1234; *Benjamin v Fischer*, 248 F Supp 2d 251; *People v Vizzini*, 183 AD2d 302; *Turner v Louisiana*, 379 US 466; *United States v Cunningham*, 145 F3d 1385; *United States v Campo-reale*, 515 F2d 184; *United States ex rel. Owen v McMann*, 435 F2d 813; *Osborne v United States*, 351 F2d 111; *People v Sanders*, 128 AD2d 480.) III. The trial court violated appellant's constitutional rights and committed reversible error when it precluded the testimony of Craig Powell and Trina Moore without making a finding of willful misconduct, and where any prejudice to the prosecution could have been minimized by less severe measures. (*People v Kello*, 96 NY2d 740; *People v Cuevas*, 67 AD2d 219; *People v Cruz*, 50 AD3d 490; *People v Evans*, 289 AD2d 417; *Taylor v Illinois*, 484 US 400; *Webb v Texas*, 409 US

95; *Chambers v Mississippi*, 410 US 284; *People v Foy*, 32 NY2d 473; *People v Robinson*, 89 NY2d 648; *People v Walker*, 28 AD3d 1116.)

Robert M. Morgenthau, District Attorney, New York City (*Patrick J. Hynes* and *Mark Dwyer* of counsel), for respondent in the first above-entitled action. I. The court properly ruled that the jurors could understand and evaluate the identification evidence without the aid of a psychology expert. (*United States v Fulero*, 498 F2d 748; *United States v Langan*, 263 F3d 613; *People v LeGrand*, 196 Misc 2d 179; *People v Santiago*, 2 Misc 3d 652; *People v Kello*, 96 NY2d 740; *People v Russell*, 71 NY2d 1016; *People v Cobos*, 57 NY2d 798; *People v Young*, 7 NY3d 40; *People v Cronin*, 60 NY2d 430; *People v Wesley*, 83 NY2d 417.) II. Justice Wetzel properly precluded Craig Powell and Trina Moore, who were not noticed alibi witnesses, from testifying that defendant was in Brooklyn at or very near the time of the crime. (*People v Cuevas*, 67 AD2d 219; *People v Evans*, 289 AD2d 417; *People v Young*, 41 AD3d 318; *People v Doster*, 13 AD3d 114; *People v Walker*, 265 AD2d 192; *People v Williams*, 238 AD2d 191, 92 NY2d 993; *Taylor v Illinois*, 484 US 400; *Williams v Florida*, 399 US 78; *Noble v Kelly*, 246 F3d 93; *People v Harrison*, 28 AD3d 581.) III. The school sign-in sheets for the period from March through June 2005 were properly received in evidence by stipulation, and the court properly declined to grant a mistrial. (*People v Kello*, 96 NY2d 740; *Smith v Phillips*, 455 US 209; *Parker v Gladden*, 385 US 363; *People v McCaskell*, 217 AD2d 527; *People v Harris*, 98 NY2d 452; *People v Padro*, 75 NY2d 820; *People v Lev*, 33 AD3d 362; *People v Hodge*, 64 AD2d 535; *United States v Harvey*, 991 F2d 981.)

Weil, Gotshal & Manges LLP, Houston, Texas (*Matthew J. Antonelli* of counsel), *Weil, Gotshal & Manges LLP*, New York City (*Peter Sandel* of counsel), *Barry C. Scheck*, *Peter J. Neufeld*, *David Loftis* and *Ezekiel R. Edwards* for Innocence Project, Inc., amicus curiae, in the first above-entitled action. I. The Court should reject the corroboration exception of *People v LeGrand* (8 NY3d 449 [2007]). (*Holmes v South Carolina*, 547 US 319; *Crane v Kentucky*, 476 US 683.) II. Excluding expert testimony about the pitfalls of eyewitness evidence because of the existence of corroboration poses a grave risk of wrongfully convicting the innocent. (*People v LeGrand*, 8 NY3d 449; *United States v Brownlee*, 454 F3d 131; *United States v Downing*, 753 F2d 1224; *United States v Smith*, 736 F2d 1103; *United States v Wade*, 388 US 218; *Watkins v Sowders*, 449 US 341; *People v*

Lee, 96 NY2d 157.) III. Even under the corroboration standard of *People v LeGrand* (8 NY3d 449 [2007]) the evidence presented was insufficient to exclude expert testimony regarding the reliability of eyewitness identifications. (*People v Lee*, 96 NY2d 157; *People v Young*, 7 NY3d 40.)

Legal Aid Society, Criminal Appeals Bureau, New York City (Karen M. Kalikow and Steven Banks of counsel), for appellant in the second above-entitled action. I. The court abused its discretion and denied Gregory Allen's rights to due process, to present a defense and to a fair trial when it summarily denied counsel's request to present evidence from a qualified expert on the factors affecting the reliability of eyewitness identification where the case turned on the accuracy of eyewitness identifications, and there was little or no corroborating evidence connecting Mr. Allen to the crime. (*Chambers v Mississippi*, 410 US 284; *United States v Valenzuela-Bernal*, 458 US 858; *Taylor v Illinois*, 484 US 400; *Pennsylvania v Ritchie*, 480 US 39; *Washington v Texas*, 388 US 14; *People v LeGrand*, 8 NY3d 449; *People v Young*, 7 NY3d 40; *People v Lee*, 96 NY2d 157; *Frye v United States*, 293 F 1013; *People v Collins*, 60 NY2d 214.) II. The jacket and Gregory Allen's pretrial statements should have been suppressed as the fruits of an illegal arrest, where the warrantless entry of the parole officer into Mr. Allen's home to deliver him to the police waiting in the hallway and Mr. Allen's warrantless arrest were not justified by consent or exigent circumstances. (*Payton v New York*, 445 US 573; *People v Calhoun*, 49 NY2d 398; *Mincey v Arizona*, 437 US 385; *People v Knapp*, 52 NY2d 689; *People v Levan*, 62 NY2d 139; *People v Huntley*, 43 NY2d 175; *People v Bratton*, 8 NY3d 637; *People v Ray*, 65 NY2d 282; *People v Mackie*, 77 AD2d 778; *People v Candelaria*, 63 AD2d 85.) III. The trial court erroneously ruled that Gregory Allen had not established a prima facie case of purposeful discrimination under *Batson v Kentucky* (476 US 79 [1986]), where the prosecutor challenged 60% of potential African-American jurors, but just 25% of non-African-Americans and defense counsel supplemented this numeric evidence by pointing out that at least one of the jurors excused had a prosecution background. (*People v Bolling*, 79 NY2d 317; *People v Kern*, 75 NY2d 638, 498 US 824; *People v Smocum*, 99 NY2d 418; *People v Chambers*, 80 NY2d 519; *People v Jenkins*, 75 NY2d 550; *Hernandez v New York*, 500 US 352; *People v Childress*, 81 NY2d 263; *Johnson v California*, 545 US 162; *Truesdale v Sabourin*, 427 F Supp 2d 451; *People v Hawthorne*, 80 NY2d 873.)

Richard A. Brown, District Attorney, Kew Gardens (Daniel Bresnahan and John M. Castellano of counsel), for respondent in the second above-entitled action. I. The Appellate Division properly found that the trial court appropriately exercised its discretion in denying the admission of defendant's proposed eyewitness identification expert. (*People v LeGrand*, 8 NY3d 449; *People v Young*, 7 NY3d 40; *People v Lee*, 96 NY2d 157; *People v Tas*, 51 NY2d 915; *People v Gissendanner*, 48 NY2d 543; *People v Rodriguez*, 79 NY2d 445; *People v Benzinger*, 36 NY2d 29; *People v Kinchen*, 60 NY2d 772; *United States v Haynes*, 172 F3d 54; *People v Williams*, 14 Misc 3d 571.) II. The hearing court properly denied defendant's *Payton* claim. (*People v Charleston*, 54 NY2d 622; *People v Williams*, 181 AD2d 503; *People v Maldonado*, 86 NY2d 631; *People v Bigelow*, 66 NY2d 417; *Payton v New York*, 445 US 573; *People v Huntley*, 43 NY2d 175; *United States ex rel. Santos v New York State Bd. of Parole*, 441 F2d 1216; *People v Hale*, 242 AD2d 112; *Griffin v Wisconsin*, 483 US 868; *Morrissey v Brewer*, 408 US 471.) III. The trial court correctly denied defendant's *Batson* challenge since defendant did not establish a prima facie case of purposeful discrimination. (*Batson v Kentucky*, 476 US 79; *People v Childress*, 81 NY2d 263; *People v James*, 99 NY2d 264; *People v Payne*, 88 NY2d 172; *People v Stephens*, 84 NY2d 990; *People v Richardson*, 100 NY2d 847; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127; *People v Bolling*, 79 NY2d 317; *People v Kern*, 75 NY2d 638, 498 US 824; *People v Jenkins*, 75 NY2d 550.)

OPINION OF THE COURT

READ, J.

Defendants in both of these cases unsuccessfully sought to introduce expert testimony on the reliability of eyewitness identification. The question for us to decide is whether, in light of our decisions in *People v Lee* (96 NY2d 157 [2001]), *People v Young* (7 NY3d 40 [2006]) and, especially, *People v LeGrand* (8 NY3d 449 [2007]), the trial courts abused their discretion when they disallowed this testimony. We conclude that the trial judge in *Abney* abused his discretion, but that the trial judge in *Allen* did not.¹

1. The trials in *Abney* and *Allen* were both completed after our decision in *Lee*, but before our decisions in *Young* and *LeGrand*, which elaborated on the principles announced in *Lee*.

I.

Abney

A. Facts and Trial

On June 2, 2005 at about 3:20 P.M., 13-year-old Farhana U., on her way home from school, was descending well-lit stairs into the subway station near the corner of Essex and Delancey Streets in Manhattan when a man whom she did not know approached her and asked for “some change.” This man stood face-to-face with Farhana, about two feet away. She initially did not think he intended to harm her and was not afraid. Looking him squarely in the face, she said she had no change.

After Farhana “took a couple of steps forward,” the stranger wheeled in front of her, placed a knife with a six-inch blade and “a big curve on the end” near her throat, and asked her “a couple of times” to hand over her necklace, a gold chain with a locket. As this man stood close by her, Farhana was “looking at his face”; she was “really scared” and “didn’t know what to do.” When Farhana refused his demand, screaming “No,” he ripped the chain off her neck, and fled up the stairs. This entire encounter was fleeting.

Farhana continued down the stairs into the subway station and reported the robbery to a token clerk. At about 4:30 P.M., Detective Samuel DeJesus interviewed her at his desk in the transit station house at Columbus Circle. According to Detective DeJesus, Farhana seemed frightened; she told him that she had been robbed at knifepoint by a stranger, a black man in his thirties who was over six feet tall, had “pinkish” lips, and wore a short-sleeved blue shirt and a blue bandana.

Farhana’s physical description of the robber and how he carried out the crime prompted Detective DeJesus to suspect defendant Quentin Abney: he was familiar with defendant on account of his arrest for an earlier subway-related robbery. Telling Farhana that he would be “right back,” the detective left his desk to put together an array of six photographs, including defendant’s. When he returned, he told Farhana that he “was going to show her a group of photos and, if she recognized anyone, to let [him] know which one and what number.” Pointing out defendant’s photograph, she responded, “that’s him, number six.”

On June 22, 2005, Detective Ernest Dorvil telephoned Farhana at her home to ask her to view a lineup. Upon arrival at

the station house, she waited in an office with the door shut while the lineup was being put together. From the office, Farhana could not see defendant, who was in a “cell area” on the other side of the building, or any of the “fillers” selected to participate in the lineup. Once the lineup was assembled, Detective Dorvil escorted Farhana to the viewing room, where they were joined by another police officer and defendant’s attorney. She identified defendant, in position number four (there were six men in the lineup); Farhana was “sure” that he was the man who had asked her for change and then robbed her at knife-point.

Defendant was arrested and charged with one count of robbery in the first degree (Penal Law § 160.15 [3]). At the subsequent jury trial, Farhana testified on direct examination that the man who robbed her had a dark brown complexion, “puppy dog eyes,” and “pinkish-purplish lips”; she did not remember whether he was wearing anything over his head, but thought his shirt was blue. Defense counsel cross-examined Detective DeJesus about the details of Farhana’s initial description of the robber; Detective Dorvil about the lineup, eliciting testimony that he let Farhana know ahead of time that a suspect was included (which she contradicted, saying that the detective told her only that he wanted her to view “a couple of people”); and Farhana about the lineup and the appearance of the knife.

Defendant presented an alibi defense, contending that, at or around the time of the robbery, he was picking up his girlfriend Mary Nimmons’s daughter from preschool in Brooklyn and that, before and after doing this, he was at Nimmons’s home at 64 MacDougal Street in Brooklyn. His alibi witnesses were Nimmons (the mother of two children by defendant) and her sister and two cousins, and Carolyn Murphy, an assistant teacher at the preschool.

Murphy testified that, on June 2, 2005, defendant picked up Nimmons’s daughter. She claimed to recall the date because the very next day—June 3, 2005—Nimmons came to the school to obtain a copy of the sign-in sheet reflecting that fact. While Nimmons also initially testified that she got the sign-in sheet on June 3, she later professed to have picked it up at defendant’s request some time after his arrest on June 22, 2005. Murphy further testified that she was one of the employees responsible for making sure the sign-in sheets were filled out properly, and that the sheet was checked for accuracy every time it was signed.

On rebuttal, the parties stipulated that “the logbook [of sign-in sheets] from March through June [would] be entered into evidence and made available to the jury and [could] be referenced in the closing arguments.” In general, the sign-in sheets were filled in irregularly—some days children were signed in, but not signed out; and in some places where a signature appeared, no time was filled in. The sheet dated June 2, 2005 from the March-June logbook exhibit differed from the sheet dated June 2, 2005 admitted on defendant’s behalf. The former stated that defendant picked up Nimmons’s daughter at 3:04 P.M.; the latter pegged the time at 3:00 P.M.

The jury convicted defendant of first-degree robbery, and Supreme Court sentenced him as a persistent violent felony offender to a prison term of 20 years to life. He appealed.

B. Proffer of Expert Testimony

Before jury selection, defendant made a motion in limine to present expert testimony concerning “psychological factors of memory and perception that may affect the accuracy of eyewitness identifications.” Specifically, he sought to call Dr. Solomon M. Fulero, who would “educat[e] the jurors on many counterintuitive findings that bear directly on the reliability of the identification evidence in [the] case,” which were beyond the average juror’s ken. Defendant identified 15 such factors: stress, exposure time, color perception under monochromatic light, event violence, cross-racial accuracy, similarity of lineup fillers, lineup instructions, rate of memory loss, postevent information, the wording of questions posed to an eyewitness, unconscious transference to the crime scene of someone seen in another situation or context, the witness’s preexisting attitudes and expectations, simultaneous and sequential lineups, the lack of correlation of confidence and accuracy, and confidence malleability. He specifically noted that the robbery was brief, the victim was under stress, and a weapon was used.

Supreme Court denied the motion as premature, with leave to renew at the close of the People’s direct case. The trial judge observed that while he was aware that the People’s case hinged on the eyewitness testimony of the 13-year-old victim, “[a]t this [juncture], . . . [he], in the exercise of discretion, [did] not consider [the] case an appropriate one for an expert identification witness” for several reasons.

The trial judge reasoned that “[a]s a threshold matter,” defendant’s papers did not “appropriately narrow the scope of

the expert's proposed testimony," which therefore threatened to turn into "a full-fledged seminar . . . which could lead to hours of academic discussion and speculation." Second, the proffered testimony about how police investigative techniques might influence a lineup identification was not relevant because the victim had previously picked out a photograph from an array, and so must have realized that a suspect would be included in the lineup. Third, two of the proposed subjects of testimony—postevent information and unconscious transference—"[had] not passed the Frye test" in other courts.² Fourth, evidence about simultaneous versus sequential lineups was "unmanageable in a trial setting," because juries were "not experts on constitutional law and procedure and [could not] be educated about those topics during a trial."

Finally, the trial judge commented that "jurors know that, as a matter of common sense, a person's memory does fade as time passes." In his view, "[m]any" of defendant's concerns relative to the accuracy of Farhana's eyewitness identification could be adequately addressed by tailoring cross-examination and the jury charge. He indicated that defendant was "free to renew his motion at the close of the People's case, at which time he [should] narrow his proffer to the specific topics that he believes are relevant to the facts of this case."

After the People rested, defendant did, in fact, renew his motion, proposing a more limited range of subjects to be covered. Specifically, he asked to elicit expert testimony about the effect of event stress, exposure time, event violence and weapon focus, cross-racial identification, and lineup instructions, in addition to a new topic, double blind lineups. Defendant pointed out specific circumstances of his case to which the proposed testimony would be relevant. While acknowledging the trial judge's earlier ruling that witness confidence could be addressed through jury instructions, defendant specifically took exception to it.

The trial judge denied defendant's renewed motion on the ground that "having had the benefit of the witness' testimony," there was "nothing unique about [the] case . . . present[ing] issues that are beyond the ken of the ordinary juror." In his view, the relevant issues had been explored adequately during

2. We subsequently decided in *LeGrand* that studies about the potential effect of postevent information on the reliability of an eyewitness identification are, in fact, generally accepted as scientifically valid (8 NY3d at 458).

cross-examination, and could be argued in summation and covered in the jury charge.

C. Appellate Division

The Appellate Division, with two Justices dissenting, affirmed the judgment of conviction and sentence. The court observed that *LeGrand*—where the People’s case rested on identifications made nearly seven years after the crime—did not mandate admission of Dr. Fulero’s testimony. The court commented that “[t]he unusual fact pattern presented in *LeGrand* raise[d] a genuine question as to whether that case’s rule . . . applie[d] in cases, like this one, where the circumstances create much less doubt about the reliability of the identification testimony” (*People v Abney*, 57 AD3d 35, 43 [1st Dept 2008]).

The Appellate Division saw no need to answer this question, however, because of significant evidence corroborating defendant’s guilt, such that “by the terms of the *LeGrand* rule itself, the exclusion of the proffered expert testimony was within Supreme Court’s discretion” (*id.*). This corroborative evidence was the testimony of defendant’s own witnesses (Nimmons and Murphy), which suggested that he sought to document an alibi long before he was arrested for the robbery. The court recognized that, because this testimony was not elicited before the close of the People’s direct case, Supreme Court might have erred in refusing to permit Dr. Fulero to testify. In the Appellate Division’s view, however, defendant’s alibi evidence ultimately rendered any such error harmless.

The two dissenting Justices concluded that the trial judge abused his discretion when he denied defendant’s renewed motion at a time when there was “not a scintilla” of evidence corroborating the eyewitness’s identification (*id.* at 49). In their view, he should have considered the four factors enumerated in *LeGrand*, which they thought were generally met in this case. They acknowledged that certain of the subjects that Dr. Fulero proposed to cover were not recognized by the courts as generally accepted within the relevant scientific community, but faulted the trial judge for summarily rejecting this evidence without first conducting a *Frye* hearing. A dissenting Justice subsequently granted defendant permission to appeal to us.

AllenA. Facts and Trial

At around 3:30 P.M. on March 10, 2004, two masked men barged into a busy barbershop in Queens, located across from the Woodside Housing Project. The mask worn by one of the men, who wielded what appeared to be a knife, left exposed the top portion of his face from his top lip to above his eyebrows. His accomplice (who has never been apprehended) displayed a gun and stated, “This is a holdup.” The gunman grabbed Juan Almonte, one of the barbers, and pulled back the slide on his gun. He next struck the shop owner in the face with the gun; he chased down a barber who tried to escape to the basement, dragged him back, put a gun into his mouth, and rifled his pants pockets; he demanded money from another barber, who emptied his pockets of about \$30 in tips.

The knife-wielding intruder asked Almonte for money, checked around his neck for a chain, tried to open an apparently locked drawer at his barber station, and then called out to the gunman, “It’s time to go.” The two robbers instructed everyone present to lie down on the floor. They fled the shop together, and someone called the police. This entire incident lasted only a few minutes.

Gabriel Bierd, a customer in the shop, quickly realized that the knife-wielding robber was defendant Gregory Allen, whom he encountered regularly in the neighborhood. Bierd had heard defendant’s speaking voice several times during the previous six months, and he recognized him from both his “[b]ody type” and his voice.

When Sergeant Ronald Buell arrived at the barbershop to investigate the robbery, Bierd provided him with defendant’s nicknames—“Junior” and “J.R.”—and described him as a black male, about five feet, eight inches or five feet, nine inches tall. Bierd accompanied Sergeant Buell to the squad house, and looked through a “photo mug book” with 180 photographs, one to a page. Pedigree information was covered up. He picked out defendant’s photograph (at page 64), identifying him as the knife-wielding robber. At Sergeant Buell’s instruction, though, he looked through the remainder of the book. Buell then prepared a photographic array with six photographs, and Bierd selected defendant’s. Sergeant Buell drove to the barbershop and showed this photographic array to Almonte, who likewise identified defendant as the knife-wielding robber.

Defendant was arrested at about 10:30 P.M. on the day of the robbery. He was charged with four counts of robbery in the first degree (Penal Law § 160.15 [3], [4]), two counts of attempted robbery in the first degree (Penal Law §§ 110.00, 160.15 [3], [4]), two counts of robbery in the second degree (Penal Law § 160.10 [1]), and three counts of attempted robbery in the second degree (Penal Law §§ 110.00, 160.10 [1], [2] [a]).

At defendant's trial, Bierd and Almonte recounted the robbery, and explained how they immediately recognized defendant as the knife-wielding robber. They testified to having picked defendant out in a lineup on July 7, 2004; they identified him in court.

Detective David Beutel testified that he arrested defendant on March 10, 2004 and, when he asked him his name, defendant replied that his nicknames were "Junior" and "J.R." Detective Beutel attempted to put together a lineup the next day, but defendant would not cooperate; he pulled his shirt over his head, got into the fetal position on a table, and refused to sit and hold up a number unless all the men in the lineup wore masks. Pursuant to court order, Detective Beutel finally organized a lineup on July 7, 2004, four months later. Bierd, Almonte and the barbershop's owner each viewed the lineup separately. Bierd and Almonte identified defendant as the knife-wielding robber; the shop owner did not recognize anyone.

Defendant called five defense witnesses. An investigator with the Legal Aid Society recounted her interview with Almonte, stating that he told her that he could see the skin around the knife-wielding robber's eyes and the bridge of his nose, and that his mask did not have a hole for the nose. Another investigator testified that he was present at the lineup on July 7, 2004, and that defendant's attorney asked for all the lineup participants to wear ski masks; a police officer testified that he recovered six latent prints from the door of the barbershop; and a detective testified that none of those prints matched defendant's. Finally, Danielle Allen, defendant's sister, told the jury that her brother had a scar on his nose as a result of a dog bite suffered in childhood, and that he had long had a scar on his cheek. Photographs showing these scars were admitted into evidence. Allen further explained that, at the time of the robbery, defendant was dating someone who lived in the Woodside Housing Project.

The jury convicted defendant of all the charges submitted to it (the trial judge dismissed three counts). On February 28,

2006, defendant was sentenced to concurrent, determinate prison terms of 15 years on each first-degree robbery conviction, 10 years on each attempted first-degree and second-degree robbery conviction, seven years on each attempted second-degree robbery conviction, and five years' postrelease supervision. He appealed.

B. Proffer of Expert Testimony

On July 14, 2005, defendant moved in limine to admit the expert testimony of Professor Steven Penrod regarding 17 "psychological factors of memory and perception that may affect the accuracy of eyewitness identifications." Attached to the motion was Dr. Penrod's curriculum vitae, a list of his publications, and a document written by Dr. Penrod discussing many of the factors about which he proposed to testify, but not how these factors were relevant to the case. This document mentioned unconscious transference only once, describing this phenomenon as when "innocent persons seen in some other context can be mistakenly identified as having been seen at the crime or [where] a bystander at the scene is mistaken as the perpetrator."

The People opposed the motion on the ground that defendant had not demonstrated that the ability to assess the accuracy of the eyewitnesses' testimony was beyond the ken of the average juror, or that the psychological factors about which Dr. Penrod proposed to testify were relevant to this case, "particularly . . . where . . . defendant was known to one of the eyewitnesses [Bierd] after months of regular encounters." Further, the People argued that this case was distinguishable from the one-eyewitness identification cases relied upon by defendant. Here, there were two eyewitnesses who corroborated each other, and there was additional corroborative evidence, including defendant's refusal to participate in a lineup unless he and all the fillers wore masks. At the time, the People argued, defendant would have had no way to know that masks were involved in the robbery unless he was there when it took place.

Immediately before jury selection, defendant made additional arguments on the motion. According to defendant, the expert testimony would be "important" because the use of a gun made the robbery stressful, and Dr. Penrod would explain that high levels of stress could impair an identification. Additionally, Dr. Penrod would address "weapon focus," and the concept that there is "not necessarily a correlation between certainty and

accuracy” of an eyewitness identification, although the “general public . . . thinks there is.” Finally, defendant argued that Dr. Penrod’s testimony on the subject of “unconscious transference” was relevant because the eyewitnesses claimed that they had seen defendant in the neighborhood before, and thus it was possible that they identified defendant because “he’s the only one in the lineup that they’ve seen in the neighborhood.”

The trial judge denied the motion, finding that “this is not an area in which an expert is at all helpful” because the proposed testimony involved matters of

“common sense and life experience . . . [T]he jury knows the longer you look at something the easier it is to remember . . . , just like they know if a person is wearing a disguise, it makes it hard to recognize them. They don’t need an expert to testify to these things.”

He ruled that defendant should address the reliability of eyewitness identification during cross-examination and in summation.

After the People rested, defendant renewed his motion, reiterating his position that Dr. Penrod’s testimony regarding unconscious transference was relevant because “statistics show that people are much more likely to identify someone they’ve seen before.” The court denied the application, again deciding that the issue was a matter of common sense.

C. Appellate Division

The Appellate Division unanimously affirmed defendant’s judgment of conviction and sentence because “the facts . . . [were] sufficiently distinct from those of [*LeGrand*] that . . . Supreme Court did not err in denying the defendant’s request to adduce expert testimony regarding the reliability of eyewitness identification” (*People v Allen*, 53 AD3d 582, 584 [2d Dept 2008]). The court emphasized defendant’s confirmation that he used the nicknames given to the police by Bierd, and his knowledge that the robbers wore masks. Further, the court pointed out, two eyewitnesses identified defendant from a photographic array the day of the crime and then again, four months later, in a lineup; and one of the eyewitnesses had seen and heard defendant in the neighborhood regularly over a period of six months before the robbery. Defendant appealed, and a Judge of this Court granted his application for leave (12 NY3d 780 [2009]).

II.

In *Lee*, we held that expert testimony proffered on the issue of the reliability of eyewitness identification “is not admissible per se”; rather, “the decision whether to admit it rests in the sound discretion of the trial court” (96 NY2d at 160), which should be guided by “whether the proffered expert testimony would aid a lay jury in reaching a verdict” (*id.* at 162 [internal quotation marks omitted]). We also noted that although “jurors may be familiar from their own experience with factors relevant to the reliability of eyewitness observation and identification, it cannot be said that psychological studies regarding the accuracy of an identification are within the ken of the typical juror” (*id.*). And finally, we recognized that because “expert testimony of this nature may involve scientific theories and techniques, a trial court may need to determine whether [it] is generally accepted by the relevant scientific community” (*id.*).

Applying these principles to the facts in *Lee*, we “[could] not say the trial court’s denial of defendant’s motion [to introduce expert testimony regarding the reliability of eyewitness identification] constituted an abuse of discretion” (*id.* at 163). In reaching this conclusion, we observed that the trial judge entertained the defendant’s motion during the People’s case-in-chief, and so “was in a position to weigh the request against other relevant factors, such as the centrality of the identification issue and the existence of corroborating evidence” (*id.*). The crime in *Lee* was a carjacking, and the defendant was discovered driving the stolen vehicle, which corroborated the victim’s identification of him as the carjacker.

Next came our decision in *Young*. There we reiterated several of the key points we made in *Lee*: that the decision whether to admit or exclude expert evidence on the reliability of eyewitness identification lies within the bounds of the trial court’s discretion; in the exercise of this discretion, the trial court should consider whether “the expert [could] tell the jury something significant that jurors would not ordinarily be expected to know already” (*Young*, 7 NY3d at 45); and scientific studies of factors affecting the reliability of eyewitness identification are beyond the ken of the typical juror.

Calling the question a “close” one on the facts in *Young* (*id.* at 42), we nonetheless decided there was no abuse of discretion. *Young* was a home invasion case, and we commented that if the trial had “turned entirely on an uncorroborated eyewitness

identification, it might well have been an abuse of discretion to deny the jury the benefit of [the expert's] opinions" (*id.* at 45). As it was, though, two of the defendant's female acquaintances were found to possess property stolen during the home invasion; neither of them could have been the robber (who was a male); and one of them said she got the property from the defendant. Under these circumstances, we considered it "reasonable" for the trial judge to decide that the eyewitness's identification "was quite unlikely to be mistaken, and that [the expert's] testimony would be an unnecessary distraction for the jury" (*id.* at 46).

We most recently considered the admissibility of expert testimony on the reliability of eyewitness identification in *LeGrand*. There, we held that

"where [a] case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, it is an abuse of discretion for a trial court to exclude expert testimony on the reliability of eyewitness identifications if that testimony is (1) relevant to the witness's identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror" (*LeGrand*, 8 NY3d at 452).

In *LeGrand*—unlike *Lee* and *Young*—there was no evidence other than eyewitness identifications to tie the defendant into the crime, the stabbing death of a livery cab driver in 1991. Further, the identifications on which the People's case depended were made nearly seven years after the crime, and the defendant was not convicted until 2002. In light of these facts, we decided that the trial judge abused his discretion when he disallowed expert testimony on those three factors where the defense expert's testimony at the *Frye* hearing "confirm[ed] that the principles upon which [he] based his conclusions [were] generally accepted by social scientists and psychologists working in the field" (*id.* at 458): the correlation between confidence and accuracy, the effect of postevent information, and confidence malleability.

Finally, we noted in *LeGrand* that

"[a]lthough the trend has been of late to more liberally admit such [expert] testimony—as recognized

in *Lee* and *Young*—the admissibility of such evidence would also depend upon the existence of sufficient corroborating evidence to link defendant to the crime. In the event that sufficient corroborating evidence is found to exist, an exercise of discretion excluding eyewitness expert testimony would not be fatal to a jury verdict convicting defendant” (*id.* at 459).

[1] Applying our precedents in this area to the facts in *Abney* and *Allen*, we reach different answers to the question of whether the trial judge abused his discretion. While it was reasonable for the trial judge to deny defendant’s pretrial motion in *Abney* as premature and overly broad, another outcome was called for when defendant renewed the motion at the close of the People’s direct case. By that point, it was clear that there was no evidence other than Farhana’s identification to connect defendant to the crime, and she did not describe him as possessing any unusual or distinctive features or physical characteristics.

Defendant asked to elicit testimony from Dr. Fulero, who is a qualified expert on the subject of eyewitness identification research findings, about the following topics: the effect of event stress, exposure time, event violence and weapon focus, cross-racial identification, lineup instructions, double-blind lineups, and witness confidence. All but two of these subjects—lineup instructions and double-blind lineups—seem relevant to Farhana’s identification of defendant, given the particular circumstances of the case. And as we stated in *LeGrand*, the principles related to witness confidence upon which Dr. Fulero proposed to testify are generally accepted within the relevant scientific community. They are also counterintuitive, which places them beyond the ken of the average juror.

Accordingly, the trial judge in *Abney* abused his discretion when he did not allow Dr. Fulero to testify on the subject of witness confidence. As for the remaining relevant proposed areas of expert testimony—the effect of event stress, exposure time, event violence and weapon focus, and cross-racial identification—the trial judge should have conducted a *Frye* hearing before making a decision on admissibility.

[2] Finally, we do not consider the trial judge’s error in *Abney* to have been harmless. While defendant’s muddled alibi evidence was no doubt unhelpful to his cause with the jury, it is not overwhelmingly inculpatory either. And, of course, it is possible that defendant would not have pursued an alibi defense in the first place if Dr. Fulero had testified.

[3] Contrariwise, we consider *Allen* to be more akin to *Lee* and *Young*. We are unwilling to second-guess the trial judge's exercise of discretion in *Allen* because the case did not depend exclusively on Bierd's eyewitness testimony—i.e., *Allen* is not a “case [that] turns on the accuracy of eyewitness identifications [where] there is little or no corroborating evidence connecting the defendant to the crime” (*LeGrand*, 8 NY3d at 452). Critically, Almonte independently identified defendant as the knife-wielding robber who searched him and stood nearby throughout the course of the robbery. And defendant was not a stranger to either Bierd or Almonte.

Defendants' remaining arguments, to the extent preserved, are without merit.

Accordingly, in *People v Abney*, the order of the Appellate Division should be reversed and a new trial ordered; in *People v Allen*, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

In *People v Abney*: Order reversed, etc.

In *People v Allen*: Order affirmed.

[918 NE2d 900, 890 NYS2d 388]

AMY L. ROBERTS et al., on Behalf of Themselves and All Others
Similarly Situated, Respondents, v TISHMAN SPEYER PROP-
ERTIES, L.P., et al., Appellants.

Argued September 10, 2009; decided October 22, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 5, 2009. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.; op 2007 NY Slip Op 32639[U]), which had granted motions by defendants to dismiss the complaint and dismissed the complaint; and (2) reinstated the complaint. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

Roberts v Tishman Speyer Props., L.P., 62 AD3d 71, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Decontrol Exclusions Not Applicable to Buildings Receiving J-51 Tax Abatement Benefits

The luxury decontrol provisions of the Rent Stabilization Law (RSL) (Administrative Code of City of NY §§ 26-504.1, 26-504.2 [a]) were inapplicable to two apartment complexes that had been rent stabilized since at least 1974 and apparently began receiving tax incentive benefits under the City of New York’s J-51 program (Real Property Tax Law § 489; Administrative Code of City of NY § 11-243) in 1992, notwithstanding that the complexes were already subject to rent stabilization before receiving J-51 benefits. The RSL provides that luxury decontrol shall not apply to “housing accommodations which became or become subject to [the RSL] (a) by virtue of receiving tax benefits pursuant to section . . . four hundred eighty-nine of the real property Tax Law [J-51 benefits]” (RSL §§ 26-504.1, 26-504.2 [a]). An interpretation of the statutory language to recognize two categories of J-51-benefitted buildings—those that were rent-stabilized prior to receiving J-51 benefits, for which luxury decontrol became available in 1993, and those that only became rent-stabilized as a condition of receiving J-51 benefits, for which luxury decontrol is unavailable—conflicts with the most natural reading of the statute’s language. There is nothing impossible, or even strained, about reading the verb “become” to refer to achieving, for a second time, a status already attained. Further, the legislative history better supports an interpretation of the statute that exempts from luxury decontrol buildings that receive J-51 benefits. Moreover, the Legislature’s inactivity in the face of the Division of Housing and Community Renewal’s interpretation of the statute as exempting from luxury decontrol housing accommodations which became subject to the RSL solely by virtue of the receipt of J-51 benefits did not constitute its acquiescence to that interpretation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 909, 910.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 2:40.
McKINNEY'S, RPTL 489.
NY JUR 2d, Landlord and Tenant § 421; NY JUR 2d, Taxation and Assessment § 217.
NEW YORK REAL PROPERTY SERVICE §§ 60:28, 74:48–74:52.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: rent /2 stabiliz! & luxury /2 de-control & tax /5 exemption abatement

POINTS OF COUNSEL

Skadden, Arps, Slate, Meagher & Flom LLP, New York City (Jay B. Kasner, Scott D. Musoff, Jonathan Frank and Christopher R. Gette of counsel), and *Belkin Burden Wenig & Goldman, LLP* (Sherwin Belkin and Magda Cruz of counsel), for Tishman Speyer Properties, L.P., and another, appellants. I. The plain language of the Rent Stabilization Law permits luxury deregulation for previously stabilized buildings such as Peter Cooper Village and Stuyvesant Town. (*Pultz v Economakis*, 10 NY3d 542; *State of New York v Patricia II.*, 6 NY3d 160; *Jones v Bill*, 10 NY3d 550; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Samiento v World Yacht Inc.*, 10 NY3d 70; *In re Princo Corp.*, 478 F3d 1345; *State of New York v Fashion Place Assoc.*, 224 AD2d 280; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Rangolan v County of Nassau*, 96 NY2d 42; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal*, 87 NY2d 325.) II. The Appellate Division erroneously failed to consider that the Legislature's decision not to modify the deregulation provisions supports the Division of Housing and Community Renewal's interpretation and dismissal of the complaint. (*Matter of Patton Indus. v New York City Conciliation & Appeals Bd.*, 97 AD2d 716; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d

156; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196; *Federal Home Loan Mtge. Corp. v New York State Div. of Hous. & Community Renewal*, 854 F Supp 151, 83 F3d 45; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Matter of Howard v Wyman*, 28 NY2d 434; *Engle v Talarico*, 33 NY2d 237.) III. The Appellate Division's "policy" concerns are irrelevant and unfounded. (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *People ex rel. Jenkins v Piscotti*, 52 AD3d 1207; *Matter of Mougiannis v North Shore-Long Is. Jewish Health Sys., Inc.*, 25 AD3d 230.) IV. The decision's abrupt departure from prior interpretation supports reversal, but in the event the decision is affirmed, any remedy should not be retroactively applied to defendants. (*Chevron Oil Co. v Huson*, 404 US 97; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Matter of King v Cuomo*, 81 NY2d 247; *Matter of Hilton Hotels Corp. v Commissioner of Fin. of City of N.Y.*, 219 AD2d 470; *Busa v Busa*, 196 AD2d 267.)

Greenberg Traurig, LLP, New York City (Alan Mansfield, Daniel J. Ansell and Steven Kirkpatrick of counsel), for Metropolitan Insurance and Annuity Company and another, appellants. I. The order of the Appellate Division should be reversed. (*Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559; *Matter of Salvati v Eimicke*, 72 NY2d 784, 73 NY2d 995; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of ATM One, LLC v New York State Div. of Hous. & Community Renewal*, 37 AD3d 714; *Matter of Ardor Mgt. Corp. v Division of Hous. & Community Renewal of State of N.Y.*, 104 AD2d 984; *Engle v Talarico*, 33 NY2d 237; *Demette v Falcon Drilling Co., Inc.*, 280 F3d 492; *Walsh v Wusinich*, 32 AD3d 743.) II. Principles of equity dictate that the Appellate Division's order, if affirmed, should have only prospective effect. (*Chevron Oil Co. v Huson*, 404 US 97; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Matter of Hilton Hotels Corp. v Commissioner of Fin. of City of N.Y.*, 219 AD2d 470; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.)

Wolf Haldenstein Adler Freeman & Herz LLP, New York City (Alexander H. Schmidt, Daniel W. Krasner and Eric B. Levine of counsel), and *Bernstein Liebhard LLP* (Ronald J. Aranoff, Stanley Bernstein and Christian Siebott of counsel) for respondents.

I. The Real Property Tax Law and Rent Stabilization Law require that the complex remain rent stabilized until the owners' J-51 benefits expire. (*Matter of Schmidt v Roberts*, 74 NY2d 513; *Matter of Agioritis*, 52 AD2d 128; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Alweis v Evans*, 69 NY2d 199; *Walsh v Wusinich*, 32 AD3d 743; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186; *People v Marrero*, 71 AD2d 346; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Denza v Independence Plaza Assoc., LLC*, 17 Misc 3d 1122[A], 2007 NY Slip Op 52106[U]; *Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170.)

II. The Appellate Division's reading of the statute avoids inequitable and unreasonable results. (*Long v State of New York*, 7 NY3d 269; *People v Santi*, 3 NY3d 234; *People v Kramer*, 92 NY2d 529; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114.)

III. The Appellate Division properly did not defer to the Division of Housing and Community Renewal on this matter of statutory interpretation. (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51; *Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Two Assoc. v Brown*, 127 AD2d 173; *Boreali v Axelrod*, 71 NY2d 1; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.)

IV. The Division of Housing and Community Renewal regulations conflict with the statute. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Festa v Leshen*, 145 AD2d 49; *Matter of Nicholas v Kahn*, 47 NY2d 24.)

V. Defendants' legislative "acquiescence" argument is baseless. (*Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Clark v Cuomo*, 66 NY2d 185; *Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d

206; *Engle v Talarico*, 33 NY2d 237; *RKO-Keith-Orpheum Theatres, Inc. v City of New York*, 308 NY 493; *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325.) VI. Defendants' public policy arguments are impermissible and, in any event, are speculative and unpersuasive. VII. The Appellate Division's decision should be retroactive. (*Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *United States v Security Industrial Bank*, 459 US 70; *Kuhn v Fairmont Coal Co.*, 215 US 349; *People v Favor*, 82 NY2d 254; *Linkletter v Walker*, 381 US 618; *People v Pepper*, 53 NY2d 213; *Desist v United States*, 394 US 244; *Gager v White*, 53 NY2d 475; *Chevron Oil Co. v Huson*, 404 US 97; *Landgraf v USI Film Products*, 511 US 244.)

Legal Aid Society, Harlem Community Law Office, New York City (*Steven Banks* and *Alan Canner* of counsel), for Legal Aid Society, amicus curiae. I. The Appellate Division's decision correctly interprets Rent Stabilization Law ([RSL] Administrative Code of City of NY) § 26-504 (c), and its interpretation is in harmony with RSL §§ 26-504.1 and 26-504.2 (a). (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *New York City Campaign Fin. Bd. v Ortiz*, 38 AD3d 75; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Mobil Oil Corp.*, 48 NY2d 192; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Briffel v County of Nassau*, 31 AD3d 79.) II. The receipt of J-51 tax benefits subjects all apartments to rent stabilization as landlords who receive J-51 tax benefits agree to be governed by rent regulatory statutes. (*Denza v Independence Plaza Assoc., LLC*, 17 Misc 3d 1122[A], 2007 NY Slip Op 51106[U]; *State of New York v Fashion Place Assoc.*, 224 AD2d 280, 89 NY2d 917; *Kent v Bedford Apts. Co.*, 237 AD2d 140; 546 W. 156th St. *HDFC v Smalls*, 43 AD3d 7; 12-62 *Realty Corp. v Scapula*, 2 Misc 3d 132[A], 2004 NY Slip Op 50131[U].)

Meister Seelig & Fein LLP, New York City (*Stephen B. Meister* and *Thomas L. Friedman* of counsel), for Real Estate Board of New York, amicus curiae. I. The judicial construction of Rent Stabilization Law (Administrative Code of City of NY) §§ 26-504.1 and 26-504.2 (a) advanced in the appellate decision contradicts established precedents and will have grave consequences for owners of New York City apartment buildings and

their lenders, as well as New York City and state as a whole and therefore must be reversed. II. The Appellate Division's construction of Rent Stabilization Law §§ 26-504.1 and 26-504.2 (a) is incorrect.

Himmelstein, McConnell, Gribben, Donoghue & Joseph, New York City (*David S. Hershey-Webb, William J. Gribben and Ronald S. Languedoc* of counsel), for New York State Tenants & Neighbors Coalition, Inc. and another, amici curiae. I. The Appellate Division correctly determined that the express language of the statute provided that all units for which the owner receives J-51 benefits may not be deregulated, regardless of how or when the units first became rent stabilized. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *State of New York v Fashion Place Assoc.*, 224 AD2d 280.) II. The legislative history of the Decontrol Law supports the Appellate Division's construction of the statute. III. The Appellate Division correctly found that the Decontrol Law is to be interpreted in a manner consistent with the purpose of the J-51 Law and the rent laws. (*518 E. 13th Owner, LLC v Ellis*, 22 Misc 3d 446; *Matter of Bleecker St. Mgt. Co. v New York State Div. of Hous. & Community Renewal*, 284 AD2d 174, 97 NY2d 606; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Drucker v Mauro*, 30 AD3d 37, 7 NY3d 844; *Pultz v Economakis*, 40 AD3d 24, 10 NY3d 542.) IV. Defendants' misapplication of the Decontrol Law has resulted in a loss of affordable housing. (*Jemrock Realty Co. LLC v Krugman*, 64 AD3d 290; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 6 AD3d 28, 5 NY3d 303.) V. Neither the Division of Housing and Community Renewal's misinterpretation of the law nor the Department of Housing Preservation and Development's policies provide a basis to reverse the court below. (*Matter of Community Hous. Improvement Program v New York State Div. of Hous. & Community Renewal*, 230 AD2d 66; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.)

Borah, Goldstein, Altschuler, Nahins & Goidel, P.C., New York City (*Robert D. Goldstein, Paul N. Gruber and David B. Cabrera* of counsel), for Community Housing Improvement Program, Inc. and another, amici curiae. I. The construction of the

relevant statutes and regulations adopted by the Appellate Division will have severe and unwarranted consequences to all owners of units which had been properly exempted from rent stabilization under the previously unquestioned administrative interpretation upon which the real estate community relied. (*Noto v Bedford Apts. Co.*, 21 AD3d 762.) II. The presence of deregulated apartments in a J-51 building results in lower rents for current rent-stabilized tenants. III. The Supreme Court properly dismissed the complaint because the apartments at issue were properly deregulated as a matter of law. (*Matter of Prince Wooster Corp. v Tax Commn. of City of N.Y.*, 115 Misc 2d 100; *Matter of M.B.*, 6 NY3d 437; *Long v State of New York*, 7 NY3d 269; *Matter of Orens v Novello*, 99 NY2d 180; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Noto v Bedford Apts. Co.*, 21 AD3d 762; *Matter of 31171 Owners Corp. v New York City Dept. of Hous. Preserv. & Dev.*, 190 AD2d 441; *La Guardia v Cavanaugh*, 53 NY2d 67.)

Elizabeth R. Fine, General Counsel, Council of the City of New York, New York City (Lauren G. Axelrod and Alvin L. Bragg, Jr., of counsel), for Maria del Carmen Arroyo and others, amici curiae. I. The First Department correctly held that the plain language of the Rent Regulation Reform Act makes clear that high rent decontrol does not apply to units in the J-51 program. (*Geissal v Moore Medical Corp.*, 524 US 74; *State of New York v Fashion Place Assoc.*, 224 AD2d 280; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557.) II. Appellants' argument ignores the legislative history of the Rent Regulation Reform Act, which clearly demonstrates that the Legislature intended to exempt all J-51 units from high rent decontrol. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Northeast Bancorp, Inc. v Board of Governors, FRS*, 472 US 159; *People ex rel. Davies v Cowles*, 13 NY 350.) III. Appellants' construction of the Rent Regulation Reform Act is at odds with other provisions of the Real Property Tax Law and Rent Stabilization Law which demonstrate the Legislature's long-standing intent that all J-51 units remain rent stabilized. (*Matter of Seaman*, 78 NY2d 451.) IV. The City Council intended that J-51 units be rent stabilized, and appellants fall far short of meeting the high standard of proving beyond a reasonable doubt that the Legislature intended to preempt the City Council. (*Matter of Spielvogel v Ford*, 1 NY2d 558; *Bates v Dow*

Agrosciences LLC, 544 US 431; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Le Drugstore Etats Unis v New York State Bd. of Pharm.*, 33 NY2d 298; *Matter of Pell v Coveney*, 37 NY2d 494; *Khrapunskiy v Doar*, 49 AD3d 201; *State of New York v Green*, 96 NY2d 403; *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Paterson v University of State of N.Y.*, 14 NY2d 432; *City of New York v Park S. Assoc.*, 139 Misc 2d 997.)

Rosenberg & Estis, P.C., New York City (Jeffrey Turkel and Nicholas Kamillatos of counsel), for Rent Stabilization Association of NYC, Inc., amicus curiae. I. Rent Stabilization Law ([RSL] Administrative Code of City of NY) § 26-504 (c) does not apply to apartments that originally became subject to stabilization for reasons other than receiving J-51 benefits, which thereafter received such benefits, and does not bar luxury deregulation under RSL §§ 26-504.1 and 26-504.2. (*Matter of 275 Webster Tenants v Wright*, 238 AD2d 143; *La Guardia v Cavanaugh*, 53 NY2d 67; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; 8200 *Realty Corp. v Lindsay*, 27 NY2d 124; *Riley v County of Broome*, 95 NY2d 455; *Matter of Metropolitan Life Ins. Co. v State Tax Commn.*, 80 AD2d 675, 55 NY2d 758; *Noto v Bedford Apts. Co.*, 21 AD3d 762.) II. Rent Stabilization Law ([RSL] Administrative Code of City of NY) §§ 26-504.1 and 26-504.2 allow apartments like those at Peter Cooper Village and Stuyvesant Town to be luxury deregulated, irrespective of how broadly RSL § 26-504 (c) is interpreted. (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *People v Avilas, Inc.*, 29 AD3d 764; *Matter of Lupoli*, 275 AD2d 44, 99 NY2d 503; *Matter of Prospect v Cohalan*, 109 AD2d 210, 65 NY2d 867; *New York State Crime Victims Bd. v T.J.M. Prods.*, 265 AD2d 38; *People v Mobil Oil Corp.*, 48 NY2d 192; *Matter of Francois v Dolan*, 95 NY2d 33; *Erie County Water Auth. v Kramer*, 4 AD2d 545, 5 NY2d 954.) III. The Appellate Division, when construing Rent Stabilization Law ([RSL] Administrative Code of City of NY) §§ 26-504.1 and 26-504.2, failed to take into account the rent regulatory community's long-term practical construction of those provisions. (*Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156; *Department of Fin. of City of N.Y. v New York Tel. Co.*, 262 AD2d 96; *Matter of Kolb v Holling*, 285 NY 104; *Matter of Lockport Union-Sun & Journal v Preisch*, 8 NY2d 54; *Household Fin. Corp. v Goldring*, 263 App Div 524, 289 NY 574; *City of New York v New York City Ry. Co.*, 193 NY 543; *Matter of Niagara Falls Urban Renewal Agency v O'Hara*,

57 AD2d 471.) IV. Adopting the tenants' position would grant a windfall to undeserving tenants, and would adversely affect owners, lenders and the city's housing stock. (*Kraebel v New York City Dept. of Hous. Preserv. & Dev.*, 959 F2d 395; *Matter of 31171 Owners Corp. v New York City Dept. of Hous. Preserv. & Dev.*, 190 AD2d 441.)

Jimmy Yan, General Counsel, Office of the Manhattan Borough President, New York City, for Office of the Manhattan Borough President, amicus curiae. I. The Appellate Division correctly held that the high rent decontrol statute does not apply to units in the J-51 program. (*Demette v Falcon Drilling Co., Inc.*, 280 F3d 492; *Reid v Covert*, 354 US 1; *Pacific Gas Transmission Co. v Richardson's Recreational Ranch, Ltd.*, 9 F3d 1394; *Housing Auth. of Kaw Tribe of Indians of Okla. v City of Ponca City*, 952 F2d 1183; *Ramirez de Arellano v Weinberger*, 745 F2d 1500; *Dettmers v Commissioner of Internal Revenue*, 430 F2d 1019; *Anderson v McKay*, 211 F2d 798; *Barton v Smith*, 162 F2d 330; *Jay v Chicago Bridge & Iron Co.*, 150 F2d 247; *Dunlap v Kansas, Dept. of Health & Env't.*, 211 F Supp 2d 1334.) II. The Appellate Division's decision should be affirmed and applied retroactively to defendants and other landlords who have improperly deregulated apartment units while receiving J-51 benefits. (*Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Gager v White*, 53 NY2d 475; *Chevron Oil Co. v Huson*, 404 US 97; *People v Favor*, 82 NY2d 254; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *Radec Corp. v KMart Corp.*, 251 AD2d 1003; *Matter of Taihem F.*, 222 AD2d 322; *James v Liberty Lines*, 97 AD2d 749; *Matter of Bleecker St. Mgt. Co. v New York State Div. of Hous. & Community Renewal*, 284 AD2d 174.) III. Defendants' assertions of extreme economic impact are speculative and without merit. IV. Defendants' interpretation of the luxury decontrol statutes deprives New York City of the benefit of its bargain, undermining the public policy of strictly construing tax benefits to private parties at the expense of the taxpaying public. (*Matter of 31171 Owners Corp. v New York City Dept. of Hous. Preserv. & Dev.*, 190 AD2d 441; *Matter of City of Lackawanna v State Bd. of Equalization & Assessment of State of N.Y.*, 16 NY2d 222; *Matter of Howard v Wyman*, 28 NY2d 434.)

Harvey Epstein, New York City, for Urban Justice Center, amicus curiae. I. Allowing the premature deregulation of J-51 units directly conflicts with the purpose of the Rent Stabilization Law and will have devastating impacts on New York City's

tenants and its housing supply. (*Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *245 Realty Assoc. v Sussis*, 243 AD2d 29.) II. The Appellate Division correctly interprets Rent Stabilization Law ([RSL] Administrative Code of City of NY) §§ 26-504.1 and 26-504.2 (a) to preclude beneficiaries of the J-51 program from using the RSL's "high rent" or "high income" exclusions to deregulate their rent-stabilized apartments. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Long v State of New York*, 7 NY3d 269; *People v Santi*, 3 NY3d 234; *State of New York v Fashion Place Assoc.*, 224 AD2d 280; *Riley v County of Broome*, 95 NY2d 455; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98.)

Collins Dobkin & Miller, LLP, New York City (Seth A. Miller of counsel), for Mitchell-Lama Residents Coalition, amicus curiae. The language exempting J-51 assisted apartments from deregulation is designed to harmonize with the requirement of the J-51 program that every J-51 assisted apartment remain regulated throughout the benefits period. (*La Guardia v Cavanaugh*, 53 NY2d 67; *Pultz v Economakis*, 10 NY3d 542; *Demette v Falcon Drilling Co., Inc.*, 280 F3d 492; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186; *Davis v Michigan Dept. of Treasury*, 489 US 803; *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 66 NY2d 298; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Sack v New York State Div. of Hous. & Community Renewal*, 250 AD2d 537; *State of New York v Fashion Place Assoc.*, 224 AD2d 280; *East W. Renovating Co. v New York State Div. of Hous. & Community Renewal*, 16 AD3d 166.)

OPINION OF THE COURT

Per Curiam.

In this lawsuit, nine plaintiff tenants of Peter Cooper Village and Stuyvesant Town, two adjoining Manhattan apartment complexes comprising 110 buildings and occupying roughly 80 acres between 14th and 23rd Streets along the East River (the properties or the apartment complexes) contend that defendants Tishman Speyer Properties, L.P., and PCV ST Owner LP

(collectively, PCV/ST), and Metropolitan Insurance and Annuity Company and Metropolitan Tower Life Insurance Company (collectively, MetLife), the current and former owners of the properties, respectively, were not entitled to take advantage of the luxury decontrol provisions of the Rent Stabilization Law (RSL)¹ while simultaneously receiving tax incentive benefits under the City of New York's J-51 program. We agree.

I.

In New York City, multiple dwellings may qualify for tax incentives designed to encourage rehabilitation and improvements (*see* Administrative Code of City of NY § 11-243 [previously § J51-2.5]). Specifically, the City's J-51 program, authorized by Real Property Tax Law § 489, allows property owners who complete eligible projects to receive tax exemptions and/or abatements that continue for a period of years. Eligible projects include moderate and gut rehabilitations; major capital improvements (for example, asbestos abatement or boiler replacement); and conversions of lofts and other nonresidential buildings into multiple dwellings (*see* Administrative Code § 11-243 [b] [2], [3], [8]; 28 RCNY 5-03 [a]). Rental units in buildings receiving these exemptions and/or abatements must be registered with the State Division of Housing and Community Renewal (DHCR), and are generally subject to rent stabilization for at least as long as the J-51 benefits are in force (*see* 28 RCNY 5-03 [f]). The Department of Housing Preservation and Development administers the J-51 program in the City of New York.

MetLife apparently first applied for and received J-51 benefits for the properties in 1992. At the time, the apartment complexes, which MetLife built in the 1940s, had already been rent-stabilized since at least 1974.

In 1993, the Legislature enacted the Rent Regulation Reform Act (RRRA) (L 1993, ch 253), which provided for the luxury decontrol or deregulation of certain rent-stabilized apartments. The RRRA identified two circumstances in which deregulation was warranted: (1) in vacant apartments where the legal regulated rent was \$2,000 per month or more; and (2) in occupied apartments where the legal regulated rent was \$2,000 per month or more and the combined annual income of all occupants exceeded \$250,000 per year (RSL [Administrative Code]

1. The RSL is codified at Administrative Code of City of NY §§ 26-501 to 26-520.

§§ 26-504.1, 26-504.2). The RRRA carved out an exception to luxury decontrol, which stated: “this exclusion [i.e., luxury decontrol] shall not apply to housing accommodations which became or become subject to this law [i.e., the RSL] (a) by virtue of receiving tax benefits pursuant to section . . . four hundred eighty-nine of the real property tax law [J-51 benefits]” (RSL §§ 26-504.1, 26-504.2 [a]). The Legislature subsequently expanded the scope of luxury decontrol by lowering the income threshold for defining high-income households to \$175,000 and allowing postvacancy improvements to count toward the \$2,000 per month rent threshold (L 1997, ch 116); and permitting deregulated units to remain deregulated even if an owner subsequently charges less than the \$2,000 per month threshold (L 2003, ch 82).

On January 16, 1996—prior to the 1997 amendments to the RRRA—DHCR issued an advisory opinion, which stated that participation in the J-51 program only precluded luxury decontrol “where the receipt of such benefits is the *sole reason* for the accommodation being subject to rent regulation” (emphasis added). On its face, the DHCR advisory opinion relies exclusively on a textual interpretation of the RRRA’s relevant provisions. Further, DHCR took the position that

“where Luxury Decontrol is applied before the ‘J-51’ tax benefit period has expired, the abatement should be reduced proportionately. That the Legislature recognized the inherent inequity of an owner’s continuing to enjoy tax benefits after decontrol is apparent from RPTL Section 489 7 (b) (1), which provides that as to . . . [‘]any multiple dwelling, building or structure which is decontrolled subsequent to the granting of such benefits, the local legislative body or other governing agency may withdraw such benefits from such dwelling.’ ”

In April 2000, DHCR proposed changes to the Rent Stabilization Code (RSC) in order to “conform regulations to statutes, particularly the RRRAs of 1993 and 1997, judicial determinations and . . . agency practice” (22 NY Reg [issue 14], Apr. 5, 2000, at 17). After public hearing and comment, DHCR adopted these changes, which became effective on December 20, 2000 (*see* 22 NY Reg [issue 51], Dec. 20, 2000, at 18-20 [notice of adoption]). As relevant to this appeal, DHCR amended section 2520.11 of the RSC, titled “Applicability,” to provide that

“[luxury decontrol] shall not apply to housing

accommodations which became or become subject to the RSL and this Code:

“(i) *solely* by virtue of the receipt of tax benefits pursuant to . . . section 11-243 (formerly J51-2.5) or section 11-244 (formerly J51-5) of the Administrative Code of the city of New York, as amended” (RSC [9 NYCRR] § 2520.11 [r] [5]; [s] [2] [emphasis added]).

And in February 2004, DHCR issued (and subsequently reissued in January 2007) Fact Sheet 36, entitled “High-Rent Vacancy Decontrol and High-Rent High-income Decontrol,” which similarly specified that “[a]partments that are subject to rent regulation *only because of* the receipt [of J-51 benefits] do not qualify for high-rent vacancy decontrol” (emphasis added).

At some point after the RRRRA was enacted, MetLife, with DHCR’s approval (*see* RSL § 26-504.3 [b]), began charging market-rate rents for those rental units in the properties where the conditions for high rent/high income luxury decontrol were met. In late 2006, MetLife sold the properties to PCV/ST for \$5.4 billion.

Months after the sale, plaintiffs—nine individuals who reside in seven apartments in the apartment complex—sued MetLife and PCV/ST on behalf of a putative class of all current and former tenants who allegedly were, or will be, charged rents that exceed rent stabilization levels for any period during which the landlord receives real estate tax benefits under the J-51 program. Specifically, plaintiffs claimed that “in or about 2001 or 2002, and continuing through the present time,” defendants have “improperly and unlawfully charged thousands of tenants market rents, even as [defendants] have collected . . . tax benefits under the J-51 program,” amounting to “nearly \$25 million”; they alleged that about one quarter of the 11,200 apartments in the apartment complex had been luxury decontrolled. Plaintiffs sought a declaration that units in the properties would remain rent-stabilized “until the last applicable J-51 tax benefits period . . . has expired [in or about 2017 or 2018],” and that defendants would “comply with all appropriate legal requirements to deregulate the units.” Plaintiffs also sought relief in the form of rental overcharges totaling \$215 million and attorneys’ fees.

PCV/ST and MetLife moved to dismiss the complaint for failure to state a cause of action, arguing that the RRRRA’s

exception to deregulation for apartments that “became or become” subject to the RSL “by virtue of” receiving J-51 tax benefits did not apply to the properties because they did not “become subject to” the RSL “by virtue” of the receipt of J-51 tax benefits. Rather, the apartment complex “became subject to rent stabilization in or prior to 1974,” nearly two decades before MetLife first received J-51 benefits.

In a decision dated August 16, 2007, Supreme Court dismissed the complaint, reasoning that “the clear and unambiguous language of the RSL states that the luxury decontrol ‘exclusion shall not apply to housing accommodations which became or become subject to this law (a) by virtue of receiving [J-51] tax benefits’ ” (2007 NY Slip Op 32639, *10, quoting RSL §§ 26-504.1, 26-504.2 [a]). Because the properties became subject to the RSL “18 years before applying for J-51 tax benefits,” the court concluded that “defendants did not become subject to rent stabilization by virtue of receiving” these benefits (*id.* at *11).

Supreme Court further noted that this interpretation, adopted by DHCR, was consistent with the luxury decontrol laws, which were intended to “restore some rationality to a system which provides the bulk of its benefits to high income tenants” (*id.*, quoting *Noto v Bedford Apts. Co.*, 21 AD3d 762, 765 [1st Dept 2005] [internal quotation marks omitted]); that DHCR’s interpretation of the statute, if not unreasonable or irrational, was entitled to deference; and that the Legislature’s failure to amend the RSL in response to DHCR’s interpretation when subsequently amending the luxury decontrol provisions showed that it acquiesced in this construction. Plaintiffs appealed.

The Appellate Division unanimously reversed Supreme Court’s decision and order, and reinstated the complaint. The court concluded that building owners who receive J-51 benefits forfeit their rights under the luxury decontrol provisions even if their buildings were already subject to the RSL. According to the Appellate Division, the words “by virtue of” did not confine the exclusion from luxury deregulation to buildings that became subject to the RSL only because they received J-51 benefits; DHCR’s interpretation of this provision was not entitled to deference because a pure issue of statutory reading and analysis was involved; if the Legislature had intended the provision to mean “solely by virtue of,” as DHCR concluded, it would have used the word “solely”; its interpretation was “more consistent with the overall statutory scheme,” which made no overt

distinction between properties “subject to” the RSL solely as a result of the owner’s receipt of J-51 benefits and those “subject to” the RSL before receiving such benefits; and Supreme Court’s reading “invite[d] absurd and irrational results” (*Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 83 [1st Dept 2009]).

The Appellate Division subsequently granted defendants’ motion for leave to appeal, certifying the following question: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?” For the reasons that follow, we answer affirmatively.

II.

PCV/ST and MetLife argue principally that the relevant exception to luxury decontrol applies only to accommodations that “became or become” subject to the RSL “by virtue of receiving tax benefits pursuant to section . . . four hundred eighty-nine of the real property Tax Law [J-51 benefits]” (RSL §§ 26-504.1, 26-504.2 [a]). And since the word “become” means to “pass from a previous state or condition” or to “take on a new role, essence, or nature” (Webster’s Third New International Dictionary of the English Language 195 [1963]), a rental unit can “become” subject to the RSL only when it passes from being unregulated to being regulated—i.e., when its status changes on account of the owner’s receipt of J-51 benefits. By contrast, a rental unit does not “become” subject to the RSL by virtue of receiving J-51 benefits if it was already subject to rent stabilization. According to PCV/ST and MetLife, if the Legislature had intended to preclude luxury deregulation for all rent-stabilized apartments receiving J-51 benefits, it would have omitted the phrases “became or become” and “by virtue of” from the statute, and simply written that the exception did not apply to accommodations “receiving” such tax benefits. They note that the Legislature used this latter phraseology in RSL § 26-504 (c) (referring to “Dwelling units in a building or structure receiving the benefits of [J-51]”).²

2. PCV/ST and MetLife also suggest that if we affirm the Appellate Division’s decision and order, we should apply the statute prospectively rather than retroactively because they reasonably relied on DHCR’s unambiguous and long-standing interpretation of the RSL’s luxury decontrol provisions. Because the lower courts did not consider this issue—as defendants acknowledge—we do not consider it at this time.

III.

PCV/ST and MetLife emphasize that since 1996 DHCR—the state agency entrusted with administering rent stabilization—has interpreted the luxury decontrol provisions in the manner they advocate. This is not, however, entirely correct; DHCR’s interpretation and the one PCV/ST and MetLife now offer are different. DHCR has interpreted “by virtue of” to mean “solely by virtue of,” while PCV/ST and MetLife rely on the “became or become” language of the statute. The two interpretations would lead to the same result in this case, but not in every case. For example, under DHCR’s interpretation, a building that first became subject to the RSL due to receipt of J-51 benefits—but is also subject to the provisions of the RSL for some other reason (*see* RSL § 26-504)—would be subject to luxury decontrol because it would not be stabilized “solely” because of J-51 benefits. On the other hand, under the argument made by PCV/ST and MetLife, the same building would be exempt from luxury decontrol because it “became” subject to stabilization when the first triggering event—receipt of the J-51 benefits—occurred.

It is understandable that PCV/ST and MetLife prefer not to defend DHCR’s reading, because it is contrary to the plain text of the statute. “By virtue of” and “solely by virtue of” simply do not mean the same thing. Nor do we owe deference to DHCR’s reading, for this appeal does not call upon us to interpret a statute where “specialized knowledge and understanding of underlying operational practices or . . . an evaluation of factual data and inferences to be drawn therefrom” is at stake such that we should “defer to the administrative agency’s interpretation unless irrational or unreasonable” (*Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005], quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980] [internal quotation marks omitted]). Rather, where

“the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations . . . And, of course, if the regulation runs counter to the clear wording of a statutory provision, it should not be accorded any weight” (*Kurcsics*, 49 NY2d at 459).

When construing a statute, we seek to discern and give effect to the Legislature's intent (*Carney v Philipponne*, 1 NY3d 333, 339 [2004]), and the starting point for accomplishing this is the statute's language (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). If the language is ambiguous, we may examine the statute's legislative history (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

Here, we conclude that defendants' interpretation of the exception to luxury decontrol for units that "became or become" subject to rent stabilization "by virtue of receiving" J-51 benefits conflicts with the most natural reading of the statute's language. Defendants essentially read these words as recognizing two categories of J-51-benefitted buildings—those, like the properties, that were rent-stabilized prior to receiving J-51 benefits, for which luxury decontrol became available in 1993; and those that only became rent-stabilized as a condition of receiving J-51 benefits, for which luxury decontrol is unavailable (at least during the benefit period). But there is no language anywhere in the statute delineating these two supposed categories, and we see no indication that the Legislature ever intended such a distinction—one that never occurred to anyone, so far as this record shows, until after the present lawsuit was brought. Contrary to PCV/ST's and MetLife's argument, there is nothing impossible, or even strained, about reading the verb "become" to refer to achieving, for a second time, a status already attained.

Even assuming that the reading given to "became or become" by PCV/ST and MetLife is a possible one, the RRRRA's legislative history better supports our interpretation of the statute. The RRRRA's sponsor stated that luxury decontrol was unavailable to building owners who "enjoy[ed] another system of general public assistance" such as J-51 benefits (NY Senate Debate on Assembly Bill A8859, July 7, 1993, at 8214). Although the dissent accuses us of "pluck[ing] a snippet" of the sponsor's words to support our conclusion (dissenting op at 291), in response to a question posed by a colleague exploring the very issue presented here, he said that

"should the exemptions contained in section 489 end, that's—those J.51s and 489s end, then they would be subject so that at no point do you have the [luxury] decontrol provisions applying to the buildings which have received the tax exemptions that I just mentioned" (Senate Debate at 8214).

The dissent's attempt to selectively highlight portions of the question does not diminish the force of the sponsor's answer, which plainly indicates that "at no point" would the luxury decontrol provisions apply to buildings which "received" tax exemptions being discussed, including J-51 benefits. Certainly it cannot be argued that the thrust of that statement indicates otherwise.

Nor will we infer, as defendants suggest, that the Legislature's inactivity in the face of DHCR's interpretation of the statute constitutes its acquiescence thereto. Legislative inactivity is inherently ambiguous and "'affords the most dubious foundation for drawing positive inferences'" (*Clark v Cuomo*, 66 NY2d 185, 190-191 [1985], quoting *United States v Price*, 361 US 304, 310-311 [1960]). It is true that, where the practical construction of a statute is well known, the Legislature may be charged with knowledge of that construction and its failure to act may be deemed an acceptance (*Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84, 90 [1976]). However, at the time the Legislature most recently considered the statute, there is no indication that the specific question presented here—that DHCR's interpretation is improper and conflicts with the plain language of the statute—had been brought to the Legislature's attention (*see Kurcsics*, 49 NY2d at 459 n 4).

IV.

Defendants predict dire financial consequences from our ruling, for themselves and the New York City real estate industry generally. These predictions may not come true; they depend, among other things, on issues yet to be decided, including retroactivity, class certification, the statute of limitations, and other defenses that may be applicable to particular tenants. If the statute imposes unacceptable burdens, defendants' remedy is to seek legislative relief. Moreover, the dissent predicts that our decision will cause "years of litigation over many novel questions to deal with the fallout from today's decision" (dissenting op at 295). That the courts and litigants may experience some additional burden, however, is no reason to eschew what we view as the only correct interpretation of the statute (*cf. Matter of Gross v Perales*, 72 NY2d 231, 237 [1988]).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

READ, J. (dissenting). This appeal calls upon the Court to interpret an exception to the luxury decontrol mandated by the Legislature when it enacted the Rent Regulation Reform Act in 1993 (RRRA), “a first attempt to restore some rationality” to the then current rent regulation system by paring back the benefits conferred on “those not in economic need of protection” (Senate Mem in Support, 1993 NY Legis Ann, at 175). The exception reads as follows:

“Provided, however, that this exclusion [for luxury decontrol] shall not apply to housing accommodations which became or become subject to [the Rent Stabilization Law (RSL)] (a) by virtue of receiving tax benefits pursuant to section [421-a] or [489] of the real property Tax Law . . . ,^[1] or (b) by virtue of article seven-C of the multiple dwelling law” (RSL [Administrative Code of City of NY] §§ 26-504.1, 26-504.2 [a]).²

The majority interprets the portion of the exception dealing with Real Property Tax Law § 489 (which authorizes New York City’s J-51 program) to exclude from luxury decontrol all buildings receiving J-51 tax benefits. Defendants, who point to DH-CR’s long-standing interpretation of the statute, read it to exempt only those buildings subject to the RSL solely because of the receipt of J-51 tax benefits. The majority takes the position that defendants’ view is “contrary to the plain text of the statute” (majority op at 285), and “conflicts with the most natural reading of the statute’s language” (*id.* at 286). I respectfully dissent.

The Statutory Language

The majority’s interpretation necessarily supposes that the Legislature inserted pointless words into the statute. That is, if the Legislature had intended for all buildings *receiving* J-51 tax benefits to be exempt from luxury deregulation, it could have easily said just that. Instead, the exception includes 10 additional words—excluding from luxury decontrol those buildings that “became or become subject to this law [the RSL] (a) by virtue of” receiving J-51 benefits. We generally assume that

1. The deleted language relates only to buildings receiving real property tax abatements under section 421-a of the Real Property Tax Law, and is not relevant to this case.

2. Hereafter, these provisions are referred to collectively as “the exception” or “the statute.”

every word in a statute contributes something to its meaning (see e.g. *People v Finley*, 10 NY3d 647, 655 [2008], citing *People v Giordano*, 87 NY2d 441, 448 [1995], quoting *Sanders v Winship*, 57 NY2d 391, 396 [1982] [“Under well-established principles of interpretation, effect and meaning should be given to the entire statute and every part and word thereof” (internal quotation marks omitted)]).

Defendants’ interpretation of the exception, unlike the majority’s, gives meaning to all of its operative language. As defendants point out, the words “became” or “become” mean to “pass from a previous state or condition and come to be” or to “take on a new role, essence, or nature” (see Webster’s Third New International Dictionary 195 [1986]). The definition of “subject” is “one that is placed under the authority, dominion, control, or influence of” (*id.* at 2275); and the parties do not dispute that “by virtue of” means “because of” or “by reason of.” Thus, buildings that “became or become subject to [the RSL] by virtue of” receiving J-51 tax benefits passed from their former state (unregulated) into a new state (rent-stabilized) because of their owners’ receipt of these benefits. That did not happen here since the apartment buildings comprising Peter Cooper Village and Stuyvesant Town have been rent-regulated since at least 1974, 18 years before any building in either complex is alleged to have received J-51 benefits. They did not “become” rent-stabilized by virtue of receiving J-51 benefits; they already *were* rent-stabilized (see *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 311-312 [2005] [once a building became rent-stabilized, later, redundant statutory routes “would not have (been) needed” to make the building subject to the RSL]).

The majority resists the logic of this reading on several bases; first, that “there is nothing impossible, or even strained, about reading the verb ‘become’ to refer to achieving, for a second time, a status already attained” (majority op at 286). While “become” may be used colloquially in this imprecise sense, we usually—in the absence of statutory definitions—look to dictionary definitions when trying to figure out the meaning of a word or phrase used in a statute (see e.g. *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]). Even accepting the majority’s point, all this means is that defendants’ reading of “become” is not clearly correct—i.e., the usage is ambiguous—not that it is clearly wrong, although this seems to be the majority’s implicit conclusion.

The majority also takes issue with defendants' emphasis on the State Division of Housing and Community Renewal (DHCR)'s reading of the statute, stating that "DHCR's interpretation and the one [defendants] now offer are different" because "DHCR has interpreted 'by virtue of' to mean 'solely by virtue of,' while [defendants] rely on the 'became or become' language" (majority op at 285).³ Further, the majority adds, "[b]y virtue of" and 'solely by virtue of' simply do not mean the same thing" (*id.*).

In fact, what defendants argue is that the words "became or become subject to," read according to their dictionary meaning, modify the subsequent phrase "by virtue of" so as to create "no less a narrowing effect . . . than would 'solely.'" In short, by inserting "solely" before the phrase "by virtue of," DHCR simply created a redundancy in its regulations (*see* Rent Stabilization Code [RSC] [9 NYCRR] § 2520.11 [r] [5]; [s] [2]); it did not change the statute's meaning.

Finally, the majority objects that defendants' reading of the statute implicitly creates two categories of J-51-benefitted properties—i.e., "those . . . that were rent-stabilized prior to receiving J-51 benefits, for which luxury decontrol became available in 1993; and those that only became rent-stabilized as a condition of receiving J-51 benefits, for which luxury decontrol is unavailable (at least during the benefit period)"; and that there is "no indication that the Legislature ever intended such a distinction," or that it ever "occurred to anyone . . . until after the present lawsuit was brought" (majority op at 286).

Addressing the latter point first, it is not at all obvious that this distinction occurred to no one until this lawsuit.⁴ Contrariwise, it is apparent (as discussed later) that, until this lawsuit, no one thought to argue that already rent-stabilized buildings

3. The majority also opines that these two purportedly divergent interpretations "would lead to the same result in this case, but not in every case," and then poses a hypothetical example to illustrate this point (majority op at 285). It is not evident that, in the real world (as opposed to the hypothetical one), the different results theorized would ever occur, absent changes in the current rent regulation/tax benefit regimes.

4. Amicus Rent Stabilization Association of NYC, Inc. provided us with a detailed history of the J-51 statute and rent regulation over several decades. The gist of this presentation (although disputed) is that by law and practice the New York City rent laws have long distinguished between apartments that became subject to rent regulation by virtue of receiving J-51 tax benefits, and apartments that were already rent-regulated for other reasons (like those in the Peter Cooper Village and Stuyvesant Town apartment complexes) at the time they received J-51 benefits.

subsequently receiving J-51 tax benefits were excluded from luxury decontrol.

As for what the Legislature intended, the distinction complained about by the majority flows naturally from the legislative language chosen (i.e., “become or became” and “by virtue of”), given the nature of the J-51 program. Two general categories of buildings are eligible for J-51 tax benefits. First, there are existing, already rent-stabilized apartment buildings (like those in the Peter Cooper Village and Stuyvesant Town apartment complexes), which receive J-51 benefits in connection with capital improvements or repairs, such as a new boiler (*see e.g.* Administrative Code of City of NY § 11-243 [b] [4], [5], [6]; Rules of City of NY Dept of Hous Preserv and Dev [28 RCNY] § 5-03 [b], [c]). The second category includes buildings that are substantially rehabilitated to create new family units and receive benefits on account of those conversions or rehabilitations (*see e.g.* Administrative Code § 11-243 [b] [2], [3], [8]; 28 RCNY 5-03 [a] [1], [2], [3], [4], [6], [7]). Buildings within the second category become rent-stabilized as a condition of receipt of J-51 benefits,⁵ and enter the rent-stabilization regime at existing market rates (*see* Rent Stabilization Code [RSC] [9 NYCRR] § 2521.1 [h]). Again, if the Legislature had intended to exclude *all* buildings receiving J-51 tax benefits from luxury decontrol—i.e., those in both categories—it should have, and presumably would have, specified in the statute that housing accommodations *receiving* J-51 benefits were excluded, not just those that “became or become subject to [the RSL] by virtue of” receiving J-51 benefits.

Legislative Intent

To bolster its textual analysis, the majority plucks a snippet from a floor exchange during the Senate debate on the bill that became the RRRA. We have always treated this species of legislative history “cautiously” (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 586-587 [1998]). In any event, the full text of this question-and-answer dialogue (which follows) does not appear to support the meaning teased out of it by the majority:

5. Defendants point out that J-51-benefitted buildings within this second category are therefore akin to the other two kinds of buildings within the exception—those covered by Real Property Tax Law § 421-a (new construction) and article 7-C of the Multiple Dwelling Law (the 1982 Loft Law, which governs commercial loft buildings converted into residential housing)—which likewise are not otherwise rent-stabilized.

“SENATOR MENDEZ: Senator Hannon, your bill will include—will affect those renters who are in apartments J.51s and 421-As. O.K. Those *buildings were constructed* with some part of taxpayers’ monies, monies from all of us, and all of the people out there in the state of New York to help the *developers build those apartments*.

“My question to you is, once this bill is approved here and it will pass this chamber, will *those landlords* keep and not get taken away, keep the decontrol of the so-called luxury apartments with the abatements, those tax abatements that they have negotiated, or will they be returned to the taxpayers?

“SENATOR HANNON: Well, *in answer to your question*, Senator, which is an excellent one, we have provided that, because some buildings are enjoying another system of general public assistance, namely the tax exemptions, that to the extent the building is currently enjoying a 421 tax exemption, it is not subject to the decontrol provisions here. Should those exemptions end or should the exemptions contained in section 489 end, that’s—those J.51s and 489s end, then they would be subject so that at no point do you have the decontrol provisions applying to the buildings which have received the tax exemptions that I just mentioned” (Senate Debate on NY Assembly Bill A8859, July 7, 1993, at 8213-8214 [emphasis added]).

By referring to buildings that were *constructed* and to *developers* who *build* with tax benefits, Senator Mendez’s question was directed at buildings entering the rent-stabilization regime for the first time as a condition of receiving J-51 tax benefits (i.e., the second category of J-51-benefitted properties, previously discussed), or section 421-a tax benefits (i.e., new construction). In short, Senator Hannon’s response to Senator Mendez was limited by her question to developers of new construction projects.

Critically, the majority does not even mention the most important gauge of statutory meaning in this case, apart from the actual words the Legislature chose. The RRRA has a sunset clause, which forces the Legislature to reconsider its terms periodically. This has happened twice since 1996, when DHCR

issued its advisory opinion—in 1997 and in 2003.⁶ While otherwise amending the RRRA in both 1997 and 2003, the Legislature left the language central to this appeal (“became or become subject to [the RSL] by virtue of”) intact.

As plaintiffs themselves put it, “[b]attles over rent stabilization are among the fiercest in Albany.” It is therefore doubtful that the Legislature was unaware in 1997 of DHCR’s advisory opinion, especially in light of the existence of DHCR decontrol orders premised on it, and the New York City Department of Housing Preservation and Development (HPD)’s issuance of prorated J-51 tax benefits to buildings with luxury-decontrolled apartments. And it is inconceivable that the Legislature did not know what was afoot six years later in 2003. This is especially so because DHCR in the meantime revised the Rent Stabilization Code (RSC or the Code) for the express purpose of incorporating regulations implementing its interpretation of the substantive changes wrought by “the RRRAs of 1993 and 1997” (22 NY Reg [issue 51], Dec. 20, 2000, at 18).

After receiving and evaluating an “extensive volume and scope of comments,” DHCR adopted the revised RSC, effective December 20, 2000 (*id.* at 19). The Code made DHCR’s interpretation of RSL §§ 26-504.1 and 26-504.2 unmistakably clear: the exception from luxury decontrol for buildings receiving J-51 tax benefits covered only those buildings rent-stabilized solely on this basis (*see* RSC § 2520.11 [r] [5]; [s] [2]). Yet, the Legislature in 2003 did not amend the RRRA to adopt the interpretation favored by plaintiffs, although it otherwise modified the statute.

As we have observed,

“[q]uestionable as may be any reliance on legislative inactivity, we would distinguish instances in which the legislative inactivity has continued in the face of a prevailing statutory construction. Thus, ‘[w]here the practical construction of a statute is well known, the Legislature is charged with knowledge and its failure to interfere indicates acquiescence’ ” (*Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84, 90 [1976], quoting *Engle v Talarico*, 33 NY2d 237, 242 [1973]).

We were faced with a fact pattern comparable to this case in *Matter of Ansonia Residents Assn. v New York State Div. of*

6. The statute is next due for renewal in 2011 (*see* L 2003, ch 82, §§ 7, 8, 9).

Hous. & Community Renewal (75 NY2d 206 [1989]). There—as here—the tenants argued that the plain wording of a provision in the RSL conflicted with the way in which DHCR interpreted and implemented it. We observed that DCHR and its predecessor agencies had construed the statute consistently, however, and that “the local legislature, in never choosing to amend the statute to provide otherwise, has acquiesced in [DHCR’s] construction” (*id.* at 215; *see also Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 170 [1993] [when concluding that DHCR was authorized to adopt challenged regulations, Court considered it significant that Legislature had not sought to undo DHCR’s interpretation at a time when it was substantially reforming rent regulation]).

Regulatory Interpretation and Implementation

The majority gives no weight whatsoever to DHCR’s interpretation of the exception. DHCR is vested with a “broad mandate to promulgate regulations in furtherance of the rent control and rent stabilization laws” (*Higgins*, 83 NY2d at 168), and is steeped in the history and lore of rent regulation. While we may not owe deference to the administrative agency, it should count for something that DHCR adopted its interpretation as a formal regulation after a notice-and-comment rulemaking enjoying wide participation by both landlord and tenant advocacy groups and interests. If DHCR’s interpretation were as wide of the mark as the majority claims, it is odd that this infirmity was not discovered then. In this regard, defendants point out that two of the amici supporting plaintiffs on this appeal⁷ submitted over 50 pages of comments objecting to many aspects of DHCR’s proposed amendments to the Code in 2000, but they never mentioned, much less complained about, the proposed rules codifying the word “solely” (*see* http://www.tenant.net/DHCR_info/newcode/legserv-RSC.pdf).

Further, the majority ignores the manner in which HPD actually administers the J-51 program. HPD’s J-51 application form requires the building owner to identify the number of both “exempt” and rent-stabilized apartments (*see* <http://www.nyc.gov/html/hpd/downloads/pdf/J51-application.pdf>). The record on appeal includes a certificate of eligibility issued by HPD on July 28, 2003, awarding J-51 tax benefits to 350 First

7. There were six amicus briefs filed on behalf of plaintiffs. (Three amicus briefs were filed on behalf of defendants.)

Avenue, a building in the Peter Cooper Village complex. This certificate shows that HPD *reduced* the J-51 benefit in proportion to the number of luxury-decontrolled units in the building, consistent with DHCR's interpretation and regulation.

Conclusion

The majority downplays the risk of “dire financial consequences from [this] ruling[] for [defendants] and the New York City real estate industry” (majority op at 287). While it is true that dire predictions often prove to be mistaken, this is not always the case just because it usually is. After all, the Trojans would have done well to heed Cassandra. And you do not have to be gifted with her powers of prophecy to foresee significant, if not severe, dislocations in the New York City residential real estate industry as a result of today's decision. This is inevitable because the Court has upended an understanding of the law upon which numerous and substantial business transactions and dealings have been predicated for over a decade. On the other side of the equation, since at least 2000 no tenant residing in Stuyvesant Town or Peter Cooper Village has had any reason to expect immunity from the RSL's luxury-decontrol provisions.

The majority's observation that the extent of defendants' losses ultimately will turn on legal issues and defenses yet to be resolved is cold comfort. It will take years of litigation over many novel questions to deal with the fallout from today's decision. In the absence of meaningful legislative action, uncertainty will reign in an industry already rocked by the bursting of the great residential real estate bubble. And as one amicus reminded us, many of those at risk are “Mom and Pop” owners of a single building, and owners with midsized portfolios, mostly located outside Manhattan. For some of these entities, a prolonged summary proceeding with even a few tenants may threaten financial viability, even in the best of times.

Of course, I do not suggest that the Court shirk from its responsibility to interpret statutes because of untoward or uneven consequences for the parties. In every decision we make, one side loses. But the Court does not, in my view, fulfill its duty to safeguard the stability of the laws when it tosses out a reasonable and long-standing statutory interpretation made by a specialized agency, as it does today.

Thirty-five years ago we described the rent laws as “an impenetrable thicket, confusing not only to laymen but to lawyers” (*Matter of 89 Christopher v Joy*, 35 NY2d 213, 220 [1974]), and

the thicket has only grown denser since then. While the majority confidently proclaims that DHCR's and defendants' reading of the statute is plainly wrong, and its contrary interpretation is plainly correct, the opacity of the thicket guarantees that neither proposition is true. Accordingly, I respectfully dissent.

Judges CIPARICK, SMITH, PIGOTT and JONES concur in per curiam opinion; Judge READ dissents in a separate opinion in which Judge GRAFFEO concurs; Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[918 NE2d 917, 890 NYS2d 405]

In the Matter of SAVE THE PINE BUSH, INC., et al., Respondents,
v COMMON COUNCIL OF THE CITY OF ALBANY, Appellant, et
al., Respondent.

Argued September 15, 2009; decided October 27, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 9, 2008. The Appellate Division, with two Justices dissenting, (1) affirmed a judgment and amended judgment of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a proceeding pursuant to CPLR article 78, which, among other things, had vacated a determination of respondent Common Council of the City of Albany granting a rezoning application, annulled the ordinance rezoning the site of the proposed project, remitted the matter to the Common Council and denied as moot petitioner's application for a preliminary injunction; and (2) dismissed the appeal from an order (denominated decision and judgment) of the Supreme Court, Albany County (Stephen A. Ferradino, J.), which had denied respondents' motions to dismiss the petition.

Matter of Save the Pine Bush, Inc. v Common Council of City of Albany, 56 AD3d 32, reversed.

HEADNOTES

Parties — Standing — Environmental Quality Review — Rezoning of Parcel Near Protected Area

1. A person who can prove that he or she uses and enjoys a natural resource more than most other members of the public has standing under the State Environmental Quality Review Act to challenge government actions that threaten that resource. Accordingly, petitioners, members of an organization dedicated to the preservation of a protected area and the organization itself, had standing to challenge the rezoning of a parcel near the protected area to allow for construction of a hotel, despite the fact that none of the individual petitioners, and no member of petitioner organization was a near neighbor of the site of the proposed hotel development. Since petitioners alleged that they used the protected area for recreation and to study and enjoy the unique habitat found there and that their use was repeated, not rare or isolated, the threatened harm of which petitioners complained would have affected them differently from the public at large. In this case the alleged injuries to petitioners' aesthetic and environmental well-being constituted a sufficient basis for standing. In environmental cases, however, the party alleging injury must not only allege, but if the issue is disputed must prove, that their injury is real and different from the injury most members of the public face. Here the

respondent City does not challenge the reality of the injuries petitioners asserted.

**Environmental Conservation — Environmental Quality Review —
Impact of Proposed Development on Rare Plant and Animal Species**

2. In a proceeding challenging the proposed rezoning of a parcel of land near a protected area that supported an endangered butterfly as well as certain other rare or unusual species, the courts below erred in concluding that respondent City had failed in its obligation under the State Environmental Conservation Law (ECL 8-0101 *et seq.* [SEQRA]) by not investigating threats the proposed rezoning might pose to plant and animal species other than the endangered butterfly. The relevant areas of environmental concern that the City was required to examine did not include all environmental problems that were brought to the City's attention. An agency complying with SEQRA need not investigate every conceivable environmental problem; it may, within reasonable limits, use its discretion in selecting which ones are relevant. The preservation of the endangered butterfly had long been a major objective of those interested in the protected area, and the City's scrutiny of possible threats to the butterfly complied with SEQRA. The City identified several relevant environmental concerns, took the required hard look at them and explained in a detailed report the result of its investigations. That it chose not to investigate some matters of doubtful relevance was an insufficient reason for prolonging the process further, and for adding to the expense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pollution Control §§ 146–148; AM JUR 2d, Zoning and Planning §§ 662, 923–925, 932, 935.

McKINNEY's, ECL 8–0101 *et seq.*

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 156, 428; NY JUR 2d, Environmental Rights and Remedies §§ 80, 82, 86, 92, 94, 96.

NEW YORK REAL PROPERTY SERVICE §§ 42:20–42:24.

ANNOTATION REFERENCE

See ALR Index under Endangered Species; Environmental Law; Zoning.

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POINTS OF COUNSEL

John J. Reilly, Corporation Counsel, Albany (Jeffery V. Jamison of counsel), for appellant. I. Petitioners lack standing. (Society of Plastics Indus. v County of Suffolk, 77 NY2d 761;

Schieffelin v Komfort, 212 NY 520; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Matter of Mobil Oil Corp. v Syracuse Indus. Dev. Agency*, 76 NY2d 428; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406; *Matter of Wyman v Braman*, 298 AD2d 787; *Matter of Schulz v Warren County Bd. of Supervisors*, 206 AD2d 672; *Matter of McGrath v Town Bd. of Town of N. Greenbush*, 254 AD2d 614; *Matter of O'Donnell v Town of Schoharie*, 291 AD2d 739.) II. The Common Council of the City of Albany took a hard look prior to making a State Environmental Quality Review Act determination. (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Akpan v Koch*, 75 NY2d 561; *Residents of Bergen Believe in Env't. & Democracy v County of Monroe*, 159 AD2d 81; *Mobil Oil Corp. v City of Syracuse Indus. Dev. Agency*, 224 AD2d 15, 89 NY2d 811; *Matter of Town of Dryden v Tompkins County Bd. of Representatives*, 78 NY2d 331; *Matter of Town of Henrietta v Department of Env'tl. Conservation of State of N.Y.*, 76 AD2d 215; *Matter of Industrial Liaison Comm. of Niagara Falls Area Chamber of Commerce v Williams*, 131 AD2d 205, 72 NY2d 137; *Webster Assoc. v Town of Webster*, 59 NY2d 220; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Matter of Byer v Town of Poestenkill*, 232 AD2d 851.)

Stephen F. Downs, Selkirk, for respondents. I. Petitioners had standing to maintain this lawsuit. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *United States v Students Challenging Regulatory Agency Procedures [SCRAP]*, 412 US 669; *Williamsburg Around the Bridge Block Assn. v Giuliani*, 223 AD2d 64; *Motor Veh. Mfrs. Assn. of U.S. v Jorling*, 152 Misc 2d 405; *Matter of Buerger v Town of Grafton*, 235 AD2d 984; *Matter of Oates v Village of Watkins Glen*, 290 AD2d 758; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 213 AD2d 484.) II. The jurisdiction of this Court is limited to questions of law and the merits of this appeal raise only issues of fact. (*Stiles v Batavia Atomic Horse-shoes*, 81 NY2d 950; *Glenbriar Co. v Lipsman*, 5 NY3d 388.) III. The Common Council of the City of Albany failed to take a hard look at the effect of the project on rare species identified during scoping by interested agencies in the coordinated review. (*Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337.)

Andrew M. Cuomo, Attorney General, Albany (Barbara D. Underwood, Andrea Oser and Andrew B. Ayers of counsel), for New York State Department of Environmental Conservation, amicus curiae. I. Actual use and enjoyment of resources affected by a challenged project is a sufficient basis for standing under the State Environmental Quality Review Act. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of East Thirteenth St. Community Assn. v New York State Urban Dev. Corp.*, 84 NY2d 287; *Matter of Har Enters. v Town of Brookhaven*, 74 NY2d 524; *Matter of Committee to Preserve Brighton Beach & Manhattan Beach v Planning Commn. of City of N.Y.*, 259 AD2d 26.) II. An unduly narrow theory of the State Environmental Quality Review Act standing would undermine the purposes of the statute. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Massachusetts v EPA*, 549 US 497; *Matter of Wyman v Braman*, 298 AD2d 787, 99 NY2d 578; *Matter of Heritage Coalition v City of Ithaca Planning & Dev. Bd.*, 228 AD2d 862, 88 NY2d 809; *Matter of Save Our Main St. Bldgs. v Greene County Legislature*, 293 AD2d 907; *Matter of Schulz v Warren County Bd. of Supervisors*, 206 AD2d 672, 85 NY2d 805; *Matter of Buerger v Town of Grafton*, 235 AD2d 984, 89 NY2d 816; *Baker v Carr*, 369 US 186; *Matter of Brighton Residents Against Violence to Children v MW Props.*, 304 AD2d 53, 100 NY2d 514.)

The Law Office of Marc S. Gerstman, Albany (Cheryl A. Roberts and Marc S. Gerstman of counsel), for Sierra Club Atlantic Chapter and others, amici curiae. Save the Pine Bush, Inc., a bona fide environmental organization, has standing to challenge the City of Albany's compliance with the State Environmental Quality Review Act (SEQRA) based on the injury-in-fact to the use and enjoyment of the Pine Bush Preserve, a natural resource within SEQRA's zone of interest. (*Matter of Dental Socy. of State of N.Y. v Carey*, 61 NY2d 330; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Mobil Oil Corp. v Syracuse Indus. Dev. Agency*, 76 NY2d 428; *Matter of Save the Pine Bush, Inc. v Planning Bd. of Town of Clifton Park*, 50 AD3d 1296; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 213 AD2d 484; *Matter of Wyman v Braman*, 298 AD2d 787, 99 NY2d 578; *Matter of Otsego 2000 v Planning Bd. of Town of Otsego*, 171 AD2d 258, 79 NY2d 753; *Matter of Sun-Brite Car Wash v Board of Zoning & Appeals of Town of N. Hempstead*, 69 NY2d 406;

Matter of Douglaston Civic Assn. v Galvin, 36 NY2d 1; *Matter of Har Enters. v Town of Brookhaven*, 74 NY2d 524.)

OPINION OF THE COURT

SMITH, J.

We hold that a person who can prove that he or she uses and enjoys a natural resource more than most other members of the public has standing under the State Environmental Quality Review Act (SEQRA) to challenge government actions that threaten that resource. Applying that rule to this case, we hold that the individual petitioners who are members of petitioner Save the Pine Bush, Inc., and the organization itself, have standing to challenge an action alleged to threaten endangered species in the Pine Bush area.

We also conclude, however, that petitioners' challenge fails on the merits. The City of Albany did not violate SEQRA when, in examining the environmental impact of a zoning change for property located near the Pine Bush, it focused its attention on the areas of major environmental concern. It was not required to scrutinize every possible environmental issue, and the failure of the City's environmental impact statement (EIS) to discuss the possible impact of rezoning on certain rare species was therefore not a fatal flaw.

I

In September 2003, Tharaldson Development Company, the owner of a 3.6 acre parcel of land located on Washington Avenue Extension in Albany, applied for a rezoning of the parcel to allow for construction of a hotel. Though zoned for residential use, the property was at that time a parking lot. Adjacent properties were occupied by shopping malls and commercial office buildings.

Tharaldson's property is not part of the area protected by the Albany Pine Bush Preserve Commission, but it is near to protected areas, including Butterfly Hill, a habitat of the endangered Karner Blue butterfly. Butterfly Hill is said by petitioners to contain "[t]he largest population of Karner Blue butterflies south of the [New York State] Thruway," and, thanks in part to petitioners' efforts, significant Pine Bush acreage has long been set aside for the preservation of Karner Blues (see *Matter of Save the Pine Bush v Common Council of City of Albany*, 188 AD2d 969 [3d Dept 1992]). The effect of the hotel construction, if any, on Karner Blues was recognized from the

outset as the principal environmental issue raised by the proposal. Tharaldson also acknowledged that there would be some impact on existing drainage patterns, and on traffic.

The Common Council of the City of Albany (the City) determined that the proposed rezoning required the preparation of an EIS. In August 2004, the City circulated to interested parties a “Draft Scoping Checklist” for the EIS, listing a number of environmental aspects of the project that it planned to examine, including water resources; transportation and traffic; terrestrial and aquatic ecology; and “Pine Bush.” Under each of the latter two headings, the checklist said that the impact on the Karner Blue butterfly’s habitat would be analyzed. No other plant or animal species was mentioned in the checklist.

A letter sent by the Department of Environmental Conservation (DEC) in response to the draft checklist contains the first mention in this record—and the last, before the bringing of this lawsuit—of species that are now central to this case. The DEC said “it is important, and indeed essential, that this project include a detailed evaluation of potential site use by Karner blue butterflies,” but it added “that the Karner blue butterfly is one species in a rare habitat that is known to support numerous rare or unusual species.” It named four other of these species—the Frosted Elfin butterfly, the Hognosed Snake, the Worm Snake, and the Eastern Spadefoot Toad—and asked that the City’s biological investigation encompass them.

Having received comments on the checklist, the City and Tharaldson completed the preparation of a draft environmental impact statement (DEIS). This document, as accepted by the City in March 2005, contained more than 500 pages, including 68 of text and 12 appendices. The executive summary identified two “Significant Items”: the proximity of the project to the Karner Blue butterfly habitat and an increase in traffic. Several other subjects, including water resources, air quality, and the potential for an increase in exposure to tick-borne and mosquito-borne diseases, were discussed in the text. Among the appendices was a report by a biologist, Dr. Richard Futyma, who had repeatedly visited the site of the proposed hotel, had been able to find no Karner Blues, and had concluded that the site “does not constitute a significant resource for the Karner blue butterfly.” Nothing was said in the DEIS of the other species that DEC had identified in its earlier letter.

The DEIS, like the checklist, was made available for comment. Among the commenters were the United States Fish and Wildlife Service (FWS), the Albany Pine Bush Preserve Commission (APBC) and DEC. All three discussed Karner Blue butterflies in some detail. None of these agencies' comments, and no other comments on the DEIS that the parties have called to our attention, made any specific reference to the Hognosed Snake, the Worm Snake or the Eastern Spadefoot Toad. The FWS and DEC comments mentioned the Frosted Elfin briefly, and APBC's comments referred with equal brevity to a species that had not, apparently, come up before: the Adder's Mouth Orchid. The FWS and APBC comments also referred generally to possible impacts on non-butterfly species.

In July 2005, Dr. Futyma supplemented his report to address comments on the DEIS. As to the Frosted Elfin butterfly he said that it is "likely to occur in the same places as Karner blue butterflies"; that certain plants on which it is known to feed "are absent from or rare in the Albany Pine Bush"; and that he observed no Frosted Elfin on the proposed hotel site. He also listed all the plants he observed growing on the site; the Adder's Mouth Orchid was not among them. Like the commenters on the DEIS, he said nothing about the Hognosed Snake, the Worm Snake or the Eastern Spadefoot Toad.

The City accepted the final EIS in November 2005 and approved the zoning change in December 2005. In March 2006, Save the Pine Bush, Inc. and nine of its members began this proceeding challenging the City's action under SEQRA. The individual petitioners alleged that they "live near the site of the hotel project" and that they "use the Pine Bush for recreation and to study and enjoy the unique habitat found there." The amended petition contained nine causes of action, most of them based, at least in part, on alleged failures to consider adequately the need to protect the Karner Blue butterfly. All these causes of action have now been dismissed, and petitioners do not challenge their dismissal. The only surviving cause of action is the third, in which petitioners asserted that the EIS was deficient for failing to evaluate possible threats to the "Frosted elfin butterfly or any other listed species." The third cause of action named four other species: the Adder's Mouth Orchid, the Hognosed Snake, the Worm Snake and the Eastern Spadefoot Toad.

Supreme Court denied a motion to dismiss the proceeding for lack of standing, and in a later opinion upheld the third cause of action, vacated the City's SEQRA determination and annulled

the rezoning. Supreme Court acknowledged that the EIS gave “considerable attention . . . to the impact the project may have on the off-site Karner blue butterfly population, and to a lesser extent the Frosted elfin butterfly,” but found it flawed because it did not contain “a hard look” at the potential impact of the action on other rare plants and animals.

The Appellate Division affirmed, with two Justices dissenting (*Matter of Save the Pine Bush, Inc. v Common Council of City of Albany*, 56 AD3d 32 [3d Dept 2008]). While concluding “that none of the individual petitioners resides close enough to the proposed project so as to presumptively demonstrate that they have sustained demonstrable injury different from the public at large” (*id.* at 36) the majority held that evidence “that they regularly use the Preserve” and that “at least one of them resides in sufficient proximity to the Preserve to facilitate that use” was enough to establish standing (*id.* at 37). On the merits, the Appellate Division majority agreed with Supreme Court that the EIS did not address adequately the project’s potential impact on species other than the Karner Blue butterfly. The dissenters would have dismissed the petition for lack of standing, and did not reach the merits. The City appeals to this Court as of right, pursuant to CPLR 5601 (a).

II

[1] The City, relying on *Society of Plastics Indus. v County of Suffolk* (77 NY2d 761 [1991]), argues that petitioners lack standing because none of the individual petitioners, and no member of petitioner Save the Pine Bush, Inc., is a near neighbor of the site of the proposed hotel development. The closest lives approximately half a mile away. Petitioners argue that they have standing under *Society of Plastics*, but ask us in the alternative to “reform” or abandon the holding of that case. We see no reason to depart from *Society of Plastics*, but we agree with petitioners that they have standing under the principles that case laid down.

In *Society of Plastics*, we held that “[i]n land use matters . . . the plaintiff, for standing purposes, must show that it would suffer direct harm, injury that is in some way different from that of the public at large” (77 NY2d at 774). More specifically, we said that in cases involving environmental harm, the standing of an organization could be “established by proof that agency action will directly harm association members in their use and enjoyment of the affected natural resources” (*id.* at

775). We observed that in the *Society of Plastics* case itself, involving allegations of environmental harm from the manufacture of paper, “it would be residents close to those facilities”—i.e., landfills and paper manufacturing plants—“that would directly suffer the alleged harms” (*id.* at 779). However, *Society of Plastics* does not hold, or suggest, that residence close to a challenged project is an indispensable element of standing in every environmental case.

Here, petitioners allege that they “use the Pine Bush for recreation and to study and enjoy the unique habitat found there.” It is clear in context that they allege repeated, not rare or isolated use. This meets the *Society of Plastics* test by showing that the threatened harm of which petitioners complain will affect them differently from “the public at large.” Indeed, people who visit the Pine Bush, though they come from some distance away, seem much more likely to suffer adverse impact from a threat to wildlife in the Pine Bush than the actual neighbors of the proposed hotel development—the owners and occupants of the nearby office buildings and shopping malls. The neighbors may care little or nothing about whether butterflies, orchids, snakes and toads will continue to exist on or near the site. The City asks us to adopt a rule that environmental harm can be alleged only by those who own or inhabit property adjacent to, or across the street from, a project site; that rule would be arbitrary, and would mean in many cases that there would be no plaintiff with standing to sue, while there might be many who suffered real injury.

In recognizing that injury of the kind petitioners here allege can confer standing, we adopt a rule similar to one long established in the federal courts. In *Sierra Club v Morton* (405 US 727, 734 [1972]), the United States Supreme Court held that a generalized “interest” in the environment could not confer standing to challenge environmental injury, but that injury to a particular plaintiff’s “[a]esthetic and environmental well-being” would be enough (*see also Lujan v Defenders of Wildlife*, 504 US 555, 562-563 [1992] [“the desire to use or observe an animal species, even for purely esthetic purposes, is undeniably a cognizable interest for purpose of standing”]; *Friends of Earth, Inc. v Laidlaw Environmental Services [TOC], Inc.*, 528 US 167, 183 [2000]). Indeed, the *Sierra Club* Court noted that the plaintiff there “failed to allege that it or its members would be affected in any of their activities or pastimes” by the development it challenged (*id.* at 735).

Petitioners here make the allegation that was missing in *Sierra Club*.

In recognizing that petitioners' alleged injuries are a sufficient basis for standing, we do not suggest that standing in environmental cases is automatic, or can be met by perfunctory allegations of harm. Plaintiffs must not only allege, but if the issue is disputed must prove, that their injury is real and different from the injury most members of the public face. Standing requirements "are not mere pleading requirements but rather an indispensable part of the plaintiff's case" and therefore "each element must be supported in the same way as any other matter on which the plaintiff bears the burden of proof" (*Lujan*, 504 US at 561). Here, the City does not challenge the reality of the injuries petitioners assert—understandably so, since it seems highly likely that many members of an organization called Save the Pine Bush, Inc. are people who frequently visit and enjoy the Pine Bush. But in other cases, including those brought by organizations devoted to less specific environmental interests—the plaintiff in *Sierra Club*, for example—plaintiffs may be put to their proof on the issue of injury, and if they cannot prove injury their cases will fail.

Thus, while we decline to erect standing barriers that will often be insuperable, we are also conscious of the danger of making these barriers too low. It remains true, as it was when *Society of Plastics* was decided, that SEQRA litigation "can generate interminable delay and interference with crucial governmental projects" (77 NY2d at 774). In *Society of Plastics*, we said that such delay could come from "challenges unrelated to environmental concerns" (*id.*); but even good faith environmental challenges, like the one brought by these petitioners, can be very burdensome. Striking the right balance in these cases will often be difficult, but we believe that our rule—requiring a demonstration that a plaintiff's use of a resource is more than that of the general public—will accomplish that task better than the alternatives.

III

[2] In evaluating the merits of the case, the courts below concluded that the City had not met its obligation under SEQRA (ECL 8-0101 *et seq.*) to identify "the relevant areas of environmental concern," to take a "hard look" at them and to make a "reasoned elaboration" of the basis for its determination (*Matter of Jackson v New York State Urban Dev. Corp.*, 67

NY2d 400, 417 [1986]). Specifically, they held that the City had failed in its duty by not investigating threats the proposed rezoning might pose to plant and animal species other than the Karner Blue butterfly—including the Frosted Elfin butterfly, the Hognosed Snake, the Worm Snake, the Eastern Spadefoot Toad and the Adder’s Mouth Orchid. The courts below implicitly assumed that the “relevant areas of environmental concern” that the City was required to examine included all environmental problems that were brought to the City’s attention. This assumption is wrong. An agency complying with SEQRA need not investigate every conceivable environmental problem; it may, within reasonable limits, use its discretion in selecting which ones are relevant (*see Jackson*, 67 NY2d at 417).

Here, in addition to investigating such subjects as traffic and storm water drainage, the City concerned itself with the ecology of the Pine Bush, but focused on the species that was generally considered of most importance, the Karner Blue butterfly. It is apparent from this record, and from previous litigation (*see Matter of Save the Pine Bush v Common Council of City of Albany*, 188 AD2d 969, 970-971 [3d Dept 1992]), that the preservation of the Karner Blue has long been a major objective of those interested in the Pine Bush. Supreme Court held, and petitioners do not now dispute, that the City’s scrutiny of possible threats to the Karner Blue complied with SEQRA. Also, we are satisfied that the EIS—specifically, Futyma’s supplemental report responding to comments on the DEIS—contains an adequate evaluation of any threat to the Frosted Elfin butterfly and the Adder’s Mouth Orchid.

It is true that the record shows no investigation relating to the Hognosed Snake, the Worm Snake or the Eastern Spadefoot Toad. We do not suggest that these species are unimportant, but we think that the City did not act arbitrarily in omitting them from its investigations. While DEC did identify them in a letter commenting on the scoping checklist, it offered no particular reason to believe that the project would threaten them, and no other commenter in the SEQRA process mentioned them at all. When they were omitted from the DEIS neither DEC nor anyone else called attention to the omission. It would, it seems, have been a formidable task to determine whether these species even existed on the site; petitioners’ brief informs us that two of them, the Worm Snake and the Eastern Spadefoot Toad, “are very difficult to locate and identify” because “they spend much of their time underground and generally emerge only after heavy rain storms.”

While it is essential that public agencies comply with their duties under SEQRA, some common sense in determining the extent of those duties is essential too. We quoted above our warning in *Society of Plastics* that SEQRA proceedings “can generate interminable delay.” This case illustrates the point. It does not involve a project of mammoth size or obvious destructive potential, but simply the building of a hotel on a 3¹/₂ acre site, on a thoroughfare already in commercial use. The developer first sought rezoning more than six years ago. In those years, the City has identified several relevant environmental concerns, taken the required hard look at them, and explained in a detailed report the result of its investigations. That it chose not to investigate some matters of doubtful relevance is an insufficient reason for prolonging the process further, and for adding to the expense. A “rule of reason” (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d at 417) is applicable not only to an agency’s judgments about the environmental concerns it investigates, but to its decisions about which matters require investigation.

IV

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

PIGOTT, J. (concurring). The majority’s holding, in my view, reinterprets much too broadly the special harm requirement that has been the cornerstone of our standing jurisprudence in land use cases. Therefore, while I agree with the majority on the merits, I am compelled to disagree on the issue of standing.

For the last 18 years, SEQRA cases involving standing issues have been decided under rules set down by this Court in *Society of Plastics Indus. v County of Suffolk* (77 NY2d 761 [1991]). In that case, we recognized that the Legislature did not intend every person or citizen to have the right to sue to compel SEQRA compliance (*id.* at 770). Rather, in order to have standing, a party must demonstrate an “injury in fact”—an actual legal stake in the matter being adjudicated—which falls within the “zone of interests, or concerns, sought to be promoted or protected by the statutory provision under which the agency has acted” (*id.* at 772-773 [internal quotation marks and citations omitted]). With particular reference to land use cases, we held that the injury must constitute a “special harm” such that the party would “suffer direct harm, injury that is in some way

different from that of the public at large” (*id.* at 774). In other words, the plaintiff must show a “direct interest in the administrative action being challenged, different in kind or degree from that of the public at large” (*id.* at 775). This doctrine “grew out of a recognition that, while directly impacting particular sites, governmental action affecting land use in another sense may aggrieve a much broader community” (*id.* at 774).

An exception to the “special harm” requirement has been recognized where a presumption of standing will exist to a landowner or resident who is either adjacent, or in close proximity, to the challenged project. These challengers are “presumptively harmed” in a manner different than the public at large. Under this exception, courts have held landowners or those who reside within 500 feet of a challenged project are close enough to remove the burden of pleading a special harm (*see Matter of Michalak v Zoning Bd. of Appeals of Town of Pomfret*, 286 AD2d 906, 906-907 [4th Dept 2001] [petitioners who owned property within 200 feet of a cellular tower had standing to challenge the replacement of an antenna on the tower]; *but see Matter of Oates v Village of Watkins Glen*, 290 AD2d 758 [3d Dept 2002] [petitioner residing 530 feet away had no standing]; *Matter of Buerger v Town of Grafton*, 235 AD2d 984 [3d Dept 1997] [petitioner 600 feet away lacked standing]). No such presumption can be found here as it is undisputed that no one from the petitioning corporation lives within a half mile of the proposed site.

Contrary to the majority’s conclusion, the City does not ask the Court to adopt a rule that environmental harm can be alleged only by those who live in close proximity to the project site (majority op at 305).¹ It simply argues that petitioners are far beyond the acceptable limits to confer standing based on the close proximity exception.

Further, I agree with the City’s contention that petitioners’ alleged harm constitutes a concern to the community as a whole as opposed to one specific to petitioners and, therefore, does not fall within the “special harm” requirement under *Society of Plastics*. Petitioners claim they are injured by way of loss of

1. Indeed, it is the petitioners that ask for a departure from the rule set out in *Society of Plastics*. Rather than arguing to this Court how they met the standing threshold, petitioners argue that the special harm requirement does not advance any policy goals of SEQRA, is too broad, and should not be applied in SEQRA cases.

recreation and use and enjoyment of the Pine Bush's habitat. The Pine Bush and all of its natural resources, however, can be used and enjoyed by the public at large. The concerns of the petitioners amount to the same general concerns of the community as a whole and are not specific to the petitioners. In short, because petitioners fail to specify any direct injury that is any different from that of the general public, they lack standing under our precedent.

Indeed, our courts have consistently and correctly applied the standard set forth in *Society of Plastics*, recognizing that standing based on an organization's mere dedication to environmental preservation or a member's use and recreation is not enough for standing. For example, in *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven* (213 AD2d 484 [2d Dept 1995]), the petitioners, an association representing the interests of the Long Island Pine Barrens, challenged the approval of a 121-unit residential real estate project on Long Island. The petitioners argued that the project would have a "deleterious impact upon the aquifer lying beneath the South Setauket Pine Barrens" (*id.* at 485). This, the court noted, was not an environmental injury that was in any way "different in kind and degree from [that of] the community generally" (*id.*).

In *Matter of Save the Pine Bush, Inc. v Planning Bd. of Town of Clifton Park* (50 AD3d 1296 [3d Dept 2008]), the petitioner was found to have lacked standing to challenge a determination permitting development of a parcel that had been identified as a potential home of the same Karner Blue butterfly at issue here. In that case, the court rejected petitioner's claim of standing based on the fact that its members enjoy observing the Karner Blue butterfly as part of their recreational activities. The court found that this interest is "no different than the interest enjoyed by the public at large" (*id.* at 1297). Such an activity—and the impact on it as the result of the proposed development on this property—did not, the court found, establish the "specific environmental injury" that confers standing under SEQRA (*id.*). Further, the court noted that none of the petitioner's members established that they lived in close proximity to the property so as to distinguish any of them as having a "legally protectable interest so as to confer standing" (*id.* at 1298).

The federal cases cited by the majority, *Sierra Club v Morton* (405 US 727, 734 [1972]) and *Lujan v Defenders of Wildlife* (504 US 555, 562-563 [1992]), are inapposite. Those cases did not

involve New York’s “special harm” requirement, and invoke a different view of the relation between personal and public injury from what has consistently been stated in land use cases in New York² (see *Sierra Club*, 405 US at 734 [“Aesthetic and environmental well-being, like economic well-being, are important ingredients of the quality of life in our society, and the fact that particular environmental interests are shared by the many rather than the few does not make them less deserving of legal protection through the judicial process”]; *Lujan v Defenders of Wildlife*, 504 US at 560-561).

Moreover, to the extent that those federal cases can be viewed as supporting standing in situations where petitioners allege an injury to use or recreation or “aesthetic interests,” they do not apply in this case. Here, the project site is not within the Pine Bush Preserve, but rather is private property located in a heavy commercial corridor. Unlike the Pine Bush Preserve, the project site is not used by petitioners—or the general public—for any purpose and it possesses no recreational value. The harm asserted by petitioners is a general harm that the project site may have on a completely different, recreational site, the Pine Bush Preserve. The majority’s holding, taken to its logical conclusion, results in Save the Pine Bush and its members having standing to sue whenever a project site, no matter where its location, may have a potential impact on animals and plants that happen to live in the Pine Bush.

It is important to remember that petitioners have not been prevented from voicing their concerns about the project during the SEQRA process. Indeed, petitioners did just that. Early on, the Pine Bush Preserve Commission sent correspondence to the Common Council Zoning Committee identifying several points to be addressed by the environmental impact statement, as well as several recommendations and potential impacts on the Pine Bush. The members of Save the Pine Bush also had an

2. Those courts applied the traditional federal test to ascertain whether the plaintiffs had standing under the “case or controversy” jurisdictional limitation contained in article III of the US Constitution. They analyzed whether the plaintiffs could demonstrate (1) an “injury in fact”; (2) that is “fairly traceable to the challenged action of the defendant”; and (3) that it is likely that any injury would be redressed by a favorable judicial decision (*Friends of Earth, Inc. v Laidlaw Environmental Services [TOC], Inc.*, 528 US 167, 180-181 [2000]; see also *Lujan v Defenders of Wildlife*, 504 US 555, 560-561 [1992]; *Sierra Club v Morton*, 405 US 727, 732-733 [1972]). Unlike here, no SEQRA statute was involved nor was any proof of a special harm required by the courts.

opportunity to attend the public hearings and make public comment. Remembering that the courts' role in reviewing the actions taken is a legal one—deciding whether the determination was made in violation of lawful procedure, was affected by an error of law or was arbitrary and capricious or an abuse of discretion (see *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400 [1986])—the appropriate place for petitioner is in the proceedings before the lead agency and not, in all instances, before the court, where little is accomplished except delay.

Consequently, I would hold that because petitioners assert only generalized claims of harm, no different than the public at large, they lack standing to challenge the City's determination and therefore, I would dismiss this proceeding on that ground.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and JONES concur with Judge SMITH; Judge PIGOTT concurs in result in a separate opinion in which Judge READ concurs.

Order reversed, etc.

[919 NE2d 172, 891 NYS2d 1]

EXECUTIVE RISK INDEMNITY INC., Appellant, v PEPPER HAMILTON LLP et al., Respondents. PEPPER HAMILTON LLP et al., Third-Party Plaintiffs-Respondents, v CONTINENTAL CASUALTY COMPANY et al., Third-Party Defendants-Appellants.

Argued September 9, 2009; decided October 20, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 23, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had (a) granted a motion by plaintiff for summary judgment on the complaint and a motion by third-party defendant Twin City Fire Insurance Company for summary judgment on its counterclaims to the extent that they were entitled to a declaratory judgment that, based upon a prior knowledge exclusion, plaintiff and third-party defendant Twin City Fire Insurance Company had no obligation to indemnify defendants Pepper Hamilton LLP or W. Roderick Gagné under certain excess insurance policies for any claim made as a result of certain underlying actions; (b) granted a cross motion for summary judgment by third-party defendant Continental Casualty Company on its counterclaims to the extent that it was entitled to a declaratory judgment that two of its excess policies were rescinded and a third excess policy did not cover or respond to the underlying actions; (c) dismissed the counterclaims of defendants Pepper Hamilton LLP and W. Roderick Gagné; (d) dismissed the third-party complaint; and (e) severed and continued the cross claim of defendants Pepper Hamilton LLP and W. Roderick Gagné against defendant Westport Insurance Corporation; and (2) denied the motions and cross motion for summary judgment. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

Executive Risk Indem. Inc. v Pepper Hamilton LLP, 56 AD3d 196, modified.

HEADNOTES

Insurance — Exclusions — Prior Knowledge Exclusion in Professional Liability Insurance Policy

1. Plaintiff and third-party defendant excess insurers were entitled, under Pennsylvania law, to summary judgment declaring that they had no obligation

to indemnify defendant law firm and defendant law firm member in actions asserted against defendants for professional malpractice and other claims arising from their representation of a former client that had been involved in securities fraud, as the prior knowledge exclusions in the professional liability excess insurance policies applied given defendants' knowledge of the securities fraud months prior to the effective dates of the policies. Defendant law firm member subjectively believed, and informed the law firm's general counsel and insurance procurer at least one month prior to the submission of one of the law firm's insurance applications, that defendants could be subject to a lawsuit from their representation of the former client. Such a belief, although subjective, was also reasonable, but defendant law firm did not provide that information to plaintiffs. Defendant law firm's knowledge of its former client's involvement in securities fraud prior to its application for excess coverage coupled with the fact that a reasonable attorney would have concluded that defendants would likely be included in litigation because of their role in their former client's business created an obligation for defendant law firm to inform its insurers of the potential litigation. Moreover, the prior knowledge exclusion did not require that the known-of act, error, omission or circumstance be wrongful conduct on the part of the insured. Rather, it required only that the insured knew or could have reasonably foreseen, as defendants did here, that such act, error, omission or circumstance might be the basis of a claim.

Insurance — Representations by Insured — Rescission of Professional Liability Insurance Policy

2. Third-party defendant excess insurer was not entitled, under Pennsylvania law, to summary judgment rescinding two professional liability excess insurance policies it had issued to third-party plaintiff law firm for the failure of the law firm and third-party plaintiff law firm member to disclose, during the renewal period of the policies, information concerning known acts that exposed them to the underlying professional malpractice claims arising from their representation of a former client that had been involved in securities fraud. Under Pennsylvania law rescission of an insurance policy may occur only if the applicant made a false statement, the false statement was material to the risk, the applicant knew the statement was false and the statement was made in bad faith, and Pennsylvania recognizes an omission as a false representation in the context of insurance applications. Here, even if the law firm's omission of the information concerning their former client's involvement in securities fraud was a known false statement, the insurer failed to establish as a matter of law that the false statement was material to the reinsurance determination and that the false statement was made in bad faith. The self-serving affidavit of the insurer's underwriter—that the law firm's renewal application would have been treated differently had it disclosed the underlying circumstances which led to the denial of coverage—was insufficient to meet the insurer's heightened burden of proof.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 458, 667, 702–704, 1018–1022, 1026, 1028, 1755.

COUCH ON INSURANCE (3d ed) §§ 31:10, 102:8, 131:21.

NY JUR 2d, Insurance §§ 732, 877, 888, 906, 1120, 1567, 1568, 1917, 1919, 2161, 2162.

ANNOTATION REFERENCE

See ALR Index under Cancellation or Rescission; Excess Insurance; Insurance and Insurance Companies; Malpractice By Attorney.

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POINTS OF COUNSEL

Kornstein, Veisz Wexler & Pollard, LLP, New York City (*William B. Pollard, III*, and *Amy C. Gross* of counsel), for appellant. I. The prior knowledge exclusions are required to be applied as written. (*Read v Lehigh Val. R.R. Co.*, 284 NY 435; *Moscow Fire Ins. Co. v Bank of N.Y. & Trust Co.*, 280 NY 286; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Cooney v Osgood Mach.*, 81 NY2d 66; *Finucane v Interior Constr. Corp.*, 264 AD2d 618; *Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *Coregis Ins. Co. v Wheeler*, 24 F Supp 2d 475; *Ehrgood v Coregis Ins. Co.*, 59 F Supp 2d 438; *Westport Ins. Corp. v Atchley, Russell, Waldrop & Hlavinka, L.L.P.*, 267 F Supp 2d 601.) II. Even under a de novo review, the prior knowledge exclusions are unambiguous and are required to be applied as written under Pennsylvania and New York law. (*White v Knickerbocker Ice Co.*, 254 NY 152; *State of New York v R.J. Reynolds Tobacco Co.*, 304 AD2d 379; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *Greenfield v Philles Records*, 98 NY2d 562; *White v Continental Cas. Co.*, 9 NY3d 264; *Zion v Kurtz*, 50 NY2d 92; *Shilbury v Board of Supervisors of County of Sullivan*, 54 Misc 2d 979; *United States v Gonzales*, 520 US 1; *Maine v Thiboutot*, 448 US 1; *Seaport Park Condominium v Greater N.Y. Mut. Ins. Co.*, 39 AD3d 51.)

Cozen O'Connor, New York City (*Kevin M. Mattessich*, *Jacob C. Cohn* and *Patrick M. Kennell* of counsel), for Continental Casualty Company, third-party defendant-appellant. I. The First Department misconstrued the standards for defining and weighing a potential insured's "subjective" and "objective" knowledge. (*Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Vander Veer v Continental Cas. Co.*, 34 NY2d 50; *Mt. Airy Ins. Co. v Thomas E. Angst & Assoc., P.C.*, 954 F Supp 1040; *Justofin v Metropolitan Life Ins. Co.*, 372 F3d 517;

National Union Ins. Co. of Pittsburgh, Pa. v Holmes & Graven, 23 F Supp 2d 1057; *Professional Mgrs., Inc. v Fawer, Brian, Hardy & Zatzkis*, 799 F2d 218; *Coregis Ins. Co. v McCollum*, 961 F Supp 1572.) II. Pepper Hamilton LLP's suppression of material information on its applications warrants rescission of the policies issued by Continental Casualty Company. (*Process Plants Corp. v Beneficial Natl. Life Ins. Co.*, 53 AD2d 214; *Kagan v United States Life Ins. Co.*, 21 AD2d 846; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Bauer v Whispering Hills Assoc.*, 210 AD2d 569; *Smalls v Reliable Auto Serv.*, 205 AD2d 523; *Matinchek v John Alden Life Ins. Co.*, 93 F3d 96; *Jung v Nationwide Fire Ins. Co.*, 949 F Supp 353.) III. The First Department erred in rejecting, as a matter of law, evidence demonstrating the materiality of Pepper Hamilton LLP's suppression. (*Feldman v Friedman*, 241 AD2d 433; *Chicago Ins. Co. v Kreitzer & Vogelmann*, 210 F Supp 2d 407; *Bleecker St. Health & Beauty Aids, Inc. v Granite State Ins. Co.*, 11 Misc 3d 1091[A], 2006 NY Slip Op 50817[U]; *In re WorldCom, Inc. Sec. Litig.*, 354 F Supp 2d 455; *Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner*, 96 NY2d 300; *Continental Cas. Co. v Graham & Schewe*, 339 F Supp 2d 723; *Westport Ins. Corp. v Gionfriddo*, 524 F Supp 2d 167; *Commonwealth Land Tit. Ins. Co. v IDC Props., Inc.*, 524 F Supp 2d 155; *Admiral Ins. Co. v Debber*, 442 F Supp 2d 958; *In re Marvel Entertainment Group, Inc.*, 140 F3d 463.)

Hogan & Hartson LLP (Catherine E. Stetson, of the District of Columbia bar, admitted pro hac vice, and Jessica L. Ellsworth of counsel), and *Edwards Angell Palmer & Dodge LLP*, New York City (Ira G. Greenberg, John F. McCarrick, Samuel B. Mayer and Scott H. Casher of counsel), for Twin City Fire Insurance Company, third-party defendant-appellant. Under the correct legal standard for applying a prior knowledge exclusion, Twin City Fire Insurance Company's denial of coverage to Pepper Hamilton LLP was proper. (*Coregis Ins. Co. v Baratta & Fenerty, Ltd.*, 264 F3d 302; *Selko v Home Ins. Co.*, 139 F3d 146; *Colliers Lanard & Axilbund v Lloyds of London*, 458 F3d 231; *Westport Ins. Corp. v Lilley*, 292 F Supp 2d 165; *MBIA Ins. Corp. v Royal Indem. Co.*, 426 F3d 204; *Mt. Airy Ins. Co. v Thomas*, 954 F Supp 1073; *Ehrgood v Coregis Ins. Co.*, 59 F Supp 2d 438; *Coregis Ins. Co. v Wheeler*, 24 F Supp 2d 475; *Coregis Ins. Co. v McCollum*, 961 F Supp 1572; *Fujitsu Ltd. v Federal Express Corp.*, 247 F3d 423.)

Cahill Gordon & Reindel LLP, New York City (*Charles A. Gilman* and *Christopher A. Gorman* of counsel), and *Dickstein Shapiro LLP* (*Randy Paar* and *Edward Tessler* of counsel) for *Pepper Hamilton LLP* and another, respondents and third-party plaintiffs-respondents. I. Disputed issues of material fact preclude summary judgment. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 27 NY2d 410; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Colliers Lanard & Axilbund v Lloyds of London*, 458 F3d 231; *Sacher v Long Is. Jewish-Hillside Med. Ctr.*, 142 AD2d 567.) II. Twin City Fire Insurance Company and Executive Risk Indemnity Inc. fail to satisfy their heavy burdens to prove a prior knowledge exclusion to insurance coverage. (*Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *United Natl. Ins. Co. v Granoff, Walker & Forlenza, P.C.*, 598 F Supp 2d 540; *Selko v Home Ins. Co.*, 139 F3d 146; *Westport Ins. Corp. v Hanft & Knight, P.C.*, 523 F Supp 2d 444; *Coregis Ins. Co. v Wheeler*, 24 F Supp 2d 475.) III. Even if a trier of fact were to determine that *Pepper Hamilton LLP* had prior knowledge, the *Westport Insurance Corporation* primary policy mandates coverage under the 2001/2002 insurance program. (*Retirement Fund of Fur Mfg. Indus. v Republic Ins. Co.*, 755 F Supp 625; *DiLuglio v New England Ins. Co.*, 959 F2d 355; *DeVanzo v Newark Ins. Co.*, 37 NY2d 733.) IV. *Continental Casualty Company* is not entitled to rescission of its policies. (*Fidelity & Guar. Ins. Underwriters, Inc. v Jasam Realty Corp.*, 540 F3d 133; *First Financial Ins. Co. v Allstate Interior Demolition Corp.*, 193 F3d 109; *Jus-tofin v Metropolitan Life Ins. Co.*, 372 F3d 517; *Mt. Airy Ins. Co. v Thomas E. Angst & Assoc., P.C.*, 954 F Supp 1040; *Almap Holdings v Bank Leumi Trust Co. of N.Y.*, 196 AD2d 518, 83 NY2d 754; *Coolspring Stone Supply, Inc. v American States Life Ins. Co.*, 10 F3d 144; *United Natl. Ins. Co. v Granoff, Walker & Forlenza, P.C.*, 598 F Supp 2d 540; *Chicago Ins. Co. v Halcond*, 49 F Supp 2d 312; *Montgomery v Federal Ins. Co.*, 836 F Supp 292; *Matinchek v John Alden Life Ins. Co.*, 93 F3d 96.)

Walker Wilcox Matousek, LLP (*Robert P. Conlon* and *Joyce F. Noyes*, of the Illinois bar, admitted pro hac vice, of counsel), and *Garbarini & Scher, P.C.*, New York City (*William D. Buckley* and *Gregg D. Weinstock* of counsel), for *Westport Insurance*

Corporation, respondent. I. The First Department's decision incorporated the correct finding that the tolling agreement constituted a "claim." (*Gurfein Bros. v Hanover Ins. Co.*, 248 AD2d 227; *Caguas Cent. Fed. Sav. Bank v United States*, 215 F3d 1304.) II. If this Court concludes that the tolling agreement did not constitute a claim, further discovery is necessary to determine whether a claim was otherwise made on or before April 27, 2004. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Groves v Land's End Hous. Co.*, 80 NY2d 978; *OK Petroleum Distrib. Corp. v Nassau/Suffolk Fuel Oil Corp.*, 17 AD3d 551; *Metichecchia v Palmeri*, 23 AD3d 894.) III. In the event Pepper Hamilton LLP's notice was of a potential claim, the First Department's reversal on the prior knowledge exclusion precludes relation back prior to year three. IV. In the event Pepper Hamilton LLP's notice was of a potential claim, questions of fact remain regarding when Pepper Hamilton LLP *first* became aware of a potential claim.

Harkins Cunningham LLP, Philadelphia, Pennsylvania (*Marianne Consentino*, *John G. Harkins, Jr.*, and *Benjamin M. Gerber* of counsel), for Philadelphia Bar Association, amicus curiae. I. Insurance policy disclosures are about whether the law firm has done something wrong—not about whether the client has. (*Selko v Home Ins. Co.*, 139 F3d 146; *Coregis Ins. Co. v Baratta & Fenerty, Ltd.*, 264 F3d 302; *Westport Ins. Corp. v Hanft & Knight, P.C.*, 523 F Supp 2d 444; *United Natl. Ins. Co. v Granoff, Walker & Forlenza, P.C.*, 598 F Supp 2d 540.) II. The motion court's approach will impermissibly strain Pennsylvania lawyers' relations with their clients. III. The motion court's approach will inappropriately and substantially burden Pennsylvania lawyers. (*Selko v Home Ins. Co.*, 139 F3d 146; *Coregis Ins. Co. v Baratta & Fenerty, Ltd.*, 264 F3d 302.)

OPINION OF THE COURT

JONES, J.

We are asked to determine, under Pennsylvania law, whether excess insurers Executive Risk Indemnity Inc. and Twin City Fire Insurance Company, based upon their prior knowledge exclusions, and Continental Casualty Company, based upon rescission of its policies, were entitled to summary judgment declaring that they have no obligation to indemnify defendants Pepper Hamilton LLP and one of its members W. Roderick Gagné (collectively, the law firm defendants) in actions asserted against them for, among other claims, professional malpractice.

We conclude that the prior knowledge exclusions apply and modify the order of the Appellate Division by granting summary judgment to Executive Risk and Twin City. We also conclude that Continental Casualty is not entitled to summary judgment on the basis of rescission.

Facts and Procedural History

The underlying actions arose out of the law firm defendants' representation of nonparties Student Finance Corporation (SFC), its principal, Andrew Yao, and Royal Indemnity Company. In 1992, Yao founded SFC, a company that serviced the vocational portion of the student loan market. SFC financed loans to students attending vocational schools and acquired student loans from other lenders. It pooled those loans into certificates and sold them to investors. Defendant Gagné, then an associate of a nonparty law firm, assisted with SFC's formation in 1992 and its securitization in 1996. In 1996, Gagné became a member of Pepper Hamilton, a law firm based in Philadelphia, and brought Yao and SFC with him as clients. In the course of Pepper Hamilton's representation of SFC, the law firm prepared eight private placement memoranda in 2000 and 2001, which SFC used in connection with the sale of certificates totaling more than \$465 million. Gagné also participated in discussions concerning SFC's operations with Yao. Royal Indemnity, a client of Pepper Hamilton, provided SFC with credit risk insurance for the pooled loans from 1999 to 2001.

From April 27, 2001 to October 27, 2002, Pepper Hamilton had two policies, \$20 million of primary coverage under the Westport policy and \$30 million of excess coverage under the Continental Casualty policy. In October 2002, the law firm decreased its coverage from \$50 million to \$40 million and obtained policies with two additional insurers, Executive Risk and Twin City. In the subsequent years, from October 27, 2002 to October 27, 2003 and October 27, 2003 to October 27, 2004, Westport issued a \$10 million primary coverage policy to Pepper Hamilton, and Twin City, Executive Risk and Continental Casualty each issued Pepper Hamilton \$10 million of excess coverage. Each excess policy substantially incorporated the terms, conditions, warranties and exclusions of the Westport policy.

The Westport policy* excludes:

“any act, error, omission, circumstance or PERSONAL INJURY occurring prior to the effective date of this POLICY if any INSURED at the effective date knew or could have reasonably foreseen that such act, error, omission, circumstance or PERSONAL INJURY might be the basis of a CLAIM. This exclusion does not apply to any INSURED who had no knowledge or could not have reasonably foreseen that such act, error, omission, circumstance or PERSONAL INJURY might be the basis of a claim.”

In March 2002, months before Executive Risk and Twin City issued their respective policies to Pepper Hamilton, the law firm defendants learned that SFC had been involved in securities fraud in failing to disclose the forbearance payments. Yao informed Gagné that SFC was inaccurately representing its default rate to make its certificates appear more attractive to investors, underwriters and credit risk insurers. Specifically, SFC made forbearance payments from its reserve accounts on student loans that were more than 90 days past due. Pepper Hamilton continued to represent SFC until April 2002.

On July 22, 2002, Chubb Wilcox, Pepper Hamilton’s general counsel and insurance procurer, sent a memorandum to Pepper Hamilton attorneys regarding the firm’s insurance application and inquired whether any person was “aware of any fact or circumstance, act, error, omission or personal injury which might be expected to be the basis of the claim or suit for lawyers professional liability.” On August 6, 2002, Gagné responded: “I am aware [of] the Student Finance Corporation transactions of which you are familiar . . . [T]wo law suits have been filed in two different states and to date, we have not been named in either action. I am not certain as to whether we will be joined in the future.” On September 6, 2002, Pepper Hamilton submitted a signed and dated insurance application to Westport, which did not include information concerning SFC, and in a letter to Twin City, dated October 25, 2002, Pepper Hamilton warranted that it had no material changes to its application. Pepper Hamilton

* This policy is a claims made policy, which “protects against claims made during the life of a policy irrespective of when the act giving rise to the claim occurred” (*Pizzini v American Intl. Specialty Lines Ins. Co.*, 210 F Supp 2d 658, 668 [ED Pa 2002]). The policy uniquely provides continuous and uninterrupted coverage.

did not disclose information concerning SFC to any of its insurers.

Eventually, SFC was forced into bankruptcy. In April 2004, Pepper Hamilton received a proposed tolling agreement from SFC's bankruptcy trustee, which advised that valid claims and causes of action could be brought against Pepper Hamilton "on behalf of the estate and/or creditors of" SFC. Pepper Hamilton immediately contacted its primary insurer Westport and excess insurers Executive Risk, Twin City and Continental Casualty and informed them of the potential claims.

In 2004 and 2005, the bankruptcy trustee and Royal Indemnity brought separate actions against the law firm defendants, alleging, among other claims, breach of fiduciary duty, negligent misrepresentation and professional malpractice. Pepper Hamilton's primary insurer, Westport, did not contest its obligation to defend. However, the excess insurers denied coverage.

Executive Risk commenced this action against the law firm defendants and Westport, seeking a declaration that it had no obligation to indemnify defendants in the underlying actions. The law firm defendants counterclaimed for a declaration in their favor and brought third-party claims against Twin City and Continental Casualty. Executive Risk and Twin City relied upon Westport's prior knowledge exclusion, expressly incorporated into their policies, and Continental Casualty cross-claimed for rescission of its excess policies for 2002-2003 and 2003-2004.

Supreme Court granted summary judgment in favor of the excess insurers. The court declared that, based on the policies' prior knowledge exclusions, which deny professional liability coverage for undisclosed acts that were known to the insured prior to the inception of the policies and exposed the insured to professional liability claims, Executive Risk and Twin City had no obligation to indemnify the law firm defendants in the underlying actions. Additionally, Supreme Court rescinded the law firm defendants' 2002-2003 and 2003-2004 Continental Casualty professional liability policies because they did not disclose information, during the renewal periods of those policies, concerning known acts that exposed them to the underlying professional liability claims. The court further declared that the underlying actions were not covered under the 2001-2002 Continental Casualty policy. The Appellate Division reversed the Supreme Court order and denied all motions and a cross motion for summary judgment (56 AD3d 196 [2008]). The

Appellate Division granted the excess insurers leave to appeal and certified the following question to this Court: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?” We now modify and answer the certified question in the negative.

Analysis

Prior Knowledge Exclusions

Under Pennsylvania law, the insured has the burden of proving that its claim falls “within the policy’s affirmative grant of coverage” (*Koppers Co., Inc. v Aetna Cas. & Sur. Co.*, 98 F3d 1440, 1446 [3d Cir 1996]). The insurer, however, carries “the burden of proving the applicability of any exclusions or limitations on coverage” (*id.*). A court must consider the following two-pronged test when determining whether a prior knowledge exclusion applies. It must “first . . . consider the subjective knowledge of the insured and then the objective understanding of a reasonable attorney with that knowledge” (*Coregis Ins. Co. v Baratta & Fenerty, Ltd.*, 264 F3d 302, 306 [3d Cir 2001]). Specifically, “it must be shown that the insured knew [prior to the effective date of the policy] of certain facts” that occurred prior to that effective date (*id.*, quoting *Selko v Home Ins. Co.*, 139 F3d 146, 152 [3d Cir 1998]). Then, a court must determine that a “reasonable lawyer in possession of such facts would have had a basis to believe that the insured” might expect such facts to be the basis of a claim against the insured (*id.*).

[1] Here, it is undisputed that the law firm defendants knew of SFC’s securities fraud months prior to the effective dates of the Executive Risk and Twin City policies. The courts below noted that Gagné subjectively believed, and informed Mr. Wilcox at least one month prior to the submission of one of the law firm’s insurance applications, that he and the law firm could be subject to a lawsuit from their representation of SFC. Such a belief, although subjective, was also reasonable, but Pepper Hamilton did not provide that information to its insurers. Given the law firm defendants’ role in the securitization of the loans and Gagné’s close involvement with SFC, a reasonable attorney with the law firm defendants’ knowledge should have anticipated the possibility of a lawsuit, particularly when millions of dollars may have been lost from activities of which they were aware. Here, the law firm’s knowledge of its client’s fraudulent payments prior to its application for excess coverage coupled

with the fact that a reasonable attorney would have concluded that the law firm defendants would likely be included in the litigation because of their role in their client's business satisfy the test of *Coregis* and create an obligation for the law firm to inform its insurers of this potential litigation.

Contrary to the Appellate Division's holding, the prior knowledge exclusion in this case does not require the known-of act, error, omission or circumstance to be "wrongful conduct on the part of the insured" (*Executive Risk Indem. Inc. v Pepper Hamilton LLP*, 56 AD3d 196, 204 [1st Dept 2008]). It excludes coverage of "any act, error, omission [or] circumstance . . . occurring prior to the effective date of [the policy] if any [insured] at the effective date knew or could have reasonably foreseen that such act, error, omission [or] circumstance . . . might be the basis of a [claim]." Here, on October 27, 2002, the effective date of the Executive Risk and Twin City policies, the law firm defendants knew of acts that occurred prior to that date, which they could have foreseen to be the basis of a claim. Thus, the prior knowledge exclusions apply to those policies.

Rescission

It is well-settled under Pennsylvania law that rescission of an insurance policy may occur only if the (1) applicant made a false statement, (2) the false statement was material to the risk, (3) the applicant knew the statement was false and (4) the statement was made in bad faith (*Allstate Ins. Co. v Stinger*, 400 Pa 533, 540-541, 163 A2d 74, 78 [1960]). The insurer must prove all elements by clear and convincing evidence (*Justofin v Metropolitan Life Ins. Co.*, 372 F3d 517, 521 [3d Cir 2004]). Pennsylvania recognizes an omission as a false representation in the context of insurance applications (*id.* at 522).

[2] We agree with the Appellate Division that, even if the law firm defendants' omission of the SFC incident is a known false statement, Continental Casualty failed to establish as a matter of law that the false statement was material to the reinsurance determination and that the false statement was made in bad faith. Here, the self-serving affidavit of Continental Casualty's underwriter—that Pepper Hamilton's renewal application would have been treated differently had it disclosed the underlying circumstances which led to the denial of coverage—is insufficient to meet the insurer's heightened burden of proof. The Appellate Division correctly denied summary judgment on the issue of rescission.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with the opinion herein and, as so modified, affirmed, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur; Judge SMITH taking no part.

Order modified, etc.

[918 NE2d 933, 890 NYS2d 421]

GEORGIA HARGETT, Respondent, v TOWN OF TICONDEROGA et al.,
Appellants.

Argued October 22, 2009; decided November 19, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered November 20, 2008. The Appellate Division modified, on the law, an order of the Supreme Court, Essex County (James P. Dawson, J.; op 18 Misc 3d 1138[A], 2008 NY Slip Op 50343[U]), which had denied plaintiff's motion for summary judgment, granted defendants' cross motion for summary judgment dismissing the complaint and dismissed the complaint. The modification consisted of reversing so much of Supreme Court's order as had granted defendants' cross motion and denied plaintiff's motion in its entirety; denying defendants' cross motion; granting plaintiff's motion on the issue of liability; and remitting the matter to the Supreme Court to determine the reasonable amount of plaintiff's reimbursable costs and expenses. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order of Supreme Court by reversing so much thereof as granted defendants' cross motion and as denied plaintiff's motion in its entirety; denying defendants' cross motion, granting plaintiff's motion on the issue of liability, and remitting the matter to the Supreme Court for further proceedings not inconsistent with this Court's decision and, as so modified, affirming the order?"

Hargett v Town of Ticonderoga, 56 AD3d 1016, affirmed.

HEADNOTE

Eminent Domain — Litigation Expenses

Reimbursement for attorney's fees and other costs incurred by a condemnee may be sought pursuant to EDPL 702 (B) after it is determined in an EDPL article 2 proceeding—the first step of the condemnation process—that the condemnor lacked authority to pursue the proposed acquisition. Given the 30-day statute of limitations (EDPL 207 [A]) within which to seek judicial review as to whether the proposed acquisition is within the condemnor's statutory jurisdiction or authority (EDPL 207 [C] [2]), a condemnee may not wait until the condemnor commences a vesting proceeding (EDPL 401 [A] [1]), step two of the condemnation process. Rather, a condemnee must seek judicial review in the Appellate Division practically forthwith—before the vesting proceeding.

Thus, section 702 (B), which provides for the reimbursement of fees and costs incurred “because of the acquisition procedure,” provides for reimbursement to the condemnee who successfully challenges a proposed acquisition at the first step of the eminent domain process and obtains a judicial determination that the condemnor lacks the authority to pursue the proposed acquisition.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 618, 619; AM JUR 2d, Eminent Domain §§ 327, 667–679.
CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:96; CARMODY-WAIT 2d, Eminent Domain §§ 108:131, 108:139, 108:141, 108:152, 108:256, 108:261, 108:262.
MCKINNEY’S, EDPL 203, 207 (A), (C) (2); 401 (A) (1); 702.
NY JUR 2d, Appellate Review §§ 563, 566; NY JUR 2d, Eminent Domain §§ 183, 351, 356–358, 371, 466.
NEW YORK REAL PROPERTY SERVICE §§ 11:65–11:69, 11:85, 11:129, 11:140.
SIEGEL, NY PRAC §§ 528, 529.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Eminent Domain.

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Query: eminent /2 domain /p attorney /2 fee & exceed! /3 authority

POINTS OF COUNSEL

FitzGerald Morris Baker Firth P.C., Glens Falls (*John D. Aspland, Jr.*, of counsel), for appellants. The Eminent Domain Procedure Law does not allow for an award of attorney’s fees in cases such as this. (*Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Matter of Rockland County Sewer Dist. No. 1 v J. & J. Dodge*, 213 AD2d 409; *Matter of 49 WB, LLC v Village of Haverstraw*, 44 AD3d 226; *Matter of Agioritis*, 52 AD2d 128; *Matter of City of New Rochelle v O. Mueller, Inc.*, 191 AD2d 435.)

Darrell W. Harp, Clifton Park, for respondent. Plaintiff, as a condemnee in the present matter, is entitled to reimbursement from defendants for all actual and necessary costs, disbursements and expenses she incurred in her successful EDPL article 2 challenge to the proposed taking of her property by eminent domain and her subsequent EDPL article 7 proceeding. (*Matter*

of 49 WB, LLC v Village of Haverstraw, 44 AD3d 226; *Matter of Broadway Schenectady Entertainment v County of Schenectady*, 288 AD2d 672; *Matter of Metropolitan Transp. Auth.*, 32 AD3d 943; *Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517; *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Matter of Mitchell v Common Council of City of Oswego*, 80 AD2d 722; *Matter of Rockland County Sewer Dist. No. 1 v J. & J. Dodge*, 213 AD2d 409; *General Crushed Stone Co. v State of New York*, 93 NY2d 23; *Matter of City of New Rochelle v O. Mueller, Inc.*, 191 AD2d 435.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

On this appeal, we must determine whether Eminent Domain Procedure Law (EDPL) § 702 (B) provides for reimbursement of attorney's fees and costs when a condemnee successfully challenges a condemnor's authority to acquire real property in proceedings pursuant to EDPL 207 (A). We conclude that EDPL 702 (B) provides for reimbursement under such circumstances, and the Appellate Division order should be affirmed.

In a prior action, the Appellate Division determined that the Superintendent of Highways of the Town of Ticonderoga exceeded his authority in seeking to condemn certain real property for purposes not related to his position (*Matter of Hargett v Town of Ticonderoga*, 35 AD3d 1122 [3d Dept 2006], *lv denied* 8 NY3d 810 [2007]). The respondent on this appeal (the property owner in the prior action) subsequently commenced this litigation in Supreme Court, Essex County under EDPL 702 (B) seeking reimbursement of attorney's fees and certain other costs allegedly incurred in connection with the prior proceeding and the Town's efforts to condemn her property. Both sides moved for summary judgment. Finding no Appellate Division, Third Department case on point, the Supreme Court determined that it was bound by *Matter of 49 WB, LLC v Village of Haverstraw* (44 AD3d 226, 245-246 [2d Dept 2007])—where the Second Department found EDPL 702 (B) did not provide for reimbursement under these circumstances—and dismissed the complaint (18 Misc 3d 1138[A], 2008 NY Slip Op 50343[U]). The Appellate Division modified the order by denying defendants' cross motion for summary judgment dismissing the complaint, granting plaintiff's motion for summary judgment as to liability only and remitting to Supreme Court to determine the reasonable amount of her reimbursable costs and expenses (56 AD3d 1016

[2008]). It expressly noted its disagreement with the Second Department decision relied on by the lower court, and it determined that EDPL 702 (B) does provide for reimbursement under these circumstances.

The Appellate Division subsequently granted defendants' motion for leave to appeal to this Court, certifying the following question:

“Did this Court err, as a matter of law, in modifying, on the law, the order of Supreme Court by reversing so much thereof as granted defendants' cross motion and as denied plaintiff's motion in its entirety; denying defendants' cross motion, granting plaintiff's motion on the issue of liability, and remitting the matter to the Supreme Court for further proceedings not inconsistent with this Court's decision and, as so modified, affirming the order?”

There is no cross appeal by plaintiff. The parties to this appeal have made no arguments as to which particular costs may be recompensed; rather, this appeal is limited to whether there is an entitlement to reimbursement.

Generally, a two-step process is required under the Eminent Domain Procedure Law before a condemnor obtains title to property for public use. The condemnor first makes a determination to condemn the property after invoking the hearing and findings procedures of EDPL 203 and 204 (*Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540, 543 [2006]).* Thereafter, the condemnor must seek the transfer of title to the property by commencing a judicial proceeding known as a vesting proceeding pursuant to EDPL article 4 (*id.*).

A person aggrieved by a condemnor's determination and findings made pursuant to EDPL 204 may seek judicial review of the determination and findings in an original proceeding brought in the Appellate Division pursuant to EDPL 207. Judicial review must be sought “within thirty days after the condemnor's completion of its publication of its determination and findings” (EDPL 207 [A]), and a “condemnee may not wait until the condemnor initiates a vesting proceeding to raise its claims” (*Matter of City of New York*, 6 NY3d at 549 n 4). Judicial review of a condemnor's determination and findings at this first step of the process is limited by statute to certain issues,

* In certain circumstances, pursuant to EDPL 206 the condemnor need not rely on the hearing and findings procedures of EDPL 203 and 204.

including whether “the proposed acquisition is within the condemnor’s statutory jurisdiction or authority” (EDPL 207 [C] [2]).

Attorney’s fees and costs are sought here pursuant to EDPL 702 (B), which provides:

“In the event that the procedure to acquire such property is abandoned by the condemnor, or a court of competent jurisdiction determines that the condemnor was not legally authorized to acquire the property, or a portion of such property, the condemnor shall be obligated to reimburse the condemnee, an amount, separately computed and stated, for actual and necessary costs, disbursements and expenses, including reasonable attorney, appraisal and engineering fees, and other damages actually incurred by such condemnee because of the acquisition procedure.”

Defendants argue that section 702 (B) provides for the reimbursement of attorney’s fees and expenses incurred only during the vesting proceeding, the second step of the EDPL’s process, and not for fees and expenses incurred during the first step of the process. We disagree.

It is true that the EDPL defines “acquisition” as the “act of vesting of title, right or interest to, real property for a public use, benefit or purpose, by virtue of the condemnor’s exercise of the power of eminent domain” (EDPL 103 [A]) and that section 702 (B) provides for the reimbursement of fees and costs incurred “because of the acquisition procedure” (*see Matter of 49 WB*, 44 AD3d at 245 [concluding that the “operative word of the statute is ‘acquisition’ ” and that section 702 (B) limits reimbursement to those fees and costs incurred as part of the “‘second step’ of eminent domain”]). But the EDPL also defines a “condemnee” as “the holder of any right, title, interest, lien, charge or encumbrance in real property subject to an *acquisition or proposed acquisition*” (EDPL 103 [C] [emphasis added]), and it is in the judicial review provided by EDPL 207 in which the condemnee may raise the issue of whether “the *proposed acquisition* is within the condemnor’s statutory jurisdiction or authority” (EDPL 207 [C] [2] [emphasis added]).

Given section 207 (A)’s 30-day statute of limitations to seek such judicial review, a condemnee may not sit on its claims until the second step when the condemnor commences a vesting proceeding (which a condemnor may do up to three years after making its determination and findings [EDPL 401 (A) (1)]).

Rather, a condemnee must seek judicial review in the Appellate Division practically forthwith—before step two of the process. Thus, section 702 (B) provides for reimbursement to the condemnee who successfully challenges a “proposed acquisition” at the first step of the eminent domain process and obtains a judicial determination that the condemnor lacks the authority to pursue the proposed acquisition. Moreover, contrary to defendants’ argument, we can discern no reason why the Legislature would have been disposed to allowing condemnees successful in EDPL article 4 proceedings to obtain reimbursement while simultaneously barring the same relief to condemnees successful in EDPL article 2 proceedings.

We therefore conclude that reimbursement for attorney’s fees and other costs incurred by a condemnee may be sought pursuant to EDPL 702 (B) after it is determined in an EDPL article 2 proceeding that the condemnor lacked authority to pursue the proposed acquisition.

We should also note what we are not deciding today. The attorney’s fees and costs that may be reimbursed under section 702 (B) are expressly limited by the statute to those that are “actually incurred by such condemnee because of the acquisition procedure” (EDPL 702 [B]). Plainly, fees and costs incurred by a condemnee after a condemnor makes a determination and findings that are adverse to the condemnee pursuant to EDPL 203 and 204 are incurred “because of the acquisition procedure” (*id.*). However, we take no view here as to whether fees incurred before such an adverse determination may be said to be incurred “because of the acquisition procedure” within the meaning of EDPL 702 (B). Specifically, we do not decide today whether fees and costs incurred in preparing for and participating in an EDPL 203 public hearing after the condemnee has received notice of the hearing but prior to an adverse determination from the condemnor may be reimbursed under section 702 (B), nor do we decide whether fees and costs incurred prior to the receipt of formal notice of an EDPL 203 hearing may be reimbursed. These issues are not now before us because this appeal is limited to whether there is an entitlement to reimbursement.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES
concur.

Order affirmed, etc.

[918 NE2d 927, 890 NYS2d 415]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
MICHAEL J. BROWN, Appellant.

Argued October 14, 2009; decided November 19, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 29, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Sheri S. Roman, J.; *see* 9 Misc 3d 420), which had convicted defendant, upon a jury verdict, of sodomy in the first degree (two counts), assault in the second degree (two counts) and endangering the welfare of a child.

People v Brown, 50 AD3d 1154, affirmed.

HEADNOTES

Crimes — Right of Confrontation — DNA Report Prepared by Non-testifying Laboratory Technician

1. The introduction of a DNA report processed by a subcontractor laboratory to the Office of the Chief Medical Examiner (OCME) through the testimony of a forensic biologist from OCME did not violate defendant's Sixth Amendment right to confrontation. As the report, which consisted of machine-generated raw data, graphs and charts representing the characteristics of the male DNA specimen found in the victim's rape kit, was "nontestimonial," its admission did not constitute a *Crawford* violation (*see Crawford v Washington*, 541 US 36 [2004]; *Melendez-Diaz v Massachusetts*, 557 US —, 129 S Ct 2527 [2009]). The People called as a witness the forensic biologist who conducted the actual analysis at issue, linking defendant's DNA to the profile found in the victim's rape kit. She testified that she had personally examined the subcontractor's file; she interpreted the profile of the data represented in the machine-generated graphs; and she made the critical determination linking defendant to the crime. She also stated that she was familiar with the procedures and protocols used by the subcontractor, and defendant could have challenged such claim on cross-examination. No conclusions, interpretations or comparisons were apparent in the DNA report, and the technicians who generated the report would not have been able to offer any testimony other than how they performed certain procedures. Nor were the results of the subcontractor's procedures tainted by a pro-law-enforcement bias to inculpate defendant, as the report was conducted before defendant was ever a suspect, OCME and the subcontractor were not law enforcement entities, and any contamination of the evidence or equipment error would not have led to defendant being accused, but rather would have resulted in blank spots in the report.

Crimes — Evidence — DNA Identification Tests — Business Records Exception

2. The testimony of a forensic biologist from the Office of the Chief Medical Examiner (OCME) provided a sufficient foundation for introducing a DNA

report processed by a subcontractor laboratory to the OCME under the business records rule, CPLR 4518. The subcontractor tested the male DNA specimen found in the victim's rape kit and produced the DNA report used by the forensic biologist in linking defendant to the crime. Under limited circumstances, a witness who is familiar with the practices of a company that produced the records being offered into evidence, and who generally relies upon such records, may have the requisite knowledge to meet the CPLR requirements for the admission of a business record. Here, the forensic biologist testified that she relied on the documents at issue as a matter of practice; she reviewed them and used them in conducting her own DNA analysis. OCME entrusted the subcontractor for a substantial amount of testing, including 225 rape kits. Further, the witness testified that she was familiar with the procedures and protocols used by the subcontractor and that such procedures were up to standard. She also testified as to the reliability of the testing procedures the subcontractor used to generate the DNA report, as to the subcontractor's duty to create such records, that the report was made contemporaneously, and that the report was made in the regular course of business.

Crimes — Right to Counsel — Effective Representation — Failure to Raise Statute of Limitations Defense

3. Defense counsel, having unsuccessfully moved prior to trial to dismiss the indictment against defendant on the ground that the statute of limitations had run arguing that the People could not rely upon the five-year extension under CPL 30.10 (4) (a) because police failed to exercise "reasonable diligence" in locating defendant, was not ineffective in failing to renew the motion based upon additional identification evidence provided at trial by the victim. Prior to trial, the victim was unable to describe her attacker with any specificity, other than he was an African-American male in his mid-thirties. Defendant was not identified as her attacker until many years later, when his DNA specimen was linked to the profile found in the victim's rape kit. At trial, the victim provided a more ample description of her attacker, calling him "muscular" and testifying that he asked her about members of her family, including her "Uncle Sol." There was no support, however, for the notion that defendant would have been identified at an earlier date as a result of that additional information (had the police in fact known about it) and there was no evidence that police failed to act with "reasonable diligence" in investigating the crime (*see* CPL 30.10 [4] [a]). Accordingly, defendant's motion would have been meritless.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1072–1075, 1083, 1084, 1088–1090, 1135–1139; AM JUR 2d, Evidence §§ 1015, 1034, 1257–1266.

CARMODY-WAIT 2d, Presentation of the Case §§ 56:108, 56:109; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:166, 184:242; CARMODY-WAIT 2d, Timeliness of Prosecution; Speedy Trial § 186:10; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:63, 194:64; CARMODY-WAIT 2d, Testimony of Witnesses § 195:95.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10, 24.3, 24.4.

McKINNEY'S, CPLR 4518; CPL 30.10 (4) (a).

NY JUR 2d, Criminal Law: Procedure §§ 859, 860, 864–870, 1850, 2130, 2172, 2202, 2298.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Business Records; Confrontation of Witnesses; DNA.

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Database: NY-ORCS

Query: right /3 confront! /s dna /2 report /p nontestimonial

POINTS OF COUNSEL

Appellate Advocates, New York City (Steven R. Bernhard and Lynn W.L. Fahey of counsel), for appellant. I. Appellant was denied his Sixth Amendment right to the effective assistance of counsel by his attorney's failure to renew his pretrial dismissal motion when trial testimony revealed information at odds with the prosecution claim that "reasonable diligence" had been utilized to ascertain the assailant's identity so as to extend the statute of limitations. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143; *People v Bennett*, 29 NY2d 462; *People v LaBree*, 34 NY2d 257; *People v Droz*, 39 NY2d 457; *People v Hobot*, 84 NY2d 1021; *Matter of Chad H.*, 278 AD2d 601; *People v Grey*, 257 AD2d 685.) II. The introduction of a DNA report from an outside laboratory, without testimony from anyone employed by, or personally familiar with, the procedures and protocols used by that lab in creating the report, violated appellant's right to confrontation and New York's foundational requirement for the report's admission as a business record. (*Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *People v Rawlins*, 10 NY3d 136; *People v Kennedy*, 68 NY2d 569; *People v Cratsley*, 86 NY2d 81; *Johnson v Lutz*, 253 NY 124; *Standard Textile Co. v National Equip. Rental*, 80 AD2d 911; *People v Grogan*, 28 AD3d 579; *People v Jenkins*, 55 AD3d 850; *People v Prado*, 4 NY3d 725.)

Richard A. Brown, District Attorney, Kew Gardens (William H. Branigan and John M. Castellano of counsel), for respondent. I. The Appellate Division correctly held that the subcontractor's lab report, consisting of raw data of a single DNA

sample, was properly admitted in evidence. (*People v Rawlins*, 10 NY3d 136; *People v Freycinet*, 11 NY3d 38; *Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *People v Cratsley*, 86 NY2d 81; *People v Gray*, 86 NY2d 10; *People v Hawkins*, 11 NY3d 484; *Standard Textile Co. v National Equip. Rental*, 80 AD2d 911; *People v Kennedy*, 68 NY2d 569.) II. Defense counsel provided effective representation. (*People v Riley*, 70 NY2d 523; *People v Ramos*, 99 NY2d 27; *People v Parilla*, 8 NY3d 654; *People v Hobot*, 84 NY2d 1021; *People v Benevento*, 91 NY2d 708; *People v Brown*, 7 NY2d 359; *People v Rivera*, 71 NY2d 705; *People v Baldi*, 54 NY2d 137; *People v De Mauro*, 48 NY2d 892; *People v Jackson*, 52 NY2d 1027.)

OPINION OF THE COURT

CIPARICK, J.

The main issue raised on appeal is whether defendant's Sixth Amendment right to confrontation was violated by the introduction of a DNA report processed by a subcontractor laboratory to the Office of the Chief Medical Examiner (OCME) through the testimony of a forensic biologist from OCME. Because the report is "nontestimonial," we hold that its admission did not constitute a *Crawford* violation (see *Crawford v Washington*, 541 US 36 [2004]; *Melendez-Diaz v Massachusetts*, 557 US —, 129 S Ct 2527 [2009]).

I

The People alleged that on the morning of August 6, 1993, as the nine-year-old female victim was walking to her friend's apartment in Queens, defendant followed her inside the building to the fifth floor. Placing his hand over her mouth, he accosted her and brought her to the rooftop of the building. He then used a cigarette lighter to burn a plastic hair clip into her arm and threatened her if she resisted his sexual advances. When she did resist, he picked up a brick and struck her in her head, temporarily knocking her unconscious. Upon awakening, she wore only a t-shirt that was covered in blood, and she had a footprint on her face from being kicked. She fled downstairs to her friend's apartment and was taken to a local hospital.

Police interviewed the victim at the hospital. She told them that she did not know her attacker, nor was she able to describe him with any specificity, other than he was an African-American male in his mid-thirties. A canvas of the area yielded no additional evidence.

The hospital prepared a rape kit that was later sent to OCME. Due to a substantial backlog,¹ OCME was unable to perform DNA testing on the rape kit at that time. On August 2, 2002, almost nine years after the crime, OCME received additional funding to address the backlog. It sent the rape kit, along with 225 others, to Bode Technology, one of at least three of its subcontracting laboratories, for testing. Bode is a private laboratory that is fully accredited. Shortly thereafter, Bode isolated a male DNA specimen from the rape kit, reflecting a string of numbers of all 13 areas of DNA. Bode further produced a DNA report containing machine-generated raw data, graphs and charts of the male specimen's DNA characteristics.

Subsequently, the DNA characteristics were entered into the Combined DNA Index System. By June 2000, defendant's DNA specimen had been recorded in the national database by Maryland police, upon his arrest for an unrelated matter. In February 2003, a routine search of the database registered a "cold hit," linking defendant's DNA to the profile found in the victim's rape kit. A detective from the Queens Special Victims Squad took a DNA sample from defendant and delivered it to OCME. Thereafter, a forensic biologist/criminalist from OCME compared defendant's DNA characteristics to the specimen from the victim's rape kit. Based upon this analysis, she determined that the profiles were a match occurring in one out of one trillion males.

Defendant was charged with two counts of sodomy in the first degree, kidnapping in the second degree, three counts of assault in the second degree and endangering the welfare of a child. Before trial, he moved to dismiss the indictment on the ground that the statute of limitations had run, arguing that the People could not rely upon the five-year extension under CPL 30.10 (4) (a), where the whereabouts of the defendant are unknown and unascertainable, because police failed to exercise "reasonable diligence" in locating him. Supreme Court denied the motion, holding that the delay was caused by the child victim's inability to identify her attacker and that defendant was arrested based upon DNA evidence found years later.

At trial, the victim provided a more ample description of her attacker, calling him "muscular." She also testified that he

1. In 1994, the New York State Legislature created a DNA data bank. An amendment of the statute provided for retroactive application. Thereafter, the New York City Police Department began a backlog project, and it submitted over 14,000 sexual assault kits to laboratories for DNA testing.

asked her about members of her family, including her “Uncle Sol.” Defense counsel did not renew the motion to dismiss the indictment as time-barred based upon this additional evidence provided at trial by the victim.

The People called as a witness the forensic biologist/criminalist from OCME who analyzed defendant’s DNA profile. She testified that she supervised other criminalists at OCME, reviewed their reports and findings, and oversaw quality control management to ensure the laboratory’s procedures met appropriate standards. She stated that she had personally performed thousands of DNA tests and reviewed many more. The court granted the People’s application to have her deemed an expert in DNA testing and forensic biology. The witness then testified in depth as to the characteristics of DNA and about the testing protocols for all accredited crime laboratories in the United States, including OCME and Bode.

The People then moved to introduce the DNA report, containing a profile of the specimen taken from the victim’s rape kit, as a business record. Defense counsel objected, claiming that any documents generated by Bode were “testimonial evidence” that would violate defendant’s Sixth Amendment right to confrontation, unless the analyst who performed the test was present to testify. Defense counsel further asserted that the witness was not familiar with Bode’s quality assurance and how this particular test was performed. The People responded that the report contained merely raw data and was not testimonial, and that the witness herself had performed the analysis in comparing defendant’s profile with the profile of the DNA found in the rape kit. The People cited to *People v Cratsley* (86 NY2d 81 [1995]) and *People v Kennedy* (68 NY2d 569 [1986]), arguing that a business record can be introduced by a person who is not a custodian of records, provided that the other criteria for the business record exception are established. Initially, the court denied the application to admit the DNA report.

The OCME witness then testified that the Bode report consisted merely of raw data and contained no conclusions other than noting that there was a male specimen found in the victim’s rape kit. She stated that she drew her own scientific conclusions from analyzing the data and defendant’s DNA profile. She further noted that she was familiar with Bode’s procedures and protocols. The court then admitted the report

into evidence.² Subsequently, the jury convicted defendant of two counts of first-degree sodomy, two counts of second-degree assault and endangering the welfare of a child.

The Appellate Division affirmed the conviction, concluding that introduction of the DNA report did not violate defendant's Sixth Amendment confrontation right,³ and further that there was no statute of limitations violation because defendant was not a suspect until the DNA evidence linked him to this crime (see 50 AD3d 1154 [2008]). A Judge of this Court granted defendant leave to appeal (11 NY3d 830 [2008]), and we now affirm.

II

The Sixth Amendment to the United States Constitution guarantees a defendant the right to be “confronted with the witnesses against him.” This provision bars “admission of testimonial statements of a witness who did not appear at trial unless he was unavailable to testify, and the defendant . . . had a prior opportunity for cross-examination” (*Crawford*, 541 US at 53-54). Only statements that are “testimonial” implicate the Sixth Amendment right to confront witnesses (see *Davis v Washington*, 547 US 813, 821 [2006]). In *Crawford*, the Court explained that “[t]estimony” is “[a] solemn declaration or affirmation made for the purpose of establishing or proving some fact” (541 US at 51 [internal quotation marks and citation omitted]). It includes “*ex parte* in-court testimony” and “extrajudicial statements,” such as “affidavits, custodial examinations, prior testimony that the defendant was unable to cross-examine, or similar pretrial statements that declarants would reasonably expect to be used prosecutorially” (*id.*).

In *Melendez-Diaz*, the United States Supreme Court recently held that “certificates of analysis” from a state laboratory concluding two essential elements of the charged crime, that the seized substance was cocaine and of a certain weight, without any testimony from the analysts who made such conclusions, violated defendant's Sixth Amendment right to confront witnesses (557 US at —, 129 S Ct at 2532). The certificates

2. The exhibit contains 72 pages. The Bode documents are 29 pages and they contain graphs, charts, a description of the process used to test the DNA and a statement identifying whether the profile was of a male, female or was inconclusive.

3. It should be noted that the Appellate Division decision was entered in April 2008, well over a year before the Supreme Court of the United States decided *Melendez-Diaz*.

were sworn to by the analysts before a notary public and were created for the “sole purpose” of being introduced in court during the prosecution of the case (*id.*). Under these circumstances, the Court held that the affidavits were “testimonial statements” and the analysts were “witnesses” for purposes of the Sixth Amendment (*id.*). The Court stated:

“The documents at issue here, while denominated by Massachusetts law certificates, are quite plainly affidavits: declaration[s] of facts written down and sworn to by the declarant before an officer authorized to administer oaths. They are incontrovertibly a solemn declaration or affirmation made for the purpose of establishing or proving some fact. The fact in question is that the substance found in the possession of Melendez-Diaz and his codefendants was, as the prosecution claimed, cocaine—the precise testimony the analysts would be expected to provide if called at trial. The certificates are functionally identical to live, in-court testimony, doing precisely what a witness does on direct examination” (557 US at —, 129 S Ct at 2532 [internal quotation marks and citations omitted]).

In *People v Meekins* (10 NY3d 136 [2008]), a pre-*Melendez-Diaz* case, we held that the introduction of a DNA report from a private subcontractor laboratory that tested the victim’s rape kit was not a *Crawford* violation, where the technicians who performed the test did not testify at trial. We concluded that the reports were not “testimonial” because the technicians merely recorded neutral testing procedures and the “graphical DNA test results, standing alone, shed no light on the guilt of the accused in the absence of an expert’s opinion that the results genetically match a known sample,” and such an expert did testify at the trial (*id.* at 159). In the companion case, *People v Rawlins*, however, we held that the introduction of a fingerprint analysis was “testimonial” because it was prepared by police solely to be entered at the subsequent trial against the defendant, and it was therefore offered upon a purely accusatory basis, to establish defendant’s identity at trial (*see id.* at 157). We have noted several other factors that may be relevant in considering whether a document is “testimonial” in a *Crawford* analysis: (1) whether the agency that produced the record is independent of law enforcement; (2) whether it reflects objective facts at the time of their recording; (3) whether the report has

been biased in favor of law enforcement; and (4) whether the report accuses the defendant by directly linking him or her to the crime (*see People v Freycinet*, 11 NY3d 38, 41 [2008]).

[1] Here, unlike *Melendez-Diaz*, the People called the forensic biologist who conducted the actual analysis at issue, linking defendant's DNA to the profile found in the victim's rape kit. She testified that she had personally examined the Bode file; she interpreted the profile of the data represented in the machine-generated graphs; and she made the critical determination linking defendant to this crime. She also stated that she was familiar with the procedures and protocols used by Bode, and defendant could have challenged such claim on cross-examination.

The Bode report, furthermore, was not "testimonial" under such circumstances because it consisted of merely machine-generated graphs, charts and numerical data. There were no conclusions, interpretations or comparisons apparent in the report since the technicians' use of the typing machine would not have entailed any such subjective analysis. These technicians would not have been able to offer any testimony other than how they performed certain procedures. As the Court made clear in *Melendez-Diaz*, not everyone "whose testimony may be relevant in establishing the chain of custody, authenticity of the sample, or accuracy of the testing device, must appear in person as part of the prosecution's case" (557 US at — n 1, 129 S Ct at 2532 n 1). The technicians who generated this report fit the definition of an "analyst" under *Meekins*, where we held that the DNA subcontractor's report consisted of merely "raw data . . . in the form of nonidentifying graphical information" (10 NY3d at 158-159).

Finally, we see no merit to defendant's contention that the results of the Bode procedures could have been tainted by a pro-law-enforcement bias to inculcate defendant. First, Bode's report was conducted before defendant was ever a suspect in this case, thereby eliminating any pro-law-enforcement benefit to manipulating the results. Second, OCME and Bode are not law enforcement entities; they are scientific laboratories that work independently from the District Attorney and New York City Police Department. Third, the OCME witness testified that technician incompetence would not have led to defendant being accused. Any contamination resulting from mishandling the evidence or an error in using the equipment would result in blank spots, but

would not otherwise alter the data to form an erroneous DNA profile. Our holding is thus consistent with *Melendez-Diaz*, as the Bode report is “nontestimonial” and the OCME criminalist testified that she was familiar with Bode’s procedures, protocols and accreditation.

[2] We additionally find that the OCME witness’s testimony provided a sufficient foundation for introducing the Bode documents under our business records rule, CPLR 4518. In *People v Cratsley* (86 NY2d 81, 89 [1995]), we held that, under limited circumstances, a witness who is familiar with the practices of a company that produced the records at issue, and who generally relies upon such records, may have the requisite knowledge to meet the CPLR requirements for the admission of a business record, provided that the witness can also attest that (1) the record was made in the regular course of business; (2) it was the regular course of business to make such record; and (3) the record was made contemporaneously with the relevant event, thereby assuring its reliability.

Here, the forensic biologist testified that she relied on the documents at issue as a matter of practice; she reviewed them and used them in conducting her own DNA analysis. OCME entrusted Bode for a substantial amount of testing, including 225 rape kits. Further, the witness testified that she was familiar with the procedures and protocols used by Bode and that such procedures were up to standard. She finally testified as to the reliability of the testing procedures Bode used to generate this report, and as to Bode’s duty to create such records, that it was made contemporaneously, and that the record was made in the regular course of business.

[3] Defendant’s final claim is that his right to effective assistance of counsel was violated when his attorney did not raise the statute of limitations claim again, after the victim provided a more ample description of her attacker during her trial testimony. Because there is no support for the notion that defendant would have been identified at an earlier date as a result of this additional information (had the police in fact known about it) and there was no evidence that police failed to act with “reasonable diligence” in investigating this crime (*see* CPL 30.10 [4] [a]), we conclude that defendant’s motion would have been meritless, and thus his counsel was not ineffective in failing to restate this claim.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[918 NE2d 936, 890 NYS2d 424]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANNY COLON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY ORTIZ, Appellant.

Argued October 20, 2009; decided November 19, 2009

SUMMARY

APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 28, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Michael A. Corriero, J.), which had denied defendants' motions to vacate the judgments of that court (Clifford A. Scott, J.) convicting defendants, upon a jury verdict, of murder in the second degree (two counts), attempted murder in the second degree (two counts), assault in the first degree (two counts), criminal use of a firearm in the first degree, criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree.

People v Colon, 55 AD3d 444, reversed.

People v Ortiz, 55 AD3d 444, reversed.

HEADNOTE

Crimes — Disclosure — Failure to Disclose Exculpatory Material

In the prosecution of defendants for murder and related crimes, the prosecutor's failure to correct the misleading testimony given by one of the two witnesses to connect defendants to the fatal shootings regarding the benefits conferred on that witness by the prosecutor required reversal of defendants' convictions. There was a reasonable possibility that the errors, which were compounded when the prosecutor repeated and emphasized the misinformation during summation, affected the jury's verdict. Upon direct examination by the prosecutor, the witness testified that a favorable plea deal in connection with misdemeanor drug charges was the "only benefit" he received in exchange for his testimony and that the prosecutor did not "have anything to do with the disposition" of his subsequent felony drug charges, assertions repeated by the prosecutor during summations. In fact, the prosecutor had assisted in the relocation of the witness's grandparents, personally appeared in his felony drug prosecution to convey the initial plea offer and contacted the narcotics prosecutor regarding his status as a cooperating witness. The false testimony may well have impacted the jury's perception of the witness's credibility, and his testimony was crucial as the other witness, a self-described drug kingpin and murderer, had previously committed perjury and was facing life imprisonment when he agreed to testify against defendants. Moreover, the prosecutor should have disclosed two notes pertaining to the prosecutor's

interviews of two women who claimed to have information about the shootings, as well as information regarding the discovery of a gun in the witness's hotel room prior to defendants' trial, for which the witness was never arrested or prosecuted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 736, 925; AM JUR 2d, Trial §§ 463, 464, 585; AM JUR 2d, Witnesses § 854.

CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:247, 195:251; CARMODY-WAIT 2d, Summation §§ 199:11–199:13; CARMODY-WAIT 2d, Postjudgment Motions § 205:7; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:169, 207:172.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.7, 24.11.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Criminal Procedure Rules; Prosecuting Attorneys; Witnesses.

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Query: vacat! /5 conviction & prosecutor /s correct! /s witness

POINTS OF COUNSEL

Law Offices of Joel B. Rudin, New York City (*Joel B. Rudin* of counsel), and *Legal Aid Society, Criminal Appeals Bureau* (*Harold V. Ferguson, Jr.*, and *Steven Banks* of counsel), for appellants. I. Appellants' convictions should be vacated because the prosecutor knowingly misled the jury about the motive, bias, and interest of her principal witness; had the truth come out, there is a reasonable possibility that the outcome of this close case would have been affected. (*Zappulla v New York*, 391 F3d 462; *United States v Bernal-Obeso*, 989 F2d 331; *Su v Filion*, 335 F3d 119; *United States v Agurs*, 427 US 97; *Napue v Illinois*, 360 US 264; *People v Steadman*, 82 NY2d 1; *People v Novoa*, 70 NY2d 490; *Jenkins v Artuz*, 294 F3d 284; *Mills v Scully*, 826 F2d 1192; *People v Perez*, 127 AD2d 707.) II. Appellants' convictions should be vacated under *Brady v Maryland* (373 US 83 [1963]) and *People v Vilardi* (76 NY2d 67 [1990]) because the People failed to disclose evidence contradicting their principal witness's testimony denying that he had any reason to

testify favorably for the People. (*Giglio v United States*, 405 US 150; *People v Wright*, 86 NY2d 591; *People v Steadman*, 82 NY2d 1; *People v Bond*, 95 NY2d 840; *People v Baxley*, 84 NY2d 208; *Kyles v Whitley*, 514 US 419; *People v Simmons*, 36 NY2d 126; *Griffin v United States*, 183 F2d 990; *People v Behling*, 26 NY2d 651; *United States v Bagley*, 473 US 667.) III. The convictions should be vacated because, under *People v Vilardi* (76 NY2d 67 [1990]), there is a reasonable possibility that defense counsel, at the time of trial, would have been able to use the investigative leads the People withheld to obtain admissible evidence that would have affected the outcome of the trial. (*DiSimone v Phillips*, 461 F3d 181; *United States v Gil*, 297 F3d 93; *Bowen v Maynard*, 799 F2d 593; *People v Soto*, 285 AD2d 618; *People v Robinson*, 133 AD2d 859; *People v Hunter*, 11 NY3d 1; *People v Joseph*, 86 NY2d 565; *People v Wallace*, 76 NY2d 953; *Ellsworth v Warden*, 333 F3d 1; *People v Settles*, 46 NY2d 154.)

Robert M. Morgenthau, District Attorney, New York City (*Patrick J. Hynes* and *Alan Gadlin* of counsel), for respondent. Both defendants' postjudgment motions were properly denied. (*Brady v Maryland*, 373 US 83; *Giglio v United States*, 405 US 150; *People v Fuentes*, 12 NY3d 259; *People v Novoa*, 70 NY2d 490; *Strickler v Greene*, 527 US 263; *Shabazz v Artuz*, 336 F3d 154; *People v Tellier*, 272 AD2d 347; *Bell v Bell*, 512 F3d 223; *United States v Bagley*, 473 US 667; *People v Hunter*, 11 NY3d 1.)

Law Office of Marc Fernich, New York City (*Marc Fernich* of counsel), *Sercarz & Riopelle LLP* (*Maurice H. Sercarz* of counsel), and *Richard D. Willstatter*, White Plains, for National Association of Criminal Defense Lawyers and another, amici curiae. I. The policies motivating *Brady v Maryland* (373 US 83 [1963]) and *People v Vilardi* (76 NY2d 67 [1990]) mandate broad disclosure of exculpatory information regardless of form. (*People v Novoa*, 70 NY2d 490; *United States v Rodriguez*, 496 F3d 221; *Berger v United States*, 295 US 78; *United States v Gil*, 297 F3d 93; *Leka v Portuondo*, 257 F3d 89; *Grant v Alldredge*, 498 F2d 376; *United States v Polisi*, 416 F2d 573; *DiSimone v Phillips*, 461 F3d 181; *United States v Price*, 566 F3d 900; *United States v Triumph Capital Group, Inc.*, 544 F3d 149.) II. Appellants' convictions must be reversed. (*People v Primo*, 96 NY2d 351; *Holmes v South Carolina*, 547 US 319; *Kyles v Whitley*, 514 US 419.)

Weil, Gotshal & Manges LLP, New York City (*Caitlin J. Haligan*, *Vernon S. Broderick*, *Eric S. Hochstadt* and *Cheri Veit* of

counsel), for Center on the Administration of Criminal Law at New York University School of Law, amicus curiae. I. Further guidance from this Court is warranted to clarify what conduct gives rise to a tacit agreement between a prosecutor and a cooperating witness for *Brady* disclosure purposes. (*Brady v Maryland*, 373 US 83; *Giglio v United States*, 405 US 150; *People v Novoa*, 70 NY2d 490; *People v Cwikla*, 46 NY2d 434; *Douglas v Workman*, 560 F3d 1156; *Bell v Bell*, 512 F3d 223; *Wisehart v Davis*, 408 F3d 321; *Alderman v Zant*, 22 F3d 1541; *United States v Shaffer*, 789 F2d 682; *DuBose v Lefevre*, 619 F2d 973.) II. This Court should adopt the Center on the Administration of Criminal Law's proposed rule that a tacit agreement is formed and must be disclosed where, prior to a cooperating witness testifying, the witness has reason to believe that the prosecutor will or has assisted him in receiving a benefit *and* the prosecutor suggests she will or has done so *or* actually contacts an agency or third party from whom a benefit was or could be obtained. (*People v Wright*, 86 NY2d 591; *People v Steadman*, 82 NY2d 1; *Brady v Maryland*, 373 US 83; *People v Vilardi*, 76 NY2d 67; *People v Savvides*, 1 NY2d 554; *People v Novoa*, 70 NY2d 490; *United States v Bagley*, 473 US 667; *Giglio v United States*, 405 US 150; *People v Santorelli*, 95 NY2d 412; *Bell v Bell*, 512 F3d 223.) III. The case at bar confirms the need for a clear rule that broadly defines tacit agreements for *Brady* disclosure purposes. (*People v Cwikla*, 46 NY2d 434; *People v Novoa*, 70 NY2d 490.)

OPINION OF THE COURT

GRAFFEO, J.

Shortly after midnight on December 8, 1989, the occupants of a van opened fire on two cars at a Manhattan intersection, killing two men and wounding two others. In the fall of 1990, defendants Danny Colon and Anthony Ortiz were arrested in connection with the shootings and charged with four counts each of second-degree murder, attempted second-degree murder and first-degree assault, as well as various weapons offenses.

At their joint trial in 1993, only two witnesses linked defendants to the crime. Anibal Vera, a childhood friend and former associate of Colon in a drug-dealing operation, testified that he was with defendants the day after the shootings. According to Vera, Colon admitted that he was one of the shooters and that Ortiz also participated in the crime. During his testimony, Vera acknowledged that he did not implicate

defendants until he was arrested in March 1990 on misdemeanor drug charges. As a result of his entering into a cooperation agreement with the District Attorney's office, he agreed to testify against Colon and Ortiz. In return, he was permitted to enter a guilty plea to disorderly conduct and avoided jail time for what would have been a probation violation. Vera claimed that this favorable plea deal was the "only benefit" he received in exchange for his testimony and that the prosecutor did not "have anything to do with the disposition" of his subsequent 1992 felony drug charges, for which he received a sentence of 2½ to 5 years upon his guilty plea.

The second witness, Daniel Core, testified that he spoke with Colon and Ortiz while they were incarcerated together and each admitted his role in the December 1989 shootings. Core recalled Colon describing the shootings as a drug-related ambush and that Colon had identified Wilbur Hernandez, Willie Perez and "Moose" as the other occupants in the van.¹ Core explained that at the time he reported this information to the authorities, he was facing life imprisonment for the March 1990 murders of the two survivors of the December 1989 attack, as well as federal drug conspiracy charges. He agreed to execute written cooperation agreements with state and federal prosecutors in the hope that, in exchange for his testimony against defendants, he would obtain substantially reduced sentences on his guilty pleas. Core also admitted at trial that he had been a drug dealer whose operations grossed up to \$140,000 a day; that he was responsible for numerous murders in connection with his drug activities; and that he had previously lied to a grand jury in an unrelated case.

During summation, the prosecutor repeated Vera's assertion that he had not received "any benefit" other than the favorable plea agreement resolving his 1990 misdemeanor drug case. The prosecutor also stressed that she had "nothing to do with the plea [Vera] ultimately took with a two and a half to five year sentence" in connection with his 1992 felony narcotics arrest.

The jury convicted defendants of two counts each of murder in the second degree, attempted murder in the second degree and assault in the first degree, and one count each of criminal use of a firearm in the first degree, criminal possession of a

1. Hernandez and Moose were murdered in 1992 and were therefore never brought to trial. Perez pleaded guilty to third-degree criminal possession of a weapon.

weapon in the second degree and criminal possession of a weapon in the third degree. Defendants were sentenced to two consecutive prison terms of 25 years to life for the murder convictions, which were to run concurrently with the lesser sentences imposed for the other convictions. Their judgments were affirmed on direct appeal (*see* 238 AD2d 213 [1st Dept 1997], *lv denied* 90 NY2d 862 [1997], 90 NY2d 892 [1997]).

In 2003, Colon moved under CPL 440.10 to vacate the judgment, arguing that Vera had received additional benefits in exchange for his testimony and that the prosecutor had failed to correct Vera's false testimony. Ortiz later joined in the motion and Supreme Court conducted a hearing at which the prosecutor testified but Vera did not appear.

At the hearing, defendants established that the District Attorney's office had engaged in further activity on Vera's behalf that neither Vera nor the prosecutor revealed during the trial. Specifically, the prosecutor had assisted in the relocation of Vera's grandparents by contacting the New York City Housing Authority. Defendants also demonstrated that the prosecutor was involved with Vera's 1992 felony drug case on two occasions. First, the prosecutor appeared at a calendar call to tell Vera about a plea offer of 2½ to 5 years that had been authorized by the Office of the Special Narcotics Prosecutor. Second, approximately one month later, the prosecutor left a phone message with the narcotics prosecutor regarding Vera's status as a witness in defendants' murder trial.² Defendants also revealed that the prosecutor was aware that a gun had been recovered from Vera's hotel room prior to the murder trial and that Vera was never arrested or prosecuted for its possession.

Furthermore, the District Attorney's office produced two handwritten notes by the trial prosecutor, dated March 28, 1990, that pertained to her interviews of two women who claimed to have information about the shootings. These notes had not been disclosed to defense counsel prior to trial. Based on the content of the interview notes, apparently one woman had identified four persons as participants in the shooting: Little Danny, Willie Perez, Moose and Wilbert. The second note contained a slightly

2. Vera later absconded and was rearrested in March 1993, after which he pleaded guilty to criminal possession of a controlled substance in the fifth degree and received a prison term of 2½ to 5 years.

different list of four names obtained from the second woman—Danny, Willie, Moose and Wilbur.³

Following the hearing, Supreme Court denied defendants' CPL 440.10 motions to vacate the judgments. The Appellate Division affirmed, finding that any error was harmless (55 AD3d 444 [1st Dept 2008]). A Judge of this Court granted leave to appeal (*People v Colon*, 12 NY3d 782 [2009]; *People v Ortiz*, 12 NY3d 786 [2009]), and we now reverse.

In their role as public officers, prosecutors “must deal fairly with the accused and be candid with the courts” (*People v Steadman*, 82 NY2d 1, 7 [1993]). This duty requires prosecutors not only to disclose exculpatory or impeaching evidence but also to correct the knowingly false or mistaken material testimony of a prosecution witness. Where a prosecutor elicits or fails to correct such inaccurate testimony, reversal and a new trial are necessary unless there is no “reasonable possibility” that the error contributed to the conviction (*People v Pressley*, 91 NY2d 825, 827 [1997]; see also *Steadman*, 82 NY2d at 8-9).

Here, Vera testified at trial that the only benefit he received for his testimony was his favorable 1990 plea deal. In fact, it was the prosecutor herself who elicited this testimony during Vera's direct examination. But as the Appellate Division observed, the prosecutor's assistance on behalf of Vera's grandparents “constituted an additional benefit to the witness” (55 AD3d at 445), even though they did not ultimately move to a new apartment until two months after the trial. Vera also alleged, in effect, that the prosecutor had no involvement with his 1992 drug case. Yet, the prosecutor personally appeared in that case to convey the initial plea offer and later contacted the narcotics prosecutor regarding Vera's status as a cooperating witness. Hence, the prosecutor failed to correct Vera's misleading testimony and, in addition, compounded these errors by repeating and emphasizing the misinformation during summation.

Unlike the Appellate Division, we believe that there is a reasonable possibility that these errors affected the jury's verdict (see *People v Vilardi*, 76 NY2d 67, 77 [1990]). At trial, only two witnesses connected defendants to the crime—Core and Vera.

3. Before the murder trial, however, the prosecutor did turn over notes dated January 1990 arising from an interview of another woman who likewise implicated “Little Danny”—a nickname that evidently belonged to someone other than Danny Colon. Defendants were therefore aware of the alleged “Little Danny” lead before trial.

Core had previously committed perjury and was a self-described drug kingpin and murderer. His veracity was further called into question given that he was facing life imprisonment on both state and federal charges when he agreed to testify against defendants. Vera's testimony was therefore crucial. But the false testimony elicited by the prosecutor regarding the benefits extended may well have impacted the jury's perception of Vera's credibility. By their very nature, benefits conferred on a witness by a prosecutor provide a basis for the jury to question the veracity of a witness on the theory that the witness may be biased in favor of the People. For this reason, it is important that witnesses provide truthful testimony when questioned about the receipt of such benefits, and the People must be vigilant to avoid misleading the court or jury. Rather than correct the inaccurate testimony, the prosecutor here exacerbated the problem during her closing comments. We also concur with the Appellate Division's observation that the prosecutor should have turned over the two March 1990 interview notes.⁴ On this record, we conclude that a new trial is warranted.

Accordingly, in each case, the order of the Appellate Division should be reversed, defendant's motion pursuant to CPL 440.10 granted, defendant's judgment of conviction and sentence vacated and a new trial ordered.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

In each case: Order reversed, etc.

4. Although Supreme Court, following the CPL 440.10 hearing, ultimately found that neither the police nor the prosecutor intended to benefit Vera by not arresting or prosecuting him in connection with the gun found in his hotel room before the murder trial, we are of the view that this information should have been timely disclosed to the defense.

[920 NE2d 344, 892 NYS2d 288]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v COL-
LIER GILLYARD, Appellant.

Argued October 21, 2009; decided November 23, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 2, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Micki A. Scherer, J., on severance motion; Bruce Allen, J., at jury trial and sentence), which had convicted defendant, upon a jury verdict, of robbery in the second degree, grand larceny in the fourth degree and criminal impersonation in the first and second degrees.

People v Gillyard, 55 AD3d 310, affirmed.

HEADNOTES

Crimes — Proof of Other Crimes

1. In the prosecution of defendant stemming from two incidents in which he impersonated a police officer, the admission into evidence of testimony regarding defendant's possession of a handcuff key—a violation of Department of Correction rules and Penal Law § 205.20 (1)—several weeks after the incidents was error. Defendant's familiarity with using handcuff keys had little relevance to the case. During the first incident, although defendant threatened to handcuff the complainant, he never used the handcuffs on the complainant and the complainant testified that he knew that defendant was not a police officer. Handcuffs were not involved in the second incident. Therefore, the evidence's limited probative value when compared to its potential for prejudice and the unacceptable danger that the jury might condemn defendant because of his past criminal behavior and associations and not because he was guilty of the offense charged made this evidence inadmissible.

Crimes — Harmless and Prejudicial Error

2. In the prosecution of defendant stemming from two incidents in which he impersonated a police officer, the court's error in admitting into evidence testimony regarding defendant's possession of a handcuff key several weeks after the incidents was harmless. Regarding the first incident, the People presented the complainant's uncontested account of the robbery and his identification of defendant as the perpetrator, which was corroborated by a surveillance video. With respect to the second incident, the victim offered a firsthand account of defendant's impersonation of a police officer, the arresting police officer testified as to his observations of the fake police stop and these testimonial accounts were corroborated by the discovery of fake handcuffs and badges in defendant's vehicle. Proof of defendant's guilt relative to both incidents was overwhelming and there was no significant probability that the verdict would have been different if the court excluded the evidence of the handcuff key.

Crimes — Argument and Conduct of Counsel

3. Although the prosecutor's statement during summation regarding evidence not allowed in by the court during trial was improper, this single good faith error was not so prejudicial as to require a mistrial. The court issued a curative instruction, reminding the jury that the prosecutor's argument was merely her recollection of the testimony.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659; AM JUR 2d, Evidence §§ 409, 413, 414, 418, 422, 423, 425; AM JUR 2d, Trial §§ 463, 464, 593.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:16–193:19; CARMODY-WAIT 2d, Summation §§ 199:11–199:13, 199:29, 199:30; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.7, 24.8, 27.5, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2025–2027, 2658, 2676, 3569, 3570, 3572, 3573, 3637.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Arguments of Counsel; Evidence Rules; Harmless and Prejudicial Error; Instructions to Jury.

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POINTS OF COUNSEL

Shearman & Sterling, LLP, New York City (*Steven F. Molo*, *Christine A. Meiers*, *Robert L. Whitener*, *Michael S. Carucci* and *Mary Runkle* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Rosemary Herbert* of counsel) for appellant. I. The trial court erred in admitting evidence of appellant's uncharged criminal act to show his "familiarity and access" to the tools of the charged crime. (*People v Molineux*, 168 NY 264; *Coleman v People*, 55 NY 81; *Spencer v Texas*, 385 US 554; *People v Rojas*, 97 NY2d 32; *People v Resek*, 3 NY3d 385; *People v Roe*, 74 NY2d 20; *People v Crandall*, 67 NY2d 111; *People v Zackowitz*, 254 NY 192; *People v McKinney*, 24 NY2d 180; *People v Del Vermo*, 192 NY 470.) II. The trial court erred by allowing the prosecutor to argue in summation evidence not

in the record, which undermined appellant's theory of the case. (*Williams v Brooklyn El. R.R. Co.*, 126 NY 96; *People v Ashwal*, 39 NY2d 105; *People v Jones*, 44 NY2d 76; *People v Francis*, 58 AD3d 1015; *People v Collins*, 12 AD3d 33; *People v World*, 157 AD2d 567; *People v Walters*, 251 AD2d 433; *People v Torres*, 223 AD2d 741.) III. The trial court committed reversible error. (*People v Crimmins*, 36 NY2d 230; *People v Alexander*, 94 NY2d 382; *People v Ostrow*, 12 Misc 3d 69; *People v Robinson*, 260 AD2d 508; *Spencer v Texas*, 385 US 554; *People v Vega*, 3 AD3d 239; *People v McKinney*, 24 NY2d 180; *People v Zackowitz*, 254 NY 192.)

Robert M. Morgenthau, District Attorney, New York City (*Britta Gilmore* and *David M. Cohn* of counsel), for respondent. I. The court properly exercised its discretion by admitting into evidence a handcuff key recovered from defendant. (*People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Carroll*, 95 NY2d 375; *People v Aska*, 91 NY2d 979; *People v Molineux*, 168 NY 264; *People v Rojas*, 97 NY2d 32; *People v Till*, 87 NY2d 835; *People v Tosca*, 98 NY2d 660; *People v Hudy*, 73 NY2d 40; *People v Fiore*, 34 NY2d 81.) II. The prosecutor's challenged summation comment did not deny defendant a fair trial. (*People v Galloway*, 54 NY2d 396; *People v Ashwal*, 39 NY2d 105; *People v Marks*, 6 NY2d 67, 362 US 912; *Darden v Wainwright*, 477 US 168; *People v Massie*, 2 NY3d 179; *People v Melendez*, 55 NY2d 445; *People v Tankleff*, 84 NY2d 992; *People v De Jesus*, 42 NY2d 519; *People v Davis*, 58 NY2d 1102; *People v Rodriguez*, 100 NY2d 30.)

OPINION OF THE COURT

PIGOTT, J.

This case concerns two incidents in which defendant impersonated a police officer. During the first incident, defendant displayed a badge, claimed to be a police officer and demanded that the victim pay him money. When the victim resisted, he pushed the victim against the wall, brandished a pair of handcuffs and threatened to use them. As a result, the victim, accompanied by defendant, withdrew money from an ATM and gave it to defendant.

The second incident occurred about a month later when defendant was driving and pulled alongside a moving taxicab. He displayed a badge and motioned to the cab driver to pull over. When the cab driver complied, defendant and an accomplice approached the cab and acted as if they were conducting a traffic

stop. Wearing a badge around his neck, defendant demanded the cab driver's ID, claiming the cab driver was intoxicated and had hit his vehicle. Two police officers on routine patrol came upon the scene and, finding it suspicious, pulled over. After talking to the cab driver, the officers approached defendant and his accomplice, and asked whether they were carrying badges. When the accomplice leaned forward to reach beneath his seat, the officers removed them from the car. Inside the car, the police recovered two fake badges and a pair of toy handcuffs. Defendant was arrested and charged with robbery in the second degree (Penal Law § 160.10 [1]), grand larceny in the fourth degree (Penal Law § 155.30 [6]) and criminal impersonation in the first and second degrees (Penal Law § 190.26 [1]; § 190.25 [3]), arising out of the two incidents.

Prior to trial, the court granted the People's *Molineux* application to allow testimony regarding defendant's possession of a handcuff key on January 23, 2006—several weeks after the incidents, to show his identity and to prove the fact that he had access to handcuffs. The key was discovered by a corrections officer in a search of defendant at the time he was incarcerated at Riker's Island while awaiting trial on this case. Possession of such a key by a prisoner is a violation of Department of Correction rules, and of Penal Law § 205.20 (1).

In opposition to the People's motion, defense counsel had argued that the evidence was of no relevance to the case and that it was simply being offered to prejudice the jury. The prosecutor argued that it was relevant as it showed defendant "has access to handcuffs" and went to defendant's identity. However, defense counsel was willing to stipulate to identity. At trial, over defense counsel's objections, the court allowed testimony that defendant was found in possession of the handcuff key while at the detention center.

Defendant was convicted of robbery in the second degree (Penal Law § 160.10 [1]), grand larceny in the fourth degree (Penal Law § 155.30 [6]) and criminal impersonation in the first and second degrees (Penal Law § 190.26 [1]; § 190.25 [3]).

Thereafter, defendant made a motion to set aside the verdict arguing that he was deprived of a fair trial by the court's admission of the handcuff key evidence. He also claimed that a statement made by the prosecutor during summation was improper as that evidence was not allowed in by the court during trial. Supreme Court denied the motion finding, among other things,

that the evidence showed that defendant had “access” to the type of weapon or tool alleged to have been used, and that it was admissible to establish the defendant’s involvement in the charged crime. In the court’s view, the evidence that defendant was familiar with, and had access to, handcuffs corroborated the victims’ accounts.

The Appellate Division affirmed holding that the evidence of the handcuff key was properly admitted into evidence to demonstrate defendant’s access to and familiarity with handcuffs, which were involved in both crimes (55 AD3d 310 [2008]). In the Appellate Division’s view, the lapse of time of the discovery of the key was not so great as to render this evidence excessively remote. Moreover, the court held that its probative value exceeded its prejudicial effect, which was minimized by the court’s instructions. The court also considered defendant’s arguments concerning the prosecutor’s summation and summarily rejected them.

In this Court, defendant argues that Supreme Court erred in admitting evidence of the handcuff key to show “familiarity and access” to the tools of the charged crime. He argues that “familiarity and access” should not be recognized as an exception to the *Molineux* rule.

Long ago, in *People v Molineux* (168 NY 264 [1901]), this Court held that there are instances when evidence of uncharged crimes may be used to prove guilt of the offense charged. We articulated that such evidence may be admitted in circumstances

“when [the evidence] tends to establish (1) motive; (2) intent; (3) the absence of mistake or accident; (4) a common scheme or plan embracing the commission of two or more crimes so related to each other that proof of one tends to establish the others; [or] (5) the identity of the person charged with the commission of the crime on trial” (*id.* at 293).

Acknowledging that this list was not exhaustive, we established the rule that evidence of defendant’s other crimes is admissible only if probative of some fact at issue other than the defendant’s criminal propensity (*see People v Rojas*, 97 NY2d 32, 37-40 [2001]). The rule reflects the importance of an accused being judged only on relevant, probative evidence, rather than on the basis of propensity to commit crime (*see id.* at 36-37). The balancing of probative value against potential prejudice is entrusted to the trial court’s discretion (*People v Ventimiglia*, 52 NY2d 350, 359-360 [1981]).

[1] We agree with defendant that his familiarity with using handcuff keys has little relevance to the case. During the first incident, although defendant threatened the complainant that he was going to handcuff him, he never used the handcuffs on him. Although the evidence could arguably be relevant to show that he was convincing as a police officer, the complainant, in the first incident, testified that he knew that defendant wasn't a police officer and that he was being "scammed." During the second incident, involving the cab driver, handcuffs were not even involved; the police merely discovered them under the seat of the car during a search. Therefore, the evidence's "limited probative value when compared to its potential for prejudice and the unacceptable danger that the jury might condemn defendant because of his past criminal behavior and associations and not because he is guilty of the offense charged" makes this evidence inadmissible (*People v Richardson*, 137 AD2d 105, 107-108 [3d Dept 1988]).

[2] Despite the fact that the key was admitted in error in this case, we find the error harmless. An error may be found harmless where "the proof of defendant's guilt, without reference to the error, is overwhelming" and where there is no "significant probability . . . that the jury would have acquitted the defendant had it not been for the error" (*People v Crimmins*, 36 NY2d 230, 241-242 [1975]). Regarding the first incident, the People presented the complainant's uncontested account of the robbery and his identification of defendant as the perpetrator. That testimony was corroborated by a surveillance video from the ATM vestibule that depicted defendant waiting while the victim withdrew cash.

As it pertains to the second incident, the victim offered a firsthand account of defendant's impersonation of a police officer, including his display of a fake badge and his demand that the driver pull over. The arresting police officer, who observed the fake police stop, testified as to how defendant and his accomplice positioned themselves and their vehicle as if they were police officers. These testimonial accounts were corroborated by the discovery of the fake handcuffs and badges in defendant's vehicle. Thus, proof of defendant's guilt relative to both incidents was overwhelming and there is no significant probability that the verdict would have been different if the court excluded the evidence of the handcuff key.

[3] We further find that, although the prosecutor's statement during summation was improper, this single good faith error

was not so prejudicial as to require a mistrial (*see Crimmins*, 36 NY2d at 237). The court issued a curative instruction, reminding the jury that the prosecutor's argument was merely her recollection of the testimony.

The order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[920 NE2d 328, 892 NYS2d 272]

MARGARET GODFREY et al., Appellants, v ANDREW J. SPANO, as Westchester County Executive, et al., Respondents, and NEW YORK STATE COMPTROLLER, Intervenor-Respondent.

KENNETH J. LEWIS et al., Appellants, v NEW YORK STATE DEPARTMENT OF CIVIL SERVICE et al., Respondents.

Argued October 13, 2009; decided November 19, 2009

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 30, 2008. The Appellate Division affirmed so much of a judgment of the Supreme Court, Westchester County (Joan B. Lefkowitz, J.; op 15 Misc 3d 809), as had granted defendant's and defendants-intervenors' motions pursuant to CPLR 3211 (a) (7) to dismiss the complaint and declared that Westchester County Executive Order No. 3 of 2006 was a valid exercise of the County Executive's power, was not an illegal act and did not violate the State Constitution or the Municipal Home Rule Law.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 22, 2009. The Appellate Division affirmed an order of the Supreme Court, Albany County (Thomas J. McNamara, J.), which had denied plaintiffs' motion for summary judgment; searched the record and granted summary judgment to defendants and defendants-intervenors; and declared that the policy memorandum issued by the New York State Department of Civil Service Employee Benefits Division in which it recognized, as spouses, the parties to any same-sex marriage performed in jurisdictions where such marriage is legal, was both lawful and within its authority.

Godfrey v Spano, 57 AD3d 941, affirmed.

Lewis v New York State Dept. of Civ. Serv., 60 AD3d 216, affirmed.

HEADNOTES

Municipal Corporations — Taxpayer's Action — Recognition of Out-of-State Same-Sex Marriages for Purposes of Public Employee Health Insurance Coverage

1. In an action challenging an Executive Order (Westchester County Executive Order No. 3 of 2006) which recognized out-of-state same-sex marriages

for purposes of public employee health insurance coverage and other benefits, plaintiff taxpayers failed to allege an unlawful expenditure of taxpayer funds, and thus did not state a cognizable claim under General Municipal Law § 51. Plaintiffs did not identify any specific impact that the Executive Order had on any public employee or private individual in the County, and failed to specify a circumstance where taxpayer funds were expended as a result of the Executive Order that would not have been expended in the absence of the order. The County had already insured same-sex domestic partners and dependents of county employees before the Executive Order was issued, requiring only that applicants for domestic partner coverage have lived with their domestic partners in a committed financially interdependent relationship for at least a year.

State — Taxpayer’s Action — Recognition of Out-of-State Same-Sex Marriages for Purposes of Public Employee Health Insurance Coverage

2. In an action challenging a Policy Memorandum issued by the Commissioner of the New York State Department of Civil Service which recognized out-of-state same-sex marriages for purposes of public employee health insurance coverage and other benefits, plaintiff taxpayers failed to state a cause of action under State Finance Law § 123-b since they failed to allege an unlawful expenditure of taxpayer funds. Plaintiffs made conclusory allegations that defendants “are expending and will expend State funds and/or resources supplied from New York State tax revenue,” without claiming specific expenditures that would not otherwise have been incurred. While a taxpayer may bring suit under this statute to prevent the unlawful expenditure of state funds “whether or not such person is or may be affected or specially aggrieved” (State Finance Law § 123-b [1]), there must be some specific threat of an imminent expenditure. The Department of Civil Service had offered New York State Health Insurance Program benefits to domestic partners since the mid-1990s.

Constitutional Law — Separation of Powers — Recognition of Out-of-State Same-Sex Marriages for Purposes of Public Employee Health Insurance Coverage

3. A Policy Memorandum issued by the Commissioner of the New York State Department of Civil Service recognizing out-of-state same-sex marriages for purposes of public employee health insurance coverage and other benefits, was not in conflict with Civil Service Law § 164, which provides for health insurance to the spouses and dependent children of state officers and employees. It was clear, from the plain language of the statute and from the legislative history, that the Legislature intended to give the Department of Civil Service—guided by the collective bargaining process—complete discretion to determine the limits of dependent coverage, provided that, at a minimum, spouses and dependent children were covered.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Civil Service § 43; AM JUR 2d, Constitutional Law § 246; AM JUR 2d, Taxpayers’ Actions §§ 1–7, 10, 13, 14, 17, 23, 74.

CARMODY-WAIT 2d, Taxpayers’ Actions §§ 128:7, 128:9, 128:10, 128:14–128:16, 128:18, 128:35–128:37.

McKINNEY's, Civil Service Law § 164; General Municipal Law § 51; State Finance Law § 123-b.

NY JUR 2d, Civil Servants and Other Public Officers and Employees § 407; NY JUR 2d, Constitutional Law § 152; NY JUR 2d, Taxpayers' Actions §§ 2, 6, 7, 14, 15, 29.

SIEGEL, NY PRAC § 136.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Same-Sex Partners; Separation of Powers; Taxpayers' Actions.

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POINTS OF COUNSEL

Alliance Defense Fund, Scottsdale, Arizona (Brian W. Raum, Benjamin W. Bull, of the Arizona bar, admitted pro hac vice, and James A. Campbell, of the Arizona bar, admitted pro hac vice, of counsel), and *Ruta & Soulios, LLP*, New York City (Joseph A. Ruta of counsel), for appellants in the first above-entitled action. I. Comity principles prohibit a county executive from ordering that all county departments, boards, agencies and commissions recognize same-sex relationships considered “marriages” by other sovereign jurisdictions. (*Frances B. v Mark B.*, 78 Misc 2d 112; *Anonymous v Anonymous*, 67 Misc 2d 982; *Hernandez v Robles*, 7 NY3d 338; *Marshall v Sherman*, 148 NY 9; *Hilton v Guyot*, 159 US 113; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Petersen v Chemical Bank*, 32 NY 21; *Baker v General Motors Corp.*, 522 US 222; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Matter of Langan v State Farm Fire & Cas.*, 48 AD3d 76.) II. Home-rule principles prohibit county executives from dictating which out-of-state unions will be recognized as marriages. (*Seaman v Fedourich*, 16 NY2d 94; *Jancyn Mfg. Corp. v Suffolk County*, 71 NY2d 91; *Slattery v City of New York*, 179 Misc 2d 740, 266 AD2d 24; *Fearon v Treanor*, 272 NY 268; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Matter of Ames v Smoot*, 98 AD2d 216; *New York State Club Assn. v City of New York*, 69 NY2d 211; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Clark v Cuomo*, 66 NY2d 185.)

Alliance Defense Fund, Scottsdale, Arizona (Brian W. Raum,

Benjamin W. Bull, of the Arizona bar, admitted pro hac vice, and *James A. Campbell*, of the Arizona bar, admitted pro hac vice, of counsel), and *Cutler, Trainor & Cutler, LLP*, Malta (*James P. Trainor* of counsel), for appellants in the second above-entitled action. I. Comity principles prohibit executive officials from recognizing same-sex relationships considered “marriages” by other sovereign jurisdictions. (*Frances B. v Mark B.*, 78 Misc 2d 112; *Anonymous v Anonymous*, 67 Misc 2d 982; *Hernandez v Robles*, 7 NY3d 338; *Marshall v Sherman*, 148 NY 9; *Hilton v Guyot*, 159 US 113; *J. Zeevi & Sons v Grindlays Bank [Uganda]*, 37 NY2d 220; *Petersen v Chemical Bank*, 32 NY 21; *Baker v General Motors Corp.*, 522 US 222; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Matter of Langan v State Farm Fire & Cas.*, 48 AD3d 76.) II. The Department of Civil Service acted inconsistently with the Legislature, exceeded its statutory authority, and thus violated the separation of powers doctrine. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Pataki v New York State Assembly*, 4 NY3d 75; *Rapp v Carey*, 44 NY2d 157; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *Clark v Cuomo*, 66 NY2d 185; *Matter of Cooper*, 187 AD2d 128; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Raum v Restaurant Assoc.*, 252 AD2d 369; *Langan v St. Vincent’s Hosp. of N.Y.*, 25 AD3d 90.)

Charlene M. Indelicato, County Attorney, White Plains (*Mary Lynn Nicolas-Brewster* and *Stacey Dolgin-Kmetz* of counsel), for Andrew J. Spano, respondent in the first above-entitled action. I. The Appellate Division correctly held that plaintiffs failed to state a claim under section 51 of the General Municipal Law against County Executive Spano. (*Mesivta of Forest Hills Inst. v City of New York*, 58 NY2d 1014; *Kaskel v Impellitteri*, 306 NY 73, 347 US 934; *Matter of Korn v Gulotta*, 72 NY2d 363; *Matter of Meehan v County of Westchester*, 3 AD3d 533, 2 NY3d 706; *Slattery v City of New York*, 179 Misc 2d 740, 266 AD2d 24, 94 NY2d 897; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Lewis v New York State Dept. of Civ. Serv.*, 60 AD3d 216, 12 NY3d 705; *Wein v City of New York*, 80 Misc 2d 894, 47 AD2d 367; *Betters v Knabel*, 288 AD2d 872, 98 NY2d 659; *Montecalvo v City of Utica*, 170 Misc 2d 107, 233 AD2d 960, 89 NY2d 938.) II. Plaintiffs cannot maintain an action under the Municipal Home Rule Law and the New York State Constitution. (*Kadish v Roosevelt Raceway Assoc.*, 183 AD2d 874; *Matter of Meehan v County of Westchester*, 3 AD3d 533; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761;

Matter of Bradford Cent. School Dist. v Ambach, 56 NY2d 158; *Diederich v Rockland County Police Chiefs' Assn.*, 33 AD3d 653, 8 NY3d 875; *Boryszewski v Brydges*, 37 NY2d 361; *Citizens Util. Bd. v State of New York*, 267 AD2d 838, 95 NY2d 757; *Clark v Cuomo*, 66 NY2d 185; *Matter of Clark v Town Bd. of Town of Clarkstown*, 28 AD3d 553; *Matter of Madison Sq. Garden, L.P. v New York Metro. Transp. Auth.*, 19 AD3d 284.)

Andrew M. Cuomo, Attorney General, New York City (Sasha Samberg-Champion, Barbara D. Underwood and Benjamin N. Gutman of counsel), for intervenor-respondent in the first above-entitled action and New York State Department of Civil Service and another, respondents in the second above-entitled action. I. A same-sex marriage validly performed in another jurisdiction is entitled to recognition in New York. (*Matter of May*, 305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Shea v Shea*, 294 NY 909; *Carpenter v Carpenter*, 208 AD2d 882; *Fernandes v Fernandes*, 275 App Div 777; *Matter of Valente*, 18 Misc 2d 701; *People v Ezeonu*, 155 Misc 2d 344; *Crair v Brookdale Hosp. Med. Ctr., Cornell Univ.*, 94 NY2d 524; *Matter of Gotlib v Ratsutsky*, 83 NY2d 696.) II. Neither the Department of Civil Service nor the Westchester County Executive has made any unlawful expenditure, regardless of whether New York recognizes same-sex marriages. (*Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Envtl. Protection of City of N.Y.*, 11 NY3d 327; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of O'Brien v Spitzer*, 7 NY3d 239; *Syracuse Urban Renewal Agency v State of New York*, 106 AD2d 23; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Slattery v City of New York*, 266 AD2d 24; *Beresford Apts. v City of New York*, 238 AD2d 218; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Altamore v Barrios-Paoli*, 90 NY2d 378; *McMillen v Browne*, 14 NY2d 326.)

Lambda Legal Defense and Education Fund, Inc., New York City (Susan L. Sommer of counsel), and Kramer Levin Naftalis & Frankel LLP (Jeffrey S. Trachtman, Joshua Glick, Michael B. Eisenkraft and Jason M. Moff of counsel), for Michael Sabatino and others, respondents in the first and second above-entitled actions. I. Out-of-state marriages of same-sex couples are entitled to legal recognition in New York under long-standing comity principles. (*Matter of May*, 305 NY 486; *Thorp v Thorp*, 90 NY 602; *Van Voorhis v Brintnall*, 86 NY 18; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Matter of*

Watts, 31 NY2d 491; *People v Haynes*, 26 NY2d 665; *Matter of Farber v U. S. Trucking Corp.*, 26 NY2d 44; *Shea v Shea*, 294 NY 909; *Matter of Catapano*, 17 AD3d 672; *Katebi v Hooshiari*, 288 AD2d 188.) II. Appellants' arguments distort New York law and public policy. (*Hernandez v Robles*, 7 NY3d 338; *Martinez v County of Monroe*, 50 AD3d 189; *Beth R. v Donna M.*, 19 Misc 3d 724; *Langan v St. Vincent's Hosp. of N.Y.*, 25 AD3d 90; *Matter of Langan v State Farm Fire & Cas.*, 48 AD3d 76; *Kraut v Morgan & Brother Manhattan Stor. Co.*, 38 NY2d 445; *Glaser v Glaser*, 276 NY 296; *Mertz v Mertz*, 271 NY 466; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574.) III. The decisions below should be affirmed for the additional reasons addressed in the government respondents' briefs. (*Mesivta of Forest Hills Inst. v City of New York*, 58 NY2d 1014; *Montecalvo v City of Utica*, 170 Misc 2d 107; *Gaynor v Rockefeller*, 21 AD2d 92, 15 NY2d 120.)

Stephen J. Acquario, General Counsel, New York State Association of Counties, Albany (*Robert W. Gibbon* of counsel), for New York State Association of Counties, amicus curiae in the first above-entitled action. I. The Westchester County Executive Order was legally and constitutionally executed. (*Matter of Combs v Nickerson*, 38 Misc 2d 242; *New York Trap Rock Corp. v Town of Clarkstown*, 299 NY 77; *Slattery v City of New York*, 179 Misc 2d 740.) II. There is no valid claim set forth under General Municipal Law § 51. (*Kaskel v Impellitteri*, 306 NY 73; *Western N.Y. Water Co. v City of Buffalo*, 242 NY 202; *Altschul v Ludwig*, 216 NY 459; *Hurley v Tolfree*, 308 NY 358; *Mesivta of Forest Hills Inst. v City of New York*, 58 NY2d 1014; *Talcott v City of Buffalo*, 125 NY 280; *Wein v City of New York*, 80 Misc 2d 894; *Gusdore Corp. v Michaels*, 13 Misc 2d 762, 8 AD2d 663; *Berkey v Downing*, 68 Misc 2d 595, 39 AD2d 1008.)

Frederick C. Veit, Briarcliff Manor, for New Yorkers for Constitutional Freedoms, amicus curiae in the first above-entitled action. I. Limiting marriage to New York's traditional definition of one man and one woman is not tautological, as an analogy to chemistry demonstrates. (*Smelt v County of Orange*, 447 F3d 673; *Hernandez v Robles*, 7 NY3d 338; *Maynard v Hill*, 125 US 190.) II. The marriage recognition rule should be adapted because a single simple adjustment will allow the current rule to remain in place when one man-one woman marriage is at issue and will allow the Legislature to act in the first instance when a redefinition of marriage is at issue. (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Matter*

of May, 305 NY 486; *Cunningham v Cunningham*, 206 NY 341; *Bronson v Swensen*, 500 F3d 1099.)

Richard E. Barnes, Albany, *Thomas More Society*, Northbrook, Illinois (*Paul Benjamin Linton* of counsel), and *Thomas More Society*, Chicago, Illinois (*Thomas Brejcha* of counsel), for New York State Catholic Conference, amicus curiae in the second above-entitled action. Nothing in this Court's jurisprudence requires the State of New York or any of its agencies or political subdivisions to recognize the validity of a lawful out-of-state marriage between two persons who could not have married each other in New York. (*Hernandez v Robles*, 7 NY3d 338; *Matter of May*, 305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Thorp v Thorp*, 90 NY 602; *Moore v Hegeman*, 92 NY 521; *Funderburke v New York State Dept. of Civ. Serv.*, 13 Misc 3d 284, 49 AD3d 809; *Storrs v Holcomb*, 168 Misc 2d 898; *Martinez v County of Monroe*, 50 AD3d 189; *Cunningham v Cunningham*, 206 NY 341; *Reid v Reid*, 72 Misc 214, 146 App Div 916.)

Law Offices of Robert W. Dapelo, P.C., Patchogue (*Robert W. Dapelo* of counsel), and *Marriage Law Foundation*, Lehi, Utah (*William C. Duncan* of counsel), for Family Watch International, amicus curiae in the second above-entitled action. I. For purposes of marriage recognition, as in all other aspects of New York law, marriage is the union of a man and a woman. (*Hernandez v Robles*, 7 NY3d 338.) II. The Department of Civil Service does not have authority to redefine marriage for any purpose. (*Hernandez v Robles*, 7 NY3d 338; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Campagna v Shaffer*, 73 NY2d 237.) III. The Department of Civil Service memorandum redefining marriage for purposes of interstate recognition threatens important public policies. (*Hernandez v Robles*, 7 NY3d 338; *Rapp v Carey*, 44 NY2d 157; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Bourquin v Cuomo*, 85 NY2d 781.)

Proskauer Rose LLP, New York City (*Peter J.W. Sherwin* and *Kenneth E. Aldous* of counsel), and *Michael E. Getnick*, Albany, for New York State Bar Association, amicus curiae in the second above-entitled action. I. New York's common law of comity in the marriage context is long-standing and well established, dictates the result reached by the lower courts here, and should not be altered merely to achieve a different result. (*Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Matter of May*,

305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Carpenter v Carpenter*, 208 AD2d 882; *Fernandes v Fernandes*, 275 App Div 777; *Matter of Peart*, 277 App Div 61; *Shea v Shea*, 268 App Div 677, 294 NY 909; *Hernandez v Robles*, 7 NY3d 338; *Earle v Earle*, 141 App Div 611; *People v Ezeonu*, 155 Misc 2d 344.) II. New York law recognizes marriages of same-sex couples validly entered in other jurisdictions, and this Court's decision in *Hernandez v Robles* (7 NY3d 338 [2006]) does not dictate a contrary result.

James R. Sandner, Latham, *Elizabeth R. Schuster*, *Wendy M. Star* and *Shawn T. Kelly* for New York State United Teachers, amicus curiae in the first and second above-entitled actions. I. New York State law requires recognition of same-sex marriages validly performed in other jurisdictions. (*Matter of May*, 305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Shea v Shea*, 294 NY 909; *Carpenter v Carpenter*, 208 AD2d 882; *Fernandes v Fernandes*, 275 App Div 777; *Matter of Valente*, 18 Misc 2d 701; *Matter of Ziegler v Cassidy's Sons*, 220 NY 98; *People v Ezeonu*, 155 Misc 2d 344; *Haviland v Halstead*, 34 NY 643.) II. The Department of Civil Service properly recognized validly performed out-of-state same-sex marriages for the New York State Health Insurance Program enrollment. (*Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Envtl. Protection of City of N.Y.*, 11 NY3d 327; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Syracuse Urban Renewal Agency v State of New York*, 106 AD2d 23; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of O'Brien v Spitzer*, 7 NY3d 239.) III. Westchester County Executive Andrew J. Spano properly exercised his authority when he issued Executive Order No. 3 of 2006. (*Slattery v City of New York*, 179 Misc 2d 740, 266 AD2d 24, 94 NY2d 897; *Matter of Incorporated Vil. of Mineola v International Bhd. of Teamsters, AFL-CIO, Local 808*, 11 Misc 3d 844; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Korn v Gulotta*, 72 NY2d 363; *Wein v City of New York*, 80 Misc 2d 894, 47 AD2d 367; *Betters v Knabel*, 288 AD2d 872, 98 NY2d 659; *Montecalvo v City of Utica*, 170 Misc 2d 107, 233 AD2d 960, 89 NY2d 938; *Matter of Bernstein v Feiner*, 13 AD3d 519; *Gaynor v Rockefeller*, 15 NY2d 120; *Mesivta of Forest Hills Inst. v City of New York*, 58 NY2d 1014.)

Michael A. Cardozo, *Corporation Counsel*, New York City (*Susan Paulson* and *Leonard Koerner* of counsel), for City of New York, amicus curiae in the first and second above-entitled

actions. I. The recognition of validly performed out-of-state same-sex marriages is neither barred by statute nor in conflict with New York policy. (*Matter of May*, 305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Martinez v County of Monroe*, 50 AD3d 189, 10 NY3d 856; *Moore v Hegeman*, 92 NY 521; *Thorp v Thorp*, 90 NY 602; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Fernandes v Fernandes*, 275 App Div 777; *Matter of Peart*, 277 App Div 61; *Matter of Jacob*, 86 NY2d 651; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201.) II. The Westchester County Executive and New York State Department of Civil Service acted within the scope of their authority in directing the recognition of same-sex marriages. (*Slattery v City of New York*, 179 Misc 2d 740, 266 AD2d 24, 94 NY2d 897, 95 NY2d 823.)

McDermott Will & Emery LLP, New York City (*Lisa A. Linsky, Kathryn C. Goyer and Rachel Hundley* of counsel), and *Carmelyn Malalis* for New York City Bar Association, amicus curiae in the first and second above-entitled actions. I. The New York common law requires that a validly performed out-of-state marriage must be recognized as valid in New York. (*Martinez v County of Monroe*, 50 AD3d 189; *Beth R. v Donna M.*, 19 Misc 3d 724; *Van Voorhis v Brintnall*, 86 NY 18; *Matter of May*, 305 NY 486; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Matter of Watts*, 31 NY2d 491; *Shea v Shea*, 294 NY 909; *Matter of Valente*, 18 Misc 2d 701; *Hilliard v Hilliard*, 24 Misc 2d 861; *Sung Hwan Co., Ltd. v Rite Aid Corp.*, 7 NY3d 78.) II. Recognition of out-of-state marriages of same-sex couples does not violate the doctrine of separation of powers. (*Golden v Paterson*, 23 Misc 3d 641; *Clark v Cuomo*, 66 NY2d 185; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of Cooper*, 187 AD2d 128; *Matter of Valentine v American Airlines*, 17 AD3d 38; *Raum v Restaurant Assoc.*, 252 AD2d 369; *Langan v St. Vincent's Hosp. of N.Y.*, 25 AD3d 90.)

Tobias Barrington Wolff, Philadelphia, Pennsylvania, for Tobias Barrington Wolff and others, amici curiae in the first and second above-entitled actions. This case is an inappropriate vehicle for reconsidering New York's long embrace of the place-of-celebration rule. (*Van Voorhis v Brintnall*, 86 NY 18; *Matter of May*, 305 NY 486; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Matter of Farber v U. S. Trucking Corp.*, 26 NY2d

44; *People v Onofre*, 51 NY2d 476; *Lawrence v Texas*, 539 US 558; *Moore v East Cleveland*, 431 US 494; *Muth v Frank*, 412 F3d 808; *Matter of Nakoneczna v Eisenberg*, 60 AD2d 403; *Matter of Brown v Brown*, 51 Misc 2d 839.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Roberta A. Kaplan* of counsel), *Arthur Eisenberg*, *Matthew Faiella* and *Rose Saxe* for New York Civil Liberties Union and others, amici curiae in the first and second above-entitled actions. I. The marriage recognition rule applies to all marriages, including marriages of same-sex couples. (*Romer v Evans*, 517 US 620; *Van Voorhis v Brintnall*, 86 NY 18; *Thorp v Thorp*, 90 NY 602; *Moore v Hegeman*, 92 NY 521; *Matter of May*, 305 NY 486; *Matter of Farber v U. S. Trucking Corp.*, 26 NY2d 44; *Matter of Mott v Duncan Petroleum Trans.*, 51 NY2d 289; *Fernandes v Fernandes*, 275 App Div 777; *Matter of Valente*, 18 Misc 2d 701; *Hilliard v Hilliard*, 24 Misc 2d 861.) II. New York common law compels recognition of a same-sex couple's valid out-of-state marriage. (*Matter of May*, 305 NY 486; *Van Voorhis v Brintnall*, 86 NY 18; *Martinez v County of Monroe*, 50 AD3d 189; *Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *Hernandez v Robles*, 7 NY3d 338; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Levin v Yeshiva Univ.*, 96 NY2d 484; *Matter of Jacob*, 86 NY2d 651; *Matter of Donna S.*, 23 Misc 3d 338; *Matter of Daniels*, 2 Misc 3d 413.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff taxpayers challenge two directives by executive and county officials that recognize out-of-state same-sex marriages for purposes of public employee health insurance coverage and other benefits. We conclude that plaintiffs' actions were properly dismissed.

I.

Four states—Massachusetts, Connecticut, Iowa and Vermont—now issue marriage licenses to same-sex couples, without any residency requirement, as does Canada.¹ As a consequence, many same-sex couples who are residents of New York State have traveled to those jurisdictions and married. In light of

1. New Hampshire will begin issuing marriage licenses to same-sex couples effective January 1, 2010. Internationally, in addition to Canada, same-sex couples may legally marry in The Netherlands, Belgium, Spain, South Africa, Norway and Sweden.

these developments, several state and county officials have recently issued general directives relating to the recognition of those out-of-state same-sex marriages.² The present actions involve facial challenges to the legality of two of these directives, namely a Policy Memorandum issued by the Commissioner of the New York State Department of Civil Service and an Executive Order issued by the County Executive of the County of Westchester.

In June 2006, defendant Andrew J. Spano, Westchester County Executive, citing opinion letters of the Attorney General and the Comptroller,³ issued an Executive Order, with the following direction:

“WHEREAS, the County of Westchester has long provided health benefits to the qualifying domestic partners of its members; and

“WHEREAS, in September of 2002, the County of Westchester, in seeking to support all caring, committed and responsible family units, enacted its Domestic Partnership Registry Law, which allowed unmarried couples in committed relationships and who share common households to be able to register those relationships formally and to obtain a Certificate of Domestic Partnership, which serves as an independent verification of such partnership, and which may, in certain circumstances, be a condition

2. In *Hernandez v Robles* (7 NY3d 338 [2006]), we held that New York’s Domestic Relations Law restricts marriage to opposite-sex couples and that this limitation does not violate the New York State Constitution’s Equal Protection and Due Process Clauses. We concluded that our Constitution does not require that marriage licenses be granted to same-sex couples, and we expressed our hope that the participants in the controversy over same-sex marriage would address their arguments to our Legislature, and that the Legislature would decide the question whether same-sex couples should be permitted to marry in New York (*see* 7 NY3d at 366). We did not address the question of recognition of out-of-state same-sex marriages.

3. The Solicitor General of New York issued an informal opinion letter in March 2004, on behalf of the Attorney General, concluding that, although New York’s Domestic Relations Law does not authorize same-sex marriages, “New York law presumptively requires that parties to such unions must be treated as spouses for purposes of New York law” (2004 Ops Atty Gen No. 2004-1, at 16 [Mar. 3, 2004]). The opinion relied on New York’s common-law marriage recognition rule as the basis for this conclusion. The Office of the State Comptroller issued a similar opinion letter in October 2004 indicating that “[t]he Retirement System will recognize a same-sex Canadian marriage in the same manner as an opposite-sex New York marriage, under the principle of comity.”

precedent to receipt of benefits by such partners;

. . .

“WHEREAS, Section 110.11 of the Laws of Westchester County places the responsibility to supervise, direct and control, subject to law, the administrative services and departments of the County upon the County Executive; . . .

“NOW, THEREFORE, I, ANDREW J. SPANO, County Executive of the County of Westchester, in light of the aforementioned and in accordance with my statutory duties, do hereby order and direct each and every department, board, agency, and commission of the County of Westchester under my jurisdiction to recognize same sex marriages lawfully entered into outside the State of New York in the same manner as they currently recognize opposite sex marriages for the purposes of extending and administering all rights and benefits belonging to these couples, to the maximum extent allowed by law.” (Westchester County Executive Order No. 3 of 2006.)

In September 2006, defendant Nancy G. Groenwegen, President of the New York State Civil Service Commission and Commissioner of the New York State Department of Civil Service, issued an Employee Benefits Division Policy Memorandum on “[r]ecognition of the spousal relationship in marriages between partners of the same sex conducted in jurisdictions where they may be legally performed,” effective May 1, 2007. The memorandum explained that the State had provided eligibility for employee benefits, including New York State Health Insurance Program benefits, to the domestic partners of state employees, including same-sex partners, since the mid-1990s. The coverage, while mandatory for the State itself, was discretionary for Participating Agencies (PAs) and Participating Employers (PEs). As a result, the State had been sued by an employee of a school district that had opted not to extend health insurance coverage to domestic partners (*see Funderburke v New York State Dept. of Civ. Serv.*, 13 Misc 3d 284 [Sup Ct, Nassau County 2006], *vacated* 49 AD3d 809 [2d Dept 2008]). The Department of Civil Service then

“determined that for purposes of benefits eligibility under NYSHIP and all other benefit plans

administered by its Employee Benefits Division, it would recognize as spouses partners in same sex marriages legally performed in other jurisdictions.

. . .

“Effective May 1, 2007, the Department of Civil Service recognizes, as spouses, the parties to any same sex marriage performed in jurisdictions where that marriage is legal. This policy applies to all health benefit plans provided under NYSHIP, including the Empire Plan, the Student Employees Health Plan and HMOs, and all other benefits administered by the Employee Benefits Division, including The New York State Dental and Vision Plans, the M/C Life Insurance Program and NYPERL. Recognition of these spouses is mandatory for the State and all other entities participating in NYSHIP, including all PAs and PEs.” (Employee Benefits Division Policy Memorandum No. 129r1.)

II.

In September 2006, plaintiffs Margaret Godfrey, Rosemarie Jarosz and Joseph Rossini, residents of and taxpayers in Westchester County, commenced an action against County Executive Andrew J. Spano, alleging two causes of action. In their first cause of action, brought pursuant to General Municipal Law § 51, plaintiffs claim that, by issuing Executive Order No. 3, Spano illegally legislated in the areas of marriage and domestic relations in a manner inconsistent with the New York State Constitution and state law. In their second cause of action, plaintiffs allege that Spano violated New York State Constitution, article IX, § 2 (c) and Municipal Home Rule Law § 10 (1) (i). Plaintiffs seek a declaratory judgment that Executive Order No. 3 is “illegal, *ultra vires*, unconstitutional and otherwise null and void” and a permanent injunction preventing the implementation or effectuation of the Executive Order.

Michael Sabatino and Robert Voorheis, a same-sex couple who married in Canada, were permitted to intervene.⁴ Spano and the intervenors moved to dismiss plaintiffs’ complaint under CPLR 3211 (a) (7).

Supreme Court granted the motions to dismiss and declared that Executive Order No. 3 is “a valid exercise of the County

4. Subsequently, the State Comptroller was permitted to intervene.

Executive's power, not an illegal act, and does not violate the State Constitution or the Municipal Home Rule Law" (15 Misc 3d 809, 818 [2007]). Plaintiffs appealed, and the Appellate Division, Second Department, unanimously affirmed (57 AD3d 941 [2008]).

In regard to the *Godfrey* plaintiffs' first cause of action, the Appellate Division held that the Executive Order was not illegal, because it "requires that same-sex marriages be recognized to 'the maximum extent allowed by law.' By its terms, therefore, the Executive Order can never require recognition of such a marriage where it would be outside the law to do so." (*Id.* at 942-943.) In regard to the second cause of action, the court held that plaintiffs had failed to demonstrate the required "personal interest in the dispute beyond that of any taxpayer" (*id.* at 943), so that they lacked standing.

In the other case before us, plaintiffs Kenneth J. Lewis, Denise A. Lewis, Robert C. Houck, Jr., and Elaine A. Houck, New York State taxpayers represented by the same Alliance Defense Fund representing the plaintiffs in the case against Spano, commenced an action against the New York State Department of Civil Service and its Commissioner, Nancy G. Groenwegen, in May 2007. The *Lewis* plaintiffs allege that defendants violated State Finance Law § 123-b (first cause of action), the separation of powers doctrine (second cause of action), New York State Constitution, article VII, § 8 (third cause of action), and State Administrative Procedure Act § 202 and New York State Constitution, article IV, § 8 (fourth cause of action). Plaintiffs seek a declaratory judgment that defendants' recognition of out-of-state same-sex marriages "is illegal, unconstitutional, *ultra vires*, void and constitutes an illegal expenditure of State funds" and a permanent injunction directing defendants to cease and desist from recognizing out-of-state same-sex marriages.

Peri Rainbow and Tamela Sloan, a same-sex couple who married in Canada, were permitted to intervene. Defendants and intervenors moved to dismiss plaintiffs' complaint under CPLR 3211 (a) (7). Plaintiffs cross-moved for summary judgment.

Supreme Court denied the *Lewis* plaintiffs' cross motion for summary judgment, searched the record and granted summary judgment to defendants, and declared that "[t]he policy memorandum issued by the New York State Department of Civil Service Employee Benefits Division in which it recognized, as spouses, the parties to any same sex marriage, performed in

jurisdictions where such marriage is legal, is both lawful and within its authority” (NYLJ, Mar. 18, 2008, col 1, 2008 NY Misc LEXIS 1623, *7). The court relied on *Martinez v County of Monroe* (50 AD3d 189 [2008], *lv dismissed* 10 NY3d 856 [2008]), a decision of the Appellate Division, Fourth Department, holding that a Canadian same-sex marriage was entitled to recognition in New York under the common-law marriage recognition rule.

The Appellate Division, Third Department, affirmed Supreme Court’s order in a divided opinion (60 AD3d 216 [2009]). The Appellate Division majority concluded that the common-law marriage recognition rule warranted dismissal of plaintiffs’ first cause of action alleging an unlawful disbursement of public funds (*id.* at 222-223). In regard to plaintiffs’ second cause of action, alleging violation of the separation of powers doctrine, the Appellate Division held that defendants’ “recognition of same-sex spouses falls squarely within the scope of the policy expressed in Civil Service Law §§ 161 and 164 to provide benefits to the spouses and dependent children of state employees” (*id.* at 223). The majority further rejected plaintiffs’ claim that the Department of Civil Service violated New York Constitution, article VII, § 8 (1) by using public funds to fund the private agendas of individuals and organizations seeking marriage equality in New York. “Inasmuch as the Department’s policy furthers a valid governmental purpose to benefit public employees, it cannot fairly be said that it is invalid as promoting a private undertaking” (*id.* at 224). Finally, the court held that “the determination to recognize same-sex marriages is not invalid for the Department’s failure to comply with the formal rule-making procedures of the State Administrative Procedure Act because the determination is an interpretative statement that is merely explanatory” (*id.*).

Two Justices wrote a separate concurring opinion. They would have affirmed Supreme Court’s order on a narrower ground, pointing out that “[t]he Legislature has vested the President of the Civil Service Commission with broad discretion in defining, for purposes of health insurance coverage for state employees, the terms spouse and dependent children” (*id.* at 224 [Lahtinen and Malone, Jr., JJ., concurring]).

We granted plaintiffs in both cases leave to appeal (12 NY3d 705 [2009]), and we now affirm both Appellate Division orders.

III.

The *Godfrey* plaintiffs have abandoned their second cause of action, containing allegations against Spano based on New York State Constitution, article IX, § 2 (c) and Municipal Home Rule Law § 10 (1) (i) (see brief of plaintiffs-appellants Margaret Godfrey et al., at 3). They rest their case on the claim, made pursuant to General Municipal Law § 51, that Spano illegally legislated in the areas of marriage and domestic relations.

[1] A taxpayer suit under General Municipal Law § 51 “lies only when the acts complained of are fraudulent, or a waste of public property in the sense that they represent a use of public property or funds for entirely illegal purposes” (*Mesivta of Forest Hills Inst. v City of New York*, 58 NY2d 1014, 1016 [1983] [internal quotation marks omitted], quoting *Kaskel v Impellitteri*, 306 NY 73, 79 [1953]). Because plaintiffs allege no fraud, their action succeeds only if they state a claim for illegal dissipation of municipal funds. Plaintiffs’ amended complaint contains the allegation that Executive Order No. 3 “has resulted and will continue to result in the illegal disbursement of County funds” by providing County-funded benefits to couples in same-sex marriages. Although on a motion to dismiss plaintiffs’ allegations are presumed to be true and accorded every favorable inference, conclusory allegations—claims consisting of bare legal conclusions with no factual specificity—are insufficient to survive a motion to dismiss (*Caniglia v Chicago Tribune-N.Y. News Syndicate*, 204 AD2d 233, 233-234 [1st Dept 1994]). Here, plaintiffs have not identified any specific impact that the Executive Order has had on any public employee or private individual in Westchester County. Even assuming the allegations in the *Godfrey* complaint to be true, plaintiffs fail to specify a circumstance where taxpayer funds were expended as a result of the Executive Order that would not have been expended in the absence of the order. We find this lack of specificity fatal to plaintiffs’ cause of action.

In support of his motion to dismiss, Executive Spano submitted an affidavit of the Commissioner of Finance for Westchester County, dated November 17, 2006. The Commissioner stated that he could think of “no instance where the County has expended funds or extended benefits in connection with [the] Executive Order.” That statement is unsurprising in that Westchester County already insured same-sex domestic partners and dependents of county employees before the Executive Order was issued, requiring only that applicants for domestic partner

coverage have lived with their domestic partners in a committed financially interdependent relationship for at least a year. Indeed the Executive Order begins by acknowledging that “the County of Westchester has long provided health benefits to the qualifying domestic partners of its members.” Although the affidavit does not in itself warrant dismissal under CPLR 3211, because it does not establish conclusively that plaintiffs have no cause of action (*see Lawrence v Graubard Miller*, 11 NY3d 588, 595 [2008]; *Rovello v Orofino Realty Co.*, 40 NY2d 633, 635-636 [1976]), it supports our judgment that the conclusory nature of plaintiffs’ allegations is more than a matter of inartful pleading.

We do not adopt the Second Department’s rationale for affirmance—that the Executive Order did not purport to change the law, because it included language directing recognition of same-sex couples “to the maximum extent allowed by law.” We find such language, which may appear either expansive or restrictive depending on the reader, ambiguous, and we would not encourage executive officials to try to insulate their orders from judicial review by this means. Nevertheless, because the *Godfrey* plaintiffs have failed to allege an unlawful expenditure of taxpayer funds, they have not stated a cognizable claim under General Municipal Law § 51. Consequently, we affirm the order of the Appellate Division, dismissing the *Godfrey* plaintiffs’ complaint.

IV.

In the other matter, the *Lewis* plaintiffs have abandoned their third and fourth causes of action, containing claims based on New York State Constitution, article VII, § 8, State Administrative Procedure Act § 202, and New York State Constitution, article IV, § 8 (*see* brief of plaintiffs-appellants Kenneth J. Lewis et al., at 3). The surviving claims invoke State Finance Law § 123-b and the separation of powers doctrine.

[2] With respect to State Finance Law § 123-b, plaintiffs make conclusory allegations that defendants “are expending and will expend State funds and/or resources supplied from New York State tax revenue,” without claiming specific expenditures that would not otherwise have been incurred. While a taxpayer may bring suit under this statute to prevent the unlawful expenditure of state funds “whether or not such person is or may be affected or specially aggrieved” (State Finance Law § 123-b [1]), there must be some specific threat of an imminent expenditure. “[C]ourts have been inhospitable to plaintiffs who seek

essentially to challenge nonfiscal activities by invoking the convenient statutory hook of section 123-b” (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 813 [2003]). We note that the Department of Civil Service has offered New York State Health Insurance Program benefits to domestic partners since the mid-1990s. The State Finance Law claim of the *Lewis* plaintiffs fails to state a cause of action for the same reason that the General Municipal Law § 51 claim of the *Godfrey* plaintiffs fails.

[3] Plaintiffs’ remaining cause of action, which alludes to the separation of powers doctrine, boils down to the claim that defendants acted “inconsistently with the Legislature’s pronouncements on spousal benefits.” Specifically, plaintiffs allege that defendants acted in violation of Civil Service Law § 164. The statute itself refutes plaintiffs’ claim.

Under Civil Service Law § 161 (1), the President of the Civil Service Commission is “authorized and directed to establish a health insurance plan for state officers and employees and their dependents.” Civil Service Law § 164 (1) provides that every state employee “shall be entitled to have his spouse and dependent children, *as defined by the regulations of the president*, included in the coverage upon agreeing to pay his contribution, if any, to the cost of such coverage for such dependents” (emphasis added). The statute thus expressly gives the President of the Civil Service Commission the authority to define “spouse.” Moreover, the statute does not restrict the President’s provision of health insurance to spouses and dependent children. The language is of entitlement, not restriction.

Furthermore, the legislative history supports the view that the President of the Civil Service Commission was deliberately given broad discretion to define who will qualify for coverage. Governor Harriman, commenting on the 1956 legislation that created the New York State Health Insurance Program, noted that “[i]t would not be practical to specify in legislation the precise type of coverage to be provided under a comprehensive health insurance plan. The law must make it possible for the best plan to be worked out in consultation with representatives of the employees affected.” (Governor’s Message to the Legislature, Feb. 16, 1956, 1956 NY Legis Ann, at 419.) The Director of the Division of Personnel Services of the Department of Civil Service at that time, Edward D. Meacham, testified before the Joint Legislative Committee on Health Insurance Plans that

“[d]etailed requirements as to eligibility for participation in the plan both as to employees and retirees are difficult to spell out in legislation. Such requirements might well be left to the determination of the administering agency within the general framework of the legislature. . . .

“The extent to which the plan should go in providing such dependency benefits should be left for determination in negotiating the contract. There are circumstances under which it would be desirable to provide coverage for dependents other than the employee’s spouse and dependent children . . . [T]he advantages and disadvantages would have to be carefully weighed by those participating in the plan before a final determination is met.” (Testimony of Edward D. Meacham, Feb. 22, 1956, Before the Joint Legislative Committee on Health Insurance Plans, 1956 NY Legis Doc No. 64, at 73-74.)

It is clear, therefore, both from the plain language of the statute and from the legislative history, that the Legislature intended to give the Department of Civil Service—guided of course by the collective bargaining process⁵—complete discretion to determine the limits of dependent coverage, provided that, at a minimum, spouses and dependent children were covered. There is no conflict between the Civil Service Law and the challenged Policy Memorandum issued by the Commissioner of the New York State Department of Civil Service. In sum, as the concurring Justices on the Third Department noted,

“[t]he practical effect of the determination here is to give an out-of-state document formalizing a same-sex relationship the same weight as the affidavit required to receive such benefits as a domestic partner, which is a narrow accommodation to state employees in an area where the Legislature has specifically accorded the Commission broad discretion” (60 AD3d at 224-225 [Lahtinen and Malone, Jr., JJ., concurring]).

We thus affirm the order of the Appellate Division, dismissing the *Lewis* complaint.

5. The Department of Civil Service is obliged to implement terms of coverage reached in a collective bargaining agreement with a public employee union (Civil Service Law § 161-a [1]).

V.

Because we can decide the cases before us on narrower grounds, we find it unnecessary to reach defendants' argument that New York's common-law marriage recognition rule is a proper basis for the challenged recognition of out-of-state same-sex marriages. We end by repeating what we said in *Hernandez v Robles*, expressing our hope that the Legislature will address this controversy; that it "will listen and decide as wisely as it can; and that those unhappy with the result—as many undoubtedly will be—will respect it as people in a democratic state should respect choices democratically made" (7 NY3d at 366).

Accordingly, in each case the order of the Appellate Division should be affirmed with costs.

CIPARICK, J. (concurring). Although I agree with the result reached by the majority, I write separately to set forth my view that the orders under review should be affirmed on the ground that same-sex marriages, valid where performed, are entitled to full legal recognition in New York under our State's long-standing marriage recognition rule. The issue is squarely presented in these appeals and plaintiffs' standing allegations are sufficient to allow us to reach it. The effect of the majority's rationale in affirming these orders will be to permit an unworkable pattern of conflicting executive and administrative directives promulgated pursuant to the individual discretion of each agency head. We ought to avoid the confusion that would arise from a same-sex couple being considered legally married by one agency for one purpose but not married by another agency for a different purpose.

As the majority recognizes, we determined in *Hernandez v Robles* (7 NY3d 338 [2006]) that, currently, under the Domestic Relations Law, same-sex marriages may not lawfully be entered into in New York, and our State's Constitution does not compel the recognition of same-sex marriages performed within the state. However, as the majority also notes, *Hernandez* did not address the issue whether New York law recognizes same-sex marriages validly performed in other jurisdictions. Several jurisdictions that border our state currently perform or will soon perform same-sex marriages, including Massachusetts (see *Goodridge v Department of Pub. Health*, 440 Mass 309, 798 NE2d 941 [2003]; Mass Acts 2008, ch 216, § 1 [repealing statute that voided marriages between nonresidents contrary to the law of the state of residence]), Connecticut (see *Kerrigan v*

Commissioner of Pub. Health, 289 Conn 135, 957 A2d 407 [2008]), Vermont (see 15 Vt Stat Ann § 8 [“(m)arriage is the legally recognized union of two people”]) and Canada (see Civil Marriage Act, SC 2005, ch 33).

Principles of comity have given rise to New York’s well-settled marriage recognition rule, which “recognizes as valid a marriage considered valid in the place where celebrated” (*Van Voorhis v Brintnall*, 86 NY 18, 25 [1881]; see also *Matter of May*, 305 NY 486, 490 [1953]). Indeed, through our marriage recognition rule, we have recognized out-of-state marriages, valid where contracted, despite that the parties’ intent in entering the marital contract elsewhere was to evade New York laws proscribing their marriage from being performed here (see *Thorp v Thorp*, 90 NY 602, 605-606 [1882]; *Van Voorhis v Brintnall*, 86 NY at 32-33; see also *Fisher v Fisher*, 250 NY 313, 318 [1929]; *Shea v Shea*, 268 App Div 677, 687-688 [2d Dept 1945, Johnston, J., dissenting in part], *revd on dissenting op of Johnston, J.*, 294 NY 909 [1945] [recognizing as valid an Illinois common-law marriage]). For example, in *Matter of Mott v Duncan Petroleum Trans.* (51 NY2d 289 [1980]), we recognized and gave effect to a common-law marriage contracted in the state of Georgia, despite the fact that New York does not recognize common-law marriages (*id.* at 291; Domestic Relations Law § 11). Although the spouses in *Mott* were domiciliaries of New York, they had vacationed for weeks at a time in Georgia, representing themselves there as husband and wife, sufficient to create a common-law marriage in that state (51 NY2d at 291-294). Similarly, in *Matter of May*, we recognized as valid a marriage performed in Rhode Island between a man and his niece, both residents of New York (see 305 NY at 493). Although New York law prohibits such a marriage as incestuous (Domestic Relations Law § 5), Rhode Island law at the time permitted marriage among blood relatives “‘solemnized among the Jews, within the degrees of affinity or consanguinity allowed by their religion’ ” (*id.* at 492, quoting RI Gen Laws, tit XXIV, ch 243, § 4).

Two exceptions to the marriage recognition rule have evolved (see *Matter of May*, 305 NY at 490). The first excepts from recognition out-of-state marriages where a New York statute clearly expresses “the Legislature’s intent to regulate within this State marriages of its domiciliaries solemnized abroad” (*id.* 493). In other words, for this “positive law” exception to apply, a statute must expressly convey a legislative intent to void a marriage

legally entered into in another jurisdiction (*see Van Voorhis*, 86 NY at 34-35).

Our Legislature has not expressly prohibited the recognition of same-sex marriages performed in other jurisdictions. Although the federal Defense of Marriage Act (DOMA) authorizes the states to pass so-called “mini-DOMAs”—and many states have done so (*see e.g.* Ga Code Ann § 19-3-3.1 [b] [declaring void” (a)ny marriage entered into by persons of the same sex pursuant to a marriage license issued by another state or foreign jurisdiction”])—New York has not, and the Legislature has enacted no other law expressly forbidding the recognition of same-sex marriages performed in other jurisdictions or expressing any legislative intent that such marriages be voided.¹ Thus, the positive law exception to recognizing out-of-state same-sex marriages does not apply.

The second exception, which is narrowly applied and is sometimes called the “natural law” exception to the marriage recognition rule, denies recognition to out-of-state marriages abhorrent to New York public policy. The natural law exception has been invoked exceedingly rarely, only in cases involving incest or polygamy (*see Van Voorhis*, 86 NY at 26, citing *Wightman v Wightman*, 4 Johns Ch 343 [Ch Ct 1820] and *Hutchins v Kimmell*, 31 Mich 126 [1875]). We noted, in the closely related context of foreign divorce decrees, that “in a world of different people, [n]ations and diverse views and policies,” the public policy exception to the appropriate exercise of comity is applied rarely (*Matter of Gotlib v Ratsutsky*, 83 NY2d 696, 700 [1994]), and the application of the exception must be predicated upon a demonstration of “proximately related public policies fundamentally offensive and inimical to those of this State” (*id.*). “This high burden springs from an ordered sense of respect and tolerance for the adjudications of foreign Nations, [and the] parallel[respect] . . . commanded among the States by the Full Faith and Credit Clause of the United States Constitution” (*id.*,

1. Indeed, as the state respondents note, a bill to adopt a mini-DOMA has been introduced at every legislative session since 1998, but not one has been reported out of committee. Bills introduced to authorize the performance of same-sex marriages, on the other hand, have twice passed in the Assembly (*see* 2009 NY Assembly Bill A7732 [delivered to Senate May 12, 2009], 2007 NY Assembly Bill A8590 [delivered to Senate June 19, 2007]).

citing US Const, art IV, § 1).² Notably, for example, in *Matter of May*, where we recognized as valid the marriage performed in Rhode Island between a man and his niece that could not have lawfully been entered into in New York given that, by statute, it was deemed incestuous, we nevertheless explained that the “marriage, solemnized, as it was . . . was not offensive to the public sense of morality to a degree regarded generally with abhorrence and thus was not within the inhibitions of natural law” (305 NY at 493). Accordingly, the marriage did not fall within the natural law exception to the marriage recognition rule.

The “natural law” or public policy exception to the marriage recognition rule is inapplicable to same-sex marriages solemnized in our sister states or other foreign jurisdictions. The public policy of the State is deduced from the constitutional, statutory and decisional law, as well as from “prevailing social and moral attitudes of the community” (*Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9, 14 [1964]). Today,³ the laws of New York protect committed same-sex couples in a myriad of ways. For example, Executive Law § 354-b permits same-sex domestic partners of military members killed in combat to receive supplemental burial allowances; Public Health Law § 2805-q (1) provides that “[n]o domestic partner shall be denied any rights of visitation of his or her domestic partner when such rights are accorded to spouses and next-of-kin at any hospital, nursing home or health care facility”; and Public Health Law § 4201 (1) (c) and (2) (a) (ii-a) permits a same-sex domestic partner to elect how to dispose of his or her partner’s remains. Many counties and municipalities have likewise adopted ordinances and resolutions extending recognition to same-sex couples and granting benefits accordingly.

In addition to statutory law, New York decisional law recognizes same-sex life partners as family members, such that the surviving partner can challenge an eviction proceeding (*see*

2. The federal Defense of Marriage Act provides, in effect, that the Full Faith and Credit Clause will not operate to *require* recognition of same-sex marriages performed in other states (*see* 28 USC § 1738C). DOMA does not in any way diminish the principles of comity or the basis therefor.

3. The time period most relevant to determining this State’s public policy is the present; our evolving standards of acceptance, rather than prior concepts of morality, are of the greatest concern (*see e.g. Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9, 15 [1964] [examining the “trend in New York State” which demonstrated an increasing “acceptance of *licensed* gambling transactions as a morally acceptable activity”]).

Braschi v Stahl Assoc. Co., 74 NY2d 201, 211-214 [1989]). We have also permitted same-sex partners to challenge their exclusion from housing set aside for married couples on disparate impact grounds (see *Levin v Yeshiva Univ.*, 96 NY2d 484, 494-495 [2001]). Moreover, the same-sex partner of a biological parent can, through adoption, become a parent of the child (see *Matter of Jacob*, 86 NY2d 651, 669 [1995]). These judicial decisions and statutes express a public policy of acceptance that is simply not compatible with plaintiffs' argument that the recognition in our state of same-sex marriages validly performed elsewhere is contrary to New York public policy.

In these related matters, the Westchester County Executive ordered that all county employees, boards and agencies should "recognize same sex marriages lawfully entered into outside the State of New York . . . for the purposes of extending and administering all rights and benefits belonging to these couples, to the maximum extent allowed by law." (Westchester County Executive Order No. 3 of 2006.) The Department of Civil Service issued a policy memorandum announcing that the Department would recognize, as spouses, the parties to any same-sex marriage performed in jurisdictions where such marriage is legal. The challenges to these actions fall squarely within the purview of the marriage recognition rule and, because neither of the exceptions to that rule apply, I concur in the affirmance of the Appellate Division orders.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge CIPARICK concurs in result in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

In each case: Order affirmed, with costs.

[920 NE2d 350, 892 NYS2d 294]

JAMES D. LEE, Respondent, v ASTORIA GENERATING COMPANY, L.P., et al., Appellants/Third-Party Plaintiffs-Appellants. ELIOTT TURBOMACHINERY CO., INC., et al., Third-Party Defendants-Appellants.

Argued October 20, 2009; decided November 23, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 12, 2008. The Appellate Division (1) “reversed,” on the law, an order of the Supreme Court, New York County (Carol R. Edmead, J.; op 2007 NY Slip Op 34371[U]), which, insofar as appealed from, had granted the third-party defendants’ motion for summary judgment dismissing the complaint and third-party complaint and granted the branch of defendants/third-party plaintiffs’ cross motion that sought summary judgment dismissing the complaint; (2) denied the motion and cross motion for summary judgment dismissal, with the exception of the dismissal of plaintiff’s common-law negligence claim and claim pursuant to Labor Law § 200; (3) reinstated plaintiff’s claims pursuant to Labor Law § 240 (1) and § 241 (6); and (4) granted plaintiff partial summary judgment as to liability on his Labor Law § 240 (1) claim. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of Supreme Court, properly made?”

Lee v Astoria Generating Co., L.P., 55 AD3d 124, reversed.

HEADNOTES

Workers’ Compensation — Longshore and Harbor Workers’ Compensation Act — Liability of Vessel — Barge Containing Electricity Generating Turbine as Vessel

1. In an action to recover damages for injuries plaintiff sustained while performing work on an electricity generating turbine housed within a floating barge, the barge constituted a “vessel” under 33 USC § 905 (b) of the Longshore and Harbor Workers’ Compensation Act (LHWCA), which permits an injured person covered under the Act to bring an action in negligence against a vessel. Although the LHWCA does not define “vessel,” the statutory definition of the term in 1 USC § 3 was applicable here and “includes every description of watercraft or other artificial contrivance used, or capable of being used, as a means of transportation on water.” The barge was one of four barges stationed at defendants’ electric generation facility and located on navigable waters. While stationed, the barges were afloat in the bay and

connected to a power grid. They have been tugged on water approximately once a decade to a maintenance station and, at least once, to provide energy at another location. Accordingly, since the barge in which plaintiff was injured was capable of being used as a means of transportation on water and was not permanently anchored or moored, it fell within the applicable definition of vessel.

Workers' Compensation — Longshore and Harbor Workers' Compensation Act — Exclusiveness of Remedy — Preemption of Labor Law Claims

2. Plaintiff's Labor Law § 240 (1) and § 241 (6) claims in his action to recover damages for injuries he sustained while performing work on an electricity generating turbine housed within a floating barge were preempted by 33 USC § 905 (b) (Longshore and Harbor Workers' Compensation Act [LHWCA]), which permits an injured person covered under the Act to bring an action in negligence against a vessel. The LHWCA states that such remedy "shall be exclusive of all other remedies against the vessel except remedies available under this chapter" (33 USC § 905 [b]). Congress clearly intended that actions maintained against a vessel be brought solely within the confines of the LHWCA, and nowhere in the Act does it permit strict liability claims, as provided in Labor Law § 240 (1) and § 241 (6).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248–250, 252, 357;
AM JUR 2d, Federal Employers' Liability and Compensation Acts §§ 99–102, 108, 112, 113.
McKINNEY's, Labor Law § 240 (1); § 241 (6).
NY JUR 2d, Boats, Ships, and Shipping §§ 213, 216, 218;
NY JUR 2d, Employment Relations §§ 266, 269, 273, 274, 308–311, 316, 358.
1 USCA § 3; 33 USCA § 905 (b).

ANNOTATION REFERENCE

See ALR Index under Barges; Labor and Employment; Longshore Workers and Stevedores; Occupational Safety and Health; Ships and Vessels.

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POINTS OF COUNSEL

Mauro Goldberg & Lilling LLP, Great Neck (*Barbara D. Goldberg* and *Deborah F. Peters* of counsel), and *Robin Harris King & Fodera* for appellants/third-party plaintiffs-appellants. I. The First Department misapplied the Supreme Court's definition of

“vessel” in *Stewart v Dutra Constr. Co.* (543 US 481 [2005]). (*Board of Commrs. of Orleans Levee Dist. v M/V Belle of Orleans*, 535 F3d 1299; *Pavone v Mississippi Riverboat Amusement Corp.*, 52 F3d 560; *Tagliere v Harrah’s Ill. Corp.*, 445 F3d 1012; *De La Rosa v St. Charles Gaming Co.*, 474 F3d 185; *Holmes v Atlantic Sounding Co., Inc.*, 437 F3d 441; *Uzdavines v Weeks Mar., Inc.*, 418 F3d 138; *Gravatt v City of New York*, 53 F Supp 2d 388, 73 F Supp 2d 438, 226 F3d 108, 532 US 957; *Calcaterra v City of New York*, 45 AD3d 270; *Emanuel v Sheridan Transp. Corp.*, 10 AD3d 46; *Cain v Transocean Offshore USA, Inc.*, 518 F3d 295.) II. The Longshore and Harbor Workers’ Compensation Act expressly preempts state court claims against vessel owners based on vicarious liability. (*City of New York v Job-Lot Pushcart*, 88 NY2d 163; *Scindia Steam Nav. Co. v De los Santos*, 451 US 156; *Northeast Marine Terminal Co. v Caputo*, 432 US 249; *FMC Corp. v Holliday*, 498 US 52; *Cammon v City of New York*, 95 NY2d 583; *Tibak v City of New York*, 154 AD2d 313, 75 NY2d 705; *Executive Jet Aviation, Inc. v Cleveland*, 409 US 249; *Tompkins v Port of N.Y. Auth.*, 217 AD2d 269; *Rigopoulos v State of New York*, 236 AD2d 459; *Eriksen v Long Is. Light. Co.*, 236 AD2d 439.) III. The First Department erred in granting plaintiff partial summary judgment on his Labor Law § 240 (1) claim and in failing to dismiss his Labor Law § 241 (6) claim. (*Stewart v Dutra Constr. Co.*, 543 US 481; *Joblon v Solow*, 91 NY2d 457; *Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Manente v Ropost, Inc.*, 136 AD2d 681; *Edwards v Twenty-Four Twenty-Six Main St. Assoc.*, 195 AD2d 592; *Jock v Fien*, 80 NY2d 965; *Nagel v D & R Realty Corp.*, 99 NY2d 98; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Walton v Devi Corp.*, 215 AD2d 60, 87 NY2d 809; *Rhodes-Evans v 111 Chelsea LLC*, 44 AD3d 430.)

Hofmann & Associates, New York City (Paul T. Hofmann of counsel), for respondent. I. The structure worked on is only a component of a land-based electric distribution system situated on a floating platform and no vessel repair was being performed; thus, neither maritime law nor 33 USC § 905 (b) apply to plaintiff’s claims. (*Grant Smith-Porter Ship Co. v Rohde*, 257 US 469; *Palanquet v Weeks Mar., Inc.*, 333 F Supp 2d 58; *McAlister v G & S Invs.*, 358 F Supp 2d 146; *Cammon v City of New York*, 260 AD2d 70, 95 NY2d 583; *Olsen v James Miller Mar. Serv., Inc.*, 16 AD3d 169.) II. The floating platform was not “a vessel in navigation.” Neither is there a maritime “situs” involved here; thus, 33 USC § 905 (b) and maritime jurisdiction do not apply to the claim. (*Jerome B. Grubart, Inc. v Great Lakes Dredge & Dock Co.*, 513 US 527; *De La Rosa v St. Charles*

Gaming Co., 474 F3d 185; *Victory Carriers, Inc. v Law*, 404 US 202; *Watson v Indiana Gaming Co., LP*, 337 F Supp 2d 951; *Sisson v Ruby*, 497 US 358; *Stewart v Dutra Constr. Co.*, 543 US 481; *Evansville & Bowling Green Packet Co. v Chero Cola Bottling Co.*, 271 US 19; *Pavone v Mississippi Riverboat Amusement Corp.*, 52 F3d 560; *Cope v Vallette Dry Dock Co.*, 119 US 625; *Kathriner v UNISEA, Inc.*, 975 F2d 657.) III. There would be no maritime jurisdiction here as the injury-causing event shows no connection to a maritime activity. (*Jerome B. Grubart, Inc. v Great Lakes Dredge & Dock Co.*, 513 US 527; *Sisson v Ruby*, 497 US 358; *H2O Houseboat Vacations, Inc. v Hernandez*, 103 F3d 914; *Foster v Peddicord*, 826 F2d 1370, 484 US 1027; *Executive Jet Aviation, Inc. v Cleveland*, 409 US 249; *Texaco Exploration & Prod., Inc. v AmClyde Engineered Prods. Co., Inc.*, 448 F3d 760; *Palanquet v Weeks Mar., Inc.*, 333 F Supp 2d 58; *King v President Riverboat Casino-Mississippi, Inc.*, 894 F Supp 1008; *Emanuel v Sheridan Transp. Corp.*, 10 AD3d 46.) IV. As no maritime jurisdiction exists, state law is applicable. (*Ducrespont v Baton Rouge Mar. Enters., Inc.*, 877 F2d 393; *Richendollar v Diamond M Drilling Co., Inc.*, 819 F2d 124; *De La Rosa v St. Charles Gaming Co., Inc.*, 474 F3d 185; *Howard v Southern Ill. Riverboat Casino Cruises, Inc.*, 364 F3d 854; *Heim v City of New York*, 442 F Supp 35; *Parker v South La. Contrs., Inc.*, 537 F2d 113; *Florida Fuels, Inc. v Citgo Petroleum Corp.*, 6 F3d 330; *Wiper v Great Lakes Eng'g Works*, 340 F2d 727, 382 US 812; *Jerome B. Grubart, Inc. v Great Lakes Dredge & Dock Co.*, 513 US 527.) V. Assuming the Court has maritime jurisdiction with respect to Astoria Generating Company, L.P. and the Orion parties, James Lee's state law claims are not preempted by maritime law. (*Western Fuel Co. v Garcia*, 257 US 233; *Grant Smith-Porter Ship Co. v Rohde*, 257 US 469; *Parker v Motor Boat Sales, Inc.*, 314 US 244; *Davis v Department of Labor & Industries of Wash.*, 317 US 249; *Calbeck v Travelers Ins. Co.*, 370 US 114; *Yamaha Motor Corp., US A. v Calhoun*, 516 US 199; *Jerome B. Grubart, Inc. v Great Lakes Dredge & Dock Co.*, 513 US 527; *Cammon v City of New York*, 95 NY2d 583; *Casino Ventures v Stewart*, 183 F3d 307; *California v ARC America Corp.*, 490 US 93.) VI. Even if the Labor Law § 240 claim may be subject to preemption, there is no dispute that the Labor Law § 241 (6) claims survive if maritime law applies. (*Songui v City of New York*, 2 AD3d 706; *Cammon v City of New York*, 95 NY2d 583; *Eriksen v Long Is. Light. Co.*, 236 AD2d 439; *Pope & Talbot, Inc. v Hawn*, 346 US 406; *Olsen v James Miller Mar. Serv., Inc.*, 16 AD3d 169.) VII. 33 USC § 905 (b) is inapplicable because the

claim is against the landowner and enterprise operator. (*Emanuel v Sheridan Transp. Corp.*, 10 AD3d 46; *Wilburn Boat Co. v Fireman's Fund Ins. Co.*, 348 US 310; *Cammon v City of New York*, 95 NY2d 583; *North Riv. Ins. Co. v Alpine Dev. Corp.*, 33 AD2d 912; *Tully v Roosevelt Props.*, 34 AD2d 786; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494.) VIII. Under a *Scindia* analysis, liability exists in this matter, assuming 33 USC § 905 (b) is applicable. (*Scindia Steam Nav. Co. v De los Santos*, 451 US 156; *O'Hara v Weeks Mar., Inc.*, 294 F3d 55; *Keller v United States*, 38 F3d 16; *England v Reinauer Transp. Cos., L.P.*, 194 F3d 265; *Emanuel v Sheridan Transp. Corp.*, 10 AD3d 46.) IX. Plaintiff was performing construction at the time of his injury. (*Rico-Castro v Do & Co N.Y. Catering, Inc.*, 60 AD3d 749; *Joblon v Solow*, 91 NY2d 457; *Kinsler v Lu-Four Assoc.*, 215 AD2d 631; *Walton v Devi Corp.*, 215 AD2d 60; *Brogan v International Bus. Machs. Corp.*, 157 AD2d 76; *Salzler v New York Tel. Co.*, 192 AD2d 1104; *Lozo v Crown Zellerbach Corp.*, 142 AD2d 949.) X. It was within the court's discretion to search the record and grant plaintiff summary judgment.

Lester Schwab Katz & Dwyer, LLP, New York City (*Curt J. Schiner*, *John Sandercock* and *Steven B. Prystowsky* of counsel), for third-party defendants-appellants. I. In finding that Gowanus Bay No. 1 is not a "vessel" within the meaning of the Longshore and Harbor Workers' Compensation Act, the Appellate Division majority ignored key facts and misapplied controlling federal authority. (*Stewart v Dutra Constr. Co.*, 543 US 481; *Kathriner v UNISEA, Inc.*, 975 F2d 657; *Pavone v Mississippi Riverboat Amusement Corp.*, 52 F3d 560; *Uzdavines v Weeks Mar., Inc.*, 418 F3d 138; *Tonnesen v Yonkers Contr. Co., Inc.*, 82 F3d 30; *McCarthy v Bark Peking*, 716 F2d 130; *Board of Commrs. of Orleans Levee Dist. v M/V Belle of Orleans*, 535 F3d 1299; *Tagliere v Harrah's Ill. Corp.*, 445 F3d 1012; *Matter of Consolidated Edison Co. of N.Y. v City of New York*, 44 NY2d 536; *De La Rosa v St. Charles Gaming Co.*, 474 F3d 185.) II. Labor Law § 240 (1) is preempted by general maritime law as well as the Longshore and Harbor Workers' Compensation Act because it conflicts with characteristic features of maritime law and defendants are not landowners. (*Panama R. Co. v Johnson*, 264 US 375; *Wilburn Boat Co. v Fireman's Fund Ins. Co.*, 348 US 310; *Robins Dry Dock & Repair Co. v Dahl*, 266 US 449; *Grant Smith-Porter Ship Co. v Rohde*, 257 US 469; *Rocovich v*

Consolidated Edison Co., 78 NY2d 509; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *American Dredging Co. v Miller*, 510 US 443; *Southern Pacific Co. v Jensen*, 244 US 205; *Cammon v City of New York*, 95 NY2d 583; *Pope & Talbot, Inc. v Hawn*, 346 US 406.) III. The Appellate Division erred in searching the record and granting plaintiff partial summary judgment on liability under Labor Law § 240 (1). (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Bland v Manocherian*, 66 NY2d 452; *Jastrzebski v North Shore School Dist.*, 223 AD2d 677; *Romano v Hotel Carlyle Owners Corp.*, 226 AD2d 441; *Grullon v City of New York*, 297 AD2d 261; *Dunham v Hilco Constr. Co.*, 89 NY2d 425; *Montgomery v Federal Express Corp.*, 4 NY3d 805; *Robinson v East Med. Ctr., LP*, 6 NY3d 550.) IV. The Appellate Division should not have reinstated plaintiff's Labor Law § 241 (6) claim. (*Jock v Fien*, 80 NY2d 965; *Esposito v New York City Indus. Dev. Agency*, 1 NY3d 526; *Nagel v D & R Realty Corp.*, 99 NY2d 98; *Buckley v Columbia Grammar & Preparatory*, 44 AD3d 263; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Gillman v Columbia University*, 18 Misc 3d 1131[A], 2008 NY Slip Op 50256[U]; *Plass v Solotoff*, 5 AD3d 365.)

OPINION OF THE COURT

JONES, J.

In this appeal, we are called upon to determine whether a barge containing an electricity generating turbine is a vessel under the Longshore and Harbor Workers' Compensation Act (LHWCA) (33 USC § 905 [b]) and whether that provision preempts New York State Labor Law § 240 (1) and § 241 (6) claims. We hold that the barge is a vessel and plaintiff's Labor Law § 240 (1) and § 241 (6) claims are preempted.

The Gowanus Gas Turbine electric generation facility in Brooklyn is a facility owned and operated by defendants Astoria Generating Company, L.P., Orion Power New York GP, Inc., Orion Power New York, L.P. and Orion Power New York LP, LLC (Astoria/Orion). The site, located on navigable waters in the Gowanus Canal, is comprised, in part, of four barges that are each 80 feet wide by 200 feet long that collectively house eight individual gas turbine generating units. While stationed, the barges are afloat in the bay and connected to a power grid. Periodically, approximately once a decade, the barges are moved to dry dock for maintenance. They are also capable of being moved for the purpose of providing electric power at other

locations. Two of the barges had been so moved on at least one occasion.

In 2000, Astoria/Orion hired third-party defendants Elliott Turbomachinery Co., Inc. and Elliott Company (Elliott), a company based in Pennsylvania, to perform an overhaul of the turbines at the Gowanus facility. This involved disassembling the entire turbine, shipping parts of it back to Elliott's shop in Pennsylvania for restoration or replacement, and returning it to the site for Elliott's millwrights to reassemble. In 2001, plaintiff, a millwright employed by Elliott, injured his back while performing work on a turbine on barge No. 1 at the facility. According to plaintiff, he was ordered by his supervisor to enter the turbine's exhaust well through a hatch to weld some fixtures inside. To reach the location of the repair, plaintiff used a ladder to access the exhaust well and entered the hatch. From there, he was to climb down the base of the exhaust well, but his feet slipped from under him and he fell eight feet to the base of the exhaust well, injuring his back.

After the accident, plaintiff claimed and was awarded benefits under the LHWCA, which "provides workers' compensation to *land-based* maritime employees" (*Stewart v Dutra Constr. Co.*, 543 US 481, 488 [2005]). He also commenced this state court action against Astoria/Orion, asserting Labor Law §§ 200, 240 (1) and § 241 (6) claims and common-law negligence claims. Astoria/Orion subsequently filed a third-party complaint against Elliott seeking indemnification.

Elliott moved for summary judgment dismissing the complaint and third-party complaint, arguing, among other things, that 33 USC § 905 (a)¹ precludes lawsuits against it as an employer of the injured worker and that plaintiff's state claims were preempted by section 905 (b)² and federal maritime law. The barge owners cross-moved for summary judgment, also arguing

1. "The liability of an employer prescribed in section 904 of this title shall be exclusive and in place of all other liability of such employer to the employee" (33 USC § 905 [a]). Section 904 (a) provides that "[e]very employer shall be liable for and shall secure the payment to his employees of the compensation payable under sections 907, 908, and 909 of this title."

2. "In the event of injury to a person covered under this chapter caused by the negligence of a vessel, then such person, or anyone otherwise entitled to recover damages by reason thereof, may bring an action against such vessel as a third party . . . and the employer shall not be liable to the vessel for such damages directly or indirectly and any agreements or warranties to the

(n. cont'd)

that the plaintiff's claims were preempted. In opposition, plaintiff argued that the claims were not preempted because (1) the barge did not constitute a vessel under section 905 (b) and (2) maritime jurisdiction did not apply to his claims against the barge owners.

Supreme Court granted summary judgment dismissing the complaint and third-party complaint (2007 NY Slip Op 34371[U]). It concluded, among other things, that section 905 of the LHWCA preempted the Labor Law § 240 (1) and § 241 (6) claims. The court adopted the Department of Labor's determination that plaintiff is a covered employee under the LHWCA and concluded the barge is a vessel under recent federal case law. It also dismissed plaintiff's Labor Law § 200 and common-law negligence claims.

The Appellate Division "reversed" the Supreme Court order, reinstated plaintiff's Labor Law § 240 (1) and § 241 (6) claims and granted summary judgment as to the Labor Law § 240 (1) claim in plaintiff's favor.³ It held that the Labor Law claims are not precluded by the LHWCA because the barge is not a vessel. It further stated, "even if the barge were a vessel, federal maritime jurisdiction would not preempt these claims" (55 AD3d 124, 126 [1st Dept 2008]). The Appellate Division granted Astoria/Orion and Elliott leave to appeal and certified the following question to this Court: "Was the order of this Court, which reversed the order of Supreme Court, properly made?" We now reverse and answer the certified question in the negative.

The LHWCA provides compensation to workers injured on navigable waters of the United States in the course of their employment (*Director, Office of Workers' Compensation Programs v Perini North River Associates*, 459 US 297, 325 [1983]; see *Chandris, Inc. v Latsis*, 515 US 347, 360 [1995]).⁴ It operates as a no-fault workers' compensation scheme for eligible

contrary shall be void . . . The remedy provided in this subsection shall be exclusive of all other remedies against the vessel except remedies available under this chapter" (33 USC § 905 [b]).

3. It appears that the Appellate Division affirmed the dismissal of plaintiff's Labor Law § 200 and common-law negligence claims. Astoria/Orion did not appeal the denial of that part of their summary judgment motion that sought relief on the third-party complaint.

4. In *Perini North River*, the Supreme Court explained the history of the LHWCA. Prior to 1972, the LHWCA applied only to injuries that occurred on navigable waters (*Perini North River*, 459 US at 313). In 1972, Congress

(n. cont'd)

workers and precludes recovery of damages against their employer (33 USC § 905 [a]). The LHWCA also permits an injured employee to recover damages against a third person other than his or her employer (33 USC § 933 [a]). Section 905 (b) of the LHWCA, consistent with section 933 (a), permits an injured person covered under the Act to bring an action in negligence against a vessel, but provides that such remedy “shall be exclusive of all other remedies against the vessel except remedies available under this chapter.” Contrary to the dissent’s position, one need not conclude that plaintiff is entitled to assert a maritime tort claim to invoke section 905 (b) where the worker was injured on navigable waters (*see e.g. Stewart*, 543 US 481 [2005] [discussing the application of section 905 (b) without any maritime tort inquiry]).⁵ Section 905 (b) of the LHWCA applies to the “injury to a person covered under this chapter” where the liability of a vessel is at issue. Thus, because the LHWCA covers plaintiff’s injury upon navigable waters, whether section 905 (b) applies in this case hinges upon whether the structure upon which plaintiff was injured is a vessel. Although the LHWCA does not define “vessel,” the United States Supreme Court has provided detailed guidance concerning the definition and characteristics of a vessel, holding that the statutory definition of the term in 1 USC § 3 is applicable in this context.

A “‘vessel’ includes every description of water-craft or other artificial contrivance used, or capable of being used, as a means

expanded the coverage landward and created a scope of persons covered, which became the situs and status test (*id.* at 317-318). The *Perini North River* Court then held that “when a worker is injured on the actual navigable waters in the course of his employment on those waters, he satisfies the status requirement . . . and is covered under the LHWCA” (*id.* at 324). The Court noted that “Congress was concerned with injuries on land, and assumed that injuries occurring on the actual navigable waters were covered, and would remain covered” (*id.* at 319).

5. The dissent’s reliance upon *Executive Jet Aviation, Inc. v Cleveland* (409 US 249 [1972]) and *McLaurin v Noble Drilling (U.S.), Inc.* (529 F3d 285 [5th Cir 2008]) is misplaced—neither of those cases involved claims traditionally covered under the LHWCA. The Supreme Court created the maritime tort inquiry in *Executive Jet*. There, the Court “concluded that maritime locality alone is not a sufficient predicate for admiralty jurisdiction in aviation tort cases” (409 US at 261). In *McLaurin*, the Fifth Circuit continued the use of such inquiry in the context of a shipyard accident. The court, noting that “[i]njury on navigable waters is a sine qua non of the maritime tort, . . . held that a maritime worker injured on dry land cannot sustain a cognizable injury under § 905 (b) of the LHWCA” (529 F3d at 290 [internal quotation marks and citation omitted]).

of transportation on water” (*Stewart v Dutra Constr. Co.*, 543 US 481, 489 [2005], quoting 1 USC § 3). Structures temporarily stationed in a particular location maintain their status as vessels. However, floating structures that are “not practically capable of being used as a means of transportation” do not qualify as vessels (*id.* at 493 [internal quotation marks and citation omitted]). Such floating structures (non-vessels) are permanently fixed or moored “to shore or resting on the ocean floor” (*id.* at 493-494).

[1] Here, the barge, located on navigable waters in Gowanus Bay, is a vessel within the LHWCA. The barges owned by Astoria/Orion have been tugged on water approximately once a decade to a maintenance station and, at least once, to provide energy to another part of New York City in an emergency. Thus, the barge at issue is practically capable of being used as a means of transportation on water. Although the barge is stationed at the Gowanus facility, because it is not permanently anchored or moored, it has not lost its status as a vessel. Accordingly, the barge is a vessel under section 905 (b).

The remaining issue is whether section 905 (b) preempts plaintiff’s Labor Law § 240 (1) and § 241 (6) claims. It is well recognized that the Supremacy Clause (US Const, art VI, cl 2) “‘may entail pre-emption of state law either by express provision, by implication, or by a conflict between federal and state law’ ” (*Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006], quoting *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645, 654 [1995]). Congress’ intent to preempt “‘may be explicitly stated in the statute’s language or implicitly contained in its structure and purpose. In the absence of an express congressional command, state law is pre-empted if that law actually conflicts with federal law” (*Cipollone v Liggett Group, Inc.*, 505 US 504, 516 [1992] [internal quotation marks and citation omitted]). State law will not “be superseded by [a] Federal Act unless that was the clear and manifest purpose of Congress” (*New York State Conference of Blue Cross & Blue Shield Plans*, 514 US at 655).

[2] Here, the LHWCA clearly states in section 905 (b) that an action in negligence may be brought against a vessel and that such remedy “shall be exclusive of all other remedies against the vessel except remedies available under this chapter.” Congress clearly intends that actions maintained against a vessel be brought solely within the confines of the LHWCA and nowhere in the Act does it permit strict liability claims, as

provided in Labor Law § 240 (1) and § 241 (6). Therefore, section 905 (b) of the LHWCA expressly preempts plaintiff's Labor Law § 240 (1) and § 241 (6) claims. Contrary to the Appellate Division's alternative holding, *Cammon v City of New York* (95 NY2d 583 [2000]) does not support the premise that New York's Labor Law is not preempted by section 905 (b). *Cammon* involved an injured worker receiving benefits under the LHWCA and a defendant landowner. Thus, this case did not involve section 905 (b), "Negligence of vessel," as set forth in the LHWCA. While it is true that federal maritime law does not generally supersede state law (*see Cammon*, 95 NY2d at 587), in this case, where Congress explicitly limited claims against the vessel owner to that federal act, state law claims are preempted.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

CIPARICK, J. (dissenting). Because plaintiff cannot assert a maritime tort claim for vessel negligence against the vessel owner, section 905 (b) of the Longshore and Harbor Workers' Compensation Act does not apply to preempt his state law claims. Accordingly, I respectfully dissent.

The Longshore and Harbor Workers' Compensation Act (LHWCA or the Act) (33 USC § 901 *et seq.*) establishes workers' compensation benefits to "land-based maritime workers" (*Stewart v Dutra Constr. Co.*, 543 US 481, 488 [2005]; *see also McLaurin v Noble Drilling [U.S.], Inc.*, 529 F3d 285, 289 [5th Cir 2008]). Under the LHWCA, qualified employees injured during the course of their employment may, regardless of fault, recover workers' compensation benefits from their employers (*see* 33 USC § 904). An injured employee may also seek to recover against a vessel owner where the negligence of the vessel caused his or her injuries (*see* 33 USC § 905 [b]). Specifically, section 905 (b) of the LHWCA provides,

"In the event of injury to a person covered under [the LHWCA] caused by the negligence of a vessel, then such person, or anyone otherwise entitled to recover damages by reason thereof, may bring an action against such vessel as a third party in accordance with the provisions of section 933 of this title, and the employer shall not be liable to the vessel for such damages directly or indirectly and any agreements or warranties to the contrary shall be void

. . . The liability of the vessel under this subsection shall not be based upon the warranty of seaworthiness or a breach thereof at the time the injury occurred. *The remedy provided in this subsection shall be exclusive of all other remedies against the vessel except remedies available under this chapter*” (emphasis added).

If there is no remedy provided by section 905 (b), there is no “exclusive remedy” that preempts state law actions. Section 905 (b) does not create a new statutory negligence cause of action or maritime tort, nor does it extend or create new admiralty jurisdiction (see *Richendollar v Diamond M Drilling Co., Inc.*, 819 F2d 124, 128 [5th Cir 1987]). Rather, it merely preserves an injured employee’s right to recover for vessel negligence under existing maritime law (see *Kerr-McGee Corp. v Ma-Ju Mar. Servs., Inc.*, 830 F2d 1332, 1339 [5th Cir 1987]; see also *In re Donjon Mar. Co., Inc.*, 2008 WL 3153721, 2008 US Dist LEXIS 59102 [SD NY 2008]). If a plaintiff cannot state a cause of action for a maritime tort, section 905 (b) does not provide any remedy and so does not apply to preempt state law causes of action against vessel owners (see *McLaurin*, 529 F3d at 289; see also *Robertson v Arco Oil & Gas Co.*, 766 F Supp 535, 537-538 [WD La 1991] [where the plaintiff’s claim fell within admiralty jurisdictions, “(h)is maritime law remedy against the vessel owner . . . consist(ed) of a section 905 (b) suit for negligence”]). Thus, to determine whether a plaintiff’s state claims are preempted by the “exclusive remedy” language of section 905 (b), a court must first ascertain whether the plaintiff can state a maritime tort claim for vessel negligence against the vessel owner.¹

A tort claim qualifies as a “maritime tort” and falls under the federal courts’ admiralty jurisdiction where the injury satisfies a maritime situs/status test (see *Richendollar*, 819 F2d at 127).² That is, “when the wrong (1) took place on navigable waters

1. This Court has a history of preserving state claims where doing so is not inconsistent with the federal scheme (see e.g. *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105 [2008]; *Arons v Jutkowitz*, 9 NY3d 393 [2007]). As the Appellate Division noted, this is particularly true in cases involving the health and safety of our workers (see e.g. *Balbuena v IDR Realty LLC*, 6 NY3d 338 [2006]; *Cammon v City of New York*, 95 NY2d 583 [2000]), a matter which has historically been within the police powers of the State.

2. The majority conflates the issue of workers’ compensation benefits under the Act with the potential maritime tort remedy under the Act (see majority op at 389-390). As to the former, a covered worker need only sustain some

(n. cont’d)

(‘situs’) and (2) ‘bear[s] a significant relationship to traditional maritime activity’ (‘status’),” the alleged wrong may be susceptible to suit under a maritime tort cause of action (*Keene Corp. v United States*, 700 F2d 836, 843 [2d Cir 1983], quoting *Executive Jet Aviation, Inc. v Cleveland*, 409 US 249, 268 [1972]). In *Jerome B. Grubart, Inc. v Great Lakes Dredge & Dock Co.* (513 US 527 [1995]), the Supreme Court explained the status test, or “connection” test, as having two components:

“The connection test raises two issues. A court, first, must ‘assess the general features of the type of incident involved,’ to determine whether the incident has ‘a potentially disruptive impact on maritime commerce.’ Second, a court must determine whether ‘the general character’ of the ‘activity giving rise to the incident’ shows a ‘substantial relationship to traditional maritime activity.’ ” (*Id.* at 534 [citations omitted], quoting *Sisson v Ruby*, 497 US 358, 363, 364 n 2, 365 [1990].)

The federal courts have considered various factors to determine whether an alleged wrong bears a significant relationship to traditional maritime activity, including:

“1) the functions and roles of the parties; 2) the types of vehicles and instrumentalities; 3) the causation and type of injury; 4) traditional concepts of the role of admiralty law; 5) the impact of the event on maritime shipping and commerce; 6) the desirability of a uniform national rule to apply to such matters, and 7) the need for admiralty ‘expertise’ in the trial and decision of the case” (*Ciolino v Sciortino Corp.*, 721 F Supp 1491, 1493 [D Mass 1989], citing *Shea v Rev-Lyn Contr. Co., Inc.*, 868 F2d 515, 517-518 [1st Cir 1989], *Drake v Raymark Indus., Inc.*, 772 F2d 1007 [1st Cir 1985], *Molett v Penrod Drilling Co.*, 826 F2d 1419, 1426 [5th Cir 1987], *Oman v Johns-Manville Corp.*, 764 F2d 224, 230

injury on the navigable waters to satisfy the status test for workers’ compensation benefits (see *Director, Office of Workers’ Compensation Programs v Perini North River Associates*, 459 US 297, 324 [1983]). As to the latter—the tort claim—the alleged wrong must “bear[] a significant relationship to traditional maritime activity” (*Executive Jet Aviation, Inc. v Cleveland*, 409 US 249, 268 [1972]). The federal courts have recently used the *Executive Jet* test to ascertain whether a plaintiff can assert a section 905 (b) vessel negligence claim (see e.g. *McLaurin*, 529 F3d at 289).

[4th Cir 1985]; *Harville v Johns-Manville Prods. Corp.*, 731 F2d 775, 779-787 [11th Cir 1984], and *Kelly v Smith*, 485 F2d 520, 525 [5th Cir 1973]).

As stated by the majority opinion, here, plaintiff's injury occurred in navigable waters on a "vessel," as the Supreme Court recently broadly defined that term in *Stewart* (543 US at 495).³ Thus, the "situs" test for a maritime tort sounding in negligence is satisfied (see *Executive Jet Aviation*, 409 US at 268). However, the status test is not satisfied because plaintiff's activity on defendant's vessel bore no cognizable relationship to maritime activity or commerce. As a result, section 905 (b) cannot apply to preempt plaintiff's state law claims against the vessel owner (see e.g. *McLaurin*, 529 F3d at 291-292).

Plaintiff was employed by third-party defendant Elliott as a millwright to perform substantial mechanical work on gas turbine electrical generating units owned by defendant/third-party plaintiff. These generating units happened to be housed on defendant's barges, i.e., vessels; however, other than their incidental location upon navigable waters, no other features of the gas turbine electrical generating units—nor of plaintiff's employment working on those units—bore any relation to a traditional maritime activity or to maritime commerce (see *Jerome B. Grubart, Inc.*, 513 US at 534). Indeed, the gas turbines are part of a power-generating operation that includes land-based structures adjacent to the barge turbines. Electricity generated by the barge turbines is conveyed over power lines, which are land-based, for transmission to energy consumers.

In *Matter of Consolidated Edison Co. of N.Y. v City of New York* (44 NY2d 536 [1978]), we determined that, for the purposes of taxation, the barges were properly "classified as structures affixed to the land on which is situated the land-based distribution system to which [the barges] are physically connected and integrally related," and, as such, could be taxed as real property rather than personal property (*id.* at 542). A structure so entwined with a land-based energy production operation that

3. *Stewart*, although instructive for limited purposes here, is distinguishable on its facts. In that case, the plaintiff, a marine engineer, was injured when a dredge collided with a vessel (a scow) upon navigable waters (see 543 US at 485). The plaintiff had been hired by the dredge's owner "to maintain the mechanical systems" of the dredge (*id.*). The Supreme Court observed that the "question in th[e] case [was] whether a dredge is a 'vessel' under § 2 (3) (G) of the Longshore and Harbor Workers' Compensation Act" (*id.* at 484). Notably, after answering that narrow question, the Court remitted the matter for further proceedings.

we saw fit to permit its taxation as real property plainly has no relation to any traditional maritime activity.⁴

That plaintiff recovered workers' compensation benefits under the LHWCA is of no import, inasmuch as the question whether plaintiff can recover no-fault benefits under the Act is distinct from the question whether he can recover in maritime tort for vessel negligence under section 905 (b). Significantly, section 933 (a) of the LHWCA expressly recognizes that an employee covered by the LHWCA may have state law remedies against third parties other than his or her employer (see *McLaurin*, 529 F3d at 292). As the United States Court of Appeals for the Fifth Circuit explained in *McLaurin*,

“[s]ection 933 specifically forbids a claim against the employer or a person in his employ, leaving [section] 904 [workers' compensation claims] as the only avenue of recovery against the employer or a negligent coworker . . .

“Notably, unlike employers, vessel owners are not mentioned in [section] 933, so a maritime worker may attempt to recover against a vessel owner for vessel negligence under [section] 905 (b) [or] against

4. While *Cammon v City of New York* does not form the basis for this dissent, the majority is mistaken to reject that case out of hand as distinguishable. To be sure, *Cammon* involved an action by an employee against a property owner—but so does this case. During an earlier hearing to determine plaintiff's eligibility for LHWCA workers' compensation benefits, the testimony of Astoria/Orion's asset manager, Liam Baker, indicated that, at a minimum, Astoria/Orion owned the electrical lines connecting the barges to Consolidated Edison's substation, and implied that Astoria/Orion owned the piers to which the barges were moored. Moreover, notably, when asked to describe the distance between Consolidated Edison's substation and Astoria/Orion's generating barges, Baker observed that substation abutted the “property line” of Astoria/Orion, approximately 100 yards from the barges. Thus, here, plaintiff was injured while working on a barge attached to Astoria/Orion's land, and, as noted, we have already determined—albeit for tax purposes—that the barges are taxable as real property. In short, plaintiff was injured while working on the vessel portion of Astoria/Orion's integrated power generating station. In my view, the holding of *Cammon* would apply with equal force here, and bears repeating: “State application of strict liability here will not ‘unduly interfere[] with the federal interest in maintaining the free flow of maritime commerce’ . . . Local regulations that do not affect vessel operations, but rather govern liability issues with respect to landowners and contractors within the State, have no extraterritorial effect” (95 NY2d at 589, quoting *American Dredging Co. v Miller*, 510 US 443, 458 [1994, Souter, J., concurring]).

a vessel owner as a third-party tortfeasor under [section] 933” (529 F3d at 292, quoting 33 USC § 933 [a] [internal quotation marks and original alterations omitted]).

The plain language of section 905 (b) makes recovery under that section the “exclusive remedy” where an injured employee has a cause of action for vessel negligence. However, where, as here, the injured employee has no cause of action for vessel negligence under maritime law, section 933 of the LHWCA expressly recognizes and preserves state law causes of actions against third parties, including vessel owners who are not also employers.

Accordingly, I would affirm the order of the Appellate Division reinstating plaintiff’s Labor Law claims against the owner of the barges, Astoria/Orion, and granting plaintiff partial summary judgment on the section 240 (1) claim.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN concurs.

Order reversed, etc.

[920 NE2d 359, 892 NYS2d 303]

RIVERSIDE SOUTH PLANNING CORPORATION, Appellant, v CRP/
EXTELL RIVERSIDE, L.P., et al., Respondents.

Argued October 22, 2009; decided November 24, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 30, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, New York County (Richard B. Lowe, III, J.; op 2008 NY Slip Op 30836[U]), which had denied defendants' motion to dismiss the complaint; and (2) granted the motion.

Riverside S. Planning Corp. v CRP/Extell Riverside, L.P., 60 AD3d 61, affirmed.

HEADNOTES

Contracts — Construction — Sunset Clause

1. Pursuant to a sunset clause in a 1993 Letter Agreement relating to the development of certain real property, the obligations in the agreement ceased in 2003, two years before defendant purchased the property. Accordingly, defendant had no contractual obligation to plaintiff, the planning corporation formed in connection with the development of the property, that could give rise to a breach of contract claim. The sunset clause appeared on the third page of the four-page Letter Agreement and provided that "[t]he agreements contained herein" would continue for 10 years but would expire sooner if either of two listed conditions were not satisfied. The phrase "[t]he agreements contained herein" unambiguously encompassed all of the obligations in the contract as it was accompanied by no limiting language suggesting that it referred to only some of the obligations, such as those in the preceding paragraphs.

Contracts — Construction — Sunset Clause

2. A sunset clause in a 1993 Letter Agreement relating to the development of certain real property was not rendered ambiguous by the contract's assignment clause, pursuant to which the developer agreed to require any person who purchased any parcel of the subject property from him while special permits remained in effect to abide by the agreements in the letter. The sunset clause clearly provided that "[t]he agreements contained herein" would continue for 10 years but would immediately cease if the developer no longer owned, directly or indirectly, any portion of the property. Thus, the assignment clause would have been triggered only if a company in which the developer had an interest retained an interest in the property while selling a portion of the property to an unrelated entity. The assignment clause did not negate the 10-year limitation on the duration of the contract. Moreover the contract contained no language indicating a mutual agreement to limit the applicability of the sunset clause with respect to successors. Like the other obligations in the Letter Agreement, the assignment obligation was restricted

by the sunset provision and ended, at the latest, 10 years after the agreement was signed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 328–331, 356.
CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 3.9, 3.10.
NY JUR 2d, Contracts §§ 208–211, 236, 240, 279.
WILLISTON ON CONTRACTS (4th ed) §§ 30:11, 31:12.

ANNOTATION REFERENCE

See ALR Index under Contracts.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sunset /2 clause & expir! /s condition & ambiguous

POINTS OF COUNSEL

Cravath, Swaine & Moore LLP, New York City (*Max R. Shulman* of counsel), for appellant. I. Riverside South Planning Corporation's interpretation of the sunset provision is reasonable. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Williams Press v State of New York*, 37 NY2d 434; *Atwater & Co. v Panama R.R. Co.*, 246 NY 519; *Wirth & Hamid Fair Booking Inc. v Wirth*, 265 NY 214; *Leon v Martinez*, 84 NY2d 83; *Zurakov v Register.Com, Inc.*, 304 AD2d 176; *Blandford Land Clearing Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 260 AD2d 86; *Kass v Kass*, 91 NY2d 554.) II. The sunset provision does not empower the Extell defendants to undo design decisions already made.

Schlam Stone & Dolan LLP, New York City (*Richard H. Dolan* and *Thomas A. Kissane* of counsel), for respondents. I. Plaintiff's appeal should be dismissed because it is from a nonfinal order. (*Burke v Crosson*, 85 NY2d 10; *City of Buffalo v Clement Co.*, 27 NY2d 794, 28 NY2d 241, 29 NY2d 640; *Matter of City of Utica v Weaver Sons Co.*, 259 NY 584.) II. Plaintiff's argument on appeal relies in substantial part on factual matters beyond this Court's powers of review. (*Kass v Kass*, 91 NY2d 554; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Sterling Fifth Assoc. v Carpentille Corp., Inc.*, 9 AD3d 261; *Van Wagner Adv. Corp. v S & M Enters.*, 67 NY2d 186; *Mitchell, Inc. v Dannemann Hosiery Mills*, 258 NY 22; *Williams Press v State of New York*, 37 NY2d 434.) III. The Extell defendants only assumed the substantive

obligations owed by Donald Trump's entities, all of which had concededly expired two years before Extell acquired their interest in the project. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395, 941; *Ayanru v General Motors Acceptance Corp.*, 130 Misc 2d 440; *Matter of Bradford Cent. School Dist. v Ambach*, 56 NY2d 158.) IV. The obligations created by the 1993 Letter Agreement expired by their terms no later than 10 years from its making. (*Kass v Kass*, 91 NY2d 554; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Slamow v Del Col*, 79 NY2d 1016; *Matter of Anonymous*, 189 Misc 375; *Williams Press v State of New York*, 37 NY2d 434; *Evans v Famous Music Corp.*, 1 NY3d 452; *Graev v Graev*, 11 NY3d 262; *Korff v Corbett*, 18 AD3d 248; *Atwater & Co. v Panama R.R. Co.*, 246 NY 519; *People v Brooks*, 34 NY2d 475.)

OPINION OF THE COURT

GRAFFEO, J.

In this breach of contract case, we are asked to determine the scope of a sunset clause that appears in a 1993 Letter Agreement relating to the development of a parcel of real property. Because we agree with the Appellate Division that, under the provision in question, the obligations in the agreement ceased in 2003—two years before defendant purchased the property—we affirm the judgment dismissing plaintiff's claim.

In 1984, Penn Yards Associates, a partnership controlled by Donald Trump, purchased the Penn Central Railroad Yards—a 76-acre parcel located on the West Side of Manhattan known as Riverside South. Trump floated two proposed development plans in the late 1980s that were opposed by civic groups. Eventually forging an alliance with six of the organizations that had opposed those plans, in 1991 Trump entered into a Memorandum of Understanding with these groups regarding a new Development Plan. The new plan focused on environmental sustainability and design criteria, specified the number, size and permissible uses of the buildings to be erected and reserved space for art studios, parks and other open spaces. With Trump's assistance, plaintiff Riverside South Planning Corporation (RSPC) was formed, an entity comprised of representatives of each of the six groups, along with Trump and a named president.

Thereafter, Trump and RSPC worked together to obtain support from government officials for the Development Plan and, in 1992, formal approval was obtained from the City of New York. Penn Yards recorded a 284-page Restrictive Declaration

with the New York City Register memorializing that approval. Having been recorded in the chain of title, the declaration imposed numerous restrictions on the owner that would run with the land and bind any developer as well as any successors or assignees.¹

On March 31, 1993, Donald Trump entered into a four-page Letter Agreement with RSPC to “confirm our arrangement to continue working together.” After identifying some issues that remained outstanding, Trump agreed that, if he used “Special Permits,” he would develop the property in substantial conformity to “design guidelines”² and would not apply for any major modifications or rezonings (with specified exceptions) without the approval of a majority of the members of RSPC. Trump further agreed to work with RSPC to oversee the design and construction of the parks and open space in conformity with approved park drawings and park specifications and to delegate his future park maintenance obligations to an independent park maintenance entity (subject to certain conditions). In exchange, RSPC consented to continue its support of the project and to take whatever actions necessary to secure government permits and facilitate development. The contract also contained additional provisions addressing funding for RSPC and the potential for future dissolution of the planning corporation.

Most relevant to this case, a sunset provision was included on the third page of the four-page Letter Agreement stating that “[t]he agreements contained herein” would continue for 10 years, unless either of two conditions were no longer fulfilled, in which case they would cease earlier. In a subsequent paragraph, the developer agreed that if he sold “any Parcel of the Subject Property,” he would assign to the purchaser the obligations in the contract. Appended to the agreement and incorporated by

1. Under the Restrictive Declaration, the developer’s compliance with the plan is monitored by the Riverside South Implementation Task Force, which consists of a representative of the Mayor’s Office of Construction, the Director of the Department of City Planning, another mayoral appointee (a commissioner of an agency, at the election of the Mayor) and two appointees of the Speaker of the State Assembly.

2. The Riverside South Design Guidelines were apparently finalized on May 21, 1993—about two months after the Letter Agreement was executed. Although the Design Guidelines mirror, in some respects, provisions in the Development Plan, they also contain additional details and specifications relating to the design and construction of buildings, such as the dimensions of windows and the percentage of glass making up the exterior facade. The guidelines themselves are unsigned and are not in the form of a contract or restrictive declaration.

reference was a two-page document entitled “LEGAL REQUIREMENTS.” This addendum clarified that “[n]othing contained in the Letter Agreement is intended to, nor shall be interpreted to, create an interest in real property, a constructive trust, easement, lien or other encumbrance upon the Subject Property,” which was consistent with a provision in the Letter Agreement itself stating that the contract would not be recorded in the chain of title.

In 1994, Penn Yards sold the Riverside South property to Hudson Waterfront Associates, L.P., an entity in which Trump had a noncontrolling interest. After the transfer, in his capacity as a partner in Hudson Waterfront, Trump entered into another contract with RSPC noting that he would continue to be a partner in the project and accepting, on behalf of Hudson Waterfront, the obligations imposed in the 1993 Letter Agreement, with certain caveats. It is undisputed that Hudson Waterfront fully complied with the 1993 Letter Agreement while it owned the property.

According to the allegations in RSPC’s complaint, in 2005 Hudson Waterfront sold the Riverside South property (or a portion of it) to defendant CRP/Extell Riverside, L.P. (Extell), a company unrelated to Donald Trump. Upon purchase of the property, Extell signed a document in which it agreed to assume any duties and obligations that continued to exist under the 1993 Letter Agreement but stated that it was not admitting that there were any continuing obligations or that the contract remained in effect.

RSPC alleges that, for several months, Extell acted consistently with the Letter Agreement by funding and consulting with RSPC. However, toward the end of 2005, Extell announced that it planned to construct a building that contained more glass on the exterior facade than would be consistent with the Design Guidelines and it failed either to seek approval from RSPC or to conduct an energy efficiency analysis required by the guidelines. Extell then rebuffed RSPC’s attempts to participate in the planning process and ultimately declared that it was not bound by the Letter Agreement because, by virtue of the sunset clause, that contract had expired in March 2003, 10 years after it was signed.

In November 2007, RSPC commenced this breach of contract action seeking enforcement of the 1993 Letter Agreement, arguing that the contract remained in effect. Extell answered and

moved to dismiss the claim on the basis of documentary evidence, relying on the plain language of the sunset clause and contending that, since Extell did not purchase the property until two years after the agreement expired, it had no obligations under that contract and therefore could not be sued for its breach.

Supreme Court denied the motion to dismiss, reasoning that the sunset clause was ambiguous because it did not appear at the end of the agreement and, as a result, could be interpreted as applying only to the obligations that preceded it in the document (2008 NY Slip Op 30836[U]). Since the clause relating to assignment to successors—the provision under which obligations might have been passed on to Extell—appeared after the sunset clause, the court concluded that the assignment clause might still have been in effect when the property was purchased by Extell.

In a divided decision, the Appellate Division reversed and granted Extell's motion to dismiss (60 AD3d 61 [2008]). The majority held that the sunset clause plainly established that the Letter Agreement had expired, at the latest, 10 years after it was executed, meaning that it was of no force or effect when Extell acquired the property in 2005. The court was unpersuaded that the placement of the provision on the third page of the contract—as opposed to at the end—permitted the conclusion that the sunset clause applied only to obligations that appeared in the text before it rather than the entire agreement. The two-justice dissent would have upheld the order denying the motion to dismiss as it agreed with Supreme Court that the sunset clause was ambiguous. The dissent surmised that the parties might have intended to limit Trump's obligations to 10 years but to bind successors for a longer period of time if they thought it likely that Trump would sell the property soon after the Letter Agreement was signed. Plaintiff appeals to this Court as of right on the two-justice dissent and we now affirm.

Our rules of contract interpretation are well-established. “[W]hen parties set down their agreement in a clear, complete document, their writing should be enforced according to its terms,” and this rule is applied with special force “in the context of real property transactions, where commercial certainty is a paramount concern, and where the instrument was negotiated between sophisticated, counseled business people negotiating at arm's length” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [internal quotation marks, ellipses

and citations omitted]). Courts may not “by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing” (*Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001] [internal quotation marks and citation omitted]).

In this dispute, the primary issue is whether there is ambiguity in the language of the sunset clause. “Whether an agreement is ambiguous is a question of law for the courts . . . Ambiguity is determined by looking within the four corners of the document, not to outside sources” (*Kass v Kass*, 91 NY2d 554, 566 [1998] [citations omitted]). The entire contract must be reviewed and “[p]articular words should be considered, not as if isolated from the context, but in the light of the obligation as a whole and the intention of the parties as manifested thereby. Form should not prevail over substance and a sensible meaning of words should be sought” (*Atwater & Co. v Panama R.R. Co.*, 246 NY 519, 524 [1927]). Where the language chosen by the parties has “a definite and precise meaning,” there is no ambiguity (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [citation omitted]).

[1] The sunset clause in the Letter Agreement provides:

“*The agreements contained herein* shall continue for ten (10) years, or such lesser period as either of the following conditions shall no longer remain satisfied: (1) the Special Permits shall remain in effect; and (2) I shall own, directly or indirectly, all or any portion of the Subject Property” (emphasis added).

We concur with the Appellate Division majority’s view that the phrase “[t]he agreements contained herein” unambiguously encompasses all of the obligations in the contract as it is accompanied by no limiting language suggesting that it refers to only some of the obligations, such as those in the preceding paragraphs as RSPC suggests. The clause indicates that the contract will remain in effect for 10 years and contemplates that it might expire sooner if either of the two listed conditions was not satisfied, e.g., if the developer no longer owned, directly or indirectly, any part of the Riverside South property.

[2] Nor is the clause rendered ambiguous by other language in the contract, such as the assignment clause. In that provision, the developer agreed to “require any person who purchases any Parcel of the Subject Property from me so long as the

Special Permits remain in effect, to agree to abide by the agreements in this letter.” Although RSPC acknowledges that Trump could not have been bound by the obligations in the letter for longer than 10 years, it asserts that the assignment clause requires that any successor purchaser of the property comply with the agreements as long as the Special Permits remain in effect, even if this extended beyond the decade specified in the sunset provision. It therefore interprets the assignment clause as imposing a broader obligation on a successor than Trump had himself and, based on this interpretation, contends that an ambiguity is created as to the applicability of the sunset clause to an assignee such as Extell.

We are unpersuaded by this analysis. Under the clear wording of the sunset provision, the obligations in the Letter Agreement immediately ceased if Trump no longer owned, directly or indirectly, any portion of Riverside South—if he and his companies sold the entire property—and this would be true even if such a sale occurred within 10 years. In that circumstance, there would be no obligations to pass on to a successor because the contract immediately expired upon Trump’s divestiture of ownership. Viewed in this light, there is only one reasonable interpretation of the assignment clause; that provision would have been triggered only if a Trump company retained an interest in Riverside South while selling a portion of the property to an unrelated entity.

In fact, this is precisely what the assignment clause says. If Trump sells “*any Parcel* of the Subject Property” (emphasis added) while retaining an interest in other parcels, he must require the purchaser to abide by the obligations in the Letter Agreement for so long as they remain in effect (which, under the sunset clause, would be no more than 10 years). The sentence that follows the assignment clause further demonstrates that Trump is addressing the sale of a parcel and not the entire “Subject Property” (as Riverside South is referenced elsewhere in the document) as the developer agrees to “contractually require the purchaser(s) to agree to develop *such parcel*” (emphasis added) in accordance with the guidelines. As long as he remained a part of the project and until the Letter Agreement expired, Trump was required to extend to any entity that purchased a portion of the property the same obligations he carried—to work with RSPC until the contract terminated in 2003 (if not sooner). It made sense to include such a provision since, if Trump (through one of his companies) was simultaneously

developing one part of Riverside South while a different organization developed another, such coordination would have been desirable. But the assignment clause does not negate the 10-year limitation on the duration of the contract.

Of course, the parties could have drafted an agreement that restricted the scope of the sunset clause in the manner asserted by RSPC. For example, the assignment clause would have had the meaning RSPC ascribes to it if it read “notwithstanding the language limiting the duration of this agreement,” the developer will require any subsequent purchaser to abide by the obligations in this letter for so long as the Special Permits remain in effect. But the contract contains no language indicating a mutual agreement to limit the applicability of the sunset clause with respect to successors.

Thus, like the other obligations in the Letter Agreement, the assignment obligation was restricted by the sunset provision and ended, at the latest, 10 years after the agreement was signed. As the developer, Trump did not agree to assign to someone else obligations he never had and the presence of the assignment clause therefore does not create an ambiguity in the sunset clause. To the extent that Supreme Court and the Appellate Division dissent relied on the inference that the parties must have intended to bind successors for a period greater than 10 years because development of Riverside South could not have been finished within a decade, not only does this rationale consider matters outside the four corners of the agreement but it assumes that the developer agreed to work with RSPC until the project was completed—an obligation that is not stated in the agreement, although it could easily have been included if that had been the parties’ intent.

[1] Since the Letter Agreement was executed in March 1993, it expired no later than March 2003, two years before Extell purchased the property from Hudson Waterfront. Thus, Extell had no contractual obligation to RSPC that could give rise to this breach of contract claim. RSPC asserts that, even if this is the case, its lawsuit should nonetheless proceed because any other result would allow Extell to “undo” decisions made while the Letter Agreement was in effect. Assuming such a theory could afford a basis for relief against Extell, the complaint does not identify any binding decision made before the Letter Agreement expired that has been disturbed by Extell; for example, RSPC does not allege that, before March 2003, any previous owner had adopted plans and obtained permits for the building

that were different from Extell's proposal and that Extell has modified those plans or sought to amend those permits. We further note that RSPC succeeded in negotiating a Development Plan that incorporated environmental sustainability and design criteria and, unlike the Letter Agreement, such plan is part of the Restrictive Declaration that is recorded in the chain of title and runs with the land, binding all successors for all time—including Extell. Nothing we decide today allows Extell to unravel that significant accomplishment of RSPC.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[921 NE2d 191, 893 NYS2d 499]

In the Matter of the Estate of LENA HAUSMAN, Deceased. GEORGE HAUSMAN, as Executor of LENA HAUSMAN, Deceased, Appellant; FREDDA SIMON et al., Respondents.

Argued October 20, 2009; decided December 1, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 20, 2008. The Appellate Division (1) reversed, on the law, an order of the Surrogate's Court, Kings County (Frank R. Seddio, S.), which had granted the petition and deemed the transfer of property by decedent to 1373 Realty Co. LLC valid; (2) denied the petition; and (3) deemed the deed invalid.

Matter of Hausman, 51 AD3d 922, affirmed.

HEADNOTES

Deeds — Validity — Conveyance to Limited Liability Company Prior to Filing of Articles of Incorporation Void

1. A deed transferring decedent's real property to a limited liability company (LLC) prior to the filing of the LLC's articles of organization with the Department of State was void because there was no de facto entity in existence capable of receiving title to the property. Courts may invoke the de facto corporation doctrine, which is applicable to limited liability companies, where there exists a law under which the corporation might be organized, an attempt to organize the corporation and an exercise of corporate powers thereafter. There was no bona fide attempt to comply with the ministerial, yet essential (*see* Limited Liability Company Law §§ 203, 209), requirement of filing the articles of organization prior to the attempted conveyance. Merely executing articles of organization along with an operating agreement and nothing more is insufficient to meet the long-standing requirements of a de facto entity. An entity that is neither de facto nor de jure cannot take title to real property.

Estoppel — Applicability

2. The doctrine of estoppel does not apply to decedent's conveyance of real property to a limited liability company (LLC), owned, operated and managed by two of decedent's children, where the property was conveyed prior to the filing of the LLC's articles of organization with the Department of State. There was no evidence that decedent acted inequitably or took unfair advantage of her two children, nor was there evidence that decedent received any meaningful benefit from the transaction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations § 43; AM JUR 2d, Deeds §§ 21, 24;
AM JUR 2d, Estoppel and Waiver §§ 29–32, 40, 65, 83, 85.

McKINNEY's, Limited Liability Company Law §§ 203, 209.
NY JUR 2d, Business Relationships §§ 2154, 2155, 2169; NY
JUR 2d, Deeds § 30; NY JUR 2d, Estoppel, Ratification,
and Waiver §§ 3-5, 8, 34, 36-40.

ANNOTATION REFERENCE

Issues relating to formation of limited liability company
and addition or dissociation of members thereto. 43 ALR6th
611.

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POINTS OF COUNSEL

Norman A. Olch, New York City, and *Wolfson & Carroll* (*Michael G. Wolfson* of counsel), for appellant. The deed to the limited liability company (LLC) was valid because (1) on the date of the deed the LLC was a de facto business entity, and (2) the heirs of the grantor are estopped from collaterally attacking the validity of the deed. (*Lancaster v Amsterdam Improvement Co.*, 140 NY 576; *Methodist Episcopal Union Church v Pickett*, 19 NY 482; *Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *Jarl Co. v Village of Croton-on-Hudson*, 258 NY 303; *Bankers Trust Co. of W. N.Y. v Zecher*, 103 Misc 2d 777; *Smith v Sheeley*, 79 US 358; *Matter of Planz [Sees]*, 282 App Div 552; *Stevens v Episcopal Church History Co.*, 140 App Div 570; *Emery v De Peyster*, 77 App Div 65; *Card v Moore*, 68 App Div 327.)

Ezra Huber & Associates, P.C., Mineola (*Ezra Huber* of counsel), for respondents. I. Under the facts of this case, appellant cannot claim that the limited liability company (LLC) existed as a de facto entity prior to its filing with the New York Secretary of State because the members of the LLC *themselves* chose the date that the LLC came into legal being—this date being *after* the date of the real property conveyance. (*Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378.) II. The Court of Appeals has held that the grantee of real property must exist at the time of conveyance. No grantee capable of taking title existed on the date of this conveyance. (*Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *David v Williamsburgh City Fire Ins. Co.*, 83 NY 265; *Matter of Planz [Sees]*, 282 App Div 552; 183 *Holding Corp. v 183 Lorraine St. Assoc.*, 251 AD2d 386; 442 *Decatur St., LLC v Spheres Realty, Inc.*, 14 AD3d 535.) III. The

Appellate Division committed no error and enunciated no new rules; it merely applied existing law to the facts of this case. (*Methodist Episcopal Union Church v Pickett*, 19 NY 482; *Matter of Planz [Sees]*, 282 App Div 552; *Stevens v Episcopal Church History Co.*, 140 App Div 570; *Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *Card v Moore*, 68 App Div 327, 173 NY 598; *183 Holding Corp. v 183 Lorraine St. Assoc.*, 251 AD2d 386; *442 Decatur St., LLC v Spheres Realty, Inc.*, 14 AD3d 535; *Emery v De Peyster*, 77 App Div 65; *Bankers Trust Co. of W. N.Y. v Zecher*, 103 Misc 2d 777; *Rockaway Improvement, LLC v Danco Transmission Corp.*, 9 Misc 3d 210.) IV. The corporation-by-estoppel defense may not be raised at this point in the case. The issue was raised for the first time in appellant's motion for reargument to the Appellate Division; in any event, the parties agreed to have the matter determined on the basis of a specific set of facts and as a matter of law; any estoppel issue raised at this time would require consideration of matters not in the record. (*Boslow Family Ltd. Partnership v Glickenhau & Co.*, 7 NY3d 664; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342; *Matter of Schwartz v Cuomo*, 111 AD2d 759; *Matter of Smith*, 91 AD2d 789; *Matter of Pessano*, 269 App Div 337, 296 NY 564; *Szigyarto v Szigyarto*, 64 NY2d 275; *Pink v Isle Theat. Corp.*, 271 NY 390; *Kiamesha Dev. Corp. v Guild Props.*, 4 NY2d 378; *Marden v Dorothy*, 160 NY 39; *Stevens v Episcopal Church History Co.*, 140 App Div 570.)

OPINION OF THE COURT

CIPARICK, J.

In this probate proceeding, we are asked to decide whether decedent's children formed a de facto limited liability company (LLC) capable of receiving title to real property that was the subject of a deed executed by decedent shortly before her death. Because no "colorable attempt" was made to file the articles of organization with the Department of State prior to the date of the alleged transfer, we conclude that there was no de facto entity in existence capable of receiving title to the property and the conveyance is thus void.

The facts are mainly undisputed. On October 16, 2000, decedent Lena Hausman's will was executed. She divided her residuary estate into four equal shares: 25% to her son, George (the executor of her estate); 25% to her daughter, Susan; 25% to the children of her predeceased son, Gerald; and 25% to the children of her predeceased son, Gilbert. Decedent's will empowered her executor, George, to create an LLC and to

transfer ownership of her real estate located at 1373 56th Street, in Brooklyn, which generated rental income, to the LLC for the benefit of her heirs. In the event that the LLC was formed and her real property conveyed to it, the will required that the executor “distribute the membership interests in accordance with the directions set forth above” and “[a]ny beneficiary . . . who refuse[d] to cooperate in the establishment of the LLC” would be entitled to the share of the distribution in a special payment.

On October 4, 2001, George and Susan alone executed articles of organization to own, operate and manage the LLC. They also drafted an operating agreement, providing that they would be the sole members of the company and that it would come into existence upon the filing of the articles of organization with the New York Department of State. This would have the effect of depriving the other heirs, decedent’s grandchildren, from receiving any benefit from the rental property. Significantly, the articles of organization were not filed with the Department of State until November 16, 2001. On November 2, 2001—two weeks prior to the filing of the articles of organization—decedent, then 90 years old and residing in a nursing home, executed a deed transferring ownership of the property to the LLC. The deed was recorded on December 3, 2001.

Upon decedent’s death in June 2002, her will was admitted to probate. A dispute arose over whether decedent’s grandchildren had rights to the real property. They argued that the property was not conveyed to a valid LLC, and that it should be part of the estate subject to their distributive interests, as stated in the will. The executor maintained that the conveyance of the property to the LLC was valid and does not constitute part of the estate. He filed the instant petition to ascertain the validity of the conveyance of the property to the LLC. Surrogate’s Court granted the petition, concluding that the LLC operated as a valid de facto company prior to the filing of the articles of organization. The court additionally applied the doctrine of estoppel, concluding that “decedent adopted the corporation . . . by express ratification and acceptance of the benefits referable to it.”*

The Appellate Division reversed the order, denied the petition and deemed the deed invalid. Relying on *Kiamesha Dev. Corp. v Guild Props.* (4 NY2d 378, 388 [1958]), it concluded that the

* The deed recites that decedent received \$10 and other valuable consideration for the transfer of the property to the LLC.

executor failed to make a “colorable attempt to comply with the statute governing the organization of limited liability companies” because he made no effort to file the articles of organization with the State prior to the execution of the deed, and as no entity existed capable of taking title to the property, this conveyance was void (51 AD3d 922, 924 [2008]). We granted leave to appeal (11 NY3d 716 [2009]) and now affirm.

[1] Limited Liability Company Law § 203 provides three specific requirements to form an LLC: (1) preparation of the articles of organization; (2) execution of the articles of organization; and (3) the filing of the articles of organization with the State. Limited Liability Company Law § 209 requires that the articles of organization be delivered to the Department of State and a filing fee be paid. Here, no attempt to file articles of organization was made before the conveyance of the property. The executor seeks application of the de facto doctrine and a determination that the transfer of the property to the LLC was valid. The parties do not dispute, and both courts below concluded, that the de facto corporation doctrine is applicable to limited liability companies. We agree. The statutory schemes of the Business Corporation Law and the Limited Liability Company Law are very similar, and we see no principled reason why the de facto corporation doctrine should not apply to both corporations and limited liability companies.

Under very limited circumstances, courts may invoke the de facto corporation doctrine where there exists (1) a law under which the corporation might be organized, (2) an attempt to organize the corporation and (3) an exercise of corporate powers thereafter (see *Methodist Episcopal Union Church v Pickett*, 19 NY 482, 485 [1859]; *Von Lengerke v City of New York*, 150 App Div 98, 102 [1st Dept 1912], *affd* 211 NY 558 [1914]). There is no question that the first prong has been satisfied, as the Limited Liability Company Law provides for the method of incorporation. With respect to the second prong, however, the formation of a de facto company requires a “colorable attempt to comply with the statutes governing incorporation” prior to the exercise of corporate powers, including the filing requirement (*Kiamesha*, 4 NY2d at 388). “[W]here there has been an attempt in good faith to comply with the requirements of the law with respect to filing a certificate of incorporation and a certificate has been filed . . . and there has been use of the corporate name, the corporation will be deemed a corporation *de facto*” (*Stevens v Episcopal Church History Co.*, 140 App Div

570, 578-579 [1910]). However, “the mere execution of a paper which is not filed and does not become a public record is insufficient” (*id.* at 579).

The executor seeks support in *Matter of Planz (Sees)* (282 App Div 552 [3d Dept 1953]) for his argument that a de facto entity may exist even where it has failed to make an attempt to file statutorily required organizational papers with the State. There, a purported corporation executed its certificate of incorporation, and then waited a month to file the certificate with the Secretary of State. During this gap, as here, there was a conveyance of property to the corporation. The Appellate Division held that the entity was a de facto corporation during this period. Given our subsequent holding in *Kiamesha*, mandating a good faith effort to comply with mandatory state filing requirements, however, *Planz* is not a correct application of the de facto corporation doctrine.

Here, it is undisputed that there was no bona fide attempt to comply with the ministerial, yet essential, requirement of filing the articles of organization prior to the attempted conveyance. Although challenged by defendant and the dissenting opinion, merely executing articles of organization along with an operating agreement and nothing more is insufficient to meet the long-standing requirements of a de facto entity. Because an entity that is neither de facto nor de jure cannot take title to real property (*see Kiamesha*, 4 NY2d at 388-389), there was no entity in existence capable of receiving title to the real property and the purported conveyance is therefore void.

[2] Moreover, there is no ground for the estoppel claim because there is no evidence that decedent acted inequitably or took unfair advantage of George or Susan. Indeed, there is no evidence that decedent received any meaningful benefit from that transaction.

Accordingly, the Appellate Division’s order should be affirmed, with costs to all parties appearing separately and filing separate briefs payable out of the estate.

PIGOTT, J. (dissenting). Because the majority, in my view, takes the holding in *Kiamesha Dev. Corp. v Guild Props.* (4 NY2d 378 [1958]) too far—to the point of practically eliminating the legal concept of a de facto corporation—I respectfully dissent.

It is conceded that at the time the property was conveyed

from the decedent to the LLC, the articles of organization for the LLC had not yet been filed. But the sequence of events preceding the filing is important. The articles of organization and operating agreement for the LLC were executed on October 4, 2001. The decedent conveyed the property to the LLC on November 2. The articles of organization were filed on November 16 and the deed was filed on December 3, 2001. The delay in filing is about the only misstep, if a misstep at all, in an otherwise fairly normal series of events in the creation of the LLC. Five years later, only after counsel for disinherited legatees in litigation in Surrogate's Court discovered that the filing of the articles of organization followed the execution of the deed, rather than vice versa, did the timing of the filing come into question.

It has long been held that courts may invoke the de facto corporation doctrine where there exists: (1) a law under which the corporation might be organized, (2) an attempt to organize the corporation and (3) an exercise of corporate powers thereafter (see *Methodist Episcopal Union Church v Pickett*, 19 NY 482, 485 [1859]; *Von Lengerke v City of New York*, 150 App Div 98 [1st Dept 1912], *aff'd* 211 NY 558 [1914]). All of these requirements were met here. The majority focuses on the "colorable attempt to comply with the statutory requirement" language found in *Kiamesha Dev. Corp. v Guild Props.* (4 NY2d 378 [1958]) to state definitively that there can be no de facto corporation here because there was no "colorable attempt." In my view, that case, interesting in its facts, should be limited to them.

In New York, it is clear that if there is no attempt to formally organize, there will be no de facto corporation. Here, however, the organization of the LLC was complete. The record shows that the incorporators prepared and executed the articles of organization as required under Limited Liability Company Law § 203. They also executed and adopted the required operating agreement for the LLC pursuant to Limited Liability Company Law § 417 (a). Those documents reveal that the LLC was organized "solely to own, operate or manage real property and to do any and all things necessary, convenient, or incidental to that purpose." Pursuant to that purpose, the LLC took title as grantee to the real property in the name of the LLC. And it was the decedent as grantor who executed the deed naming the LLC the grantee. Two weeks after the deed was executed—a reasonable period—the articles of organization were filed with the

Secretary of State. The related ancillary papers, including a New York City real property transfer tax return as well as city and state transfer tax returns, which named the LLC as grantee, were executed and filed as required.

Under the circumstances of this case, I would find that the incorporators acted with sufficient alacrity to comply with the statutes, and would therefore find the conveyance to the de facto entity that existed at that time valid.

Therefore, I would reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to reverse in a separate opinion.

Order affirmed, etc.

[920 NE2d 939, 892 NYS2d 832]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PHILLIP
RIBACK, Appellant.

Argued October 22, 2009; decided December 1, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered December 24, 2008. The Appellate Division (1) modified, as a matter of discretion in the interest of justice, a judgment of the Albany County Court (Stephen W. Herrick, J.), which had convicted defendant, upon a jury verdict, of sodomy in the first degree, sexual abuse in the first degree (nine counts), course of sexual conduct against a child in the second degree (two counts), endangering the welfare of a child (11 counts), forcible touching (two counts), sexual abuse in the second degree (two counts) and sexual abuse in the third degree; and (2) affirmed an order of that court which had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment of conviction, without a hearing. The modification consisted of reversing so much of the judgment as imposed an aggregate prison term of 48 years and resentencing defendant to an aggregate prison term of 20 years. The Appellate Division affirmed the judgment as modified.

People v Riback, 57 AD3d 1209, reversed.

HEADNOTES

Appeal — Court of Appeals — Preservation of Issue for Review

1. The Court of Appeals may resolve “any question of law involving alleged error . . . in the criminal court proceedings . . . *regardless* of whether such question was raised . . . upon the appeal to the intermediate appellate court” (CPL 470.35 [1] [emphasis added]). For purposes of determining whether the Court may reach an alleged trial error, the only relevant consideration is whether the specific issue was presented to the trial court for decision.

Appeal — Court of Appeals — Preservation of Issue for Review

2. In the prosecution of defendant neurologist stemming from his alleged sexual contact with young male patients, because defense counsel did not object when the prosecutor asked the prosecution's expert psychologist to define the term “ephebophilia,” defendant's argument to the Court of Appeals—that the testimony was not helpful to the jury and was potentially very prejudicial—was unpreserved for review. Defendant did, however, preserve this argument with respect to the expert's testimony on the meaning of “sexual fetish” and “pedophilia.” Defense counsel objected after the judge's on-the-record explanation of why he decided to allow the People to “inquire

into the area of sexual fetish,” and also after a discussion regarding the permissible extent of the expert’s testimony about “pedophilia.” Although the objections were general in nature, the judge’s rulings only made sense as a response to arguments that the expert’s testimony about “sexual fetish” and “pedophilia” would not be helpful to the jury and was potentially very prejudicial.

Crimes — Witnesses — Expert Witness

3. In the prosecution of defendant neurologist stemming from his alleged sexual contact with young male patients, the trial judge did not err when he allowed the prosecution’s expert psychologist to explain what the term “sexual fetish” meant and to give some examples, none of which described any specific behavior that defendant was alleged to have exhibited. This testimony was beyond the ken of the average juror and was arguably useful to the jurors in their evaluation of the evidence.

Crimes — Witnesses — Expert Witness

4. In the prosecution of defendant neurologist stemming from his alleged sexual contact with young male patients, the trial judge should not have allowed the prosecution’s expert psychologist to define “pedophilia” and the “central characteristics” of a “pedophile.” This testimony became a springboard for the prosecutor to venture well beyond the evidence and the bounds of fair comment during his summation.

Crimes — Argument and Conduct of Counsel

5. In the prosecution of defendant neurologist stemming from his alleged sexual contact with 14 young male patients, the prosecutor’s numerous summation misstatements of fact and law, when combined with the prosecutor’s opinion that defendant’s acts were those of a pedophile, rose to such a level that defendant was deprived of a fair trial. The prosecutor suggested to the jurors that defendant had sexually abused dozens of victims, and these crimes had not been charged only because many parents were understandably unwilling to subject their children to the rigors of a trial. No evidence supported this suggestion, which was irrelevant to the charges against defendant even if true. Further, the prosecutor invited the jury to conclude that one boy’s grand jury testimony recounted sexual abuse and that his lapse of memory on the witness stand showed how hard it was for children to acknowledge or disclose what defendant had done to them. Moreover, the prosecutor’s comments to the effect that the case was not “complex” potentially diverted the jurors from the obligation to consider defendant’s guilt or innocence as to each crime charged with respect to each child. Finally, the prosecutor intimated that defendant was exploiting his wealth to engineer a sympathetic jury, and that the jurors should not let him get away with it. Notwithstanding that County Court repeatedly sustained defense counsel’s objections during the prosecutor’s summation, and instructed the jury to disregard parts of it, given the inflammatory nature of the charges, there was a reasonable possibility that this prosecutorial misconduct contributed to the verdict. Accordingly, the judgment of conviction was reversed and a new trial ordered.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Expert and Opinion Evidence §§ 3–6, 117–122, 157, 179; AM JUR 2d, Trial §§ 463, 464, 510, 532, 545, 551, 588.

McKINNEY's, CPL 470.35 (1).

NY JUR 2d, Criminal Law: Procedure §§ 2191, 2192, 2207, 2658, 2668, 2671, 2674, 3462, 3463, 3468, 3637, 3640, 3642.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Arguments of Counsel; Criminal Procedure Rules; Expert and Opinion Evidence; New Trial.

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POINTS OF COUNSEL

Stillman, Friedman & Shechtman, P.C., New York City (*Paul Shechtman* of counsel), for appellant. I. The trial court erred in allowing a prosecution expert to testify to the meaning of “pedophilia,” “ephebophilia” and “sexual fetish.” (*People v Taylor*, 75 NY2d 277; *People v Molineux*, 168 NY 264; *People v Zackowitz*, 254 NY 192; *Gersten v Senkowski*, 299 F Supp 2d 84; *United States v Anderson*, 851 F2d 384.) II. The prosecutor’s summation deprived Dr. Riback of a fair trial. (*People v Calabria*, 94 NY2d 519; *People v Zimmer*, 51 NY2d 390; *People v Damon*, 24 NY2d 256; *People v Barber*, 13 AD3d 898; *People v Carney*, 222 AD2d 1006; *People v Mezon*, 80 NY2d 155; *People v Nazario*, 168 AD2d 643; *Kellogg v Skon*, 176 F3d 447; *People v Resek*, 3 NY3d 385; *People v Mendez*, 22 AD3d 688.)

P. David Soares, District Attorney, Albany (*Brett M. Knowles* of counsel), for respondent. I. The trial court did not err in allowing a prosecution expert to define “pedophilia,” “ephebophilia” and “sexual fetish.” (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Attorney Gen. of State of N.Y. v Firetog*, 94 NY2d 477; *People v Clarke*, 81 NY2d 777; *People v Liccione*, 50 NY2d 850; *People v McDowell*, 47 NY2d 858; *People v Ross*, 21 NY2d 258; *People v Tevaha*, 84 NY2d 879; *Matter of Gonzalez v State Liq. Auth.*, 30 NY2d 108; *People v Vidal*, 26 NY2d 249; *Wightman v Campbell*, 217 NY 479.) II. Reversal is not warranted because of alleged prosecutorial misconduct. (*People v De Vito*, 21 AD3d 696; *People v Tarantola*, 178 AD2d 768, 79 NY2d 954; *People v Ashwal*, 39 NY2d 105; *People v Hardy*, 34 AD2d 843; *People v Patterson*, 88 AD2d 694, 59 NY2d 794; *People v Marks*, 6 NY2d 67; *People*

v McMillan, 66 AD2d 830; *People v Demming*, 116 AD2d 886, 67 NY2d 941; *People v Konigsberg*, 137 AD2d 142, 72 NY2d 912; *People v Broady*, 5 NY2d 500.)

OPINION OF THE COURT

READ, J.

In late 2002, defendant Phillip Riback, a pediatric neurologist, was charged with criminal conduct involving sexual contact with 14 young male patients whom he treated between 1997 and 2002. There was extensive media coverage of defendant's arrest and the charges he faced. At a lengthy trial in June 2004, the prosecution presented testimony from the 14 boys and their parents; the two police investigators who interviewed these children; a medical conduct investigator for the New York State Department of Health; a pediatric neurologist; and Dr. Richard Hamill, a psychologist who oversees one of the State's largest sex offender treatment programs. The defense called personnel from defendant's medical practice—the administrator, nursing supervisor, medical secretary, and defendant's secretary; and the parents of four other boys whom defendant had treated. Defendant did not testify. The defense theory, pursued through cross-examination of the People's witnesses and in defendant's direct case, was that any unusual behavior that defendant displayed toward his patients was designed to create rapport and put them at ease; and that the most damning accusations made against him were the distorted or mistaken product of suggestive and coercive questioning by parents and police.

The jury convicted defendant of 12 felonies and 16 misdemeanors, and County Court imposed a determinate sentence of 48 years of imprisonment and five years of postrelease supervision. Defendant then moved pursuant to Criminal Procedure Law § 440.10 to vacate the judgment of conviction and sentence based upon evidence turned up during discovery in follow-on civil litigation and his posttrial diagnosis with Asperger's syndrome. County Court issued an order denying the motion, and the Appellate Division granted defendant permission to appeal the order, which was consolidated with his direct appeal. The Appellate Division subsequently affirmed both the judgment and the order, with one Justice dissenting as to the judgment (57 AD3d 1209 [2008]). The court exercised its interest-of-justice jurisdiction to reduce defendant's sentence to 20 years, and the dissenting Justice granted defendant leave to appeal to us. We now reverse.

[1] Defendant advances two arguments: that the trial court erred by allowing Dr. Hamill to testify about the meaning of the terms “pedophilia,” “ephebophilia,” and “sexual fetish”; and that the prosecutor’s summation deprived defendant of a fair trial. In addition to disputing both propositions on the merits, the People contend that defendant abandoned his argument about the admissibility of Dr. Hamill’s testimony when he did not press it in the Appellate Division, and, in any event, that defendant did not preserve this claim for appellate review by making a specific objection at trial (*see* CPL 470.05 [2]).

We may resolve “any question of law involving alleged error . . . in the criminal court proceedings . . . *regardless* of whether such question was raised . . . upon the appeal to the intermediate appellate court” (CPL 470.35 [1] [emphasis added]; *see People v Colon*, 71 NY2d 410, 413 n 1 [1988]). For purposes of determining whether we may reach the alleged trial error in this case, the only relevant consideration is whether the specific issue was presented to the trial court for decision.

[2] Here, defense counsel did not object when the prosecutor asked Dr. Hamill to define the term “ephebophilia.” As a result, defendant’s argument to us—that the trial judge erred when he allowed this testimony because it was not helpful to the jury and was potentially very prejudicial—is not preserved for our review. Defendant did, however, preserve this argument with respect to Dr. Hamill’s testimony on the meaning of “sexual fetish” and “pedophilia.” This is apparent from the judge’s on-the-record explanation—after untranscribed conferences with the attorneys to hash out the scope of Dr. Hamill’s testimony—of why he decided to allow the People to “inquire into the area of sexual fetish,” which was followed by a discussion regarding the permissible extent of Dr. Hamill’s testimony about “pedophilia.” Defense counsel objected after the explanation, and again after the discussion. Although these objections were general in nature, the judge’s rulings only make sense as a response to arguments that Dr. Hamill’s testimony about “sexual fetish” and “pedophilia” would not be helpful to the jury and was potentially very prejudicial.

[3, 4] As to the merits, we conclude that the trial judge did not err when he allowed Dr. Hamill to explain what the term “sexual fetish” means and to give some examples, none of which described any specific behavior that defendant was alleged to have exhibited. This testimony, which County Court took obvious care to circumscribe, was beyond the ken of the average

juror and was arguably useful to these jurors in their evaluation of the evidence. We conclude, however, that the trial judge should not have allowed Dr. Hamill to define “pedophilia” and the “central characteristics” of a “pedophile.” Unfortunately, it is difficult to imagine that this information was unknown to the jurors. Whether this error alone would cause us to reverse the judgment in this case is beside the point, though, because this testimony became a springboard for the prosecutor to venture well beyond the evidence and the bounds of fair comment during his summation.

The prosecutor told the jurors that they “heard the definition of a pedophile, didn’t you? Did you hear the definition of a pedophile from Dr. Richard Hamill? [Defendant] can’t stop.” A little later he again linked defendant and the word “pedophile,” reminding the jurors that they “heard the definition of pedophile. He’s having sex with boys in his office. He’s not concentrating on medicine. He’s not concentrating on medical questions. He’s concerned with gratifying his own sexual desire.”

Over objection and for a limited purpose, the trial judge allowed one of the police investigators to tell the jury that she interviewed 49 boys whom defendant had treated. In summation, the prosecutor parlayed this information into the following:

“[PROSECUTOR]: [The police investigator] told you that 49 interviews had taken place, and she said some of the—they’re only charges because she talked to the parents, and the parents didn’t want to put their children through this. You got 15 sets of parents out here right now who are probably thinking the same thing after they heard what’s going on this week.”

“[DEFENSE COUNSEL]: Objection, Your Honor.

“THE COURT: Sustained, stricken. Disregard that, ladies and gentlemen.

“[PROSECUTOR]: Do you blame those parents?

“[DEFENSE COUNSEL]: Objection, objection.

“[PROSECUTOR]: Who doesn’t want [not] to put their children through this?

“[DEFENSE COUNSEL]: Objection, objection.

“THE COURT: Sustained, sustained. Move on.”

This passage suggested to the jurors that defendant had sexually abused dozens of victims, and that these crimes had not been charged only because many parents were understandably unwilling to subject their children to the rigors of a trial. No evidence supported this suggestion, which was irrelevant to the charges against defendant even if true.

Further, one of the 14 boys recalled nothing except that defendant tickled him during examinations that took place roughly three years before the trial. When offered a copy of his grand jury testimony, this witness said the minutes would not refresh his recollection; that he couldn't “really remember anything about” any of his visits to defendant's office; and that “[i]t's just foggy.” Although the charges related to this boy were subsequently dismissed, the prosecutor placed an incriminating gloss on his appearance on the witness stand:

“I picked up a copy of [the boy's] Grand Jury testimony, which says what he told the police happened to him with [defendant], and I said, I'll give you a copy of this piece of paper with the words on it from the Grand Jury; will that help you remember what's going on[?] [The boy] says, no. [The boy] didn't want to remember, doesn't want to remember. He wants it to go away . . .

“Does that give you an idea of how difficult it is to walk into a courtroom when you're fourteen or twelve or ten, place your hand on the Bible . . . in front of fifteen strangers, and talk about what happened to you at the hands of that man? That is a little hint about what it's like.”

Thus, the prosecutor invited the jury to conclude that the boy's grand jury testimony recounted sexual abuse and that his lapse of memory showed how hard it was for children to acknowledge or disclose what defendant had done to them.

The prosecutor also advised the jury that the case was not “complex” even though there were “a lot of kids” because

“[a]ll you have to do is believe one kid. You believe one child, and it's over, because this huge grand conspiracy . . . , it's a house of cards . . .

“If you believe one child, you can believe all.”

These comments potentially diverted the jurors from their obligation to consider defendant's guilt or innocence as to each

crime charged with respect to each child. And although it was the prosecutor who persuaded County Court to sharply limit the number of parents of former patients testifying on defendant's behalf, he remarked to the jury "Congratulations. They found four patients he didn't molest." Finally, the prosecutor observed, "[g]et enough lawyers involved and jury consultants to make sure they pick the perfect jury." This intimated that defendant was exploiting his wealth to engineer a sympathetic jury, and that the jurors should not let him get away with it.

[5] As the dissenting Justice in the Appellate Division put it, these numerous "summation misstatements of fact and law . . . when combined with the opinion by the prosecutor that defendant's acts were those of a pedophile . . . rose to such a level that defendant was deprived of the fair trial to which he was entitled" (*People v Riback*, 57 AD3d 1209, 1220 [3d Dept 2008, Malone, J., dissenting]). We recognize that County Court repeatedly sustained defense counsel's objections during the prosecutor's summation, and instructed the jury to disregard parts of it. After a certain point, though, the cumulative effect of a prosecutor's improper comments during summation may overwhelm a defendant's right to a fair trial (*see People v Calabria*, 94 NY2d 519, 523 [2000]). Given the inflammatory nature of the charges in this case, there was a reasonable possibility that this prosecutorial misconduct contributed to the verdict.

Accordingly, the order of the Appellate Division should be reversed, and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[921 NE2d 140, 893 NYS2d 448]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MIGUEL
ALEMANY, Respondent.

Argued October 13, 2009; decided November 23, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 6, 2008. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Michael R. Ambrecht, J.), which had adjudicated defendant a level two sex offender pursuant to the Sex Offender Registration Act (Correction Law art 6-C). The modification consisted of reducing the classification to that of a level one sex offender.

People v Alemany, 56 AD3d 251, reversed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Homelessness as Inappropriate Living Situation under “Living or Employment Situation” Risk Factor

In light of the clear and convincing evidence that defendant, a convicted sex offender covered under the Sex Offender Registration Act (SORA) (Correction Law art 6-C), was undomiciled and lacked any history of living in shelters or community ties, the SORA hearing court properly assessed him 10 points for an inappropriate living situation under risk factor 15 of the risk assessment instrument. Although the SORA Guidelines, with respect to the assessment of points under risk factor 15, state simply that the “offender’s living or employment situation is inappropriate (10 pts),” the accompanying commentary expands on the meaning of “inappropriate” by explaining that sex offenders are more likely to reoffend if their “release environment gives them access to victims or a reduced probability of detection.” A sex offender who has no address, does not frequent a shelter or participate in any community programs and is unemployed is more difficult for law enforcement authorities to locate. Such a living situation presents a “reduced probability of detection” because the inability to find a sex offender reduces law enforcement authorities’ capacity to discover or investigate any future crimes the sex offender might commit, to connect the offender to those crimes, or to apprehend the offender. There is no per se rule, however, that a sex offender who is homeless must always be assessed points under risk factor 15, as there may be evidence in an individual case that the offender has a history of living in shelters, or community ties.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 137, 139.

NY JUR 2d, Penal and Correctional Institutions §§ 316–322.

ANNOTATION REFERENCE

State statutes or ordinances requiring persons previously convicted of crime to register with authorities. 36 ALR5th 161.

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POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (Aaron Ginandes and Grace Vee of counsel), for appellant. In view of the clear and convincing evidence that defendant would be undomiciled and have no community ties or support upon his release from incarceration, the hearing court properly assessed defendant 10 points under factor 15 of the risk assessment instrument on the basis that defendant's living situation was inappropriate. (*People v Buss*, 11 NY3d 553; *People v Stevens*, 91 NY2d 270; *Doe v Pataki*, 120 F3d 1263; *People v Windham*, 10 NY3d 801; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Smith*, 11 NY3d 797; *Addington v Texas*, 441 US 418; *People v Geraci*, 85 NY2d 359; *Colorado v New Mexico*, 467 US 310; *Matter of Philip*, 50 AD3d 81; *Matter of Stavisky v Koo*, 54 AD3d 432.)

Legal Aid Society, Criminal Appeals Bureau, New York City (Denise Fabiano and Steven Banks of counsel), for respondent. The Appellate Division agreed with the hearing court that respondent was homeless and, therefore, made no new findings of fact, instead finding that the prosecution failed to show that, based on the totality of the circumstances, respondent's living situation was "inappropriate" within the meaning of the Sex Offender Registration Act (SORA) Guidelines, a finding amply supported by the record. Furthermore, the adoption of the hearing court's per se rule, as appellant urges, that homelessness automatically results in the assessment of points for an inappropriate living situation defies the clear intent of the SORA Guidelines and violates due process. (*Matter of Buchanan v Espada*, 88 NY2d 973; *People v David W.*, 95 NY2d 130; *E.B. v Verniero*, 119 F3d 1077; *Doe v Pataki*, 3 F Supp 2d 456; *Addington v Texas*, 441 US 418; *Matter of Poldrugovaz*, 50 AD3d 117; *Colorado v New Mexico*, 467 US 310; *Matter of Westchester County*

Med. Ctr. [O'Connor], 72 NY2d 517; *People v Burden*, 6 Misc 3d 1033[A], 2005 NY Slip Op 50286[U]; *People v Di John*, 48 AD3d 1302.)

OPINION OF THE COURT

READ, J.

We are asked to decide whether homelessness may be considered an inappropriate living situation within the meaning of risk factor 15 of the risk assessment instrument (RAI) used to rate the threat to the community posed by a defendant covered under the Sex Offender Registration Act (SORA) (Correction Law art 6-C). We hold that a hearing court may assess points under this risk factor where there is clear and convincing evidence that the defendant is undomiciled and lacks any history of living in shelters or community ties. Because there was such clear and convincing evidence in this case, Supreme Court properly adjudicated defendant Miguel Alemany a level two sex offender.

I.

At approximately 6:30 P.M. on November 29, 2005, defendant was riding a bicycle toward a woman who was jogging on the bridle path in Central Park in Manhattan. After he passed her, defendant got off the bicycle, made kissing noises, and then lunged at the woman and attempted to grab her thighs. She managed to escape defendant's grasp and ran away, with defendant in pursuit for a short distance. The woman hurried to the Central Park Police Precinct, where she reported this encounter.

She then accompanied three police officers as they patrolled the park by car, looking for defendant. They soon spotted him running down another woman on his bicycle. The police stopped defendant and arrested him; this second female was crying hysterically and shaking. Defendant admitted to the police that he had gone to Central Park to "have sex with a woman by force" because he was angry that his girlfriend had cheated on him. Defendant also told the police that he had chased after a third woman, who got away from him.

Defendant was charged in a felony complaint with two counts of attempted rape in the first degree (Penal Law §§ 110.00, 130.35 [1]), and one count of resisting arrest (Penal Law § 205.30). Prior to his arraignment on November 30, 2005, an interviewer from the New York City Criminal Justice Agency (CJA) assessed defendant's risk of flight. The CJA interviewer's

report stated that defendant had been homeless for two years; did not “report a NYC area address”; did not “have a working telephone in residence/cell phone”; provided “no contacts” to CJA; was unemployed; did not have “other sources of financial support”; and did not “provide support for others.” Accordingly, defendant was “not recommended for ROR” (i.e., release on recognizance) because he was a “high risk for FTA” (i.e., failure to appear).

On January 17, 2006, defendant signed a written waiver of indictment, and agreed to be prosecuted on a superior court information charging him with attempted first-degree sexual abuse (Penal Law §§ 110.00, 130.65 [1]). That same day, defendant pleaded guilty to this crime in exchange for a sentence of six months in jail, to run concurrently with a 10-year period of probation. Defendant was informed that as a consequence of his plea he would be required to register as a sex offender pursuant to SORA.

Supreme Court put over sentencing in order for a presentence report (PSR) to be prepared by the New York City Department of Probation. The probation officer who interviewed defendant on January 17, 2006 noted on the PSR that he “appear[ed] to have minimal community ties, reporting that he [was] undomiciled and unemployed”; and “reported that he [was] currently undomiciled and was unable to provide an address or a shelter as to where he was residing.”

Prior to the SORA hearing, the People prepared and provided the court and defendant with the RAI, as required by Correction Law § 168-d (3). The People sought to assess defendant 75 points on the RAI, thus classifying him presumptively as a level two sex offender. As relevant here, the People assigned defendant 10 points under risk factor 15, “Living or Employment Situation” in the SORA Guidelines promulgated by the Board of Examiners of Sex Offenders (the Board). These 10 points were critical because a score of 70 or less on the RAI results in a presumptive risk assessment of level one.

With respect to risk factor 15, the SORA Guidelines state simply that the “offender’s living or employment situation is inappropriate (10 pts).” The accompanying commentary expands on the meaning of “inappropriate” as follows:

“Many sex offenders are opportunistic criminals whose likelihood of reoffending increases when their release environment gives them access to victims or

a reduced probability of detection. An example of an offender in an inappropriate work situation is a child molester employed in an arcade or as a school bus driver. If the same offender were to live near an elementary school playground, his living environment would be inappropriate. An offender is assessed 10 points in this category if either his work or living environment is inappropriate” (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary [SORA Commentary], at 17-18 [2006] [citation omitted]).

At the SORA hearing on February 17, 2006, defense counsel asserted that defendant should not be assigned points under risk factor 15. First, he stated his “understanding that . . . defendant has been advised that when he is released, that he should go to the Bellevue men’s shelter as he has no other place to live and then he will be working with [a community organization] to try to find him employment.” He argued that risk factor 15 was limited to “living in a place, where there is for example a child or living with someone who had been abused in the past.”

The People advanced a less restrictive reading of risk factor 15. The prosecutor noted that “defendant was known to be prior to this case basically homeless and not working”; further, although “[t]he commentary in the sex offender guidelines” talks about

“living situations or work situations that give defendant[s] access to victim[s] . . . [it] also talks about situations where there is a reduced probability of [detection] and given that [defendant] has no community ties, if he were to . . . commit this type of crime again, there is a reduced possibility of detection because he will be hard to locate [which] is a factor . . . relevant to whether he poses a risk.”

Defense counsel countered that when the SORA Commentary on risk factor 15 refers to “a reduced probability of detection,” this means only that a defendant “will . . . be in a certain situation where because of his relationship with possible victims, that will never be detected not because someone is homeless but because someone lives in the type of situation for example, [with] a niece and it will not be detected.” He further argued that homelessness was relevant to whether defendant would be “adequately supervised,” which was covered by a different risk

factor in the RAI, and “here[,] in fact, [defendant] is given five additional points [under risk factor 14] because while he will be released with supervision, and not released with no supervision, he won’t be released with specialized supervision. So he already is being given points because he has a somewhat precarious supervision situation.”

Supreme Court then asked if either attorney wanted an evidentiary hearing. When both responded negatively, the judge said that he “would like an opportunity to reflect on the arguments put forward” prior to making his decision.

At the next court appearance on March 3, 2006, Supreme Court summarized the arguments made by both defense counsel and the prosecutor at the SORA hearing relative to risk factor 15; discussed a case cited by defense counsel as well as another case; and noted that he had reviewed the SORA Guidelines and Commentary. Having “fully considered” the arguments, the judge adjudicated defendant a level two sex offender. Explaining his decision, he stated that “the fact that . . . defendant is undomiciled creates a very difficult situation as far as the probability of detection for any violations,” and that there was no reason for a downward departure from the presumptive risk level. On March 10, 2006, Supreme Court imposed the agreed-upon sentence on defendant.

Defendant subsequently appealed his classification as a level two sex offender. On November 6, 2008, the Appellate Division modified Supreme Court’s order “on the law” by reducing defendant’s classification to level one. Citing *People v Ruddy* (31 AD3d 517 [2d Dept 2006], *lv denied* 7 NY3d 714 [2006]), a case handed down after Supreme Court’s SORA determination here, the Court reasoned that

“[t]he evidence established that, at most, defendant’s future living situation was uncertain in that, although he was described as homeless at the time of his arrest, upon his release from incarceration under the supervision of the Department of Probation, he was advised to go to the Bellevue men’s shelter where he would be assisted by a community organization in trying to find employment. This was insufficient as a matter of law to meet the People’s burden of showing, by clear and convincing evidence, that defendant’s living situation was inappropriate” (*People v Alemany*, 56 AD3d 251 [1st Dept 2008]).

We subsequently granted the People leave to appeal (12 NY3d 704 [2009]), and now reverse.

II.

The “primary government interest” underlying SORA is “protecting vulnerable populations[,] and in some instances the public, from potential harm” posed by sex offenders (L 1995, ch 192, § 1 [“Legislative purpose or findings”]; *see also People v Mingo*, 12 NY3d 563, 574 [2009]). To safeguard this interest, the Legislature sought to furnish law enforcement with sufficient information to track and monitor a sex offender’s whereabouts (*see e.g.* Correction Law § 168-b [1] [a]; § 168-c [2]; § 168-d [2]; § 168-e [1]; §§ 168-f, 168-j, 168-k). Concomitantly, the Board recognizes that sex offenders are more likely to reoffend if their living situation upon release “gives them access to victims or a reduced probability of detection” (SORA Commentary, at 17 [risk factor 15]).

Defendant interprets risk factor 15 as limited to a living situation that “gives [a sex offender] access to victims or opportunities to perpetrate crimes *out of the public eye* with the accompanying reduced probability of detection” (emphasis added), citing as an example a case where a child molester planned to reside with small children who were family members. The SORA Commentary gives a different example—i.e., a child molester “liv[ing] near an elementary school playground” (*id.* at 18). What both illustrations have in common is proximity to potential victims, not an increased risk that any future crimes may go unreported because of the setting in which they are carried out.

We see no reason to interpret “reduced probability of detection” to mean only access to victims, whether or not “out of the public eye.” A sex offender who has no address, does not frequent a shelter or participate in any community programs and is unemployed is, for these reasons, more difficult for law enforcement authorities to locate. This living situation presents a “reduced probability of detection” because the inability to find a sex offender reduces law enforcement authorities’ capacity to discover or investigate any future crimes the sex offender might commit, to connect him to those crimes, or to apprehend him. And a lessened likelihood of getting caught is thought to increase the risk of recidivism. Finally, our interpretation is consistent with SORA’s overall concern with keeping track of sex offenders, and does not create any overlap between risk

factors 15 and 14, as defendant claims. The latter assigns points depending on the existence and specialization of supervision afforded a sex offender upon his release into the community, independent of his living situation (*see* SORA Commentary, at 17 [risk factor 14]).

Here, there was clear and convincing evidence that defendant was homeless and lacked any history of living in shelters or community ties. Specifically, the CJA interviewer's report, based on information provided by defendant himself, indicated that he had been homeless for two years, that he could not provide a "NYC area address" where he resided, that he did not have a residential or cell phone, and that he furnished "no contacts" to the CJA. Similarly, the PSR stated that defendant "report[ed] that he [was] undomiciled and unemployed" and was "currently undomiciled and . . . unable to provide an address or a shelter as to where he was residing."

Moreover, this evidence was not negated by defense counsel's professed "understanding" that defendant had been "advised" to go to the Bellevue men's shelter upon his release. As the Board has explained, the "Release Environment" section of the SORA Guidelines, which includes risk factor 15, "will involve an assessment of the offender's planned work and living arrangements upon his release from custody. Because those arrangements are prospective and can readily change, the Board chose not to weigh this section as heavily as others in the assessment instrument" (SORA Commentary, at 6). In short, the uncertainty inherent in a sex offender's future living arrangements has been taken into account in the weight afforded factor 15; it is not a reason to disregard factor 15 in an individual case. And as the People point out, an anomaly would be created if a sex offender planning a stable living situation may be assessed points under risk factor 15, depending upon the particular circumstances, but a homeless sex offender may never be assessed points under this risk factor simply because he might someday choose to live in a shelter.

Finally, we emphasize that we are not creating any per se rule such that a sex offender who is homeless must always be assessed points under risk factor 15. In an individual case, there may be evidence that a sex offender has a history of living in shelters, or community ties. In *Ruddy*, for example, the defendant had been renting a room and living in a "sober house" at the time of his arrest. Furthermore, the defendant stated that, upon his release from prison, he intended to resume living at

the sober house, assuming that his room had not been rented to someone else. But he also informed the probation officer that, in the event he could not return to the sober house, he would find housing in a shelter (*Ruddy*, 31 AD3d at 518-519 [Rivera, J., dissenting]). That is, the defendant's living situation was "uncertain" in *Ruddy* because it was not known at the time of the SORA hearing whether he would be living in the sober house or a shelter upon his release from incarceration; there was no evidence showing that he would likely live on the streets after he left prison, as was the case here.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the order of Supreme Court reinstated.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[920 NE2d 930, 892 NYS2d 823]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SIMON
SAMANDAROV, Appellant.

Argued October 21, 2009; decided November 24, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 12, 2008. The Appellate Division affirmed (1) a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the second degree, criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree (two counts); and (2) an order of that court which had denied, without a hearing, defendant's motion pursuant to CPL 440.10 to vacate the judgment of conviction.

People v Samandarov, 56 AD3d 575, affirmed.

HEADNOTES

Crimes — Verdict — Setting Verdict Aside — Improper Conduct by Juror

1. In the prosecution of defendant for attempted murder and related crimes, defendant's motion to set aside the verdict pursuant to CPL 330.30 (2) on the ground of "improper conduct on the part of a member of the jury" was properly denied without a hearing. The motion was based on a newspaper article and on information given to defense counsel by an unnamed "neighbor" said to be a "co-worker" of the foreperson of the jury indicating that the jury was aware that the defendant may have been involved with organized crime activities and that the jury was worried about and preoccupied with such involvement. Defendant did not submit enough proof of juror misconduct to warrant a hearing. Defendant submitted nothing to show that jurors had received from outside the courtroom any information about an allegedly related murder of the victim's cousin or any other alleged organized crime activities. The evidence showed at best that jurors had speculated among themselves that the case had organized crime connections—and the nature of the case almost invited that sort of speculation. The danger was so obvious that defendant chose to bring it up in voir dire and defense counsel returned to the theme during trial. If the jurors did converse among themselves about organized crime, there was no reason to think that anything outside the courtroom prompted that conversation. Absent some outside influence on the jurors, the record provided no ground for impeaching their verdict.

Crimes — Vacatur of Judgment of Conviction — Failure to Produce Rosario Material

2. Defendant's motion pursuant to CPL 440.10 to vacate his conviction of attempted murder and related crimes on the ground that the People had

violated their duty under *People v Rosario* (9 NY2d 286 [1961]) by failing to turn over to defendant statements made by a key prosecution witness to the police before trial was properly denied without a hearing. Although the witness testified at trial that he had been interviewed only once before trial, and notes of the police interview on the night of the crime were turned over to the defense as *Rosario* material, defendant tried to show that police officers had also taken part in one or two later interviews, and that a police officer had taken notes at those interviews that had not been turned over. Notwithstanding that the witness stated, in his first affidavit, that police officers visited him on one or two occasions in addition to their visit on the day of the crime, a contemporaneous record showed that the police closed the case that day. The courts below reasonably discounted the witness's original recollection that a "Detective" took notes on a "spiral pad" at each interview, for that was contradicted not only by the witness's second affidavit but by the detailed accounts of the meetings by the Assistant District Attorney responsible for the case and her two colleagues, all of whom swore that no police officer was present, and that they had no spiral pads and took no notes. The likelihood was overwhelming that the witness, in his first affidavit, simply erred in thinking that the police detective and the spiral pad that he saw on the day of the crime were also present at the later interviews.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1182–1184; AM JUR 2d, Depositions and Discovery §§ 264, 275; AM JUR 2d, Trial §§ 1301–1308, 1392, 1633, 1659, 1661.

CARMODY-WAIT 2d, Discovery §§ 187:104, 187:118–187:120; CARMODY-WAIT 2d, Verdict and Postverdict Proceedings §§ 202:30, 202:33, 202:34, 202:57; CARMODY-WAIT 2d, Postjudgment Motions §§ 205:7, 205:14, 205:15, 205:29, 205:76.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.9, 24.10.

McKINNEY's, CPL 330.30 (2); 440.10.

NY JUR 2d, Criminal Law: Procedure §§ 1716, 1721, 2856, 2859, 2864, 2866, 2867, 2869, 3387, 3399, 3429.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Discovery; Jury Trials.

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Database: NY-ORCS

Query: proof /4 juror /2 misconduct /p outside /2 influence
& set /2 aside /s verdict

POINTS OF COUNSEL

Law Office of Ronald L. Kuby, New York City (*Ronald L. Kuby* of counsel), for appellant. I. The trial court erred in denying

defendant's CPL 440.10 motion without a hearing. The motion alleged the *Rosario* material from the People's crucial witness, Jose Ramirez, had not been provided to the defense. (*People v Castillo*, 34 AD3d 221, 8 NY3d 879; *People v Campbell*, 7 AD3d 409, 3 NY3d 672; *People v Poole*, 48 NY2d 144; *People v Baxley*, 84 NY2d 208; *People v Brown*, 56 NY2d 242; *People v Farrell*, 207 AD2d 560; *People v Rahman*, 231 AD2d 745; *People v Robles*, 194 AD2d 750; *People v Olivieri-Perez*, 248 AD2d 645, 91 NY2d 1011; *People v Bacchi*, 186 AD2d 663, 81 NY2d 760.) II. The jurors' speculation about defendant's link to the Eduard Nektalov murder and Russian organized crime, and the jurors' fears of the courtroom audience looking at their faces may have prejudiced substantial rights of defendant and the trial court abused its discretion by denying the CPL 330.30 (2) motion without a hearing. (*People v Gardella*, 55 AD2d 607; *People v Shuler*, 55 AD2d 609; *People v Magnano*, 175 AD2d 639, 79 NY2d 860; *People v Rivera*, 304 AD2d 841; *People v Lavender*, 117 AD2d 253, 68 NY2d 995; *People v Maragh*, 94 NY2d 569; *People v Brown*, 48 NY2d 388.)

Richard A. Brown, District Attorney, Kew Gardens (*Laura T. Ross* and *John M. Castellano* of counsel), for respondent. I. The Appellate Division correctly held that defendant was not entitled to a hearing on his CPL 440.10 motion, because defendant failed to proffer sufficient support for his claim that a *Rosario* violation occurred and that he was prejudiced. (*People v Poole*, 48 NY2d 144; *People v Session*, 34 NY2d 254; *People v Brown*, 56 NY2d 242; *People v Baxley*, 84 NY2d 208; *People v Friedgood*, 58 NY2d 467; *People v Farrell*, 207 AD2d 560; *People v Rahman*, 231 AD2d 745; *People v Robles*, 194 AD2d 750; *People v Poole*, 48 NY2d 144; *People v Machado*, 90 NY2d 187.) II. Defendant's allegations of juror misconduct, which contained no sworn allegations of fact from anyone having personal knowledge, were not sufficient to warrant a hearing. Further, defendant could not show that any outside influence was at work in the jurors' deliberations, or that defendant was prejudiced. (*People v Friedgood*, 58 NY2d 467; *People v Covington*, 44 AD3d 510; *People v Taus*, 280 AD2d 499; *People v Boddie*, 240 AD2d 155; *People v Nolan*, 268 AD2d 601; *People v Kerner*, 299 AD2d 913; *Alford v Sventek*, 53 NY2d 743; *People v Brown*, 48 NY2d 388; *People v Maragh*, 94 NY2d 569; *People v Testa*, 61 NY2d 1008.)

OPINION OF THE COURT

SMITH, J.

We hold that Supreme Court acted within its discretion in denying without a hearing defendant's post-trial motions alleging juror misconduct and a *Rosario* violation.

I

Defendant was convicted of attempted murder, second degree assault and weapons offenses based on the shooting of Alik Pinhasov. The key witnesses at trial were Pinhasov and Jose Ramirez. Pinhasov testified that defendant shot him. Ramirez, who lived across the street from the place where the shooting occurred, testified that he heard gunshots, looked out his window and saw a man on the ground and another man—who, from Ramirez's description, was apparently defendant—holding a gun. The People also proved that the gun used to shoot Pinhasov was recovered from defendant's pocket minutes after the shooting.

Several weeks after the verdict, defendant moved to set it aside pursuant to CPL 330.30 (2), on the ground of "improper conduct on the part of a member of the jury." Supreme Court denied the motion without a hearing, and pronounced sentence. Eighteen months later, defendant moved pursuant to CPL 440.10 to vacate his conviction on the ground that the People had violated their duty under *People v Rosario* (9 NY2d 286 [1961]) by failing to turn over to defendant statements made by Ramirez to the police before trial. Supreme Court denied this motion too without a hearing. The Appellate Division affirmed defendant's conviction and sentence, and the denial of his CPL article 440 motion (*People v Samandarov*, 56 AD3d 575 [2008]). A Judge of this Court granted leave to appeal (12 NY3d 762 [2009]).

We review the decisions to deny hearings on both the CPL article 330 and the CPL article 440 motions for abuse of discretion (*People v Friedgood*, 58 NY2d 467, 470 [1983]). We conclude that discretion was not abused, and we affirm.

II

The basis for defendant's CPL article 330 motion was an affirmation of his counsel, which in turn relied on a newspaper article and on information given to counsel by an unnamed "neighbor" said to be a "co-worker" of the foreperson of the jury.

The newspaper article mentioned in the CPL article 330 motion appeared in the New York Daily News a few days after the verdict. It suggested that there was a connection between the shooting of Pinhasov and the later murder of Pinhasov's cousin, Eduard Nektalov, who was, according to the newspaper article, "executed in broad daylight" eight months before defendant's trial. Defendant's appellate brief also relies on another newspaper article, not cited in his CPL article 330 motion, that appeared in the New York Times during the trial; that article said the Pinhasov shooting "has links" to the Nektalov murder. The Times article was not mentioned on the record at trial, but the judge may have had some warning of it: on the day before the article appeared, he said to the jurors, "I want to once again emphasize in the strongest possible terms that you are not to read about the case in tomorrow's newspapers." There is no evidence that any juror disobeyed that instruction. Nektalov's name came up only once at the trial, when a police officer testified that Nektalov served as a translator at the officer's interview with Pinhasov.

The Daily News article that appeared after the verdict reported that, though the Nektalov murder had not been mentioned at trial, "jurors said they were aware there may have been a link and that those involved . . . may have ties to mob activities." It quoted a juror as saying "Of course we were aware of it . . . and worried about it . . . I was looking out [in the audience] thinking 'Gee, they can see all of our faces.'" According to counsel's affirmation in support of the CPL article 330 motion, counsel "confirmed" with the Daily News reporter that the article was accurate and that the juror quoted was the foreperson. Counsel also said his neighbor had told him that the jury foreperson "had discussed her jury experience with her fellow employees and again acknowledged that the jury talked about defendant's involvement with the Russian Mob throughout the trial and that the jury was preoccupied with this issue during the course of the trial." No affidavit was submitted from either the neighbor or the jury foreperson.

[1] Even putting aside the hearsay nature of this evidence, Supreme Court was justified in ruling that defendant did not submit enough proof of juror misconduct to warrant a hearing. Defendant submitted nothing to show that jurors had received from outside the courtroom any information about the Nektalov murder or any other alleged "Russian Mob" activities. The evidence showed at best that jurors had speculated among

themselves that the case had “Russian Mob” connections—and the nature of the case almost invited that sort of speculation. Indeed, the danger was so obvious that defendant chose to bring it up in voir dire, mentioning a possible “perception” that “if you are a member of this group you must be involved in some sort of illegal activity” and asking if anyone had “problems or preconceived stereotypes in their minds concerning Russian-Americans.” Defense counsel returned to the theme during trial, asking Pinhasov if he had any history of “loan sharking” or “money laundering.” Thus, if the jurors in this case did converse among themselves about the “Russian Mob,” there is no reason to think that anything outside the courtroom prompted that conversation. Absent some “outside influence” on the jurors, this record provides no ground for impeaching their verdict (*see Alford v Sventek*, 53 NY2d 743, 744 [1981]).

III

Ramirez, whose testimony placed a gun in defendant’s hand immediately after the shooting, was asked on cross-examination if anyone had interviewed him before trial. He replied: “Just the officers that came up that night [i.e. the night of the shooting] and the district attorney that came to see me.” Notes of the police interview on the night of the crime were turned over to the defense as *Rosario* material. In support of his CPL article 440 motion, defendant tried to show that police officers had also taken part in one or two later interviews, and that a police officer had taken notes at those interviews that had not been turned over.

In support of his motion, defendant submitted an affidavit from Ramirez. The affidavit was typed, but contained handwritten insertions made by an investigator employed by defense counsel. The affidavit as typed says that “uniformed New York City Police Officers and two Detectives came to my apartment on two separate times and dates to conduct interviews.” The handwritten insertions add the information that the police officers came “along with the District Attorney, Queens County” and say, at one point, that they came “a third time” (thus creating an apparent inconsistency in the affidavit). Typed language not changed in handwriting says that, on each of two occasions, a “Detective made hand written entries into a spiral note pad.”

In opposition to defendant’s motion, the People submitted a second affidavit from Ramirez, retracting some of the statements made in the first one. The second Ramirez affidavit says

that an interview by police officers, in which an officer wrote on a pad, occurred only on the night of the shooting. There were, according to the second Ramirez affidavit, two later visits from the Assistant District Attorney (ADA) responsible for the case, and on at least one of those occasions the ADA was accompanied “by two blond ladies from the District Attorney’s Office.” At those later meetings, according to Ramirez’s second affidavit, no police officers were present and no one took notes. In explanation of his previous affidavit, Ramirez testified that defense counsel’s investigator had brought him the typed version of the affidavit; that Ramirez told him it was “not correct” and that its deficiencies included “the fact that he did not mention the Assistant District Attorney’s visits”; that the investigator then “wrote something on the papers about the District Attorney and . . . pressured me to sign them . . . I signed the papers so that he would leave me alone.”

Along with Ramirez’s second affidavit, the People submitted several others, among them one from the ADA and one each from the “two blond ladies”—a detective investigator and a paralegal, both employed by the District Attorney’s office. These three witnesses confirmed Ramirez’s second account: they testified that all three of them had attended one interview with Ramirez, and that the ADA and the detective investigator had attended another. The People submitted copies of datebook entries and time sheets confirming the ADA’s and the detective investigator’s attendance at the interviews. The ADA, the detective investigator and the paralegal all said that no police officer was present with them at the interviews and that no one took notes. The detective investigator and the paralegal testified that they had nothing with them to write on when they attended the meetings, and the ADA said she did not possess, and never used, a spiral pad. The ADA’s affidavit also explained that no police detective would have been assigned to investigate this case after the date of the incident, because, from a police department point of view, the case had been closed by arrest on the same day. To confirm this, the ADA attached a police department form, dated the date of the crime, bearing the notation: “CASE CLOSED.”

[2] Defendant argues that the material submitted on the CPL article 440 motion, taken as a whole, was enough to require an evidentiary hearing on the question of whether *Rosario* material—specifically, police notes of interviews with Ramirez—existed that was not turned over to the defense. We assume that

defendant would be correct if the first Ramirez affidavit had stood uncontradicted, or if only the two contradictory Ramirez affidavits were in the record. But that is not the case. The People submitted detailed proof that Ramirez was simply mistaken the first time, and the Supreme Court reasonably found that proof strong enough to make a hearing unnecessary.

Indeed, it is hard to see how Ramirez could have been correct when he said, in his first affidavit, that police officers visited him on one or two occasions in addition to their visit on the day of the crime; a contemporaneous record shows that the police closed the case that day. And the courts below reasonably discounted Ramirez's original recollection that a "Detective" took notes on a "spiral note pad" at each interview, for that was contradicted not only by Ramirez's second affidavit but by the detailed accounts of the meetings by the ADA and her two colleagues, all of whom swore that no police officer was present, and that they had no spiral pads and took no notes. The likelihood is overwhelming that Ramirez, in his first affidavit, simply erred in thinking that the police detective and the spiral pad that he saw on the day of the crime were also present at the later interviews.

It is, no doubt, theoretically possible that a hearing could show otherwise—could show the existence of suppressed *Rosa-río* material, in the form of handwritten notes that everyone present at the interviews says never existed. Supreme Court, however, did not abuse its discretion in finding this possibility too slim to justify the burden and expense of a hearing.

IV

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN. (dissenting in part). In far from lucid trial testimony, the shooting victim, Alik Pinhasov, stated that on the evening of December 16, 2003 he went out in the company of three fellow members of the insular Bukharan community. As is here relevant, the group included Pinhasov, his cousin Boris and defendant. There was testimony that Boris owed Pinhasov \$1,200 and that the debt had been a source of bad feeling. According to Pinhasov, the four men drank heavily, each having purchased at the excursion's outset a liter of vodka and of cognac, and as the night progressed there were flashes of temper and occasional episodes of violence. Pinhasov testified

that the evening's entertainment, such as it was, came to an end when defendant took out a gun and fired it twice, the first shot just missing Pinhasov's back and the second hitting him in the buttocks. The shots were heard by Jose Ramirez, who, according to his trial testimony, immediately went to a window of his fifth story apartment and observed, from a distance of some 50 feet, a person lying in the street being lifted by two other people. About eight feet away from this group, Ramirez observed another person in a long black coat and pants with a white stripe running down the side of each leg, yelling and waving his hands in the air. Ramirez thought he saw a gun in one of that person's hands. Ramirez's wife called 911 and the police responded. At the time of his closely ensuing apprehension, defendant was described by the arresting officers as having been clad in a leather jacket and sweat pants. A .22 caliber pistol was recovered from his person, and a firearms expert testified that the bullet removed from Pinhasov had been fired from that weapon. Ramirez was interviewed by the police after the arrest, but the extent of the People's pretrial disclosure with respect to Ramirez was a memo book entry containing Ramirez's name and pedigree information. Specific inquiry was made of Ramirez on cross-examination whether he had been asked by the investigating detective or the Assistant District Attorney for a statement, and he replied that no such request had been made.

The defense at trial was that Boris, and not defendant, had shot Pinhasov and that the gun had been handed to or picked up by defendant in the interval between the shooting and his arrest. Pinhasov, defendant urged, had accused defendant to protect his cousin who, for a period of weeks, had been held in connection with the shooting.

Shortly after the trial an article appearing in the New York Daily News reported that jurors had been aware of possible "link[s]" between the matter being tried and the murder of one Eduard Nektalov, and that one juror had stated that there was concern within the jury over the possibility of Russian mob involvement in one or both crimes.

Relying on this newspaper account, defendant moved pursuant to CPL 330.30 to set aside the verdict. He argued that the jury had been impermissibly influenced by external sources. The People responded that the motion was based on mere hearsay and that there was no indication that external influences had affected the jury's deliberative process. Rather, the People urged that the verdict turned on the properly admitted

proof tending to show that defendant, and not Boris, shot Pinhasov. The decisive evidence, claimed the People, was the testimony of Ramirez, the one witness whose motives were not shrouded by the impenetrable-seeming web of personal, business and familial relationships within the Bukharan community. In their opposition papers, the People prominently recounted that immediately after the trial and in the presence of the trial court:

“the jury was asked, in sum and substance, by the attorney’s [*sic*] what evidence caused them to convict the . . . defendant of the shooting. Several jurors replied, and the others nodded in acknowledgment, that it was the testimony of the independent eyewitness Jose Ramirez . . . which ultimately was found to be most compelling.”

Some six months after the judgment of conviction had been rendered, Ramirez was visited by an investigator hired by defendant. At the investigator’s request, Ramirez, after having had handwritten changes inserted, executed an affidavit stating in substance that he had on three occasions been interviewed by detectives and the Assistant District Attorney and that on each occasion “a Detective made hand written entries into a spiral note pad after each question.” Based on this affidavit, defendant brought a CPL 440.10 motion to vacate the judgment of conviction. It was argued that the nondisclosure of the interview notes referred to in the Ramirez affidavit constituted a *Rosario* violation, and that, inasmuch as defendant was thereby prevented from effectively cross-examining a crucial prosecution witness, he had been deprived of a fair trial.

The People responded by obtaining their own affidavit from Ramirez. In this affidavit, Ramirez stated that no notes had been taken on the two occasions subsequent to the night of the crime that he had been visited by Assistant District Attorney Kane and “two blond ladies from the District Attorney’s Office.” He explained that he had only signed the prior affidavit because he was badgered into doing so by defendant’s investigator. The People’s response also included affidavits by Assistant District Attorney Kane, and, presumably, the “two blond ladies” mentioned for the first time in Ramirez’s second affidavit, Detective Investigator Elizabeth Curcio and a paralegal in the District Attorney’s office named Joanna Fiorentini. All stated that they had participated in interviews with Ramirez but that no notes had been taken.

The motion court found that, in light of Ramirez's recantation and what the court referred to as "the People's substantial evidentiary showing" of what had occurred during the investigatory interviews of Ramirez, no issue of fact had been raised as to the existence of undisclosed *Rosario* material by the initial Ramirez affidavit. The court also was of the view that, even if there had been a *Rosario* violation, there was no reasonable possibility that it affected the outcome of the trial. The Appellate Division affirmed in a brief decision and order (56 AD3d 575 [2d Dept 2008]).

While I am in agreement with the majority that defendant's CPL 330.30 motion was correctly denied, since there was no showing that the verdict was attributable to any outside influence, I part with the majority respecting the propriety of the summary denial of defendant's CPL 440.10 motion.

Ordinarily, when there are conflicting affidavits on a material matter a triable issue turning on credibility inappropriate for summary resolution is raised. This case presents no occasion to depart from this basic rule of proceeding. Indeed, the governing statute, CPL 440.30, specifically requires an evidentiary hearing where, as here, defendant's allegations are not insufficient as a matter of law to establish the alleged violation (*see* CPL 440.30 [4] [a], [b]); are not "conclusively refuted by unquestionable documentary proof" (CPL 440.30 [4] [c]) or "contradicted by a court record or other official document," or "made solely by the defendant and [without support] by any other affidavit or evidence" (CPL 440.30 [4] [d] [i]); and there are no other grounds to conclude that "there is no reasonable possibility that [defendant's allegation of a *Rosario* violation] is true" (CPL 440.30 [4] [d] [ii]; *see People v Baxley*, 84 NY2d 208, 214 [1994]).

While the majority, presumably in an attempt to satisfy the last of these dispensational factors (the others plainly being unavailable), labor to show that Ramirez's first affidavit must have been a mistake, the proposition is difficult to embrace on this record, much less as a matter of "overwhelming" likelihood (majority op at 440). Before us are two affidavits by the same affiant evidently contradictory in a crucial respect—in one, which the affiant apparently took care to read and correct where he thought emendation was necessary, the affiant purports to recollect with a fair degree of specificity that his statements were recorded by a detective on three occasions in a spiral notebook; in the other, he states that none of this happened. All that would appear "overwhelmingly" likely on this record is that these

affidavits are inconsistent. There appears no ground upon which one deliberately prepared and executed sworn statement might be dismissed as “mistaken” and the other embraced as true.

Ramirez may well have wished to be rid of defendant’s investigator, but that motive, without more, does not adequately explain his execution of an affidavit seemingly at odds with his trial testimony that no statement had been taken from him. Nor are the circumstances of his recantation of the affidavit, nearly a year after signing it, set forth. The record does not disclose, for example, whether, as would seem likely, the detective from the District Attorney’s office who obtained the recanting affidavit explained to Ramirez that his original affidavit, if not recanted, raised, at the very least, the possibility of a new trial at which he would be called upon to testify all over again and at which he would be impeached on the basis of his affidavit and prior testimony. Indeed, there is no reason to suppose that Ramirez was not at least as eager to be rid of the District Attorney’s minion as he had been to be rid of the defendant’s. In addition, while there were affidavits before the motion court affirming that the trial assistant, Ms. Kane, and two associates from the District Attorney’s office had not, during their interviews of Ramirez, taken a single note, these submissions, even if accepted at face value, do not exclude the possibility of undisclosed recorded statements from Ramirez since, as defendant points out, Ms. Kane entered the prosecution late, succeeding the originally assigned ADA after an earlier *Rosario* violation, and investigators other than the affiants had been involved in the development of the prosecution’s case.

For the foregoing reasons, the motion court’s conclusion that no triable issue had been raised as to whether there were undisclosed prior statements by Ramirez bearing upon the subject matter of his testimony appears to have been unwarranted. Even more unwarranted was the motion court’s view that, even if such statements existed, there was no reasonable possibility that they could have affected the trial’s result. Without knowing the content of any such statements, it is manifestly impossible to say whether they could have been used by the defense to raise a reasonable doubt as to defendant’s commission of the shooting. It is true that the sufficiency of the People’s case did not depend on Ramirez’s testimony. But the strength of the case, as distinguished from its sufficiency, concededly did. Pinhasov’s account of the shooting and the antecedent events was, to say the least, not a model of clarity, and a significant issue

evidently remained after his delayed accusation,* and after his testimony, as to whether his shooting had not actually been the drunken work of his debtor cousin Boris, with whom Pinhasov was “very close,” but who, according to Pinhasov, immediately after the shooting stood over Pinhasov enraged, screaming that Pinhasov was “vomit” and “garbage.” It was Ramirez’s testimony that seemed to crystalize the situation for the jury, and resolve doubts naturally remaining in the wake of Pinhasov’s account, in favor of convicting defendant. In view of the pivotal importance of Ramirez’s testimony—a circumstance the majority completely elides—it does not seem possible to say that nothing he could have said during the shooting’s investigation as to what he saw, or thought he saw, or did not see from his fifth story window in the small hours of the morning of December 17, 2003, could possibly have been used by defense counsel to alter the trial’s course in defendant’s favor.

Where “a defendant can articulate a factual basis for the assertion that a prosecutor is improperly denying the existence of [*Rosario* material],” the court is bound to determine whether such material exists (*see People v Poole*, 48 NY2d 144, 149 [1979]). Here, such a factual basis was presented and it does not appear that its truth can be tested except by an evidentiary hearing. It is, of course, perfectly accurate to say as the majority does that it is “theoretically possible that a hearing could show . . . the existence of suppressed *Rosario* material” (majority op at 440). But this is not a rationale for dispensing with a hearing; it is precisely because the possibility of suppressed *Rosario* material has been shown to exist that a hearing must be had (*see* CPL 440.30 [5]). The possibility of suppressed *Rosario* material is only theoretical because it has not been tested.

Accordingly, I would reverse the order denying the CPL 440.10 motion and grant the motion to the extent of directing a hearing to determine whether there exists or existed undisclosed *Rosario* material pertinent to Mr. Ramirez’s trial testimony and, if so, whether the nature of any such material raises a reasonable possibility that its nondisclosure materially affected the trial’s outcome (*see* CPL 240.75; and *see People v Baxley*, 84 NY2d 208 [1994]).

* Pinhasov evidently did not implicate defendant when the police arrived immediately after the shooting and the issue, despite the “CASE CLOSED” notation upon which the majority places such emphasis, was sufficiently unclear that Boris was held for weeks in connection with the shooting.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge SMITH; Chief Judge LIPPMAN dissents in part in a separate opinion in which Judge PIGOTT concurs.

Order affirmed.

[920 NE2d 943, 892 NYS2d 836]

In the Matter of the Estate of JOSEPH SINGER, Deceased. VIVIAN SINGER, Respondent; ALEXANDER SINGER, Appellant.

Argued October 15, 2009; decided December 15, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 10, 2008. The Appellate Division affirmed an amended order of the Surrogate's Court, Kings County (Margarita López Torres, S.; 17 Misc 3d 365), which had granted the petition, determined that Alexander Singer violated the in terrorem provisions of paragraphs 6 (A) and 6 (B) of the last will and testament of Joseph Singer, and revoked his bequest under the will.

Matter of Singer, 52 AD3d 612, reversed.

HEADNOTE

Wills — In Terrorem Clause — Deposition of Testator's Former Attorney Permissible

Respondent beneficiary's conduct in deposing testator's former attorney regarding his preparation of prior testamentary documents for testator did not violate the in terrorem clauses of testator's probated will. The first clause sought to prevent any beneficiary from contesting or attempting to contest testator's will or trust agreement "in any court" and to prevent any legal proceeding to invalidate the estate plan. A second clause specific to respondent directed that he not take his sister "to a [religious court] or to any other court for any reason whatsoever." Despite the presence of an in terrorem clause in a will, EPTL 3-3.5 (b) (3) (D) provides that a beneficiary's preliminary examination, under SCPA 1404, of a proponent's witnesses, the person who prepared the will, the nominated executors and the proponents in a probate proceeding will not result in forfeiture. Although the statutes include only a few particular groups, circumstances may exist such that it is permissible to depose persons outside the statutory parameters without suffering forfeiture. Since the statutory safe harbor is not exclusive, the crucial inquiry was whether respondent's conduct violated the testator's intent. Although it was clear that testator intended to prevent respondent from contesting the will, the in terrorem provisions could reasonably be interpreted to express testator's wish that respondent not commence court proceedings of any type against the estate plan. Under the circumstances, and construing the clauses narrowly, the conduct of the deposition did not amount to an attempt to contest, object to or oppose the validity of the estate plan. Both the purpose of the in terrorem clauses and the general public policy of ensuring that wills are genuine and valid before they are admitted to probate were satisfied, since respondent's investigation led him to the conclusion that there was no basis upon which to file objections or contest the will.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Wills §§ 829, 1334, 1337, 1340.
CARMODY-WAIT 2d, Probate Proceedings §§ 152:94, 152:98,
152:127.
McKINNEY's, EPTL 3-3.5 (b) (3) (D); SCPA § 1404.
NY JUR 2d, Decedents' Estates §§ 878, 879, 1767, 1768,
1798.

ANNOTATION REFERENCE

What constitutes contest or attempt to defeat will within
provision thereof forfeiting share of contesting beneficiary.
3 ALR5th 590.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: *terrorem* /s will & depos! /5 attorney & testat! /2
intent

POINTS OF COUNSEL

Greenfield Stein & Senior, LLP, New York City (*Gary B. Freidman* and *Jeffrey H. Sheetz* of counsel), for appellant. I. The Appellate Division's decision and order should be reversed because it misconstrued EPTL 3-3.5 (b) (3) (D) and SCPA 1404 (4) as absolute limitations on a beneficiary's inquiry into the validity of a will, rather than as safe harbors, contrary to the twin policy objectives of those provisions. (*Matter of Muller*, 138 Misc 2d 966; *Matter of Marshall*, 11 Misc 3d 674.) II. The Appellate Division's decision and order should also be reversed because it conflicts with prior case law requiring at least the propounding of objections before a forfeiture under an in *terrorem* clause can be found. (*Matter of Stiehler*, 133 Misc 2d 253; *Matter of Ellis*, 252 AD2d 118, 93 NY2d 805; *Matter of Fairbairn*, 46 AD3d 973, 10 NY3d 708; *Matter of Cronin*, 143 Misc 559, 237 App Div 856; *Matter of Robbins*, 144 Misc 2d 510.)

Law Office of Jack Kint, New York City (*Jack M. Kint, Jr.*, of counsel), for respondent. I. The Appellate Division correctly affirmed the Surrogate's judgment that Alexander Singer violated Rabbi Singer's no-contest conditions. (*Matter of Ellis*, 252 AD2d 118; *Matter of Fabbri*, 2 NY2d 236; *Williams v Jones*, 166 NY 522; *Matter of Biele*, 91 NY2d 520; *Matter of Lang*, 60 Misc 2d 232; *Eidt v Eidt*, 203 NY 325; *New Amsterdam Cas. Co. v Stecker*,

3 NY2d 1; *Matter of Cohn*, 29 Misc 2d 661; *Matter of Stiehler*, 133 Misc 2d 253; *Matter of Fairbairn*, 46 AD3d 973, 10 NY3d 708.) II. The Appellate Division correctly affirmed the Surrogate's judgment that the statutory safe harbor for preliminary discovery did not protect Alexander Singer's examination of the attorney who drafted Rabbi Singer's prior will. (*Pultz v Economakis*, 10 NY3d 542; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Kirkholder*, 86 Misc 692; *Smithsonian Institution v Meech*, 169 US 398; *Matter of Roth*, 7 Misc 3d 1010[A], 2005 NY Slip Op 50521[U]; *Matter of Zurkow*, 74 Misc 2d 736; *Matter of Ellis*, 252 AD2d 118; *Gentile v State Bar of Nev.*, 501 US 1030; *Matter of Clark*, 52 Misc 2d 965; *Pajak v Pajak*, 56 NY2d 394.) III. The Appellate Division correctly affirmed the Surrogate's judgment that Alexander Singer must forfeit his inheritance. (*Matter of Pritchard*, 138 Misc 2d 945; *Matter of Ellis*, 252 AD2d 118; *Board of Educ. of Half Hollow Hills Cent. School Dist., Towns of Huntington & Babylon v Roseman*, 52 AD2d 855; *Matter of Muller*, 138 Misc 2d 966.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We conclude that the statutory safe harbor provisions of Surrogate's Court Procedure Act § 1404 and Estates, Powers and Trusts Law § 3-3.5 are not exhaustive and that, under the circumstances of this case, respondent Alexander Singer's conduct did not violate the in terrorem clauses of the decedent's probated will.

Rabbi Joseph Singer executed a last will and testament dated April 15, 2003, appointing his daughter, Vivian, as executor. Under the terms of the corresponding revocable trust agreement, testator directed that his Brooklyn home, the bulk of his tangible personal property and the sum of \$200,000 were bequeathed to Vivian "in recognition of her unusual dedication to [testator] and for the taking care of [testator. Testator] realizes that his daughter gave her life to take care of him and feels a great sense of gratitude toward her." The trust agreement also provided that each of Alexander's sons would receive \$15,000 and the remainder of the estate would be split equally between Vivian and Alexander.

The will contained two in terrorem clauses—one that was directed to any beneficiary and the other applicable to Alexander in particular. The first in terrorem clause provides:

“If any beneficiary shall, in any manner, directly or indirectly, contest, object to or oppose, or attempt to contest, object to or oppose, the probate of or validity of this Will or the revocable trust agreement created by me, or any part of my estate plan or any gifts made by me, or any of the provisions of this Will or of the revocable trust agreement created by me, in any court or commence or prosecute any legal proceeding of any kind in any court to set aside this Will or the revocable trust agreement created by me or any part of my estate plan or any gifts made by me, then in that event, such beneficiary, and all of such beneficiary’s issue, shall forfeit and cease to have any right or interest whatsoever under this Will or under the revocable trust agreement created by me, or in any portion of my estate, and, in such event, I hereby direct that my estate and the trust estate under such revocable trust agreement shall be disposed of in all respects as if such beneficiary had predeceased me without issue.”

The following paragraph, pertaining to Alexander, stated:

“I specifically direct that my son, Alexander I. Singer, not contest, object to or oppose this Will or The Joseph Singer Revocable Trust Agreement, or any part of my estate plan or any gifts made by me, and I specifically direct that my son not take my daughter, Vivian S. Singer, to a Bet Din (religious court) or to any other court for any reason whatsoever; and I specifically direct that if my son takes any such action or brings on any such proceeding, neither my son nor any of his issue shall receive any share of my estate, whether passing under this Will, under The Joseph Singer Revocable Trust Agreement or otherwise.”

Similar clauses appeared in the revocable trust agreement.

Rabbi Singer died March 5, 2004 and Vivian submitted the will for probate March 25, 2004. The following day, Alexander served a notice of discovery and inspection under CPLR article 31 and SCPA 1404 seeking copies of various documents and the deposition of certain witnesses, including Singer’s previous attorney, Joseph Katz. Vivian’s attorney wrote a letter to Alexander’s counsel, expressing his concern that Mr. Katz was not a proper witness for an SCPA 1404 examination and

indicating his belief that Alexander would be contesting the will within the meaning of the in terrorem clause by such examination, thereby forfeiting any inheritance. Alexander's attorney disagreed and proceeded to depose Mr. Katz.

Katz testified that he had no reason to believe that Rabbi Singer lacked testamentary capacity or that Vivian exercised undue influence over him. Katz explained that he had drafted the Rabbi's seven previous wills and indicated that there had been a history of conflict between the siblings concerning how the Rabbi's estate would be distributed. In addition, Katz testified that the previous will he had drafted in 2002 had also contained an in terrorem clause in order to reassure Vivian that Alexander would not contest the estate plan.

The will was admitted to probate May 19, 2005. The decree specified that objections had not been filed and probate had not been contested. Vivian then commenced this construction proceeding, seeking a declaration that Alexander violated the in terrorem clauses of the will by deposing Mr. Katz.

Surrogate's Court determined "that examination of parties not specified in SCPA 1404 (4) violates an in terrorem clause" and that Alexander had violated the discovery limits established by the Legislature (17 Misc 3d 365, 369 [2007]). The court then determined that Alexander violated the in terrorem clauses of testator's will and revoked his bequest. The Appellate Division affirmed, finding that Alexander's conduct violated the in terrorem clauses as an attempt to contest the will and that the deposition of testator's former attorney did not fall within the safe harbor provisions of EPTL 3-3.5 and SCPA 1404 (52 AD3d 612 [2d Dept 2008]). We granted leave to appeal (11 NY3d 716 [2009]) and now reverse.

The paramount consideration in will construction proceedings is the testator's intent (*Matter of Fabbri*, 2 NY2d 236, 239 [1957]). In that context, while in terrorem clauses are enforceable, they are "not favored and [must be] strictly construed" (*Matter of Fairbairn*, 46 AD3d 973, 974 [3d Dept 2007] [citation omitted], *lv denied* 10 NY3d 708 [2008]). Despite the presence of an in terrorem clause in a will, EPTL 3-3.5 provides that certain conduct by a beneficiary will not result in forfeiture—specifically, as relevant here, "[t]he preliminary examination, under SCPA 1404, of a proponent's witnesses, the person who prepared the will, the nominated executors and the proponents in a probate proceeding" (EPTL 3-3.5 [b] [3] [D]). Under the

SCPA, these individuals “may be examined as to all relevant matters which may be the basis of objections to the probate of the propounded instrument” (SCPA 1404 [4]).

The issue presented here is whether Alexander violated the in terrorem clauses by going beyond the statutory safe harbor and deposing testator’s former attorney. Although the statutes include only a few particular groups, circumstances may exist such that it is permissible to depose persons outside the statutory parameters without suffering forfeiture.

The Practice Commentaries indicate that the trend has been for courts “to allow broad latitude in discovery of matters that could provide the basis for objections” and that the Legislature intended to balance the testator’s right to prevent unwarranted will contests against the beneficiary’s right to investigate in order to evaluate the risk involved in contesting the will notwithstanding the in terrorem clause (Turano, Practice Commentaries, McKinney’s Cons Laws of NY, Book 58A, SCPA 1404, at 178-179; Turano, Practice Commentaries, McKinney’s Cons Laws of NY, Book 17B, EPTL 3-3.5, at 451-452).

Moreover, when the statutes were amended in 1992 to allow for the examination of the preparer of the will, the Legislature indicated that the amendments were intended to ratify the public policy stated in *Matter of Muller* (138 Misc 2d 966 [Sur Ct, Nassau County 1988]), which had interpreted EPTL 3-3.5 broadly to allow the production of prior wills (L 1992, ch 127). The court in *Muller* noted that there is only a small risk that a potential objectant will pursue frivolous objections with the threat of complete disinheritance hanging overhead in the form of an in terrorem clause (see *Muller*, 138 Misc 2d at 968).

Since the statutory safe harbor is not exclusive, the crucial inquiry is whether this conduct violated the testator’s intent. Although it is clear that Rabbi Singer intended to prevent Alexander from contesting the will, these in terrorem provisions can reasonably be interpreted to express testator’s wish that Alexander not commence court proceedings of any type against the estate plan. The first clause seeks to prevent any beneficiary from contesting or attempting to contest the will or the trust agreement “in any court” and to prevent any legal proceeding to invalidate either document. Further, the clause that is specific to Alexander directs that he not take his sister “to a Bet Din (religious court) or to any other court for any reason whatsoever.”

Under these circumstances, and construing the clauses narrowly, the conduct of this deposition did not amount to an attempt to contest, object to or oppose the validity of the estate plan. Interpreting the clauses too broadly would frustrate the public policy of ensuring that wills are genuine and valid before they are admitted to probate (*see* SCPA 1408 [1] [“Before admitting a will to probate the court must inquire particularly into all the facts and must be satisfied with the genuineness of the will and the validity of its execution”]).

Here, Alexander deposed decedent’s former attorney. Katz had represented decedent for years and had prepared seven prior testamentary documents, including a 2002 will, on his behalf. As such, Katz was clearly a person whom one would expect to have knowledge that was relevant to whether this will, executed in 2003, was the product of undue influence. Alexander conducted the examination of Katz for the purpose of gathering information in order to make an informed decision as to how to proceed.

Both the purpose of testator’s in terrorem clause and the general public policy were satisfied here, since Alexander’s investigation led him to the conclusion that there was no basis upon which to file objections or contest the will. A broader construction of these clauses as manifesting testator’s intent to preclude the examination of this witness would essentially cut off all other persons from being asked for information, no matter the potential value or relevance of that information—even as to the medical or psychological condition of the testator at the time the will was executed. Interpreting these clauses narrowly will allow surrogates to address on a case-by-case basis whether the conduct undertaken is in keeping with the testator’s intent.

Accordingly, the order of the Appellate Division should be reversed, with costs to all parties appearing separately and filing separate briefs payable out of the estate, and the matter remitted to Surrogate’s Court for further proceedings in accordance with this opinion.

GRAFFEO, J. (concurring). I write separately to explain my understanding of the rule being applied in this case. The common law recognized the validity of an in terrorem clause and the right of a testator to restrict beneficiaries from attempting to undermine the validity of a will. As our opinion notes, in terrorem clauses are not favored since they may

result in a total forfeiture of a bequest and—because of this serious consequence—they must be strictly construed to conform to the testator’s expressed intent (*see e.g. Matter of Fairbairn*, 46 AD3d 973, 974 [3d Dept 2007], *lv denied* 10 NY3d 708 [2008]).

EPTL 3-3.5 and SCPA 1404 altered the common law. In enacting these statutes, the Legislature made a public policy decision that beneficiaries should be able to engage in certain inquiries pertaining to the circumstances surrounding the drafting of a will without risking forfeiture, even if the testator expressed an intent to make the will impervious to such future challenges (*see e.g. Turano*, Practice Commentaries, McKinney’s Cons Laws of NY, Book 17B, EPTL 3-3.5, at 451-452). Thus, the Legislature decided that even the most carefully worded in terrorem clause cannot prevent a beneficiary from taking the deposition of “a proponent’s witnesses, the person who prepared the will, the nominated executors and the proponents in a probate proceeding” (EPTL 3-3.5 [b] [3] [D]) as a preface to deciding whether to file objections or contest a will.

Because we are required to construe the in terrorem clauses at issue here narrowly, we found it reasonable to conclude that the language of this will did not specifically impose forfeiture once Alexander Singer deposed the attorney who drafted his father’s prior wills. Thus, the safe harbor provisions set forth in SCPA 1404 and EPTL 3-3.5 are inapplicable and the fact that the testator’s former attorney does not fall into one of the categories of persons listed in the statutes is irrelevant in this case.

I believe, however, that an in terrorem clause can be properly drafted to explicitly prohibit this type of inquiry. A testator could, for example, draft an in terrorem clause that incorporates the statutorily-authorized preliminary examinations by explicitly stating that a beneficiary who makes or attempts to make any inquiry about the will other than those permitted by EPTL 3-3.5 and SCPA 1404 shall forfeit his or her bequest and extinguish any interest that the beneficiary’s issue may have in the estate. If Joseph Singer’s will had an in terrorem clause of this nature, I would be inclined to hold that the examination of the attorney who drafted the prior wills resulted in the forfeiture of Alexander’s bequest.

With these thoughts, I join today’s decision.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge GRAFFEO concurs in a separate concurring opinion in which Judges READ and SMITH concur.

Order reversed, etc.

[923 NE2d 578, 896 NYS2d 295]

MARC A. AYERS, Appellant, v JAMES E. O'BRIEN et al., Respondents.

Argued November 18, 2009; decided December 17, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered December 31, 2008. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Broome County (Ferris D. Lebous, J.; op 19 Misc 3d 449), as had granted plaintiff's motion to dismiss defendants' first affirmative defense, and (2) denied the motion. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order of the Supreme Court by reversing so much thereof as granted plaintiff's motion to dismiss defendants' first affirmative defense; denying plaintiff's motion; and, as so modified, affirming the order?"

Ayers v O'Brien, 60 AD3d 27, affirmed.

HEADNOTE

Negligence — Injuries to Police Officers — Application of Reckless Disregard Standard of Liability to Authorized Emergency Vehicle Driver as Plaintiff

Plaintiff, a police officer who was injured when his car was struck by defendants' vehicle as he was executing a U-turn to pursue a speeding vehicle, was not entitled to the benefit of the "reckless disregard" standard of liability under Vehicle and Traffic Law § 1104 (e) for the purpose of preventing defendants from raising a comparative fault defense in plaintiff's personal injury action. Vehicle and Traffic Law § 1104 (e) precludes the imposition of liability on an emergency vehicle driver for otherwise privileged conduct except where the conduct rises to the level of recklessness. It is to be applied only when the emergency vehicle operator is sued or countersued, and cannot be used as a sword to ward off a comparative fault defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 945, 946, 949.

McKINNEY's, Vehicle and Traffic Law § 1104 (e).

NY JUR 2d, Automobiles and Other Vehicles §§ 711, 781, 946-948, 1007, 1202.

PROSSER AND KEETON, TORTS (5th ed) § 34.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Comparative Negligence; Police and Law Enforcement Officers; U-Turn.

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Database: NY-ORCS

Query: emergency /2 vehicle /s reckless /2 disregard /p comparative /2 fault

POINTS OF COUNSEL

Cellino & Barnes, P.C., Buffalo (*Denis J. Bastible* and *Christian R. Oliver* of counsel), for appellant. Deputy Ayers is entitled to the protections afforded by Vehicle and Traffic Law § 1104. (*Saarinén v Kerr*, 84 NY2d 494; *Campbell v City of Elmira*, 84 NY2d 505; *Sierk v Frazon*, 32 AD3d 1153; *McGloin v Golbi*, 49 AD3d 610; *Dubois v Vanderwalker*, 245 AD2d 758; *Warner v Adelphi Univ.*, 240 AD2d 730; *Mullen v Zoebe, Inc.*, 86 NY2d 135.)

Mitchell Goris & Stokes, LLC, Cazenovia (*Mark D. Goris* of counsel), for respondents. Appellant is not entitled to the protections afforded by Vehicle and Traffic Law § 1104. (*Saarinén v Kerr*, 84 NY2d 494; *Sierk v Frazon*, 32 AD3d 1153; *McGloin v Golbi*, 49 AD3d 610; *Aldrich v Sampier*, 2 AD3d 1101.)

OPINION OF THE COURT

PIGOTT, J.

Operators of authorized emergency vehicles are protected from liability for conduct privileged under Vehicle and Traffic Law § 1104, unless their conduct rises to the level of reckless disregard. In this personal injury action, we are asked whether an emergency vehicle operator may assert that same statute in an action in which he is the plaintiff, thereby preventing the defendant from raising a comparative fault defense. We hold that he may not.

On July 31, 2005, plaintiff Marc A. Ayers, a Broome County Deputy Sheriff, was on patrol in the Town of Chenango. While Ayers was executing a U-turn to pursue a speeding vehicle, his car was struck by another vehicle, owned and operated by defendants.

Ayers commenced this action alleging serious injury as a result of defendants' common-law negligence.¹ In their answer, defendants denied the material allegations of the complaint and asserted four affirmative defenses, including that any damages "must be diminished in the proportion which [the] culpable conduct, including contributory negligence and assumption of the risk, attributable to [Ayers], bears to the culpable conduct which caused the damages."

Following discovery, Ayers moved to dismiss defendants' comparative fault defense, arguing that the liability standard for drivers of authorized emergency vehicles under Vehicle and Traffic Law § 1104 (e) is "reckless disregard," and that he had not acted recklessly.² Supreme Court granted the motion striking the defense (19 Misc 3d 449 [2008]).

The Appellate Division reversed and reinstated the defense (60 AD3d 27 [2008]), holding that Ayers, as a plaintiff, is not entitled to the protections afforded under Vehicle and Traffic Law § 1104 (e). The Appellate Division then certified to this Court the question whether it had erred as a matter of law. We conclude that the Appellate Division did not err, and we hold that the reckless disregard standard of liability does not apply in determining the culpable conduct of the operator of an emergency vehicle when he or she is the individual bringing the action.

Vehicle and Traffic Law § 1104, broadly describing the privileges afforded a driver of an authorized emergency vehicle when involved in an emergency situation, contains the following language:

"The foregoing provisions shall not relieve the driver of an authorized emergency vehicle from the duty to drive with due regard for the safety of all persons, nor shall such provisions protect the driver from the consequences of his reckless disregard for the safety of others" (Vehicle and Traffic Law § 1104 [e]).

Clearly, this section "precludes the imposition of liability for otherwise privileged conduct except where the conduct rises to

1. Ayers does not assert any statute, ordinance or governmental regulation that defendants violated, and thus makes no claim under General Municipal Law § 205-e (see generally *Aldrich v Sampier*, 2 AD3d 1101, 1103 [3d Dept 2003]).

2. A police vehicle is an "authorized emergency vehicle" under Vehicle and Traffic Law § 101.

the level of recklessness,” as we held in *Saarinen v Kerr* (84 NY2d 494, 497 [1994]). In that case, we concluded that a reckless disregard standard was appropriate, in determining the liability of a defendant emergency vehicle driver, because of the plain language of Vehicle and Traffic Law § 1104 (e), and in light of the purpose of the statute, which is to give “operators of emergency vehicles the freedom to perform their duties unhampered by the normal rules of the road” (84 NY2d at 502). We noted that “the possibility of incurring civil liability for what amounts to a mere failure of judgment could deter emergency personnel from acting decisively and taking calculated risks in order to save life or property or to apprehend miscreants” (*id.*). The reckless disregard standard, which requires that a plaintiff show “more than a momentary judgment lapse” on the part of the defendant, allows emergency personnel to act swiftly and resolutely while at the same time protecting the public’s safety (*id.*).

Vehicle and Traffic Law § 1104 (e) cannot be used as a sword to ward off a comparative fault defense. It is to be applied only when the emergency vehicle operator is sued or countersued. Plaintiff’s proposed interpretation of the statute would shift the responsibility for any contributory negligence on the part of an emergency vehicle operator to the driver of another vehicle whom the emergency vehicle operator sues. This would result in significant unfairness in some cases. For instance, the operator of an emergency vehicle whose own negligence, while not rising to the level of reckless disregard, caused his or her injuries would be entitled to full damages even from a minimally negligent defendant. There is no evidence that such a financial windfall was intended or foreseen by the Legislature when it granted emergency vehicle operators greater freedom to disregard rules of the road while undertaking their responsibilities.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, etc.

[920 NE2d 919, 892 NYS2d 812]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NASIN
ARAFET, Appellant.

Argued September 17, 2009; decided October 22, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered August 21, 2008. The Appellate Division affirmed a judgment of the Schenectady County Court (Polly A. Hoye, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the first degree and criminal possession of stolen property in the first degree.

People v Arafet, 54 AD3d 517, affirmed.

HEADNOTES**Crimes — Proof of Other Crimes — Other Crimes Not Involving Defendant**

1. In the prosecution of defendant for stealing a trailer containing merchandise that was found empty and abandoned, two days later, on a highway near defendant's home in northern New Jersey, evidence that cargo stolen from other trailers had been received on two other occasions at truck bays that were located in northern New Jersey and rented by an individual to whom defendant had made three phone calls shortly after the trailer disappeared did not constitute *Molineux* evidence (*People v Molineux*, 168 NY 264 [1901]). Under the *Molineux* rule, evidence of uncharged crimes is inadmissible where its only purpose is to show bad character or propensity towards crime. Here, evidence of two criminal transactions in which defendant was not involved showed nothing about his propensity. Rather, the evidence was relevant to the case, as it showed that a business defendant called in the hours immediately after the theft was one where stolen goods could be disposed of, and it thus supported an inference that defendant at that moment needed a fence's services.

Crimes — Proof of Other Crimes — Prior Crime with Same Accomplice

2. In the prosecution of defendant for stealing a trailer containing merchandise that was found empty and abandoned, two days later, on a highway near defendant's home in northern New Jersey, evidence that defendant had stolen another trailer seven years earlier with an individual whom defendant had called shortly after the theft in the current case was admissible as evidence of a distinctive repetitive pattern of criminal conduct. Under the *Molineux* rule (*People v Molineux*, 168 NY 264 [1901]), evidence of uncharged crimes is inadmissible where its only purpose is to show bad character or propensity towards crime. A distinctive repetitive pattern of criminal conduct, however, may be admitted under *Molineux* to show the defendant's identity, and the repeated commission of similar crimes with the same accomplice is an example of such a pattern. The predicate for the admission into evidence here

of defendant's prior crime with the same individual was evidence showing that defendant called that individual shortly after the theft; that the individual traveled from Florida to New Jersey beginning the next day; and that the individual arrived in northern New Jersey not long before the discovery of the stolen trailer, with a tractor attached, on a highway in the vicinity. Abandonment of the tractor-trailer was a task that, assuming the thief did not simply walk away, required an accomplice with a second vehicle, and the evidence supported an inference that defendant's former accomplice provided defendant with the ride he needed. Because the evidence supported a finding that defendant and his former accomplice were working together to commit the crime here, *Molineux* did not require that the jury be kept ignorant of the fact that they had worked together on such a transaction before.

Crimes — Proof of Other Crimes — Specialized Crime

3. In the prosecution of defendant for stealing a trailer containing merchandise, evidence that defendant had stolen a trailer more than three years earlier, working with accomplices not connected by any evidence to the current case, was inadmissible under *People v Molineux* (168 NY 264 [1901]). The only relevance of the proof of defendant's prior trailer theft was to show that defendant was an experienced trailer thief. Although the crime was beyond the skills of the average citizen, as most people could not swiftly hook a trailer to a tractor and drive it away, the crime could probably have been committed by any experienced tractor-trailer driver. There was no justification, at least in a case like the one here, for creating a "specialized crime" exception to *Molineux*. The theft of a trailer was not a crime so unique that the mere proof that defendant had committed a similar act would be highly probative of the fact that he committed the one charged.

Crimes — Proof of Other Crimes — Harmless Error

4. In the prosecution of defendant for stealing a trailer containing merchandise, the trial court's admission into evidence, in violation of *People v Molineux* (168 NY 264 [1901]), of proof that defendant had stolen a trailer more than three years earlier was harmless error, as the other proof of defendant's guilt was overwhelming. The trailer that defendant was charged with stealing disappeared from a parking lot near an exit of the New York State Thruway and was found abandoned two days later, emptied of its contents and attached to a tractor, on a highway in northern New Jersey, some 20 miles from where defendant lived. Records of defendant's cellular telephone calls showed that he traveled northward from his home early on the morning of the day of the theft, arriving before the time of the theft in the general area where the theft occurred, and that he traveled southward, back toward New Jersey, beginning around the time of the theft. Defendant's fingerprint was on a toll ticket issued to a tractor-trailer that traveled along the Thruway, in the hours immediately after the theft, from the exit near the scene of the theft to the exit that led toward the area where defendant lived and the trailer was later found. No other tractor-trailer traveled the same route at approximately the same time. In addition, defendant placed phone calls, before and shortly after leaving the Thruway, to a fencing operation in northern New Jersey and to a former accomplice in a trailer theft. Beginning the next day, the former accomplice traveled from Florida to northern New Jersey, arriving there shortly before the trailer and the tractor hooked to it were found abandoned on a highway. All those facts were proved by near-irrefutable evidence and, taken together, they excluded to a virtual certainty any hypothesis of defendant's innocence. There was no significant probability that the result would have been different if the trial court had excluded the evidence of defendant's prior trailer theft.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 664–666, 673, 703; AM JUR 2d, Evidence §§ 409, 410, 413, 414, 418–420, 422, 423.
CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:21, 193:22, 193:26, 193:28, 193:32; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2026, 2027, 2034, 2036, 2037.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Harmless and Prejudicial Error; Prior Offenses and Convictions.

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Query: evidence /3 uncharged /2 crime /s propensity & relevant /s admissible /p exception

POINTS OF COUNSEL

Cynthia Feathers, Saratoga Springs, and *E. Stewart Jones Law Firm*, Troy (*E. Stewart Jones, Jr.*, of counsel), for appellant. The challenged ruling impermissibly eroded the century-old *Molineux* evidentiary rule by (1) finding that the *nature* of the subject tractor-trailer theft, in and of itself, was enough to prove defendant's identity and there was no need to show that the *manner* of execution was unique to admit proof of prior uncharged crimes, and (2) allowing vast evidence of other crimes by third parties with a fragile link to the crime charged. (*People v Mateo*, 93 NY2d 327; *People v Robinson*, 68 NY2d 541; *People v Condon*, 26 NY2d 139; *People v Sanza*, 121 AD2d 89; *People v Neu*, 126 AD2d 223, 70 NY2d 652; *People v Molineux*, 168 NY 264; *People v Alvino*, 71 NY2d 233; *People v Ely*, 68 NY2d 520; *People v Wlasiuk*, 32 AD3d 674, 7 NY3d 871; *People v Gorghan*, 13 AD3d 908, 4 NY3d 798.)

Robert M. Carney, District Attorney, Schenectady (*Philp W. Mueller* of counsel), for respondent. I. The trial judge did not err or abuse her discretion by permitting limited evidence of defendant's prior theft of cargo trailers, where it was necessary in a circumstantial case to prove defendant's identity as the

perpetrator by showing that he possessed or had access to the specialized knowledge, skills, equipment, facilities and criminal contacts needed to complete and profit from this highly-specialized crime. (*People v Ventimiglia*, 52 NY2d 350; *People v Allweiss*, 48 NY2d 40; *People v Barnes*, 50 NY2d 375; *People v Moore*, 42 NY2d 421; *People v Fitzgerald*, 156 NY 253; *People v Molineux*, 168 NY 264; *People v Bligen*, 35 AD3d 171, 8 NY3d 803; *People v Hills*, 140 AD2d 71; *People v Parker*, 50 AD3d 330; *People v Robinson*, 93 NY2d 986.) II. Evidence that defendant made his first phone call, immediately after stealing the cargo trailer, to Jose Gotay's trucking facility, where Gotay received stolen cargo, was properly admitted to show defendant's access to and contact with a cargo "fence," and was accompanied by effective limiting instructions. (*People v Santana*, 48 AD3d 286, 10 NY3d 844; *People v Wright*, 35 AD3d 172, 8 NY3d 928; *People v Delacruz*, 24 AD3d 109, 6 NY3d 775; *People v Giles*, 11 NY3d 495; *People v Cintron*, 95 NY2d 329.)

OPINION OF THE COURT

SMITH, J.

Defendant, convicted of stealing a trailer containing a million dollars worth of merchandise, claims that his rights under *People v Molineux* (168 NY 264 [1901]) were violated when evidence of four other criminal incidents was admitted at his trial. As to three of the incidents, we hold that there was no error. The evidence relating to the fourth incident should not have been admitted, but the error was harmless.

I

The trailer that defendant was charged with stealing disappeared from a parking lot in Rotterdam, New York, near Exit 25A of the New York State Thruway, around 9:30 A.M. on July 26, 2003. The trailer, emptied of its contents and attached to a tractor, was found abandoned two days later on a highway in New Jersey, some 20 miles from where defendant lived. The evidence linking defendant to the crime, though entirely circumstantial, was compelling.

Records of calls made on defendant's cellular telephone showed that he traveled northward from his New Jersey home early on the morning of July 26, arriving before the time of the theft in the general area where the theft occurred. They also showed that, beginning around the time of the theft, defendant traveled southward, back toward New Jersey. The fastest route

from the parking lot of Exit 25A to the area of northern New Jersey where defendant lived and where the trailer was found leaves the Thruway at Exit 15, about 120 miles south of Exit 25A. Records of the New York Thruway Authority showed that a Class 5 vehicle—a tractor-trailer—entered through Exit 25A at 9:35 A.M. on the day of the theft, and left the Thruway at Exit 15 an hour and 38 minutes later. No other tractor-trailer that had entered at Exit 25A left the Thruway at Exit 15 between 10:15 A.M. and 1:30 P.M. on that day. A toll ticket issued to the one tractor-trailer that did travel that route in the hours immediately after the theft bore defendant's fingerprint.

In addition, the cell phone records identified the recipients of calls that defendant made while on his southward journey. Three of the calls were to a business at 530 Duncan Avenue in Jersey City operated by Jose Gotay, who rented several truck bays there. A fourth call was to Florida, to a cell phone belonging to Nelson Quintanilla. Quintanilla's phone bills showed that, on July 27, the day after the theft, he began a journey northward from Florida, arriving in New Jersey on July 28, shortly before the abandoned tractor-trailer was found.

Of the four uncharged crimes at issue in this case, three involved the recipients of defendant's phone calls. Two were offered by the People to prove that Gotay's truck bays at 530 Duncan Avenue were used as part of a fencing operation. Thus, the People proved that cargo stolen from trailers had been received at Gotay's facility in December 2000, and again in December 2003 (some five months after the crime with which defendant was charged); there was no evidence connecting defendant to either of these two incidents. The People also proved that, in 1996, Quintanilla had been defendant's accomplice in the theft of another trailer. The fourth uncharged crime did not involve either Gotay or Quintanilla: The People proved that defendant had stolen a trailer in April 2000, working with accomplices not connected by any evidence to this case.

Evidence of all four incidents was admitted over defendant's objection under *Molineux*. A jury convicted defendant of grand larceny and criminal possession of stolen property, and the Appellate Division affirmed, with two Justices dissenting (54 AD3d 517 [2008]). An Appellate Division Justice granted leave to appeal, and we now affirm.

II

The rule of *Molineux* is familiar: Evidence of uncharged crimes is inadmissible where its only purpose is to show bad

character or propensity towards crime (*People v Alvino*, 71 NY2d 233, 241 [1987]). The rule, we have explained, “is based on policy and not on logic” (*People v Allweiss*, 48 NY2d 40, 46 [1979]). It may be logical to conclude from a defendant’s prior crimes that he is inclined to act criminally, but such evidence “is excluded for policy reasons because it may induce the jury to base a finding of guilt on collateral matters or to convict a defendant because of his past” (*Alvino*, 71 NY2d at 241). However, “[w]hen evidence of uncharged crimes is relevant to some issue other than the defendant’s criminal disposition, it is generally held to be admissible on the theory that the probative value will outweigh the potential prejudice to the accused” (*Allweiss*, 48 NY2d at 47). A commonly used, though nonexhaustive, list names five so-called *Molineux* exceptions—i.e., purposes for which uncharged crimes might be relevant: “to show (1) intent, (2) motive, (3) knowledge, (4) common scheme or plan, or (5) identity of the defendant” (*Alvino*, 71 NY2d at 242; see also e.g. *People v Ventimiglia*, 52 NY2d 350, 359 [1981]; *Molineux*, 168 NY at 293). Still, even if technically relevant for one of these or some other legitimate purpose, *Molineux* evidence will not be admitted if it “is actually of slight value when compared to the possible prejudice to the accused” (*Allweiss*, 48 NY2d at 47).

Applying these principles to this case, we conclude that the evidence relating to Gotay’s fencing operation and to the crime committed in 1996 by defendant and Quintanilla was admissible. Evidence of the crime committed by defendant in April 2000 was not.

[1] As to the evidence of Gotay’s fencing operation, the issue is easy: This was not *Molineux* evidence at all. The point of *Molineux* is to prevent a jury from convicting a defendant because of his criminal propensity. Evidence of two criminal transactions in which defendant was not involved could show nothing about his propensity. The evidence was relevant to the case: It showed that a business defendant called in the hours immediately after the theft was one where stolen goods could be disposed of, and it thus supported an inference that defendant at that moment needed a fence’s services.

[2] The evidence of the 1996 crime, however, does present a *Molineux* issue, for that crime involved defendant as well as Quintanilla, and could have led a jury to infer that defendant had a propensity for crime. Still, it was not an abuse of discretion to admit the evidence (see *People v Dorm*, 12 NY3d 16, 19 [2009]). The predicate for its admission was evidence showing

that defendant called Quintanilla shortly after the theft; that Quintanilla traveled from Florida to New Jersey beginning the next day; and that Quintanilla arrived in northern New Jersey not long before the discovery of the stolen trailer, with a tractor attached, on a highway in the vicinity. Abandonment of the tractor-trailer (unless the thief walked away from it) was a task that required an accomplice with a second vehicle. The evidence supported an inference that Quintanilla provided defendant with the ride he needed.

We have held that evidence of “a distinctive repetitive pattern” of criminal conduct may be admitted under *Molineux* to show the defendant’s identity (*Allweiss*, 48 NY2d at 48). Repeated commission of similar crimes with the same accomplice is an example of such a pattern (*People v Whitley*, 14 AD3d 403, 405 [1st Dept 2005]; *People v Palmer*, 263 AD2d 361 [1st Dept 1999]). Because the evidence supported a finding that Quintanilla and defendant were working together to commit the crime in this case, *Molineux* did not require that the jury be kept ignorant of the fact that they had worked together on such a transaction before.

[3] There was, however, no valid ground for admitting proof of the April 2000 incident. The People acknowledge, in substance, that the only relevance of that proof was to show that defendant was an experienced trailer thief. This is not, the People argue, pure propensity evidence because of the nature of the crime—a specialized one, that required unusual skills, knowledge and access to the means of committing it. But we see no justification, at least in a case like this, for creating a “specialized crime” exception to *Molineux*. No doubt this crime is beyond the skills of the average citizen; most people could not swiftly hook a trailer to a tractor and drive it away. But the crime could probably have been committed by any experienced tractor-trailer driver, and we cannot believe there was no less prejudicial way to prove that defendant had experience in that line of work. This was not a crime “so unique that the mere proof that the defendant had committed a similar act would be highly probative of the fact that he committed the one charged” (*People v Condon*, 26 NY2d 139, 144 [1970]). Admitting the evidence of the April 2000 incident violated the *Molineux* rule.

III

[4] The outcome of this case thus turns on whether allowing the jury to learn of defendant’s April 2000 crime was harmless error. We conclude that it was.

An error of law may be found harmless where “the proof of the defendant’s guilt, without reference to the error, is overwhelming” and where there is no “significant probability . . . that the jury would have acquitted the defendant had it not been for the error” (*People v Crimmins*, 36 NY2d 230, 241-242 [1975]). Here, though there was no eyewitness to the crime and defendant did not admit it, the proof can fairly be called overwhelming. The key piece of evidence, of course, is defendant’s fingerprint on the toll ticket.

Though the dissent suggests otherwise (dissenting op at 473), we find the proof that the fingerprint was indeed defendant’s to be extremely clear. A qualified expert testified without contradiction that he had found “at least fifteen obvious points of identification in common” between the fingerprint on the toll card and one known to come from defendant’s left index finger. It is of no significance that defendant shares one characteristic—a “loop” rather than a “whorl” or “arch” demarcation—with most of the population; the 15 points of identification prove the fingerprints match. Much of defense counsel’s cross-examination of the expert was devoted to demonstrating that fingerprint analysis is not absolutely infallible; i.e., that mistakes in fingerprint identification are not unknown to history. Nothing in the record gives any ground for serious doubt about the accuracy of this particular identification.

The fingerprint, combined with the time of the toll ticket’s issuance, shows that, within minutes of the time the stolen trailer disappeared, defendant drove a tractor-trailer onto the New York State Thruway at the exit where the theft occurred.* Thruway Authority records showed that the tractor-trailer defendant was driving left the Thruway at Exit 15, the exit that led toward the northern New Jersey area where defendant lived and the trailer was later found. No other tractor-trailer traveled the same route at approximately the same time. Before and shortly after leaving the Thruway, defendant placed phone calls to a fencing operation in northern New Jersey and to a former accomplice in a trailer theft. Beginning the next day, the former accomplice traveled from Florida to northern New Jersey, arriving there shortly before the trailer and the tractor hooked to it were found abandoned on a highway.

* There was also testimony from a tollbooth operator that he remembered seeing, and noticing some unusual features of, a tractor-trailer that entered at Exit 25A that morning. Since this testimony was not precise as to time, did not conclusively identify the tractor-trailer, and did not identify defendant, it adds little to our analysis of the facts.

All these facts were proved by near-irrefutable evidence and, taken together, they exclude to a virtual certainty any hypothesis of defendant's innocence. The idea that he happened to be pulling a trailer other than the stolen one, at the same time and over the same route that the stolen trailer would logically have traveled, while the stolen trailer was for some reason elsewhere, borders on the fanciful. The idea that, at the time of this astonishing coincidence, defendant just happened to place phone calls to Gotay's fencing operation (three times) and to his old accomplice Quintanilla is absurd.

Nor do we see any likelihood that the jury would have acquitted defendant if it had not heard the improperly admitted evidence. The jury properly had before it all the evidence we have just recited. Thus it would have known, without evidence of defendant's April 2000 crime, not only all the facts pointing to his commission of the 2003 theft, but also that he stole a trailer (with Quintanilla) in 1996. As to both the 1996 and the April 2000 incidents, the jury was instructed that they were "no proof whatsoever that he possessed a propensity or disposition to commit the crimes charged in this indictment or any other crime. It is not offered for such a purpose and must not be considered by you for that purpose." Of course, there can be no absolute certainty that the jury followed this instruction—but if it did not, the prejudicial effect of the evidence that was admitted in error could not have added much to the effect of the evidence properly admitted. There is no significant probability that the result in this case would have been different if the trial court had, as it should, excluded the evidence of defendant's April 2000 theft.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). Because the majority resorts to an improper application of the harmless error doctrine where County Court committed a flagrant *Molineux* violation in allowing highly prejudicial evidence as to defendant's prior federal felony conviction and a multitude of other collateral evidence concerning prior criminality, I respectfully dissent.* The glaring error of permitting an FBI special agent to testify at length as

* It is true, as the majority holds, that there is no unique or specialized crime exception under *People v Molineux* (168 NY 264 [1901]) providing for the admission of evidence of a prior complex crime to prove the identity of a defendant for the crime charged. If that were so, a jury would naturally infer

(n. cont'd)

to defendant's prior cargo theft in April 2000—a crime of the very same nature as the charges in this case—most certainly impacted the jury to defendant's detriment. In addition, as this prosecution rested entirely on circumstantial evidence of less than compelling force, invocation of harmless error is not appropriate to avoid the conclusion that defendant was deprived of a fair trial.

Furthermore, County Court's admission of several hundred pages of testimony on numerous other collateral matters is most troubling. In addition to the *Molineux* error in allowing evidence of defendant's prior conviction for cargo theft, the court allowed evidence as to the underlying facts of defendant's alleged involvement in an uncharged cargo theft with an accomplice, one Nelson Quintanilla, in 1996, in yet another tractor-trailer heist. These errors were then further compounded by the admission of testimony from police officers as to the felony conviction of one Jose Gotay—a person not charged in this case—for receiving stolen cargo in December 2000 and his involvement in another such offense in December 2003. All of these collateral matters involved similar types of offenses as those with which defendant here was charged.

According to the majority, there was a nexus bonding the events in this case with Gotay's criminal past based upon phone records showing that calls from one of defendant's cell phones were made at about the time of the crime to a company where Gotay was listed as a contact person, which “supported an inference that defendant at that moment needed a fence's services” (see majority op at 465) sufficient to inject evidence of this third party's crimes into defendant's trial. As to the evidence involving Quintanilla, the majority states that “the evidence supported a finding that Quintanilla and the defendant were working together to commit the crime in this case” (see majority op at 466) when he allegedly abandoned the trailer in northern New Jersey. The majority concludes that the admission of these bad acts by other persons, where it is alleged that defendant was merely in contact with them at or about the time of the commission of the crime, was not unduly prejudicial to defendant. I disagree.

The prejudicial effect that all of this extensive collateral evidence had is clear: the jury was naturally led to believe that, because defendant had committed two cargo thefts in the past

that the defendant was guilty of the instant crime based solely upon propensity, and the ensuing prejudice would be almost insurmountable.

and at the time of this alleged crime telephoned a federally convicted “fence” of stolen goods, he was guilty of the crimes charged here. It is remarkable that one fifth of this trial record—spanning several hundred pages of trial testimony from numerous state and federal law enforcement officers and dozens of exhibits—is consumed by collateral matters, including multiple photographs depicting warehouses, stolen trucks and stolen goods related to extraneous crimes. In total, two FBI agents and three police officers testified as to uncharged matters and convictions involving cargo thefts and stolen goods. Much of the prosecution’s summation was then centered upon these matters.

Our long history of more than a century of *Molineux* jurisprudence guards against the admissibility of a defendant’s prior crimes, except in very limited circumstances, because of the real danger that such evidence would sway the jury to convict the defendant based upon prior bad acts and thus deprive the accused of the fundamental right to a fair trial (see *People v Molineux*, 168 NY 264, 313 [1901]). To introduce *Molineux* evidence, the prosecution must meet its burden of establishing that the probative value of the proffered material outweighs its prejudicial effect (see *People v Alvino*, 71 NY2d 233, 241-242 [1987]).

“Prejudice involves both the nature of the crime, for the more heinous the uncharged crime, the more likely that jurors will be swayed by it, and the difficulty faced by the defendant in seeking to rebut the inference which the uncharged crime [or prior charged crimes] evidence brings into play” (*People v Robinson*, 68 NY2d 541, 549 [1986]).

The reason for this is obvious: “ ‘it is much easier to believe in the guilt of an accused person when it is known or suspected that he [or she] has previously committed a similar crime’ ” (*People v Allweiss*, 48 NY2d 40, 48 [1979], quoting *People v Molineux*, 168 NY at 313). Hence, the admission of such collateral evidence must be subjected to “the most rigid scrutiny” (*Molineux*, 168 NY at 313).

I agree with the majority’s holding that County Court erred in allowing evidence of defendant’s prior federal conviction, but this error cannot be characterized as harmless. As the majority notes, the requirements for the *Molineux* identity exception were not established as to this past crime. Defendant’s prior conviction for a cargo theft was not so unique or peculiar that it

involved a signature offense. As a prosecution witness explained at the trial, the theft of a tractor-trailer is a relatively common type of crime in this general region. Further, no witness at this trial could testify as to how defendant may have stolen this vehicle, much less that he did so in a peculiar and distinctive manner, thereby identifying himself as the culprit. Nor was the collateral evidence probative of a common scheme or plan because that crime and the charges here do not strike “ ‘such a concurrence of common features that the various acts are naturally to be explained as caused by a general plan of which they are the individual manifestations’ ” (*People v Fiore*, 34 NY2d 81, 85 [1974], quoting 2 Wigmore, Evidence § 304, at 202 [3d ed]). Moreover, even had the identity or common scheme or plan exceptions been established—which they were not—the probative value of this collateral evidence would have been outweighed by its potential for prejudice.

As to the evidence of defendant’s uncharged cargo theft with Quintanilla, the majority concludes that this is classic *Molineux* identity evidence. They point out that previously defendant was accused of acting with several individuals in a cargo theft, one of whom he allegedly telephoned at the time of this crime. This mere alleged similarity, however, is not enough to meet the strictures of our *Molineux* jurisprudence.

To establish the identity exception, *Molineux* demands that there be evidence of a distinctive crime forming a uniqueness that necessarily identifies the defendant as its culprit, as would a signature. “A similar *modus operandi* is not enough; there must be sufficient uniqueness to identify the accused as the perpetrator of the crime charged” (Prince, Richardson on Evidence § 4-514 [Farrell 11th ed], citing *People v Robinson*, 68 NY2d at 548-549; *People v Beam*, 57 NY2d 241, 251-252 [1982]; *People v Allweiss*, 48 NY2d at 47-48). As *Molineux* long ago stated, “ ‘the naked similarity of . . . crimes proves nothing’ ” (*Robinson*, 68 NY2d at 549, quoting *Molineux*, 168 NY at 316).

Here, this uncharged cargo theft displays neither any sort of distinctive manner that conclusively identifies defendant in the allegations in this case, nor a pattern of criminal behavior. Rather, this evidence accomplishes nothing more than telling the jury of defendant’s propensity to commit this type of offense based upon his alleged earlier engagement in a similar type of crime along with a person he may have telephoned at the time of this crime. Unknown are the contents of the telephone calls made from defendant’s cell phone to Quintanilla or evidence

sufficient to substantiate the pure supposition that he was involved in the planning and execution of this crime. Thus, the purported linkage to Quintanilla, upon which extensive collateral evidence was based, is speculative and tenuous. Meanwhile, the potential for prejudice injected into the trial by such extensive collateral evidence is clear. As the prosecution argued to the jury in summation:

“Maybe they are friends. It’s good to be friends with your colleagues. That doesn’t mean that at times they’re not involved in some wrongdoing, and this—on this particular date, the calls surrounding this July 26, 2003, incident, I submit to you the evidence is they’re up to no good, they’re scheming about stealing this trailer, and that’s what happened . . .

“This is some planning to steal the trailer here and then sell the contents and make some money from it.”

It is settled law that when evidence is of slight value when compared to the possible prejudice to the accused that it must be excluded (*see People v Allweiss*, 48 NY2d at 47).

County Court then added to this prejudicial effect by allowing evidence of Gotay’s conviction and criminal involvement related to the receiving of stolen goods. The court concluded that Gotay, who remains uncharged in this case, was going to act as a “fence” for these goods merely because defendant had telephoned him at the time of the crime, and that this bare fact was sufficient to put such explosive evidence before the jury. Again, there was no evidence of what the defendant and Gotay may have said in these phone conversations. In considering the admissibility of evidence of prior crimes of third parties as part of the prosecution’s case, though not strictly subject to *Molineux*, the court must be mindful of similar dangers, such as instances where prejudice outweighs probativeness and the danger of the defendant’s propensity to commit the charged crime and his guilt thereof merely by association with individuals with criminal pasts.

We have not hesitated to reverse convictions affected by admission of evidence of uncharged crimes, where the prejudice to defendant was much less acute than in this case (*see People v Resek*, 3 NY3d 385, 387 [2004] [evidence that police were monitoring a car based upon a report that it was stolen could have

been dealt with by less prejudicial means, such as instructing jurors that the defendant's stop of the vehicle and arrest were lawful]; *People v Green*, 35 NY2d 437, 442-443 [1974] [the trial court erred by allowing police testimony that one month earlier they had attempted to enter defendant's apartment because of a drug complaint and the error was prejudicial]). In the recent case of *People v Giles* (11 NY3d 495, 500 [2008]), we held that evidence of prior crimes to show that a debit card was stolen was irrelevant, where there was no proof that defendant committed the prior burglaries, and the resulting prejudice required reversal of defendant's conviction in the absence of a limiting instruction by the trial court.

The majority ascribes no prejudicial effect from multiple law enforcement agents testifying as to these third parties' cargo thefts on the basis that this extensive testimony does not directly relate to defendant's criminal past. They state with confidence that the jury did not impute criminal propensity to defendant from Gotay's conviction and criminal involvement. The jury, however, would naturally have believed that, because defendant associated with a person convicted of receiving stolen goods in the recent past and was in direct communication with him at the time of this cargo theft, defendant committed the crimes charged.

Turning to harmless error, this doctrine is applicable only if two discrete factors are clear: (1) the quantum and nature of the evidence against the defendant must be great enough to excise the error, and (2) the causal effect that the error may nevertheless have had on the jury must be overcome (*see People v Crimmins*, 36 NY2d 230, 240 [1975]). Put differently, it must be established that the evidence against the defendant is overwhelming, such that it is likely that the trial error did not infect the jury's finding (*see id.* at 240-242).

Here, the majority contends that the noncollateral evidence against defendant was so compelling and overwhelming that it "exclude[s] to a virtual certainty any hypothesis of defendant's innocence" (*see majority op* at 468). The noncollateral evidence, however, was neither overwhelming nor particularly compelling. The prosecution's fingerprint evidence taken from a New York State Thruway toll ticket consisted of a partial, smudged left index fingerprint (allegedly from defendant) sharing a loop that is common to 70% of the population. The prosecution urged that this toll ticket handed to a toll booth collector on the route that the driver may have taken was from the only five-axle

truck driving that portion of the highway at around the time of the crime. The second piece of evidence was cell-site information showing that calls were made from one of defendant's cell phones that ostensibly track the same route. There was no testimony from eyewitnesses, DNA evidence, inculpatory statements by defendant, or any contraband (cash or merchandise) recovered from defendant or anyone else. This evidence was certainly not overwhelming in establishing defendant's guilt.

The prejudice to defendant, however, in allowing an FBI agent to testify as to his prior federal felony conviction, along with the underlying facts of that crime, and the admission of another federal agent's testimony regarding the facts from a previous tractor-trailer offense, is significant. Allowing the evidence that defendant contacted a federally convicted "fence" compounded the prejudicial effect of these errors. Finally, the fact that at least one fifth of this trial was dedicated to collateral matters casts serious doubts on whether defendant received a fair trial.

Nor were the errors in admitting extensive testimony of extraneous criminal acts cured by the limiting instructions. County Court's jury instruction first contains a summary of the collateral evidence against defendant, merely highlighting this wrongful evidence to the jury, and then the court told the jury that it must not view these crimes for propensity but for a common scheme or plan and as identity evidence. While the instruction may have served to highlight the wrongly admitted evidence, it certainly failed to cure the prejudice to defendant.

In conclusion, the admission of evidence regarding defendant's prior bad acts and the bad acts of third parties was highly prejudicial and served to deprive defendant of a fair trial. Where the evidence is far from overwhelming, it cannot be said that the result would have been the same if it were possible to extricate such egregious errors.

Accordingly, I would reverse defendant's judgment of conviction and direct a new trial.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order affirmed.

[921 NE2d 145, 893 NYS2d 453]

In the Matter of IVEY WALTON et al., Appellants, v NEW YORK
STATE DEPARTMENT OF CORRECTIONAL SERVICES, Respon-
dent, et al., Respondent.

Argued October 13, 2009; decided November 23, 2009

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 18, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (George B. Ceresia, Jr., J.; op 18 Misc 3d 775), entered in a combined proceeding pursuant to CPLR article 78 and action for a declaratory judgment, which had granted respondents' motion to dismiss the petition.

Matter of Walton v New York State Dept. of Correctional Servs., 57 AD3d 1180, affirmed.

HEADNOTES

Constitutional Law — Separation of Powers — Power to Tax — Challenge to Commissions Paid on Collect Calls by Inmates

1. The collection by the Department of Correctional Services (DOCS) of a commission which represented a percentage of the revenues generated on each collect call placed by an inmate in a DOCS facility was neither a tax, in violation of the Separation of Powers Doctrine embedded in the New York Constitution (NY Const, art III, § 1; art XVI, § 1), nor an improper fee. The contractual obligation of the telephone services provider to remit the commission to DOCS constituted a permissible voluntary contractual arrangement between a governmental entity and the private sector. A per-call calculation commission is a standard method of compensating the owner of the property where a payphone is located. Although the provider intended to collect the total rate from call recipients, including the portion covering the commission, it owed the commission to DOCS regardless of whether it actually received payment from these consumers. The commission was not transformed into a tax or fee just because the provider passed this cost on to call recipients along with its other reasonable operating expenses. Notably, DOCS could not have collected the commission directly from the call recipient, which distinguished this scenario from a tax. The contractual arrangement related to DOCS' performance of a governmental function—the administration of the prison system—but it lacked the hallmarks of a tax or fee because DOCS did not compel petitioners to purchase services from the telephone services provider; nor are telephone services a government benefit. Finally, even if the DOCS commission were viewed as a tax, petitioners' claim for refunds would be barred because they failed to pay the rate under protest.

Constitutional Law — Taking of Property — Challenge to Commis- sions Paid on Collect Calls by Inmates

2. The collection by the Department of Correctional Services (DOCS) of a commission which represented a percentage of the revenues generated on

each collect call placed by an inmate in a DOCS facility was not a “taking” without just compensation in violation of New York Constitution, article I, § 7 (a). A “taking” cannot occur in the absence of government compulsion. Petitioners, legal services providers who represent prisoners and individuals who had accepted collect telephone calls from family members incarcerated in DOCS facilities, were not compelled to pay anything to DOCS or to the telephone services provider, nor was their money or other property confiscated by the state. The acceptance of collect calls was voluntary action and, by taking the calls, petitioners agreed to pay the associated rate. Nor was there any appropriation of private property without “just compensation” because, in exchange for their payments, petitioners received telephone services. The New York Constitution did not require DOCS to ensure that petitioners received telephone services at the lowest possible expense.

Constitutional Law — Freedom of Speech — Challenge to Commissions Paid on Collect Calls by Inmates

3. In a combined declaratory judgment action and proceeding pursuant to CPLR article 78 challenging the collection by the Department of Correctional Services (DOCS) of a commission which represented a percentage of the revenues generated on each collect call placed by an inmate in a DOCS facility, petitioners, legal services providers who represent prisoners and individuals who had accepted collect telephone calls from family members incarcerated in DOCS facilities, failed to state a viable claim under the Free Speech and Association Clause (NY Const, art I, § 8). Notwithstanding petitioners’ allegation that the increased cost of inmate calls resulting from the DOCS commission impaired their constitutionally protected right to speak to and associate with their incarcerated loved ones or clients, petitioners did not allege that the commission was so high that it substantially impaired the limited right of inmates to contact and associate with family members or legal services providers and that the commission bore no reasonable relationship to legitimate penological aims. While inmates have a constitutional right to communicate with the outside world, this does not equate to a right to use a specific means for such communication—the telephone—much less to guarantee telephone services at a particular cost. Inasmuch as alternate means of communication were available to New York inmates and their families, with mail offered at low or no cost, the additional expense associated with the DOCS commission on telephone calls did not imperil the right of inmates to communicate with others.

Constitutional Law — Equal Protection of Laws — Challenge to Commissions Paid on Collect Calls by Inmates

4. In a combined declaratory judgment action and proceeding pursuant to CPLR article 78 challenging the collection by the Department of Correctional Services (DOCS) of a commission which represented a percentage of the revenues generated on each collect call placed by an inmate in a DOCS facility, petitioners, legal services providers who represent prisoners and individuals who had accepted collect telephone calls from family members incarcerated in DOCS facilities, failed to state a cognizable equal protection claim (NY Const, art I, § 11). Petitioners alleged that they had been forced to pay DOCS commissions, which were used by DOCS to fund the New York prison system, even though they were situated no differently from other New York residents. There was no category of individuals situated similarly to petitioners that could be used as a basis for comparison. All recipients of inmate calls were treated the same way under the contract between DOCS and the telephone services provider.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 246–251, 275, 450, 539–542, 555, 581–588, 777, 784, 795, 802, 869; AM JUR 2d, Penal and Correctional Institutions §§ 77, 89.
CARMODY-WAIT 2d, Actions and Proceedings By and Against Convicts §§ 123:12, 123:13, 123:21.
McKINNEY'S, NY Const, art I, § 7 (a); §§ 8, 11; art III, § 1; art XVI, § 1.
NY JUR 2d, Constitutional Law §§ 152, 153, 164, 241, 242, 252, 270, 339, 340, 379, 422–424; NY JUR 2d, Penal and Correctional Institutions §§ 161, 166, 185.

ANNOTATION REFERENCE

See ALR Index under Due Process; Equal Protection; Freedom of Association; Freedom of Speech and Press; Prisons and Prisoners; Separation of Powers; Taxes; Telecommunications.

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POINTS OF COUNSEL

Center for Constitutional Rights, New York City (*Rachel Meeropol* and *Darius Charney* of counsel), and *Community Service Society* (*Juan Cartagena* and *Michelle Light* of counsel), for appellants. I. The Appellate Division erred in dismissing appellants' unlawful tax claim. (*American Ins. Assn. v Lewis*, 50 NY2d 617; *New York Tel. Co. v City of Amsterdam*, 200 AD2d 315; *Matter of Torsoe Bros. Constr. Corp. v Board of Trustees of Inc. Vil. of Monroe*, 49 AD2d 461; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613; *Gasparo v City of New York*, 16 F Supp 2d 198; *Collins Holding Corp. v Jasper County, S.C.*, 123 F3d 797; *Matter of General Tel. Co. of Upstate N.Y. v Lundy*, 17 NY2d 373; *Matter of Cahill v Public Serv. Commn.*, 76 NY2d 102; *Lipscomb v Columbus Mun. Separate School Dist.*, 269 F3d 494.) II. The Appellate Division erred in dismissing appellants' taking claim. (*McGuire v Ameritech Servs., Inc.*, 253 F Supp 2d 988; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Webb's Fabulous*

Pharmacies, Inc. v Beckwith, 449 US 155; *Armstrong v United States*, 364 US 40.) III. The Appellate Division erred in dismissing appellants' equal protection claim. (*Matter of K.L.*, 1 NY3d 362; *Matter of Huckaby v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 4 NY3d 427; *Nordlinger v Hahn*, 505 US 1; *Daleure v Kentucky*, 119 F Supp 2d 683; *Golden v Clark*, 76 NY2d 618; *People v Rodriguez*, 159 Misc 2d 1065; *Sinhogar v Parry*, 53 NY2d 424; *Allegheny Pittsburgh Coal Co. v Commission of Webster Cty.*, 488 US 336; *Corvetti v Town of Lake Pleasant*, 227 AD2d 821; *Matter of Chasalow v Board of Assessors of County of Nassau*, 202 AD2d 499.) IV. The Appellate Division erred in dismissing appellants' freedom of speech and association claim. (*Leon v Martinez*, 84 NY2d 83; *Kleindienst v Mandel*, 408 US 753; *People v Taub*, 37 NY2d 530; *Cox v Louisiana*, 379 US 536; *Cox v New Hampshire*, 312 US 569; *Murdock v Pennsylvania*, 319 US 105; *Matter of Steinbeck v Gerosa*, 4 NY2d 302; *Matter of Children of Bedford v Petromelis*, 77 NY2d 713; *Eastern Conn. Citizens Action Group v Powers*, 723 F2d 1050; *Sentinel Communications Co. v Watts*, 936 F2d 1189.)

Andrew M. Cuomo, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrea Oser of counsel), for respondent. I. The filed rate doctrine bars petitioners' constitutional claims. (*Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *Arkansas Louisiana Gas Co. v Hall*, 453 US 571; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *City of Cleveland, Ohio v Federal Power Commn.*, 525 F2d 845; *American Telephone & Telegraph Co. v Central Office Telephone, Inc.*, 524 US 214; *Louisville & Nashville R. Co. v Maxwell*, 237 US 94; *Bullard v State of New York*, 307 AD2d 676; *Porr v NYNEX Corp.*, 230 AD2d 564, 91 NY2d 807; *City of New York v Aetna Cas. & Sur. Co.*, 264 AD2d 304.) II. In any event, none of the constitutional claims states a cause of action. (*New York Tel. Co. v Town of N. Hempstead*, 41 NY2d 691; *Matter of Algonquin Gas Transmission Co. v Moore*, 2 Misc 2d 997, 6 AD2d 333; *Henderson v Stalder*, 434 F3d 352; *Lipscomb v Columbus Mun. Separate School Dist.*, 269 F3d 494, cert denied sub nom. *Clark v Lipscomb*, 535 US 988; *American Civ. Liberties Union of Tenn. v Bredesen*, 441 F3d 370; *Yonkers Racing Corp. v State of New York*, 131 AD2d 565; *Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 117 AD2d 156, 135 AD2d 4, 72 NY2d 840; *Arsberry v Illinois*, 244 F3d 558, 534 US 1062; *Video Aid Corp. v Town of Wallkill*, 85 NY2d 663; *City of Rochester v Chiarella*, 58 NY2d 316.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Michael J. Sternhell* of counsel), for the Sentencing Project and others, amici curiae. I. The return of prisoners to communities throughout the state is a recognized public policy concern of surpassing magnitude. II. Studies of recidivism uniformly demonstrate that prisoners who maintain close social ties are less likely to engage in crime following release from custody. III. Closer social ties assist former prisoners in managing a range of issues which might otherwise precipitate a return to crime, while also mitigating the effects of incarceration on families and communities. IV. Telephone calls are essential to prisoners' preservation of social ties. (*Overton v Bazzetta*, 539 US 126; *Washington v Reno*, 35 F3d 1093; *Tucker v Randall*, 948 F2d 388.) V. The importance of prison telephone communications has occasioned calls for reform.

Legal Aid Society, New York City (*Steven Banks*, *Scott Rosenberg*, *John Boston* and *Milton Zelermyer* of counsel), for Legal Aid Society of City of New York, amicus curiae. I. The commission paid by private telephone companies into the state treasury and used by respondents to defray the costs of services in correctional facilities was an unfair and unconstitutional tax on the families, friends and advocates of New York State prisoners. II. Executive action of the governor and the enactment of Correction Law § 623 do not moot review of petitioners' constitutional claims.

Weil, Gotshal & Manges LLP, New York City (*Robert F. Carangelo*, *Douglas Lumish* and *Allen Yu* of counsel), and *Innocence Project, Inc.* (*David Loftis* of counsel), for Innocence Project, Inc. and another, amici curiae. I. The restrictions on prisoner communications imposed by the Department of Correctional Services telephone surcharge violates critical First Amendment rights. (*Turner v Safley*, 482 US 78; *Washington v Reno*, 35 F3d 1093; *Morgan v LaVallee*, 526 F2d 221; *Johnson v Galli*, 596 F Supp 135; *Pell v Procunier*, 417 US 817; *Minneapolis Star & Tribune Co. v Minnesota Comm'r of Revenue*, 460 US 575; *Johnson v Avery*, 393 US 483; *Procunier v Martinez*, 416 US 396; *Thornburgh v Abbott*, 490 US 401; *Nasir v Morgan*, 350 F3d 366.) II. The collect call surcharges constitute an illegal tax that should be invalidated. (*American Ins. Assn. v Lewis*, 50 NY2d 617; *New York Tel. Co. v City of Amsterdam*, 200 AD2d 315; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158; *Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613; *Sonmax, Inc. v City of*

New York, 43 NY2d 253; *Castle Oil Corp. v City of New York*, 89 NY2d 334; *Greater Poughkeepsie Lib. Dist. v Town of Poughkeepsie*, 81 NY2d 574; *Matter of Torsoe Bros. Constr. Corp. v Board of Trustees of Inc. Vil. of Monroe*, 49 AD2d 461.)

OPINION OF THE COURT

GRAFFEO, J.

Between 1996 and 2007, the Department of Correctional Services (DOCS) contracted with MCI Worldcom Communications Inc. (MCI) for the provision of telephone services in state prisons. Under the agreement, MCI charged the recipients of inmate collect calls a certain rate and paid a percentage of the revenues generated on each call to DOCS as a commission. The payment of these commissions was later restricted by statute. But this proceeding was commenced by petitioners—family members and legal services providers of inmates incarcerated in DOCS facilities—before such legislative action. Their verified petition and complaint alleges that the portion of the telephone charge allocated as a DOCS commission constituted an illegal tax or fee, amounted to a government taking without just compensation and violated petitioners' equal protection and free speech and association rights. We agree with the Appellate Division that petitioners' allegations fail to assert cognizable claims under the New York Constitution and we therefore affirm.

As detailed in our prior decision (*see Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186 [2007] [*Walton I*]), this controversy arises from DOCS' implementation of a telephone calling system that allowed inmates to contact family, friends and legal services providers using coinless pay telephones without operator assistance. To establish the system, DOCS issued requests for proposals to prospective providers in 1996 and again in 2001 detailing the appropriate security features needed in the prison setting, including technology permitting DOCS to monitor and record calls indefinitely, providing DOCS the capability to restrict access to particular telephone numbers and bar certain users from calling specified numbers, limiting the length of calls and preventing inmate calls from being forwarded by call recipients. As a result of the competitive bidding process, MCI won the contract in both 1996 and 2001. In exchange for receiving exclusive access to inmates and their call recipients, MCI agreed to pay DOCS a commission on each call. During the relevant time frame, the payment of commissions in return for

acquiring access to a customer base was common in inmate calling plans in other states as well as in telephone services contracts outside the prison context. DOCS used the commission revenues to fund a variety of different programs supported by its Family Benefit Fund, such as health care services for inmates, bus services for family visitation programs, free inmate postage and expenses at its visitor centers. Only a small portion of the commission represented the actual costs DOCS incurred in administering the inmate calling program.

Because MCI is a telephone services provider, the rates or tariffs it charges customers require approval from the Federal Communications Commission (interstate calls) and the New York Public Service Commission (PSC) (intrastate calls). In 1998, the PSC approved in their entirety the variable rates that DOCS and MCI had agreed to in their 1996 contract, including a 60% per call commission payment.¹ DOCS and MCI subsequently entered into a similar contract in 2001 that continued the prior tariff schedule but reduced the DOCS commission to 57.5%.

In 2003, DOCS concluded that the existing variable rate structure was unfair to most families receiving calls and, as a result, DOCS and MCI amended their contract to provide for a flat rate (a \$3 surcharge per call plus \$.16 per minute) but continued the DOCS commission at 57.5%. MCI submitted a revised tariff filing with the PSC and a rate review proceeding ensued in which petitioners challenged the total rate as unjust and unreasonable, particularly the portion attributable to the DOCS commission. The PSC approved MCI's rate change in October 2003 but, because DOCS is a government agency and not a telephone services provider, the PSC concluded that it lacked jurisdiction to assess the propriety of the DOCS commission. Thus, it reviewed only the "jurisdictional portion" of the rate—i.e., the 42.5% retained by MCI—and determined that it was just and reasonable. In doing so, the PSC referenced the fact that, outside the prison context, AT&T assessed a \$2.25 surcharge plus a flat rate of \$.30 per minute for station-to-station collect calls—a rate resulting in substantially greater call costs than the MCI "jurisdictional rate." The PSC therefore directed that MCI file the new rate in a bifurcated form that

1. Different but similarly-situated litigants pursued state-court challenges to the 1996 contract but their claims were dismissed (see *Bullard v State of New York*, 307 AD2d 676 [3d Dept 2003]).

made clear to customers which part of the rate would be retained by MCI and which would be forwarded to DOCS.²

In this action, petitioners are two legal services providers who represent prisoners and three individuals who have accepted collect calls from family members incarcerated in DOCS facilities and paid the total rate charged by MCI under the inmate calling plan, including the DOCS commission.³ They commenced this combined declaratory judgment and CPLR article 78 proceeding against DOCS and MCI within four months of the PSC determination. In the verified petition and complaint, petitioners challenged DOCS' collection of the commission on a variety of legal theories, including four state constitutional rationales.

First, petitioners alleged that, by collecting a commission, DOCS was taxing them to pay for Family Benefit Fund services without legislative authorization to impose such a tax. Second, they characterized the DOCS commission as a governmental taking of property (money) without just compensation. Third, they argued that the inclusion of the commission in the rates charged for telephone services violated their right to the equal protection of the law. Finally, they claimed that the call system impeded their freedom to associate with and speak to their loved ones and clients. Based on these causes of action, petitioners sought an injunction precluding MCI from charging more than the 42.5% "jurisdictional rate" reviewed by the PSC; a declaration that DOCS' actions were illegal; and refunds from DOCS for the commissions that had been collected by MCI and forwarded to DOCS.

Respondents DOCS and MCI moved to dismiss the verified petition and complaint as untimely and asserted that the causes of action failed to state cognizable claims for relief. As a separate ground for dismissal, respondents contended that petitioners' challenge to the rate collected by MCI was barred by the filed rate doctrine, which constituted a total defense even if petitioners' allegations would otherwise be actionable. Supreme Court and the Appellate Division dismissed petitioners'

2. Because petitioners did not sue the PSC, the propriety of that agency's decision not to review the total rate to assess whether it was just and reasonable is not before this Court for review.

3. Petitioners have expressed an intent to seek class action certification.

constitutional causes of action as time-barred⁴ but, in *Walton I*, this Court reinstated those claims as timely.

While *Walton I* was pending in this Court, Governor Eliot Spitzer announced a change in executive policy and required DOCS to discontinue the practice of collecting commissions on inmate calls. The Legislature also acted, adopting Correction Law § 623 which, effective April 1, 2008, made it unlawful for DOCS to accept or receive revenue in excess of its reasonable operating costs for administering an inmate calling system (*see* L 2007, ch 240). The parties agree that these executive and legislative actions render petitioners' claims for injunctive relief academic and that any decision in this case will affect the rights and liabilities of these parties only to the extent of determining petitioners' entitlement to refunds.

After we decided *Walton I*, this matter was remitted to Supreme Court to address the arguments raised in the motions to dismiss that had not been reached due to the dismissal on the threshold statute of limitations issue. Supreme Court reviewed each of petitioners' state constitutional arguments—the assertion that the DOCS commission constituted an unlawful tax, that it amounted to a governmental taking without just compensation, that it violated petitioners' equal protection and free speech/association rights—but concluded that petitioners failed to state cognizable claims for relief, warranting dismissal of the verified petition and complaint (18 Misc 3d 775 [2007]). The Appellate Division unanimously agreed with Supreme Court's treatment of the constitutional claims and also addressed DOCS' alternative argument that the refund claims would, in any event, be barred by the filed rate doctrine, rejecting that defense (57 AD3d 1180 [2008]). The case proceeded to this Court as of right.⁵

We begin by clarifying what issues are not before us. Petitioners and the amici curiae urge that DOCS' decision to seek a commission on calls made by inmates was, to say the least, ill-advised. They contend that the inclusion of a commission

4. Petitioners articulated seven causes of action in their complaint. The Appellate Division rejected three of those—the claims for “enforcement” of the PSC determination, an accounting and for relief under General Business Law § 349—on additional grounds unrelated to timeliness and this Court upheld the dismissal of those claims (*Walton I*, 8 NY3d at 194).

5. Since only the constitutional claims were reinstated and the relief potentially available was limited to refunds from DOCS, MCI ceased participating in this case and has not filed a brief in this appeal.

inflated the cost of inmate telephone calls to such an extent that it limited the ability of inmates to maintain family and community ties, with significant public safety and policy consequences since it is well-established that recidivism rates are higher for incarcerated individuals who lack those ties. They claim that DOCS—the agency charged with the care and rehabilitation of inmates—should have adopted an inmate calling system that maximized call affordability to encourage greater communication between inmates and the outside world.

With the caveat that, by its nature, incarceration restricts the ability of a prisoner to associate with family and friends, petitioners' public policy arguments are clearly substantial. But the expedience of the contract design by this executive agency is not before us for review; our task is limited to determining whether our State Constitution precluded DOCS from entering into a telephone services arrangement that included a commission. Petitioners and the amici appropriately presented their concerns to the other branches of government and successfully influenced a change in state policy, first by gubernatorial directive and then by statute. Petitioners were therefore able to achieve the primary relief they sought in this litigation—a change in the inmate calling system, resulting in a significant reduction in costs incurred by call recipients.

The issue that remains for us to decide is whether the now-defunct DOCS policy violated the New York Constitution, a determination that is necessary because petitioners continue to seek refunds for the commission portion of the telephone charges they paid while the former plan was in effect. In reviewing a motion to dismiss, “the court will accept the facts as alleged in the complaint as true, accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Nonnon v City of New York*, 9 NY3d 825, 827 [2007] [internal quotation marks omitted]). Applying this standard, we address each cause of action in turn.

I. The Illegal Tax or Fee Claim

Petitioners begin with the premise that the DOCS commission is a tax and, since taxes can be levied only by legislative bodies, DOCS' contractual decision to collect a commission was illegal as it violated the Separation of Powers Doctrine embedded in the New York Constitution (*see generally* NY Const, art III, § 1; art XVI, § 1). In the same vein, petitioners assert that,

even if not a tax, the commission charges were unlawful because they amounted to fees imposed by a regulatory body that bore no reasonable relationship to the cost of regulation.

A tax is a charge that a government exacts from a citizen to defray the general costs of government unrelated to any particular benefit received by that citizen (*see generally American Ins. Assn. v Lewis*, 50 NY2d 617, 623 [1980]). Only legislative bodies have the power to impose taxes (*see* NY Const, art III, § 1). Municipalities and administrative agencies engaged in regulatory activity can assess fees that need not be legislatively authorized as long as “the fees charged [are] reasonably necessary to the accomplishment of the regulatory program” (*Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613, 619 [1979]). In the regulatory arena, fees must bear at least “a rough correlation to the expense to which the State is put in administering its licensing procedures or to the benefits those who make the payments receive” (*see American Ins. Assn.*, 50 NY2d at 622; *see generally National Cable Television Assn., Inc. v United States*, 415 US 336 [1974]). Typically, fees are paid to obtain access to a government service or benefit, such as the fees paid to obtain licenses to practice professions in particular jurisdictions.

[1] Beyond imposing taxes and engaging in regulatory activities that generate fees, governmental entities can and do participate in other economic activities through voluntary contractual arrangements with the private sector. For instance, they buy, sell and lease real property, they purchase furniture, computers and other commodities, they sell surplus goods, they operate hospitals and colleges, and they enter into agreements with consultants, contractors and service providers. Although petitioners contend that the DOCS commission constituted exaction of a tax or fee, we conclude that MCI’s contractual obligation fell into this other permissible category of governmental activity.

For security reasons, DOCS chose to implement an inmate calling plan facilitated by the installation of coinless payphones used by inmates to place station-to-station collect calls.⁶ Under the plan, the call recipient was advised that the inmate was

6. The decision to implement a collect-call system was plainly within DOCS’ authority. Although, by enacting, the Legislature has foreclosed DOCS from collecting a commission that exceeds the costs incurred for operation of an inmate telephone service, it has clarified that DOCS has the discretion to determine whether to employ “a ‘prepaid’ or ‘collect call’ system, or a combination thereof” (Correction Law § 623 [2]).

calling and then was given the option of accepting or declining the call. If the call was declined, no charges were incurred by the call recipient. If the person agreed to accept the call, the recipient was charged the total telephone services rate, which included the commission MCI was obligated to pay DOCS.

In the telephone services industry, a per-call commission is a standard method of compensating the owner of the property where a payphone is located. These commissions have been deemed “business expense paid to compensate for the rental and maintenance of the space occupied by the payphone and for access to the telephone user” (*Matter of AT & T’s Private Payphone Commn. Plan*, 3 FCCR 5834, 5836 [1988]). Whether the payphone is positioned in a public airport or a private shopping mall, the owner of the property is entitled to reasonable compensation for allowing the telephone services provider access to its property. And, although other ways of calculating the value of the rent or access charge could certainly be devised, per-call commissions have apparently become the industry standard.

Even though this per-call calculation methodology invites the argument that the commission is an additional rate that the provider will undoubtedly pass along to the consumer, commissions have not been viewed by regulatory bodies as a separate tariff. Rather, they are expenses incurred by the telephone services provider, comparable to other types of operating costs, that are encompassed within the tariff ultimately filed with the regulatory agencies and charged to customers (*see e.g. id.*). Not only were such commissions common in the payphone industry but, during the period relevant to this lawsuit, they were often included in other state inmate calling plans where the commission typically ranged from 20% to 63% (*In re Implementation of Pay Tel. Reclassification & Compensation Provisions of Telecom. Act of 1996*, 17 FCCR 3248, 3253 n 34 [2002]).⁷

7. Similar constitutional challenges to the commissions received by prison administrators in connection with other states’ inmate calling plans have not succeeded (*see e.g. Arsberry v Illinois*, 244 F3d 558 [7th Cir 2001], *cert denied* 534 US 1062 [2001]; *Johnson v State of Cal.*, 207 F3d 650 [9th Cir 2000]; *Daleure v Commonwealth of Ky.*, 119 F Supp 2d 683 [WD Ky 2000], *appeal dismissed* 269 F3d 540 [6th Cir 2001]). On one or two occasions, trial courts have allowed First Amendment claims to survive a motion to dismiss (*see e.g. McGuire v Ameritech Servs., Inc.*, 253 F Supp 2d 988 [SD Ohio 2003]), but we conclude, as does the dissent, that the free speech and association claim lacks merit.

Under the contract at issue in this case, the obligation to pay DOCS the commission is imposed on MCI—not call recipients. Although MCI intended to collect the total rate from call recipients (including the portion covering the commission), it owed the commission to DOCS regardless of whether it actually received payment from these consumers. Despite MCI’s contractual obligation to forward the access charge to DOCS, the per-call commission was not a “tax” imposed on the telephone services provider. Of course, having voluntarily participated in the bidding process and entered into an agreement with DOCS, MCI could not, in any event, complain that government compulsion was involved.⁸

Given that no tax or fee has been imposed on MCI—the company that is actually obligated to pay the commission—we are not persuaded that the commission was transformed into a tax or fee just because MCI passed this cost on to call recipients along with its other reasonable operating expenses. If the State leased public property that it owned to a commercial retail business at a profitable rent, would customers be able to complain that they had been “taxed” when the business tenant passed on its rental costs by charging higher prices for its goods? This Court has never held that the government is precluded under the Constitution from charging market rents for its properties, nor have we suggested that, when it does so, its revenues can be no greater than the amount necessary to cover the actual costs associated with ownership or maintenance. Moreover, it is significant that DOCS had no “enforcement” authority vis-à-vis the call recipient and could not attempt to collect the commission from that consumer if MCI failed to do so, another fact that distinguishes this scenario from a tax (*see e.g.* Tax Law § 1133 [b], [c] [allowing State to recover unpaid sales and use taxes from consumers]). Petitioners were given the choice of accepting or rejecting the calls and were charged only if they decided to receive telephone services from MCI.

8. The commission has been analogized to the user charges imposed by public airports on rental car companies and shuttle services who seek access to the customer base provided by such facilities. Claims that these constitute an illegal tax or fee have also been rejected (*see e.g. A & E Parking v Detroit Metro. Wayne County Airport Auth.*, 271 Mich App 641, 723 NW2d 223 [2006]; *Enterprise Leasing Co. v Metropolitan Airports Commn.*, 250 F3d 1215 [8th Cir 2001]). The analogy is, however, somewhat inapt since, in those cases, the user charges were not a creature of contract but were unilaterally imposed by the airport authorities.

Certainly, the contractual arrangement relates to DOCS' performance of a governmental function—the administration of the prison system—but it lacks the hallmarks of a tax or fee because DOCS has not compelled petitioners to purchase services from MCI, nor are telephone services a government benefit (*see generally Valdez v State*, 132 NM 667, 673, 54 P3d 71, 77 [2002] [where call recipients voluntarily accepted inmate calls, rate charged for telephone service was not a tax but was “a price at which and for which the public utility service or product is sold”]).⁹ There was nothing unusual or unique about the commission authorized under the contract between DOCS and MCI because payphone commissions of this type are common within the telephone services industry. DOCS was under no obligation to negotiate a commission—it could have allowed MCI to retain all the profits generated by the calls and, if it had, no colorable claim could have been made that call recipients were being taxed. Yet, it also was not constitutionally required to provide MCI or any other telephone company free access to its facilities, when landowners typically receive compensation for granting such access.¹⁰ In sum, although questionable for other public policy and penological reasons, DOCS' decision to enter into an agreement with MCI that required the telephone services

9. While the dissent is correct that an expense associated with government regulation can be transformed into a tax if it substantially exceeds the costs incurred in administering the program or the government benefits received by the applicant, that analysis is inapplicable here since DOCS is not engaged in regulation of the telephone services industry, nor are telephone services a government benefit. In addition, DOCS has not imposed the commission—it was the product of a voluntary contractual arrangement. This case is therefore unlike the precedent relied on by the dissent involving fees imposed by a state or municipal agency engaged in regulatory activity (*see American Ins. Assn., supra* [“capping” fee imposed on insurers as a condition of doing business in New York constituted an unlawful tax where it bore no relationship to cost of administering licensing program or the benefits received by insurers]; *Suffolk County Bldrs. Assn., supra* [inspection fees imposed by health department with respect to issuance of permits were legitimate because there was a reasonable concurrence between the fees and regulatory program expenses]; *Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158 [1976] [fees imposed on applicants for zoning variances and special use permits were invalid where village failed to demonstrate any correspondence between fees and regulatory costs]).

10. The dissent's list of hypothetical examples of circumstances when the State might abuse its authority (dissenting op at 500-501) misses the mark since there is no analogy in the private sector for any of the hypothetical charges. In contrast, commissions on telephone services are a standard means of calculating rental costs in the payphone services industry—a private-sector business—and, in this case, MCI voluntarily entered into a contractual agreement to pay them to DOCS.

company to pay a commission on telephone calls emanating from coinless payphones on DOCS' properties did not amount to an illegal tax or fee.

Finally, even if the DOCS commission is viewed as a tax as petitioners maintain, their claim for refunds would be barred because they failed to pay the rate under protest (*Video Aid Corp. v Town of Wallkill*, 85 NY2d 663 [1995]). In the context of this case, the protest requirement would have been fulfilled by a letter to MCI and DOCS at the time the bills were paid objecting that the charge was an illegal tax and indicating that payment was being remitted under protest. Petitioners' allegation that such an obligation was excused on a "duress" rationale is not supported by our precedent (*City of Rochester v Chiarella*, 58 NY2d 316, 323 [1983] ["duress . . . is present . . . where payment of a tax is necessary to avoid threatened interference with present liberty of person or immediate possession of property"]).

II. The "Taking" Cause of Action

Article I, § 7 (a) of the State Constitution provides that "[p]rivate property shall not be taken for public use without just compensation." Invoking this provision, petitioners claim that DOCS' collection of a commission is a "taking" without just compensation. Petitioners do not assert that the State has created a property interest in low-cost telephone services for inmate call recipients or anyone else. Rather, the property at issue here is the money petitioners paid for the services provided by MCI.

[2] Petitioners' takings argument suffers from the same disability as their illegal taxation contention—a "taking" cannot occur in the absence of government compulsion. Typically, takings claims involve the appropriation or occupation of property without the owner's consent or, in the case of a regulatory taking, the enactment of legislation or an ordinance that is alleged to have destroyed the commercial value of a particular property (see e.g. *Matter of Smith v Town of Mendon*, 4 NY3d 1 [2004]; *Alliance of Am. Insurers v Chu*, 77 NY2d 573 [1991]). Here, petitioners were not compelled to pay anything either to DOCS or MCI, nor was their money or other property confiscated by the State (cf. *Alliance of Am. Insurers*, *supra* [where State guaranteed that insurers would receive income generated by insurer insolvency fund to which they were required to contribute, legislation raiding the fund amounted

to an unconstitutional taking]). The acceptance of collect calls was voluntary action and, by taking the calls, petitioners agreed to pay the associated rate. They were in control of the length of the calls and, thus, the costs incurred. Just like any other consumer, petitioners purchased a service from MCI and were billed accordingly.

Nor was there any appropriation of private property without “just compensation” because, in exchange for their payments, petitioners received telephone services. Notably, although they assert that DOCS should have arranged for more affordable rates, petitioners do not allege that the rate charged by MCI was exorbitant from a market perspective. As the PSC determination indicated, during the same time frame and with the approval of the PSC, another telephone services provider was charging comparable if not higher rates for station-to-station collect calls in New York outside the inmate calling context. Essentially, petitioners’ takings claim boils down to the contention that DOCS had a constitutional obligation to ensure that the family members and legal services providers of inmates received telephone services at the lowest possible expense. While this might be a desirable policy decision, it was not an obligation mandated by the New York Constitution.

III. The Free Speech and Association Claim

Article I, § 8 of the New York Constitution provides: “Every citizen may freely speak, write and publish his or her sentiments on all subjects, being responsible for the abuse of that right; and no law shall be passed to restrain or abridge the liberty of speech or of the press.” Relying on this provision, petitioners contend that the increased cost of inmate calls resulting from the DOCS commission impaired their constitutionally protected right to speak to and associate with their incarcerated loved ones or clients.

In reviewing the propriety of limitations impacting the free speech and association rights of prisoners, we have employed the same analysis as the United States Supreme Court (*see Matter of Lucas v Scully*, 71 NY2d 399 [1988]). The Supreme Court has made clear that “[p]rison walls do not form a barrier separating prison inmates from the protections of the Constitution . . . , nor do they bar free citizens from exercising their own constitutional rights by reaching out to those on the ‘inside’ ” (*Thornburgh v Abbott*, 490 US 401, 407 [1989] [some internal quotation marks and citations omitted]). But that

being said, challenges to limitations on inmate communication must account for the reality that “[t]he very object of imprisonment is confinement An inmate does not retain rights inconsistent with proper incarceration [a]nd . . . freedom of association is among the rights least compatible with incarceration Some curtailment of that freedom must be expected in the prison context” (*Overton v Bazzetta*, 539 US 126, 131 [2003] [citations omitted]). For this reason, whether a claim is brought by a prisoner, a family member or someone else who wishes to communicate with a prisoner, the claim must be assessed using the same test applied to constitutional restrictions on inmate rights—the *Turner v Safley* standard (482 US 78 [1987]; see *Overton*, *supra*; *Thornburgh*, *supra*). Under *Turner*, when a policy or regulation impinges on a prisoner’s constitutional rights, the action “is valid if it is reasonably related to legitimate penological interests” (*Turner*, 482 US at 89; *Lucas*, 71 NY2d at 405-406).

[3] Thus, to state a viable claim under the Free Speech and Association Clause in this context, petitioners must allege that the DOCS commission was so high that it substantially impaired the limited right of inmates to contact and associate with family members or legal services providers and that the commission bore no reasonable relationship to legitimate penological aims. Even assuming their allegations to be true, petitioners do not meet this threshold.

While inmates unquestionably have a constitutional right to communicate with the outside world in a manner and to an extent consistent with their incarcerative status, petitioners point to no persuasive authority for the proposition that this equates to a right to use a specific means for such communication—the telephone—much less to guarantee telephone services at a particular cost. Virtually every court to have addressed this issue has held that there is no constitutionally guaranteed right of inmates to use a telephone (see e.g. *United States v Footman*, 215 F3d 145, 155 [1st Cir 2000]; *Arsberry v Illinois*, *supra*, 244 F3d 558 [2001] [rejecting First Amendment challenge to Illinois inmate calling plan]). Only one appellate court has indicated in dicta that such a right might exist but it rejected a challenge similar to the one pursued in this case, noting that an inmate has no right to low-cost telephone access and that a rate-based challenge to an inmate calling system would be cognizable only where “the rate charged is so exorbitant as to deprive prisoners of phone access altogether” (see *Johnson v State of Cal.*, *supra*,

207 F3d 650, 656 [2000]; *but see Valdez v Rosenbaum*, 302 F3d 1039, 1048 [9th Cir 2002], *cert denied* 538 US 1047 [2003] [characterizing statement in *Johnson* as dictum and indicating that First Amendment protects right to communicate, not right to use telephone as a means of communication]; *see also Byrd v Goord*, 2005 WL 2086321, 2005 US Dist LEXIS 18544 [SD NY 2005], *not for class certification denied as moot* 2007 WL 2789505, 2007 US Dist LEXIS 71279 [SD NY 2007]).

Given that alternate means of communication remain available to New York inmates and their families (including mail and visitation), with mail offered at low or no cost (in fact, revenues from the DOCS commission were used to fund a free postage program), the additional expense associated with the DOCS commission on telephone calls did not imperil the right of inmates to communicate with others. Indeed, petitioners in this case indicate that they continued to accept collect calls from their loved ones despite the rate charged by MCI, albeit less frequently. Although we do not doubt that petitioners would have engaged in more of the real-time, verbal communication afforded by telephone technology if prices had been lower (and the value of such personal communication was certainly a motivation for the eventual legislation addressing this practice), the hardship they allege is not a constitutionally significant curtailment of the free speech and association guarantee, particularly given the limited nature of that right in prison settings.

IV. The Equal Protection Claim

The New York Equal Protection Clause (NY Const, art I, § 11), modeled after its federal counterpart (*see Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 360 n 6 [1985]; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 530 [1949], *cert denied* 339 US 981 [1950]), commands that “persons similarly situated should be treated alike” (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432, 439 [1985]; *see Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617, 631 [2004]). Unless a suspect class or fundamental right is involved, which is not the case here, classifications that create distinctions between similarly-situated individuals will be upheld if they are rationally related to a legitimate government interest (*Port Jefferson Health Care Facility v Wing*, 94 NY2d 284, 289 [1999], *cert denied* 530 US 1276 [2000]; *Golden v Clark*, 76 NY2d 618 [1990]).

Here, petitioners allege that their equal protection rights have been violated because they have been forced to pay DOCS commissions, which were used by DOCS to fund the New York prison system, even though they are situated no differently from other New York residents. Of course, what differentiates petitioners from the class they identify is that petitioners accepted collect calls from inmates and therefore purchased telephone services from MCI, triggering MCI's obligation to pay DOCS a commission. The other New Yorkers they reference were not charged because they did not receive these telephone services.

[4] In fact, there is no category of individuals situated similarly to petitioners that may be used as a basis of comparison. This is not a case where prison administrators have devised multiple calling programs, offering inmates in one facility rates more favorable than another. All recipients of inmate calls were treated the same way under the DOCS/MCI contract. Even comparing petitioners to the class they most closely resemble—recipients of station-to-station collect calls from non-inmates—they fail to state a cognizable equal protection claim.¹¹ DOCS does not provide telephone services and plays no role in determining the prices paid by recipients of station-to-station collect calls from non-inmates. Thus, even assuming that this class of non-inmate calls is comparable to inmate calls, DOCS has not engaged in action that treats two similarly-situated classes of individuals differently.

Furthermore, petitioners have not alleged that recipients of station-to-station collect calls from non-inmates pay less than the rate they paid MCI. At best, the record suggests the costs were roughly equivalent because, when reviewing MCI's rate, the PSC noted that AT&T imposed a surcharge of \$2.25 per call plus \$.30 per minute—a rate comparable to the inmate calling plan (\$3 surcharge plus \$.16 per minute). Indeed, a 10-minute non-inmate collect call on AT&T's service would cost \$5.25—\$.65 more than MCI charged for the same call from an inmate. Petitioners point out that, beyond the prison environment,

11. This comparison is, however, also imperfect because, for reasons unrelated to the commission, it is to be expected that inmate calls will be more costly than non-inmate calls due to the many security features that must be implemented—features petitioners have not challenged in this lawsuit. And because prisoners initiate the calls, their family members are constrained by those security measures. Petitioners do not dispute that the bundle of security capabilities in the MCI plan need not, and generally is not, provided in regular calling plans involving non-inmates.

individuals can avoid the use of payphones by purchasing calling cards, cell phones or other private telephone services—choices unavailable to inmates. While this is true, it does not further petitioners' constitutional argument because the limitation on the options available to inmates emanates from the security concerns attending their incarcerative status—it is not a function of the DOCS commission. In sum, even assuming petitioners' allegations to be true, because DOCS has not treated two classes of similarly-situated individuals differently, petitioners' equal protection claim was properly dismissed.

In closing, we stress that our holding that petitioners' constitutional challenges to the inclusion of a commission in the DOCS contract for inmate telephone services were lacking in merit should not be misinterpreted as an endorsement of the former DOCS policy. The Executive and the Legislature, the two branches of government responsible for evaluating the penological value of the system's design and the accompanying economic impact on call recipients, have determined that commission charges in excess of actual expenses incurred by DOCS are not a proper cost to be passed on to the families and legal representatives of inmates. We do not doubt the wisdom of that public policy determination.

Having concluded that each of the constitutional claims was properly dismissed, we have no occasion to address DOCS' alternative ground for affirmance—that petitioners' request for refunds was barred by the filed rate doctrine defense.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

READ, J. (concurring). I would affirm the Appellate Division's order on the ground that petitioners' claims are barred by the filed rate doctrine. Thus, I do not reach the constitutional issues that engage the majority.

“The considerations underlying the [filed rate] doctrine . . . are preservation of the [ratesetting] agency's primary jurisdiction over reasonableness of rates and the need to insure that regulated companies charge only those rates of which the agency has been made cognizant” (*Arkansas Louisiana Gas Co. v Hall*, 453 US 571, 577-578 [1981], quoting *City of Cleveland, Ohio v Federal Power Commn.*, 525 F2d 845, 854 [DC Cir 1976] [internal quotation marks omitted]). The doctrine thus “forbids a regulated entity to charge rates [to customers] for its services other than those properly filed

with the appropriate . . . regulatory authority” (*id.* at 577). A customer may sue the agency to obtain judicial review of a rate, but may not collaterally attack the rate in any other type of lawsuit to invalidate or modify it, or seek damages based on the difference between the filed rate and some other rate thought by the customer to be more reasonable (*see Wegoland Ltd. v NYNEX Corp.*, 27 F3d 17, 19 [2d Cir 1994]). This rule is “undeniably strict and . . . may work hardship in some cases,” but is necessary to further the legislative goal of preventing unreasonable and discriminatory charges (*American Telephone & Telegraph Co. v Central Office Telephone, Inc.*, 524 US 214, 222 [1998], quoting *Louisville & Nashville R. Co. v Maxwell*, 237 US 94, 97 [1915] [internal quotation marks omitted]).

On October 30, 2003, the Public Service Commission (PSC) approved a modified rate structure permitting MCI Worldcom Communications, Inc. (MCI) to charge specified rates for inmate collect calls. As a result, petitioners paid the only rate that MCI was legally authorized to charge for these calls (*see* Public Service Law § 92 [2] [d] [utilities may collect only charges that are filed with the PSC and in effect]). On the importance of the PSC’s action, the Appellate Division’s decision in *Bullard v State of New York* (307 AD2d 676 [3d Dept 2003]) is instructive. There, the court affirmed the trial judge’s dismissal of a claim for damages—which arose from the New York State Department of Correctional Services’ (DOCS) 1996 contract with MCI (the predecessor to the contract involved in this lawsuit)—because the statute of limitations had lapsed, and “[a]dditionally . . . the alleged injury . . . arose directly from [claimants’] payment of the filed rate approved by the PSC” (*id.* at 678; *see also Porr v NYNEX Corp.*, 230 AD2d 564, 568 [2d Dept 1997], *lv denied* 91 NY2d 807 [1998] [“It has repeatedly been held that a consumer’s claim, however disguised, seeking relief for an injury allegedly caused by the payment of a rate on file with a regulatory commission, is viewed as an attack upon the rate approved by the regulatory commission. All such claims are barred by the ‘filed rate doctrine’ ”]).

Here, the PSC declined to review and approve the portion of the inmate collect call rate attributable to DOCS’s commission when it ruled on MCI’s proposed modified rate structure. This fact does not cut the ground from under the filed rate doctrine in this case, though, because the PSC nonetheless directed MCI to file the *total* rate—including the commission—which thereby became binding law and “the only lawful charge” that MCI

could impose for inmate collect calls (*American Telephone & Telegraph Co. v Central Office Telephone, Inc.*, 524 US at 222 [internal quotation marks omitted]). As the majority observed in *Walton v New York State Dept. of Correctional Servs.* (8 NY3d 186, 196 [2007] [*Walton I*]), “[w]hile the PSC concluded that it did not have jurisdiction over DOCS, it could have [rejected] MCI’s call rate and surcharge *as a whole*” (emphasis added).¹ It was for this reason alone that the *Walton I* court found petitioners’ lawsuit to be timely, reckoning that their claims accrued on October 30, 2003 because up until the point of the PSC’s order their alleged injuries might have been ameliorated (*id.* at 197). Thus, as in other filed rate cases, petitioners’ ostensible damages arise from a rate duly filed with and authorized by the ratesetting agency.

Further, the PSC, in fact, established the reasonableness of the total rate despite its disclaimer with respect to DOCS’s commission. In reviewing and approving just that portion of the rate to be retained by MCI, the PSC considered the rates charged by AT&T for *non*-inmate station-to-station collect calls. The evidence showed that the total cost of a 10-minute inmate collect call (including the commission) was \$4.60 (\$3 surcharge plus 16 cents per minute), which was significantly *less* than the \$5.25 that AT&T charged for a 10-minute station-to-station collect call outside the prison context (\$2.25 surcharge plus 30 cents per minute). As one of the amici points out, there are good reasons to encourage inmates to maintain their ties to family and the community, and an economical inmate call rate makes this easier. But an inmate call rate is not unreasonable just because it is not as low as it might be.

The dissent appears troubled by the notion that the filed rate doctrine might mandate dismissal of what remains of this lawsuit—a claim for refunds of the commissions (the allegedly excessive portion of the rate) from October 30, 2003 onward. I am hardly the first judge to understand the filed rate doctrine to preclude claims against state-operated prisons or telephone companies arising from the rates charged for inmate collect

1. The dissent suggests that the PSC did not act within its “jurisdiction” as required by the filed rate doctrine because it did not have the “power to decide” whether DOCS’s commission was reasonable or lawful (dissenting op at 498). But whether or not the PSC possessed this particular “power to decide” makes no difference: the PSC clearly acted within its jurisdiction to approve telephone tariffs—which is to say it acted within its jurisdiction for purposes of the filed rate doctrine—when it ordered MCI to file the total rate.

calls (*see e.g. Valdez v State*, 132 NM 667, 671, 54 P3d 71, 75 [Sup Ct 2002] [filed rate doctrine barred claims for damages, restitution, or imposition of constructive trust on account of commissions on inmate collect calls where regulatory agency had “exempted inmate telephone services from several of its regulations and (had) authorized the rates at issue”]; *see also Severin, Is There a Winning Argument Against Excessive Rates for Collect Calls from Prisoners?*, 25 Cardozo L Rev 1469, 1483-1490 [2004] [discussing cases where filed rate doctrine prevented litigants from successfully challenging prison phone rates that include commissions]).

And to be clear, I am not somehow taking the position that “a rate . . . placed in a regulatory agency’s file [is] unchallengeable, whether the agency has authority to regulate that rate or not” (dissenting op at 498). I am simply saying that petitioners were required to raise their constitutional and any other objections to the inmate collect call rate in a CPLR article 78 proceeding brought against the PSC to challenge its October 30, 2003 order. If successful, they would have been entitled to prospective relief only (*see Matter of Burke v New York State Pub. Serv. Commn.*, 47 AD2d 91, 95-96 [3d Dept 1975], *affd* 39 NY2d 766 [1976]; *Matter of Long Is. Light. Co. v Public Serv. Commn. of State of N.Y.*, 80 AD2d 977, 978 [3d Dept 1981], *lv denied* 54 NY2d 601 [1981]).² Once petitioners chose not to contest the PSC’s October 30, 2003 order, the filed rate doctrine kicked in to bar them from launching this collateral attack on the rate.

SMITH, J. (dissenting). In *Arsberry v Illinois* (244 F3d 558, 566 [7th Cir 2001]), a case much like the present one, Judge Posner explained what the state was doing: “[T]he State . . . exercising as it does an iron control over access to the inmate

2. Petitioners participated extensively in the administrative proceedings before the PSC, which culminated in the October 30, 2003 order (*see In re MCI WorldCom Communications*, case 03-C-1058, 2003 WL 22495521, 2003 NY PUC LEXIS 616 [Oct. 30, 2003]). They raised the same constitutional objections to MCI’s proposed revised tariff as they press in this lawsuit against DOCS (2003 WL 22495521, at *4-5, 2003 NY PUC LEXIS 616, at *12-15; *cf. Feigley v Pennsylvania Pub. Util. Commn.*, 794 A2d 428 [Pa Commw Ct 2002] [affirming Public Utility Commission’s disposition of administrative complaint brought by inmate’s wife and a citizen’s group alleging that inmate collect call rates violated federal constitutional free speech rights and equal protection guarantee]). The PSC declined to address petitioners’ constitutional objections, but this only gave them an additional argument on appeal; it did not somehow supply a ground for petitioners to contest the rate in a lawsuit against DOCS rather than the PSC.

market, has rented pieces of the market to different phone companies . . .” Judge Posner explained that the state was in substance “charging fees or taxes that exploit the monopoly of force that is the definition of government” (*id.*). But he, like today’s majority, thought there was no constitutional problem in the government’s making money by renting out its police power. I think there are very serious problems. Before discussing them, however, I will address the idea advanced by the concurrence that it does not matter whether the State has acted constitutionally or not, because the “filed rate” doctrine bars any review of the question.

I

The Public Service Commission (PSC) held that it had no power to decide whether DOCS acted reasonably or unreasonably, lawfully or unlawfully, in demanding that MCI pay to the State an extortionate commission on inmates’ telephone calls. The portion of MCI’s rates that resulted from the State’s commission was labeled by the PSC as “non-jurisdictional.” This ruling seems right to me; why should the constitutionality of the State’s practice be a matter for the PSC to decide? And if the PSC was right to disclaim jurisdiction, it seems obvious that the filed rate doctrine has no application here.

That doctrine states that a regulated entity may not “charge rates for its services other than those properly filed with the appropriate . . . regulatory authority” (*Arkansas Louisiana Gas Co. v Hall*, 453 US 571, 577 [1981]). And of course, in *Arkansas Louisiana Gas Co.*, as in every other case applying the filed rate doctrine that I am aware of, the “appropriate” regulatory authority was one that had jurisdiction over the rate. If that were not so—if the word “filed” were taken literally, so that a rate that is placed in a regulatory agency’s file were unchallengeable, whether the agency has authority to regulate that rate or not—the result would be intolerable. The filed rate doctrine would give state officials an all-purpose shield against any independent scrutiny of their behavior. A state could nullify anyone’s constitutional right, simply by demanding a commission from the telephone company on calls made by the person the state wanted to victimize—and the resulting telephone rate would be immune from challenge if it was on file with a regulatory agency that had no jurisdiction to alter or reject it.

Surprisingly, my concurring colleague never says whether she thinks the PSC’s disclaimer of jurisdiction in this case was right

or wrong. But I infer that she thinks it was wrong—that the PSC did have jurisdiction to consider petitioner’s constitutional arguments—partly because, as I have explained, I think it obvious that if the PSC was right, the filed rate doctrine cannot apply. Indeed, the concurrence says that “petitioners were required to raise their constitutional . . . objections to the inmate collect call rate in a CPLR article 78 proceeding brought against the PSC” (concurring op at 497)—a strange thing to do if the PSC acted properly in ignoring those constitutional objections.

If I have correctly understood the concurrence’s position, I disagree with it because, as I have said, the constitutional issues seem inappropriate for PSC consideration. *Walton I* provides no support for the contrary view, despite our remark, to which the concurrence refers (concurring op at 496), that the PSC “could have determined that MCI’s call rate and surcharge as a whole” were unlawful (*Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186, 196 [2007]). What we meant, as we explained in the next sentence, was that “[i]t was reasonable for petitioners to believe that the PSC could have rejected MCI’s rate and surcharges in their entirety” (*id.*). We did not imply that the PSC erred by refusing to examine the entire rate and surcharge. It did not err; it properly found the portion of the rate attributable to the State’s commission to be beyond its jurisdiction; and the filed rate doctrine is inapplicable to this case.

II

It is plain from the complaint that the State charged petitioners—indirectly, through MCI—sums far in excess of what it cost the State to provide the service from which petitioners benefitted. The complaint says that the costs of maintaining and operating the prison telephone system were less than 8% of the money the State received from it. A document in the record suggests that the disproportion was even greater—that costs were less than 2% of revenues. It is also plain that the State was able to make this huge profit because it had imprisoned the people that petitioners wanted to talk to—that the State was, as Judge Posner put it, exploiting its monopoly of the “inmate market.” I think these allegations are sufficient to sustain petitioners’ claims of unconstitutional taxation, unlawful taking, and denial of equal protection. (I agree with the majority that petitioners’ free speech and association claims are legally insufficient.)

Usurpation of the Power to Tax

It is undisputed that if the payments at issue in this case are properly characterized as taxes, the State has violated the Constitution. Taxation is the province of the Legislature (*see* NY Const, art III, § 1; art XVI, § 1) and DOCS makes no claim that it may levy taxes without legislative authorization.

Taxation is, of course, the normal means by which states raise revenue, but two others have been recognized, which may be labeled as “user fees” (e.g., the State can charge for licenses to defray the cost of a regulatory program) and “market transactions” (e.g., the State can rent its unused office space, or sell its surplus property, for whatever it can get). (Perhaps there are still other valid ways of raising revenue, but no one has claimed that they are applicable in this case.) The payments in issue here cannot be defended as user fees, because the power to charge such fees is limited by the rule “that the fees charged be reasonably necessary to the accomplishment of the regulatory program” (*Suffolk County Bldrs. Assn. v County of Suffolk*, 46 NY2d 613, 619 [1979]; *see also Jewish Reconstructionist Synagogue of N. Shore v Incorporated Vil. of Roslyn Harbor*, 40 NY2d 158, 162-163 [1976]).

Thus, DOCS either unconstitutionally exercised the taxing power or it engaged in legitimate market transactions. I conclude that it did the former.

The majority holds that DOCS was engaging in market transactions, drawing an analogy to a per-call commission that might be charged by an owner of real property for use of a pay telephone “in a public airport or a private shopping mall” (majority op at 486). The majority overlooks an obvious distinction: the people who use the phones at airports and shopping malls are not prevented from leaving the premises by armed guards. The owner of the shopping mall is ordinarily a private entity; the owner of the airport may be a public one, but in allowing use of its premises for a pay telephone it is acting essentially as a private market participant. It is not exploiting, to quote Judge Posner once more, “the monopoly of force that is the definition of government” (*Arsberry*, 244 F3d at 566).

Here, the State has used its imprisonment of inmates as a source of economic leverage. I cannot accept this as legitimate market activity. If the State can do this, why could it not charge for in-person visits to prison inmates—at a rate 50 times the cost of making such visits possible? Why could it not charge

commissions—limited not by the State’s costs, but only by what the traffic would bear—on sums earned by inmates in work release programs? Why could it not charge prisoners who seek furloughs an amount limited only by the prisoners’ willingness to pay? I cannot believe that the majority would characterize any of these transactions as normal attempts by a government agency to turn a profit in a marketplace, but the majority offers no adequate explanation of why the transactions in this case are different.

A tax is “a compulsory contribution for the purpose of defraying the cost of government” (*American Ins. Assn. v Lewis*, 50 NY2d 617, 623 [1980]). Our cases establish that a contribution may be “compulsory” without being literally compelled on pain of fine or imprisonment: thus, the fees imposed on insurers in *American Insurance Association* were taxes, even though the insurance companies were not literally compelled to transact business in the State; the fees in *Jewish Reconstructionist Synagogue* were taxes, though the synagogue was not compelled to apply for zoning permits and variances; and the fees in *Suffolk County Builders* would (if not legitimate user fees) have been taxes, though the builders were not compelled to seek licenses and approvals, or even to put up buildings. The question is whether the State has applied an unacceptable degree of coercion in exacting the payments. As Justice Holmes explained in *Federal Land Bank of New Orleans v Crosland* (261 US 374, 378 [1923])—a case holding that fees charged for the recording of deeds were an unlawful tax, to the extent they exceeded the state’s expenses of maintaining its registry: “The State . . . cannot use its control as a means to impose a liability that it cannot impose directly.”

I would hold that where, as in this case, the State has leveraged its police power for a profit, enough coercion is present to make the transaction involuntary—a tax, not an innocent marketplace exchange.

Unconstitutional Taking

The issue of coercion is likewise critical to the takings claim. The majority oversimplifies in saying that “a ‘taking’ cannot occur in the absence of government compulsion” (majority op at 489)—indeed, if it means “compulsion” literally, it misstates the law. The United States Supreme Court has held that surrenders of property rights not literally compelled by the government are nevertheless “takings” if they are exacted in exchange for

benefits that do not have a nexus to, or are not roughly proportional to, the property rights taken—even though the benefits were ones the state was free to withhold entirely (*Dolan v City of Tigard*, 512 US 374 [1994]; *Nollan v California Coastal Comm’n*, 483 US 825 [1987]). Particularly relevant here is *Dolan*, requiring “rough proportionality” between the exaction demanded by the state and the impact on the state of the private activity that furnished the occasion for the demand (*Dolan*, 512 US at 391). I have explained elsewhere why I think the “exactions” analysis of *Nollan* and *Dolan* is not limited to the real property context in which those cases arose (*Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327, 379-380 [2005, R.S. Smith, J., dissenting]). I do not see how the State’s conduct here, as alleged in the complaint, can withstand an exactions analysis, and I would therefore uphold petitioners’ takings claim.

Equal Protection

If I were to view the payments made by petitioners here as no more than voluntary payments for telephone service, I would agree with the majority that petitioners have not been deprived of equal protection. It is true that petitioners are not similarly situated to any other group of telephone users. But the merit of petitioners’ equal protection claim becomes apparent when the State’s conduct is viewed as a tax, an exaction of money to defray the expenses of government.

The equal protection argument would be essentially the same if the Legislature, seeking to raise funds to operate the prison system, had enacted a tax payable by those people who happened to receive telephone calls from prisoners. I would not think there was an equal protection violation if the State levied such a tax (or user fee) on the prisoners themselves. It is not arbitrary or unfair to require those who have made an expenditure necessary to pay the cost of it. But a tax on everyone who chooses to talk to an inmate on the telephone *is* arbitrary. There is no rational basis for choosing those people, rather than either the inmates or the State’s citizens in general, to keep the prison system solvent. The majority concludes otherwise only by overlooking the fact that the State’s practice was, essentially, a coercive fiscal measure.

Accordingly, I would reinstate petitioners’ unlawful tax, unlawful taking and equal protection claims.

Dissenting opinion by SMITH, J.

Chief Judge LIPPMAN and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge READ concurs in result in a separate opinion; Judge SMITH dissents in another opinion.

Order affirmed, without costs.

[921 NE2d 567, 893 NYS2d 800]

RICHARD E. SNYDER, Appellant, v EDGAR M. BRONFMAN, JR., Respondent.

Argued October 14, 2009; decided November 23, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 23, 2008. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, New York County (Bernard J. Fried, J.; op 19 Misc 3d 1126[A], 2008 NY Slip Op 50859[U]), which had denied defendant's motion to dismiss plaintiff's causes of action for unjust enrichment and quantum meruit; (2) granted the motion; and (3) dismissed those causes of action.

Snyder v Bronfman, 57 AD3d 393, affirmed.

HEADNOTE

Frauds, Statute of — Agreement to Pay Finder's Fee

Quantum meruit and unjust enrichment claims brought to recover the value of plaintiff's services, under an oral agreement, in helping to achieve a corporate acquisition were barred by the statute of frauds contained in General Obligations Law § 5-701 (a) (10). The statute renders void an oral agreement to recover compensation "for services rendered . . . in negotiating the purchase . . . of a business opportunity, business . . . or an interest therein"—with "negotiating" defined to include "procuring an introduction to a party to the transaction or assisting in the negotiating or consummation of the transaction." Plaintiff's claims for unjust enrichment and quantum meruit were essentially identical, and were claims under "a contract implied . . . in law to pay reasonable compensation" within the meaning of the statute. Plaintiff sought compensation for services rendered in finding and negotiating a business opportunity, a claim of precisely the kind the statute of frauds describes.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Restitution and Implied Contracts §§ 37–40, 81, 85; AM JUR 2d, Statute of Frauds §§ 4, 175.
CALAMARI AND PERILLO, CONTRACTS (5th ed) § 19.44.
MCKINNEY's, General Obligations Law § 5–701 (a) (10).
NY JUR 2d, Contracts §§ 603, 609, 610; NY JUR 2d, Frauds, Statute of § 14.
WILLISTON ON CONTRACTS (4th ed) §§ 27:23, 27:24.

ANNOTATION REFERENCE

See ALR Index under Corporations; Frauds, Statute of; Unjust Enrichment.

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POINTS OF COUNSEL

Stillman, Friedman & Shechtman, P.C., New York City (*Paul Shechtman* and *Nathaniel Z. Marmur* of counsel), and *Wilson Sonsini Goodrich & Rosati* (*Robert Gold* and *Meredith Kotler* of counsel) for appellant. Richard Snyder and Edgar Bronfman were parties to an oral joint venture agreement and therefore the statute of frauds (General Obligations Law § 5-701 [a] [10]) does not bar Snyder's claims. (*Matter of ATM One v Landa-verde*, 2 NY3d 472; *Dura v Walker, Hart & Co.*, 27 NY2d 346; *Minichiello v Royal Bus. Funds Corp.*, 18 NY2d 521; *Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Pugliese v Mondello*, 57 AD3d 637; *Foster v Kovner*, 44 AD3d 23; *Charles Hyman, Inc. v Olsen Indus.*, 163 AD2d 232; *Richman v Federated Adj. Co.*, 95 AD2d 850; *Chalmers v Eaton Corp.*, 71 AD2d 721; *Train v Ardshiel Assoc., Inc.*, 635 F Supp 274.)

Gibson, Dunn & Crutcher LLP, New York City (*Orin Snyder* and *Alexander Southwell* of counsel), and *Indraneel Sur*, Washington, D.C., for respondent. I. General Obligations Law § 5-701 (a) (10) bars Richard Snyder's claims based on an alleged oral promise to pay compensation for assistance in negotiating the Warner Music Group acquisition. (*Morgenthau v Avion Resources Ltd.*, 11 NY3d 383; *American Tr. Ins. Co. v Sartor*, 3 NY3d 71; *Thoreson v Penthouse Intl.*, 80 NY2d 490; *Nemelka v Questor Mgt. Co., LLC*, 40 AD3d 505; *Cartier v Lear Siegler, Inc.*, 115 AD2d 584; *Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Kuhl v Piatelli*, 31 AD3d 1038; *Super v Abdelazim*, 108 AD2d 1040; *Intercontinental Planning v Daystrom, Inc.*, 24 NY2d 372; *Minichiello v Royal Bus. Funds Corp.*, 18 NY2d 521.) II. Applying General Obligations Law § 5-701 (a) (10) to bar Richard Snyder's claims is consistent with this Court's decision in *Dura v Walker, Hart & Co.* (27 NY2d 346 [1971]). (*Dung v Parker*, 52 NY 494; *Roberts v Champion Intl.*, 52 AD2d 773; *Intercontinental Planning v Daystrom, Inc.*, 30 AD2d 519, 24 NY2d 372; *Haskins v Loeb Rhoades & Co.*, 52 NY2d 523; *Nemelka v Questor Mgt. Co., LLC*, 40 AD3d 505; *Kuhl v Piatelli*, 31 AD3d 1038; *Sugar Cr. Stores v Pitts*, 198 AD2d 833; *Pugliese v Mondello*, 57 AD3d 637; *Richman v Federated Adj. Co.*, 95 AD2d 850; *Chalmers v Eaton Corp.*, 71 AD2d 721.)

Cullen and Dykman LLP, Garden City (*Jennifer A. McLaughlin* and *Peter J. Mastaglio* of counsel), for Business Council of the State of New York, Inc., amicus curiae. I. General Obligations Law § 5-701 (a) (10) is not applied solely to limited and transitory efforts of a broker or finder. (*Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Baird v Krancer*, 138 Misc 360.) II. Appellant's joint venture claim is neither subject to this Court's review nor viable. (*Langer v Dadabhoy*, 44 AD3d 425; *Nemelka v Questor Mgt. Co., LLC*, 40 AD3d 505; *Freedman v Chemical Constr. Corp.*, 43 NY2d 260.) III. The First Department properly dismissed appellant's causes of action for unjust enrichment and quantum meruit. IV. Appellant's desired exception to General Obligations Law § 5-701 (a) (10) would invite baseless and costly suits against businesses. (*Minichiello v Royal Bus. Funds Corp.*, 18 NY2d 521.)

OPINION OF THE COURT

SMITH, J.

We hold that quantum meruit and unjust enrichment claims brought to recover the value of plaintiff's services in helping to achieve a corporate acquisition are barred by the statute of frauds contained in General Obligations Law § 5-701 (a) (10).

I

Because this case arises on a motion to dismiss the first amended complaint (complaint) under CPLR 3211, we take the facts alleged by plaintiff to be true. Where the allegations are ambiguous, we resolve the ambiguities in plaintiff's favor.

Plaintiff and defendant, who had been casual acquaintances, ran into each other while vacationing in the Caribbean in the winter of 2001-2002. Their meeting led to an oral agreement, characterized by plaintiff as a joint venture, to acquire and operate companies in the media business. Though defendant was a member of a wealthy family, the acquisitions would be made principally with funds from non-family sources.

It was agreed that plaintiff would function as defendant's " 'experienced right hand', 'sounding board', 'loyal ally', 'principal advisor', and most importantly, his 'consigliere.' " The parties agreed that each of them would pay his own expenses and draw no salary, except that defendant, who had already leased new office space, would bear most of the office costs. Defendant assured plaintiff that he would be able to "share in the proceeds on any consummated transaction" without putting up

his own funds. He also guaranteed that “on any consummated deal, [plaintiff] would receive a share of the value created that would be ‘fair and equitable.’ ” It is not alleged that this agreement was reduced to writing, or that any note or memorandum of it exists.

Beginning in January 2002, plaintiff worked on trying to put together acquisitions for the joint venture. Plaintiff “developed for the Joint Venture a series of business relationships with key figures in the corporate and investment banking communities.” He also met with defendant and defendant’s other business associates to discuss possible acquisitions. And he worked on several aborted deals: proposed acquisitions of an interest in the Columbia House Company, of Prestige Brands, and of Vivendi Universal’s media assets.

Finally, a deal came to fruition: defendant and a group of other investors agreed to acquire Warner Music from Time Warner for approximately \$2.6 billion in cash. Plaintiff was a major contributor to this success: he identified the opportunity, persuaded defendant of its merits, helped to get debt financing and obtained financial information from the target company. After the deal was announced, plaintiff pursued an effort to merge Warner Music with one of its competitors, EMI. The proposed EMI merger collapsed, but the deal to acquire Warner Music closed in March 2004.

Defendant invited plaintiff to make an investment in the acquired company, and plaintiff put \$1.3 million into the deal. The following month, however, defendant told plaintiff “[T]here’s no room here for you at Warner’s” and refused plaintiff’s demand for “a lot of money” for plaintiff’s contribution to the transaction. This lawsuit followed.

Plaintiff’s complaint asserted causes of action for breach of a joint venture agreement, breach of fiduciary duty, an accounting of joint venture assets, unjust enrichment, promissory estoppel and quantum meruit. On defendant’s CPLR 3211 motion, Supreme Court dismissed all but the unjust enrichment and quantum meruit claims, finding that the alleged agreement was “too inherently vague to support a joint venture claim” (19 Misc 3d 1126[A], 2008 NY Slip Op 50859[U], *5) and that the promissory estoppel claim was deficient for the same reason. However, Supreme Court held the statute of frauds inapplicable, and concluded that plaintiff “adequately states a cause of action sounding both in

quantum meruit and unjust enrichment,” and thus could recover “reasonable value for any services actually rendered” (*id.* at *7). Defendant appealed to the Appellate Division; plaintiff did not cross-appeal.

The Appellate Division reversed and dismissed the surviving causes of action (*Snyder v Bronfman*, 57 AD3d 393 [1st Dept 2008]). It held that plaintiff’s unjust enrichment and quantum meruit claims “fall squarely within the statute’s broad and unambiguous prohibition as they seek compensation for plaintiff’s role in the acquisition of Warner Music Group” (*id.* at 394). We granted leave to appeal (12 NY3d 709 [2009]), and now affirm.

II

General Obligations Law § 5-701 (a) (10) says, in relevant part:

“Every agreement, promise or undertaking is void, unless it or some note or memorandum thereof be in writing, and subscribed by the party to be charged therewith, or by his lawful agent, if such agreement, promise or undertaking . . .

“Is a contract to pay compensation for services rendered in negotiating a loan, or *in negotiating the purchase*, sale, exchange, renting or leasing of any real estate or interest therein, or *of a business opportunity, business*, its good will, inventory, fixtures or an interest therein, including a majority of the voting stock interest in a corporation and including the creating of a partnership interest. ‘Negotiating’ includes procuring an introduction to a party to the transaction or assisting in the negotiation or consummation of the transaction. *This provision shall apply to a contract implied in fact or in law to pay reasonable compensation . . .*” (Emphasis added.)

The issue before us is whether this statute bars plaintiff’s claims for unjust enrichment and quantum meruit.

Unjust enrichment and quantum meruit are, in this context, essentially identical claims, and both are claims under “a contract implied . . . in law to pay reasonable compensation.” Indeed, the “implied in fact or in law” language was added to the statute in 1964 to make clear that the statute of frauds applies to quantum meruit claims (Letter of John Robert Brook,

Chairman, Assembly Judiciary Committee to Sol Neil Corbin, Counsel to Governor, dated Mar. 12, 1964, Bill Jacket, L 1964, ch 561, at 18). Thus the question is whether the compensation plaintiff seeks is “for services rendered . . . in negotiating the purchase . . . of a business opportunity, business . . . or an interest therein”—with “negotiating” defined to include both “procuring an introduction” and “assisting in the negotiation or consummation of the transaction.”

The answer to this question is yes. The essence of plaintiff’s claim is that he devoted years of work to finding a business to acquire and causing an acquisition to take place—efforts that ultimately led to defendant’s acquisition of his interest in Warner Music. In seeking reasonable compensation for his services, plaintiff obviously seeks to be compensated for finding and negotiating the Warner Music transaction. His claim is of precisely the kind the statute of frauds describes.

Plaintiff’s theory—which Supreme Court accepted—is that his joint venture agreement with defendant was not subject to the statute of frauds, because it was not just a contract to look for and acquire businesses, but one both to acquire them jointly and to operate them jointly after they were acquired. This argument, in our view, misses the point. Plaintiff did not appeal from Supreme Court’s holding that his actual contract with defendant (as opposed to his “implied in law” contract) was unenforceable for indefiniteness. He now concedes that holding was correct, as it clearly was; the contract included no compensation term more specific than “a share . . . that would be ‘fair and equitable.’ ” Whether this unenforceable contract, if it had been otherwise enforceable, would have been barred by the statute of frauds is an academic question, and perhaps an unanswerable one; in any event, there is no reason to answer it here. The question is simply whether plaintiff is now seeking compensation for services rendered in finding and negotiating a business opportunity. He is.

The cases on which plaintiff relies do not suggest a different conclusion. We held in *Dura v Walker, Hart & Co.* (27 NY2d 346 [1971]) that General Obligations Law § 5-701 (a) (10) did not apply to an oral agreement between two finders to share a commission. The rationale of *Dura* was that the statute of frauds applies to brokers’ and finders’ dealings with their principals, “not with one another” (*id.* at 350). *Dura* has no application here. In *Freedman v Chemical Constr. Corp.* (43 NY2d 260, 267 [1977]) we remarked, in the course of holding a plaintiff’s claim

to be barred by General Obligations Law § 5-701 (a) (10), that the plaintiff's role in a transaction was "limited and transitory"—but that does not mean that every broker or finder who plays more than a "limited and transitory" role in a transaction is entitled to recover. The more relevant language in *Freedman* says that "where . . . the intermediary's activity is . . . that of providing 'know-how' or 'know-who', in bringing about between principals an enterprise of some complexity or an acquisition of a significant interest in an enterprise," the statute of frauds applies (*id.*). That describes what plaintiff did here.

Accordingly, the order of the Appellate Division should be affirmed with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed, with costs.

[921 NE2d 164, 893 NYS2d 472]

In the Matter of DANIEL GOLDSTEIN et al., Appellants, v New York State Urban Development Corporation, Doing Business as Empire State Development Corporation, Respondent.

Argued October 14, 2009; decided November 24, 2009

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 12, 2009, in a proceeding pursuant to EDPL 207. The Appellate Division (1) confirmed respondent's determination, made after a public hearing, to acquire petitioners' properties by condemnation; (2) denied the petition; and (3) dismissed the proceeding on the merits.

Matter of Goldstein v New York State Urban Dev. Corp., 64 AD3d 168, affirmed.

HEADNOTES

Limitation of Actions — Commencement of Action after Termination of Prior Action — Judicial Review of Eminent Domain Determination

1. Petitioners' proceeding pursuant to EDPL 207 challenging the condemnation of their properties, commenced more than 30 days after the determination's completion and publication but within six months of the dismissal of petitioners' federal court action challenging the determination, was timely. Although EDPL 207 (A) provides that a proceeding challenging an EDPL 204 condemnation determination must be filed in the appropriate Appellate Division within 30 days following the determination's completion and publication, the CPLR generally applies to EDPL proceedings, and CPLR 205 (a) effectively tolls the running of a statutory period to permit refiling within six months when an action has been timely commenced but dismissed on grounds other than those enumerated in the statute. Here, petitioners' initial challenge to respondent's determination was made in a timely federal court action asserting both federal constitutional claims and a pendant state claim seeking review of the determination pursuant to EDPL 207. The court rejected the federal claims and declined to exercise its supplemental jurisdiction over the state law claim, which was dismissed "without prejudice to its being re-filed in state court" and not upon any of the grounds enumerated in CPLR 205 (a). The EDPL does not, by prescribing a special limitations period within which review of condemnation determinations must be sought, strip a litigant of the benefit of CPLR 205 (a). Nor should policy considerations favoring expedition in condemnation proceedings deny litigants the remedial benefit of CPLR 205 (a), which itself implements the "vitally important" policy preference for the determination of actions on the merits. In actuality, it was not the availability of CPLR 205 (a) that delayed the condemnation here, but rather the availability of a federal forum. Moreover, the 30-day filing period prescribed in

EDPL 207 (A) is merely a limitation upon the time within which a challenge to a condemnation determination may be brought, not a condition of maintaining any such challenge.

**Eminent Domain — Public Use — Land Use Improvement Project —
Rehabilitation of Substandard and Insanitary Areas**

2. The determination authorizing the condemnation of petitioners' properties for inclusion in a land use improvement project proposed by a private developer upon findings by respondent urban development corporation that the area in which the project was to be situated was "substandard and insanitary" did not constitute a taking for the benefit of a private party in violation of article I, § 7 (a) of the State Constitution. The Legislature has the power to provide for the rehabilitation of "substandard and insanitary areas" (NY Const, art XVIII, § 1), and it may grant the power of eminent domain to any public corporation for such purpose (NY Const, art XVIII, § 2). Respondent has been vested with the condemnation power by the Legislature, and sought to exercise the power here for the constitutionally recognized public purpose or "use" of rehabilitating a blighted area. Although there might have been a reasonable difference of opinion as to whether the area in question was in fact "substandard and insanitary" within the meaning of article XVIII, such a difference did not furnish a ground to afford petitioners relief. Whether a matter should be the subject of a public undertaking is ordinarily the province of the Legislature, and the actual specification of the uses identified by the Legislature as public has been largely left to quasi-legislative administrative agencies. Judges may not substitute their views as to the adequacy with which the public purpose of blight removal has been made out unless there is no room for reasonable difference of opinion as to whether an area is blighted.

**Eminent Domain — Public Use — Land Use Improvement Project —
Occupancy Not Limited to Low Income Individuals**

3. In a proceeding to review respondent urban development corporation's determination authorizing the condemnation of petitioners' properties for inclusion in a land use improvement project upon respondent's findings that the area in which the project was to be situated was "substandard and insanitary," the housing units to be built as part of the project were not required to be reserved for low income tenants under article XVIII, § 6 of the State Constitution. The principal, and independent, objectives of article XVIII were to facilitate the clearance of slums and the construction of low rent housing (NY Const, art XVIII, § 1). The commitment of public funds to a land use improvement project involving housing construction does not effect a linkage of the article's otherwise independent purposes. Although article XVIII, § 6, in referring to projects receiving state aid, states that occupancy "shall be restricted to persons of low income" and preference "given to persons who live or shall have lived in" the substandard and unsanitary area undergoing rehabilitation, the intention behind that provision was to provide for replacement of the housing units lost during slum clearance. Here, however, the project was not directed at the wholesale eradication of slums, but rather at alleviating relatively mild conditions of urban blight principally attributable to a large and uninhabited subgrade rail cut. The contemplated clearance would not cause direct displacement of large concentrations of low income individuals. The creation of low income housing, although a generally worthy objective, is not constitutionally required under article XVIII, § 6 as an element of a land use improvement project that does not entail substantial slum clearance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Eminent Domain §§ 42–44, 48, 78, 79, 423, 631;
AM JUR 2d, Limitation of Actions §§ 273–277, 284, 285,
299.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:434,
13:437–13:442, 13:449; CARMODY-WAIT 2d, Eminent
Domain §§ 108:12–108:15, 108:18, 108:136, 108:137,
108:139, 108:282.
MCKINNEY'S, CPLR 205 (a); EDPL 204, 207; NY Const, art
I, § 7 (a); art XVIII.
NY JUR 2d, Eminent Domain §§ 5, 21–30, 60, 354, 356–358,
371, 480; NY JUR 2d, Limitations and Laches §§ 314–316,
318, 320–325.
NEW YORK REAL PROPERTY SERVICE §§ 11:4, 11:5, 11:53.
SIEGEL, NY PRAC § 52.

ANNOTATION REFERENCE

See ALR Index under Eminent Domain; Housing and
Slum Clearance; Limitation of Actions.

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POINTS OF COUNSEL

Emery Celli Brinckerhoff & Abady LLP, New York City (*Mat-
thew D. Brinckerhoff* and *Eric Hecker* of counsel), and *South
Brooklyn Legal Services*, Brooklyn (*Jennifer Levy* and *John C.
Gray, Jr.*, of counsel), for appellants. I. The seizure of appel-
lants' homes and businesses violates the New York Constitu-
tion's Public Use Clause. (*Matter of New York El. R.R. Co.*, 70
NY 327; *Newell v People*, 7 NY 9; *People ex rel. Hackley v Kelly*,
24 NY 74; *People ex rel. Lewisohn v O'Brien*, 176 NY 253; *People
v Rathbone*, 145 NY 434; *People ex rel. Garling v Van Allen*, 55
NY 31; *Matter of King v Cuomo*, 81 NY2d 247; *Settle v Van
Evrea*, 49 NY 280; *Kelo v New London*, 545 US 469; *Browne v
City of New York*, 213 App Div 206.) II. The project violates
article XVIII, § 6 of the New York State Constitution. (*Matter of
King v Cuomo*, 81 NY2d 247; *Settle v Van Evrea*, 49 NY 280;
Matter of Murray v LaGuardia, 291 NY 320; *Kelo v New London*,
545 US 469.) III. Appellants are entitled to appeal to this Court

as of right because this case implicates substantial constitutional questions.

Bryan Cave LLP, New York City (*Philip E. Karmel, J. Kevin Healy, L. Margaret Barry and Ronald Joshua Bliss* of counsel), and *Berger & Webb, LLP* (*Charles S. Webb III and Kenneth J. Applebaum* of counsel), for respondent. I. This Court has no jurisdiction over this proceeding because petitioners have not raised a substantial constitutional question and it was not commenced within the 30-day deadline set by EDPL 207 and 208. (*Matter of East Thirteenth St. Community Assn. v New York State Urban Dev. Corp.*, 84 NY2d 287; *Matter of Anderson v New York State Urban Dev. Corp.*, 45 AD3d 583; *Brody v Village of Port Chester*, 345 F3d 103; *Biz-Biz Corp. v State of New York*, 29 AD3d 720; *Barlow v Sun Chem. Co.*, 15 Misc 3d 953; *Semtek Int'l Inc. v Lockheed Martin Corp.*, 531 US 497; *Kahn v Trans World Airlines*, 82 AD2d 696; *Hakala v Deutsche Bank AG*, 343 F3d 111; *Romano v Romano*, 19 NY2d 444; *Tanges v Heidelberg N. Am.*, 93 NY2d 48.) II. The exercise of eminent domain for the project does not violate the State Constitution. (*Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Berman v Parker*, 348 US 26; *Matter of Murray v LaGuardia*, 291 NY 320; *Kelo v New London*, 545 US 469; *Matter of Aspen Cr. Estates, Ltd. v Town of Brookhaven*, 12 NY3d 735; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Cannata v City of New York*, 11 NY2d 210; *People v Taylor*, 9 NY3d 129; *Payne v Tennessee*, 501 US 808.) III. Article XVIII, § 6 of the State Constitution applies only to state-subsidized low-rent housing projects and thus is inapplicable to Atlantic Yards. (*Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Ginsberg v Purcell*, 51 NY2d 272; *Association for Protection of Adirondacks v MacDonald*, 253 NY 234; *Matter of Murray v LaGuardia*, 291 NY 320; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536; *Dorsey v Stuyvesant Town Corp.*, 299 NY 512; *Atlantic Cleaners & Dyers, Inc. v United States*, 286 US 427; *Kaskel v Impellitteri*, 306 NY 73; *Gart v Cole*, 166 F Supp 129, 263 F2d 244.)

Goldstein, Goldstein, Rikon & Gottlieb, P.C., New York City (*Michael Rikon* of counsel), for Willets Point United, Inc., amicus curiae. I. This Court should hold that private property may not be taken except for a public use. (*Chicago, B. & Q. R. Co. v Chicago*, 166 US 226; *Kelo v New London*, 545 US 469; *Brown v*

Legal Foundation of Wash., 538 US 216; *Hawaii Housing Authority v Midkiff*, 467 US 229; *Lynch v Household Finance Corp.*, 405 US 538.) II. New York's Constitution only allows eminent domain for a public use. (*Wright v United States*, 302 US 583; *Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Kaskel v Impellitteri*, 306 NY 73; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *City of Yonkers v Otis El. Co.*, 844 F2d 42; *Greenwich Assoc. v Metropolitan Transp. Auth.*, 152 AD2d 216, *appeal dismissed sub nom. Matter of Regency-Lexington Partners v Metropolitan Transp. Auth.*, 75 NY2d 865; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400.)

Institute for Justice, Arlington, Virginia (Jeff Rowes, Dana Berliner and Robert J. McNamara of counsel), for Institute for Justice, amicus curiae. I. This Court should follow other states in rejecting complete deference in the context of eminent domain. (*Kelo v New London*, 545 US 469; 99 Cents Only Stores v Lancaster Redevelopment Agency, 237 F Supp 2d 1123; *Taylor v Vermont Dept. of Educ.*, 313 F3d 768; *Matter of 49 WB, LLC v Village of Haverstraw*, 44 AD3d 226; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478.) II. Justice and fundamental fairness require this Court to apply meaningful scrutiny to the use of eminent domain. (*People v Weaver*, 12 NY3d 433; *Kelo v New London*, 545 US 469.)

Michael A. Cardozo, Corporation Counsel, New York City (Paul T. Rephen, Rita D. Dumain and Rochelle H. Cohen of counsel), for City of New York, amicus curiae. I. CPLR 205 (a)'s tolling provision does not apply to a proceeding brought pursuant to EDPL 207 (C). (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Romano v Romano*, 19 NY2d 444; *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Matter of C/S 12th Ave. LLC v City of New York*, 32 AD3d 1; *Matter of Village of Pelham v City of Mount Vernon*, 302 AD2d 397; *Carr v Yokohama Specie Bank, Ltd.*, 272 App Div 64, 297 NY 674; *Bernardez v Federal Deposit Ins. Corp.*, 104 AD2d 309, 64 NY2d 943; *Matter of East Thirteenth St. Community Assn. v New York State Urban Dev. Corp.*, 84 NY2d 287; *Matter of Anderson v New York State Urban Dev. Corp.*, 45 AD3d 583, 10 NY3d 710; *United States Fid. & Guar. Co. v Smith Co.*, 46 NY2d 498.) II. The Court should decline jurisdiction because this appeal does not present substantial constitutional questions. (*Board of Educ. of Monroe-Woodbury Cent. School Dist. v*

Wieder, 72 NY2d 174; *Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of West 41st St. Realty v New York State Urban Dev. Corp.*, 298 AD2d 1, 98 NY2d 727, 537 US 1191; *Matter of New York Pub. Interest Research Group v New York State Thruway Auth.*, 77 NY2d 86; *Murray v LaGuardia*, 291 NY 320; *Matter of Medical Socy. of State of N.Y. v State of N.Y. Dept. of Health*, 83 NY2d 447.) III. The Appellate Division properly found that the proposed acquisition does not violate the Public Use Clause of the New York Constitution and there is no basis to disturb Empire State Development Corporation's determination. (*Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *Rosenthal & Rosenthal, Inc. v New York State Urban Dev. Corp.*, 771 F2d 44; *Kelo v New London*, 545 US 469; *Matter of Waldo's, Inc. v Village of Johnson City*, 74 NY2d 718; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of West 41st St. Realty v New York State Urban Dev. Corp.*, 298 AD2d 1; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Berman v Parker*, 348 US 26; *Matter of Aspen Cr. Estates, Ltd. v Town of Brookhaven*, 12 NY3d 735; *Matter of 49 WB, LLC v Village of Haverstraw*, 44 AD3d 226.)

L. Blake Morris Law Firm, Brooklyn (*Kerry Fontana* of counsel), for Fifth Avenue Committee and another, amici curiae. I. The creation of affordable housing is and always has been a substantial justification for the Atlantic Yards redevelopment project. II. Enforcing the plain language of article XVIII, § 6 of the New York State Constitution will not produce absurd results, nor will it place unjustified burdens on the developer. (*Chelcy v Buffalo Mun. Hous. Auth.*, 24 Misc 2d 598; *Minkin v City of New York*, 24 Misc 2d 818, 10 AD2d 830; *Coalition for Responsible Planning v Koch*, 142 Misc 2d 1038; *Davidson v City of Elmira*, 180 Misc 1052, 267 App Div 797.) III. Respondent's proposed "affordable" housing is not really affordable for low-income persons. IV. Respondent's Modified General Project Plan issued on June 23, 2009 reveals that affordable housing may never be built at the site. V. The Atlantic Yards redevelopment project violates the New York State Constitution. (*People ex rel. Garling v Van Allen*, 55 NY 31; *Matter of King v Cuomo*, 81 NY2d 247; *Settle v Van Evrea*, 49 NY 280; *Bradley v Degnon Contr. Co.*, 224 NY 60; *Kelo v New London*, 545 US 469; *Matter of New York City Hous. Auth. v Muller*, 270 NY 333; *People v P.J. Video*, 68 NY2d 296; *Denihan Enters. v O'Dwyer*, 302 NY 451.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We are asked to determine whether respondent's exercise of its power of eminent domain to acquire petitioners' properties for purposes of the proposed land use improvement project, known as Atlantic Yards, would be in conformity with certain provisions of our State Constitution. We answer in the affirmative.

On December 8, 2006, respondent Empire State Development Corporation (ESDC) issued a determination pursuant to Eminent Domain Procedure Law (EDPL) § 204, finding that it should use its eminent domain power to take certain privately owned properties located in downtown Brooklyn for inclusion in a 22-acre mixed-use development proposed, and to be undertaken, by private developer Bruce Ratner and the real estate entities of which he is a principal, collectively known as the Forest City Ratner Companies (FCRC).

According to the record upon which the ESDC determination was based and by which we are bound (*see Matter of Levine v New York State Liq. Auth.*, 23 NY2d 863, 864 [1969]), the development will extend eastward from the junction of Atlantic and Flatbush Avenues, and include blocks now occupied by the subgrade Vanderbilt rail and MTA bus yards as well as certain blocks bordering the yards to the south. The project is to involve, in its first phase, construction of a sports arena to house the NBA Nets franchise, as well as various infrastructure improvements—most notably reconfiguration and modernization of the Vanderbilt Yards rail facilities and access upgrades to the subway transportation hub already present at the site. The project will also involve construction of a platform spanning the rail yards and connecting portions of the neighborhood now separated by the rail cut. Atop this platform are to be situated, in a second phase of construction, numerous high rise buildings and some eight acres of open, publicly accessible landscaped space. The 16 towers planned for the project will serve both commercial and residential purposes. They are slated to contain between 5,325 and 6,430 dwelling units, more than a third of which are to be affordable either for low and/or middle income families.

The project has been sponsored by respondent ESDC as a "land use improvement project" within the definition of the Urban Development Corporation Act ([Act] L 1968, ch 174,

sec 1, § 3 [6] [c] [McKinney's Uncons Laws of NY § 6253 (6) (c)]), upon findings that the area in which the project is to be situated is "substandard and insanitary" (*see id.*; and *see also* Act § 10 [c] [McKinney's Uncons Laws of NY § 6260 (c)]) or, in more common parlance, blighted. It is not disputed that the project designation and supporting blight findings are appropriate with respect to more than half the project footprint, which lies within what has, since 1968, been designated by the City of New York as the Atlantic Terminal Urban Renewal Area (ATURA). To the south of ATURA, however, and immediately adjacent to the Vanderbilt Yards cut, are two blocks and a fraction of a third which, although within the project footprint, have not previously been designated as blighted. FCRC has purchased many of the properties in this area, but there remain some that it has been unsuccessful in acquiring, whose transfer ESDC now seeks to compel in furtherance of the project, through condemnation. In support of its exercise of the condemnation power with respect to these properties, some of which are owned by petitioners, ESDC, based on studies conducted by a consulting firm retained by FCRC, has made findings that the blocks in which they are situated possess sufficient indicia of actual or impending blight to warrant their condemnation for clearance and redevelopment in accordance with a section 6253 (6) (c) land use improvement plan, and that the proposed land use improvement project will, by removing blight and creating in its place the above-described mixed-use development, serve a "public use, benefit or purpose" in accordance with the requirement of EDPL 204 (B) (1).

Petitioners' initial challenge to ESDC's determination authorizing condemnation of their properties was made in a timely federal court action. The gist of that action was that the disputed condemnation was not supported by a public use and thus violated the Fifth Amendment of the Federal Constitution. In the federal action, petitioners also asserted a pendant state claim, seeking review of the ESDC determination pursuant to EDPL 207. Petitioners' federal claims were rejected by the Federal District Court (*Goldstein v Pataki*, 488 F Supp 2d 254 [ED NY 2007]) and the District Court judgment dismissing the complaint was affirmed by the Second Circuit (516 F3d 50 [2008], *cert denied* 554 US —, 128 S Ct 2964 [2008]). With respect to the state law claim, however, the District Court merely declined to exercise its supplemental jurisdiction (488 F Supp 2d at 291) and, accordingly, its judgment, as affirmed by the

Second Circuit, dismissed that claim “without prejudice to its being re-filed in state court” (*id.*). Within six months, petitioners commenced the present proceeding in the Appellate Division, Second Department (*see* EDPL 207 [A]). The petition alleged two essential, still surviving¹ claims: that the proposed taking was not for a “public use” but for the benefit of a private party and thus would be in violation of article I, § 7 (a) of the New York State Constitution and EDPL 207 (C) (1); and that the condemnation proceeding was not in conformity with the State Constitution (*see* EDPL 207 [C] [1]) for the additional reason that the project it was to advance, although financed with state loans or subsidies, was not limited in occupancy to persons of low income in accordance with the requirement of article XVIII, § 6 of the New York Constitution. In its answer, respondent, while defending the challenged determination on the merits, sought the petition’s dismissal on the ground that it had not been timely brought.

The Appellate Division, although rejecting respondent’s contention that the proceeding was time-barred, found for respondent on the merits (64 AD3d 168 [2d Dept 2009]). It observed that, while the State Constitution, literally read and in its early construction, permitted the taking of property only for “public use,” “public use” had since come to be understood as entailing no more than a dominant public purpose. The Court noted that it was well established that the eradication of blight was such a public purpose and found that ESDC’s blight findings were supported by the area studies contained in the administrative record. As to the contention that the proposed project and, consequently, the condemnation proceeding in its behalf, were not in conformity with article XVIII, § 6, the Appellate Division held that that provision should be read to apply only to projects for the construction of low income housing and not to projects rehabilitating substandard land through improvement, such as Atlantic Yards.

The matter is now before us on petitioners’ appeal as of right on constitutional grounds (CPLR 5601 [b] [1]). Petitioners would have us consider the above-described article I, § 7 and article XVIII, § 6 claims. Respondent, however, contends, as it did before the Appellate Division, that the petition should be dismissed without reaching the merits because it was not filed

1. The due process claim raised by petitioners in the Appellate Division has evidently been abandoned.

in the Appellate Division within 30 days after the completion of the publication of the challenged findings and determination (see EDPL 207 [A]).

I

[1] It is, of course, true that EDPL 207 (A) provides that a proceeding challenging an EDPL 204 condemnation determination must be filed in the appropriate Appellate Division within 30 days following the determination's completion and publication. It is, however, also true that the CPLR generally applies to EDPL proceedings (EDPL 703), and that CPLR 205 (a) effectively tolls the running of a statutory period to permit refiling within six months when an action has been timely commenced but dismissed on grounds other than voluntary discontinuance, lack of personal jurisdiction, neglect to prosecute, or the entry of a final judgment on the merits. It is plain—indeed, expressly so—that the federal dismissal of petitioners' state law claim was not upon any of these grounds and that the dismissal explicitly contemplated the refiling of the state law claim in state court.² It is also plain that the claim was, in fact, refiled in the Appellate Division within six months of the federal dismissal.

Respondent's contentions that petitioners should be deprived of the benefit of CPLR 205 (a) because the EDPL specifically displaces it (see EDPL 703, 705), or by reason of policy considerations favoring expedition in condemnation proceedings, are without merit. The EDPL does not, by prescribing a

2. Here, we note our disagreement with the contention championed by the concurrence that the federal complaint contained no distinct state law claim. The complaint contains a separate cause of action against ESDC alleging, in precise repetition of the ground for review set forth in EDPL 207 (C) (4), that "[n]o public use, benefit or purpose will be served by the property acquisition set forth in the Determination and Findings." Inasmuch as any EDPL 204 public use determination must be in conformity with both the Federal and State Constitutions (EDPL 207 [C] [1]), there is no tenable argument that the allegation was insufficient to raise and preserve an independent state claim. The state claim in the federal action, which would amount to an unexplained superfluity under the reading of the concurrence, was, of course, understood by both the District Court and the Second Circuit to express more than just a restatement of the federal claims also alleged. We see no reason to take a different view of the federal complaint. Certainly, the footnote cited by the concurrence from the Federal Magistrate's decision recommending *Burford* abstention (*Goldstein v Pataki*, 2007 WL 1695573, *1 n 5, 2007 US Dist LEXIS 44491, *5 n 5 [ED NY 2007])—a recommendation the District Court ultimately declined to follow (*Goldstein v Pataki*, 488 F Supp 2d 254 [2007])—is not persuasive in its characterization of the state claim's content.

special limitations period within which review of condemnation determinations must be sought, strip a litigant of the benefit of CPLR 205 (a). Indeed, it is the existence of a limitations period, whether of general or specific application, that is the *raison d'être* of CPLR 205 (a). The provision, founded upon the “sound premise” that a litigant “is entitled to have one adjudication of the substance or merit of his cause where he has initiated a suit in time” (*Carrick v Central Gen. Hosp.*, 51 NY2d 242, 252 [1980] [internal quotation marks and citations omitted]), shares with its venerable predecessor provisions the “broad and liberal purpose” of remedying what might otherwise be the harsh consequence of applying a limitations period where the defending party has had timely notice of the action (*Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933, 935 [1987], quoting *Gaines v City of New York*, 215 NY 533, 539 [1915]), and it has long been understood that that purpose “is not to be frittered away by any narrow construction” (*id.*).

Nor does the appeal to policy avail respondent. The review procedure set forth in EDPL 207 was doubtless intended to promote swift resolution of legal challenges to condemnation determinations. But all limitation periods proceed from policy considerations, among which is the particular desirability in certain kinds of cases of expeditious resolution. It cannot be argued from the existence of such policies, any more than it can from the existence of the limitations periods themselves, that litigants are to be denied the remedial benefit of CPLR 205 (a), which itself implements the “vitally important” policy preference for the determination of actions on the merits (*Hakala v Deutsche Bank AG*, 343 F3d 111, 115 [2d Cir 2003]; see *Carrick*, 51 NY2d at 252). We have declined to subordinate CPLR 205 (a) and the policy preference it embodies even where the effect of our declination was, as it is here, to toll for a substantial period a designedly brief limitations period (see *Matter of Morris Invs.*, 69 NY2d 933 [1987]).

In the final analysis, the only legal basis upon which CPLR 205 (a) might be deemed inapplicable is that the 30-day filing period prescribed in EDPL 207 (A) is to be understood not merely as a limitation upon the time within which a challenge to a condemnation determination may be brought, but as a condition of maintaining any such challenge, i.e., a substantive component of the claim rather than a limitation on the availability of a remedy (see *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375, 378 [1999]). But

such a construction of EDPL 207 (A)'s time limitation is not warranted, either textually or by reason of the provenance of the claim it governs. The statute does not by its terms condition the sufficiency of the claim upon compliance with the 30-day filing period (*cf. Yonkers Contr. Co.*, 93 NY2d at 379), and the claim itself does not owe its existence to the EDPL, which is merely a procedural codification (*see* EDPL 101). The right to challenge a condemnation determination, and particularly to do so upon constitutional grounds, plainly predates and does not depend in substance upon the EDPL. To be contrasted are the claims at issue in the cases cited by respondent, in which the cause and the time limit attached to their commencement were the concurrent and substantively integrated consequence of a statutory enactment (*see Romano v Romano*, 19 NY2d 444, 447 [1967]; *Tanges v Heidelberg N. Am.*, 93 NY2d 48, 55 [1999]).

While the concurrence protests that failure to bar this proceeding because it was not commenced within 30 days of subject condemnation determination will impair the Legislature's comprehensive plan for prompt adjudication of such determinations, this overlooks that it is not in the main the availability of CPLR 205 (a) that has delayed this condemnation, but the availability of a federal forum. Petitioners had every right to litigate their federal claims in federal court and to include in their federal action a supplemental state law cause of action (28 USC § 1367 [a]; *Chicago v International College of Surgeons*, 522 US 156, 169, 171 [1997]). And, even without a state tolling provision, petitioners would have had the right under federal law to recommence their unadjudicated pendant state law claim in state court at the federal action's conclusion (28 USC § 1367 [d]). However much they may have wished to streamline the process, it was not within the power of state legislators to deprive condemnees of access to federal court to litigate federal constitutional public use issues or to limit the federal courts' jurisdiction to adjudicate supplemental state law claims (*see TBK Partners, Ltd. v Western Union Corp.*, 675 F2d 456, 460 n 3 [2d Cir 1982], citing *Railway Co. v Whitton's Administrator*, 13 Wall [80 US] 270, 286 [1872]; *see also Marshall v Marshall*, 547 US 293, 298-299, 313 [2006]). This being the case, it is practically beside the point to cavil about the frustration of the state legislative design.

The prospect of serial federal/state litigation in condemnation proceedings is, in any case, overstated by the concurrence. As respondent itself pointed out in its unsuccessful attempt to have

petitioners' federal action dismissed on abstention grounds, serial litigation of condemnation claims is exceedingly rare:

“[I]n the thirty years since New York’s Eminent Domain Procedure Law (the ‘EDPL’) was enacted in 1977, federal district courts sitting in New York have, in decisions published in the Federal Supplement or available through online sources, considered just *nineteen* suits challenging a condemnor’s proposed exercise of eminent domain pursuant to New York law—only *five* of which included a claim under the Public Use Clause of the Fifth Amendment . . . By contrast, during that same thirty-year period, the various departments of the Appellate Division of the New York Supreme Court have, in reported decisions alone, adjudicated well over 100 proceedings brought pursuant to EDPL § 207—with many of those proceedings involving the consolidated petitions of multiple allegedly aggrieved parties” (mem of law, 2007 WL 539991).

There is no reason to suppose that serial condemnation litigation will now become the order of the day. Our decision to afford petitioners the benefit of CPLR 205 (a) does, and can do, nothing to affect the essential availability of the federal courts in litigation of this kind. There is every reason to suppose that resort to the federal courts to litigate state condemnation challenges will be as rare subsequent to our decision as it had been before. Nor is there reason to suppose that the status quo would be essentially altered by the procedural dismissal the concurrence urges.

II

Turning now to the merits, petitioners first contend that the determination authorizing the condemnation of their properties for the Atlantic Yards project is unconstitutional because the condemnation is not for the purpose of putting their properties to “public use” within the meaning of article I, § 7 (a) of the State Constitution—which provides that “[p]rivate property shall not be taken for public use without just compensation”—but rather to enable a private commercial entity to use their properties for private economic gain with, perhaps, some incidental public benefit. The argument reduces to this: that the State Constitution has from its inception, in recognition of the fundamental right to privately own property, strictly limited

the availability of condemnation to situations in which the property to be condemned will actually be made available for public use, and that, with only limited exceptions prompted by emergent public necessity, the State Constitution's Takings Clause, unlike its federal counterpart, has been consistently understood literally to permit a taking of private property only for "public use," and not simply to accomplish a public purpose.

[2] Even if this gloss on this State's takings laws and jurisprudence were correct—and it is not³—it is indisputable that the removal of urban blight is a proper, and, indeed, constitutionally sanctioned, predicate for the exercise of the power of eminent domain. It has been deemed a "public use" within the meaning of the State Constitution's Takings Clause at least since *Matter of New York City Hous. Auth. v Muller* (270 NY 333 [1936]) and is expressly recognized by the Constitution as a ground for condemnation. Article XVIII, § 1 of the State Constitution grants the Legislature the power to "provide in such manner, by such means and upon such terms and conditions as it may prescribe . . . for the clearance, replanning, reconstruction and rehabilitation of substandard and insanitary areas," and section 2 of the same article provides "[f]or and in aid of such purposes, notwithstanding any provision in any other article of this constitution, . . . the legislature may . . . grant the power of eminent domain to any . . . public corporation" Pursuant to article XVIII, respondent ESDC has been vested with the condemnation power by the Legislature (Act §§ 10, 13 [McKinney's Uncons Laws of NY §§ 6260, 6263]) and has here sought to exercise the power for the constitutionally recognized public purpose or "use" of rehabilitating a blighted area.

Petitioners, of course, maintain that the blocks at issue are not, in fact, blighted and that the allegedly mild dilapidation and inutility of the property cannot support a finding that it is substandard and insanitary within the meaning of article XVIII. They are doubtless correct that the conditions cited in support of the blight finding at issue do not begin to approach in severity the dire circumstances of urban slum dwelling described by the *Muller* court in 1936, and which prompted the adoption of article XVIII at the State Constitutional Convention two years

3. By the time of *Matter of New York City Hous. Auth. v Muller* (270 NY 333 [1936]) it was evident that "[u]se of a proposed structure, facility or service by everybody and anybody is one of the abandoned universal tests of a public use" (*id.* at 342).

later (see 1938 Rep of NY Constitutional Convention Comm, vol 6, part 2, at 636-639). We, however, have never required that a finding of blight by a legislatively designated public benefit corporation be based upon conditions replicating those to which the Court and the Constitutional Convention responded in the midst of the Great Depression. To the contrary, in construing the reach of the terms “substandard and insanitary” as they are used in article XVIII—and were applied in the early 1950s to the Columbus Circle area upon which the New York Coliseum was proposed to be built—we observed:

“Of course, none of the buildings are as noisome or dilapidated as those described in Dickens’ novels or Thomas Burke’s ‘Limehouse’ stories of the London slums of other days, but there is ample in this record to justify the determination of the city planning commission that a substantial part of the area is ‘substandard and insanitary’ by modern tests” (*Kaskel v Impellitteri*, 306 NY 73, 78 [1953], *cert denied* 347 US 934 [1954]).

And, subsequently, in *Yonkers Community Dev. Agency v Morris* (37 NY2d 478, 481-482 [1975]), in reviewing the evolution of the crucial terms’ signification and permissible range of application, we noted:

“Historically, urban renewal began as an effort to remove ‘substandard and insanitary’ conditions which threatened the health and welfare of the public, in other words ‘slums’ (see NY Const, art XVIII, § 1), whose eradication was in itself found to constitute a public purpose for which the condemnation powers of government might constitutionally be employed. Gradually, as the complexities of urban conditions became better understood, it has become clear that the areas eligible for such renewal are not limited to ‘slums’ as that term was formerly applied, and that, among other things, economic underdevelopment and stagnation are also threats to the public sufficient to make their removal cognizable as a public purpose. (See *Cannata v City of New York*, 11 NY2d 210; *Matter of Murray v La Guardia*, 291 NY 320; *Kaskel v Impellitteri*, 306 NY 73, *supra*; *Levin v Township Committee of Twp. of Bridgewater*, 57 NJ 506; *Schenck v City of Pittsburgh*, 364 Pa 31; *Berman v Parker*, 348 US 26, 32;

and see, generally, Bosselman, Alternatives to Urban Sprawl: Legal Guidelines for Governmental Action, Research Report No. 15 to the National Commission on Urban Problems, Wash, DC, 1968, for the historical development of these concepts of urban renewal.)”

It is important to stress that lending precise content to these general terms has not been, and may not be, primarily a judicial exercise. Whether a matter should be the subject of a public undertaking—whether its pursuit will serve a public purpose or use—is ordinarily the province of the Legislature, not the Judiciary, and the actual specification of the uses identified by the Legislature as public has been largely left to quasi-legislative administrative agencies. It is only where there is no room for reasonable difference of opinion as to whether an area is blighted, that judges may substitute their views as to the adequacy with which the public purpose of blight removal has been made out for those of the legislatively designated agencies; where, as here, “those bodies have made their finding, not corruptly or irrationally or baselessly, there is nothing for the courts to do about it, unless every act and decision of other departments of government is subject to revision by the courts” (*Kaskel*, 306 NY at 78).

It is quite possible to differ with ESDC’s findings that the blocks in question are affected by numerous conditions indicative of blight, but any such difference would not, on this record, in which the bases for the agency findings have been extensively documented photographically and otherwise on a lot-by-lot basis, amount to more than another reasonable view of the matter; such a difference could not, consonant with what we have recognized to be the structural limitations upon our review of what is essentially a legislative prerogative, furnish a ground to afford petitioners relief (*see id.* at 79-80; *see also Matter of Waldo’s, Inc. v Village of Johnson City*, 74 NY2d 718, 720 [1989]; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 418 [1986]).

It may be that the bar has now been set too low—that what will now pass as “blight,” as that expression has come to be understood and used by political appointees to public corporations relying upon studies paid for by developers, should not be permitted to constitute a predicate for the invasion of property rights and the razing of homes and businesses. But any such limitation upon the sovereign power of eminent domain as it

has come to be defined in the urban renewal context is a matter for the Legislature, not the courts. Properly involved in redrawing the range of the sovereign prerogative would not be a simple return to the days when private property rights were viewed as virtually inviolable, even when they stood in the way of meeting compelling public needs, but a reweighing of public as against private interests and a reassessment of the need for and public utility of what may now be outmoded approaches to the revivification of the urban landscape. These are not tasks courts are suited to perform. They are appropriately situated in the policy-making branches of government.

The dissenter, after thoughtful review of the evolution of the concept of public use—an evolution that even he acknowledges has sapped the concept of much of its limiting power—urges that there remains enough left in it to require that this case be decided differently. We cannot agree. The Constitution accords government broad power to take and clear substandard and insanitary areas for redevelopment. In so doing, it commensurately deprives the Judiciary of grounds to interfere with the exercise. We have recognized this (*see Matter of Murray v LaGuardia*, 291 NY 320 [1943]; *Kaskel*, 306 NY 73 [1953]; *Yonkers Community Dev. Agency*, 37 NY2d 478 [1975]).

While there remains a hypothetical case in which we might intervene to prevent an urban redevelopment condemnation on public use grounds—where “the physical conditions of an area might be such that it would be irrational and baseless to call it substandard or insanitary” (*Kaskel*, 306 NY at 80)—this is not that case. The dissenter looks at the “blight study” contained in the administrative record and sees only a “normal and pleasant residential community” (dissenting op at 551), but others, it would appear not irrationally, have come to very different conclusions. This is not a record that affords the purchase necessary for judicial intrusion. The situation in the end is remarkably like that presented in *Kaskel* where Judge Desmond, writing for the Court, said:

“Plaintiff does not dispute with defendants as to the condition of these properties or of the whole area. He is simply opposing his opinion and his judgment to that of public officials, on a matter which must necessarily be one of opinion or judgment, that is, as to whether a specified area is so substandard or insanitary, or both, as to justify clearance and

redevelopment under the law. It is not seriously contended by anyone that, for an area to be subject to those laws, every single building therein must be below civilized standards. The statute (and the Constitution), like other similar laws, contemplates that clearing and redevelopment will be of an entire area, not of a separate parcel, and, surely, such statutes would not be very useful if limited to areas where every single building is substandard. A glance at the photographs, attached to the city's affidavit on these motions, shows that a considerable number of buildings in this area are, on a mere external inspection, below modern standards because of their age, obsolescence and decay. The other exhibits confirm this" (*id.* at 79-80).

Here too, all that is at issue is a reasonable difference of opinion as to whether the area in question is in fact substandard and insanitary. This is not a sufficient predicate for us to supplant respondent's determination.

III

Petitioners' remaining contention is that the proposed condemnation should not have been authorized because the land use improvement project it is to advance is not in conformity with article XVIII, § 6 of the State Constitution, which states:

"No loan, or subsidy shall be made by the state to aid any project unless such project is in conformity with a plan or undertaking for the clearance, replanning and reconstruction or rehabilitation of a substandard and unsanitary area or areas and for recreational and other facilities incidental or appurtenant thereto. The legislature may provide additional conditions to the making of such loans or subsidies consistent with the purposes of this article. *The occupancy of any such project shall be restricted to persons of low income as defined by law and preference shall be given to persons who live or shall have lived in such area or areas*" (emphasis added).

Petitioners understand this provision as requiring that any housing built as part of a land use improvement project receiving a state loan or subsidy be reserved for low income tenants. In alleging that Atlantic Yards, as presently configured, does not

comply with article XVIII, § 6, they point out that although it is a land use improvement project expressly governed by article XVIII (see Act § 3 [6] [c] [McKinney's Uncons Laws of NY § 6253 (6) (c)]) that has already received some \$100 million in state financing and is expected to be the recipient of additional state aid earmarked for affordable housing, the majority of the project's housing units are slated to be rented or sold at market rates.

[3] Petitioners' understanding of section 6 does not capture the provision's intendment. The principal objectives of article XVIII were to facilitate the clearance of slums and the construction of low rent housing (art XVIII, § 1). We have recognized that these objectives were not under the article necessarily, or even ordinarily, to be pursued in tandem—indeed, in *Matter of Murray* (291 NY at 331-332) we held that slums might, in accordance with the article, be replaced by non-low-rent housing. *Matter of Murray*, however, did not concern a project to which state funds had been committed (*id.* at 331; and see *Dorsey v Stuyvesant Town Corp.*, 299 NY 512, 521 [1949], *cert denied* 339 US 981 [1950]), and the issue petitioners would now have us determine is whether the commitment of such funds to a land use improvement project involving in its redevelopment phase the construction of housing necessarily effects a linkage of the article's otherwise independent purposes. We hold that it does not.

Article XVIII was, as noted, adopted and approved in the late 1930s to empower government, in partnership with private entities, to deal with the emergent problem of slums, which then spread over large portions of the urban landscape like running sores, endangering the health and well-being of their occupants and the civic life of the municipalities in which they were situated. What was envisioned was the use of the condemnation power to clear large swaths of slum dwellings—in some cases entire neighborhoods. The feasibility and ultimate purpose of this scenario, entailing the massive direct displacement of slum dwellers, required the creation of replacement low cost housing, and it is clear from the record of the 1938 Constitutional Convention that it was to address this need that the last sentence of article XVIII, § 6 was crafted⁴ and, after extended separate consideration and revision, agreed upon (see 4 Rev

4. The author of the section, Mr. William Kuczwalski, in introducing it at the convention stated: "I say that we should remove the slum areas and upon those areas build new, decent homes for the people who cannot afford to live

(n. cont'd)

Rec, 1938 NY Constitutional Convention, at 2998-3014). The sentence in essence assures that if housing is created in connection with a slum clearance project, and the project is aided by state loans or subsidies, the new housing will replace the low rent accommodations lost during the clearance. The framers' intent to provide for replacement of the housing units lost during slum clearance was made explicit at the Constitutional Convention when Mr. Joseph Clark Baldwin, one of the amendment's sponsors, explained "the purpose in [the amendment] is to tie up slum clearance and housing projects" (*id.* at 3001), and is particularly evident in the sentence's last clause, preferring as occupants for the new units those who "live or shall have lived" in the cleared area.

The situation before us is, as petitioners have elsewhere acknowledged and indeed urged, very different from the scenario addressed by the framers of section 6's occupancy restriction. The land use improvement plan at issue is not directed at the wholesale eradication of slums, but rather at alleviating relatively mild conditions of urban blight principally attributable to a large and, of course, uninhabited subgrade rail cut. The contemplated clearance will not cause direct displacement of large concentrations of low income individuals; only 146 persons lived within the project footprint at the time of the final environmental impact statement, and not all of those were persons of low income. It does not seem plausible that the constitutionality of a project of this sort was meant to turn upon whether its occupancy was restricted to persons of low income. While the creation of low income housing is a generally worthy objective, it is not constitutionally required under article XVIII, § 6 as an element of a land use improvement project that does not entail substantial slum clearance. To hold otherwise would in many cases arbitrarily tether land use improvement to the creation of low rent housing and, in so doing, encumber, in a manner plainly without the framers' contemplation, the exercise of one of article XVIII's "separate grants of power" (*Matter of Murray*, 291 NY at 329).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (concurring). I reach the same result as the majority, but for a different reason: the 30-day time limit in Eminent

away or in better habitat. That is the purpose of this amendment" (4 Rev Rec, 1938 NY Constitutional Convention, at 2999).

Domain Procedure Law § 207 (A) is a condition precedent for judicial review of a condemnor's decision to acquire property by eminent domain. As a result, CPLR 205 (a) tolling plays no role in this case. And even if CPLR 205 (a) applied, it would not help petitioners because the Eminent Domain Procedure Law § 207 (C) (1) claim in their federal lawsuit was dismissed on the merits. In short, this lawsuit—which was commenced more than 18 months after the New York State Urban Development Corporation, doing business as Empire State Development Corporation (ESDC), published its determination and findings—is jurisdictionally deficient.

Relevant Provisions of the EDPL

Section 207 of the Eminent Domain Procedure Law, entitled “Judicial review,” establishes the way by which New York courts must review a condemnor's decision to acquire property by exercise of the power of eminent domain. Under section 207 (A), anyone seeking judicial review of a condemnor's findings and determination concerning a proposed public project

“may seek judicial review thereof by the appellate division . . . in the judicial department embracing the county wherein the proposed facility is located by the filing of a petition in such court *within thirty days after the condemnor's completion of its publication of its determination and findings pursuant to section [204] herein*” (emphasis added).

In order to further expedite a final decision, section 207 (A) also calls for the prompt delivery of the transcript of the public hearing on the condemnation and the determination and findings to the court; specifies that the proceeding in the Appellate Division “shall be heard on the record without requirement of reproduction”; and mandates that if the proposed public project “is located in more than one judicial department [the] proceeding may be brought in any one, but only one of such departments and all such proceedings with relation to any single public project shall be consolidated with that first filed.”

Section 207 (B) makes the Appellate Division's jurisdiction exclusive and its judgment and order final subject to our review “in the same manner and form and with the same effect as provided for appeals in a special proceeding.” Further, “[a]ll such proceedings shall be heard and determined by the appellate division . . . and by the court of appeals, as expeditiously as possible and with lawful preference over other matters.” (*Id.*)

Section 207 (C) states that “[t]he court shall either confirm or reject the condemnor’s determination and findings,” and limits the scope of review to four grounds: (1) whether the proceeding conformed with the Federal and State Constitutions (*see* EDPL 207 [C] [1]); (2) whether the condemnor’s statutory jurisdiction or authority encompassed the proposed acquisition (*see* EDPL 207 [C] [2]); (3) whether the condemnor’s procedures complied with the provision in article 2 of the Eminent Domain Procedure Law and article 8 of the Environmental Conservation Law (State Environmental Quality Review Act [SEQRA]) (*see* EDPL 207 [C] [3]); and (4) whether “a public use, benefit or purpose will be served by the proposed acquisition” (*see* EDPL 207 [C] [4]).

Next, section 208 of the Eminent Domain Procedure Law, entitled “Jurisdiction of courts,” states that

“[e]xcept as expressly set forth in [Eminent Domain Procedure Law § 207], and except for review by the court of appeals of an order or judgment of the appellate division . . . as provided for therein, *no court of this state shall have jurisdiction* to hear and determine any matter, case or controversy concerning any matter which was or could have been determined in a proceeding under this article” (emphasis added).

Finally, section 703, entitled “Application of CPLR,” states that “[t]he civil practice law and rules shall apply to practice and procedure in proceedings under [the Eminent Domain Procedure Law] *except where other procedure is specifically provided by [the Eminent Domain Procedure Law]* or rules governing or adopted by the appropriate court” (emphasis added). Concomitantly, section 705, entitled “Applicability with respect to inconsistent laws,” provides that “[n]otwithstanding any inconsistent provisions of law, general or special, the provisions of this law shall be controlling and . . . any interest in real property subject to acquisition shall be acquired pursuant to the provisions of this law.”

Thus, section 207 forges a comprehensive regime for judicial review of a condemnor’s decision to acquire property by eminent domain, each feature of which places a premium on speed: any challenge must be initiated in the Appellate Division, bypassing Supreme Court; only a limited number of carefully spelled out issues may be reviewed; the challenge must be brought within

30 days after the condemnor's determination and findings are published; the usual requirement for reproduction of the record is dispensed with; any subsequent, but still timely, challenge must be consolidated with the first-filed lawsuit so as to achieve a single, unified disposition; and these cases are to be handled as expeditiously as possible and afforded a preference. Section 208 drives home the exclusive nature of the section 207 regime by divesting the state courts of jurisdiction to decide matters encompassed within it in any other way. And then sections 703 and 705 insure that no provision of the CPLR may trump the section 207 regime: section 703 specifies that the CPLR does not apply "where other procedure is specifically provided by [the Eminent Domain Procedure Law]"—and the section 207 regime surely qualifies as "other procedure"—and section 705 states that "[n]otwithstanding any inconsistent provisions of law"—which would, of course, include any inconsistent provisions of the CPLR—"the provisions of [the Eminent Domain Procedure Law]"—which include the section 207 regime—"shall be controlling." In sum, section 207, especially when read in context with sections 208, 703 and 705, creates an exclusive and comprehensive program for judicial review of a condemnor's decision to acquire property by eminent domain, which is not susceptible to alteration by the CPLR. The Eminent Domain Procedure Law's legislative history reinforces what these provisions plainly say.

Legislative History

Reform of New York's fragmented eminent domain laws was spurred in large part by concern for condemnees. In his memorandum supporting a commission to evaluate eminent domain laws and procedures, Governor Nelson A. Rockefeller noted the "delay, confusion and frustration" encountered by condemnees in resolving their claims for just compensation (Interim Rep of State Commn on Eminent Domain, Feb. 1, 1971, at 22).

In the first four months after its organization, the State Commission on Eminent Domain held public hearings. Based on these and other research, the Commission issued an interim report on February 1, 1971, which continued to focus on condemnees' needs as the reason for streamlining judicial oversight of takings using eminent domain (*see id.* at 8). In addition, the report introduced a proposal, which was provided by a participant at a public hearing, to have one court review all condemnation proceedings (*id.* at 27).

The Commission held further meetings, public hearings, and informal hearings with interest groups, and also analyzed eminent domain procedures then in practice and studied takings within New York. It discovered that litigation continued for approximately two years after the filing of the condemnor's map (an act that initiated vesting proceedings) (1971 Rep of State Commn on Eminent Domain, Feb. 1, 1972, at 85 [1971 Report]). The Commission also looked at how eminent domain worked in other countries, and noted that, in the Federal Republic of Germany, judicial review "must normally be sought by petition within one month after the decision" at issue was served on a petitioner (*id.* at 125). But different courts reviewed different challenges which "led to an often troublesome bifurcated system of judicial review" (*id.*). The Commission observed that "[t]o avoid resulting problems," Germany created a board of judges from different courts to review challenges to condemnation decisions (*id.* at 125-126).

In the 1971 Report, the Commission recognized that, as a general rule, the "existing eminent domain statutes in New York [did] not provide for an overall review of a project's beneficial and detrimental effects" (*id.* at 16). As desirable as such overall review might be, however, the Commission was also worried about the deleterious effects of prolonged litigation:

"Nor should the construction of public projects be brought to a standstill, as the need for public projects in an advanced urban society is essential. In addition to the problem of a legal blockade of a project, is the fact that the resort to the courts for a review of a project's possible adverse effects results in a lengthy period of delay before ultimate disposition. The delay means that if a project is approved, construction costs will have greatly increased over the estimate, or if disapproved, alternative solutions must then be proposed, delaying the fulfillment of the need. During this delay the property owner often neglects his property, causing its decline in value and utility" (*id.*; see also *id.* at 25 ["It is a nationwide phenomenon that there is an increased use of the judicial process by opponents of various public projects. If this practice broadens and continues, it may very well result in the suspension of many public projects"]).

From this point, the Commission sought to formulate new rights

to judicial review of takings, but to do so in a such a way as to avoid burdening public projects with undue delay.

The Commission recommended that judicial review be limited to consideration of the condemnor's compliance with the statutory procedure. As a counterweight to limited judicial review, the Commission made two recommendations. First, the new statute should provide adequate process in which the condemning agency must review the project (*id.* at 25 ["It is felt that the procedure recommended by the Commission will create (adequate project review), and accordingly, the Commission recommends that only a limited right to seek court review be established. The basis of judicial scrutiny would be limited to ensure that the condemnor has complied with the procedural requirements, such as the extensive notice provisions. Review of the wisdom of the decision or basis therefor is not permitted"]). This review by the condemning agency would be followed by a second review undertaken by a new independent Board of Review. Second, public participation early on in a project's planning process should be increased (*id.* at 16-20 ["by removing the surprise element and entering into a partnership of planning, the natural resistance to a project may be lessened. If so, court contests of the decision to proceed with the project may be eliminated or cut down to a reasonable number" (*id.* at 20)]).

The Commission also made two recommendations regarding the hearing of a condemnee's claims. First, it proposed that the trial court be authorized "in its discretion, to order the trial of all claims arising from the same project to be tried in one proceeding" (*id.* at 37). This would, in part, "enable the court to hear all evidence relating to land value in a project in a relatively brief period of time. . . . [Hearing all evidence at once] will aid the court in reducing the trial time needed for each parcel" (*id.*). Second, the Commission proposed that appeals of both questions of fact and law be heard by the Appellate Division, while the Court of Appeals would hear appeals on matters of law only and by permission (*id.* at 38).

To accomplish these recommendations, the Commission provided study drafts of legislation (*id.* at 46-70). Within 30 days of the condemning agency's mailing of its determination and findings, a condemnee could seek the second review of the determination by the Board of Review (*id.* at 54). A condemnee could additionally seek judicial review of any action or determination under a proposed section 210, a predecessor to Eminent

Domain Procedure Law §§ 207 and 208. This section required the judicial procedure to

“be in accordance with [CPLR] Article 78 . . . provided, however, that:

“a) the time within which the proceeding under Article 78 must be commenced shall be thirty (30) days after the Board has mailed its decision.

“b) judicial review shall be available only to require compliance with this Act or the constitution of the State of New York or the United States. Excepting, as provided in this section, no court shall have jurisdiction to review any proceeding, determination, finding, decision or action under this Article” (*id.* at 56).

The draft also contained a substantively similar predecessor to Eminent Domain Procedure Law § 703, which required application of the CPLR to proceedings except where the Eminent Domain Procedure Law provided other procedures. The Commission explained that this reference to the CPLR as a default mechanism was made “for purposes of uniformity” (State Commn on Eminent Domain, *Memorandum RE: The Commission’s Proposed Eminent Domain Procedure Act*, Mar. 1973, at 33 [1973 Memorandum]).

In its next report, the Commission “continue[d] to endorse one tribunal to hear acquisition claims” (1972 Rep of State Commn on Eminent Domain, Mar. 1, 1973, at 7 [1972 Report]), but now recognized that this tribunal must be an existing court organization because “the magnitude of establishing this agency seemingly lies beyond the scope of the Commission” (1973 Memorandum at 12). Thus, this draft of proposed legislation eliminated the Board of Review. As a result, the Commission stated that the condemnor’s decision “will be subject to judicial review in the form of an article 78 proceeding and not a separate administrative hearing” (*id.*).

In the 1973 draft, the Commission encouraged participation in public hearings by limiting judicial review to condemnees who “appear[ed] in a public hearing conducted by a condemnor” (1972 Report at 11; *see also* 1973 Memorandum at 13 [“Limiting standing to commence judicial review to those who appeared at the first opportunity, while also limiting the scope of review, should significantly reduce delay in final disposition”]). This draft also required challenges to be governed by CPLR article

78 and limited judicial review to four grounds, three of which are now contained in Eminent Domain Procedure Law § 207 (1972 Report at 12). The 30-day—or any other—limitation on filing was dropped from this version (*id.* at 11-12). In comments on these two sections, the Commission noted that “[l]itigation has delayed a final determination of whether the project should proceed. Limiting standing to commence judicial review to those who appeared at the first opportunity, and also limiting the scope of review, delay in final disposition may be reduced” (*see id.* at 12). In this draft, the predecessor of Eminent Domain Procedure Law § 703 was substantively the same as in current law. As the Commission commented, “[a]s much as has been practicable, the procedure in eminent domain matters has been coordinated with applicable provisions in the CPLR. The purpose is to obtain uniformity” (*id.* at 25).

In its final report, the Commission explained that instead of the Board of Review, it had “included within [the] proposed Act, only the condemnor’s hearing which will be subject to the scrutiny of an expedited judicial review patterned after an article 78 proceeding” (1973 Rep of State Commn on Eminent Domain, Mar. 1, 1974, at 16). The draft Eminent Domain Procedure Act contained judicial review as now found in Eminent Domain Procedure Law § 207, in which the Appellate Division has exclusive jurisdiction and the scope of review is limited to specified issues (*id.* at 38-39). The 30-day limitation on challenges was reinstated (*id.*). The Commission’s comments to this section repeated the statement in the 1971 Report that increasing litigation was a worrisome “nationwide phenomenon” (*id.* at 39), and stated that

“[i]t is felt that the procedure included in this article will create an expeditious review, and additionally, a limited right to seek court review is established . . .

“This section provides the exclusive remedy for judicial review of an Article 2 determination in an accelerated procedure patterned after the Public Service Law, Article VII, Sections 128 and 129 [governing siting of utility transmission facilities]” (*id.* at 39-40).

In comments to the section now found in Eminent Domain Procedure Law § 208, the Commission again emphasized that this procedure was to be the exclusive remedy:

“This section has been included to ensure that in a

proceeding under Article 2, the appellate review provided by section 20[7] shall be the exclusive remedy. The matters contained in the review shall be solely for the appellate division, and the proceeding must be instituted 30 days after the condemnor's publication and mailing of its determination and findings. It is the intent of sections 20[7] and 20[8] to achieve the procedural result attained in *Consolidated Edison Co. of New York, Inc. v. New York University*, 74 Misc 2d 923 (1973). There, the court in discussing Public Service Law, Art. VII, §§ 128, 129, held that subd. 1 of § 128 which provided that such proceeding for judicial review of an order of the Public Service Commission 'shall be brought in the appellate division of Supreme Court of the state in the judicial department embracing the county wherein the proposed facility is located,' clearly requires the judicial review proceeding to be brought in the appellate division" (*id.* at 40).

The draft bill was then approved by the Legislature. Additionally, out of concern that the requirements now found in Eminent Domain Procedure Law §§ 207 and 208 would permit judicial review of environmental effects, which it was feared would negatively affect the State's ability to provide for utilities, the Legislature then approved an act omitting those two sections from the bill (*see* Letter from Law Offices of Lexow and Jenkins, May 6, 1974, Veto Jacket, Veto 218 of 1974, at 185). Letters contained within the Veto Jacket reflect worry that this omission of present-day Eminent Domain Procedure Law §§ 207 and 208 would unintentionally subject condemnation decisions made pursuant to the Eminent Domain Procedure Law to judicial review under CPLR article 78. One letter, for example, written on behalf of utility companies, warned:

"Rather than making the hearings non-appealable, as was the apparent intent [of omitting the provisions now contained in Eminent Domain Procedure Law §§ 207 and 208], the net effect of deleting these two sections would appear to be to make appeals subject to Article 78 of the CPLR, since the CPLR is made applicable where no other procedure is specifically provided (Section 703). This creates broader grounds for review than existed in Sections 20[7] and 20[8] of the Act, and thus the effect is quite

opposite the apparent intent.” (Letter from Lexow and Jenkins, May 6, 1974, Veto Jacket, Veto 218 of 1974, at 185-186; *see also* Mem of Attorney General Louis J. Lefkowitz, May 31, 1974, Veto Jacket, Veto 218 of 1974, at 5; Mem of Power Auth of State of NY, Apr. 24, 1974, Veto Jacket, Veto 218 of 1974, at 167; Letter from Port Auth of NY and NJ, May 29, 1974, Veto Jacket, Veto 218 of 1974, at 207.)

Based on these considerations, Governor Malcolm Wilson vetoed both the Eminent Domain Procedure Law and the chapter amendments.

The following year, the bill was reintroduced with those sections now contained in Eminent Domain Procedure Law §§ 207 and 208 restored. Once again, letters to the Governor evidence that the CPLR was not intended to apply to the procedures established in sections 207 and 208. In comparing judicial review of proceedings exempt from the procedural requirements of Eminent Domain Procedure Law article 2, the Long Island Lighting Company stated, “[i]n such judicial review [of exempt proceedings], the entire range of CPLR remedies would be available to the condemnee . . . , unlike the situation following an Article 2 hearing, where review is limited” (Letter from Long Island Lighting Company, July 17, 1975, at 2, Veto Jacket, Veto 170 of 1975). Governor Hugh L. Carey vetoed the bill, citing numerous unrelated revisions needing to be made (*see* Governor’s Veto Mem, Veto Jacket, Veto 170 of 1975). The Governor approved the bill upon its reintroduction in 1977.

In the years after the Eminent Domain Procedure Law went into effect, the Legislature considered potential alterations. An amendment threatening to lengthen judicial review was unsuccessful, while a measure to consolidate Eminent Domain Procedure Law and SEQRA review was adopted. First, in 1980 Governor Carey vetoed a bill that, in addition to making “minor technical changes,” amended Eminent Domain Procedure Law § 208 by extending to lower courts jurisdiction for judicial review of public use (Governor’s Veto Mem, Veto 56, 1980 NY Assembly Bill A1969, 1980 NY Legis Ann, at 436). The Governor noted that state agencies “strenuously object[ed]” to the extension of jurisdiction because “it will serve to substantially delay condemnation proceedings and will lengthen the judicial review process to a point where, in some cases, acquisition of property by the State may become impractical and prohibitively costly” (*id.*). A later amendment, sans the amendment to section 208,

instituted the technical changes to the Eminent Domain Procedure Law, and was approved (*see* Mem of NY Dept of Law, June 11, 1982, Bill Jacket, L 1982, ch 356, at 9).

In 1991, an amendment to Eminent Domain Procedure Law § 207 was approved, which expanded judicial review under the section to consider SEQRA compliance (*see* EDPL 207 [C] [3]). This amendment aimed to “streamline the procedure for judicial review of” a condemnor’s decision by allowing consideration of both SEQRA and the Eminent Domain Procedure Law in a single proceeding (*see* Attorney General’s Legislative Program Mem, Bill Jacket, L 1991, ch 356, at 5).

Conditions Precedent and CPLR 205 (a)

To avert the consequences of their decision to forgo bringing this lawsuit in the Appellate Division within 30 days of ESDC’s determination and findings, petitioners rely on CPLR 205 (a). CPLR 205 is entitled “Termination of action,” and subdivision (a), designated “New action by plaintiff,” provides as relevant that

“[i]f an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period.”

Petitioners concede that the six-month toll in CPLR 205 (a) is unavailable to them, however, if the 30-day time limit in Eminent Domain Procedure Law § 207 (A) is a condition precedent to suit.

Our principal case discussing conditions precedent is *Romano v Romano* (19 NY2d 444 [1967]). There, the wife alleged that her consent to marriage was induced by the husband’s fraudulent misrepresentations and that she left him upon discovery of the fraud, although she did not bring an action for annulment until 14 years later. The husband defaulted and never appeared in the action. The trial court nonetheless dismissed the

complaint on the ground that the three-year period fixed for the commencement of an action for annulment set out in Domestic Relations Law § 140 (e) was a part of the statutory cause of action itself.

We affirmed, reasoning that where a statute created a cause of action and attached a time limit to its enforcement, the time was an ingredient of the cause. As a result,

“[t]his statutory provision could be seen as a sort of condition precedent, . . . probably more accurately described as . . . [a] special statutory limitation[] qualifying a given right in which time is made an essence of the right created and the limitation is an inherent part of the statute . . . out of which the right in question arises” (*id.* at 447 [internal quotation marks omitted]).

We subsequently held that CPLR 205 (a) does not extend a time limit that is a condition precedent to suit (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375 [1999] [one-year time limit for suits against Port Authority in section 7107 of McKinney’s Unconsolidated Laws of New York (L 1950, ch 301, § 7) is a condition precedent and therefore may not be extended by CPLR 205 (a)]).

The 30-day time limit in section 207 (A) is exactly the type of condition precedent described in *Romano*. When the Legislature adopted the Eminent Domain Procedure Law in 1977, it created a uniform procedure for pre-acquisition hearings before administrative agencies, which afforded potentially affected property owners new opportunities to have their objections or concerns aired and addressed before any taking occurred (*see* EDPL 201, 202, 203, 204). As a tradeoff for these newly created rights for condemnees—the exercise of which inevitably prolonged the acquisition timetable—the Legislature in section 207 (A) incorporated a 30-day time limit as one of several measures intended to simplify and speed up any subsequent judicial review of the condemnor’s determination and findings. Thus, the 30-day time limit is a condition precedent not susceptible to tolling by CPLR 205 (a). Moreover, unlike the statutes involved in any other case where the question of whether a time limit is a condition precedent or a statute of limitations has arisen, the Legislature specifically preempted the CPLR where the Eminent Domain Procedure Law provides its own procedure, as it does in section 207 (A) (*see* EDPL 703, 705).

The majority argues, though, that the Legislature's intent when it enacted article 2 of the Eminent Domain Procedure Law is "practically beside the point" because petitioners would have had the right under federal law to bring their section 207 (C) (1) claim in state court by virtue of 28 USC § 1367 (d) (majority op at 522). Section 1367 (d) provides generally for the tolling of statutes of limitations with regard to state law claims during their pendency in federal court and "for a period of 30 days after [dismissal in federal court] unless State law provides for a longer tolling period."

Petitioners first mentioned 28 USC § 1367 (d) in their reply brief to us.¹ We generally do not opine on such newly raised issues because, without the benefit of briefing and oral argument from both parties, we are not fully informed. Further, considerations of fairness to the litigants come into play (*see Misicki v Caradonna*, 12 NY3d 511, 519 [2009]). I would also note that the United States Supreme Court has, to date, approached section 1367 (d) cautiously, particularly as it pertains to pendent claims asserted against state defendants (*see Raygor v Regents of Univ. of Minn.*, 534 US 533, 549, 549 n 2 [2002, Ginsburg, J., concurring] [noting "the mist surrounding (section) 1367," and the "well-reasoned commentary" on the supplemental jurisdiction statute's flaws]).

In any event, even if 28 USC § 1367 (d) tolls an Eminent Domain Procedure Law § 207 (C) (1) claim asserted against ESDC,² these petitioners would not be helped (which may be why they never emphasized in this provision) because they did not commence this lawsuit within 30 days after the federal District Court dismissed their section 207 (C) (1) claim.³ Petitioners waited until August 1, 2008 to refile their section

1. Petitioners' lawyer also alluded to an unspecified federal tolling provision in response to questioning during oral argument.

2. And as discussed later, this *particular* Eminent Domain Procedure Law § 207 (C) (1) claim was characterized by petitioners themselves as a "putative 'state law' claim" because, in fact, it asserted *no* claim under the State Constitution. This is certainly not the situation Congress would have envisaged when it adopted 28 USC § 1367 (d) to save pendent state claims dismissed by federal judges. Presumably, Congress intended to save state causes of action that asserted a state claim; not state causes of action that asserted only a federal claim.

3. In his commentary on supplemental jurisdiction, Professor Siegel advises that

"[t]he dismissal moment should be taken to be the moment of dismissal in the district court. Even if an appeal is taken to a court of appeals from the district court dismissal, the party whose

(n. cont'd)

207 (C) (1) claim. This was 13 months—not 30 days—after the District Court dismissed this claim on June 6, 2007, and exactly six months after February 1, 2008, when the Second Circuit affirmed the District Court’s judgment of dismissal.⁴ And further assuming the availability of CPLR 205 (a) (that is, assuming that the 30-day limit in Eminent Domain Procedure Law § 207 [A] is a statute of limitations and therefore qualifies as a “longer tolling period” under state law within the meaning of 28 USC § 1367 [d]), the delay would be reduced from one year to seven months. Whether seven months or one year, these delays are significant, and they cannot be chalked up simply to the availability of a federal forum.

The Federal Action and CPLR 205 (a)

In their federal court action, petitioners pleaded a claim under Eminent Domain Procedure Law § 207 (C) (1) to assert a violation of the Takings Clause of the Federal Constitution. The relevant claim stated that “[t]he Determination and Findings [of ESDC] do not conform, and result from proceedings that did not conform, with the United States Constitution” (amended complaint ¶ 176, quoted in *Goldstein v Pataki*, 488 F Supp 2d 254, 275 n 9 [ED NY 2007]). Defendants moved to dismiss this claim on various grounds, and the District Court referred the motion to a magistrate judge for a Report and Recommendation. The matter was briefed and orally argued before the magistrate judge, who noted that, although petitioners “assert a supplemental state law claim under New York Eminent Domain Procedure Law (‘EDPL’) § 207” (*Goldstein v Pataki*, 2007 WL 1695573, *1, 2007 US Dist LEXIS 44491, *5 [ED NY, Feb. 23, 2007]), “the Amended Complaint contains no claim under the state constitution” (*id.* n 5).

claim has been dismissed under § 1367 does best to commence the state action within the prescribed time measured from the district court dismissal, and not from some later appellate affirmation of it . . . This seems to be the safest course until there is a definitive federal ruling about whether the 30-day period may be measured from an appellate determination. The matter is not addressed by the statute” (Siegel, Commentary on 1988 Revision, 28 USCA § 1367, at 767).

4. Citing *Cohoes Hous. Auth. v Ippolito-Lutz, Inc.* (65 AD2d 666 [3d Dept 1978]), Professor Siegel observes that “[w]hile the [six-month] period supplied by CPLR 205 (a) will be measured from an appellate determination if the earlier action went through an appellate stage, this applies only where an appeal was available and was in fact taken” (Siegel, NY Prac § 52, at 75 [4th ed]).

Petitioners themselves emphasized this point in their objection to the Report and Recommendation, stating that “[t]o be sure, Plaintiffs have pled a supplemental claim under EDPL § 207. However, this putative ‘state law’ claim merely asserts that Defendants’ use of eminent domain violates the *federal* Constitution because it will serve no public use. No underlying state claim is pled.” The District Court accepted this argument, stating that

“no state constitutional issue seems to be at play in this case. Plaintiffs’ Section 207 (C) (1) claim is that ‘[t]he Determination and Findings do not conform, and result from proceedings that did not conform, with the United States Constitution.’ That claim does not refer to the New York Constitution” (*Goldstein*, 488 F Supp 2d at 275 n 9 [citation omitted]).

On the merits, the District Court concluded that petitioners had “not sufficiently alleged that the takings at issue violate[d] the public use requirement” of the Takings Clause of the Federal Constitution (*id.* at 278), and so dismissed the case. Regarding petitioners’ Eminent Domain Procedure Law § 207 claim, the court declined to exercise supplemental jurisdiction because it was dismissing all the claims over which it had original jurisdiction. The District Court then dismissed the section 207 claim “without prejudice to its being re-filed in state court” (*id.* at 291).⁵ The United States Court of Appeals for the Second Circuit followed suit, and “affirm[ed] the judgment of the district court dismissing the federal claims with prejudice and the state claim without prejudice” (*Goldstein v Pataki*, 516 F3d 50, 65 [2d Cir 2008]). As noted previously, petitioners filed this lawsuit exactly six months after the Second Circuit’s decision.

But because petitioners’ section 207 (C) (1) claim, which asserted violation of the Takings Clause of the Federal Constitution only, was substantively identical to their 42 USC § 1983 claim for violation of the Takings Clause of the Federal Constitution, the District Court’s dismissal of petitioners’ section 1983 claim on the merits effectively resolved their section 207 (C) (1) claim on the merits as well. “While a dismissal with prejudice clearly constitutes an adjudication on the merits, a dismissal

5. Petitioners apparently asserted three claims within their Eminent Domain Procedure Law § 207 cause of action (their fourth cause of action): violations of sections 207 (C) (1), (3) and (4) (*Goldstein*, 488 F Supp 2d at 275). The District Court dismissed the section 207 cause of action in its entirety.

without prejudice only ‘indicates,’ as a general matter, that there has been no adjudication on the merits of the claim” (*ITT Corp. v Intelnet Intl.*, 366 F3d 205, 214 n 17 [3d Cir 2004]). And whether the federal courts’ dismissal of petitioners’ section 207 (C) (1) claim was “upon the merits” within the meaning of CPLR 205 (a) is a matter of state law for us to determine applying state precedents. We are not, as the majority suggests, somehow foreclosed from independently assessing this question by the federal courts’ pro forma dismissal of petitioners’ section 207 cause of action in its entirety (*see* n 5, *supra* at 544).

Further, petitioners’ subsequent filing of this Eminent Domain Procedure Law § 207 (C) (1) claim does not “serve[] the salutary purpose” of CPLR 205 (a), which is to “prevent[] a Statute of Limitations from barring recovery where the action, at first timely commenced, had been dismissed due to a technical defect which can be remedied in a new action” (*United States Fid. & Guar. Co. v Smith Co.*, 46 NY2d 498, 505 [1979]; *see also Matter of Winston v Freshwater Wetlands Appeals Bd.*, 224 AD2d 160, 164 n 2 [2d Dept 1996] [stating that CPLR 205 (a) is “designed to prevent claims from being irreversibly extinguished following technical-type dismissals”]; *Hakala v Deutsche Bank AG*, 343 F3d 111, 115 [2d Cir 2003] [“The purpose of (section) 205 (a) is to avert unintended and capricious unfairness by providing that if the first complaint was timely but was dismissed for . . . curable reasons, the suit may be reinstituted within six months of the dismissal”]). Petitioners’ section 207 (C) (1) claim was not dismissed by the District Court because of a “technical defect” or “curable reason.” Rather, petitioners elected to assert a section 207 (C) (1) claim in their federal court action, and further chose to confine this claim to the same federal constitutional grounds that the federal court decided on the merits.

Conclusion

What has happened in this case is precisely the result that the Legislature sought to prevent when it enacted the Eminent Domain Procedure Law—the sidelining of a public project on account of prolonged litigation. The language, structure and legislative history of the Eminent Domain Procedure Law show that the Legislature was aware of the risks presented by drawn-out or piecemeal judicial disposition of challenges to a taking, and sought at every turn to reduce these risks. Moreover, nothing in the language or the purpose animating CPLR 205 (a)

suggests that a condemnee who intends to dispute public use on federal and state constitutional grounds may take serial bites at the EDPL 207 (C) (1) apple—first in federal court, and then in state court.

The majority counters that “serial litigation of condemnation claims is exceedingly rare” and “[t]here is no reason to suppose that serial condemnation litigation will now become the order of the day” (majority op at 523). The historical observation is accurate; the prediction may turn out to be so much judicial whistling in the dark. After all, we have now opened up and exposed for all to see a whole new strategy for determined foes of a public project to exploit.

This petition should be dismissed because it was commenced more than 30 days after ESDC’s determination and findings. The majority’s unwillingness to enforce the 30-day time limit in Eminent Domain Procedure Law § 207 (A) impairs the Legislature’s comprehensive plan for the promptest possible adjudication of a condemnor’s article 2 determination and findings, and subjects future public projects to delay above and beyond any holdups caused by the availability of the federal forum.

SMITH, J. (dissenting). The good news from today’s decision is that our Court has not followed the lead of the United States Supreme Court in rendering the “public use” restriction on the Eminent Domain Clause virtually meaningless. The bad news is that the majority is much too deferential to the self-serving determination by Empire State Development Corporation (ESDC) that petitioners live in a “blighted” area, and are accordingly subject to having their homes seized and turned over to a private developer. I do not think the record supports ESDC’s determination, and I therefore dissent.

I

Article I, § 7 (a) of the State Constitution says: “Private property shall not be taken for public use without just compensation.”

The words “public use” embody an important protection for property owners. They prevent the State from invoking its eminent domain power as a means of transferring property from one private owner to another who has found more favor with state officials, or who promises to use the land in a way more to the State’s liking. They do not require that all takings result in public ownership of the property, but they do ordinarily

require that, if the land is transferred to private hands, it be used after the taking in a way that benefits the public directly. A recognized exception permits the transfer of “blighted” land to private developers without so strict a limitation on its subsequent use, but that exception is applicable only in cases in which the use of the land by its original owner creates a danger to public health and safety.

These principles are established by two centuries of New York cases. A line of nineteenth century decisions made clear that the State could not use the eminent domain power to transfer property from one private owner to another, unless the use to which the second owner put the property would be “public” in some meaningful sense. In the twentieth century—an era friendlier to government, and less friendly to private property—this rule was diluted, but our cases do not justify the conclusion that the public use limitation was abandoned or rendered trivial. Rather, the twentieth century cases created what may be called a “blight exception” to the public use limitation. The critical question on this appeal is whether that exception applies, a question that can be better understood after a more detailed description of the way our “public use” law has developed.

In the early nineteenth century, New York judges debated whether the eminent domain power could ever be used to transfer property from one private owner to another (*compare Bloodgood v Mohawk & Hudson R.R. Co.*, 18 Wend 9, 13-16 [1837, op of Chancellor Walworth], *with id.* at 56, 59, 60-61 [op of Senator Tracy]). Later cases make clear that this debate was settled in favor of the Chancellor’s view that certain uses of property by private parties—e.g., for “turnpike and other roads, railways, canals, ferries and bridges” (*id.* at 13)—could be considered public, but that takings in which land was transferred to private hands would be strictly limited to situations in which the public nature of the use was clear (*see Taylor v Porter*, 4 Hill 140 [Sup Ct 1843] [taking of land for a private road held impermissible]; *Matter of Deansville Cemetery Assn.*, 66 NY 569 [1876] [taking for cemetery use held impermissible]; *Matter of Eureka Basin Warehouse & Mfg. Co. of Long Is.*, 96 NY 42, 48 [1884] [taking for docks, basins, piers and other structures held impermissible because “(t)he enterprise is, in substance, a private one, and the pretense that it is for a public purpose is merely colorable and illusory”]). In *Matter of Niagara Falls & Whirlpool Ry. Co.* (108 NY 375, 383 [1888]), we said: “The right

of the state to authorize the condemnation of private property for the construction of railroads and to delegate the power to take proceedings for that purpose to railroad corporations, has become an accepted doctrine of constitutional law and is not open to debate.” But we held that the proposed taking in the *Niagara* case, which was for a railroad that would serve “the sole purpose of furnishing sight-seers during about four months of the year, greater facilities than they now enjoy for seeing . . . part of [the] Niagara river,” was not for a public use (*id.* at 382).

Under the nineteenth century understanding of public use, the taking at issue in this case would certainly not be permitted. It might be possible to debate whether a sports stadium open to the public is a “public use” in the traditional sense, but the renting of commercial and residential space by a private developer clearly is not.

Our twentieth century cases, while not all consistent and containing some confusing language, are best read as modifying, rather than nullifying or abandoning, the established public use limitation. A series of cases upheld takings for what was variously characterized as slum clearance, removal of blight, or correction of unsafe, unsanitary or substandard housing conditions (*Matter of New York City Hous. Auth. v Muller*, 270 NY 333 [1936]; *Matter of Murray v LaGuardia*, 291 NY 320 [1943]; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478 [1975]). While these cases undoubtedly expanded the old understanding of public use, they did not establish the general proposition that property may be condemned and turned over to a private developer every time a state agency thinks that doing so would improve the neighborhood.

Muller approved a taking of property where “unsanitary and substandard housing conditions” were found to exist (270 NY at 337). We observed:

“The public evils, social and economic of such conditions, are unquestioned and unquestionable. Slum areas are the breeding places of disease which take toll not only from denizens, but, by spread, from the inhabitants of the entire city and State. Juvenile delinquency, crime and immorality are there born, find protection and flourish. Enormous economic loss results directly from the necessary expenditure of public funds to maintain health and hospital ser-

vices for afflicted slum dwellers and to war against crime and immorality. Indirectly there is an equally heavy capital loss and a diminishing return in taxes because of the areas blighted by the existence of the slums” (*id.* at 339).

Muller did not involve transfer to an ordinary private developer: the property in question was to be rented by the City, or by “limited dividend corporations,” to people of low income (270 NY at 342). In *Muller*, we reiterated the essential principle of the public use limitation:

“Nothing is better settled than that the property of one individual cannot, without his consent, be devoted to the private use of another, even when there is an incidental or colorable benefit to the public. The facts here present no such case [T]he public is seeking to take the defendant’s property and to administer it as part of a project conceived and to be carried out in its own interest and for its own protection” (*id.* at 343).

Murray, unlike *Muller*, did involve a taking from which a purely private company “may ultimately reap a profit” (291 NY at 329). The need to remedy “conditions in those blighted urban areas where slums exist,” conditions that “affect the health, safety and welfare of the public,” furnished the reason for upholding the taking (*id.* at 326).

Our later decision in *Yonkers Community Development* is relied on heavily by ESDC here as permitting great leeway to the State in condemning blighted areas. But *Yonkers* contains language looking in both directions. It does seem to adopt a rather loose interpretation of “substandard” conditions that would justify a taking (*see* 37 NY2d at 483), but it also says that “courts are required to be more than rubber stamps in the determination of the existence of substandard conditions” (*id.* at 485) and that “in order to utilize the public purpose attached to clearance of substandard land, such clearance must be the primary purpose of the taking, not some other public purpose, however laudable it might be” (*id.* at 486). In *Yonkers*, we found that the agency had not provided factual support for its claim that the land to be taken was substandard (*id.* at 484-485), but held that the landowners had failed to raise this issue properly by their pleadings (*id.* at 486).

ESDC also relies on *Kaskel v Impellitteri* (306 NY 73 [1953]), which involved a very questionable “slum clearance” taking,

but overlooks an important aspect of that case. The challenge to the governmental action there was brought not by a condemnee, but by a taxpayer suing under General Municipal Law § 51, and we emphasized that in such a case the plaintiff must show corruption, fraud or “a total lack of power . . . under the law, to do the acts complained of” (306 NY at 79). We implied that the case might be different if the “arbitrary and capricious” standard of a CPLR article 78 proceeding were applicable (*id.*). Even on the stringent section 51 standard, Judges Van Voorhis and Fuld dissented and would have held plaintiff’s claim sufficient to withstand summary judgment (*id.* at 82-91 [Van Voorhis, J., dissenting]).

The most troubling cases cited by ESDC are *Cannata v City of New York* (11 NY2d 210 [1962]) and *Courtesy Sandwich Shop v Port of N.Y. Auth.* (12 NY2d 379 [1963]), which can be read to support an interpretation of “public use” that would permit the transfer by eminent domain of almost anyone’s property to a private entity if a state agency thinks the area would benefit from “redevelopment.” These cases, however, must be understood in historical context. They were decided after the United States Supreme Court had adopted, in *Berman v Parker* (348 US 26, 33 [1954]), a “broad and inclusive” definition of public use, to include any “object . . . within the authority of Congress.” *Berman*, as later cases confirmed, eviscerated the “public use” limitation of the United States Constitution (see *Hawaii Housing Authority v Midkiff*, 467 US 229 [1984]; *Kelo v New London*, 545 US 469 [2005]). And at the time of the *Cannata* and *Courtesy Sandwich Shop* decisions, our Court had not adopted the practice, which later became common (see *People v P.J. Video*, 68 NY2d 296, 303 [1986]), of interpreting our State Constitution to afford broader protection to individual rights and liberties than the Federal Constitution does. I would view *Cannata* and *Courtesy Sandwich Shop* as mistakenly following *Berman*’s lead, and would limit them to their facts or simply reject them, adopting instead the reasoning of Judge Van Voorhis’s powerful dissents.

II

The majority does not wholly reject what I have said in section I of this dissent. Indeed, the majority seems to accept the premise that the Eminent Domain Clause of the New York Constitution has independent vitality, and may offer more protection to property owners than its federal counterpart. I am

pleased that the majority does not follow the Supreme Court's decisions in *Berman*, *Midkiff* and *Kelo*, which equate "public use" in the Constitution with public purpose, thus leaving governments free to accomplish by eminent domain any goal within their general power to act. Where I part company with the majority is in its conclusion that we must defer to ESDC's determination that the properties at issue here fall within the blight exception to the public use limitation.

It is clear to me from the record that the elimination of blight, in the sense of substandard and unsanitary conditions that present a danger to public safety, was never the bona fide purpose of the development at issue in this case. Indeed, blight removal or slum clearance, which were much in vogue among the urban planners of several decades ago, have waned in popularity, vindicating the comment of Judge Van Voorhis, dissenting in *Cannata*, that "[t]he public theorists are not always correct" (11 NY2d at 218). It is more popular today to speak of an "urban landscape"—the words used by Bruce Ratner to describe his "vision" of the Atlantic Yards development in a public presentation in January 2004 (Powell, *For Brooklyn, a Celebration or a Curse?*, Washington Post, Jan. 26, 2004, at A3).

According to the petition in this case, when the project was originally announced in 2003 the public benefit claimed for it was economic development—job creation and the bringing of a professional basketball team to Brooklyn. Petitioners allege that nothing was said about "blight" by the sponsors of the project until 2005; ESDC has not identified any earlier use of the term. In 2005, ESDC retained a consultant to conduct a "blight study." In light of the special status accorded to blight in the New York law of eminent domain, the inference that it was a pretext, not the true motive for this development, seems compelling.

It is apparent from a review of ESDC's blight study that its authors faced a difficult problem. Only the northern part of the area on which Atlantic Yards is to be built can fairly be described as blighted. As the majority opinion explains, the northern part has long been included in the Atlantic Terminal Urban Renewal Area (ATURA), and is afflicted by deteriorating conditions perhaps attributable to the presence of the Vanderbilt Yards. But the southern part of the project area, where petitioners live, has never been part of ATURA and appears, from the photographs and the descriptions contained in ESDC's blight study, to be a normal and pleasant residential community.

ESDC's consultants did their best. Proceeding lot by lot through the area in which petitioners live, they were able to find that a number of buildings were not in good condition; petitioners claim that this results in large part from the fact that Ratner's plan to acquire the properties and demolish the buildings had been public knowledge for years when the blight study was conducted. Choosing their words carefully, the consultants concluded that the area of the proposed Atlantic Yards development, taken as a whole, was "characterized by blighted conditions." They did not find, and it does not appear they could find, that the area where petitioners live is a blighted area or slum of the kind that prompted twentieth century courts to relax the public use limitation on the eminent domain power.

The majority opinion acknowledges that the conditions ESDC relies on here "do not begin to approach in severity the dire circumstances of urban slum dwelling" contemplated by the cases that developed the blight exception (majority op at 524). The majority concludes, however, that determining whether the area in question is really blighted is not "primarily a judicial exercise" (*id.* at 526). In doing so, I think, the majority loses sight of the nature of the issue.

The determination of whether a proposed taking is truly for public use has always been a judicial exercise—as the cases cited in section I of this dissent, from *Bloodgood* in 1837 through *Yonkers Community Development* in 1975, demonstrate. The right not to have one's property taken for other than public use is a constitutional right like others. It is hard to imagine any court saying that a decision about whether an utterance is constitutionally protected speech, or whether a search was unreasonable, or whether a school district has been guilty of racial discrimination, is not primarily a judicial exercise. While no doubt some degree of deference is due to public agencies and to legislatures, to allow them to decide the facts on which constitutional rights depend is to render the constitutional protections impotent (see e.g. *NAACP v Claiborne Hardware Co.*, 458 US 886, 915 n 50 [1982]; *Ker v California*, 374 US 23, 34 [1963]).

The whole point of the public use limitation is to prevent takings even when a state agency deems them desirable. To let the agency itself determine when the public use requirement is satisfied is to make the agency a judge in its own cause. I think that it is we who should perform the role of judges, and that we should do so by deciding that the proposed taking in this case is not for public use.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge READ concurs in result in a separate opinion in which Judge PIGOTT concurs; Judge SMITH dissents in another opinion.

Order affirmed, with costs.

[921 NE2d 570, 893 NYS2d 803]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MATTHEW SANCHEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LARRY MYNIN, Appellant.

Argued October 21, 2009; decided December 1, 2009

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 23, 2008. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, New York County (Roger S. Hayes, J.), which had convicted defendant, upon a jury verdict, of gang assault in the second degree, and sentenced him to a term of imprisonment of eight years with five years of post-release supervision. The modification consisted of reducing the term of imprisonment to six years. The Appellate Division affirmed the judgment as modified.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 29, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J.), which had convicted defendant, upon a jury verdict, of gang assault in the second degree.

People v Sanchez, 57 AD3d 1, affirmed.

People v Mynin, 58 AD3d 581, affirmed.

HEADNOTES

Crimes — Gang Assault — Persons Who Aid Defendant Need Not Share Defendant's Criminal Intent

1. Under the “gang assault” statutes, which apply when a person, who intends to cause “physical injury” to another, causes that person or a third person “serious physical injury” and is “aided by two or more other persons actually present” (Penal Law §§ 120.06, 120.07), it is not necessary that the two or more persons who provide aid also share the criminal intent of the defendant. Each statute, on its face, speaks only to the intent of the defendant and not to his or her aiders. No particular mental state is expressly required of those who comprise the gang. Moreover, one of the primary purposes of the crime of gang assault was to recognize that when a victim is confronted by a group of individuals, rather than one individual, he or she is confronted with a

more threatening, intimidating and dangerous situation that increases the possibility of escalating violence and physical harm. That enhanced fear is present even if the “aider” does not have the same criminal intent or purpose of the defendant.

Crimes — Gang Assault — Jury Instruction Regarding Intent of Those Who Aided Defendant

2. The trial court in defendant’s gang assault prosecution properly instructed the jury that defendant may be found guilty if he acted with the intent to cause physical injury, whether or not those who aided him in the assault shared the same intent. Under the “gang assault” statutes, which apply when a person, who intends to cause “physical injury” to another, causes that person or a third person “serious physical injury” and is “aided by two or more other persons actually present” (Penal Law §§ 120.06, 120.07), it is not necessary that the two or more persons who provide aid also share the criminal intent of the defendant.

Crimes — Gang Assault — Sufficiency of Evidence — Codefendant Acquitted of Assault

3. In the prosecution of defendant arising from an altercation between the two victims and defendant and his two codefendants, there was sufficient evidence to support the jury’s verdict convicting defendant of gang assault in the second degree (Penal Law § 120.06) of the more seriously injured victim even though one of the codefendants was acquitted of any conduct related to that victim. It was reasonable for the jury to conclude that both codefendants aided defendant in the commission of the gang assault. There was some evidence at trial that both of the codefendants actually joined in on the assault of the primary victim, and, in that way, they both aided in the assault. Even if one of the codefendants did not attack the primary victim, he attacked the other victim and prevented that victim from intervening in defendant’s attack on the primary victim which provided an additional basis for the jury to find that codefendant had acted in aid of defendant’s effort to injure the primary victim.

Crimes — Gang Assault — Jury Instruction Regarding Intent of Those Who Aided Defendant

4. In the prosecution of defendant and three others on charges of attempted kidnapping in the first degree, felony murder in the second degree, and gang assault in the second degree for the fatal shooting of the victim following a struggle between the victim, defendant and the others, the trial court properly instructed the jury, along with the gang assault charge, that the case was governed by the accessorial liability standard. The accomplice liability rules charged by the court were undisputedly relevant to the other counts against defendant. They were also relevant on the gang assault count as the jury could consider whether any of defendant’s actions could be attributed to the codefendants who shared the intent to harm the victim. Furthermore, the judge explained to the jury that on the gang assault count, the jury was to consider the intent of the particular defendant. And when answering the jury notes, the judge clarified to the jury that the People need not prove that the other persons present and aiding defendant acted with the intent to cause physical injury.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Assault and Battery §§ 12, 15, 18, 77, 78, 81.

CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:56; CARMODY-WAIT 2d, Verdict and Post-Verdict Proceedings § 202:11; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:170, 207:172.

NY JUR 2d, Criminal Law: Procedure §§ 2724, 2725, 2729; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 399, 412, 414, 420, 421.

ANNOTATION REFERENCE

Sufficiency of evidence to establish criminal participation by individual involved in gang fight or assault. 24 ALR4th 243.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

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POINTS OF COUNSEL

Dershowitz, Eiger & Adelson, P.C., New York City (*Nathan Z. Dershowitz*, *Amy Adelson* and *Daniela Elliott* of counsel), for appellant in the first above-entitled action. I. The jury charge on gang assault was erroneous as a matter of law. (*People v Hedgeman*, 70 NY2d 533; *People v Ledwon*, 153 NY 10; *People v Bennett*, 49 NY 137; *People v Gray*, 86 NY2d 10; *People v Jean-Baptiste*, 38 AD3d 418; *People v Kleingartner*, 183 Misc 2d 771; *People v Hampton*, 92 AD2d 490, 61 NY2d 963; *People v Coleman*, 5 AD3d 956; *People v Green*, 126 AD2d 105, 71 NY2d 1006; *People v Harris*, 271 AD2d 258.) II. The evidence was insufficient because there were only two participants in the assault on Herbert Griffin and because Matthew Sanchez did not cause Griffin's serious physical injury. (*People v Hedgeman*, 70 NY2d 533; *People v Coleman*, 5 AD3d 956; *People v Fallon*, 78 AD2d 659; *People v Fowler*, 31 AD3d 784; *People v Maldonado*, 11 AD3d 114; *People v Wright*, 189 AD2d 612; *People v Kleingartner*, 183 Misc 2d 771; *People v Santos*, 14 AD3d 411; *People v Villanueva*, 35 AD3d 229; *People v Fatal*, 187 Misc 2d 334.) III. The court erred in allowing the prosecutor to cross-examine Matthew Sanchez and his character witness about Sanchez's history at the United States Naval Academy at Annapolis, and in charging the jury that it could consider that history in evaluating Sanchez's credibility. (*People v Lediard*, 80 AD2d 237; *People v Brinkworth*, 112 AD2d 799; *People v Sandoval*, 34 NY2d 371; *People v Bilanchuk*, 280 App Div 180; *People v Perez*, 40 AD3d 1131; *People v Jarrells*, 190 AD2d 120; *People v*

Randolph, 18 AD3d 1013.) IV. The conviction should be vacated because the People committed numerous *Rosario* violations, and the court's remedy—a watered down “adverse inference” charge—did not cure the prejudice. (*People v Rosario*, 9 NY2d 286; *People v Kelly*, 62 NY2d 516; *People v Wallace*, 76 NY2d 953; *People v Martinez*, 71 NY2d 937; *People v Joseph*, 86 NY2d 565; *People v Davis*, 18 AD3d 1016.)

Robert M. Morgenthau, District Attorney, New York City (*Gina Mignola and Amyjane Rettew* of counsel), for respondent in the first above-entitled action. I. The court correctly charged the jury that, to convict defendant of gang assault, an “aider” need not share the mental culpability of a full-fledged accomplice. (*People v Green*, 126 AD2d 105, 71 NY2d 1006; *People v Hampton*, 61 NY2d 963; *People v Fowler*, 31 AD3d 784; *People v Maldonado*, 11 AD3d 114; *People v Harrison*, 141 AD2d 842; *People v Ward*, 107 AD2d 892; *People v Mynin*, 58 AD3d 581, 12 NY3d 857; *People v Fallon*, 78 AD2d 659; *People v Coleman*, 5 AD3d 956; *People v Munroe*, 190 NY 435.) II. Defendant's unpreserved miscellaneous claims about the court's charge and the sufficiency of the proof have no merit. (*People v Casmento*, 155 AD2d 229; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Jean-Baptiste*, 38 AD3d 418; *People v Hines*, 97 NY2d 56; *People v Ford*, 11 NY3d 875; *People v Finger*, 95 NY2d 894; *People v Lawrence*, 85 NY2d 1002; *People v Tucker*, 55 NY2d 1; *People v Wilkerson*, 189 AD2d 592.) III. Defendant's remaining contentions are not properly before the Court and are entirely without merit. (*People v Sandoval*, 34 NY2d 371; *People v Sorge*, 301 NY 198; *People v Walker*, 83 NY2d 455; *People v Canty*, 60 NY2d 830; *People v Pollock*, 50 NY2d 547; *People v Williams*, 12 NY3d 726; *People v Hayes*, 97 NY2d 203; *People v Bilanchuk*, 280 App Div 180; *People v Coleman*, 56 NY2d 269; *People v Perez*, 40 AD3d 1131.)

Office of the Appellate Defender, New York City (*Alexis Agathocleous and Richard M. Greenberg* of counsel), for appellant in the second above-entitled action. The trial court erroneously responded to a jury inquiry by stating that a single defendant could be convicted of gang assault without the conviction of his alleged accomplices, particularly where it also instructed the jury that the case was governed by the accessorial liability standard. (*People v Sanchez*, 57 AD3d 1; *People v Coleman*, 5 AD3d 956; *People v Hicks*, 134 AD2d 909; *People v Ward*, 107 AD2d 892; *People v Fallon*, 78 AD2d 659; *People v Munroe*, 190 NY 435; *People v Maldonado*, 11 AD3d 114; *People v Hampton*, 92

AD2d 490, 61 NY2d 963; *People v Green*, 126 AD2d 105; *People v Alfaro*, 66 NY2d 985.)

Robert M. Morgenthau, District Attorney, New York City (Mark Dwyer of counsel), for respondent in the second above-entitled action. The trial court properly charged that defendant could be convicted of gang assault even if those who aided him in the assault did not share his intent to cause physical injury. Moreover, the verdict as to the various defendants was not inconsistent, and was not in any way at odds with the court's charge on accomplice liability. (*People v Finnegan*, 85 NY2d 53, 516 US 919; *People v Ryan*, 82 NY2d 497; *People v Sanchez*, 57 AD3d 1; *People v Green*, 126 AD2d 105, 71 NY2d 1006; *People v Harrison*, 141 AD2d 842; *People v Ward*, 107 AD2d 892; *People v Hampton*, 61 NY2d 963; *People v Munroe*, 190 NY 435; *People v Maldonado*, 11 AD3d 114; *People v St. Paul*, 3 AD3d 604.)

OPINION OF THE COURT

PIGOTT, J.

These appeals involve New York's "gang assault" statutes, which apply when a person, who intends to cause "physical injury" to another, causes that person or a third person "serious physical injury" and is "aided by two or more other persons actually present" (Penal Law §§ 120.06, 120.07). At issue in these cases is whether the two or more persons who provide aid must also share the criminal intent of the defendant. We find that the statutes' language and history establish that they do not.

People v Sanchez

On New Year's Eve 2004, at a bar on Second Avenue in Manhattan, the owner, Liam McCormack, announced "last call" and turned up the lights to encourage the patrons to leave. Shortly before that time, Herb Griffin, a police detective and a friend of McCormack's, had arrived.

McCormack placed his keys in the door and, as patrons left, unlocked and then relocked the door. Defendant, along with codefendants Anthony Amitrano and Nenad Jurlina, left the bar. McCormack would not let defendant leave with a drink and, after some resistance, defendant handed his drink to him. Shortly thereafter, McCormack noticed that his keys were gone from the door. A man outside observed defendants take the keys and told McCormack what had happened. McCormack ran after them. Griffin went to help McCormack, who was about a block and a half ahead.

When McCormack caught up to the men, an altercation ensued. According to McCormack, he asked for his keys back and defendant threw them at his face. In response, McCormack punched defendant in the mouth.

Griffin finally caught up. He saw that McCormack had his keys, and said they should get out of there. As they walked away, a bottle was thrown from behind McCormack and Griffin and broke next to them. They turned around, and defendants came towards them.

Amitrano went towards McCormack, while defendant and Jurlina approached Griffin. Defendant punched Griffin in the face. Griffin dropped to the ground and tried to protect himself but was then beaten, punched and kicked by defendant and at least one other. McCormack was also attacked by at least two of the men.

The police arrived at the scene. Defendant and Jurlina were immediately arrested. Amitrano was told to go home, but was eventually arrested. Both McCormack and Griffin were injured; Griffin the more seriously, suffering fractures to the skull and face.

Defendant and his codefendants admitted that they were involved in the altercation, but claimed they were innocent victims of unprovoked violence by McCormack and Griffin. Two witnesses who observed the fight, however, testified that McCormack and Griffin tried to get away and neither of them fought back.

Defendants were indicted for gang assault in the first degree (Penal Law § 120.07) and attempted gang assault in the first degree (Penal Law §§ 110.00, 120.07). At trial, there was considerable debate over the jury instructions as they pertained to the gang assault charge. Defendant took the position that each of the two aiding persons must also be an accomplice who shared the principal's specific criminal intent. He also asserted that, if the jury acquitted any defendant, that defendant could not be considered an "aider" of the other two. To the defense, an acquittal of one was an acquittal for all three as to gang assault. In response, the People argued that every defendant is responsible for his own mens rea, so that an individual defendant's guilt should turn on his own mental state, and not that of the persons who aided him. The judge adopted the People's view and instructed the jury:

"Actually present is exactly the same, a person is

actually present when such person is in a position to render immediate assistance to a person participating in the assault and is ready, willing and able to do so *irrespective of whether such person intended to cause physical injury*.

“Because of this definition of actually present, *even if you find an individual defendant not guilty of this crime, because the People have not proven beyond a reasonable doubt that he had the intent required for the commission of the crime, you can still find another defendant or defendants guilty if you find that the not guilty defendant was actually present* as [the court] defined that term and that all the elements of the crime are proven by the People beyond a reasonable doubt” (emphasis added).

During deliberations, the court reiterated its position while responding to two jury notes, stating:

“If [the jurors] find that the People have proven beyond a reasonable doubt each of the elements of Gang Assault in the First Degree, as to a particular defendant then the fact that two men were on Griffin and one on McCormack can constitute Gang Assault in the First Degree.”

The jury acquitted all three defendants of first-degree gang assault, but convicted defendant and Jurlina of gang assault in the second degree. The jury acquitted Amitrano of any conduct relating to Griffin, and convicted him of misdemeanor assault in the third degree relating to McCormack. Defendant was sentenced to eight years’ imprisonment with five years’ post-release supervision.

On defendant’s appeal, the Appellate Division modified his sentence in the exercise of discretion to six years and otherwise affirmed (57 AD3d 1 [1st Dept 2008]). The court held that the jury was correctly instructed that an acquittal of one of the three defendants of all charges relating to one victim would not require that the other two defendants be acquitted of the gang assault charges as to that victim (*id.* at 5-7). The court further held that there was record support for the jury’s conclusion that Amitrano, while “actually present” at the scene, “aided” the assault on Griffin by defendant and Jurlina, “even if the jury also concluded that Amitrano was not himself guilty of participating in the assault on Griffin either as a principal or as an

accomplice” (*id.* at 10). The court noted that Amitrano was convicted of assaulting McCormack, and that by “taking McCormack out of commission, Amitrano prevented McCormack from helping Griffin or otherwise thwarting Sanchez’s attack on Griffin” (*id.*).

A Judge of this Court granted defendant leave to appeal (12 NY3d 762 [2009]).

People v Mynin

In August 2005, defendant and three other men drove to 151st Street in Manhattan to purchase \$1,600 worth of marijuana. Darnell Moore took their money and returned with fake marijuana. Defendant detected the fraud and challenged Moore. A struggle ensued between Moore, defendant and the three men, which involved their attempt to get Moore into the vehicle. During the struggle, Moore was fatally shot, the bullet penetrating his chest and several vital organs. Defendant and the three men were chased down by the police. Just before the stop, someone in the car threw out the pistol that had been used to kill Moore, but the police recovered it. At the precinct, defendant told the police that he and his three companions had attacked Moore “looking for the money” and that the gun “went off.”

Defendant was indicted for attempted kidnapping in the first degree, felony murder in the second degree, and gang assault in the second degree. Indicted on the same charges were the other men involved in the incident. The case against the defendants was tried twice. The first jury was unable to reach a verdict on any count as to any of the defendants, and a mistrial was declared in June 2006. In January 2007, the case was retried.

At the beginning of the court’s jury charge, the court instructed the jury generally on accomplice liability. As it pertained to the gang assault charge in particular, the judge instructed the jury:

“A person is guilty of gang assault in the second degree, when with intent to cause physical injury to another person, and when aided by two or more other persons actually present, he causes at least serious physical injury to such person.

“In order to find a defendant guilty of this crime, the People must prove beyond a reasonable doubt each of the following three elements:

“First, that on or about August 25th, 2005 in the county of New York the defendant or a person with whom he was acting in concert caused serious physical injury to Darnell Moore. . . .

“The second element is that the defendant himself, *that is the defendant whose liability you are considering*, acted with the intent to cause at least physical injury to Darnell Moore. . . .

“The third element is that defendant was aided by two or more persons actually present. *This is separate from my general instructions on acting in concert*. This is an element of this charge that the defendant was aided in some way by two or more persons actually present.

“A person is actually present when he’s in a position to render immediate aid to a person participating in the assault and is ready, willing, and able to do so” (emphasis added).

During deliberations, the jury returned a note asking if “fewer than three people [can] be convicted on a charge of gang assault.” Defense counsel argued that each defendant must have the intent to cause physical injury, so at least three would need to be convicted. The prosecutor argued, by contrast, that fewer than three people could be convicted under the statute because an individual may provide aid but not have the particular intent required by the gang assault statute. The court agreed with the People and instructed the jury that fewer than three people could be convicted on a charge of gang assault.

The jury returned another note asking, “Do you need three or more defendants to have intent to cause physical injury or does just one defendant have to have the intent plus two or more others that aid but don’t have intent to cause physical injury?” After some more discussion between the attorneys, the court instructed the jury that “you do not need three or more defendants to have intent to cause physical injury.”

The jury acquitted all of the codefendants on all of the charges and acquitted defendant of both felony murder and attempted kidnapping. Defendant was convicted of a single count of gang assault in the second degree.

On defendant’s appeal, the Appellate Division affirmed (58 AD3d 581 [1st Dept 2009]). As relevant to this appeal, the court held that Supreme Court correctly instructed the jury that in

order to convict a defendant of gang assault it was not obligated to convict any other defendants of that crime, and that a person may be “aided by two or more other persons actually present” even if those persons lack the mental culpability to be guilty as accomplices under Penal Law § 20.00 (*id.* at 582). It further held that “[t]he court’s instructions, viewed as a whole, properly distinguished between the concepts of ‘aiding’ and ‘acting in concert,’ and were not confusing” (*id.*).

The court found that defendant did not preserve his contention that the verdict finding him guilty of gang assault while acquitting all the codefendants was repugnant, and declined to review it in the interest of justice (*id.*). As an alternative holding, the court also rejected it on the merits (*id.*). The court held that Supreme Court’s charge clearly permitted the mixed verdict at issue (*id.*). Furthermore, the court found that

“the fact pattern permitted the jury to conclude that the codefendants, who were ‘actually present’ at the scene, ‘aided’ defendant’s assault of the victim for purposes of satisfying the gang assault statute, even if the codefendants were not themselves guilty of participating in the assault either as principals or as accomplices. Moreover, the jury could have found that there were multiple participants, while also finding, ‘however illogically,’ . . . a lack of proof of the identity of the particular codefendants as being those participants” (*id.*, citing *People v Maldonado*, 11 AD3d 114, 118 n [1st Dept 2004], *lv denied* 3 NY3d 758 [2004]).

A Judge of this Court granted defendant leave to appeal (12 NY3d 857 [2009]).

Analysis

The law making “gang assault” a crime was enacted in 1996 and contains two degrees of severity (L 1996, ch 647, § 2). Gang assault in the first degree is defined as follows: “A person is guilty of gang assault in the first degree when, with intent to cause serious physical injury to another person and when aided by two or more other persons actually present, he causes serious physical injury to such person or to a third person” (Penal Law § 120.07). Gang assault in the second degree is defined identically, except that it requires the accused to act with the lesser intent to cause physical injury: “A person is guilty of gang assault in the second degree when, with intent to cause

physical injury to another person and when aided by two or more other persons actually present, he causes serious physical injury to such person or to a third person” (Penal Law § 120.06).

Both crimes require that the defendant be “aided by two or more other persons actually present” and the proper interpretation of that phrase is the core issue on this appeal.

The gang assault statutes were modeled in part on the crime of robbery in the second degree (Penal Law § 160.10 [1]). In particular, the element of “aided by two or more other persons actually present” is taken from the current robbery statute, which requires the defendant to be “aided by another person actually present” (*see* Penal Law § 160.10 [1]).

The robbery statute once required that the defendant be “aided by an accomplice actually present.” (Penal Law of 1909 § 2124 [2].) That requirement was revised when the Legislature replaced the word “accomplice” with the phrase “another person” (*see* Penal Law § 160.10 [1]). The deliberate revision to the robbery statute has been viewed by some courts, including the Appellate Division in *Sanchez*, as showing a clear intention by the Legislature to establish that for the crime of robbery, the aider need not share the specific intent and mental culpability required for accomplice liability (*see also People v Green*, 126 AD2d 105, 106 [2d Dept 1987] [concluding that “one may aid in the commission of a robbery within the meaning of Penal Law § 160.10 (1) without engaging in conduct sufficient to support a finding of guilt on the basis of accessorial liability”]). In other words, a defendant can be found guilty of the crime of robbery in the second degree even when his codefendant is acquitted.

This Court, analyzing the language “aided by another person actually present” in the robbery statute, has held that “constructive presence” is insufficient to sustain a conviction (*People v Hedgeman*, 70 NY2d 533 [1987]). In *People v Dennis* (75 NY2d 821 [1990]), we further explained that when another person is in a position to render immediate assistance to the defendant, his or her presence poses a sufficient risk of additional violence, so as to satisfy the element of another person “actually present.”

Thus, for the purposes of the element “another person actually present” in the robbery statute, the other person must actually be present, at least in the immediate vicinity of the crime, and be capable of rendering immediate assistance to an individual committing the crime. The interpretation of the

robbery statute is equally applicable to the similarly worded gang assault statutes.

Before anything else, we must look to the language of the gang assault statutes. Each statute, on its face, speaks only to the intent of the defendant and not to his aiders. No particular mental state is expressly required of those who comprise the gang. They must simply be present and render aid to the defendant. The Legislature did not provide that they must share defendant's intent to cause physical injury.

This interpretation is also supported by the legislative history of the statutes, which reveals that the purpose of the gang assault crime was "to enhance public safety . . . in recognition of the severity of assaults committed by gangs" (Governor's Program Bill Mem, at 1, Bill Jacket, L 1996, ch 647, at 6, 1996 NY Legis Ann, at 476). Gang assaults, particularly by youths, had been increasing, and such assaults "pose a greater threat to public safety than assaults committed by individual actors" (Governor's Mem approving L 1996, ch 647, 1996 McKinney's Session Laws of NY, at 1919). The Governor's supporting memorandum noted that "the joint action of numerous assailants is not only terrifying to victims but tends to increase the likelihood that severe or lethal injuries will be inflicted" (Governor's Program Bill Mem, at 2, Bill Jacket, L 1996, ch 647, at 7, 1996 NY Legis Ann, at 476-477). The Governor's supporting memorandum recognized "that to commit an assault with the aid of others is tantamount to committing an assault by means of a deadly weapon or dangerous instrument" (*id.*).

Thus, one of the primary purposes of the crime of gang assault was to recognize that when a victim is confronted by a group of individuals, rather than one individual, he or she is confronted with a more threatening, intimidating and dangerous situation that increases the possibility of escalating violence and physical harm (*see Hedgeman*, 70 NY2d at 541). That enhanced fear is present even if the "aider" does not have the same criminal intent or purpose of the defendant. So long as a person is "aiding" another to commit the crime, regardless of whether that aid is rendered with the intent to cause physical injury, the victim is still facing a more threatening scenario. In other words, even though the person may not have the intent to cause physical injury to the victim, they are still aiding the

defendant for purposes of the statute by assisting defendant in causing that harm.*

Even more, gang assaults are often spontaneous and frenzied events undertaken by a number of individuals, many of whom may never be identified. They are dangerous precisely for their chaotic nature. Therefore it makes sense for the Legislature to require the People to prove only that the charged defendant, not other participants in the assault, had the requisite criminal intent to cause physical injury.

[1] Thus, we hold that a defendant can be found guilty of gang assault, if he or she acts with the requisite mens rea and aid, even if one or more of the persons who aid do not share his or her intent to cause physical harm. Contrary to the dissent's suggestion, we do not hold today that no mens rea is required of an aider. The only issue presented by defendants is whether the persons who provide aid must share the mental culpability of defendant. We thus have no occasion to define the exact intent needed, if any, of the persons aiding the defendant. We now turn to each particular case.

People v Sanchez

[2] The court properly instructed the jury that for the gang assault charge, the defendant may be found guilty if he acts with the intent to cause physical injury, whether or not those who aided him in the assault shared the same intent.

[3] Viewing the evidence in the light most favorable to the People, it was reasonable for the jury to conclude that Amitrano and Jurlina aided the defendant in the commission of the gang assault on Griffin. There was some evidence at trial that both Amitrano and Jurlina actually joined in on the assault of Griffin. In that way, both Amitrano and Jurlina aided in the assault. Even if Amitrano did not attack Griffin, he attacked McCormack and prevented McCormack from intervening in defendant's attack on Griffin. This provided an additional basis for

* Indeed, the accomplice statute expressly states that one who merely aids the commission of a crime may not be an accomplice, but instead may be guilty of a lesser offense. In particular, Penal Law § 20.10 provides:

“a person is not criminally liable for conduct of another person constituting an offense when his own conduct, though causing or *aiding* the commission of such offense, is of a kind that is necessarily incidental thereto. If such conduct constitutes a related but separate offense upon the part of the actor, he is liable for that offense only and not for the conduct or offense committed by the other person” (emphasis added).

the jury to find that Amitrano was acting in aid of defendant's effort to injure Griffin. Accordingly, the jury was entitled to find that both Amitrano and Jurlina aided defendant in his commission of the gang assault.

We find no merit to defendant's remaining contentions.

People v Mynin

Defendant claims that the jury instruction was erroneous because, along with the gang assault charge, the judge instructed the jury that the case was governed by the accessorial liability standard.

[4] The accomplice liability rules charged by the court were undisputedly relevant to the other counts against defendant. They were also relevant on the gang assault count as the jury could consider whether any of defendant's actions could be attributed to the codefendants who shared the intent to harm Moore. Furthermore, the judge explained to the jury that on the gang assault count, the jury was to consider the intent of the particular defendant. And when answering the jury notes, the judge clarified to the jury that the People need not prove that the other persons present and aiding defendant acted with the intent to cause physical injury. Thus, we find no error with the charge to the jury.

Accordingly, in each of the cases the order of the Appellate Division should be affirmed.

SMITH, J. (concurring). I join the majority opinion, but write separately to express my view on a question that opinion does not reach: whether any mens rea is required of an "aider" in a gang assault (see majority op at 566). I would answer that question yes. While the aider need not share the intent of the defendant, an innocent bystander—for example, one who inadvertently blocks the victim's path of escape—could not, in my view, be an aider. The Appellate Division opinion in *People v Green* (126 AD2d 105 [2d Dept 1987], *affd* 71 NY2d 1006 [1988]) and the dissenting opinion of Justice Silverman in *People v Hampton* (92 AD2d 490, 492 [1st Dept 1983], *affd* 61 NY2d 963 [1984]) suggest that the minimum mental state required of an aider should be that described in Penal Law § 115.00 (1), which says that a person commits criminal facilitation in the fourth degree when he acts "believing it probable that he is rendering aid . . . to a person who intends to commit a crime." I would not uphold a conviction for gang assault where the alleged aiders did not have at least that much culpability.

In the cases now before us, neither defendant asked the court to charge in the language of Penal Law § 115.00 (1). The charges that were given, however, did not permit the juries to convict defendants if the alleged aiders had no mens rea at all. In each case, the charge told the jury that an aider would not be “actually present” unless he were “ready, willing and able” to help defendant commit the crime. Willingness to help is a more culpable mental state than the mere belief that one is probably helping, and thus each of these defendants received a more favorable charge than I think he was entitled to.

JONES, J. (dissenting). I respectfully dissent and would reverse the orders of the Appellate Division. Both trial courts erred in not instructing the jury to make a finding that the persons who “aided” and were “actually present” had any degree of mental culpability. In my view, the gang assault statutes, sections 120.06 and 120.07 of the Penal Law, require that *all* members involved in the assault have the specific intent to cause physical injury—the lowest degree of mental culpability applicable to the crime of assault in any degree (*see* Penal Law art 120).

The gang assault statutes, which were added by the Laws of 1996, specifically recognize the danger posed by group assaults. The stated purpose of this legislation was “to enhance public safety by creating two assault crimes, gang assault in the first and second degrees, in recognition of the severity of assaults committed by gangs” (Senate Introducer’s Mem in Support, at 1, Bill Jacket, L 1996, ch 647, at 6). Penal Law §§ 120.06 and 120.07 created more severe penalties, class B and C violent felonies, when assaults were committed by a person while “aided by two or more other persons actually present.”

There is no dispute that an enhanced punishment is warranted because of the greater potential for harm and fear engendered by a group assault. Nevertheless, I do not agree that this crime is committed by a defendant when the persons who aided in the offense have no criminal intent—the position taken by the majority and the prosecution. My view is supported by the legislative history of the statutes (Governor’s Program Bill Mem, at 2, Bill Jacket, L 1996, ch 647, at 7, 1996 NY Legis Ann, at 476 [In the bill sponsor’s statement in support, it was noted that gang assaults are serious crimes, warranting enhanced punishment, because the “joint (or ‘shared’) action of numerous assailants is not only terrifying to victims but tends to increase the likelihood that severe or lethal injuries will be inflicted”]).

Moreover, the crime of gang assault must adhere to the basic principles of culpability defined in Penal Law § 15.05. It is axiomatic that culpable mental states must be proven together with an “actus reus” in order to constitute a crime. Further, the statutory mandate of Penal Law § 15.05 cannot be ignored by implication. In order to negate the requirement of mental culpability the Legislature would have to specifically include language in the statute and so declare (*see e.g. Alweis v Evans*, 69 NY2d 199, 204 [1987]).

Thus, the culpable mental states provided under the Penal Law cannot be presumed to have been written out of the gang assault statutes. To hold otherwise would subject a defendant to the enhanced level of assault without proof that the two or more other persons committed any act or had the appropriate mens rea to be convicted of any criminal offense. In other words, a defendant could be convicted of gang assault merely because there were uninvolved bystanders in the area or unwitting aiders.

Relying on the Appellate Division decision in *People v Green* (126 AD2d 105 [2d Dept 1987], *affd on other grounds* 71 NY2d 1006 [1988]), the majority takes the position that a person can be found guilty of gang assault when aided by another actually present even though that other person lacked any mental culpability. *Green* relies on the 1965 amendment to the robbery in the second degree statute in which the requirement that the aider be an “accomplice” (i.e., one with the same mental culpability as the primary actor) was replaced with the language “another person actually present” (Penal Law § 160.10 [1]).¹ The majority seems to conclude that the change in statutory language did away with the requirement that those charged with aiding need not have any mental culpability. In other words, if the primary actor had the necessary mental culpability it does not matter that a person alleged to be aiding and actually present had no culpable mental state. In discussing the statutory revision, however, the *Green* court stated as follows: “We find this revision significant and believe that it reflects an intention by the Legislature to permit a *much lesser degree of mental culpability to constitute aid under this robbery statute*” (*Green*, 126 AD2d at 110 [emphasis added]). By this language

1. I agree that the gang assault statutes, and specifically the phrase “aided by two or more other persons actually present,” were modeled after the amended robbery in the second degree statute.

the court did not eliminate the requirement of a culpable mental state. Indeed, the court points out that all of the parties need not have the same degree of mental culpability, but should have the mental culpability appropriate to the commission of the underlying crime. In this respect, *Green* is not inconsistent with my position.

To the extent that *Green* suggests that the minimum culpable mental state required of an aider should be that of a person who commits criminal facilitation in the fourth degree (Penal Law § 115.00 [1]), I disagree. Criminal facilitation “is addressed to a kind of accessorial conduct in which the actor aids the commission of a crime with knowledge that he is doing so but without any specific intent to participate therein or to benefit therefrom” (Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law [Study Bill, 1964 Senate Intro 3918, Assembly Intro 5376] art 115, at 328). Such conduct is generally “confined to preparation so attenuated from the final stages that the role of the facilitator is only remotely related as a cause or contributor to the ultimate crime” (*People v Beaudet*, 32 NY2d 371, 377 [1973]). Thus, contrary to the presence requirement of the aiders under the gang assault statutes, most persons charged with criminal facilitation are not present at the scene of the crime being facilitated. This point alone renders the offense of criminal facilitation inapplicable to the questions now before this Court. Based on the foregoing, the majority’s and concurrence’s reliance on *Green* is misplaced.²

The case that most accurately addresses the main issue before this Court is *People v Coleman* (5 AD3d 956, 958 [3d Dept 2004]). In *Coleman*, the court held that where a person is charged with robbery in the second degree, the person “aiding” must have “intent to aid . . . [in] stealing.” That is, there needs to be a “shared intent” by two persons when one is charged with second-degree robbery. Likewise, where a defendant is

2. *People v Hedgeman* (70 NY2d 533 [1987]) and *People v Dennis* (75 NY2d 821 [1990]), two cases upon which the majority relies, are distinguishable from the cases at bar and, in any event, of no moment. Both cases involved robbery in the second degree and define “actually present” at the scene. In *Hedgeman*, this Court held that the defendant was guilty only of robbery in the third degree because the accomplice was not in proximity to the scene of the robbery. In *Dennis*, the defendant’s conviction of robbery in the second degree was based upon the accomplice’s testimony and the getaway driver’s near presence at the robbery. On the contrary, the common issue in *Sanchez* and *Mynin* is what is the mental culpability of the aiders.

charged with gang assault, he/she must have a shared intent with the aiders. I now consider the cases before us.

In *Sanchez*, the trial court instructed the jury as follows:

“[A] person is actually present when such person is in a position to render immediate assistance to a person participating in the assault and is ready, willing and able to do so irrespective of whether such person intended to cause physical injury.

“Because of this definition of actually present, even if you find an individual defendant not guilty of this crime, because the People have not proven beyond a reasonable doubt that he had the intent required for the commission of the crime, you can still find another defendant or defendants guilty if you find that the not guilty defendant was actually present as I defined that term and that all the elements of the crime are proven by the People beyond a reasonable doubt.”

These instructions were improper because under them, the jury could convict defendant of gang assault based solely on another defendant's presence. Stated differently, the *Sanchez* court instructed the jury that it could find a defendant guilty even if the other persons charged in the gang assault were found not guilty by reason of having no mental culpability. Moreover, the trial court's inclusion of the “ready, willing and able” language in the context of a criminal case is troubling in a number of respects. First, this language is typically used as a contract term, such as in a property conveyance. Second, and more significantly, using the “ready, willing and able” language to “instruct” a jury ensures a hopelessly indefinite charge because it contains no objective standard by which an alleged aider's conduct can be assessed. Without an objective standard, absurd results may occur. Thus, the *Sanchez* court's charge amounts to reversible error.

In *Mynin*, the trial court first instructed the jury on accomplice liability. The court stated: “To be criminally responsible as a person acting in concert with another person, the defendant must intentionally aid in the commission of the crime and act with the requisite culpable mental state for that offense.” The court then instructed the jury on gang assault in the second degree, informing the jury that the instruction on gang assault was separate from its charge on acting in concert. In particular, the trial court stated that (1) the third element of gang assault

in the second degree is that defendant was aided by two or more persons actually present and (2) defendant could be convicted even if his aiders were found to have no mental culpability.

The *Mynin* court's instructions were clearly improper. Not only did the court give an incorrect charge regarding the mental culpability of aiders in a gang assault case, the *Mynin* instructions were confusing and contradictory (as evidenced by the numerous jury notes seeking clarification on the number of participants, whether all participants must have "shared intent," and what constitutes "aiding" versus "acting in concert").

In short, the trial courts in both *Sanchez* and *Mynin* erred when, among other things, they instructed the jury that it could find a defendant guilty even if the other persons charged in the gang assault were found not guilty by reason of having no mental culpability.

Further, the acquittal of the codefendants in *Mynin* effectively eliminated the "aided" requirement of the gang assault statutes and made it impossible to convict the remaining defendant of gang assault. The statutes unequivocally provide that at least three persons be involved in a gang assault. Therefore, one person may not be found singularly guilty of a crime which requires the participation of at least three (see e.g. *People v Palmer*, 135 AD2d 1103 [4th Dept 1987]; *People v Fallon*, 78 AD2d 659 [2d Dept 1980]).

Finally, if the majority's position is (1) they have not held "that no mens rea is required of an aider" and (2) they "have no occasion to define the exact intent needed" (majority op at 566), not only has the majority failed to provide guidance to the trial courts and bar as to the precise mental culpability of aiders in a gang assault context, they have not addressed the above stated deficiencies in the *Sanchez* and *Mynin* instructions.

For all of the foregoing reasons, both of these convictions should be reversed.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge SMITH concurs in a separate concurring opinion; Judge JONES dissents and votes to reverse in another opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

In each case: Order affirmed.

[921 NE2d 195, 893 NYS2d 503]

NYCTL 1999-1 TRUST et al., Respondents, v 573 JACKSON AVENUE REALTY CORP., Appellant, et al., Defendants.

Argued November 18, 2009; decided December 15, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 28, 2008. The Appellate Division affirmed (1) a judgment of the Supreme Court, Bronx County (Dianne T. Renwick, J.), which had granted foreclosure of a real property tax lien pursuant to RPAPL 1351, directed a sale of the property, and awarded plaintiff attorneys' fees in the amount of \$9,307.50, and (2) an order of that court which had denied defendant 573 Jackson Avenue Realty Corp.'s motion to cancel the foreclosure sale and enjoin the referee from conveying title.

NYCTL 1999-1 Trust v 573 Jackson Ave. Realty Corp., 55 AD3d 454, affirmed.

HEADNOTES

Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Stay

1. In an action to foreclose a real property tax lien, defendant property owner's actions in appealing from the judgment of foreclosure and depositing with the County Clerk's office one week prior to the foreclosure sale a sum of money in excess of the redemption amount listed in plaintiff's payoff letter did not automatically stay the sale under CPLR 5519 (a) (2) and (6). CPLR 5519 (a) (2) is relevant only where "the judgment or order directs the payment of a sum of money" and has no application to an appeal from a judgment of foreclosure and sale. Similarly, CPLR 5519 (a) (6) was inapplicable given that defendant's undertaking was not "in a sum fixed by the court" as required by that provision.

Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Stay — Applicability of RPAPL 1341

2. In an action to foreclose a real property tax lien, defendant property owner did not obtain a stay of the foreclosure sale pursuant to RPAPL 1341 by depositing with the County Clerk's office one week prior to the foreclosure sale a sum of money in excess of the redemption amount listed in plaintiff's payoff letter. RPAPL 1341, which authorizes a stay when the property owner pays a sufficient amount into court in situations "[w]here an action is brought to foreclose a mortgage upon real property upon which any part of the principal or interest is due, and another portion of either is to become due," is limited to partial foreclosures, and was not applicable here.

Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Redemption — Applicability of RPAPL 1341

3. RPAPL 1341, which authorizes a stay when the property owner pays a sufficient amount into court in situations "[w]here an action is brought to

foreclose a mortgage upon real property upon which any part of the principal or interest is due, and another portion of either is to become due," does not apply outside the partial foreclosure context. To the extent that *NYCTL 1996-1 Trust v LFJ Realty Corp.* (307 AD2d 957 [2d Dept 2003], *lv dismissed* 1 NY3d 622 [2004]), *EMC Mtge. Corp. v Bobb* (296 AD2d 476 [2d Dept 2002]) and *Green Point Sav. Bank v Oppenheim* (237 AD2d 409 [2d Dept 1997], *lv denied* 90 NY2d 806 [1997]) suggest that a property owner must comply with RPAPL 1341's requirements—including a motion for a stay and a sum deposited with the court—as preconditions for redemption, those cases should not be followed. An unconditional tender of the full amount due is all that is required.

Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Redemption

4. In an action to foreclose a real property tax lien, defendant property owner did not exercise its right to redeem the property by depositing with the County Clerk's office one week prior to the foreclosure sale a sum of money in excess of the redemption amount listed in plaintiff's payoff letter. Defendant sought only to stay the sale through its deposit of money with the County Clerk, and it did not tender the sum to plaintiff. As defendant did not redeem the property by unconditionally tendering the total amount owed, the property was properly sold at auction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Actions §§ 68, 69; AM JUR 2d, State and Local Taxation §§ 823, 824, 900, 901, 904, 906, 914, 920.
 BOWMAR, MORTGAGE LIENS IN NEW YORK, ch 20, Judgment and Sale in Foreclosure.
 CARMODY-WAIT 2d, Tender and Offer; Payment into Court § 41:66; CARMODY-WAIT 2d, Enforcement of Judgments § 64:439; CARMODY-WAIT 2d, Appeals in General §§ 70:260–70:262; CARMODY-WAIT 2d, Foreclosure of Mortgages on Real Estate §§ 92:64, 92:270; CARMODY-WAIT 2d, Redemption from Mortgage on Real Estate §§ 95:18, 95:22–95:27; CARMODY-WAIT 2d, Foreclosure of Tax Lien on Real Property §§ 99:26–99:31.
 MCKINNEY's, CPLR 5519 (a) (2), (6); RPAPL 1341.
 NY JUR 2d, Appellate Review §§ 443, 444, 448; NY JUR 2d, Mortgages and Deeds of Trust §§ 402, 538, 722; NY JUR 2d, Taxation and Assessment §§ 716, 717.
 SIEGEL, NY PRAC § 535.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Foreclosure; Liens and Encumbrances; Redemption; Stay of Action or Proceeding; Taxes.

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POINTS OF COUNSEL

Joseph A. Altman, P.C., Bronx (*Joseph A. Altman* of counsel), for appellant. I. The lower court erred in denying defendant's motion to vacate the sale where it complied with the requirements set forth in RPAPL 1341 (2). (*Green Point Sav. Bank v Oppenheim*, 237 AD2d 409; *NYCTL 1996-1 Trust v LFJ Realty Corp.*, 307 AD2d 957; *Citibank v Press Realty Corp.*, 139 Misc 2d 558; *First Fed. Sav. & Loan Assn. of Port Washington v Smith*, 83 AD2d 601; *Belsid Holding Corp. v Dahm*, 12 AD2d 499; *United Capital Corp. v 183 Lorraine St. Assoc.*, 251 AD2d 400; *Finance Inv. Co. [Bermuda] v Gossweiler*, 145 AD2d 463; *Norwest Mtge., Inc. v Brown*, 35 AD3d 682; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *EMC Mtge. Corp. v Bobb*, 296 AD2d 476.) II. The lower court erred in denying defendant's motion to vacate the sale where plaintiff fraudulently induced defendant into believing that the sale had been stayed. (*Bankers Fed. Sav. & Loan Assn. v House*, 182 AD2d 602; *Home Owners Loan Corp. v Vangerow*, 277 App Div 774; *Commercial Bank v Catto*, 13 App Div 608.) III. The lower court erred in denying defendant's motion to vacate the sale where the judgment of foreclosure and sale was tantamount to a judgment/order directing the "payment of a sum of money" under CPLR 5519 (a) (2). (*Matter of Scott*, 125 Misc 2d 1024.) IV. The lower court erred in denying defendant's motion to vacate the sale where CPLR 5519 (a) (6), assuming it applied, was also satisfied. V. A judgment of foreclosure which is based upon a sum paid and includes unreasonable legal fees must be set aside and vacated. (*Lazich v Lazich*, 189 AD2d 750.)

Rosicki, Rosicki & Associates, P.C., Plainview (*Owen M. Robinson* of counsel), for respondents. I. The court below was correct when it determined that appellant had failed to comply with CPLR 5519 (a) (6) and therefore was not entitled to a stay of the foreclosure sale. (*Copp v Sands Point Mar.*, 17 NY2d 291; *Bank Leumi Trust Co. of N.Y. v Sibthorp*, 135 AD2d 476; *Sautter v Frick*, 229 App Div 345, 256 NY 535; *Notey v Darien Constr. Corp.*, 41 NY2d 1055; *Wyoming County Bank & Trust Co. v Kiley*, 75 AD2d 477; *Pfeil v Hasselbush*, 273 NY 619; *Homecraft Alterations Corp. v Brill*, 30 Misc 2d 514; *Du Jack v Du Jack*, 243 AD2d 908.) II. The court below correctly determined that appellant had failed to comply with RPAPL 1341 (2) and

therefore was not entitled to a stay of the foreclosure sale. (*NYCTL 1996-1 Trust v LFJ Realty Corp.*, 307 AD2d 957; *Bankers Fed. Sav. & Loan Assn. v House*, 182 AD2d 602; *EMC Mtge. Corp. v Bobb*, 296 AD2d 476; *Green Point Sav. Bank v Oppenheim*, 237 AD2d 409; *Abley Props., Inc. v Reid*, 9 Misc 3d 1107[A], 2005 NY Slip Op 51438[U]; *City of New York v Nelson*, 309 NY 94; *City of New York v Jackson-140 Realty Corp.*, 279 App Div 668; *City of Peekskill v Perry*, 272 App Div 940; *Village of Ossining v Lakin*, 5 Misc 2d 1024; *Finance Inv. Co. [Bermuda] v Gossweiler*, 145 AD2d 463.) III. The court below was correct when it exercised its discretion not to invalidate the foreclosure sale. (*Guardian Loan Co. v Early*, 47 NY2d 515; *Bank of N.Y. v Sheik*, 279 AD2d 440; *Dime Sav. Bank of N.Y. v Zapala*, 255 AD2d 547; *Water St. Leasehold LLC v Deloitte & Touche LLP*, 19 AD3d 183, 6 NY3d 706; *Laub v Faessel*, 297 AD2d 28; *Mobil Oil Corp. v Joshi*, 202 AD2d 318.) IV. It was within the discretion of the trial court below to award legal fees to plaintiff in this tax lien foreclosure and the Appellate Division was correct in affirming the award.

OPINION OF THE COURT

GRAFFEO, J.

In this action to foreclose a real property tax lien, we conclude that the property owner did not properly stay the foreclosure sale nor did it exercise its right to redeem. We therefore affirm the order of the Appellate Division.

Defendant 573 Jackson Avenue Realty Corp. (Jackson) failed to pay certain real property taxes on its property located in the Bronx. In May 1999, plaintiff NYCTL 1999-1 Trust (the Trust) acquired a tax lien against the property in the amount of \$2,412.75 from the City of New York. Nearly three years later, Jackson paid that amount to the Trust. The lien was not discharged, however, because the statutory interest that had accrued in the interim remained unpaid.

The Trust and the Bank of New York, as collateral agent and custodian for the Trust, then commenced this action against Jackson to recover the balance owed, including interest and attorneys' fees. Following motion practice not relevant here, Supreme Court granted summary judgment in favor of the Trust and appointed a referee to calculate the total amount owed. After the referee's report was issued, the Trust moved to confirm the report and sought a judgment foreclosing the tax lien. Supreme Court granted the motion and awarded the Trust

\$9,307.50 in attorneys' fees, finding that such an award was reasonable given that the fees "became so grossly disproportionate to the amount of potential recovery[] only after [Jackson] chose to advance and repeat its unavailing arguments which had been decided by the Court in its previous Orders." A judgment of foreclosure and sale was entered in May 2007. Jackson appealed the judgment, arguing that it was improperly calculated.

Meanwhile, a foreclosure sale was scheduled for August 24, 2007. Approximately a week before the sale, the Trust forwarded a payoff letter to Jackson indicating that the sum of \$19,070.74 could be paid to redeem the property prior to the sale. Instead of forwarding full payment to the Trust, Jackson deposited \$19,563.71 with the Bronx County Clerk on August 17, 2007. The transmittal certificate reflects that the purpose of the deposit was "to be determined" and that the persons to be benefited likewise were "to be determined." The day before the scheduled sale, the Trust received correspondence from Jackson stating that it had filed an undertaking with the County Clerk that "stayed" the foreclosure sale. The sale proceeded as planned and a third party bought the parcel with a high bid of \$160,000.

In September 2007, Jackson moved to cancel the foreclosure sale and enjoin the referee from conveying title because the property had been sold in violation of statutory stays afforded by CPLR 5519 and RPAPL 1341. Supreme Court denied the motion. The Appellate Division affirmed both the foreclosure judgment and Supreme Court's denial of the motion (55 AD3d 454 [1st Dept 2008]), and we granted Jackson leave to appeal (12 NY3d 715 [2009]).

[1] Jackson maintains that its appeal from the May 2007 judgment of foreclosure coupled with its August 2007 deposit with the County Clerk automatically stayed the sale under CPLR 5519 (a) (2) and (6). But CPLR 5519 (a) (2) is relevant only where "the judgment or order directs the payment of a sum of money" and has no application to an appeal from a judgment of foreclosure and sale. Similarly, Jackson's reliance on CPLR 5519 (a) (6) is unavailing given that its undertaking was not "in a sum fixed by the court" as required by that provision.

Alternatively, Jackson submits that the foreclosure sale was improper because a stay was obtained pursuant to RPAPL 1341, which provides in relevant part:

“Where an action is brought to foreclose a mortgage upon real property upon which any part of the principal or interest is due, and another portion of either is to become due, and the defendant pays into court the amount due for principal and interest and the costs of the action, together with the expenses of the proceedings to sell, if any, the court shall:

. . .

“2. Stay all proceedings upon judgment, if the payment is made after judgment directing sale and before sale; but, upon a subsequent default in the payment of principal or interest, the court may make an order directing the enforcement of the judgment for the purpose of collecting the sum then due.”

[2] The Appellate Division concluded that Jackson did not properly secure a stay under RPAPL 1341 because that provision is not self-executing and requires that a court order the stay. We reject Jackson’s argument for a more fundamental reason—RPAPL 1341 simply has no application here.

RPAPL 1341 authorizes a stay when the property owner pays a sufficient amount into court in situations “[w]here an action is brought to foreclose a mortgage upon real property upon which any part of the principal or interest is due, *and another portion of either is to become due*” (emphasis added). In typical mortgage foreclosure cases, after a default, the entire balance is accelerated and immediately due. No portion “is to become due” in the future. Because future payments are anticipated only in the context of partial mortgage foreclosures (*see* RPAPL 1351 [2]), it follows that RPAPL 1341, by its plain terms, is limited to partial foreclosures (*see* 1 Bergman, New York Mortgage Foreclosures § 4.07 [1], at 4-46 [2009] [“While that provision does address the concept of redemption, a careful reading of R.P.A.P.L. section 1341 reveals its application solely to the instance where the entire amount of the mortgage has not yet become due. In short, that section applies to the partial foreclosure situation”]). Since this action to foreclose the Trust’s tax lien does not involve a partial foreclosure, RPAPL 1341 is inapplicable.

[3] Although RPAPL 1341 does not apply outside the partial foreclosure context, we note that a number of recent Appellate Division cases have engrafted that statute’s requirements onto a property owner’s common-law right of redemption (*see e.g. NYCTL 1996-1 Trust v LFJ Realty Corp.*, 307 AD2d 957 [2d

Dept 2003], *lv dismissed* 1 NY3d 622 [2004]; *EMC Mtge. Corp. v Bobb*, 296 AD2d 476 [2d Dept 2002]; *Green Point Sav. Bank v Oppenheim*, 237 AD2d 409 [2d Dept 1997], *lv denied* 90 NY2d 806 [1997]). The equity of redemption, which long predates the RPAPL, allows property owners to redeem their property by tendering the full sum at any point before the property is actually sold at a foreclosure sale (see *Mackenna v Fidelity Trust Co. of Buffalo*, 184 NY 411, 416 [1906]; *Nutt v Cuming*, 155 NY 309, 313 [1898]; *Nelson v Loder*, 132 NY 288, 291-292 [1892]; see also 1 Bergman, New York Mortgage Foreclosures § 4.07, at 4-42.2 [2009]). To the extent *LFJ*, *EMC* and *Green Point* suggest that a property owner must comply with RPAPL 1341's requirements—including a motion for a stay and a sum deposited with the court—as preconditions for redemption, those cases should not be followed. An unconditional tender of the full amount due is all that is required.

[4] Here, Jackson has conceded that it only sought to stay the sale through its deposit of \$19,563.71 with the County Clerk and that it did not tender the sum to the Trust. The record confirms that no tender was made—the documentation associated with the deposit reveals that no particular purpose or person was identified at the time the funds were deposited. Similarly, Jackson notified the Trust that the deposit merely “stayed” the foreclosure sale; it did not claim that it had fully satisfied the outstanding debt. Hence, Jackson informed neither the court nor the Trust that it was making full payment to redeem the property.* Because Jackson did not redeem the property by unconditionally tendering the total amount owed, the parcel was properly sold at auction.

We have considered Jackson's remaining arguments, including those related to the propriety of the foreclosure judgment itself, and find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

* In fact, throughout this litigation, Jackson's posture has been that its conduct stayed the sale pending its appeal from the foreclosure judgment—a position that is inconsistent with the exercise of the equity of redemption.

[923 NE2d 561, 896 NYS2d 278]

RONDAK CONSTRUCTION SERVICES, INC., Respondent, v KAATS-
BAAN INTERNATIONAL DANCE CENTER, INC., Respondent.
TBAYS, LLC, Nonparty Appellant.

Argued November 17, 2009; decided December 15, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 23, 2008. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Dutchess County (Thomas J. Dolan, J.), as had denied those branches of defendant's motion which were to set aside the judicial sale of certain real property owned by it and to compel the Dutchess County Sheriff to accept its certified check in full satisfaction of a judgment of that court which was in favor of the plaintiff and against it in the total sum of \$105,631.05, and granted that branch of the cross motion of nonparty TBays, LLC, the successful bidder at auction, which was pursuant to CPLR 5236 (f) to direct the Sheriff to execute, and deliver to TBays, LLC, a deed conveying the right, title and interest in the real property; (2) granted those branches of defendant's motion which were to set aside the judicial sale of the real property and to compel the Sheriff to accept its certified check in full satisfaction of the judgment; and (3) denied that branch of the cross motion which was pursuant to CPLR 5236 (f). The following question was certified by the Appellate Division: "Was the decision and order of this court dated September 23, 2008, properly made?"

Rondack Constr. Servs., Inc. v Kaatsbaan Intl. Dance Ctr., Inc., 54 AD3d 924, affirmed.

HEADNOTE

Execution — Sheriff's Sale — Tender of Amount Sufficient to Satisfy Judgment — Termination of Lien

A judgment debtor's tender to the Sheriff of a cashier's check in an amount sufficient to satisfy the judgment against it, together with all related fees and expenses, before its property was auctioned at a judicial sale, automatically discharged the execution lien and terminated the Sheriff's authority to sell the property. The tender was the equivalent of payment and had the instantaneous effect of discharging the lien created by the execution. Consequently, the Sheriff lost the authority to sell the property, resulting in an improper conveyance when the tender was refused and the sale proceeded. CPLR 5236, which delineates the procedures applicable to a sheriff's sale of a

judgment debtor's real property, does not alter a debtor's right to recover property *before* a judicial sale. Permitting a judgment debtor to redeem by tendering full payment to the Sheriff before the property is sold at auction is fully compatible with CPLR 5236. Furthermore, notwithstanding that CPLR 5240 allows a court to issue a protective order in order to control and regulate the enforcement of a money judgment under CPLR article 52, a property owner who desires to tender the appropriate amount before the actual sale is free to do so without the need to move under CPLR 5240.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments
§§ 385–388, 401, 443–445.
CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:162,
64:163, 64:444, 64:446, 64:451.
MCKINNEY's, CPLR 5236, 5240.
NY JUR 2d, Enforcement and Execution of Judgments
§§ 114, 129–131, 327, 328.
SIEGEL, NY PRAC §§ 494, 500.

ANNOTATION REFERENCE

See ALR Index under Judicial and Execution Sales; Tender.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sheriff /2 sale & debtor /3 tender! /s discharg! /5
lien & redeem!

POINTS OF COUNSEL

Teahan & Constantino, Poughkeepsie (Richard I. Cantor of counsel), for nonparty appellant. I. The procedures for enforcement of money judgments codified in article 52 of the CPLR, including the discretionary provisions for protective relief, supersede and supplant the common-law holding in *Tiffany v St. John* (65 NY 314 [1875]) erroneously relied upon by the Appellate Division in its holding that a tender prior to commencement of active bidding in a sheriff's sale instantaneously discharges an execution lien. (*Guardian Loan Co. v Early*, 47 NY2d 515; *Paz v Long Is. R.R.*, 241 AD2d 486; *Matter of Sanders v Manufacturers Hanover Trust Co.*, 229 AD2d 544; *Kolorotron Sys. v Casey*, 118 AD2d 687; *Tweedie Constr. Co. v Stoesser*, 65 AD2d 657; *Moskin v Midland Bank & Trust Co.*, 96 Misc 2d 600.) II. The correct standard of review for determination of the appeal at the Appellate Division was whether Acting Supreme

Court Justice Dolan abused his discretion in upholding the sheriff's sale. (*Fiore v Oakwood Plaza Shopping Ctr.*, 178 AD2d 311; *Matter of Sanders v Manufacturers Hanover Trust Co.*, 229 AD2d 544; *Matter of National Loan Invs. v Futersak*, 294 AD2d 506; *Webb v Torrington Indus., Inc.*, 28 AD3d 1216; *Gorea v Pinsky*, 50 AD2d 713; *Technology Multi Sources, S.A. v Stack Global Holdings, Inc.*, 44 AD3d 931; *Tiffany v St. John*, 65 NY 314.) III. Acting Supreme Court Justice Dolan did not abuse his discretion in denying protective relief to Kaatsbaan International Dance Center, Inc. (*Cook v H. R. H. Constr. Corp.*, 32 AD2d 806; *Midlantic Natl. Bank/N. v Reif*, 732 F Supp 354; *Hammond v Econo-Car of N. Shore*, 71 Misc 2d 546; *Nord v Berman*, 5 Misc 3d 1002[A], 2004 NY Slip Op 51150[U]; *Swift v Swift*, 260 AD3d 468; *AMEV Capital Corp. v Kirk*, 180 AD2d 791; *Donaghy v Donaghy*, 203 AD2d 803; *Wandschneider v Bekeny*, 75 Misc 2d 32; *Federal Deposit Ins. Co. v Lapadula*, 137 Misc 2d 559; *Matter of Ocino, Inc. v Fromm*, 276 AD2d 558.)

Malcolm S. Taub LLP, New York City (*Malcolm S. Taub* of counsel), for Kaatsbaan International Dance Center, Inc., respondent. I. The Second Department properly determined that when Kaatsbaan International Dance Center, Inc., the judgment debtor, tendered the full judgment amount prior to the execution sale, the execution lien was instantaneously discharged, and the Sheriff's authority to sell the property was terminated. (*Tiffany v St. John*, 65 NY 314; *Gersten-Hillman Agency v Lichtenstein & Friedman Realty Corp.*, 182 AD2d 1041; *Wandschneider v Bekeny*, 75 Misc 2d 32; *Paz v Long Is. R.R.*, 241 AD2d 486; *Matter of Sanders v Manufacturers Hanover Trust Co.*, 229 AD2d 544; *Kolortron Sys. v Casey*, 118 AD2d 687; *Tweedie Constr. Co. v Stoesser*, 65 AD2d 657; *Moskin v Midland Bank & Trust Co.*, 96 Misc 2d 600; *Guardian Loan Co. v Early*, 47 NY2d 515; *Sweeney, Cohn, Stahl & Vaccaro v Kane*, 33 AD3d 785.) II. Appellant's claim that the Appellate Division applied an improper standard of review is meritless. The Appellate Division did not make a de novo review of any discretionary determination by the Supreme Court under CPLR 5240. The Appellate Division simply determined that Kaatsbaan International Dance Center, Inc. tendered the full judgment amount before the execution sale. (*Dale v Emerson Elec. Co.*, 219 AD2d 815; *Northern Westchester Professional Park Assoc. v Town of Bedford*, 60 NY2d 492; *Zeltser v Sacerdote*, 52 AD3d 824.) III. Because the tender of the amount due prior to the alleged sheriff's sale extinguished the execution lien and terminated the right of the Sheriff to sell the property, under CPLR 2003,

the Supreme Court should have granted the relief sought by Kaatsbaan International Dance Center, Inc. (*Gersten-Hillman Agency v Lichtenstein & Friedman Realty Corp.*, 182 AD2d 1041; *Shaw v Russell*, 95 AD2d 977.) IV. If this Court finds that a review under CPLR 5240 is necessary, this Court must find that the Supreme Court improvidently exercised its discretion and abused its discretion in declining to grant Kaatsbaan International Dance Center, Inc. protective relief under CPLR 5240. (*Matter of National Loan Invs. v Futersak*, 294 AD2d 506; *Paduano v Paduano*, 47 AD2d 660; *Mast Prop. Invs. v Gaines Serv. Leasing Corp.*, 194 AD2d 412.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we reaffirm *Tiffany v St. John* (65 NY 314 [1875]) and hold that a judgment debtor's tender to the sheriff before its property is auctioned at a judicial sale automatically discharges the execution lien, terminating the sheriff's authority to sell the property.

In early 2006, plaintiff Rondack Construction Services, Inc. obtained a default judgment against defendant Kaatsbaan International Dance Center, Inc. for \$105,631.05 based on Kaatsbaan's failure to pay a promissory note. When Kaatsbaan did not satisfy the judgment, Rondack delivered an execution directing the Dutchess County Sheriff to sell a 53-acre parcel owned by Kaatsbaan. The Sheriff scheduled a judicial auction and sale of the property for 11:00 A.M. on September 6, 2006.

The auction commenced as planned. Before bidding began, Kaatsbaan's executive director asked the lieutenant from the Sheriff's department whether the sale could be prevented by satisfying the judgment with a check. The lieutenant phoned the County Attorney's office for legal advice and, while awaiting its response, Kaatsbaan's agent offered him a cashier's check for \$116,754.15, an amount sufficient to satisfy the judgment, together with interest, poundage and other related fees. After receiving instructions from the County Attorney's office, the lieutenant refused the tender and proceeded with the sale. A bid of \$118,000 made on behalf of TBays, LLC was accepted as the highest bid.

On September 13th, Kaatsbaan moved to vacate the sale and compel the Sheriff to accept its check in full satisfaction of the judgment. TBays cross-moved to direct the Sheriff to execute and deliver the deed and related documents.

Supreme Court denied Kaatsbaan's motion and granted TBays' cross motion. The Appellate Division reversed, thereby granting Kaatsbaan's motion to vacate the sale and compel the Sheriff to accept the check (54 AD3d 924 [2d Dept 2008]). Relying on *Tiffany*, the court held that Kaatsbaan's pre-sale tender discharged the execution lien, and therefore, the Sheriff lacked capacity to sell the parcel.

In granting leave to appeal, the Appellate Division certified the following question: "Was the decision and order of this court dated September 23, 2008, properly made?" We now answer the question in the affirmative.

In *Tiffany*, the sheriff levied on a judgment debtor's boat pursuant to an execution and proceeded to sell it at a public auction. Before bidding began, the judgment debtor tendered to the sheriff an amount sufficient to satisfy the judgment and all associated costs. The sheriff refused the tender and sold the boat to the highest bidder. Analogizing to the common-law equity of redemption in the mortgage foreclosure context, this Court held more than a century ago that, under these circumstances, the tender was the equivalent of payment and had the "instantaneous effect" of discharging the lien created by the execution (65 NY at 318). Consequently, the sheriff lost the authority to sell the property, resulting in an improper conveyance.

TBays acknowledges that *Tiffany* compels an affirmance if it remains good law. It urges, however, that the CPLR article 52 procedures relating to the enforcement of money judgments—and CPLR 5236 and 5240 in particular—abrogated the common-law rule articulated by *Tiffany*. We disagree.

CPLR 5236 delineates the procedures applicable to a sheriff's sale of a judgment debtor's real property. In *Guardian Loan Co. v Early* (47 NY2d 515 [1979]), we noted that CPLR 5236 abolished the debtor's statutory right (codified in the former Civil Practice Act) to redeem property *after* it had been sold at auction. The enactment of CPLR 5236, however, did not alter a debtor's right to recover property *before* a judicial sale. In fact, CPLR 5236 (a) preserves "a kind of 'redemption' period" because it requires at least an eight-week time frame between the posting of notice and the sale itself (10th Ann Rep of NY Jud Conf, at 123). We believe that *Tiffany*, which effectively permits a judgment debtor to redeem by tendering full payment to the sheriff before the property is sold at auction, is fully compatible with CPLR 5236 and remains an accurate statement of New York law.

TBays' reliance on CPLR 5240 is similarly misplaced. CPLR 5240 allows a court to issue a protective order "denying, limiting, conditioning, regulating, extending or modifying the use of any enforcement procedure." We have observed that this provision "grants the courts broad discretionary power to control and regulate the enforcement of a money judgment under article 52 to prevent unreasonable annoyance, expense, embarrassment, disadvantage, or other prejudice to any person or the courts" (*Guardian*, 47 NY2d at 519 [internal quotation marks and citation omitted]). But nothing in CPLR 5240 explicitly or implicitly supplants *Tiffany*. A property owner who desires to tender the appropriate amount before the actual sale is free to do so without the need to move under CPLR 5240. Stated differently, property owners possess a common-law right under *Tiffany* to redeem their property before sale without judicial intervention.

Here, as in *Tiffany*, Kaatsbaan timely tendered an amount sufficient to satisfy the judgment and all fees and expenses. Kaatsbaan's tender extinguished the lien and foreclosed the sale of the property. The Appellate Division therefore properly granted Kaatsbaan's motion to set aside the sale and compel the Sheriff to accept its check in full satisfaction of the judgment.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

[923 NE2d 563, 896 NYS2d 280]

In the Matter of JAMES P. GILPATRIC, a Judge of the Kingston City Court, Ulster County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued November 17, 2009; decided December 15, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated June 5, 2009. The Commission determined that petitioner, a Judge of the Kingston City Court, Ulster County, should be admonished.

HEADNOTE

Judges — Disciplinary Proceedings — Failure to Render Timely Decisions — Hearing

A summary determination of the State Commission on Judicial Conduct which sustained one charge of misconduct against petitioner City Court Judge for his failure to render timely decisions in 47 cases over a period of 3½ years and concluded that his conduct constituted a pattern of persistent or deliberate neglect of his judicial duties was modified, and the matter was remitted to the Commission for a hearing before a referee. Although a judge's failure to promptly dispose of pending matters is primarily a matter for administrative correction, lengthy, inexcusable delays may be the subject of disciplinary action, particularly when a judge fails to perform judicial duties despite repeated administrative efforts to assist the judge, and his or her conduct demonstrates an unwillingness or inability to discharge those duties. Petitioner had numerous lengthy delayed decisions and a prior letter from the Commission cautioning him to promptly dispose of pending matters. However, the prior warning was not sufficient to render these delays misconduct as a matter of law, without the development of a record addressing the context in which they occurred.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 17, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:107, 3:119, 3:120, 3:128, 3:131, 3:133, 3:138–3:142, 3:145, 3:146.

NY JUR 2d, Courts and Judges §§ 435, 440, 441, 448, 453, 457, 460.

ANNOTATION REFERENCE

See ALR Index under Judges.

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POINTS OF COUNSEL

James E. Long, Albany, for petitioner. The Commission on Judicial Conduct does not have jurisdiction warranting disciplinary action in this case. (*Matter of Greenfield*, 76 NY2d 293; *Matter of Lenney*, 71 NY2d 456; *Matter of Reeves*, 63 NY2d 105; *Matter of Washington*, 100 NY2d 873.)

Robert H. Tembeckjian, New York City, *Edward Lindner*, *Melissa DiPalo* and *Thea Hoeth* for respondent. I. This Court's decision in *Matter of Greenfield* (76 NY2d 293 [1990]) did not divest the Commission on Judicial Conduct of subject matter jurisdiction over decisional delays. (*Matter of Washington*, 100 NY2d 873; *Lacks v Lacks*, 41 NY2d 71; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Matter of Steinberg*, 51 NY2d 74; *Matter of Sherrill v O'Brien*, 188 NY 185; *Matter of Assini*, 94 NY2d 26.) II. Petitioner's failure to timely decide 47 cases over a period of three years and his failure to adhere to terms of the letter of dismissal and caution and to avoid further delays after intervention of his administrative judge constitute judicial misconduct. (*Matter of Greenfield*, 76 NY2d 293; *Matter of Assini*, 94 NY2d 26; *Matter of Cerbone*, 2 NY3d 479; *Matter of Robert*, 89 NY2d 745; *Matter of Lenney*, 71 NY2d 456.) III. In the event this Court finds *Matter of Greenfield* (76 NY2d 293 [1990]) precludes a determination of misconduct, it should be overturned. (*Matter of Blackburne [State Commn. on Jud. Conduct]*, 7 NY3d 213; *Matter of Hart [State Commn. on Jud. Conduct]*, 7 NY3d 1; *Matter of Bauer*, 3 NY3d 158.) IV. The appropriate sanction is admonition.

OPINION OF THE COURT

Per Curiam.

On summary determination, the State Commission on Judicial Conduct sustained one charge of misconduct against petitioner, a City Court Judge, for his failure to render timely decisions in 47 cases over a period of 3½ years and concluded that his conduct constituted a pattern of "persistent or deliberate neglect of his judicial duties" (*Matter of Greenfield*, 76 NY2d 293, 295 [1990]). We modify the determination and conclude that this matter should be remitted to the Commission for a hearing before a referee.

I.

From 1994 to 2007, petitioner served as a part-time Judge of the Kingston City Court and maintained a private law practice. In February 2004, the Commission issued a confidential letter of dismissal and caution to him for failing to render timely decisions in two cases and failing to report one delayed case to his administrative judge as required by Rules of the Chief Judge (22 NYCRR) § 4.1.¹ In April 2007, he became a full-time judge of that court.

In August 2008, the Commission filed a formal written complaint against petitioner, alleging that from July 2004 to February 2008 petitioner delayed in rendering decisions in 43 cases and four motions.² The allegations are undisputed. In 25 of the cases, the delays ranged between two months and six months after final submission; in 17 cases, the delays ranged between seven months to one year and two months; and, in one case, petitioner delayed the decision more than 2½ years. The delayed decisions on motions ranged between four and 11 months. No more than 13 decisions were pending at any given time. As required by 22 NYCRR 4.1, petitioner reported the delayed matters in quarterly reports to his administrative judge and cited “[i]nsufficient time” as a cause for many of the delays. In several cases, the litigants or their attorneys wrote to petitioner or petitioner’s administrative judge inquiring about the delayed decisions in their respective cases.

Petitioner moved to dismiss the formal written complaint, arguing that the Commission lacks jurisdiction to intrude into matters of internal court administration. Petitioner admitted to the backlog and informed the Commission that, after becoming a full-time judge, he cleared his backlog and has remained current. The administrator of the Commission opposed petitioner’s motion and cross-moved for summary determination, sustaining the formal written complaint. The Commission denied the motion to dismiss and granted the cross motion for summary

1. The letter dismissed the complaint against him, but cautioned that he must “dispose of all judicial matters promptly, efficiently and fairly” and “submit complete and accurate quarterly reports of pending cases to [his] administrative judge.” The Commission further advised that the letter “may be used in a future disciplinary proceeding based on failure to adhere to [its] terms.”

2. Pursuant to Uniform City Court Act § 1304, a “court must render judgment within thirty days from the time when the case is submitted for that purpose.” A court shall render a decision on a motion within 60 days (*see* Uniform City Ct Act § 1001; CPLR 4213 [c]).

determination. After arguments on the issue of sanctions, the Commission determined that admonition was appropriate. Petitioner now asks the Court to review this matter pursuant to NY Constitution, article VI, § 22 (d) and Judiciary Law § 44 (9), which confer on this Court plenary power to review the legal and factual findings of the Commission as well as the sanction.

II.

A judge has an ethical obligation to “dispose of all judicial matters promptly, efficiently and fairly” (22 NYCRR 100.3 [B] [7]). In *Greenfield*, this Court held that the Commission generally lacks jurisdiction to discipline a judge for a failure to timely dispose of pending matters (76 NY2d at 298). In that case, the Commission sustained one charge of misconduct against a Supreme Court justice, for his failure to render decisions promptly in eight cases. The delayed decisions ranged from seven months to over nine years in those cases, and the petitioner conceded that the delays were inexcusable. We concluded that the delays disclosed “serious administrative failings in [the] petitioner’s handling of the cases,” but that there was “no persistent or deliberate neglect of his judicial duties rising to the level of misconduct” (*id.* at 295). The petitioner’s hearing revealed that, during his judicial career, he had disposed of approximately 25,000 cases and often worked evenings, weekends and holidays. Unique to that case, the petitioner’s administrative judge explained that most of the delays occurred at the infancy of reporting rules, which had not been consistently applied and enforced, and that, prior to the disciplinary hearing, administrative action had been firmly interposed (*see id.* at 299). At that time, this Court concluded that it was important to draw a line

“between the role of the Commission and court administrators in order to avoid confusion and provide adequate notice to members of the judiciary as to when and under what circumstances delays in disposing of pending matters ceases to be a purely administrative concern and becomes a matter warranting punitive sanctions” (*id.* at 298).

It still remains true that a judge’s failure to promptly dispose of pending matters is primarily a matter for administrative correction. But after nearly 20 years of experience with *Greenfield*, we think it is not workable to exclude completely the possibility of more formal discipline for such behavior, in cases where the

delays are lengthy and without valid excuse. In *Greenfield* itself, we recognized that when a judge “has defied administrative directives or has attempted to subvert the system by, for instance, falsifying, concealing or persistently refusing to file records indicating delays,” the Commission has the authority to sanction a judge (*id.* at 297; *Matter of Washington*, 100 NY2d 873, 875 [2003]). We now hold that lengthy, inexcusable delays may also be the subject of disciplinary action, particularly when a judge fails to perform judicial duties despite repeated administrative efforts to assist the judge and his or her conduct demonstrates an unwillingness or inability to discharge those duties.

Because not every case involving caseload delays will rise to the level of misconduct, it is imperative that the context in which the delays occurred be fully explored. The number of cases and the length of the delays should be assessed in light of the total number and complexity of cases that the judge presided over during the relevant time period, as well as the jurist’s other judicial obligations. The extent and nature of efforts taken by an administrative judge or other administrative personnel, as well as the judge’s response to those efforts, should also be considered. Statistics alone are insufficient to support a finding of misconduct; disciplinary action must be based on a record demonstrating a judge’s persistent lack of action in response to administrative recommendations or warnings.

Here, although petitioner had numerous lengthy delayed decisions and a prior letter from the Commission cautioning him to promptly dispose of pending matters, misconduct was established on summary determination without a hearing. While we conclude that petitioner’s motion to dismiss was properly denied because the Commission has jurisdiction to investigate complaints involving delay and, where appropriate, pursue further proceedings, we are unpersuaded that the prior warning in this case was sufficient to render these delays misconduct as a matter of law, without the development of a record addressing the context in which they occurred. On the record presented, it is not clear whether these delayed decisions were inexcusable and whether the problem could have been, or was, adequately dealt with administratively. Indeed, we do not know the extent to which petitioner’s administrative judge intervened. Given the Commission must establish that the delayed decisions were the product of misconduct, whether disciplinary action was warranted is not discernable from the existing record.

Accordingly, the determination of the State Commission on Judicial Conduct should be modified, without costs, by denying the administrator's cross motion for summary determination and remitting to the Commission for a hearing on the charge contained in the formal written complaint, and as so modified, accepted.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion; Chief Judge LIPPMAN taking no part.

Determination of the State Commission on Judicial Conduct modified, etc.

[921 NE2d 1034, 894 NYS2d 370]

AVRAHAM AFFRI, Appellant, v YAAKOV BASCH et al., Respondents.

Argued October 20, 2009; decided November 24, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 13, 2007. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Kings County (Bert A. Bunyan, J.), as had (1) denied defendants' motion for summary judgment dismissing the complaint, and (2) denied plaintiff's cross motion for summary judgment on the issue of liability on the cause of action alleging a violation of Labor Law § 240 (1). The modification consisted of reversing, on the law, so much of the order as had denied defendants' motion for summary judgment dismissing the complaint, and granting defendants' motion.

Affri v Basch, 45 AD3d 615, affirmed.

HEADNOTES**Labor — Safe Place to Work — Homeowner's Exemption**

1. In an action to recover damages for injuries plaintiff sustained when he fell from a ladder while installing a vent on the roof of defendants' two-family dwelling, defendants were entitled to summary judgment dismissing the causes of action pursuant to Labor Law § 240 (1) and § 241 (6), as they did not exercise sufficient direction and control over plaintiff's work to overcome the one- or two-family dwelling homeowner exemption from the duties imposed under those statutes. Plaintiff was hired to perform certain renovations, including the installation of appliances, and was directed by defendants to place the vent through the roof. That direction was simply an aesthetic decision, and defendants did nothing more than what any ordinary homeowner would do in deciding how they wanted the home to look upon completion. Defendants did not provide the plaintiff with any equipment or work materials, nor were they even present at the time plaintiff undertook the venting work. Rather, both the method and the manner of plaintiff's work were left to his judgment and experience. Plaintiff's affidavit indicating that he expressed reluctance to go on the roof because of concern for his safety was insufficient to raise an issue of fact. He went up on the roof of his own volition to complete the work, and not at the specific direction of defendants.

Labor — Safe Place to Work — Supervisory Control Over Work

2. In an action to recover damages for injuries plaintiff sustained when he fell from a ladder while installing a vent on the roof of defendants' two-family dwelling, defendants were entitled to summary judgment dismissing the causes of action pursuant to Labor Law § 200 and for common-law negligence, as they exercised no supervisory control over the activity bringing about the injury. Plaintiff was hired to perform certain renovations, including the

installation of appliances, and was directed by defendants to place the vent through the roof. That direction was simply an aesthetic decision, and defendants did nothing more than what any ordinary homeowner would do in deciding how they wanted the home to look upon completion. Defendants did not provide the plaintiff with any equipment or work materials, nor were they even present at the time plaintiff undertook the venting work. Rather, both the method and the manner of plaintiff's work were left to his judgment and experience. Plaintiff's affidavit indicating that he expressed reluctance to go on the roof because of concern for his safety was insufficient to raise an issue of fact. He went up on the roof of his own volition to complete the work, and not at the specific direction of defendants.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 205, 248, 249, 256, 269.

McKINNEY's, Labor Law §§ 200, 240 (1); § 241 (6).

NY JUR 2d, Employment Relations §§ 269, 286–290, 292–294, 299, 300, 308–311, 313, 314, 355, 365.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: f*ll /3 ladder & dwelling /5 exempt! /p direct! /4 control!

POINTS OF COUNSEL

Pollack Pollack Isaac & De Cicco, New York City (Brian J. Isaac, Joshua Brian Erwin and Jillian Rosen of counsel), for appellant. I. The evidence establishes that defendants directed and controlled plaintiff's work and thus are not entitled to application of the homeowner's exemption; they commanded him to perform the specific actions that resulted in his accident, despite his reluctance. (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Crawford v Leimzider*, 100 AD2d 568; *Mack v Altmans Stage Light. Co.*, 98 AD2d 468; *Horning v Gore*, 87 AD2d 34; *Bland v Manocherian*, 66 NY2d 452; *Gandley v Prestige Roofing & Siding Co.*, 148 AD2d 666, 74 NY2d 792; *Vencebi v Waldorf Astoria Hotel Corp.*, 143 AD2d 1004; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81

NY2d 494.) II. Given defendants' control over the work site, the Labor Law § 241 (6) and § 200 claims should be reinstated. (*Morris v Pavarini Constr.*, 9 NY3d 47; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Nagel v D & R Realty Corp.*, 99 NY2d 98; *Long v Forest-Fehlhaber*, 55 NY2d 154, 56 NY2d 805; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 45 NY2d 776; *Latino v Nolan & Taylor-Howe Funeral Home*, 300 AD2d 631; *Kelleir v Supreme Indus. Park*, 293 AD2d 513; *Pasquarello v Citicorp/Quotron*, 251 AD2d 477; *Mills v Niagara Mohawk Power Corp.*, 262 AD2d 901; *White v Farash Corp.*, 224 AD2d 978.)

Hodges Walsh & Slater, LLP, White Plains (*Paul E. Svensson* of counsel), for respondents. I. Defendants-respondents are entitled to the homeowner exemption under Labor Law §§ 240 and 241 (6) because they did not exercise direction and control over the method and manner of plaintiff-appellant's work. (*Ferrero v Best Modular Homes, Inc.*, 33 AD3d 847, 8 NY3d 841; *Siconolfi v Crisci*, 11 AD3d 600; *Tilton v Gould*, 303 AD2d 491; *Sarvis v Maida*, 173 AD2d 1019; *Mayen v Kalter*, 282 AD2d 508; *Duarte v East Hills Constr. Corp.*, 274 AD2d 493; *Schwartz v Foley*, 142 AD2d 635; *Boccio v Bozik*, 41 AD3d 754; *Acosta v Hadjigavriel*, 18 AD3d 406; *Ryba v Almeida*, 44 AD3d 740.) II. Defendants-respondents are not liable under Labor Law § 200 because they were not responsible for the manner in which the work was performed and did not exercise supervisory control over plaintiff-appellant's work methods. (*Ortega v Puccia*, 57 AD3d 54; *Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876; *Ferrero v Best Modular Homes, Inc.*, 33 AD3d 847; *Kajowski v Irvico Realty Corp.*, 37 AD2d 991, 30 NY2d 481; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Persichilli v Triborough Bridge & Tunnel Auth.*, 16 NY2d 136; *Snyder v Gnall*, 57 AD3d 1289; *Chowdhury v Rodriguez*, 57 AD3d 121.)

OPINION OF THE COURT

FIGOTT, J.

The issue before us is whether defendants exercised sufficient direction and control over plaintiff's work to overcome the one- or two-family dwelling exception found in Labor Law §§ 240 and 241. We hold that they did not and therefore affirm the order of the Appellate Division.

Defendants hired plaintiff, a neighbor who had previously done small jobs for them, to perform renovations to an apartment within their home. The work included, as relevant to this appeal, the installation of appliances. Plaintiff fell from a ladder

while installing a vent on the roof and suffered injuries that required several surgeries.

Plaintiff brought this action against defendants, alleging violations of Labor Law §§ 200, 240 (1) and § 241 (6) and common-law negligence. Following discovery, defendants moved for summary judgment dismissing the complaint asserting, among other things, that as owners of a two-family dwelling they were exempt from the duties imposed under the Labor Law. Plaintiff opposed the motion and, in turn, cross-moved for summary judgment maintaining that because defendants directed and controlled his work, the one- or two-family dwelling exception did not apply. Supreme Court denied both motions finding questions of fact as to all causes of action.

The Appellate Division reversed, holding that defendants made a prima facie showing of their entitlement to summary judgment under the homeowner's exemption of Labor Law § 240 (1) and § 241 (45 AD3d 615, 616 [2007]). It further found that plaintiff failed to raise a triable issue of fact in opposition, concluding that plaintiff "demonstrated only that the defendants made aesthetic decisions and exercised general supervision with respect to the project, neither of which deprives them of the benefit of the statutory exemption" (*id.*).

As it pertained to the section 200 claim and common-law negligence, the Appellate Division found that plaintiff failed to raise a triable issue of fact as to whether defendants exercised supervisory control over the work (*id.*). Therefore, it found that Supreme Court should have also dismissed those causes of action (*id.*).

We granted plaintiff leave to appeal (11 NY3d 714 [2009]) and now affirm.

Labor Law § 240 provides in pertinent part as follows:

"All contractors and owners and their agents, *except owners of one and two-family dwellings who contract for but do not direct or control the work*, in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor . . . devices which shall be so constructed, placed and operated as to give proper protection to a person so employed" (§ 240 [1] [emphasis added]).

A similar homeowner's exemption is found in Labor Law § 241.

The exemption was enacted so that “the law would be fairer and more nearly reflect the practical realities governing the relationship between homeowners and the individuals they hire to perform construction work on their homes” (*Cannon v Putnam*, 76 NY2d 644, 649 [1990] [citation omitted]). We have previously stated that whether a defendant’s conduct amounts to direction and control depends upon the degree of supervision exercised over “the manner and method of the work to be performed” (*Duda v Rouse Constr. Corp.*, 32 NY2d 405, 409 [1973]).

[1] Here, defendants’ participation was limited to discussion of the results the homeowner wished to see, not the method or manner in which the work was then to be performed. Defendants’ direction to plaintiff to place a vent through the roof was simply an aesthetic decision. Defendants did nothing more than what any ordinary homeowner would do in deciding how they wanted the home to look upon completion. Further, defendants did not provide the plaintiff with any equipment or work materials, nor were they even present at the time plaintiff undertook the venting work. Rather, both the method and the manner of plaintiff’s work were left to his judgment and experience.

Plaintiff’s affidavit indicating that he expressed reluctance to go on the roof because of concern for his safety is insufficient to raise an issue of fact. Although plaintiff claims that he did not want to go up on the roof to run the vent because he was working alone, he proceeded to do so—not at the specific direction of defendants but of his own volition to complete the work.

[2] For the same reasons, defendants were entitled to summary judgment dismissing the causes of action pursuant to Labor Law § 200 and for common-law negligence because defendants exercised no supervisory control over the activity bringing about the injury (*see Lombardi v Stout*, 80 NY2d 290, 295 [1992]).

Consequently, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN. (dissenting). The majority conflates the end result of the work with the manner and method of its performance and it is the supervision over the latter that is the touchstone in this case. Labor Law § 240 (1) was enacted to protect workers from the hazards involved in elevation-related work. It imposes absolute liability upon owners and general contractors who fail to furnish proper protective devices, but provides an exception for “owners of one and two-family

dwellings who contract for but do not direct or control the work” (Labor Law § 240 [1]). We have noted, however, that the homeowner’s exemption

“is an exception to the clear legislative intent to protect[] workers by placing ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner[,] and as such, may properly be extended only so far as [the] language [of the exception] fairly warrants[. Therefore,] doubts should be resolved in favor of the general provision rather than the exception” (*Van Amerogen v Donnini*, 78 NY2d 880, 882 [1991] [internal quotation marks and citations omitted]).

The question presented here is whether plaintiff raised an issue of fact as to whether defendants directed and controlled his work, sufficient to defeat defendants’ summary judgment dismissal motion. Case law from this Court provides little guidance for determining the limits of the homeowner’s exemption. However, we have observed that “for one person to be ‘directed’ by another, there must be supervision of the manner and method of the work to be performed” (*Duda v Rouse Constr. Corp.*, 32 NY2d 405, 409 [1973]). At the other end of the spectrum, the Appellate Division has held that general supervision that is “no more extensive than would be expected of the typical homeowner who hired a contractor to renovate his or her home” (*Orellana v Dutcher Ave. Bldrs., Inc.*, 58 AD3d 612, 614 [2d Dept 2009], *lv dismissed* 12 NY3d 804 [2009]) or decisions involving merely aesthetic choices will not suffice to establish direction and control.

Under the circumstances presented here, I would find that plaintiff has at the very least raised an issue of fact as to whether defendants were directing and controlling his work. Defendants’ conduct could be found to be more extensive than expected of the typical homeowners renovating their home inasmuch as their activity involved changing the fundamental or structural nature of the work. For example, plaintiff asserts that when he told Mr. Basch that in order to move a sink to Basch’s preferred location he would need to cut a beam that supported the house, defendant instructed him to cut the beam. Basch told plaintiff to place the washer-dryer vent through the roof, rather than through the window, after plaintiff expressed reservations about the safety of that procedure—a significant

alteration changing the fundamental nature of the work. That Basch may have been able to induce plaintiff to perform the work on the roof, even though plaintiff was afraid for his safety, would also support a finding that Basch directed or controlled plaintiff's work.

The majority states that plaintiff's affidavit "is insufficient to raise an issue of fact" (majority op at 596). It is not clear why that is so or what more should be required from plaintiff at this stage. Affri was the sole witness to the accident and his affidavit is largely consistent with the testimony he gave at his examination before trial.

The homeowner's exemption does not provide blanket immunity for all homeowners—only for those who do not direct or control the nature of the work. This is not a situation where it can be said as a matter of law that the homeowner left the method and manner of performance to the worker's expertise such that the homeowner cannot be held responsible. If a homeowner directs the manner and means of the work, it is immaterial that the end result was an aesthetic change. Here, there is a genuine question of fact whether defendants crossed the line from general supervision to exercising direction and control over plaintiff's work.

Therefore, I would reverse and reinstate plaintiff's Labor Law § 240 (1) claim. For the same reasons, I would reinstate plaintiff's claims under Labor Law § 241 (6) and § 200 and his claim based on common-law negligence.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judges CIPARICK and JONES concur.

Order affirmed, with costs.

[922 NE2d 865, 895 NYS2d 279]

VICTOR J. RUNNER, Respondent, v NEW YORK STOCK EXCHANGE,
INC., et al., Appellants.

Argued November 17, 2009; decided December 17, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “I. Where a worker who is serving as a counterweight on a makeshift pulley is dragged into the pulley mechanism after a heavy object on the other side of a pulley rapidly descends a small set of stairs, causing an injury to plaintiff’s hand, is the injury (a) an ‘elevation related injury,’ and (b) directly caused by the effects of gravity, such that section 240 (1) of New York’s Labor Law applies? II. If an injury stems from neither a falling worker nor a falling object that strikes a plaintiff, does liability exist under section 240 (1) of New York’s Labor Law?”

HEADNOTE

Labor — Safe Place to Work

Plaintiff sustained an elevation related injury within the scope of Labor Law § 240 (1) when, while serving as a counterweight on a makeshift pulley to move an 800-pound reel of wire down a small set of stairs, he was dragged into the pulley mechanism after the reel rapidly descended the stairs. The single decisive question was whether plaintiff’s injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential. Labor Law § 240 (1), a strict liability statute, was designed to prevent accidents in which a protective device of the type enumerated in the statute proved inadequate to shield the injured worker from harm directly flowing from the application of the force of gravity to an object or person. The harm to plaintiff was the direct consequence of the application of the force of gravity to the reel. Since a worker injured while positioned in the descending reel’s path would be entitled to recover under section 240 (1), plaintiff should not be denied the same legal recourse. The elevation differential involved could not be viewed as *de minimis*, particularly given the weight of the object and the amount of force it was capable of generating, even over the course of a relatively short descent.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 266–269.

McKINNEY's, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 286-290, 293, 302, 379-381.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: elevation /s injur! /s risk /p worker & direct /4 consequence

POINTS OF COUNSEL

Shaub, Ahmuty, Citrin & Spratt, LLP, Lake Success (Steven J. Ahmuty, Jr., and Christopher Simone of counsel), and *Lewis Brisbois Bisgaard & Smith LLP* for appellants. Plaintiff's accident did not fall within the ambit of what the Legislature envisioned when enacting Labor Law § 240 (1) as interpreted by the courts. (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *De Haen v Rockwood Sprinkler Co.*, 258 NY 350; *Schreiner v Cremosa Cheese Corp.*, 202 AD2d 657; *White v Dorose Holding*, 216 AD2d 290; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Jastrzebski v North Shore School Dist.*, 223 AD2d 677, 88 NY2d 946; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Pope v Supreme-K.R.W. Constr. Corp.*, 261 AD2d 523; *Baker v Barron's Educ. Serv. Corp.*, 248 AD2d 655.)

Sacks and Sacks, LLP, New York City (Scott N. Singer of counsel), for respondent. I. The issues raised on the present appeal were properly formulated in the Second Circuit's certified questions. II. The District Court's conclusion that Labor Law § 240 (1) was violated as a matter of law was consistent with the statutory language and controlling decisions of this Court. (*Koenig v Patrick Constr. Corp.*, 298 NY 313; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Bland v Manocherian*, 66 NY2d 452; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Martinez v City of New York*, 93 NY2d 322; *Karaktin v Gordon Hillside Corp.*, 143 AD2d 637; *Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Jastrzebski v North Shore School Dist.*, 223 AD2d 677, 88 NY2d

946.) III. The District Court's determination was consistent with Appellate Division decisions construing Labor Law § 240 (1). (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Berg v Albany Ladder Co., Inc.*, 10 NY3d 902; *Jock v Landmark Healthcare Facilities, LLC*, 62 AD3d 1070; *Mattison v Wilmot*, 228 AD2d 991; *Mills v Tumbleweed Mgt. Co.*, 270 AD2d 121; *Carroll v Metropolitan Life Ins. Co.*, 264 AD2d 336; *Brown v New York City Economic Dev. Corp.*, 234 AD2d 33; *Lopez v Boston Props. Inc.*, 41 AD3d 259; *Rodriguez v Margaret Tietz Ctr. for Nursing Care*, 84 NY2d 841.)

Fiedelman & McGaw, Jericho (Andrew Zajac and Dawn C. DeSimone of counsel), Rona L. Platt, Brendan T. Fitzpatrick, David B. Hamm and Timothy J. Keane for Defense Association of New York, Inc., amicus curiae. In a scenario where plaintiff did not fall from a height, and no object fell from a height striking him, Labor Law § 240 (1) does not apply; proper interpretation of legislative intent and stare decisis dictates rejection of plaintiff's efforts to expand the scope of Labor Law § 240 (1) to encompass a type of hazard never contemplated for inclusion in the statutory strict liability provided for uniquely height-related hazards. (*Misseritti v Mark IV Constr. Co.*, 86 NY2d 487; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Toefer v Long Is. R.R.*, 4 NY3d 399; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Martinez v City of New York*, 93 NY2d 322; *Perchinsky v State of New York*, 232 AD2d 34; *Schroeder v Kalenak Painting & Paperhanging, Inc.*, 7 NY3d 797; *Munoz v DJZ Realty, LLC*, 5 NY3d 747.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The Second Circuit Court of Appeals, in the course of considering defendants' appeal from a judgment imposing liability upon them pursuant to section 240 (1) of New York's Labor Law, has certified to us two questions respecting the applicability of that statute. We now answer that the statute is applicable under the circumstances here presented.

The trial evidence showed that plaintiff suffered serious and permanent injuries to both of his hands while performing tasks in connection with the installation of an uninterruptible power system on defendant New York Stock Exchange's premises. The manner in which the injuries were sustained is undisputed.

Plaintiff and several coworkers had been directed to move a large reel of wire, weighing some 800 pounds, down a set of about four stairs. To prevent the reel from rolling freely down the flight and causing damage, the workers were instructed to tie one end of a 10-foot length of rope to the reel and then to wrap the rope around a metal bar placed horizontally across a door jamb on the same level as the reel. The loose end of the rope was then held by plaintiff and two coworkers while two other coworkers began to push the reel down the stairs. As the reel descended, it pulled plaintiff and his fellow workers, who were essentially acting as counterweights, toward the metal bar. The expedient of wrapping the rope around the bar proved ineffective to regulate the rate of the reel's descent and plaintiff was drawn horizontally into the bar, injuring his hands as they jammed against it. Experts testified that a pulley or hoist should have been used to move the reel safely down the stairs and that the jerry-rigged device actually employed had not been adequate to that task.

The jury, having been instructed that liability pursuant to Labor Law § 240 (1) could not be assigned unless plaintiff's injuries had been attributable to a gravity-related risk, and having found that no such risk had been implicated, returned a verdict for defendants. A motion by plaintiff to set aside the verdict ensued. In granting the motion and directing judgment for the plaintiff upon his Labor Law § 240 claim, the District Court found, as a matter of law, that the movement of the reel down the stairs presented a gravity-related risk; that an adequate safety device had not been used to manage the risk; and that that failure had been a substantial factor in causing plaintiff's injury.

Defendants appealed, and the Second Circuit, after its initial review of the matter, certified to us these questions:

“I. Where a worker who is serving as a counterweight on a makeshift pulley is dragged into the pulley mechanism after a heavy object on the other side of a pulley rapidly descends a small set of stairs, causing an injury to plaintiff's hand, is the injury (a) an ‘elevation related injury,’ and (b) directly caused by the effects of gravity, such that section 240 (1) of New York's Labor Law applies?

“II. If an injury stems from neither a falling worker nor a falling object that strikes a plaintiff, does

liability exist under section 240 (1) of New York’s Labor Law?” (568 F3d 383, 389 [2009].)

While these inquiries are not inapropos, we think the dispositive inquiry framed by our cases does not depend upon the precise characterization of the device employed or upon whether the injury resulted from a fall, either of the worker or of an object upon the worker. Rather, the single decisive question is whether plaintiff’s injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential.

Labor Law § 240 (1) provides in relevant part:

“All contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

It is plain that a device precisely of the sort enumerated by the statute was not “placed and operated as to give proper protection” to plaintiff, a person employed in the alteration of a building and thus within the statute’s stated protective ambit. The breadth of the statute’s protection has, however, been construed to be less wide than its text would indicate. As is here relevant, it is generally agreed that the purpose of the strict liability statute is to protect construction workers not from routine workplace risks, but from the pronounced risks arising from construction work site elevation differentials, and, accordingly, that there will be no liability under the statute unless the injury producing accident is attributable to the latter sort of risk (*see Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 514 [1991]). The trial court was of the view that plaintiff’s accident arose from such a risk: the reel had to be moved from a higher to a lower elevation and the danger to be guarded against plainly arose from the force of the very heavy object’s unchecked, or insufficiently checked, descent.

Defendants contend to the contrary that the accident was not sufficiently elevation-related to fall within section 240 (1)’s

scope. The occurrence, they note, did not involve the traversal of an elevation differential either by plaintiff or an object that hit him, and they urge that gravity must operate directly upon either the plaintiff or upon an object falling upon the plaintiff if there is to be Labor Law § 240 (1) liability. In support of this view, defendants point out that in *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494, 501 [1993]) we observed that “the ‘special hazards’ [covered by section 240 (1)] are limited to such specific gravity-related accidents as falling from a height or being struck by a falling object that was improperly hoisted or inadequately secured (see, *DeHaen v Rockwood Sprinkler Co.*, 258 NY 350),” and that in *Narducci v Manhasset Bay Assoc.* (96 NY2d 259, 267 [2001]), we noted that “Labor Law § 240 (1) applies to both ‘falling worker’ and ‘falling object’ cases.” But in referring to these familiar scenarios in which section 240 (1) liability may arise, neither decision purports exhaustively to define the statute’s protective reach. Rather, the governing rule is to be found in the language from *Ross* following closely upon that just quoted, where we elaborated more generally that “Labor Law § 240 (1) was designed to prevent those types of accidents in which the scaffold, hoist, stay, ladder or other protective device proved inadequate to shield the injured worker from harm directly flowing from the application of the force of gravity to an object or person” (*Ross*, 81 NY2d at 501).

Manifestly, the applicability of the statute in a falling object case such as the one before us does not under this essential formulation depend upon whether the object has hit the worker. The relevant inquiry—one which may be answered in the affirmative even in situations where the object does not fall on the worker—is rather whether the harm flows directly from the application of the force of gravity to the object. Here, as the District Court correctly found, the harm to plaintiff was the direct consequence of the application of the force of gravity to the reel. Indeed, the injury to plaintiff was every bit as direct a consequence of the descent of the reel as would have been an injury to a worker positioned in the descending reel’s path. The latter worker would certainly be entitled to recover under section 240 (1) and there appears no sensible basis to deny plaintiff the same legal recourse.

In certifying its questions to us, the Second Circuit observed that “[d]efendants offer a litany of illustrative cases highlighting various limitations on section 240 (1) . . . none of which address the material facts of the instant case” (568 F3d 383, 387

[2009]). And, indeed, we have not, until now, addressed a factual progression which, although not following one of the two scenarios defendants would have us deem exhaustive, nonetheless involves an injury directly attributable to a risk posed by a physically significant elevation differential.

The elevation differential here involved cannot be viewed as *de minimis*, particularly given the weight of the object and the amount of force it was capable of generating, even over the course of a relatively short descent. And, the causal connection between the object's inadequately regulated descent and plaintiff's injury was, as noted, unmediated—or, demonstrably, at least as unmediated as it would have been had plaintiff been situated paradigmatically at the rope's opposite end. It is in this respect that this case differs from *Toefer v Long Is. R.R.* (4 NY3d 399 [2005]), upon which defendants rely. There, the injury was the result of a concatenation of circumstances resulting in the “inexplicabl[e]” launch of an object—not a falling object—in plaintiff's direction (*id.* at 408); it was not, as here, the direct consequence of a failure to provide statutorily required protection against a risk plainly arising from a workplace elevation differential.

Accordingly, the first certified question, as recast, should be answered in the affirmative and the second certified question left unanswered, as unnecessary.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

